

IC 14

REGULATIONS OF INSURANCE BUSINESS

(WITH KEYNOTES)

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IC14

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PREFACE

Introduction

In a civilized society, a mechanism for ensuring strict civic controlled behavior is a must which is regulated by framing rules, regulations and laws for public at large. Breach of rules &/or laws entails penalties and punishments so as to correct the behavior of offenders.

This present work highlights elementary insurance regulations so as to acquaint tyro/s in insurance curriculum to acquaint themselves with various Rules/Regulations/Acts & legal provisions governing the conduct of insurance business.

At the Licentiate level it would not be easy for candidates to understand the entire gamut of complex insurance business but it will be of immense use to understand the subject with the help of diagrams succinctly summarizing the subject contents at elementary level. To make the study more meaningful, students will find '**Test Yourself Questions**' at the end of each learning outcome besides '**Self Examination Questions**' at the end of each Chapter facilitating them to test their learning of the subject.

A word of caution goes here that emphasis have been supplied wherever required for the sake of clarity and for the same reason contents are quoted verbatim so as to avoid any possibility of mis-interpretation.

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CHAPTER 1

DEVELOPMENT OF INSURANCE LEGISLATION IN INDIA AND INSURANCE ACT 1938

Chapter Introduction

In this chapter you will learn about the growth and development of the insurance sector in India from the early stage till the recent developments. The chapter explains how life insurance business and general insurance business evolved and developed in India. The chapter also explains how insurance business was nationalised and then reforms were initiated and the sector was once again opened up to private sector participation.

Learning Outcomes

- a) Learn about the development of the Indian insurance sector
- b) Explain the provisions of the General Insurance Business (Nationalisation) Act, 1972 (GIBNA)

1. Learn about the development of the Indian insurance sector.

[Learning Outcome a]

1.1 History of Insurance in India

In India, insurance has a deep-rooted history and it finds mention in the writings of Manu (Manusmrithi), Yagnavalkya (Dharmasastra) and Kautilya (Arthasastra). The writings talk in terms of pooling of resources that could be re-distributed in times of calamities such as fire, floods, epidemics and famine. This was probably a pre-cursor to modern day insurance. Ancient Indian history has preserved the earliest traces of insurance in the form of marine trade loans and carriers' contracts. Insurance in India has evolved over time heavily drawing from other countries, England in particular.

1.2 Development and Growth of Insurance Industry in India

The Constitution of India is federal in nature in as much there is division of powers between the Centre and the States. Insurance is included in the Union List, wherein the subjects included in this list are of the exclusive legislative competence of the Centre. The Central Legislature is empowered to regulate the insurance industry in India and hence the law in this regard is uniform throughout the territories of India.

1.3 Stages in the development of life insurance in India

The development and growth of the insurance industry in India has gone through three distinct stages.

- Insurance law in India had its origins in the United Kingdom with the establishment of a British firm, the Oriental Life Insurance Company in 1818 in Calcutta.
- This was followed by the Bombay Life Assurance Company in 1823, the Madras Equitable Life Insurance Society in 1829 and it had begun transacting life insurance business in the Madras Presidency and Oriental Life Assurance Company in 1874.
- However, till the establishment of the Bombay Mutual Life Assurance Society in 1871, Indians were charged an extra premium of up to 20% as compared to the British.
- This era, however, was dominated by foreign insurance offices which did good business in India, namely Albert Life Assurance, Royal Insurance, Liverpool and London Globe Insurance and the Indian offices were up for hard competition from the foreign companies.
- The first statutory measure in India to regulate the life insurance business was in 1912 with the passing of the Indian Life Assurance Companies Act, 1912 ("Act of 1912") (which was based on the English Act of 1909).
- Other classes of insurance business were left out of the scope of the Act of 1912, as such kinds of insurance were still in rudimentary form and legislative controls were not considered necessary.

- Presently 24 life insurers including one public sector and 23 private players are available in the market

1.4 Stages in the development of non-life insurance in India

- General insurance also has its origins in the United Kingdom.
- The first general insurance company, Triton Insurance Company Ltd. was promoted in 1850 by British nationals in Calcutta.
- The first general insurance company established by an Indian was Indian Mercantile Insurance Company Ltd. in Bombay in 1907.
- Eventually, with the growth of fire, accident and marine insurance, the need was felt to bring such kinds of insurance within the purview of the Act of 1912. While there were a number of attempts to introduce such legislation over the years, non-life insurance was finally regulated in 1938 through the passing of the Insurance Act, 1938 (“Act of 1938”).
- The Insurance Act, 1938 along with various amendments over the years continues till date to be the definitive piece of legislation on insurance and controls both life insurance and general insurance.
- General insurance, in turn, has been defined to include “fire insurance business”, “marine insurance business” and “miscellaneous insurance business”, whether singly or in combination with any of them.
- Presently 29 non-life insurers including 4 public sector, one Agriculture insurer, one export credit guarantee corporation, five stand-alone health insurer and 18 private insurers are in insurance market.

1.5 Nationalisation of the insurance business in India

- On January 19, 1956, the management of life insurance business of two hundred and forty five including of 154 Indian and 16 foreign insurer and 75 provident societies. Then operating in India was taken over by the Central Government. The LIC had monopoly till the late 90s when the Insurance sector was reopened to the private sector.
- The Life Insurance Corporation (“LIC”) was formed in September 1956 by the Life Insurance Corporation Act, 1956 (“LIC Act”) which granted LIC the exclusive privilege to conduct life insurance business in India.
- However, an exception was made in the case of any company, firm or persons intending to carry on life insurance business in India in respect of the lives of “persons ordinarily resident outside India”.
- The general insurance business was also nationalised with effect from January 1, 1973, through the introduction of the General Insurance Business (Nationalisation) Act, 1972 (“GIC Act”).
- Under the provisions of the GIC Act, the shares of the existing Indian general insurance companies and undertakings of other existing insurers were transferred to the General Insurance Corporation (“GIC”) to secure the development of the general insurance business in India and for the regulation and control of such business.
- The GIC was established by the Central Government in accordance with the provisions of the Companies Act, 1956 (“Companies Act”) in November 1972

and it commenced business on January 1, 1973.

- Prior to 1973, there were a hundred and seven companies, including foreign companies, offering general insurance in India. These companies were amalgamated and grouped into four subsidiary companies of GIC viz.
 - ✓ The national insurance company ltd.
 - ✓ The new india assurance company ltd.
 - ✓ The oriental insurance company ltd. And
 - ✓ The united india assurance company ltd.
 - ✓
- “GIC undertook mainly re-insurance business apart from aviation.

1.6 Insurance Sector Reforms

- In 1993, Govt of India appointed R. N. Malhotra Committee to lay down road map for opening up of the insurance sector to private sector participation.
- While the committee submitted its report in 1994, the enabling legislation was passed in the year 2000, amending the Insurance Act of 1938 and legislating the IRDAI Act of 2000.
- The same year the newly appointed insurance regulator IRDAI started issuing licenses to private life insurance companies formed and registered under Companies Act 1950 to be set up with sole purpose of carrying out Life Insurance Business, General Insurance Business and Reinsurance Business.
- As per the FDI norms, foreign participation in an Indian insurance company was restricted to 49% equity/ordinary sharing capital with the balance being funded by Indian promoter entities. The Parliament passes Insurance Amendment Bill, 2021 to increase foreign direct investment (FDI) lone in the insurance sector to 74%.

1.7 Insurance Association of India, Councils and Committees

Insurance Association of India

All insurers and provident societies incorporated or domiciled in India were members of the Insurance Association of India (“Insurance Association”) and all insurers and provident societies incorporated or domiciled elsewhere than in India were associate members of the Insurance Association.

There are two councils of the Insurance Association, namely

- ✓ the Life Insurance Council and
- ✓ the General Insurance Council

Life Insurance Council

Life Insurance Council is a forum that connects the various stakeholders of the sector. It develops and coordinates all discussions between the Government,

Regulatory Board and the Public. In short, it is the face of the Life Insurance industry.

It Constituted under Sec.64C of Insurance Act 1938, the Life Insurance Council functions through several sub-committees and includes all life insurance companies in India. In total, there are 24 life insurers who offer a variety of traditional and new innovative products.

It's Objective to play a significant and complementary role in transforming India's life insurance industry into a vibrant, trustworthy and profitable service, helping people in their journey to prosperity.

It's Mission

- To function as an active forum to aid, advise and assist insurers in maintaining high standards of conduct and service to policyholders.
- Interact with the Government and other bodies on policy matters.
- Actively participate in spreading insurance awareness in India.
- Take steps to develop education and research in insurance.
- Help India enjoy the benefits of global practices.

It fixes the limits for actual expenses by which the insurer carrying on life insurance business or any group of insurers can exceed from the prescribed limits under the Insurance Act.

General Insurance Council

The insurance industry has transformed considerably since the establishment of Insurance Regulatory and Development Authority of India. The Industry is poised for radical evolution in times to come due to changes in the overall economic environment, its bearing on the financial sector and related need for risk management. The General Insurance Council recognizes its role in the changing business environment by articulating the following vision and mission for the industry.

The GI Council's Vision:

- A sustainably profitable and growing non-life insurance industry in India.
- An industry trusted and recognised as contributing to society and the economy.
- An economic and public policy climate conducive to a flourishing industry.
- A body (GI Council) recognised as providing active leadership and an authoritative collective voice for the non-life insurance industry in India.

The GI Council's mission:

To provide leadership on issues having a bearing on the industry's collective strength and image and to shape and influence decisions made by the

Government, regulator and other public authorities, within the country, in order to benefit the industry collectively.

This will be achieved on an active, collective and non-competitive basis by:

- Pro-active analysis and lobbying to secure improvement in the legal and regulatory framework.
- Analysis and representations in response to initiatives from others which affect the industry.
- Being recognised as a leading contributor to public policy thinking on issues relevant to non-life insurance industry.
- Presenting a positive image of the industry to the public, the media and other opinion-formers.
- Providing leadership and guidance to the industry on issues which may affect its public image and reputation.
- Maintaining a core secretariat with staff of high caliber and relevant skills drawn from the industry on project to project basis, working under the guidance of the Board and its committees, focused on delivering the mission.

The General Insurance Council, through its Executive Committee, may fix the limits by which the actual expenses of management incurred by an insurer carrying on general insurance business may exceed the limits as prescribed in the Insurance Act.

GI Council will provide other services to member companies (such as an active role in management of commercial vehicle third party liability motor pool) which benefit the industry collectively; which support the mission; which can be provided without diversion of resources from the core functions; and which cannot be done more effectively by any other body.

Test Yourself 1

Question 1

As per current FDI norms how much is the FDI limit for insurance sector?

- A. 49%
 - B. 74%
 - C. 100%
 - D. There is no FDI allowed in insurance sector in India.
-

2. Explain the provisions of the General Insurance Business (Nationalisation) Act, 1972 (GIBNA).

[Learning Outcome b]

General Insurance Business (Nationalisation) Act, 1972 (GIBNA)

The General Insurance Corporation of India (GIC) was formed as a Government company under sub-section (1) of Section 9 of the General Insurance Business (Nationalisation) Act, 1972 (GIBNA, 1972) and it commenced business from January 1, 1973. The purpose of establishment of GIC as a holding company of the four operating (subsidiary) companies, as stated in the General Insurance Business (Nationalisation) Act, was superintending, controlling and carrying on the business of general insurance.

Functions of GIC

The functions of GIC as enunciated in the said Act are as follows:

- a) the carrying on of any part of general insurance business as deemed desirable;
- b) aiding, assisting and advising the companies in the matter of setting up of standards of conduct and sound practice in general insurance business and in rendering efficient customer service;
- c) advising the acquiring companies in the matter of controlling their expenses including the payment of commission and other expenses;
- d) advising the acquiring companies in the matter of the investment of funds;
- e) issuing directions to acquiring companies in relation to the conduct of general insurance business

Provisions of the Act

1. It has also been stated in the General Insurance Business (Nationalisation) Act that GIC shall keep in mind the desirability of encouraging competition among the subsidiary companies as far as possible in order to make their services more efficient. Though the concept of holding company in the public sector was new at that time, the role assigned to GIC and the need for competition among the four subsidiaries was clearly brought out in the Act itself. On the formation of the GIC, the shares of the Indian insurance companies, which vested in the Central Government, were transferred to the GIC and all the Indian insurance companies became the subsidiaries of the Corporation. Under the schemes framed under GIBNA, 1972, the Indian insurance companies got merged into one another and ultimately four Indian companies were left, namely,
 - ✓ The National Insurance Company Limited,
 - ✓ The New India Assurance Company Limited,
 - ✓ The Oriental Insurance Company Limited and
 - ✓ The United India Insurance Company Limited

The 4 companies were so situated as to promote competition among them so that effective services in the field of general insurance are rendered by them in all parts of India.

2. The Insurance Regulatory and Development Authority of India Act (IRDAI) Act, 1999 incorporated a new sub-clause in section 2 of the Insurance Act, 1938 under which an Indian Insurance company can carry on life insurance business or general insurance business or re-insurance business. The Insurance Act, 1938 also defines the expression “Indian re-insurer” to mean an insurer, who carries on exclusive re-insurance business and is approved in this behalf by the Central Government.
3. GIC was designed as the Indian reinsurer to which all the domestic insurers were obliged to cede 20% of gross direct premium in India [presently it is 5%]. In order to ensure retention of maximum business in the country and to secure the best terms from foreign reinsurers, GIC and its subsidiaries have common programme for reinsurance cessions. All the four General Insurance companies became independent insurers delinked from GIC.
4. The General Insurance Corporation of India was undertaking reinsurance business in India and also underwriting direct general insurance business in civil aviation and crop insurance. In view of the aforesaid provisions in the Insurance Act, 1938 and IRDAI Act, 1999, GIC can carry on exclusively re-insurance business or general insurance business. The Central Government therefore, decided to entrust re-insurance business to GIC and de-link the said four subsidiary companies carrying on general insurance business from GIC. While the ceasing of underwriting of civil aviation and crop insurance business by GIC was dealt with administratively, it has delinked GIC from its subsidiaries by making necessary amendments in GIBNA, 1972.
5. With the enactment of GIBNA in the year 1972, the share capital of insurance companies which stood transferred to and vested in the Central Government was immediately transferred to and vested in GIC. The Bill transfers back to the Central Government, the share capital of the subsidiary companies [vested in GIC] by making necessary amendment in GIBNA, 1972
6. The Committee observes that to prevent flight of capital from India in the form of reinsurance premium and to ensure the development of our own strength and resources to retain the risks within the country itself, General Insurance Corporation has been made to operate only in reinsurance arena.

Test Yourself 2

Question 2

How many general insurance subsidiaries did GIC have?

- A. 1
- B. 2
- C. 3
- D. 4

Summary

- The Central Legislature is empowered to regulate the insurance industry in India and hence the law in this regard is uniform throughout the territories of India.
- Oriental Life Insurance Company in 1818 in Calcutta was the first life insurance company to start operations in India.
- The first statutory measure in India to regulate the life insurance business was in 1912 with the passing of the Indian Life Assurance Companies Act, 1912
- The first general insurance company established by an Indian was Indian Mercantile Insurance Company Ltd. in Bombay in 1907.
- In 1956 the life insurance business was nationalised and the operations of companies were merged to form the Life Insurance Corporation (LIC) of India.
- With the introduction of the General Insurance Business (Nationalisation) Act, 1972, the general insurance business was nationalised.
- General Insurance Corporation (GIC) was formed in 1972 and was made the holding company of 4 PSU general insurance companies. The operations of all general insurance companies were merged into these 4 companies.
- In the year 2000 reforms were initiated by the Government and the IRDAI was formed and the insurance sector was liberalised and opened up to private sector participation. As per current rules Foreign Direct Investment (FDI) upto 74% is allowed in the insurance sector.
- The Insurance Association of India (IAI) has two councils: Life Insurance Council and General Insurance Council.
- As part of the reforms process GIC was delinked from its 4 subsidiaries and was converted into a re-insurance company. The ownership of the 4 subsidiaries was passed on to the Central Government.
- The insurance industry of India consists of 53 insurance companies of which 24 are in life insurance business and 29 are non-life insurers. Among the life insurers, Life Insurance Corporation (LIC) is the sole public sector company.
- Out of 29 non-life insurance companies, there are six public sector insurers, which include two specialised insurers namely Agriculture Insurance Company Ltd for Crop Insurance and Export Credit Guarantee Corporation of India for Credit Insurance.

Moreover, there are 5 private sector insurers are registered to underwrite policies exclusively in Health, Personal Accident and Travel insurance segments. They are Star Health and Allied Insurance Company Ltd, Apollo Munich Health Insurance Company Ltd, Max Bupa Health Insurance Company Ltd, Religare Health Insurance Company Ltd and Cigna TTK Health Insurance Company Ltd.

- In addition to 53 insurance companies, there is the government owned Reinsurer General Insurance Corporation, an Indian owned private reinsurer and branches of foreign reinsurers including a Lloyds branch. Other stakeholders in Indian Insurance market include approved insurance agents, licensed Corporate Agents, Brokers, Common Service Centres, Web-Aggregators, Surveyors and Third Party Administrators servicing Health Insurance claims.
- Insurance Laws (Amendment) Act, 2021 provides for enhancement of the Foreign Investment Cap in an Indian Insurance Company from 49% to an Explicitly Composite Limit of 74% with the safeguard of Indian Ownership and Control.
- Insurance penetration of India i.e. Premium collected by Indian insurers is 3.30% of GDP in FY 2014-15. Per capita premium underwritten i.e. insurance density in India during FY 2014-15 is US\$ 55.0.

Answers to Test Yourself

Answer to TY 1

The correct option is **B**.

As per current FDI norms the current FDI limit for insurance sector is 74%.

Answer to TY 2

The correct option is **D**.

GIC has 4 PSU general insurance companies as its subsidiaries.

Self-Examination Questions

Question 1

In India the _____ is empowered to regulate the insurance industry.

- A. Central Legislature
- B. State Legislature
- C. State and Central Legislature combine.
- D. The Supreme Court of India

Question 2

_____ in 1818 in Calcutta was the first life insurance company to start operations in India.

- A. Bombay Life Assurance Company.
- B. Oriental Life Insurance Company
- C. Oriental Life Assurance Company
- D. Madras Equitable Life Insurance Society

Question 3

_____ in Bombay in 1907 was the first general insurance company established by an Indian.

- A. Triton Insurance Company Ltd
- B. India First General Insurance Company Ltd.
- C. Indian Mercantile Insurance Company Ltd.
- D. General Insurance Company Ltd.

Question 4

..... is an specialised insurers Credit Insurance in India.

- A. L&T General Insurance Company Limited
- B. Magma HDI General Insurance Company Limited
- C. Export Credit Guarantee Corporation of India Ltd.
- D. ICICI Lombard General Insurance Co. Ltd.
- E. General Insurance Corporation of India.

Question 5

..... insurers are registered to underwrite policies exclusively in Health, Personal Accident and Travel insurance segments in India.

- A. National Insurance Co. Ltd.
- B. Star Health and Allied Insurance Company Limited
- C. Bharti AXA General Insurance Company Limited
- D. Kotak Mahindra General Insurance Company Limited

Answers to SEQ

Answer to SEQ 1

The correct option is A.

In India the Central Legislature is empowered to regulate the insurance industry.

Answer to SEQ 2

The correct option is B.

Oriental Life Insurance Company in 1818 in Calcutta was the first life insurance company to start operations in India.

Answer to SEQ 3

The correct options is C

Indian Mercantile Insurance Company Ltd. in Bombay in 1907 was the first general insurance company established by an Indian.

Answer to SEQ 4

The Correct option is C.

Export Credit Guarantee Corporation of India Ltd.

Answer to SEQ 5

The Correct option is B.

Star Health and Allied Insurance Company Limited

CHAPTER 2

IRDAI FUNCTIONS AND INSURANCE COUNCILS

Chapter Introduction

For the smooth and orderly functioning of the insurance business in India, the Government of India has enacted the Insurance Act, 1938 and the Insurance Regulatory and Development of India (IRDAI) Act, 1999.

The Insurance Councils are formed under Section 64C of the Insurance Act, 1938. Insurance Regulatory and Development Authority of India (IRDAI) is a national agency of the Government of India.

In this chapter, we will learn about the various powers of these institutions. This chapter will also help you understand the various functions carried out by these institutions.

Learning Outcomes

- a) Understand the purpose of forming the IRDAI and explain the duties, powers and functions of the IRDAI.
- b) Understand the Acts governing insurance business in India.
- c) Discuss General and Life Insurance Councils.

Look at this scenario

Deficit dilemma

Life Insurance Corp. of India (LIC), the country's largest financial institution is running a valuation deficit of around Rs. 14,000 crore in three plans of its guaranteed-return annuity policies: Jeevan Dhara, Jeevan Suraksha and Jeevan Akshay. Not all plans under these three brands are affected.

These plans were launched in the 1980s and 90s with assured returns of 11-12%, but with the drop in interest rates, the actual yield on investments is much lesser than what investors have been earning. They were launched under the Jeevan Dhara, Jeevan Suraksha and Jeevan Akshay brands. Subsequent schemes launched under the same brands are not suffering from any notional losses.

LIC's notional losses will vary according to the movement in the interest rates. Investors have nothing to worry as there is no plan now to close them.

A senior Insurance Regulatory and Development Authority of India (IRDAI) official said the regulator would not have approved these LIC schemes had it been in existence when they were launched. "There is indeed a deficit... This is not a good practice. We'd not have cleared such products if they were to come to us for approval," the IRDAI official said, asking not to be identified. IRDAI came into being in 1999.

(Excerpts from the Mint newspaper. Source: www.livemint.com)

The case study shows the importance of having a regulator to approve the viability / feasibility of a product before it is launched in the market. This protects the interests of the insurance company as well as of the policyholder.

1. Understand the purpose of forming the IRDAI and explain the duties, powers and functions of the IRDAI.

[Learning Outcome a]

1.1 Insurance

Insurance is a promise of compensation (Claim) for specific potential future losses in exchange for a periodic payment (Premium). It allows one entity (Insured) to transfer its risk to another entity (Insurer) for a payment called premium.

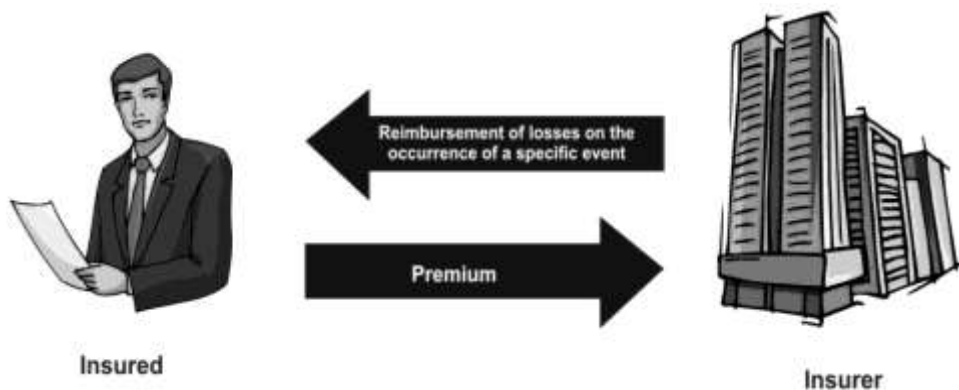
Insurance is a tool of risk management. It is used to protect the financial well-being of the insured. The insurer, in exchange for payments from the insured, agrees to reimburse the losses of the insured on the occurrence of a specific event, covered in the said insurance policy.

Definition

Insurance is an agreement by which one party called the 'insured' pays a stipulated consideration called 'premium' to the other party called the 'insurer', in return for which the insurer agrees to pay a defined amount of money or provide a defined service if a covered event occurs during the policy term.

An insurer is a company selling insurance; an insured (i.e. policyholder) is a person or entity buying the insurance policy, premium is the payment made by the insured to the insurer and claim is the compensation that is paid if the insured event occurs during the policy term.

Diagram 1: Insurance



There is a delicate financial relationship between the insured and the insurer. This has made insurance a highly regulated industry across the world.

1.2 Insurance Regulatory and Development Authority of India (IRDAI)

Insurance Regulatory and Development Authority of India (IRDAI) was formed by the Government of India by passing the IRDAI Act, 1999 in the parliament. IRDAI is the National agency of Government of India for the Indian insurance industry. It is created for the supervision and development of the insurance sector in India.

The Preamble of the IRDAI Act states the mission of IRDAI which is “to provide for the establishment of an Authority to protect the interests of holders of insurance policies, to regulate, promote and ensure orderly growth of the insurance industry and for matters connected therewith or incidental thereto. IRDAI Act led to amendment of the Insurance Act, 1938, the Life Insurance Corporation Act, 1956 and the General Insurance Business (Nationalisation) Act, 1972.”

Tip

The IRDAI is the regulator of the Indian insurance industry. Its objectives include:

- protecting the interest of the insured (i.e. the policyholders); and
- Promoting orderly growth of the insurance industry.

Regulator means an authority responsible for control and supervision of a particular activity.

Composition of IRDAI

The Authority consists of the following members:

- (a) A Chairperson;
- (b) Not more than five whole-time members; and
- (c) Not more than four part-time members.

These members are appointed by the Central Government from amongst persons of ability, integrity and standing who have knowledge or experience in life insurance, general insurance, actuarial science, finance, economics, law, accountancy, administration or any other discipline which would, in the opinion of the Central Government, be useful to the Authority.

The Central Government shall, while appointing the Chairperson and the whole-time members, ensure that at least one person each is a person having knowledge or experience in life insurance, general insurance or actuarial science respectively.

Tip

The full time members are:

- Member, Non-life
- Member, Life
- Member, Actuary
- Member, Finance & Investments

There is a provision for adding more members and part time members.

IRDAI is situated in Hyderabad. Its website address is www.irda.gov.in

1.3 Purpose of forming the IRDAI

- To protect the interest of and secure fair treatment to policyholders;
- To bring about speedy and orderly growth of the insurance industry (including annuity and superannuation payments), for the benefit of the common man, and to provide long term funds for accelerating growth of the economy;
- To set, promote, monitor and enforce high standards of integrity, financial soundness, fair dealing and competence of those it regulates;
- To ensure speedy settlement of genuine claims, to prevent insurance frauds and other malpractices and put in place effective grievance redressal machinery;
- To promote fairness, transparency and orderly conduct in financial markets dealing with insurance and build a reliable management information system to enforce high standards of financial soundness amongst market players;
- To take action where such standards are inadequate or ineffectively enforced;
- To bring about optimum amount of self-regulation in day-to-day working of the industry consistent with the requirements of prudential regulation.
- To ensure that insurance customers receive precise, clear and correct information about products and services and to make them aware of their responsibilities and duties in this regard.

1.4 Duties, Powers and functions of the IRDAI **Section 14 of IRDAI Act, 1999 lays down the duties, powers and functions of IRDAI.**

1. Subject to the provisions of this Act and any other law for the time being in force, the Authority shall have the duty to regulate, promote and ensure orderly growth of the insurance business and re-insurance business.

2. Without prejudice to the generality of the provisions contained in sub-section (1), the powers and functions of the Authority shall include, -
- a. issue to the applicant a certificate of registration, renew, modify, withdraw, suspend or cancel such registration;
 - b. protection of the interests of the policy holders in matters concerning assigning of policy, nomination by policy holders, insurable interest, settlement of insurance claim, surrender value of policy and other terms and conditions of contracts of insurance;
 - c. specifying requisite qualifications, code of conduct and practical training for intermediary or insurance intermediaries and agents
 - d. specifying the code of conduct for surveyors and loss assessors;
 - e. promoting efficiency in the conduct of insurance business;
 - f. promoting and regulating professional organisations connected with the insurance and re-insurance business;
 - g. levying fees and other charges for carrying out the purposes of this Act;
 - h. calling for information from, undertaking inspection of, conducting enquiries and investigations including audit of the insurers, intermediaries, insurance intermediaries and other organisations connected with the insurance business;
 - i. control and regulation of the rates, advantages, terms and conditions that may be offered by insurers in respect of general insurance business not so controlled and regulated by the Tariff Advisory Committee under section 64U of the Insurance Act, 1938 (4 of 1938);
 - j. specifying the form and manner in which books of account shall be maintained and statement of accounts shall be rendered by insurers and other insurance intermediaries;
 - k. regulating investment of funds by insurance companies;
 - l. regulating maintenance of margin of solvency;
 - m. adjudication of disputes between insurers and intermediaries or insurance intermediaries;
 - n. supervising the functioning of the Tariff Advisory Committee;
 - o. specifying the percentage of premium income of the insurer to finance schemes for promoting and regulating professional organisations referred to in clause (f);
 - p. specifying the percentage of life insurance business and general insurance business to be undertaken by the insurer in the rural or social sector; and
 - q. Exercising such other powers as may be prescribed.

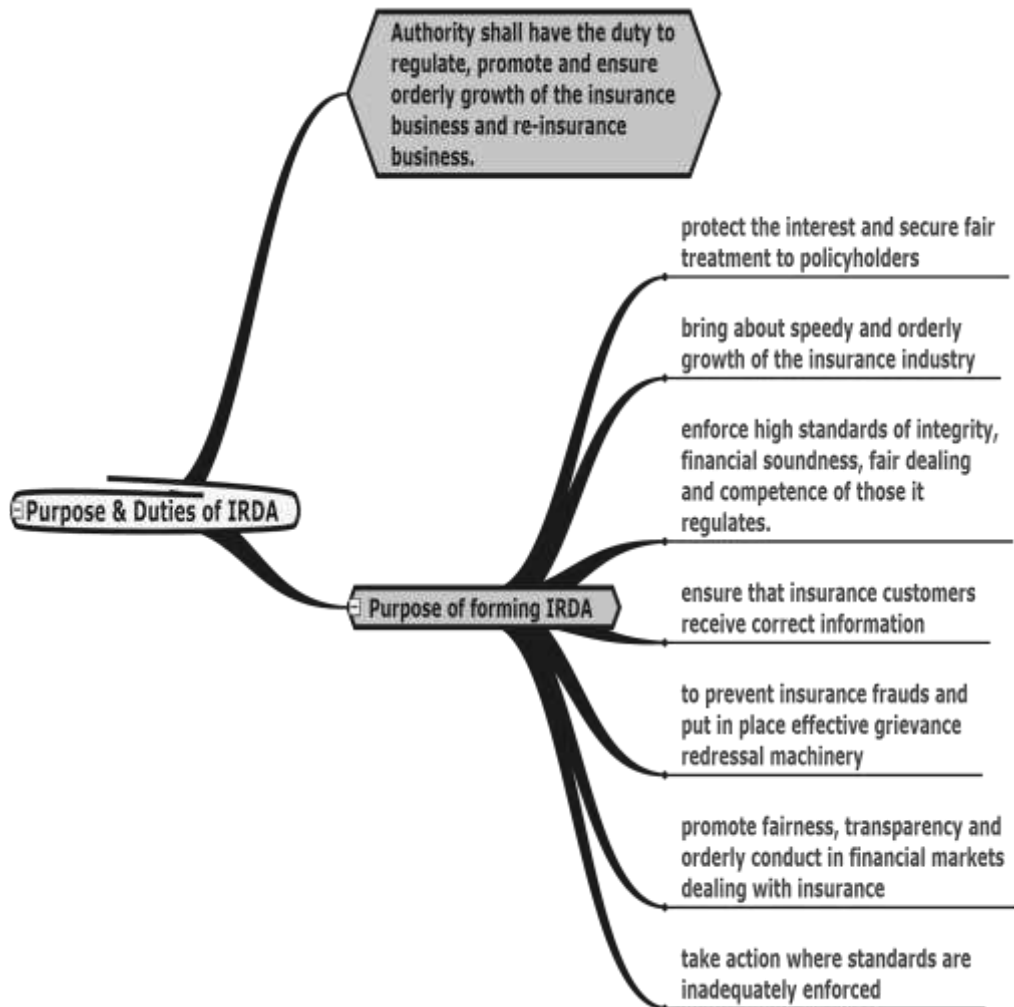
1.5 Regulations issued by IRDAI

List of Regulations may be amended as follows:

In exercise of the powers under the Act the IRDAI has in consultation with the Insurance Advisory Committee made various regulations and amended them subsequently as per requirement. Some examples of the regulations are given below:

- IRDAI (Insurance Advertisements and Disclosure) Regulations, 2000
- IRDAI (Registration of Indian Insurance Companies) Regulations 2000
- IRDAI (General Insurance -- Reinsurance) Regulations 2000 amended in 2016
- IRDAI(Assets, Liabilities and Solvency Margins of Insurers)Regulations,2000 amended in 2016 for Life & General separately
- IRDAI (Licensing of Insurance Agents) Regulations, 2000 amended in 2016 as Appointment of Agents
- IRDAI (Actuarial Report and Abstract) Regulations, 2000; IRDAI (Appointed Actuary) Regulations 2017
- IRDAI(Obligations of Insurers to Social sector) Regulations' 2000 amended in 2015
- IRDAI (Investment) Regulations, 2000 amended in 2016
- Insurance Surveyors and Loss Assessors (Licensing, Professional Requirement amended as IRDAI (Insurance Surveyors and loss assessors) Regulations 2015
- IRDAI (Life Insurance - Reinsurance) Regulations, 2000 amended in 2015
- IRDAI (Third Party Administrators - Health Services) Regulations, 2001 amended in 2016
- IRDAI(Insurance Brokers) Regulation' 2002amended in 2013
- IRDAI (Licensing of Corporate Agents) Regulations 2002 amended Registration of Corporate Agent Regulations 2015
- IRDAI (Micro-Insurance) Regulations' 2005 amended in 2015
- IRDAI (Non-Linked Insurance Products) Regulations, 2013
- IRDAI (Linked Insurance Products) Regulations, 2013
- IRDAI (Health Insurance) Regulations, 2013
- IRDAI (Places of Business) Regulations, 2013
- IRDAI (Web Aggregators) Regulations, 2013 amended 2017
- IRDAI (registration of insurance marketing firms) Regulations 2015
- IRDAI (Lloyd's India) Regulations, 2016
- IRDAI (Issuance of e-insurance policies) Regulations, 2016

SUMMARY



2. Identify the Acts governing insurance business in India.

[Learning Outcome b]

Motor Vehicles Act, 1988

The Motor Vehicles Act 1988, replaces the M.V Act 1939 and it came into force from 01/07/1989.

Chapter (XI) provides for compulsory insurance of motor vehicles. According to this Act, no motor vehicles can be used in a public place unless there is in force in relation to that vehicle a policy of insurance issued by an authorized insurer.

This policy is required to cover the insured's liability in respect of death or bodily injury of certain persons (e.g. third parties, fare-paying passengers, paid drivers, etc) and damage to property of third parties. The limits of liabilities required to be covered are also prescribed in the Act.

The Motor Vehicle Act also provides for the constitution of Motor Accidents Claims Tribunals (MACT) by the State Governments. The object of this amendment is to ensure speedy settlement of claims of persons involved in Motor Vehicle accidents. The procedure adopted by these Tribunals is simple and fast, the Court fee is nominal and hence the procedure is not expensive.

The Motor Vehicles (MV) Act, 1988 mandates payment of compensation to the victims of accidents arising out of the use of a motor vehicle or motor vehicles, in public places by the owner or owners, as the case may be.

The MV Act provides that no person shall use a motor vehicle in public places without a policy of insurance complying with the requirements of the MV Act. In such a policy of insurance, the insurer agrees to indemnify the user of the vehicles against the legal liability to pay compensation payable to the victims (third parties) of accidents (death, injury, disability, property damages, etc.) arising out of the use of the motor vehicle.

The compensation payable to the claimants is determined by the Motor Accident Claims Tribunals (MACT) established under the MV Act.

The MV Act, 1988: Salient features

- No person shall use, except as a passenger, a motor vehicle in public places, unless there is a policy of insurance complying with the requirements of the MV Act, (Sec.146)
- The policy must be against any liability incurred by the insured in respect of death or bodily injury to any person or damage to any property of a third party. (Sec.147)
- The insurer can be made a party to the proceedings of the Motor Accident Claims Tribunal (Sec 149)

- When a coer note issued by an insurer is not followed by a policy within the prescribed time, the insurer is bound to notify the fact to the concerned Registering Authority (Sec 147)
- A claimant is entitled to compensation of Rs 50,000 in cases of death of Rs 25,000 in the cases of injury without burden of proof of fault on the part of the vehicle owner. (Sec 140-No fault liability)
- A claimant may either seek compensation under section 140-Liability without Fault or on the basis of the structured formula prescribed in the Act (Sect 163A)
- A claimant may at his option, approach the Tribunal having jurisdiction over the area
 - i) in which the accident occurred,
 - ii) where he resides,
 - iii) carries on business or
 - iv) where the defendant resides (Sec 166)
- For victims of hit and run cases i.e. where the identity of the vehicle cannot be ascertained the insurers are liable to pay the stipulated compensation from the Solatium Fund (sec 161)
- The Tribunal may direct payment to interest on the award at the rates and from the date specified by it. (Sec.171)
- The Tribunal shall arrange to deliver copies of the award to the parties concerned within a period of fifteen days from the date of award(Sec. 168)
- The person liable to satisfy the award shall do so within thirty days of announcement of the award (Sec 168)

Latest Amendment- The Motor Vehicles (Amendment) Act, 2015

This Amendment come into force on the 7th day of January, 2015 for insertion of e-cartande-rickshaw a special purpose battery powered vehicle of power not exceeding 4000 watts, having three wheels for carrying goods or passengers, as the case may be, for hire or reward, manufactured, constructed or adapted, equipped and maintained in accordance with respective specifications, as may be prescribed and amendments for the driving license to drivee-cartore-rickshaw accordingly.

Settlement through alternative forum

The legal Services Authorities Act, 1987 provides for organising of Lok Adalat by the Legal Services Committees at various levels, to determine and arrive at a compromise or settlement between parties to a dispute in respect of any case pending before any court for which the Lok Adalat is organised.

The insurance industry has also established Claims Conciliation Committees and Jald Rahat Yojana which enable negotiated settlements. The award by these would not carry any interest. Thus, the settlements through the above enable the companies to save interest and administration charges.

Indian Motor Third Party Insurance Pool [IMTPIP]

In December 2006, IRDAI issued directions that all the General Insurers will collectively participate in a pooling arrangement to share in all motor third party insurance business. The GIC was nominated by the IRDAI as the administrator of the pooling arrangement.

The Pool was operational from 1st April 2007 to March 2012. The salient features of the pool were as under”.

- a) The GIC’s share would be the statutory cession received by it.
- b) All other members will cede to the pool in proportion to their market share of the Gross Direct Premium underwritten in India.
- c) The General Insurance Council shall appoint a committee to lay down detailed underwriting policies and procedures as well as detailed claims processing procedures.

The pool will handle only commercial vehicles covered by policies issued by all general insurers.

GIC as Pool Administrator has since established IT systems to receive all data pertaining to policies, premiums and claims.

As per IRDAI notification dated 22.03.2012 directed to dismantling of the existing IMTPIP with effect from March 31, 2012.

Motor Third Party Declined Risk Pool (IMTPDRP)

Considering compulsory nature of Act only liability policy as per the MV Act, and to avoid possible supply side constraints for such insurance covers, the Authority vide its order dated 23rd December 2011 formed Indian Motor Third Party Declined Risk Pool (IMTPDRP) for Commercial vehicle (Act only Insurance), commonly called as Declined Risk (DR) pool. The pool was made effective from 01.4.2012. Under this, insurers had the right to refuse or decline third-party insurance if it found it too risky an asset to underwrite. This declined vehicle would then be given a cover by another insurer. However, the risk would be ceded or transferred to the declined pool. For the remaining vehicles, insurers would be free to underwrite risks independently. This meant a deferential pricing system, based on claims, age, and frequency of accidents, would evolve.

In the meantime, the Insurance Laws (Amendment) Act of 2015 was notified on 23.03.2015, mandating insurers to complete a certain minimum motor third party insurance business in the manner to be specified by the Authority. In compliance to the said amendment in the Insurance Act, the Authority has issued IRDAI (Obligation of Insurers in respect of Motor Third Party Insurance Business) Regulations, 2015 which specified the insurers to underwrite minimum obligations in respect of Motor Third Party Business.

The GI Council and some of the Members of the pool, in their representations to the Authority, have expressed that there is no need of continuing the DR Pool after the insurers are mandated by law and maintaining two mandates for the same purposes is not required. On examination of the said suggestions, the Authority decided to dismantle the Indian Motor Third Party Declined Risk Pool for Commercial Vehicle (Act only Insurance) with effect from 1st April, 2016.

Notwithstanding, the General Insurers shall not deny motor third party insurance cover to any vehicle owner at any point of time. Any such refusal shall be viewed seriously and treated as regulatory noncompliance.

No Fault Liability

Section 140(1) of the Motor Vehicles Act, 1988 provides as follows:

“Where the death or permanent disablement of any person has resulted from an accident arising out of the use of a motor vehicle, the owner of the vehicle shall, or the owners of the vehicles shall, jointly and severally, be liable to pay compensation in respect of such death or disablement in accordance with the provisions of this section.”

The material change in the law is that the negligence of the owner or user of the motor vehicles is no longer relevant to decide the question of liability. In fact Section 140(3) specifically provides that the claimants shall not be required to plead and establish that the death or permanent disablement in respect of which the claim has been made was due to any wrongful act, neglect or default of the owner, or owners, of the vehicles or vehicles concerned or any other person. This concept is known as No Fault Liability.

However the amount of compensation payable is restricted to Rs 50,000/- in the case of death and Rs 25,000/- in the case of permanent disablement, after the amendment to Motor Vehicle Act, 1988.

Permanent disablement is defined as any injury or injuries involving:

- a) Permanent privation of the sight of either eye or the hearing of either ear, or privation of any member or joint or
- b) Destruction or permanent impairing of the powers of any member of joint or
- c) Permanent disfiguration of the head or face.

Even if the victim has contributed fully or partially to the happening of the accident, such negligence is not to be taken in to account to defeat the liability of the motorist or to reduce the amount of compensation.

The right to claim compensation on the basis of No Fault liability is in addition to any other right that the victim may have under any other provisions of the Act or any other law for the time being in force. In other words, the victim can also proceed against a wrong-doer on the basis of negligence under the law of Tort.

However, in such suits based on negligence, if compensation awarded is higher than that has already been paid on No Fault basis that latter amount will have to be deducted there from.

Hit and Run Accidents

Hit and run accident is “an accident arising out of the use of a motor vehicle or motor vehicles the identity where of cannot be ascertained in spite of reasonable efforts for the purpose.”

Section 163 provides that the Central Government may established a fund known as the “Solatium Fund” to be utilized for paying compensation in respect of death or grievous hurt to persons resulting from Hit and Run Motor Accidents.

The compensation payable for death claims is fixed at Rs 25,000/- and in respect of ‘grievous hurt’ Rs 12,500/-- after the amendment to Motor Vehicles Act, 1988.

The payment of compensation for Hit and Run accidents is subject to the condition that if any compensation is awarded for such death or grievous hurt under any other provisions of the Motor Vehicles Act or any other law the amount paid under Hit and Run accident has to be deducted from such compensation.

Solatium Fund

The Solatium Fund will consist of contribution from the General Insurance Industry, the Central Government and the State Government as decided by the Central Government.

The Central Government is also authorized by the Act to make a scheme to provide for the administration of the Solatium Fund.

Accordingly, The Solatium Scheme 1989 has been made by the Central Government for the payment of compensation to the victims of ‘hit and run’ motor accident. The Scheme came into force from 1st July 1989.

The scheme provides for nomination of offices of the insurance companies in each district for settlement of claims.

Structured Formula for Compensation

The Act was amended on 14.11.1994, to introduce a new concept of ‘payment of Compensation on structured formula basis.’ The new Section 163A provides for fixed compensation to be paid to victims of fatal injuries in motor vehicle accidents, based on their age and income. This would be full and final settlement.

Marine Insurance Act, 1963

The marine Insurance Act, 1963 codifies the law relating to Marine Insurance. With a few exceptions this Act closely follows the U.K Marine Insurance Act, 1906.

In addition to the Marine Insurance Act, 1963 the following laws govern the practice of marine insurance contracts. A good working knowledge of these laws is necessary for underwriters to pursue rights of recovery from carriers or bailee under subrogation proceedings.

The Carriage of Goods by Sea Act, 1925

This Act defines the responsibilities, liabilities, rights and immunities of a ship - owner in respect of loss damage to cargo carried.

Broadly, speaking, the Act deals with the aspects of ship owner's liabilities towards cargo owners. They are:

- a) The circumstances when the ship owner is deemed to be liable for loss or damage to cargo unless he proves otherwise.
- b) The circumstances when the ship owner is exempted from liability, i.e. when loss or damage is caused by events outside his control, e.g. perils of the seas.
- c) The limits of liability of a ship-owner for loss or damage to cargo calculated in monetary terms per package or unit of cargo.

The Bill of Lading Act, 1885

This Act defines the character of the Bill of Lading as an evidence of the contract of carriage of goods between the ship owner and the shipper, as an acknowledgement of the receipt of the goods on board the vessel and, as a document of title. The bill of lading is one of the various documents required in connection with settlement of Marine Cargo claims.

Indian Railways Act, 1989

The Act first passed in 1890, as amended by the Railways Act, 1989 which came into effect from 1st July, 1990. Whereas, the Act deals with various aspects of railway administration, there are also provisions which are relevant to marine insurance. These provisions related to rights and liabilities of railways as carriage of goods.

The Railways Claims Tribunal Act, 1987 provides for formation of Tribunals to deal with claims for cargo loss, personal injuries, refund of excess freight etc. and prescribes procedures there under.

“The Carriage by Road Act 2007”.

This Act defines the rights and liabilities of truck owners or operators who carry goods for public hire in respect of loss or damage to goods carried by them. The Act also prescribes the time limit within which notice of loss or damage must be filed with the road carriers.

Multi-Modal Transportation of Goods Act of 1993 & 2000

With the changing economic scenario, factors such as globalisation of markets, international economic integration, and removal of barriers to business and trade and increased competition have enhanced the need of transportation. It is one of the most important infrastructure requirements, which is essential for the expansion of opportunities and plays an important role in making or breaking the competitive positioning. The cargo industry is still an expanding market. The need for a comprehensive logistics systems in transportation, communications and information sector, continues to grow. Freight forwarding services alone are no longer sufficient, special deals are to be initiated on regular intervals to lure the customers to maintain them on permanent status, especially to cater to the increasing needs of seasonal vendors. Therefore, the cargo market demands a global solution and network linking all four modes of transportation i.e. (a) Air (b) Road (c) Rail (d) Sea. The combination of these modes is defined as 'multimodal transport system' A worldwide network linking airlines, roadways, railways and shipping lines in one chain with a motive of better quality of service to customers with the most economical costing and dependable schedule. Multimodal transportation is the movement of cargo from the point of origin to the final destination, by using two or more modes of transport. In its essence Multi Modal Transportation of goods means transportation of cargo from the premises of the shipper to those of the consignee, by more than one mode of transportation, under a single contract which has its evidence in form of a single multimodal transport contract. In India Multi-Modal Transportation of Goods is regulated by, Multi-Modal transportation of Goods Act of 1993, which stands amended by, the Multi-Modal transportation of goods Act of, 2000.

Employees Compensation Act 1923 [Earlier Workmen's Compensation Act, 1923]

The Employees Compensation Act 1923 earlier named The Workmen's Compensation Act, 1923 came into force on 01st July, 1924. The Act provides for the payment by employers to their workmen for compensation for injury by accident, or disease arising out of and in the course of employment. The object of this legislation has been stated as follows:

“ The growing complexity of industry in this country , with the increasing use of machinery and consequent danger to workmen, along with the comparative poverty of the workmen themselves renders it advisable that they should be protected, as far as possible, from hardship out of accidents, A legislation of this kind helps to reduce the number of accidents in a manner that cannot be achieved by official inspection, and to mitigate the effect of accidents by provisions for suitable medical treatment, thereby making industry more attractive to labour and increasing its efficiency. The Act provides for cheaper and quicker disposal of disputes relating to compensation through tribunals than was possible under the civil law”.

Employee's State Insurance Act, 1948

The Employees; State Insurance Act, 1948 has been described as an Act “to provide for certain benefits to employees in cases of sickness, maternity and employment injury and to make provisions for certain other matters in relation thereof”. Under the Act, the Employees' State Insurance Corporation has been set up to administer the Insurance Scheme.

The Scheme is applicable to industrial employees as defined in the Act. The Act operates in certain industrial areas as notified by the Government from time to time. It is intended that the Act will be eventually extended to all industrial areas in the country. Under the scheme a fund is maintained consisting of contribution from the employees, employers and the Government.

From this fund the following expenses are met:

- i. Sickness benefit, maternity benefit, disablement benefit, dependents' benefits (death), medical treatment.
- ii. Establishment and maintenance of hospitals, dispensaries, etc. for the benefit of the insured persons and their families.
- iii. Administration of the Scheme.

Public Liability Insurance Act, 1991

An Act to provide for public liability insurance for the purpose of providing immediate relief to the person affected by accident occurring while handling any hazardous substance and for matters connected therewith or incidental thereto, was introduced in 1991. The Act gives relief on principles of No Fault.

(Note: under common law compensation is required to be paid to the claimant only if fault or negligence of the wrong doer is found)

Where death of or injury to any person (other than a workman or damage to any property has resulted from an accident, whilst handling hazardous substances, the owner shall be liable to give following relief for such death, injury or damage.

- i. Reimbursement of medical expenses incurred up to a maximum of Rs. 12,500/- in each case,
- ii. For fatal accidents the relief will be Rs. 25,000 per person in addition to reimbursement of medical expenses, if any, incurred on the victim up to a maximum of Rs. 12,500/-

For permanent total or permanent partial disability or other injury or sickness, the relief will be (a) reimbursement of medical expenses incurred, if any, upto a maximum of Rs. 12,500/- in each case and (b) cash relief on the basis of percentage of disablement as certified by an authorized physician, The relief for total permanent disability will be Rs.125,000/-

For loss of wages due to temporary partial disability which reduces the earning capacity of the victim, there will be a fixed monthly relief not exceeding Rs. 1,000/- per month up to a maximum of 3 month provided the victim has been hospitalised for a period exceeding 3 days and is above 16 years of age.

(iii) Up to Rs.6, 000/- depending on the actual damage for and damage to private property.

(The Act also provides for compulsory insurance of this liability)

The Indian Stamp Act, 1899

The Indian Stamp Act requires that a policy of insurance be stamped in accordance with the schedule of rates prescribed therein.

Test Yourself 1

Question 1

Which of the following institution's mission is to protect the interests of holders of insurance policies?

- A. Securities and Exchange Board of India (SEBI)
 - B. Insurance Regulatory and Development Authority of India (IRDAI)
 - C. Reserve Bank of India (RBI)
 - D. Association of Mutual Funds of India (AMFI)
-

3. Discuss General and Life Insurance Councils.

[Learning Outcome c]

According to Section 64A of the Insurance Act 1938, all insurers carrying on insurance business in India will constitute a body corporate known as 'Insurance Association of India.' The Insurance Association of India will consist of:

1. **Members:** All the insurers that are incorporated or domiciled in India.
2. **Associate members:** All insurers incorporated and domiciled outside India.

Section 64A of the Insurance Act, 1938 also states that the Insurance Association of India shall have perpetual succession and a common seal and shall have power to acquire, hold and dispose of all property both moveable and immoveable and shall by the said name sue and be sued.

3.1 Councils of the Insurance Association of India

Section 64C of the Insurance Act, 1938 provides for two Insurance Councils in India. They are:

1. The Life Insurance Council: It consists of all the members and associate members of the Association who carry on life insurance business in India.
2. The General Insurance Council: It consists of all the members and associate members of the Association who carry on general insurance business in India.

Authority of members of the Association to act through agents

Section 64D of the Insurance Act, 1938 states that it shall be lawful for any **member** of the Life Insurance Council or the General Insurance Council **to authorise any individual**, whether an officer of the insurer or not, **to act as the representative of such member at any meeting of the Council** concerned or to stand as a candidate for any election held by that Council.

The authorities of the Life and General Insurance councils shall be the Executive Committees constituted as per Section 64E of the Insurance Act 1938.

3.2 Executive Committees of the Life Insurance Council and General Insurance Council

According to 64F of the Insurance Act, 1938:

- (1) The Executive Committee of the Life Insurance Council shall consist of the following persons, namely:
 - (a) Two officials nominated by the Authority, one as the Chairman and the other as a member;

- (b) Eight representatives of members of the Insurance Association of India carrying on life insurance business elected in their individual capacity by the said members in such manner, from such groups of members and from such areas as may be specified by the Authority.
 - (c) One non official not connected with any insurance business, nominated by the Authority; and
 - (d) Five persons connected with life insurance business, nominated by the Authority for the purpose of representing such groups of insurers carrying on life insurance business or such areas as have not been able to secure adequate representation on the Executive Committee of the Life Insurance Council or for any other purpose.
- (2) The Executive Committee of the General Insurance Council shall consist of the following persons, namely:
- (i) Two officials nominated by the Authority, one as the Chairman and the other as a member;
 - (ii) Eight representatives of members of the Insurance Association of India carrying on general insurance business elected in their individual capacity by the said members in such manner, from such groups of members and from such areas as may be specified by the Authority;
 - (iii) One non-official not connected with any insurance business, nominated by the Authority; and
 - (iv) Five persons connected with general insurance business, nominated by the Authority for the purpose of representing such groups of insurers carrying on general insurance business or such areas as have not been able to secure adequate representation on the Executive Committee of the General Insurance Council or for any other purpose.
 - (v) If anybody of persons specified in (1) and (2) fails to elect any of the members of the Executive Committees of the Life Insurance Council or the General Insurance Council, IRDAI may nominate any person to fill the vacancy, and any person so nominated shall be deemed to be a member of the Executive Committee of the Life Insurance Council or the General Insurance Council, as the case may be, as if he had duly elected thereto.
 - (vi) No official nominated by the IRDAI shall be entitled, whether as chairman or as a member , to vote in respect of any matter coming up before any meeting of the Executive Committee of the Life Insurance Council or the General Insurance Council, as the case may be, and subject thereto each of the said Executive Committees, may with the approval of the IRDAI, make bye-laws for the transaction of any business at any meeting of the said committee and any such bye-law may provide that any member of the Committee who is interested in any matter for the time being before that Committee may not be present at or take part in any meeting thereof.
 - (vii) The life Insurance Council or the General Insurance Council may form such other committees consisting of such persons as it may think fit to discharge such functions as may be delegated thereto.

- (viii) The Secretary of the Executive Committee of the Life Insurance Council and of the Executive Committee of the General Insurance Council shall in each case be an official nominated by the IRDAI.

3.3 Duration and dissolution of Executive Committees

According to Section 64H of the Insurance Act, 1938:

1. The duration of the Executive Committee of the Life Insurance Council or the General Insurance Council shall be three years from the date of its first meeting on the expiry of which it shall stand dissolved and a new Executive Committee constituted.
2. Notwithstanding the dissolution of the Executive Committee of the Life Insurance Council or the General Insurance Council, the out-going members there of shall continue to hold office and discharge such administrative and other duties as may be prescribed until such time as a new Executive Committee of the Life Insurance Council or the General Insurance Council, as the case may be, shall have been constituted.

Example

Let us assume that the first meeting of a newly formed Executive Committee took place on 1 January 2006. This committee will be dissolved three years after its first meeting i.e. on 31 December 2008. However, the new executive committee was formed on 10 January 2009.

Here, the out-going members of the dissolved Executive Committee will continue to hold office and discharge the duties prescribed to them till 10 January 2009.

3.4 Functions of the Executive Committee of the Life Insurance Council

According to Section 64J of the Insurance Act, 1938 the functions of the Executive Committee of the Life Insurance Council are:

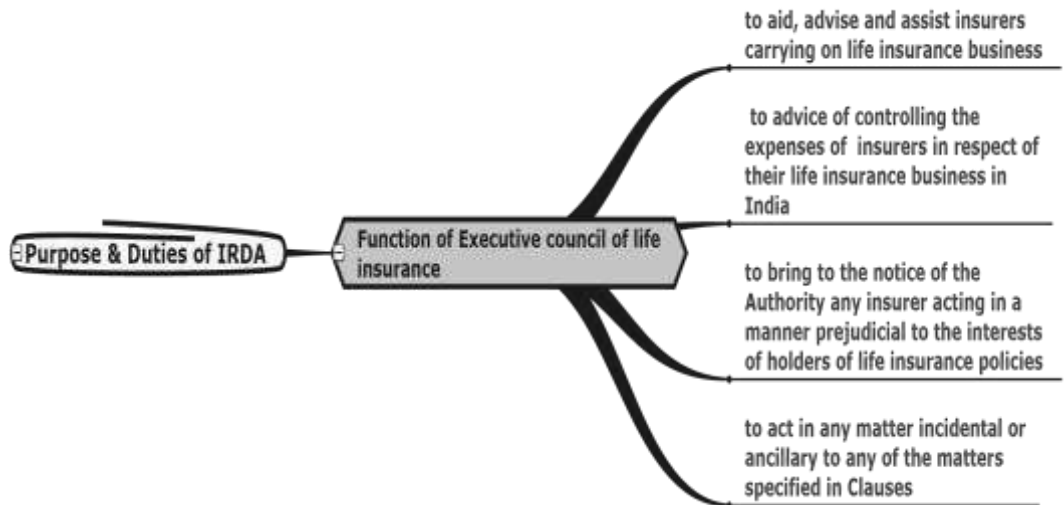
- (a) To aid, advise and assist insurers carrying on life insurance business in the matter of setting up standards of conduct and sound practice and in the matter of rendering efficient service to holders of life insurance policies;
- (b) To render advice to the IRDAI in the matter of controlling the expenses of insurers in respect of their life insurance business in India;
- (c) To bring to the notice of the IRDAI the case of any insurer acting in a manner prejudicial to the interests of holders of life insurance policies; and
- (d) To act in any matter incidental or ancillary to any of the matters specified in Clauses (a) to (c) as, with the approval of the IRDAI, may be notified by the Life Insurance Council in the Gazette of India.

For the purpose of enabling it to discharge its functions effectively, the Executive Committee of the Life Insurance Council may collect such sums of money, whether by way of fees or otherwise, as may be prescribed from all members and

associate members of the Insurance Association of India who carry on life insurance business.

Apart from the above, ex-executive committee may also advise on controlling expenses.

SUMMARY



3.5 Functions of the Executive Committee of the General Insurance Council

According to Section 64L of the Insurance Act, 1938 the functions of the Executive Committee of the General Insurance Council are:

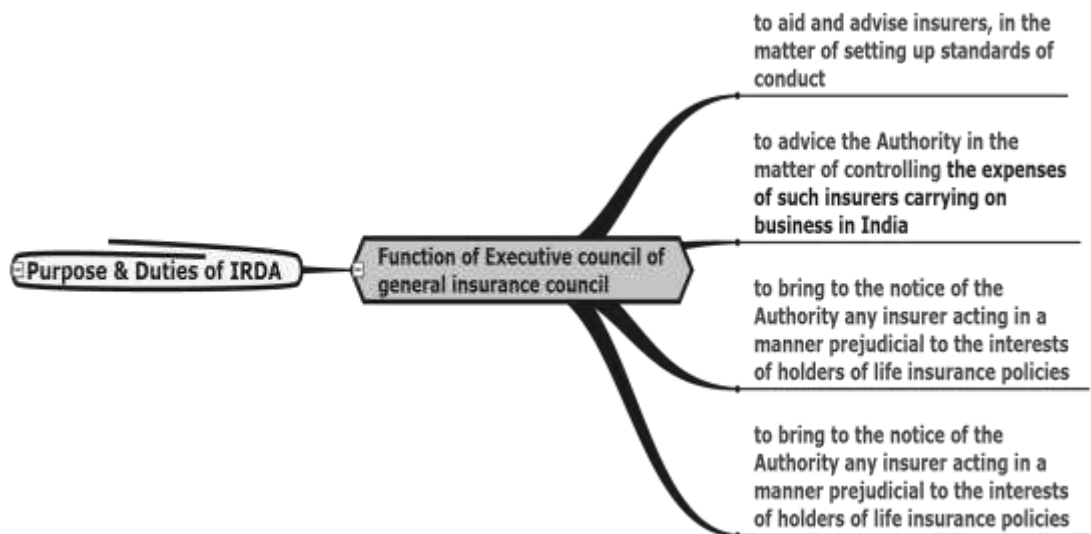
- a. to aid and advise insurers, carrying on general insurance business, in the matter of setting up standards of conduct and sound practice and in the matter of rendering efficient service to holders of policies of general insurance;
- b. to render advice to the IRDAI in the matter of controlling the expenses of such insurers carrying on business in India, in the matter of commission and other expenses;
- c. to bring to the notice of the IRDAI the case of any such insurer acting in a manner prejudicial to the interests of holders of general insurance policies; and
- d. to act in any matter incidental or ancillary to any of the matters specified in Clauses (a) to (c) as with the approval of the IRDAI may be notified by the General Insurance Council in the Gazette of India.

For the purpose of enabling it to discharge its functions effectively, the Executive Committee of the General Insurance Council may collect such fees as may be prescribed from all insurers carrying on general insurance business.

However if the General Insurance Council thinks fit, it may by a resolution passed by it, waive the collection of the prescribed fees for any year and where any such resolution has been approved by the Authority, the Executive Committee of the General Insurance Council shall not collect any fees in relation to that year.

The Executive Committee can also advise on controlling expenses.

SUMMARY



3.6 Powers of the Executive Committee to act together in certain cases

Section 64N of the Insurance Act, 1938 states that:

The Central Government may prescribe the circumstances in which, the manner in which, and the conditions subject to which, the Executive Committee of the Life Insurance Council and the Executive Committee of the General Insurance Council may hold joint meetings for the purpose of dealing with any matter of common interest to both Committees, and it shall be lawful for the two Committees at any such joint meeting to delegate any matter under consideration for the determination of a subcommittee appointed for this purpose from amongst the members of the two Committees.

Test Yourself 2

Question 2

The Insurance Association of India consists of _____

- Members: All insurers that are incorporated or domiciled in India.
- Members: All insurers incorporated and domiciled outside India
- Associate members: all insurers incorporated and domiciled outside India
- Associate members: insurers that are incorporated or domiciled in India

Which of the following options is correct?

- A. Only i. and iii.
- B. Only i. and iv
- C. Only ii and iii
- D. Only ii and iv

Summary

- Insurance is a contract under which the insurer, in exchange for payments from the insured, agrees to reimburse the losses of the insured on occurrence of a specific event.
- IRDAI is the regulator of insurance business in India. It is a national agency of the Government of India formed by an Act of Parliament known as the IRDAI Act 1999.
- IRDAI's objectives include protecting the interests of the insured and promoting orderly growth of the insurance industry in India.
- Insurance association of India consists of members (All insurers incorporated and domiciled in India) and associate members (All insurers incorporated and domiciled outside India).
- The Life Insurance Council consists of all the members and associate members of the Association who carry on life insurance business in India. The objectives of Executive Committee include aiding, advising and assisting insurers carrying on life insurance business.
- The General Insurance Council consists of all the members and associate members of the Association who carry on general insurance business in India. The objectives of Executive Committee include to aid, advise and assist insurers in carrying on general insurance business.
- The duration of the Executive Committee of the Life Insurance Council or the General Insurance Council is three years from the date of its first meeting.

Some important terms / definitions learnt in this chapter

- Insurance Regulatory and Development Authority of India (IRDAI)
- Insurance Association of India
- The Life Insurance Council
- The General Insurance Council

Answers to Test Yourself

Answer to TY 1

The correct option is B.

The IRDAI is established with the objective of protecting the interests of holders of insurance policies. SEBI is India's stock market regulator. RBI is the central bank of India. AMFI is an apex body of all Asset Management Companies (AMC).

Answer to TY 2

The correct options is A.

According to Section 64A of the Insurance Act 1938, the Insurance Association of India consists of:

1. Members: All the insurers that are incorporated or domiciled in India.
2. Associate members: All the insurers incorporated and domiciled outside India.

Self-Examination Questions

Question 1

Which of the following is not an objective of IRDAI?

- A. To protect the interest of and secure fair treatment to policyholders.
- B. To consolidate the various laws existing at that time and amend the law relating to the business of insurance.
- C. To ensure that insurance customers receive precise, clear and correct information about products and services and make them aware of their responsibilities and duties in this regard.
- D. To ensure speedy settlement of genuine claims, to prevent insurance fraud and other malpractices and put in place effective grievance redressal machinery.

Question 2

Which of the following is a duty of the IRDAI?

- i. Protection of the interests of the policyholders in matters concerning assigning of policy, nomination by policyholders, insurable interest, settlement of insurance claim, surrender value of policy and other terms and conditions of contracts of insurance.
 - ii. Specifying requisite qualifications, code of conduct and practical training for intermediary or insurance intermediaries and agents.
 - iii. Specifying the code of conduct for surveyors and loss assessors.
- A. Only i. and ii.
 - B. Only ii. and iii.
 - C. All of the above
 - D. None of the above.

Question 3

Which of the following is not among the Insurance Councils mentioned in Section 64C of the Insurance Act, 1938?

- i. The Life Insurance Council of India
- ii. The Health Insurance Council of India
- iii. The General Insurance Council of India

- A. Only i and iii
- B. Only ii
- C. All of the above
- D. None of the above

Question 4

Choose the correct option to fill in the blank

The duration of the Executive Committee of the Life Insurance Council or the General Insurance Council is _____ years from the date of its first meeting.

- A. One
- B. Two
- C. Three
- D. Four

Question 5

Whose function is to aid, advice and assist insurers carrying on life insurance business in the matter of setting up standards of conduct, sound practices and rendering efficient service to holders of life insurance policies?

- A. Executive Committee of the General Insurance Council of India
- B. Executive Committee of the Life Insurance Council of India
- C. Both of the above
- D. None of the above

Question 6

Indian Motor Third Party Declined Risk Pool (IMTPDRP) for Commercial vehicle (Act only Insurance), commonly called as Declined Risk (DR) pool. The pool was made effective from.....

- A 01.04.2007
- B 23.12.2011
- C 01.04.2012
- D 01.04.2016

Question 7

Multimodal transportation is the movement of cargo from the point of origin to the final destination, by using two or more modes of transport and In India Multi-Modal Transportation of Goods is regulated by.....

- A The Carriage of Goods by Sea Act, 1925
- B The Indian Railways Act, 1989
- C The Multi-Modal transportation of Goods Act 1993 & 2000
- D The Carriers Act 1865

Answers to SEQ

Answer to SEQ 1

The correct option is B.

The Preamble to the Insurance Act, 1938 mentions that the aim of the Act is to consolidate (the various laws existing at that time) and amend the law relating to the business of insurance.

Answer to SEQ 2

The correct option is C.

All are the duties of IRDAI according to Section 14 of the IRDAI Act.

Answer to SEQ 3

The correct options is B

Section 64C of the Insurance Act, 1938 provides for two Insurance Councils in India. They are:

- 1) The Life Insurance Council: it consists of all the members and associate members of the Association who carry on life insurance business in India.
- 2) The General Insurance Council: it consists of all the members and associate members of the Association who carry on general insurance business in India.

Answer to SEQ 4

The correct option is C.

The duration of the Executive Committee of the Life Insurance Council or the General Insurance Council is three years from the date of its first meeting, on the expiry of which the Executive Committee is dissolved and a new Executive Committee is constituted.

Answer to SEQ 5

The correct option is B.

According to Section 64J of the Insurance Act 1938, it is a function of the Executive Committee of the Life Insurance Council.

Answer to SEQ 6

The correct option is C.

IRDAI's order dated 23rd December 2011 formed Indian Motor Third Party Declined Risk Pool (IMTPDRP) for Commercial vehicle (Act only Insurance), commonly called as Declined Risk (DR) pool. The pool was made effective from 01.4.2012.

Answer to SEQ 7

The correct option is C.

In India Multi-Modal Transportation of Goods is regulated by, Multi-Modal transportation of Goods Act of 1993, which stands amended by, the Multi-Modal transportation of goods Act of, 2000.

CHAPTER 3

IRDAI AND ITS LICENCING FUNCTIONS

Chapter Introduction

Insurance business has a peculiarity whereby interface and interaction of a prospective client is more often with an intermediary than with the insurer.

As per the Insurance Regulatory and Development Authority of India (IRDAI) Act, 1999 "intermediary or insurance intermediary" includes insurance brokers, reinsurance brokers, insurance consultants, surveyors and loss assessors. Although this definition of "intermediary or insurance intermediary" does not include insurance agents and corporate agents they also are intermediaries in the conventional sense.

Learning Outcomes

- a) Understand the code of conduct applicable to Agents, Corporate Agents and Brokers.
- b) Understand the regulation for Intermediaries- WebAggregators.
- c) Understand the regulation for Intermediaries- Insurance Marketing Firm
- d) Understand the regulation for Intermediaries- CSC-SPV
- e) Understand the regulation for Intermediaries- Point of Salesperson (POS)
- f) Understand the regulation for Intermediaries- Insurance Repositories
- g) Understand the regulation for Third Party Administrators (TPA)
- h) Learn about registration of insurance companies
- i) Explain the various regulations related to Listed Indian Insurance Companies Guidelines, 2016
- j) Explain the various regulations related to life and general reinsurance
- k) Explain the various regulations related to CrossBorder Reinsurers
- l) Understand the Code of Conduct and Categorisation of Surveyors

Look at this scenario

A lot has been said and written on how insurance agents mis-sell insurance. And there are certain standard 'sales pitches' that insurance agents make while selling insurance.

Let's check out some of the standard pitches that are made and what they actually mean. Keep these in mind and avoid mis-selling of insurance.

Mutual funds with free insurance

This pitch draws on two things. The traditional love that we Indians have for insurance as a tax-saving device and the new love we have developed for mutual funds. If an agent makes this pitch, he is most probably trying to sell you a unit-linked insurance plan (ULIP) and not a mutual fund with free insurance.

ULIPs are insurance policies that give the combined benefit of insurance and investment. Usually an individual taking an ULIP has 4-6 choices while choosing his investment fund. These choices range from funds investing 100% in equity to those investing 100% in debt securities. Other than this, the policyholder gets an insurance cover. But there are no free lunches. For the insurance, a mortality charge is levied. So the insurance isn't free even if the agent says it is.

Cashback

If the agent knows that he is likely to earn a very high commission; he may make you a 'cashback' offer. Let us see how this works. In the above example, let us assume the premium allocation charge (PAC) is 30% in the first year or Rs. 9,000 on a premium of Rs. 30,000. The agent might offer to pass on one third of this to you, as a cashback.

So you might get Rs. 3,000 back. Should you invest in this ULIP just because the agent is returning some percentage of his commission to you?

No. That would be being 'penny wise and pound foolish'. Remember that he is giving you a cashback only in the first year of the policy and not every year. If the policy spans 20 years, for a one-time payment of Rs. 3,000, you are putting at stake your investment of Rs. 6 lakh (Annual Premium Rs. 30,000 x Policy Tenure 20 years). The performance record of most ULIPs remains untested because they haven't been around long enough.

Experts from DNA newspaper

In the insurance sector, like in any other financial services sector, keeping the vulnerable public protected from unfair practices is of utmost importance. Unfair practices could arise in a scenario of increasing number of insurers, intermediaries and insurance products and severe competition in business. IRDAI's regulations for intermediaries address issues relating to the point of sale.

1. Understand the code of conduct applicable to Intermediaries- Agents, Corporate Agents and Brokers.

[Learning Outcome a]

This chapter gives comparison and brief explanations of IRDAI regulations related with various intermediaries i.e insurance Agents, Corporate Agents, Brokers in a tabular form and Surveyors, TPA Health Services, Web Aggregators, CSC-SPV, Insurance Repositories, Insurance Marketing firm those presently providing their services to Insurance Industry, in next section.

The channels of distribution are broadly slotted into 3 categories based on the policy holders they serve, the relationship with the insurer and the range of products they sell namely

- i) Insurancebrokers,
- ii) Insuranceagents

Other insurance Intermediaries namely Corporate Agents, Web Aggregators, Insurance Marketing Firm, CSC-SPV, Point of Salesperson (PoS).

For detailed explanation you can obtain the Code of Conduct applicable to the insurance intermediaries from the IRDAI website (www.irda.gov.in).

Sr no	Insurance Brokers	Corporate Agents	Agents
1.	Licensing		
	i. Direct broker Licensed by the Authority to act as such, for remuneration carries out the functions as specified under Regulation 3 either in the field of life insurance or general insurance or both on behalf of the clients. ii. Reinsurance Broker An insurance broker who, for remuneration, arranges reinsurance for direct insurers with insurance and reinsurance companies.	A corporate agent needs to be registered with the IRDAI A corporate agent can act as agent for maximum three life/general/health insurers. “Composite Corporate Agent” means a Corporate Agent to act as an insurance agent to maximum 3 life and general and/or health insurers.	No License is required “Composite Insurance Agent” means an Insurance Agent who holds a licence to act as an insurance agent for a life insurer, a general insurer and health insurer.

	iii. Composite Broker An insurance broker who for the time-being licensed by the Authority to act as such, for a remuneration arranges insurance for its clients with insurance companies and / or reinsurance for its client/s.		
2.	Status of Applicant		
	The Insurance Broker licence can be granted to proprietor / proprietary concern, a partnership firm, a company formed under the Companies Act, 1956, a Co-operative Society registered under the Co-operative Society Act, 1912 or under any law for the registration of co-operative societies; or any other person recognized by the Authority to act as an insurance broker.	➤ a firm; or ➤ a company formed under the Companies Act, 1956 (1 of 1956); or ➤ a banking company as defined in clause (4A) of Section 2 of the Act; or ➤ a corresponding new bank as defined under clause (d(a)) of sub-section (1) of Section 5 of the Banking Companies Act, 1949 (10 of 1949); or ➤ a regional rural bank established under Section 3 of the Regional Rural Banks Act, 1976 (21 of 1976); or ➤ a co-operative society including a co-operative bank, registered under the Co-operative Societies Act, 1912 or under any law for the registration of co-operative societies; or ➤ a panchayat or a local authority; or ➤ a Non-Governmental organisation or a micro lending finance organisation covered under the Co-operative Societies Act, 1912 or a Non-Banking Financial Company	IRDAI has left the matter to the decided by the insurers to decide upon the minimum educational qualification for recruitment of the agents.

		registered with the Reserve Bank of India; or ➤ any other institution or organisation which on an application to the Authority is specifically approved by the Authority. ➤ The corporate Agent to have a minimum network of Rupees fifty lakhs.	
3.	Authority for issuing Licenses		
	According to regulation 10, the Authority on being satisfied that the applicant fulfils all the conditions specified for the grant of licence, grants a licence.	Registration with the Authority required.”	No License is required.
4.	Qualifications		
	Principal Officer who possesses the minimum qualification and Insurance Broker Examination is the chief executive officer of the Broking Company to exclusively carry out the functions of an insurance broker.	Corporate Insurance Executive or the chief executive represents corporate agent and should undergo practical training and is responsible for soliciting and procuring business.	Individual Agent who received practical training and passed examination can solicit and procure business for the insurance company.
5.	Functions		
	The functions of an Insurance Broker are specifically given in the Regulations which include apart from placing business, risk management, consultancy, assisting in claims, maintaining underwriting and claims records.	The corporate agent identifies himself / herself with insurance company of whom he / she is a representative and follows the code of conduct given in Regulations.	The individual agent identifies himself / herself with the insurance company of whom he / she is a representative and follows the code of conduct.

6.	Disqualifications		
	The applicant for Insurance Broker application shall not suffer from any of the disqualifications specified under Sub Section (5) of Section 42D of Insurance Act.	The corporate agents and individuals agents shall not suffer from disqualifications under Section 42 of the Insurance Act.	
7.	Training and Examination		
	The Principal Officer and persons soliciting and procuring business shall undergo at least 50/25 hours of theoretical and practical training from an institution recognized by the Authority and pass an exam, at the end of the period of training conducted Insurance Institute of India, Mumbai and Examination body is National Insurance Academy, Pune. **IRDAI Circular - IRDA/INT/CIRff&E/136/07/2 016 13th July, 2016	The practical training and passing of pre-recruitment examination is to be completed by the applicant for corporate agents. The practical training 50/25 hours and examination requirements are given under Regulation 5. And Training Body is Insurance Institute of India, Mumbai and Examination Body is Insurance Institute of India, Mumbai	Similar provisions are applicable for individual agents and training duration is 25 hours (fresh) and Nil for Renewal as these requirements are as mentioned in Regulations 5. And Training body is Insurance Co. of Agent and Exam conducting Body is Insurance Institute of India, Mumbai
8.	Capital Requirement		
	The applicant seeking to become an insurance broker shall have minimum amount of capital: a) For a Direct Broker - Rs. 75 lakhs b) For Reinsurance Broker - Rs. 400 lakhs c) For Composite Broker - Rs. 500 lakhs.	“Equity Capital requirement/net worth for corporate agents is fifty lakhs at all times”.	
9.	Validity of License		
	A licence once issued shall be valid for a period of 3 years from the date of its issue,	“Registration valid for three years”.	Not Applicable.

	unless the same is suspended or cancelled pursuant to the regulations.		
10.	Renewal of Licence		
	As per Regulation 14, the application for a renewal shall be dealt with in the same manner as per fresh application. The renewal application must be accompanied with a fee of Rs. 1,000. The renewal fee for the three years to be paid on in-principle approval for renewal as follows: Direct broker Rs. One lac Reinsurance brokers. One lac fifty thousand and Composite broker Rs. Three lacs. In the event of a license being lost or destroyed or mutilated an insurance broker shall submit to the Authority an application along with a fee of Rs. 1,000 requesting for the issue of a duplicate license and with a declaration giving full details regarding the loss or destruction or mutilation.	Not applicable to the agents. “Registration renewal fee Rupees twenty five thousand”.	
11.	Cancellation or suspension of license or certificate		
	Regulation 49 and 50 gives the Authority, the power to suspend / cancel the license under the conditions listed in Regulations 49 and 50.	Under Regulation 11, the designated person may cancel a certificate of a corporate agent or a specified person, if such a corporate agent or the corporate insurance executive or the specified person suffers, at any time during the currency of the license, from	The designated person may cancel a certificate of an insurance agent if the insurance agent suffers, at any time during the currency of the licence, from any of the disqualifications mentioned in Sub-Section (3) of Section 42 of the Act.

		any of the disqualifications mentioned is Sub-Section (3) of Section 42D of the Act.	
12.	Single licence and own corporate group dealings		
	One licence to single corporate group. Not more than 25% business to be placed with own insurance entity. Arms length approach		
13.	Remuneration (Regulation 26)		
	No insurance broker shall be paid or contract to be paid by way of remuneration (including royalty or license fees or administration charges or such other compensation), an amount exceeding prescribed under Regulation 19.	Every Corporate Agent shall be paid a commission as per provisions of Section 40A of the Act. "The payment of remuneration to or receipt of remuneration by a corporate agent shall be governed by the regulations notified in this behalf by the Authority from time".	Every Agent shall be paid a commission as per provisions of Section 40 as amended from time to time.

Important

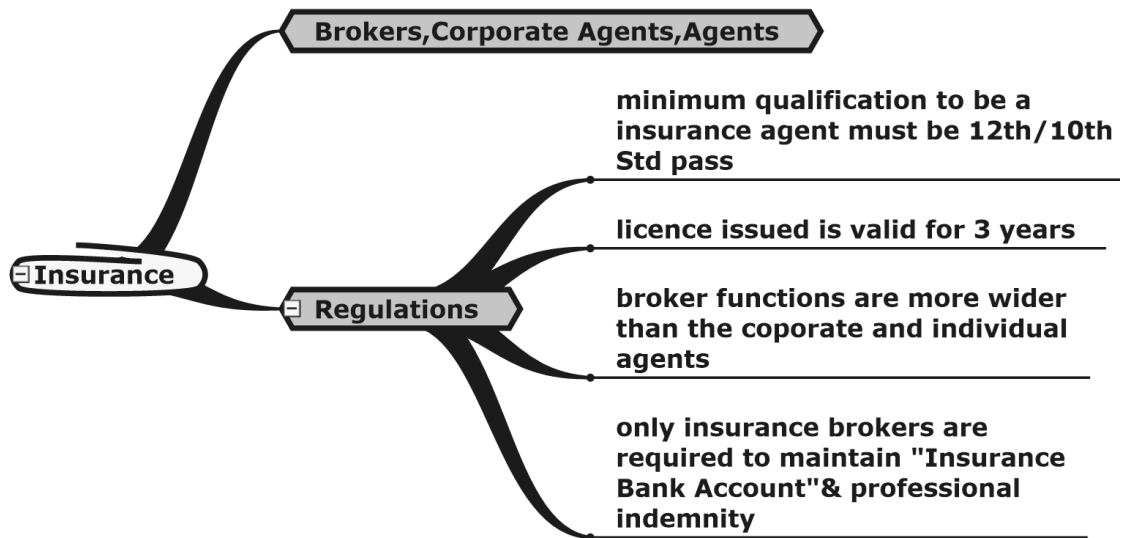
The circular 011/IRDA/Brok-Comm/ Aug-08 dated 25th August 2008, gives limits on payment of commission or brokerage payable on general insurance business. These limits have come into effect from 1st October 2008.

14.	Ceiling on business from single client (Regulation 35)		
	The business of the insurance broker shall be carried in such a manner	As per code of conduct under Regulation 9, no corporate agent shall have a portfolio of	There are no such

	that, not more than 50% of the premium (quantum, receipts, etc. as the case may be) in each year of the business, shall emanate from any one client. This does not apply to reinsurance, government or public sector business	insurance business from one person or one organization or one group of organizations under which the premium is in excess of 50% of total premium procured in any year. The business of the insurance broker shall be carried in such a manner that, not more than 50% of the premium (quantum, receipts, etc. as the case may be) in each year of the business shall emanate from any one client.	provisions or limits for individual agents.
15.	Code of Conduct (Regulation 30)		
	Every insurance broker shall abide by the Code of Conduct as specified in Schedule III.	Every Corporate Agent shall abide by the Code of Conduct specified in Regulation 9.	Every agent shall adhere to the Code of Conduct specified in Regulation 8.
16.	Deposit Requirements (Regulation 23)		
	Every insurance broker shall before the commencement of its business, deposit and keep deposited with any scheduled bank a sum of Rupees ten lacs for a direct broker and 10% of minimum capital for a Reinsurance or Composite broker, which shall not be released to the broker unless the prior permission of the Authority is obtained.	No such deposit is required to be maintained by corporate agents / individual agents.	
17.	'Insurance Bank Account' (Regulation 33)		
	The Reinsurance Brokers / Composite Brokers shall ensure that 'insurance money' is held in an 'Insurance Bank Account'	No such 'Insurance Bank Account' is prescribed for corporate agent / individual agent.	

	for reinsurance transactions only.	
18.	Professional Indemnity Insurance (Regulation 24)	
	Every insurance broker shall take out and maintain and continue to maintain a professional indemnity insurance cover throughout the validity of the period of the licence granted to him by the Authority.	Any corporate agent having more than fifty percent revenue from insurance intermediation to take an insurance for Professional Indemnity policy equivalent to two times annual insurance remuneration with minimum Rupees fifteen lakhs and maximum rupees one crore. The Individual agent not required to take a professional indemnity insurance” policy.
19.	Maintenance of books of accounts, records etc. (Regulation 34)	
	Every insurance broker shall prepare for every accounting year annual accounts and submit to the Authority. They shall also furnish to the Authority a half-yearly un-audited financial statement containing details of performance, financial position etc., along with a declaration confirming the fulfilment of requirements of capital in accordance with the provisions of Regulation 10 and deposit requirements in accordance with the provisions of Regulation 22.	The corporate agent / individual agent who are corporate entities may follow the rules of Company Act and prepare their accounts except the following: A corporate agent incorporated exclusively for insurance intermediation is required to prepare the account books comprising of Balance sheet, Profit & loss Account, statement of cash/fund flow and any additional statements required by the authority for each financial year (April to March).The copy of the audited statements with auditors report is to be sent to the Authority before 30 th September for each financial year. Corporate agents whose principal business is other than insurance shall maintain segment wise reporting capturing the revenues received from insurance intermediation and other income from insurers”.
20.	Membership	
	Every insurance broker shall confirm that it is a member of the Insurance Brokers Association of India.	There is no such mandatory provision for corporate agents / individual agents.

SUMMARY



Needs of prospective client

The insurance agent and the broker have a responsibility to take into account the needs of the prospective buyer while giving advice. This responsibility is reflected in the following provisions:

(a) IRDAI Regulations for Agents / Corporate Agents

Regulation 8(1)(c) of IRDAI Licencing of Insurance Agents Regulations, 2000 and Regulation 7(2)(c) of IRDAI Licensing of Corporate Agents Regulations 2002, stipulate “Every insurance agent disseminate the requisite information in respect of insurance products offered for sale by his insurer and take into account the needs of the prospect while recommending a specific insurance plan.”

The agent should gather all information from the prospect and analyse his requirement through a process called ‘Fact Finding’ and then accordingly recommend a product which best suits the client’s requirement.

(b) IRDAI regulations for brokers

Under the Code of Conduct prescribed by IRDAI regulations for brokers it is stated that “Every insurance broker shall ensure that the policy proposed is suitable to the needs of the prospective client”. Hence, the intermediaries should take into account the needs of a prospect before recommending a particular insurance policy / product.

2. Understand the regulation for Intermediaries-WebAggregators.

[Learning Outcome b]

Regulations of the functioning of Web Aggregators

Web Aggregators compile and provide information about insurance policies of various companies on a website.

Brief relevant information (Web Aggregators) Regulations, 2013 amended 2017 [for details refer www.irda.gov.in]

i. Eligibility criteria for License of the Web Aggregator:

- a) For the grant of License /Renewal of license of the web aggregator, the applicant shall ensure the fulfillment of the conditions including but not limited to the following:
 - i) The applicant is a person as defined under regulation 2(i).
 - ii) The Memorandum of Association of the company or such other documents of applicants shall have the business of web aggregation of Insurance Products only as its main object.
 - iii) The applicant is not engaged in any other business other than the main object (Web Aggregation of Insurance Products) of the applicant;
 - iv) The applicant shall not be licensed/registered as an insurance agent, corporate agent, micro-insurance agent, TPA, surveyor, Loss assessor or any other Insurance Intermediary under the relevant Regulations framed by the Authority.
 - v) The applicant shall not have a referral arrangement with an Insurer.
 - vi) The applicant shall not be a related party of an insurer, insurance broker, corporate agent, micro-insurance agent, TPA, Surveyor or a loss assessor or other insurance intermediary at any time.
- b) The Principal Officer shall possess the qualification as specified in Schedule V.
- c) The Principal Officer of the Web Aggregator should have undergone 50 hours of training initially and 25 hours of renewal training at the end of every three years thereafter.
- d) The Principal Officer/Directors/Promoter(s)/Shareholders/Partners/Key Management Personnel should fulfill the conditions in the FIT and PROPER criteria notified by the authority from time to time.
- e) The web aggregator should not have violated the obligations as specified in Schedule VI and the code of conduct as specified in Schedule VII to these regulations.

The Authority is of the opinion that the grant of license will be in the interest of policyholders.

ii. Capital requirements

- a) The capital of the web aggregator shall be issued and subscribed in the form of Equity Shares where the web aggregator is a company registered under Companies Act, 1956.
- b) The web aggregator shall have a networth not less than Rupees twenty five lakh at all times.
- c) The Web Aggregator shall submit to the Authority a net worth status every half year. Every Insurance Web Aggregator shall review the status of the net-worth specified in sub-regulation (i) above, every half year as at 30th September, and 31st March every year and report non-compliance, if any, to the Authority within 15 days thereon and shall restore the requirements within 30 days thereafter and confirm compliance to the Authority.

The aggregate holdings of equity shares or contribution of the Insurance Web Aggregator by foreign investors, including portfolio investors, shall not exceed forty-nine per cent of paid up equity capital of Insurance Web Aggregator at any time or such foreign investment limit as prescribed by the Central Government.

For the purposes of the Act and these Regulations, the calculation of the holding of equity shares by one or more Foreign Investors in the applicant company, shall be as per details given in Form AA (Manner of calculation of equity capital held by foreign investors) of Schedule XII.

iii. Duties and Functions of web Aggregators.

- a) The Web Aggregator shall
 - i) Display Information, as per Regulation 13, pertaining to the Insurers who have signed agreement with the Web Aggregators.
 - ii) Carry out the activities for the purpose of Lead Generation for insurers.
 - iii) Ensure that the information systems, (both hardware and software) including the aggregation website(s)/portals, Lead Management System and the Data Centers hosting the website(s)/Portal(s)/Lead Management System are in compliance with the generally accepted information security standards and procedures in force in India from time to time.
 - iv) Ensure that the leads and other data is transmitted to the insurers and others using secured layer at an encryption technologies like 128 bit encryption.
 - v) Use only RBI licensed payment gateways for collection and transfer of premium to insurers when the web aggregator is authorized by the insurer to collect the premium on behalf of the insurer.
 - vi) Ensure to get the information systems (both hardware and software) including the aggregation website(s)/portals, Lead Management System and the Data Centers hosting the website(s)/Portal(s)/Lead Management System Audited by CERT-In panelled Information

Security Auditing organisations once in a financial year and submit a copy of the Audit Certificate /Report to IRDAI and the insurers with whom the web aggregator has entered into an agreement, within 15 days from the date of receipt of the same.

b) The Web Aggregators shall not:

- i) Display any information pertaining to products or services of other Financial institutions/FMCG or any product or service on the website.
- ii) Display advertising of any sort, either pertaining to any product or service including insurance product or service, other financial products or service/or any other product or service in the Web AggregatorsWebsite.
- iii) Operate multiple websites or tie up with other approved/unapproved/unlicensed entities/websites for lead generation/comparison of product etc. **subject to the following exceptions:**
 - a. Using multiple Domain names or same domain names with suffixes such as .com or .in or .org.in for the primary website of the Web Aggregator used for comparison of insurance products is allowed provided
 - b. The domain names of primary or secondary or product category specific websites or mobile sites are owned and registered in the name of the Web Aggregator.
 - c. The Web Aggregator should inform the Authority in writing about the date of Registration and also date of launching of domain names of such websites or mobile sites in the application for grant of license and thereafter within 15 days from the date of Domain Name Registration and Date of launching respectively in case of any change in the name(s) of the existing websites or new websites.
- iv) Operate the websites of other Financial/Commercial/marketing or sales or service entities or use other Social Mediasites etc. for comparison of products etc.
- v) Operate in any other manner for the purpose of transmitting leads to any entity engaged in insurance business except as provided under these Regulations.

c) Nomenclature of Web Aggregators

- i) All Web Aggregators shall have the word `Insurance Web Aggregator` or `Insurance Web Aggregators` in the name of the Insurance Broking Company to reflect its line of activity and to enable the public to differentiate IRDAI licensed insurance Web Aggregator from other non-licensed insurance related entities. The application of the new applicant companies making an application to seek the license to act as web aggregator shall not be considered in the absence of the compliance of the nomenclature requirement.

- ii) Every licensed insurance Web Aggregator shall display in all its correspondences with all stake holders its name registered with the Authority, address of the Registered and Corporate Office, IRDAI license number and validity period of the license.
- iii) Insurance web aggregators are not permitted to use any other name in their correspondence/literature/letterheads without the prior approval of the Authority.

iv. Agreement of Insurer with a Web Aggregator:

- (a) An Insurer desirous of obtaining leads from web aggregator shall enter into an “agreement” with the web aggregator approved by the Authority which shall necessarily include details relating to, though not limited to, the following:
 - i. Time-frame and mode of transmission of lead to be shared
 - ii. Onus of complying with regulatory and other legal requirements on both the parties to the agreement.
 - iii. Identifying the different data elements to be shared (viz., name of prospect/client (visit or of the website), contact details etc.)
 - iv. The time frame for providing the premium and feature tables of the agreed products to the Web Aggregator after concluding the agreement and keeping them up to date.
- (b) The agreement between an insurer and web aggregator shall be valid for a period of three years from its date, subject to the validity of license of web aggregator.

The web aggregator shall file the agreement with the Authority within fifteen days from the date of entering the agreement.

v. Display of product comparisons on the web site:

- a. Web aggregators shall disclose prominently on the home page, a notice that:
 - i. The Prospect’s/visitor’s particulars could be shared with insurers.
 - ii. “Insurance is the subject matter of solicitation”
 - iii. “the information displayed on this website is of the insurers with whom our company has an agreement”
- b. Product information displayed by web aggregators shall be authentic and be based solely on information received from insurers.
- c. Web aggregators shall not display ratings, rankings, endorsements or best sellers of insurance products on their website. The content of the websites of the web aggregators shall be unbiased and factual in nature; they shall desist from comment in on insurers or their products in their editorials or

- at any other location in their websites.
- d. Products will be categorized as
 - i. Life:
 - ii. Non-Life:
- e. Products under a category as mentioned above can be compared.
- f. Basic features of products may be compared, such as:
 - Eligibility criteria, Plan/Policy Term/Premium term/Min and Max SA /Age /Min & Max Maturity etc.
- g. Templates can be mutually worked out between the Web Aggregators and Insurers whose products are compared.
- h. Product comparisons that are displayed shall be upto date and reflect a true picture of the products.
- i. Web aggregators shall display product information purely on the basis of the information furnished to them by insurers.
- j. Web Aggregators can use published data for “Additional Information to Customers” based on IRDAI Data.
- k. Web Aggregators can integrate their websites with the insurers website for:
 - i. ONLINE Sale;
 - ii. Registration of Customer data or Proposal Form.

The categories of products stated under Reg. 13 (d) above may be specified from time to time by IRDA.

Remuneration.

Remuneration in any form shall be payable to web aggregators by insurers in compliance with the following provisions:

- a) Web aggregator will put in place a robust LMS and transmit leads to the insurers as outlined in Regulation 14 above. No charges should be paid for such leads by the Insurer.
- b) A flat fee of not exceeding Fifty thousand per year towards each product displayed by the web aggregator in the comparison charts of its website.
- c) Web Aggregator can undertake Outsourcing functions to provide ‘Insurance Services’ as per **Schedule IX** of these regulations in respect of policies procured through them. In such instances; the insurer may pay the web aggregators, reasonable service charges at rates fixed in the service agreements with the web aggregators.
- d) Web Aggregator can use the Telemarketing/Distance Marketing modes, as per the instructions outlined in Schedule X of these Regulations, for solicitation of Insurance based on the leads generated from its aggregation website.

The Remuneration paid by the Insurer towards a policy procured through such services of the Web Aggregator, including the remuneration paid towards procuring such a policy to any other insurance intermediary deployed by the insurer, shall not exceed the limits prescribed by the Authority from time to time in terms of the Sec.42-E of the Insurance Act, 1938.

Certification of Compliance

The Principal Officer of each Web Aggregator shall submit to the Authority, at the end of each financial year, a certificate confirming that the Web Aggregator has complied with all the provisions of these Regulations during the financial year.

3. Understand the regulation for Intermediaries- Insurance Marketing Firm.

[Learning Outcome c]

Regulations on the functioning of Insurance Marketing Firm

A new distribution channel - Insurance Marketing Firm is an entity registered by the Authority to solicit or procure insurance products as specified in regulation 3(a) of these regulations, to undertake insurance service activities as specified in regulation 3(b) of these regulations and to distribute other financial products as specified in regulation 3(c) of these regulations by employing individuals license dtomarket, distribute and service such other financial products.

"Insurance Sales Person" (ISP) is an individual employed by Insurance Marketing Firm to solicit or procure insurance products and who holds a valid certificate issued by the Authority for the purposes of the same.

Scope and applicability of these Regulations:

These regulations shall cover

- a) Registration of Insurance Marketing Firm by engaging ISP for the purpose of soliciting and procuring Insurance Products of two Life, two General and two Health Insurance companies at any point of time, under intimation to the Authority.

Provided that in respect of general insurance, the Insurance Marketing Firm shall be allowed to solicit or procure only retail lines of insurance products as given in the file & use guidelines namely motor, health, personal accident, house holders, shop keepers and such other insurance products approved by the Authority from time to time.

Provided further that any change in the engagement with the insurance companies shall be done only with the prior approval of the Authority and with suitable arrangements for servicing existing policyholders.

- b) Insurance Servicing Activities of the Insurance Marketing Firm by
 - 1) Under taking back office activities of insurers as allowed in the Guidelines on Outsourcing Activities by Insurance Companies issued by the Authority;
 - 2) Becoming approved person of Insurance Repositories;
 - 3) Undertaking survey and loss assessment work by employing on the irrolls licensed surveyor & loss assessors;
 - 4) Any other insurance related activity permitted by the Authority from time to time.

Explanation: For the purpose of these Regulations, the Insurance Marketing Firm shall undertake the insurance servicing activities in respect of only those insurance companies with whom they have an agreement for soliciting or procuring insurance products;

- c) Marketing of other financial products through the FSE engaged by the Insurance Marketing Firm namely:

Mutual funds of mutual fund companies regulated by SEBI;

- a. pension products regulated by PFRDA;
- b. other financial products distributed by SEBI licensed Investment Advisors;
- c. banking/financial products of banks/NBFC regulated by RBI;
- d. non-insurance products offered by Department of Posts, Government of India;
- e. any other financial product or activity permitted by the Authority from time to time.

Registration of Insurance Marketing Firm

Application for grant of Registration to Insurance Marketing Firm:

An Applicant desiring to obtain a Registration to act as an Insurance Marketing Firm shall follow the following procedure:-

- 1) Submit an application to the Authority in the Form A as specified in these Regulations.
- 2) Remit the non-refundable application fees of five thousand rupees plus applicable tax along with the application for grant of a registration.
- 3) Submit all the necessary documents as mentioned in detail in the application Form-A along with declaration of principal officer/directors/managing partners satisfying the fit & proper criteria in the prescribed form or as may be additionally prescribed by the Authority.
- 4) Submit copy of the Insurance Marketing Firm Exam pass Certificate of the Principal Officer and the ISPs proposed to be engaged by the Insurance Marketing Firm.
- 5) Submit copy of the surveyors and loss assessor license of the person proposed to be employed by Insurance Marketing Firm, if the Insurance Marketing Firm proposes to undertake any insurance survey and loss assessing assignments.
- 6) Submit copy of the approved person certificate of the Insurance Repository of the Insurance Marketing Firm.
- 7) Submit copy of the licenses or authorization or registration obtained by the FSE proposed to be employed by the Insurance Marketing Firm issued by SEBI, RBI, PFRDA, and Post Office for the line of activity proposed to be undertaken.

An application, submitted by the Applicant that is not complete in all respects and/or not conforming to the instructions specified in application form and/or not complying with the requirements and/or directions of the Authority, may be rejected.

Provided that, before rejecting any such application, the Applicant shall be given a reasonable opportunity to complete the application in all respects and rectify the errors, if any.

Consideration of application and eligibility criteria for Insurance Marketing Firm:

The Authority while considering an application for grant of a registration shall take into account, all matters relevant to carrying out of the functions by the Insurance Marketing Firm.

Without prejudice to the above, the Authority in particular, shall take into account the following, namely:-

- i) Whether any of the Directors, Partners, Principal Officer or one or more of its officers or other employees so designated by it and in the case of any other person, the chief executive by whatever name called, or one or more of his employees designated by him of the Applicant is suffering from any of the disqualifications specified under sub-section (5) of section 42D of the Insurance Act, 1938, as amended from time to time;
- ii) Whether any person, directly or indirectly connected with the Applicant, has been refused in the past the grant of any license or registration by the Authority.
Explanation:-For the purposes of this sub-clause, the expression “directly or indirectly connected” means in the case of a firm or a company or a body corporate, an associate, a subsidiary, or a group company of the Applicant. It is hereby clarified that these terms shall have the same meanings as ascribed to them in the Companies Act, 2013 (18 of 2013,) as amended from time to time or The Competition Act, 2002, as the case may be.
- iii) Whether the Applicant fulfils the capital adequacy requirements as specified in Regulation 6.
- iv) Whether the ‘Principal Officer, and ISP meet the criteria as laid down under Schedule I, Schedule II and Schedule III as applicable.
- v) Whether the Applicant has the necessary infrastructure like adequate office space earmarked for its Insurance Marketing Firm activities, equipment and trained manpower to effectively discharge its activities.
- vi) Whether the Applicant has in its name the word “Insurance Marketing Firm”.
- vii) Whether the Applicant which is also engaged in activities other than insurance activities, has necessary approvals/authorizations from respective authorities;
- viii) Whether the Authority is of the opinion that the grant of registration will be in the interest of policy holders and other clients.

Capital Requirements of Insurance Marketing Firm:

The Applicant shall have a networth of not less than ten lakh rupees.

Explanation: For the purposes of these regulations, “networth” shall have the meaning assigned to it in Companies Act 2013 and as amended from time to time.

The Applicant shall ensure that the networth is maintained at all times and Insurance Marketing Firm shall submit a certificate duly certified by a chartered accountant to this effect annually within three months from the close of the financial year.

The aggregate holdings of equity shares or contribution of the Insurance Marketing Firm by a foreign investors, including portfolio investors, do not exceed forty-nine percent of paid up equity capital or contribution of the Insurance Marketing Firm at any time. For the purposes of these regulations, the calculations of foreign investment shall be made in the same manner as specified in the Insurance Regulatory and Development Authority (Registration of Indian Insurance Companies) Regulations, 2000 for an insurer, as amended from time to time.

Principal Officer of the Insurance Marketing Firm:

The Insurance Marketing Firm shall designate a Principal Officer who shall be the overall in charge and shall be responsible for regulatory compliance to the Authority.

The eligibility criterion for the Principal Officer is specified in Part I of Schedule I of these Regulations as given below:

- (a) Associate/Fellow of the Insurance Institute of India, Mumbai; or
- (b) Associate/Fellow of the Institute of Actuaries of India; or
- (c) Associate/Fellow of Chartered Insurance Institute, London; or
- (d) Post graduate qualification of the Institute of Insurance and Risk Management, Hyderabad; or
- (e) Graduate with Insurance experience of five years preceding the year in which the application is made; or
- (f) Graduate with 10 years of experience in financial services sector or preceding the year in which the application is made.

The Training and Examination procedure for the Principal Officer is specified in Part II of Schedule I of these Regulations as mentioned below:

- (a) The Principal Officer shall undergo Fifty Hours of Insurance Marketing Firm training from an institution recognized by the Authority, and should pass an examination, at the end of the period of training, conducted by the Examination Body recognized by the Authority.
- (b) In case the Principal Officer of the Insurance Marketing Firm possesses any one of the following qualifications, then he/she shall undergo Twenty Five Hours of training and pass the examination:

- (i) Associate/Fellow of the Insurance Institute of India, Mumbai;or
 - (ii) Associate/Fellow of the Institute of Actuaries of India;or
 - (iii)Associate/Fellow of Chartered Insurance Institute, London;or
 - (iv)Post graduate qualification of the Institute of Insurance and Risk Management, Hyderabad.
- (c) The Training Methodology and Examination procedure applicable for Principal Officer is specified in Schedule III of these Regulations.
- (a) **The Fit and Proper criteria** applicable to the Principal Officer is specified in Part III of Schedule I of the Regulations and , if he fulfills the conditions, including, but not limited to the following criteria
- (i) financial integrity;
 - (ii) absence of convictions or civil liabilities;
 - (iii) competence;
 - (iv) good reputation and character;
 - (v) efficiency and honesty;and
 - (vi) absence of any disqualification to act as an intermediary as stipulated in the Act, as amended from time to time.
- (b) An Applicant shall be considered as “NOTFit and Proper” for the purpose of grant or renewal of registration to act as an Insurance Marketing Firm or to continue to act as an Insurance Marketing Firm under any one or more of the relevant regulations,if he attracts any of the following:
- (i) the Principal Officer or the Insurance Marketing Firm, or its whole time director or managing partner has been convicted by a Court for any offence involving moral turpitude, economic offence, securities laws or fraud;
 - (ii) an order for winding up has been passed against the Insurance Marketing Firm;
 - (iii) the principal officer or the Insurance Marketing Firm, or its whole time director, or managing partner has been declared insolvent and has not been discharged;
 - (iv) an order, other than an order of suspension of certificate of registration as an Insurance Marketing Firm, restraining, prohibiting or debarring the principal officer or the Insurance Marketing Firm, or its whole time director or managing partner from dealing in Insurance solicitation or other insurance service activity has been passed by the Authority or any other regulatory authority and a period ofoneyearfromthedata of the expiry of the period specified in the order has not elapsed;
 - (v) the Principal Officer or the Insurance Marketing Firm, is financially not sound;

- (vi) any other reason, to be recorded in writing by the Authority, which in the opinion of the Authority, renders such Principal Officer or the Insurance Marketing Firm, or its whole time director or managing partner unfit to function as an Insurance Marketing Firm.
- (c) The Principal Officer shall furnish the 'FIT and Proper Form' prescribed, along with the application for grant of new or renewal of existing registration to function as an Insurance Marketing Firm.

The **General Eligibility Criterion and norms** applicable to the Principal Officer are specified in Part IV of Schedule I of the Regulations as eligible if they fulfill the following conditions:-

- a. should not suffer from any of the disqualifications specified under sub-section (5) of section 42D of the Act, as amended from time to time;
- b. the principal officer of the applicant should have undergone training and passed examination as specified by the Authority;
- c. the principal officer of the applicant should have not violated the duties and responsibilities as specified by the Authority;
- d. should comply with all the applicable provisions of the:
 - (i) Act, as amended from time to time, the IRDAI Act, 1999, and the rules, regulations, circulars or guidelines, as applicable, issued by IRDAI from time to time.
 - (ii) Securities and Exchange Board of India (Investment Advisers) Regulations, 2013.
 - (iii) Securities and Exchange Board of India (Certification of Associated Persons in Securities Markets) Regulations 2007.
 - (iv) Regulations issued by other regulatory/statutory/Government Authorities such as SEBI, PFRDA, RBI, Post Office wherever applicable.

Certification for ISP and FSE of the Insurance Marketing Firm:

The Certification requirements for marketing insurance and financial products for ISP and FSE respectively in the Insurance Marketing Firm are specified in Part I of Schedule II of these Regulations.

The Qualifications and Eligibility criterion for the ISP of the Insurance Marketing Firm is specified in Part II of Schedule II of these Regulations.

The Training, Examination and Certification procedure for the engagement of the ISP of the Insurance Marketing Firm is specified in Part III of Schedule II of these Regulations.

The requirements for the engagement of FSE for marketing financial products are enumerated in Part IV of Schedule II of these Regulations.

The Code of Conduct for the ISP and FSE is specified in Schedule IX of these Regulations.

Insurance Marketing Firm may engage the same person for sale of both insurance and other financial products, if he meets the qualification criteria and certification requirements as laid out in these Regulations.

Conditions of grant of registration to Insurance Marketing Firm:

The registration granted under regulation 10 shall, inter alia, be subject to the following conditions:-

The Insurance Marketing Firm registered under these regulations shall be permitted to solicit and procure insurance products of two life, two general and two health insurance companies only;

The Insurance Marketing Firm shall comply with the provisions of the Act, as amended from time to time, Insurance Regulatory and Development Authority Act, 1999 and the Regulations, Circulars, Guidelines and any other instructions issued there under;

The Insurance Marketing Firm shall forth within form the Authority in writing, if any information or particulars previously submitted to the Authority by them are found to be false or misleading in any material particular or if there is any material change in the information already submitted;

The insurance marketing firm shall take adequate steps for redressal of grievances, of the clients within 15 days of receipt of such complaint and keep the Authority informed about the number, nature and other particulars of the complaints received from such clients in a manner as may be prescribed by the Authority as may be notified separately;

The Insurance Marketing Firm shall solicit and procure reasonable number of insurance policies commensurate with their size and the number of ISPs they employ.

The Insurance Marketing Firm under no circumstance shall undertake multi-level marketing;

The Insurance Marketing Firm shall ensure compliance of Code of Conduct applicable to ISPs, FSEs and of all other insurance service activities undertaken by them;

The insurance marketing firm shall comply with the requirements/conditions/regulations of other regulatory/statutory authorities.

Period of validity of registration of the Insurance Marketing Firm:

The registration issued under these Regulations shall be valid for a period of three years from the date of its issue, unless it is suspended or cancelled by the Authority.

The registration issued by the Authority can be suspended or cancelled by the Authority for any of the reasons stated in Schedule VIII of these Regulations.

In case the Authority suspends or cancels the registration of the Insurance Marketing Firm, the Insurance Marketing Firm shall cease to solicit new insurance business and continue to service the existing policies for a period of six months within which suitable arrangements shall be made by Insurance Marketing Firm for having the contracts attended to and serviced by respective insurers or by another Insurance Marketing Firm registered to operate in that jurisdiction as may be approved by the Authority.

No Insurance Marketing Firm is allowed to function as such after the expiry of registration unless it is renewed by the Authority. They shall not engage any person without a valid registration for the purposes of carrying out the functions of Insurance Marketing Firm.

Duties and Obligations of Insurance Marketing Firm towards ISP

1. Insurance Marketing Firm, on obtaining the registration from the Authority, may enter into agreement with Insurance companies for carrying out Insurance Business activity.
2. Insurance Marketing Firm shall engage licensed ISP and FSE on salary and incentive basis.
3. Insurance Marketing Firm shall include the relevant conditions and clauses in the agreement with the ISP engaged by the firm on matters relating to—
Engagement with the Insurance Marketing Firm
 - a. Prescribed code of conduct,
 - b. Sales processes/rules etc.
 - c. Remuneration
 - i) The remuneration payable to ISP by the Insurance Marketing Firm, for solicitation and procurement of policies by the ISPs shall be on salary and incentive basis.
 - ii) In addition to the minimum amount specified (Sch.IV, Part II) above, the Insurance Marketing Firm, depending upon ISPs performance can pay him additional incentives, which are declared up front and form part of the employment agreement between him and the Insurance Marketing Firm.
 - d. The Insurance marketing Firm under no circumstances can dismiss the ISP from employment during the period of the registration, except as allowed under Reg. 27 (2) (b).
 - e. Any change of employer by the ISP shall be at the time of renewal of the registration of the Insurance Marketing Firm or by way of resignation submitted to the Insurance Marketing Firm subject to fulfillment of conditions as laid down in regulation 27(2) (b) of these regulations.

4. Insurance Marketing Firm shall assist the individuals intending to become ISPs to undergo the prescribed training and certification.
5. Insurance Marketing Firm shall ensure continuous monitoring of the activities of the ISP and be responsible for the compliance of these Regulations and the code of conduct by ISPs.

Duties and Obligations of Insurance Marketing Firm towards Authority

The Insurance Marketing Firm shall

- a. Undertake to immediately notify the Authority in writing within 30 days of:
 - i. any change in the status of registration with regard to scope of activities of the Insurance Marketing Firm issued by the Authority;
 - ii. any change in the status of registration of the ISP issued by the Authority;
 - iii. any change in the status of registration of any FSE holding the registration of any other regulator employed by the Insurance Marketing Firm;
 - iv. any change in its constitution (including shareholding change), ownership, directors/partners;
 - v. any disciplinary proceedings or investigation by any other regulatory/statutory Authority.
- b. Ensure that ISPs responsible for solicitation of insurance business shall be competent, qualified, have undergone the required training and passed the examination as specified by the Authority;
- c. Not divulge any confidential information about its client, which has come to its knowledge, without taking prior permission of its clients, except where such disclosures are required to be made in compliance with any law for the time being in force.
- d. Adhere to the IRDAI (Advertisement & Disclosure) Regulation, 2000, as applicable to intermediaries as amended from time to time and take measures to enhance the awareness of insurance.
- e. Display at their place of work/office, details of the registration issued by the Authority such as, date of issue of registration and its validity, and list of permitted business activities, grievance handling process, list of ombudsman and such other relevant information as may be required under other applicable statute.
- f. Comply with all applicable provisions under the Act, as amended from time to time, including rules, regulations, circulars and guide lines issued by Authority from time to time.
- g. Perform its duties, functions in accordance with terms of the registration in a manner that they do not work as fronting arrangements or a franchise institution and shall act in the public interest and in fiduciary capacity be

accountable for the omissions and commissions of their own employees/persons engaged by them, in case of violations committed by such employees/persons;

- h. Maintain a Professional Indemnity Insurance Cover as required under Regulations;

Duties and Obligations of Insurance Marketing Firm towards Insurance Companies

Insurance Marketing Firm, on obtaining the registration from the Authority under Sec. 42D of the Act, as amended from time to time, to act as an insurance intermediary, may enter into agreements with Insurance companies for carrying out Insurance Business activity. The Agreement shall include conditions relating to.

- (a) Engagement with the Insurance Marketing Firm
- (b) Prescribed code of conduct,
- (c) Sales processes/rules etc.
- (d) Remuneration basis
- (e) Minimum term
- (f) Sharing of records
- (g) Product training
- (h) Collection of premiums through Reserve Bank of India (RBI) recognized mode of payments and as mutually agreed between the IMF and the insurer in the agreement.

4. Understand the regulation for Intermediaries-CSC-SPV.

[Learning Outcome d]

CSC-SPV -

Common Services Centres Scheme - Special Purpose Vehicle

"As per the CSC Scheme policy, a Special Purpose Vehicle (SPV) has been formed, so that the Government can progressively migrate to an e-Governance platform and enable services through the CSC network. The CSC SPV which is named as "CSC e-Governance Services India Ltd" has been incorporated under the Companies Act 1956 on 16th July 2009. The Company has also received the Certificate for Commencement of Business on 12th August 2009. The shareholders of the SPV include Government of India through 1 Golden share, State Governments - up to 44.5 % shares, SCAs - up to 44.5 % shares and Financial Institutions - up to 11 % shares.

The SPV is proposed to adopt various roles. At the basic level, the SPV is conceptualized to monitor the CSC Scheme and its outcomes on behalf of the Government at the National and State levels. In brief, key roles would include:

- Facilitating Government Outreach through CSCs
- Providing a standardized monitoring framework for collaborative decision making process with State Governments and SCAs
- Catalyzing and maintaining content aggregation on an on-going basis
- Enabling Government functioning through the CSCs
- Facilitating G2C Service Readiness
- Monitoring the outcomes being achieved by the CSC
- Building Capacity of all stakeholders
- Facilitating in Deployment of Services
- Looping Best Practices

5. Understand the regulation for Intermediaries-Point of Salesperson (POS).

[Learning Outcome e]

Point of Sales person (PoS)

As IRDAI observed that there are number of persons who are involved in undertaking simple and routine activities pertaining to solicitation and marketing of insurance policies. For e.g. bulk of products in motor insurance, travel insurance, personal accident insurance, etc. require very little underwriting. These happen to be largely pre-underwritten products wherein based on the information provided by the prospect, the insurance policy is automatically generated by the system. The intervention required for such a product is minimal and the training and examination for such persons could be of a lesser degree.

In order to facilitate the growth of insurance business in the country and to enhance insurance penetration and insurance density, the Authority as part of its developmental agenda issues the following guidelines on “Point of Sales Persons”.

i. Scope and Applicability of these guidelines

These guidelines shall apply to “Point of Sales Person” and those engaging “Point of Sales Person”.

ii. Definition

“Point of Sales Person” means an individual who possess the minimum qualifications, has undergone training and passed the examination as specified in these guidelines and solicits and markets only certain pre-underwritten products approved by the Authority.

iii. Point of Sales Person

1. There shall be two types of persons who shall solicit and market insurance policies namely:
 - a. Insurance agent or specified persons of corporate agent or broker trained persons for soliciting and marketing insurance policies or insurance sales persons of Insurance Marketing Firm or rural authorised persons of CSC-SPV or authorised person of web aggregators who can solicit and market all types of insurance policies.
 - b. “Point of Sales Person” who can solicit and market only certain pre-underwritten products approved by the Authority.
2. Every “Point of Sales Person” shall be identified by his Aadhaar Card Number or his PAN Card.
3. The persons soliciting and marketing such pre-underwritten products approved by the Authority shall be called as “Point of Sales Person”.
4. The “Point of Sales Person” shall be atleast 10th pass.
5. He shall be sponsored to NIELIT (National Institute of Electronics and Information Technology), by the insurance company or the insurance intermediary with whom he shall work, for undergoing online training specified for “Point of Sales Person”.

6. The fees for the online training and examination shall not exceed Rs five hundred which will be paid to NIELIT by either the insurance company or the insurance intermediary who is sponsoring the individual.
7. The training module will be hosted on NIELIT website as approved by the Authority.
8. He shall appear in the online examination conducted by NIELIT who shall be the examining body.
9. On successful passing the examination, he will be issued a letter by NIELIT certifying him to be a “Point of Sales Person”.

iv. Appointment of Point of Sales Person

1. An insurance company or an insurance intermediary can engage a “Point of Sales Person” to represent him.
2. A “Point of Sales Person” can represent an insurance company or an insurance intermediary.

v. Products solicited and marketed by “Point of Sales Person”

1. The “Point of Sales Person” can sell only the following pre-underwritten product.
 - a) Motor Comprehensive Insurance Package Policy for Two-wheeler, private car and commercial vehicles.
 - b) Third party liability (Act only) Policy for Two-wheeler, private car and commercial vehicles.
 - c) Personal Accident Policy
 - d) Travel Insurance Policy
 - e) Home Insurance Policy
 - f) Cattle/Live Stock
 - g) Agricultural Pump Set Insurance
 - h) Fire and Allied Peril Dwelling Insurance
 - i) Crop Insurance (Government Insurance Schemes Such as Pradhan Mantri Fasal Bima Yojana(PMFBY), Weather Based Crop Insurance Scheme (WBCIS) & Coconut Palm Insurance Scheme (CPIS) without any limit on sum insured
 - j) Government insurance schemes such as Pradhan Mantri Jeevan Suraksha Bima Yojana (PMJSBY) without any limit on sum Insured.
 - k) Pure Term Insurance Product with or without return of premium.
 - l) Non-linked (Non-Participating) Endowment product
 - m) Immediate Annuity Product
 - n) Any other Policy specifically approved by the Authority
2. Every policy sold through the “Point of Sales Person” shall be separately identified and pre-fixed by the name “POS - (name of product)”.
3. The insurance company shall file the product with the Authority under the file use guidelines for information.

vi. Tagging of Proposal Form and Insurance Policy to Point of Sales Person

1. Every proposal form, in paper or in paperless form, insurance policy and other related documents shall carry provision to record the Aadhaar card number of the PAN card number in order to tag the policy to the “Point of Sales Person” who is selling the said policy.
2. The insurance company shall be responsible to record the Aadhaar card number or the PAN card number of the “Point of Sales Person” in the proposal form and insurance policy. The insurance company shall be responsible for the conduct of the “Point of Sales Person” representing him and any misconduct on part of the Point of Sales Person shall make it liable to a penalty as per provisions of Section 102 of the Act.
3. For sales effected through the insurance intermediary, the insurance intermediary shall record the Aadhaar card number or the PAN card number of the “Point of Sales Person” in the proposal form and require insurance company to do the same in the insurance policy. The insurance intermediary shall be responsible for the conduct of the “Point of Sales Person” engaged by it and any misconduct on part of the Point of Sales Person shall make it liable to a penalty as per provisions of Section 102 of the Act.
4. One of the factors that shall be considered while renewing the certificate of registration of the insurance intermediary, shall be the conduct of the “Point of Sales Person” on the rolls of insurance intermediary.

vii. Compliance

1. The insurance companies and insurance intermediaries shall make suitable changes in their policy administration system to capture the Aadhaar Card number or the PAN card number details of the “Point of Sales Person”.
2. The “Point of Sales Person” when engaged by the insurer shall place business with that insurer subject to compliance of rules and procedures of that insurance company.
3. The Authority shall specify the format and the manner of maintaining returns which the insurance company and the insurance intermediary shall maintain in electronic form which can be accessed by the Authority on a remote location basis. The formats shall give the number of policies sold and the premium collected by the “Point of Sales Person” on a monthly basis.

6. Understand the regulation for Intermediaries - Insurance Repositories.

[Learning Outcome f]

Insurance Repositories

Objective and Utilization of Insurance Repository System

The objective of creating an insurance repository is to provide policy holders a facility to keep insurance policies in electronic form and to undertake changes, modifications and revisions in the insurance policy with speed and accuracy in order to bring about efficiency, transparency and cost reduction in the issuance and maintenance of insurance policies.

Definitions-

- "Insurance Repository" or "IR" means a company formed and registered under the Companies Act, 2013 or other entity and which has been granted a certificate of registration under these Guidelines by the Authority.
- "e-Insurance Account" or "eIA" is an electronic account opened by a person with an insurance repository wherein the portfolios of insurance policies of a policyholder are held in an electronic form.
- "E-insurance policy" shall mean a policy document which is an evidence of insurance contract issued by an insurer digitally signed in accordance with the applicable provision prescribed by law and issued in an electronic form either directly to the policy holder or through the platform of registered Insurance repository.
- "Insurance Transactions Exchange or "iTrex" is a central index server that offers de-duplication services and acts as a messaging hub between entities creating eIAs, electronic policies and their servicing.

"Shell-InsuranceAccount" or "s-IA" is an electronic account wherein the brief portfolio of insurance policies of policy holders (including prospective) like Name, Date of Birth, address and policy number is held in an electronic form with iTrex.

Eligibility norms for setting up an Insurance Repository

- (a) The Authority shall not consider an application for insurance repository, unless the applicant belongs to one of the following categories, namely:-
- i. A public limited company registered under the Companies Act, 2013 with a minimum share capital of Rs 5 lakhs;
 - ii. A public financial institution as defined in section 4A of the Companies Act, 2013;
 - iii. A wholly owned subsidiary of an existing depository registered with Securities and Exchange Board of India under the Depositories Act, 1996
 - iv. A company fully promoted by either life insurance council or general insurance council or by both together or jointly with any of the above.

- v. A Strategic Business Unit (SBU) of the eligible institutions listed (i) to (iv) above shall also be eligible to make an application for registration. However, within a period of two months from the grant of registration, the applicant shall convert itself into a company registered under Companies Act, 2013.
 - vi. Further, an Insurance Repository that is granted "Certificate of Registration" and is still an SBU at the time of notification of these guidelines shall be required to convert itself into a Company registered under Companies Act, 2013 within two months from the date of these guidelines to continue as an "Insurance Repository".
 - vii. The applicant as above shall have the words "insurance repository" in its name to reflect the line of activity it shall undertake.
 - viii. Further, an Insurance Repository that is granted "Certificate of Registration" and still does not have the words "insurance repository" in its name shall be required to incorporate them within two months from the date of these guidelines to continue as an "Insurance Repository".
 - ix. Any other institution as may be permitted by the Authority
- (b) One of the main objects of the company shall be to act as an insurance repository of "a-insurance policies" issued by insurers and to undertake changes, modifications and revisions in such a-insurance policies as may be authorized by the Insurers based on requests by the policyholders.
 - (c) The Net Worth of the applicant, on grant of in-principle approval by the Authority, shall be at least Rs 25 Crores.
 - (d) The applicant or its promoters shall have demonstrable competence and experience of similar activities, volumes and technology.
 - (e) The applicant or its promoters shall have proven financial and organizational strength to undertake and execute the project.
 - (f) The applicant shall have no foreign direct investment.

The applicant or its promoters shall have no conflict of interest with insurance business at the time of the registration and at all times thereafter. No insurance company shall hold more than 10% of the paid-up capital of the applicant company/IR or hold managerial, executive, directorial, advisory or any other position whether permanent or temporary in the IR. An IR already granted "Certificate of Registration" shall take necessary steps to comply with this requirement within two months from the date of these guidelines.

Conditions for Grant of certificate of registration

- (a) After considering the application under Clause 6, with reference to the eligibility norms specified in Clause 4, examining the report on physical verification under clause 10 and affidavit filed under Clause 9, the Authority if it is satisfied that the company is eligible to act as an insurance repository, may grant it a certificate of registration valid for a period of 3 years in Form – Insurance Repository -2 (Annexure-2) subject to the following, namely:-

- i) The insurance activities that are permitted under these guidelines which are undertaken by the applicant shall be under the sole supervision of the Authority with no conflict with the supervisory role of other regulatory bodies.
- ii) Any transfer of shares exceeding 5% of the paid up capital in the applicant company shall require prior approval of the Authority.
- iii) The insurance repository or its approved person shall not engage in insurance solicitation or in any of insurance related activities and services.
- iv) Provided that any IRDAI registered entity may act as approved person and continue to perform the activities as permitted in such registration.
- v) The IR shall engage only in the activities specifically allowed under these guidelines
- vi) The insurance repository shall comply with the provisions of the Insurance Act, 1938, the IRDAI Act, 1999, the Regulations made there under, guidelines and circulars issued by the Authority from time to time;

Policies sourced via electronic route:

- a. All Insurance policies sold online or through Web-Aggregators or Common Service Centers through electronic mode shall also be made available in electronic form.
- b. In all such cases, the provision to open an eIA account shall be made available by the Insurer. Where such eIA account is opened by the policyholder, Insurer shall provide Basic services through the IR.
- c. The Insurer shall clearly indicate in his website the IRs with whom; he has an arrangement for opening such eIAaccounts.
- d. Even if the Insurer does not have any arrangement with any of the IRs, he shall provide all these rvices as enunciated at sub clause (a) above through his own arrangement.
- e. However no cost can be charged by the insurers on the policyholder for providing any of these services.
- f. No wet signature is needed for crediting of policies through this route.
- g. The SOP relating to the process adopted here is annexed (Annexure-5) to these guidelines.

Standard Operating Procedures:

- a) The Authority may prescribe such SOP for IT and non-IT processes as may be needed for the implementation of the IR system.
- b) The current levels of SOPs are annexed (Annexure-5) to these guidelines.

The prescriptions of the Authority shall be binding on all parties concerned.

Agreement between Insurers and Insurance Repository

- (a) An Insurer shall enter into an agreement with one or more Insurance Repositories for maintaining the electronic insurance policies of their respective policyholders.

- (b) Such agreement shall provide the scope of services to be covered by the IR.
- (c) The contents of the agreements should therefore include sections on
 - i) scope of services such as Basic, Premium and others,
 - ii) role of various parties,
 - iii) non-disclosure provisions,
 - iv) cost of additional/optional services provided on behalf of Insurers,
 - v) inspection/audit of the IR systems by the insurers,
 - vi) Turn Around Times,
 - vii) Tenure of the agreement,
 - viii) Limitation of liability etc.
- (d) An agreement referred herein shall be in such form as may be specified by the Authority, if any, from time to time.
- (e) A copy of the agreement entered into between the insurance repository and the insurer or any modification thereof, shall be filed, within 15 days of its execution or modification, as the case may be, with the Authority.
- (f) The parties to the agreement shall agree between themselves on the scope of the contract and the facilities that have to be provided. Such an agreement shall also prescribe the remuneration that may be payable to the Insurance Repository by the Insurer.
- (g) Any change in the agreements owing to the new guidelines will have to be affected within a period of three months from the date of issuance of these guidelines and same shall be filed with the Authority.

Issuance of electronic Insurance Policies

- (a) At the option of a policyholder, either as part of proposal form or through online request, an insurer shall issue the insurance policies in an electronic form.
- (b) It will be mandatory for the prospect policy holder to have an eIA account for making such request. Provided that the prospect as per (a) above can simultaneously apply for eIA and electronic policy.
- (c) The Insurer on such request from the prospect shall issue an electronic policy for all such cases for which it is mandatory as specified in clause 20(a) (iv) of these guidelines.
- (d) The Insurer, subject to F & U guidelines, may offer discount in premium in respect of those policies maintained only in electronic form.
- (e) Where policies are issued only in electronic form, it shall be mandatory that they shall be maintained by an Insurance Repository. Insurers who are providing electronic policies on their own platform shall also issue physical copy.
Provided that the Authority may exempt, certain classes of policies to be issued in electronic form without routing through the IR system.
- (f) In all cases where an insurer has difficulty owing to the prevailing law/regulatory regime or for other reasons such as lack of subsisting arrangement with an IR in issuing only electronic policies, any request for electronic policy may be addressed by issuing policies in both the electronic

and physical modes.

The manner in which an electronic policy will be issued is annexed (Annexure-5) to these guidelines

Obligations of Insurers

- (a) Every Insurer shall mention in the policy records and claim records maintained in accordance to Section 14 of Insurance Act, 1938, the form of the policy document and the name of the insurance repository who is keeping the same.
- (b) In order to comply with the provisions of Section (14) of Insurance Act, 1938, the policies maintained in the data of insurance repository shall simultaneously form part of the record of policies I claims maintained by insurers.
- (c) Every insurer shall, at least, once in a quarter shall reconcile the data of insurance policies held by the insurance repository with those maintained in its policy records as prescribed under the appendix on "Electronic Data Exchange".
- (d) The Insurer may delegate certain policy services as enunciated in clause 34 to the insurance repository and where delegated, it shall forward the framework of the policy services including the specific timelines, to the insurance repositories for effective policy servicing.
- (e) In respect of policy services that are not permitted to be delegated, the insurers shall on affecting the policy service shall inform the insurance repository to carry out the changes or for updating the records, if any.
- (f) It shall be the duty of the insurer to update information in the insurance repository within reasonable time for the transaction processed by them.
- (g) The Insurer shall forward the terms and conditions that form part of an insurance product and policy to the insurance repository for uploading the same in its portal.

Training and Examination requirements for insurance agents and insurance intermediaries

Annexure

S.No	Intermediary	Person	Training Body	Examination Body	Training Duration	Syllabus	Passing Marks
1	Agent		Company	Ill, Mumbai	Fresh 2S hrs	Renewal NA	35%
2	Web Aggregators	Principal Officer	Insurance Institute of India, Mumbai	Insurance Institute of India, Mumbai	50 hrs/2S hrs	IC-38	50%
		Authorised Verifier	Insurance Institute of India, Mumbai	Insurance Institute of India, Mumbai	50 hrs/2S hrs	IC-38	35%
3	Corporate Agent	Principal Officer	Insurance Institute of India, Mumbai	Insurance Institute of India, Mumbai	50 hrs/2S hrs	IC-38	50%
		Specified Person	Insurance Institute of India, Mumbai	Insurance Institute of India, Mumbai	50 hrs/2S hrs	IC-38	35%
		Authorised Verifier	Insurance Institute of India, Mumbai	Insurance Institute of India, Mumbai	50 hrs/2S hrs	IC-38	35%
4	Insurance Marketing Firm	Principal Officer	Insurance Institute of India, Mumbai	Insurance Institute of India, Mumbai	50 hrs/2S hrs	IC-38	50%
		Insurance Sales Person	Insurance Institute of India, Mumbai	Insurance Institute of India, Mumbai	50 hrs/2S hrs	IC-38	35%
5	CSC-SPV	Principal Officer	NIELIT, New Delhi	NIELIT, New Delhi	20 hrs	CSC-SPV	50%
6	Point of Salesperson	VLE-RAP	NIELIT, New Delhi	NIELIT, New Delhi	20 hrs	CSC-SPV	35%
			NIELIT, New Delhi	NIELIT, New Delhi	20 hrs	CSC-SPV	35%
7	Brokers	Principal Officer	Insurance Institute of India, Mumbai	National Insurance Academy, Pune	50 hrs/2S hrs	Brokers	50%
		Broker Qualified Person	Insurance Institute of India, Mumbai	National Insurance Academy, Pune	50 hrs/2S hrs	Brokers	50%
		Authorised Verifier	Insurance Institute of India, Mumbai	National Insurance Academy, Pune	50 hrs/2S hrs	Brokers	35%

7. Understand the regulation for Third Party Administrators (TPA).

[Learning Outcome g]

Regulations on the functioning of Third Party Administrators (TPA) [(ThirdPartyAdministrators-HealthServices) Regulations, 2016]

Health insurance is any health plan that pools resources up front by converting unpredictable medical expenses into a fixed health insurance premium. It also centralizes funding decisions on health needs of a policyholder. This covers private health plans as well as medicaid policies.

TPAs were introduced by the IRDAI in the year 2001. The core service of a TPA is to ensure better services to policyholders.

Their basic role is to function as an intermediary between the insurer and the insured and facilitate cash less service at the time of hospitalisation.

Insurance companies (insurers) can now outsource their administrative activities, including settlement of claims, to third party administrators, who offer such services for a cost. The insurers remunerate the TPAs; hence, policyholders receive enhanced facilities at no extra cost. Once the policy has been issued, all the records will be passed on to the TPAs and all further correspondence of the insured will be with the TPAs and not with the insurance companies.

In these regulations, unless the context otherwise requires

- A. "Act" means the Insurance Act, 1938 as amended from time to time.
- B. "Advisory Committee" means the Advisory Committee constituted under Section 25 of the Insurance Regulatory and Development Authority Act, 1999;
- C. "Applicant" means an applicant seeking registration or renewal as Third Party Administrator under these regulations;
- D. "Authority" means the Insurance Regulatory and Development Authority of India established under sub-section
 - a. of section 3 of Insurance Regulatory and Development Authority Act, 1999;
- E. "Health Services by TPA" means services mentioned in Regulation 3 of these Regulations.
- F. "Cashless facility" means a facility extended by an insurer to an insured where the payment of the costs of treatment undergone by the insured in accordance with the policy terms and conditions is directly made to the network provider by the insurer to the extent of approved pre-authorization.
- G. "Form" means the relevant form as may be specified by the Authority under these regulations;
- H. "Health Insurance Business"; as defined in Section 2 (6C) of the Act.
 - a. Services Agreement" means an agreement prescribing the terms and conditions of services which may be rendered to the holders of health insurance policies of any Insurer and may be entered into between:

- i. a Third Party Administrator (TPA) and an insurer; or
- ii. a Network provider and an insurer; or
- iii. a Network provider, a TPA and the insurer.
- "Inspecting authority" mean one or more officers of the Authority or any other individual, firm, person or persons appointed by the Authority to carry out inspection of TPA.
- "Specified" means specified by the Authority from time to time, by issue of Circulars, guidelines or instructions for the purpose of these regulations on matters listed in Schedule - I or any other matter which is required to be specified by the Authority under these regulations.
- "Third Party Administrator (TPA)", means a company registered with the Authority, and engaged by an insurer, for a fee or remuneration, by whatever name called and as may be mentioned in the agreement, for providing health services as mentioned under these Regulations.

Health services by TPA:

- (a) A TPA may render the following services to an insurer under an agreement in connection with health insurance business:
 - 1) Servicing of claims under health insurance policies by way of pre-authorization of cashless treatment or settlement of claims other than cashless claims or both, as per the underlying terms and conditions of the respective policy and within the framework of the guidelines issued by the insurers for settlement of claims.
 - 2) Servicing of claims for Hospitalization cover, if any, under Personal Accident Policy and domestic travel policy.
 - 3) Facilitating carrying out of pre-insurance medical examinations in connection with underwriting of health insurance policies:
 - a. Provided that a TPA can extend this service for life insurance policies also
 - 4) Health services matters of foreign travel policies and health policies issued by Indian insurers covering medical treatment or hospitalization outside India
 - 5) Servicing of health services matters of foreign travel policies issued by foreign insurers for policyholders who are travelling to India:
 - a. Provided that such services shall be restricted to the health services required to be attended to during the course of the visit or the stay of the policyholders in India.
 - 6) Servicing of non-insurance healthcare schemes as mentioned in Regulation 22 (3) of these Regulations
 - 7) Any other services as may be mentioned by the Authority.
- (b) While performing the services as indicated at Regulation 3 (1) of these regulations, a TPA shall not
 - 1) Directly make payment in respect of claims
 - 2) Reject or repudiate any of the claims directly
 - 3) Handle or service claims other than hospitalization cover under a

personal accident policy

- 4) Procure or solicit insurance business directly or indirectly
- 5) Offer any service directly to the policyholder or insured or to any other person unless such service is in accordance with the terms and conditions of the policy contract and the agreement entered into in terms of these regulations.

- (c) A TPA can provide health services to more than one insurer. Similarly an insurer may engage more than one TPA for providing health services to its policyholders or claimants.

Compulsory registration for Health services by TPA

- (a) The main and sole object of the TPA, on being registered with the Authority, shall be to exclusively carry on business of providing health services. A TPA shall not engage itself in any other business.
- (b) Every TPA and applicant seeking registration as TPA from the Authority shall have the words '**Insurance TPA**' in its name to reflect that it is engaged or proposes to engage in the business of TPA for rendering health services.

Provided the existing TPAs may fulfill this norm and change their name by incorporating words '*Insurance TPA*' within a period of one year from the date of notification of these Regulations.

Conditions of and Procedure for Licensing of TPA

Only a company with a share capital and registered under the Companies Act, 1956 can function as a TPA whose primary object shall be to carry on business in India as a TPA in the health services, and on being licensed by the Authority, the company shall not engage itself in any other business.

1. The minimum paid up capital of the company shall be in equity shares amounting to Rs. 4 crore (Rupees Four crore only);

Provided that existing registered TPAs shall comply with this stipulation within one year from the date of notification of these regulations i.e 14th March, 2016

2. At no point of time of its functioning the TPA shall have a working capital of less than Rs. 1 crore;
3. At least one of the directors of the TPA shall be a qualified medical doctor registered with the Medical Council of India;
4. The aggregate holdings of equity shares by a foreign company shall not at any time exceed forty nine percent of the paid up equity capital of a third party administrator.

5. Any transfer of shares exceeding 5% of the paid up share capital shall be intimated by the TPA to the Authority within 15 days of the transfer indicating the names and particulars of the transferor and transferee.

The TPA shall obtain from the Authority a licence to function as a TPA for rendering health services.

Minimum Business Requirements:

Every TPA registered with the Authority shall comply with such minimum business norms towards health services for the insurers registered with the Authority as may be specified by the Authority from time to time and with effect from such date as may be specified there in:

Provided that the business carried out in respect of the services referred at Regulation 3 (1) (c), Regulation 3 (1) (d), Regulation 3 (1) (e) and Regulation 3 (1) (f) of these Regulations shall not be reckoned towards the minimum business norms specified.

Application for grant of Certificate of Registration as TPA

1. The application for licence shall be made in writing to the Authority be accompanied by a non-refundable processing fee of Rs. 20,000 (Rupees Twenty Thousand only) and applicable service tax to the Authority
2. The Authority, may issue a licence, if it is satisfied that the applicant TPA is eligible to function as a TPA.
3. Every TPA shall pay a further sum of Rs. 30,000 (Rupees Thirty Thousand only) and applicable service tax to the Authority as licence fee before the licence is granted to it and the same shall be paid to the Authority.
4. A TPA whose application has been rejected by the Authority shall not, for a period of two years, apply once again to the Authority for a licence
5. A copy of the agreement entered into between the TPA and the insurance company or any modification shall be filed, within 15 days of its execution, with the Authority.
6. More than one TPA may be engaged by an insurance company and, similarly, a TPA can serve more than one insurance company.
 - A. The parties to the agreement shall agree between themselves on the scope of the contract and the facilities that have to be provided which shall also prescribe the remuneration that may be payable to the TPA by the insurance company
 - B. Every license granted by the Authority to a TPA or any renewal, shall remain in force for three years, unless the Authority decides, either to revoke or cancel it earlier, as provided in these regulations.

Renewal of Certificate of Registration

1. A license granted to a TPA may be renewed for a further period of three years on submission of the prescribed renewal application in Form **TPA-3** along with

a renewal fee of Rs. 30,000/- (Rupees Thirty Thousand only), at least thirty days prior to the date of expiry of the license.

2. Any failure on the part of the TPA to get its licence renewed before its expiry has to be explained to the Authority. A delayed application shall state the reasons for the delay and be accompanied by a late fee of Rs. 100/- (Rupees One Hundred only) and applicable service tax.
3. The Authority after examining the reasons given in the application by the TPA may renew the licence, if it is satisfied that the TPA was prevented by sufficient cause from applying for the renewal of its licence at least 30 days (Thirty days) before the date on which the licence ceased to remain in force.
4. The Authority may, if it is satisfied that undue hardship would be caused otherwise, accept any application after the license ceased to remain in force, on payment by the applicant of a payment of Rs. 750/- (Rupees Seven Hundred Fifty only) and applicable service tax.

Where a licence granted by the Authority is lost or mutilated, the Authority may issue a duplicate licence on payment of a fee of Rs. 2,000/- (Rupees two Thousand only) and applicable service tax accompanied by an application in writing made by the TPA.

Revocation or Cancellation of a License

A license granted to a TPA may after due notice be revoked or cancelled by the Authority for one or more of the reasons as provided in regulation 14.

The Authority may initiate action under Regulation 13 for any of the following reasons:

1. On the basis of information received by it, or on the basis of its own enquiry or investigation, is of the opinion that the TPA is functioning improperly and/or against the interests of the insured/policyholder or insurance company;
2. On the basis of information in its possession, is of the opinion that the financial condition of the TPA has deteriorated and that the TPA cannot function effectively or that the TPA has committed a breach of regulations (3), (4), (5) and (8) of these regulations;
3. After enquiry or upon information, is of the opinion that the character and ownership of the TPA has changed significantly since the grant of licence;
4. Finds that the licence or any renewal thereof granted to the TPA was on the basis of fraud or misrepresentation of facts;
5. There is a breach on the part of the TPA in following the procedure or acquiring the qualifications laid down by regulation 8 of these regulations;
6. The TPA is subject to winding up proceedings made under Companies Act, 1956 or any statutory modification thereof.
7. There is a breach of code of conduct prescribed by regulation 21 of these regulations;
8. There is violation of any directions issued by the Authority under the Act or these regulations.

Before proceeding under regulation 13 to revoke or cancel a licence granted to a TPA, the Authority shall grant a reasonable opportunity of being heard to the TPA. And before revoking, it should give the reasons for the revocation or cancellation of the licence and the order shall be served on the TPA as soon as same is made. The Authority shall also send copies to the insurance company with whom the TPA has subsisting agreement(s).

The TPA on receipt of an order under regulation 13 shall cease to carry on its functions as TPA in relation to the insurance company and the insurance company shall immediately take such alternative steps including appointment of another TPA, as may be necessary to continue to cater to the insured/policyholders served by the TPA whose licence has been revoked or cancelled. A TPA whose licence has been revoked or cancelled in terms of these regulations may file a review application with the Authority within 30 days of the receipt of the order cancelling or revoking the licence.

Within reasonable period of the receipt of the application for review but not later than 90 days the Authority shall dispose of the application after affording the applicant a reasonable opportunity of being heard.

Code of Conduct for TPAs; [See Regulation 23 of IRDAI (TPA - Health Services) Regulations, 2016]

- 1) A TPA registered under these regulations shall act in the best professional manner. The Chief Executive Officer or the Chief Administrative Officer of a TPA shall be responsible for the proper day to day administration of a TPA as well as regulatory compliance issues.
- 2) In particular and without prejudice to the generality of the provisions contained in these regulations, it shall be the duty of every TPA, its Chief Administrative Officer or Chief Executive Officer and Chief Medical Officer and its employees or representatives to
 - a. Establish their identity to the insured, claimant, policyholder and that of the insurer with which it has entered into an agreement, other entities and the public;
 - b. Disclose its certificate of registration on demand to the insured, policyholder, claimant, prospect, public or to any other entity relating to the services under a policy issued by an insurer;
 - c. Disclose on demand to the insured, policyholder, claimant, prospect, public or to any other entity the details of the services it is authorized to render in respect of health insurance products under an agreement with an insurer;
 - d. Bring to the notice of the insurer with whom it has an agreement, any adverse report or inconsistencies or any material fact that is relevant for the insurer;
 - e. Obtain all the requisite documents pertaining to the examination of an insurance claim arising out of an insurance contract;

- f. Render such assistance as mentioned under the agreement and advice to policyholders or claimants or beneficiaries to comply with the requirements for settlement of claims with the insurer;
- g. Conduct itself or himself in a courteous and professional manner;
- h. Refrain from acting in a manner which may influence, either directly or indirectly, the insured or policyholder of a particular insurer to migrate from one insurer to another;
- i. Refrain from dissuading or discouraging policyholder from approaching specific hospital of his / her choice or persuade or encourage the policy holder to approach any specific Hospitals which are in their Network, other than offering advice and guidance when specifically sought for.
- j. Have effective grievance management systems in place.
- k. Ensure to resolve the grievances of policyholders within fifteen days of receipt of the same.
- l. Ensure to resolve the grievances or disputes with hospitals or network providers expeditiously and ensure that the policyholder is not adversely affected due to such disputes.
- m. Refrain from trading on information and records of its business except for sharing of the same as provided in regulation 19 (4);
- n. Maintain the confidentiality of the data collected by it and not share the same except as provided in regulation 19 (4);
- o. Refrain from issuing advertisements of its business or the services carried out by it on behalf of a particular insurer, without prior written approval of the insurer:

Provided that a TPA can issue advertisement about the activities or the services carried out by it, for publicity or promoting public awareness.

Provided further that, as part of its Corporate Social Responsibility, a TPA may promote the need for and benefits of health insurance in general without specifically referring to any insurer, insurance policy, network provider or hospital.

- p. Refrain from inducing an insured, policyholder, network provider to omit any material information or submit wrong information;
- q. Refrain from demanding or receiving a share of the proceeds or a part of the claim amount from the policy holder, claimant, network provider;
- r. Comply with the regulations, circulars, guidelines and directions that may be issued by the Authority from time to time.
- s. Not lend or grant any loan to any other company, entity or

individual not connected with its TPA business.

However, this does not prevent a TPA from granting any loans or temporary advances either on hypothecation of property or on personal security or otherwise, as part of the benefits to the fulltime employees of the TPA as per the scheme duly approved by its Board of Directors.

- t. Not submit any wrong, incorrect, misleading data or information or undertaking to the Authority or to the insurer or to any other stake holder of the TPA business.
- u. Not accept any kind of incentives other than the remuneration agreed towards service fees or any inducement for maintaining low claims ratio.
- v. Not to outsource the job of servicing of those insurance policies for which he is appointed as TPA to any other registered entity including TPA or unregistered entity
- w. Not remit any sum including the claim amount whether directly or indirectly either to a policyholder, claimant, Network Provider or any other hospital. A TPA shall not maintain any float fund account or any other account with any other nomenclature for payment of insurance claims on behalf of insurer:
Provided that, with respect to servicing of foreign travel policies issued by foreign insurers, a TPA can make claim payment based on a valid and written agreement in this regard with such foreign insurers.
- x. Not publish on its website any incorrect or misleading information or display any content or matter which is not in line with these regulations.
- y. No claim is concurred or disputed by a medical practitioner unless he is from the same stream of medicine relating to which the treatment was provided and claim is preferred.
- z. Abide by the Corporate Governance guidelines pertaining to TPAs as issued by the Authority.
- aa. Shall disclose on demand, the fee received for servicing of Health Insurance policy to the policy holder, insured or claimant.
- bb. Follow claim guidelines as issued by insurers from time to time.
- cc. Ensure that at no point of time contact numbers of a TPA like phone number, toll free number as published or provided to policy holders shall be out of service or closed.

Further, any change in details referred herein shall be notified suitably to all the policyholders within seven days of such change.

- dd. Disclose the list of network hospitals with whom it has valid agreement to policy holders, prospects and general public.

Further, any change in details referred herein shall be notified suitably to all the policyholders within seven days of such change.

- ee. Have systems in place for assisting the policyholder or claimant during hospitalization with respect to concerned health insurance policy terms and conditions and services for cashless facility.
- ff. Abide by the timelines for rendering health services and shall make public disclosures on their websites or disseminate information through call centers.
- gg. Clearly explain cashless service procedures at hospitals and also on their website and through call centers.
- hh. Communicate promptly to the claimant under intimation to the insurer concerned about any delay which is unavoidable or owing to the customer or hospital.
- ii. Have systems in place to identify, monitor, control and deal with fraud including hospital abuse, by various agencies including healthcare providers.
- jj. Put in place systems and internal processes for detection of fraud and its mitigation, delineate and disseminate information on fraudulent cases to the concerned insurer within three days of detection and submit such information on fraudulent claims as directed by the Authority.

- 3) The director(s), promoter(s), shareholder(s), CAO, CEO, CMO and Key managerial person(s) of a TPA shall not engage directly or indirectly in any other insurance or insurance related activities that may lead to conflict of interest.

Maintenance and Confidentiality of Information

A TPA shall maintain proper records, documents, evidence and books of all transactions carried out by it on behalf of an insurance company in terms of its agreement. These books and records shall be maintained by it in accordance with accepted professional standards of record keeping and for a period of not less than three years. Such records, documents, evidence, books, etc., and the information contained therein shall be available to the insurance company and the Authority and access to them shall not be denied by the TPA on any ground.

If the licence granted to the TPA is either revoked or cancelled in terms of these regulations, the data collected by the TPA and all the books, records or documents, etc., relating to the business carried on by it with regard to an insurance company, shall be handed over to that insurance company by the TPA forthwith, complete in all respects. The IRDAI may, from time to time, constitute Committees consisting of members drawn from various sources including the TPAs, insurance companies, or any other persons as may be decided by the Authority to look into the proper and efficient performance of the TPAs

Every TPA shall furnish to the insurance company and the IRDAI an annual report and any other return, as may be, required by the Authority on its activities. The Annual Report, duly verified by a director of TPA and the Chief Administrative Officer or the Chief Executive Officer shall be submitted within a period of sixty days at the end of its financial year or within such extended time as the Authority may grant. The TPA shall also make available to the IRDAI for inspection, copies of all contracts with insurance company.

8. Learn about registration of insurance companies.

[Learning Outcome h]

Every insurer seeking to carry out the business of insurance in India is required to obtain a certificate of registration from the IRDAI prior to commencement of business. The pre-conditions for applying for such registration have been set out under the Act of 1938, the IRDAI Act and the various regulations prescribed by the Authority.

1. General Registration Requirements

The following are some of the important general registration requirements that an applicant would need to fulfill.

- a. The applicant would need to be a company registered under the provisions of the Indian Companies Act, 1956. Consequently, any person intending to carry on insurance business in India would need to set up separate entity in India.
- b. The aggregate equity participation of a foreign company (either by itself or through its subsidiary company or its nominees) in the applicant company cannot exceed forty nine percent of the paid up capital of the insurance company. However, the Insurance Act and the regulations there under provide for the manner of computation of such forty nine percent.
- c. The applicant can carry on any one of the life insurance business, general insurance business or re-insurance business. Separate companies would be needed if the intent were to conduct more than one business.
- d. The name of the applicant needs to contain the words” insurance company” or “Assurance Company”

2. Capital Structure Requirements

The applicant would need to meet with the following capital structure requirements

- a) A minimum paid up equity capital of rupees one billion in case of an applicant which seeks to carry on the business of life insurance or general insurance or health insurance business.
- b) A minimum paid-up equity capital of rupees two billion, in case of a person carrying on exclusively the business of reinsurance.

In determining the aforesaid capital requirements, the deposits to be made and any preliminary expenses incurred in the formation and registration of the company would be included.

- a. An affidavit by the managing director, chief executive officer or whole-time director of the Indian promoters and the foreign investors of the applicant certifying that the holding of foreign paid up equity capital, referred to in sub-clause (b) of clause (7A) of Section 2 of the Act, is calculated in accordance with Indian Insurance Companies (Foreign Investment) Rules, 2015 read with Regulation 11 of these Regulations and does not exceed forty nine percent of the total paid-up equity capital of the applicant company:

Provided that in case of the Indian promoter being Limited Liability Partnership, such affidavit shall be signed by the Designated Partner.

- b. In case of there being foreign investment in the applicant, an affidavit by the managing director, chief executive officer or whole-time directors and the Indian promoters and Foreign Investors of the applicant certifying that the company is “Indian owned and controlled” as per clause (b) of sub-section (7A) of the section 2 of the Act read with Indian Insurance Companies (foreign Investment) Rules, 2015 and Guidelines issued by the Authority on “Indian Owned and Controlled” as amended from time to time;.

Where the foreign direct investment is more than 26 percent, a certified copy of the approval given by FIPB in accordance with Indian Insurance Companies (Foreign Investment) Rules, 2015

3. Procedure for obtaining a certificate of registration

An applicant desiring to carry on insurance business in India is required to make a requisition for a registration application to the IRDAI in a prescribed format along with all the relevant documents.

The applicant is required to make a separate requisition for registration for each class of business i.e.

- i) life insurance business consisting of linked business: non linked business” or both, or
- ii) General insurance business including health insurance business.
- iii) Healthinsurancebusinessexclusively;
- iv)Reinsurance business.

An applicant shall make a requisition for registration application under regulation 3 either for Life Insurance Business or General Insurance Business or Health Insurance Business exclusively or Reinsurance Business.

The IRDAI may accept the requisition on being satisfied of the business of the applicant, the completeness of the application and that the applicant will carry on all the functions in respect of the insurance business including management, of investments etc. In the event that the aforesaid requirements are not met with, the Authority may after giving the applicant a reasonable opportunity of being heard, reject the requisition. Thereafter, the applicant may apply to the IRDAI within thirty days of such rejection for re-consideration of its decision. Additionally, an applicant whose requisition for registration has been rejected may approach the Authority with a fresh request for registration application after a period of two years from the date of rejection, with a new set of promoters and for a class of insurance business different than the one originally applied for.

In the event that the IRDAI accepts the requisition for registration application, it shall direct supply of the application for registration to the applicant. An applicant, whose requirement has been accepted, may make an application along with the relevant documents evidencing deposit, capital and other requirements in the prescribed form for grant of a certificate of registration. If, when considering an application, it appears to the Authority that the assured rates, advantages, terms and conditions offered or to be offered in connection with life insurance business are in any respect not workable or sound, it may require that a statement thereof to be submitted to an actuary appointed by the insurer and the IRDAI shall order the insurer to make such modifications as reported by the actuary.

After consideration of the matters inter alia capital structure, record of performance of each promoters and directors and planned infrastructure of the company, the IRDAI may grant the certificate of registration.

The Authority would, however give preference in grant of certificate of registration to those applicants who propose to carry on the business of providing health covers to individuals or group of individuals. An applicant granted a certificate of registration may commence the insurance business within twelve months from the date of registration.

In the event that the IRDAI rejects the application for registration, the applicant may within a period of thirty days from the date of communication of such rejection, appeal to the Central Government for reconsideration of the decision and the decision of the Central Government in this regard would be final.

4. Renewal of registration

Manner of payment of annual fee

An insurer who has been granted a Certificate of Registration under Section 3 of the Act shall pay, an annual fee for every financial year to the Authority before 31st day of January of the preceding financial year. The annual fee shall be higher of

- (a) five lakh rupees, and
- (b) one-twentieth of one per cent of total gross premium written direct by an insurer in India during the financial year preceding the year in which the annual fee is required to be paid, or rupees ten crore whichever is less:

Provided that in the case of an insurer carrying on solely re-insurance business, instead of the total gross premium written direct in India, the total premium in respect of facultative reinsurance accepted by it in India shall be taken into account.

- (c) If the insurer fails to deposit the annual fee before the date specified in sub-regulation (1), the Authority may accept the payment of annual fee along with an additional fee by way of penalty of

- 1) Two percent of the annual fee if the fee is paid within 30 days after the expiry of the last date of payment of annual fee; or
 - 2) Ten percent of the annual fee if the fee is paid after 30 days from the expiry of the last date of payment stipulated in Regulation 20 (1) (i) but before the end of financial year in which the annual fee was required to be paid.
- (d) Where the insurer has failed to pay the fee before the end of the financial year, certificate of registration is liable to be cancelled in terms of provisions of Section 3 read with Section 3A (2) of the Act.

Manner of payment of annual fee - The annual fee shall be paid into the account of Insurance Regulatory and Development Authority of India.

The annual fee shall be remitted by a bank draft issued by any scheduled bank payable at Hyderabad or by any recognised electronic funds transfer mode.

Issue of duplicate certificate.--The Authority may, on receipt of fee of rupees five thousand, issue a duplicate certificate to an insurer, if the insurer makes an application to the Authority in Form IRDAI/R4.”

5. Suspension of registration

The registration of an Indian insurance company or insurer may be suspended for a class or classes of insurance business, in addition to any penalty that may be imposed or any action that may be taken, for such period as may be specified by the IRDAI in the following cases:

- Conducts its business in a manner prejudicial to the interests of the policy holders
- Fails to furnish any information as required by the IRDAI relating to its insurance business
- Does not submit periodical returns as required under the Act or by the IRDAI
- Does not co-operate in any inquiry conducted by the IRDAI
- Indulges in manipulating the insurance business.
- Fails to make investment in the infrastructure or social sector as specified under the Insurance Act.

6. Cancellation of certificate of registration

The IRDAI, in case of repeated default of the grounds for suspension of a certificate of registration may impose a penalty in the form of cancellation of the certificate. The Authority is compulsorily required to cancel the registration of an insurer either wholly or in so far as it relates to a particular class of insurance business, as the case may be

- If the insurer fails to comply with the provisions to deposit; or
- If the insurer fails, at any time, to comply with the provisions relating to the excess of the value of his assets over the amount of his liabilities; or

- If the insurer is in liquidation or is adjudged an insolvent or
- If the business or a class of the business of the insurer has been transferred to any person or has been transferred to or amalgamated with the business of any other insurer or
- If the whole of the deposit made in respect of the insurance business has been returned to the insurer
- If, in the case of an insurer, the standing contract is cancelled or is suspended and continued to be suspended for a period of six months ,or
- If the Central Government of India so directs.

In addition to the above, the IRDAI has the discretion to cancel the registration of an insurer

- If the insurer makes default in complying with , or acts in contravention of , any requirement of the Insurance Act or of any rule or any regulation or order made or any direction issued there under, or
- If the Authority has reason to believe that any claim upon the insurer arising in India under any policy of insurance remain unpaid for three months after final judgement in regular course of law or
- If the insurer carries on any business other than insurance business or any prescribed business or
- If the insurer makes a default in complying with any direction issued or order made , as the case may be, by the Authority under the IRDAI Act, 1999
- If the insurer makes a default in complying with or acts in contravention of, any requirement of the Companies Act, or the LIC Act, or the GIC Act or the Foreign Exchange Management Act, 2000

The order of cancellation shall take effect on the date on which notice of the order of cancellation is served on the insurer. Thereafter, the insurer would be prohibited from entering into any new contracts of insurance, but all rights and liabilities in respect of contracts of insurance entered into by him before the cancellation takes effect, shall continue as if the cancellation had not taken place. The Authority may, after the expiry of six months from the date on which the cancellation order takes effect, apply to the court for an order to wind up the insurance company, or to wind up the affairs of the company in respect of a class of insurance business unless the registration of the insurance company has been revived or an application for winding up has already been presented to the Court.

7. Revival of registration

The Authority has discretion, where the registration of an insurer has been cancelled to revive the registration, if the insurer within six months from the date on which the cancellation took effect;

- Makes the deposits or

- Complies with the provisions as to the excess of the value of his assets over the amount of his liabilities or
- Has his standing contract restored or
- Has the application accepted or
- Satisfied the Authority that no claim upon him remains unpaid, or
- Has complied with any requirements of the Insurance Act or the IRDAI Act, or any rule or regulations, or any order made thereunder or any direction issued under these Acts, or
- That he has ceased to carry on any business other than insurance business or any prescribed business.

9. Explain the various regulations related to Listed Indian Insurance Companies Guidelines, 2016.

[Learning Outcome i]

As per IRDAI reference number IRDA/F&A/GDL/LSTD/154/08/2016 of Dated 05-08-2016 issued on **Insurance Regulatory and Development Authority of India (Listed Indian Insurance Companies) Guidelines, 2016**

The Authority, in exercise of the powers conferred by sub (1) of Section 14 of Insurance Regulatory and Development Authority of India Act, 1999, read with clause (b) of sub-section (4) of Section 6A of the Insurance Act, 1938, hereby, issues the following guidelines.

1. Applicability:

- i. These Guidelines shall be in addition to, and should be read with any other law for the time being in force, including the IRDAI (Issuance of Capital by Indian Insurance Companies transacting Life Insurance Business) Regulations, 2015 and IRDAI (Issuance of Capital by Indian Insurance Companies transacting other than Life Insurance Business) Regulations, 2015.
- ii. These Guidelines shall be called Insurance Regulatory and Development Authority of India (Listed Indian Insurance Companies) Guidelines, 2016
- iii. These Guidelines shall be applicable to all insurers whose equity shares are listed on the stock exchanges and to the allotment process pursuant to the public issue.
- iv. These guidelines shall come into effect on the day of their issuance.

PART-A

2. Definitions:

- i. **“Act”** means Insurance Act, 1938 (4 of 1938);
- ii. **“Acquisition”** means, directly or indirectly, acquiring or agreeing to acquire shares or voting rights in the concerned insurer;
- iii. **“Authority”** means the Insurance Regulatory and Development Authority of India established under sub-section (1) of Section 3 of Insurance Regulatory and Development Authority Act, 1999 (41 of 1999);
- iv. **“Aggregate Holding”** means the total holding including through “acquisition” and the shares held by the applicant, his relatives, associate enterprises and persons acting in concert with him;
- v. **“Associate enterprise”** means a company, whether incorporated or not, which,-
 - a. is a holding company or a subsidiary company of the applicant; or
 - b. is a joint venture of the applicant; or
 - c. controls the composition of the Board of Directors or other body corporate governing the applicant; or

- d. exercises, in the opinion of the Authority, significant influence on the applicant in taking financial or policy decisions.
- vi. **“Concerned Insurer”** means the insurer in which the “acquisition” is being made;
- vii. **“Person acting in concert”** means persons who for a common objective or purpose of acquisition of shares or voting rights along with the applicant, pursuant to an agreement or understanding (formal or informal), directly or indirectly, cooperate for acquiring or agreeing to acquire shares or voting rights in the concerned insurer and without prejudice to the generality of the foregoing, includes an associate enterprise, relative, promoter, promoter group, and director of the said applicant or the associate enterprise;
- viii. **“Relative”** has the same meaning as defined in section 2 (77) of the Companies Act, 2013 and Rules made thereunder;
- ix. **“Major shareholder”** means shareholder having or likely to have an “aggregate holding” to the extent of 5 percent or more of the paid up equity share capital of the insurer;
- x. **“Major shareholding”** means “aggregate holding” resulting in / likely to result in the applicant acquiring 5 percent or more of the paid-up equity share capital of the insurer;
- xi. All words and expressions used herein and not defined, but defined in the Insurance Act, 1938 (4 of 1938) or in the Insurance Regulatory and Development Authority Act, 1999 (41 of 1999), or in any Rules or Regulations made thereunder, shall have the meaning respectively assigned to them in those Acts or Rules or Regulations.

Chapter-II

DIRECTIONS ON PRIOR APPROVAL

1. Every person who intends to make any transfer or any agreement to transfer the paid up equity shares capital of the concerned insurer, may do so subject to compliance of the lock-in period requirement, if any, specified by the Authority.
2. Every person who intends to make any transfer or any arrangement or agreement to transfer 1 percent or more but less than 5 percent of the paid up equity share capital of the concerned insurer, may do so, subject to compliance of Fit and Proper criteria. A self certification for “Fit & Proper” shall be filed with the respective insurance company. Such self-certification of the Fit and Proper criteria of the acquirer and filing with the concerned insurer shall be considered as deemed approval of the Authority for the purpose of Section 6A (4) (b) (iii) of the Act. If the concerned insurer has any doubt about the fulfillment of ‘Fit and Proper’ criteria by the acquirer, it may approach the Authority for seeking clarity.

Such self certification shall be required to be filed once and for the first time when a purchaser / acquirer intends to purchase / acquire equity shares resulting in shareholding of 1 percent or more but less than 5%. For purchase / acquisition of shares of the concerned insurer in the case of public offering, appropriate disclosure of this requirement shall be made in the offer document and appropriate declaration shall be obtained in the application form for purchasing such equity shares.

3. Every person who intends to acquire or make an arrangement or agreement for acquisition which will / is likely to take the aggregate holding of such person together with shares held by him, his relatives, associate enterprises and persons acting in concert with him, to 5 per cent or more of the paid-up equity share capital of the concerned insurer or entitles him to exercise 5 per cent or more of the total voting rights of the concerned insurer, shall seek prior approval of the Authority in the manner specified in these guidelines.

Procedure of Application

1. Every person referred to in clause 5 above shall make an application to the Authority along with the Declaration in Form A specified in the Schedule to these Guidelines. The applicant shall also file draft of the definitive agreement(s) for acquisition of shares, if any, proposed to be entered into between the transferor and the acquirer, along with the application.
2. The Authority may undertake due diligence on the applicant to assess his “fit and proper” status. It will be open to the Authority to seek additional information / documents from the applicant / concerned insurer, including but not limited to shareholders’ agreements and make such enquiries with regulator/s, revenue authorities, investigation agencies, credit rating agencies, etc. as may be considered appropriate.
3. The decision of the Authority to accord or deny permission for acquisition of a lower quantum than that has been applied for, shall be conveyed to the applicant and the concerned insurer, and the decision of the Authority shall be binding on the applicant and the concerned insurer. If the decision is to grant approval, the concerned insurer shall register the transfer / purchase, as the case may be, in the name of the applicant. If the decision is to reject the application, the concerned insurer shall not give effect to such acquisition. In the event of the Authority according permission for acquisition of lower quantum of equity shares or voting rights, the concerned insurer shall register the transfer / purchase only to such lower quantum of shares or voting rights.

CHAPTER - III

PRIOR APPROVAL IN CASE OF SUBSEQUENT INCREASE IN SHAREHOLDING

1. Any fresh acquisition by an existing major shareholder, who has already obtained prior approval of the Authority for having a major shareholding in the concerned insurer, shall be subject to the provisions of clauses 10 and 11 below as the case may be.
2. If any fresh acquisition referred to in clause 9 results in the aggregate holding of the major shareholder along with the persons acting in concert to reach upto 10 per cent of the shares or voting rights of the concerned insurer, prior approval of the Authority is not necessary,

Provided that the major shareholder furnishes the details of the source of funds for such incremental acquisition to the concerned insurer, before such acquisition.

Provided further that the concerned insurer shall report the incremental acquisitions by the major shareholders in its quarterly shareholding pattern furnished to the Authority regarding continuance of “fit and proper” status of its major shareholders, as referred to in clause 13 of these Guidelines.

3. Where the acquisition referred to in clause 9 results in the aggregate holding of the major shareholder along with the persons acting in concert exceeding 10 per cent of paid up equity share capital or voting rights of the concerned insurer, the applicant shall seek a fresh prior approval of the Authority for the proposed aggregate holding in the manner specified in clause 6 of these Guidelines along with additional information specified in Form A. Without prejudice to the generality of the factors that may determine the grant or refusal of approval for such acquisition by the Authority, approval for acquisition of shares or voting rights in excess of 10 per cent shall be considered at the discretion of the Authority taking into account the following factors :
 - i. The details of the promoters/promoter group of the concerned insurer; or?
 - ii. If the acquirer is a regulated financial institution, whether such a financial institution, is well diversified and listed in a Financial Action TaskForce (FATF) compliant jurisdiction.; or
 - iii. Whether the acquirer is a Government or a public sector undertaking; or ?
 - iv. Existence of exceptional circumstances; or
 - v. Whether acquisition is in the public interest; or
 - vi. Whether acquisition shall ensure proper management of the concerned insurer;
 - vii. Whether acquisition is in the interest of consolidation in the insurance sector; etc.?

CHAPTER - IV

DETERMINATION OF “FIT AND PROPER” STATUS?

1. Illustrative criteria for determining “fit and proper” status of applicants

In determining whether the applicant is “fit and proper” to be a major shareholder, the Authority may take into account all relevant factors, as appropriate, including, but not limited to the following :

- i. For acquisition of 5 per cent or more upto 10 per cent in the concerned insurer
 - a. The applicant’s integrity, reputation and track record in financial matters and compliance with tax laws;
 - b. Whether the applicant has been subject of any proceedings of a serious disciplinary or criminal nature, or has been notified of any such impending proceedings or of any investigation which may lead to such proceedings;
 - c. Whether the applicant has a record or evidence of previous business conduct and activities where the applicant has been convicted for an offence under any legislation designed to protect members of the public from financial loss due to dishonesty, incompetence or malpractice;
 - d. Whether the applicant or persons acting in concert or any of its promoters or promoter group has indulged in insider trading, fraudulent and unfair trade practices or market manipulation;
 - e. Whether the applicant has achieved a satisfactory outcome as a result of due diligence conducted with the relevant regulator, revenue authorities, investigation agencies and credit rating agencies etc., as considered appropriate;
 - f. Whether the applicant has a record of any serious financial misconduct, bad loans or whether the applicant was adjudged to be bankrupt;
 - g. The source of funds for the acquisition;
 - h. Where the applicant is a body corporate, its track record or reputation for operating in a manner that is consistent with the standards of good corporate governance, financial strength and integrity in addition to the assessment of individuals and other entities holding more than 1 percent of the capital of the body corporate as enumerated above.
- ii. For acquisition in excess of 10 per cent in the concerned insurer
 - a. All aspects as laid down in clause 12 (i) of these Guidelines;
 - b. Details in respect of the conglomerate, in case the applicant belongs to a conglomerate group;
 - c. Sources and stability of funds for acquisition and the ability to access financial markets as a source of continuing financial support for the insurer

- d. The business record and experience of the applicant including any experience in acquisition of business;
- e. The extent to which the corporate structure of the applicant will be in consonance with effective supervision and regulation of the insurer;
- f. Whether the applicant is a widely held entity, publicly listed and a well-established regulated financial entity in good standing in the financial community;
- g. Whether the applicant is a Government or a public sector undertaking;
- h. The acquisition is in public interest;
- i. The acquisition is to secure the proper management of any insurer;
- j. The desirability of diversified ownership of insurer;
- k. Track record of the applicant;
- l. Shareholder agreements and their impact on control and management of the insurer?

CHAPTER- V

CONTINUOUS MONITORING ARRANGEMENTS

Continuous monitoring arrangements for due diligence in case of existing major shareholders

1. It is the responsibility of the concerned insurer to ensure that all its major shareholders are fit and proper and for this purpose every insurer shall,
 - i. obtain, within one month of the close of financial year, an annual declaration from all its major shareholders in Form B as specified in the Schedule to these Guidelines: and
 - ii. deliberate on the declarations, obtained from the major shareholders, at its Board meetings and make an assessment about the “fit and proper” status of such shareholders in the light of information provided through the declarations and its own investigations; and
 - iii. Furnish a certificate, within 2 months from the end of the each financial year, to the Authority regarding continuance of the “fit and proper” status of all its major shareholders. In case any major shareholder is assessed to be not “fit and proper”, the concerned insurer shall report the same immediately in Form C specified in the Schedule to these Guidelines to the Authority.

Apart from the annual review as specified in the above clause, every insurer shall examine any concern / information regarding the major shareholders that may come to its notice that could render such shareholders not “fit and proper” to hold such shares or voting rights and the insurer shall immediately furnish the report on the same to the Authority.

If the major shareholders do not satisfy the “fit and proper” criteria within 6 months of the close of financial year, then the Authority shall initiate appropriate

action against such major shareholder, as it deems fit, including a direction for such shareholder to transfer its shareholding to any other 'Fit and Proper' person.

CHAPTER - VI

Controlling Interest in Insurers

ACQUISITION OF SHARES / VOTING RIGHTS FOR THE PURPOSE OF GAINING CONTROLLING INTEREST IN AN INSURER

1. Notwithstanding anything contained in these guidelines, even when the acquisition / aggregate holding is proposed to be less than 5 per cent and if the concerned insurer suspects that dubious methods have been adopted to get over the ceiling of 5 per cent to camouflage the real purpose of these Guidelines by individuals / groups with a view to acquire controlling interest in the insurer, a reference shall be made to the Authority by the concerned insurer. In such cases, it shall be in order for the Authority to require such shareholders to comply with the procedure referred to in Chapter III and IV of these Guidelines.

CHAPTER - VII

COMPLIANCE WITH OTHER REGULATIONS AND VOTING RIGHTS

1. The prior approval from the Authority for having major shareholding by a foreign investor or any subsidiary thereof, in the insurer will be subject to compliance with FEMA 1999 and other applicable laws and regulations, by the acquirer / Investor.
2. It is clarified that an insurer who is neither listed nor to be listed shall continue to be governed by the provisions of IRDAI (Transfer of Equity shares of Insurers) Regulations, 2015.

PART-B

SHAREHOLDING AND VOTING RIGHTS LIMITS IN INSURERS

1. The minimum shareholding by promoters / promoter group shall at all times be maintained at 50 percent of the paid up equity capital of the insurer. However, where the present holding of the promoters is below 50 percent, such holding shall be the minimum holding.
2. Ownership limits for all shareholders, other than promoters/ promoter group, in a definitive time frame as may be specified by the Authority, shall be based on categorization of the shareholders under two broad categories viz. (i) natural persons (individuals) and (ii) legal persons (entities/institutions). Further, non-financial and financial institutions, and among financial institutions, diversified and non-diversified financial institutions shall have separate limits for shareholding as under:

- i. In the case of individuals and non-financial entities, the limit shall be 10 per cent of the paid up capital;
- ii. In the case of entities from the financial sector, other than regulated or diversified or listed, the limit shall be at 15 per cent of the paid-up capital;
- iii. In the case of 'regulated, diversified, listed entities from the financial sector' or public sector undertaking or Government, a uniform limit up to 30 per cent of the paid-up capital is permitted for non-promoters;
- iv. Higher stake / strategic investment by non-promoters through capital infusion by domestic or foreign entities / institution shall be permitted on a case to case basis under circumstances such as relinquishment by existing promoters, rehabilitation / restructuring of problem / weak insurers / entrenchment of existing promoters or in the interest of the insurance company or in the interest of consolidation in the insurance sector, etc.

The matrix of shareholding is as under

Category of shareholder	Promoter group	All shareholders in the long run (Except Promoters)				
		Natural person	Legal person			
			Non financial institution / entities	Financial institution		
Sub-category of shareholder	All categories of Promoter / Promoter group (minimum)**			*Non-regulated or non-diversified and non-listed	Regulated, diversified and listed / supranational institution / public sector undertaking / Government	# Circumstances as mentioned in para 2 (iv) of Part B above
Proposed shareholding cap	50 percent	10 percent	10 percent	15 percent	30 percent	As permitted on a case to case basis

*In case of financial institutions that are owned to the extent of 40 per cent or more or controlled by individuals, the shareholding would be deemed to be by a natural person and the shareholding will be capped at 10 per cent; **Promoter

includes Indian promoter and also includes a foreign investor who has taken a stake in the insurance company in such capacity.

#Shareholders permitted 10 per cent or more in an insurance company will be subject to a minimum lock-in period of five years.

PART-C

Foreign Holding and Other requirements

1. Every insurance company which intends to go for listing shall convert its equity shareholding in Demat format. Every insurance company shall submit necessary documentary proof to this effect.
2. An Insurer may invest in the equity share capital of another listed Insurer or in the public issue pursuant to RHDP filed by an insurer subject to the exposure norms as specified in IRDA (Investment) Regulations, 2000 as amended from time to time.
3. As per IRDAI (Registration of Indian Insurance Companies) Regulations, 2000, subsidiary of a company shall not be allowed to invest in an insurance company. However, for the purpose of these Guidelines, the Authority permits a subsidiary company to invest in a listed insurance company, provided it complies with all the provisions as may be applicable for such an investment under applicable laws.
4. Every listed Insurance company shall put in place necessary systems to ensure compliance of Regulation 11 of IRDAI (Registration of Indian Insurance Companies) Regulations, 2000.
5. Every Insurance company shall ensure that :
 - i. The foreign investment in the Insurance company at any point of time is in accordance with the limits allowed under the Insurance Act, 1938 read with the Foreign Direct Investment Policy of India and the provisions of FEMA 1999; and
 - ii. The company is compliant with “Indian owned and controlled” Guidelines issued by the Authority.
6. The above guidelines shall also be applicable to an insurance intermediary registered by the Authority provided that such insurance intermediary is drawing more than 50 percent of its revenue from insurance related business.

(V R Iyer)
Member-F&I

10. Explain the various regulations related to Life and General Reinsurance.

[Learning Outcome j]

Reinsurance is a contract of insurance where one insurer (called the reinsurer or assuming company) agrees, for a portion of the premium, to indemnify another insurer (called the reinsured or ceding company) for losses paid by the latter (reinsured) under insurance policies issued to its policyholders.

Reinsurance allows insurance companies to share risk. It allows the reinsurers / assuming companies to assume a part or all of the insurer's (reinsured or ceding company's) risk in return for part of the premium paid to the insurer.

Unlike primary insurance, reinsurance contracts deal with catastrophic risks, which are highly unpredictable but can cause huge devastation thereby threatening the solvency of an insurance company.

Look at this scenario

Oriental Insurance seeks reinsurance cover for IPL

Despite the uncertainty surrounding the Indian Premier League (IPL) dates, public sector insurer Oriental Insurance Company (OIC) is close to finalising a Rs. 400 crore cover for the mega event.

Top executives in the company, however, said that having bagged the business for a premium of Rs 18 lakh, it cannot renegotiate the rates with the organisers. It is awaiting confirmation of the reinsurance cover from the international reinsurance market. OIC had won the bid to provide insurance cover to IPL matches for Rs 18 lakh.

The insurer was yet to receive the premium amount from the Board of Control for Cricket in India (BCCI). It would have to cover the entire risk arising from cancellation of the event, if the premiums were paid. Generally, the premium is paid before the event begins. "The firm does not have any reinsurance support, neither is there any terror-pool to support the insurer for this event. In case the event gets cancelled, it will cost Rs 400 crore to the insurer," sources said.

Now, the insurer is renegotiating on the reinsurance support. "We are looking for confirmation of the reinsurance cover. Risks are placed with international reinsurers along with the national reinsurer GIC," said OIC CMD. He added that only 5 per cent of the risk is retained with them, while the rest 95 per cent is reinsured in such cases.

After the 26/11 Mumbai terror attack, the demand for the terror cover went up. Similarly, it is likely that the size of the cover taken by the cricketers for both life and personal accident will increase.

Since premium depends on various factors, including exposures involved and the cost of reinsurance, the insurance premium for cricketers is likely to harden in the market.

Excerpt from Business Standard newspaper dated 6 March 2009.

(Source: <http://www.bsl.co.in/india/news/oriental-seeks-reinsurance-cover-for-ipl/351033/>)

Various regulations related to Life and General Reinsurance

The fundamental objectives of reinsurance are similar for both life and non-life insurance. They are:

- Maximise retention within the country.
- Develop adequate capacity.
- Secure the best possible protection for the reinsurance costs incurred.
- Simplify the administration of business.

However, there are a few subtle differences such as:

- The statutory cession by the insurers to GIC Re in the case of general insurance is not prescribed for life insurance business
- The mandate for provisioning for IBNR (Incurred But Not Reported) claims is not available for life insurance whereas it is necessary for general insurance

Tip

The term IBNR refers to the recognition that events have taken place in such a manner that they will eventually produce claims. However, these events have not yet been reported to the insurance company.

IBNR is a loss that has happened but is not known. Since it is impossible to know the value of a case not yet reported or investigated, insurance companies use a subjective estimate to recognise losses incurred but not reported.

There may also be differences in the types of reinsurance contracts used for life and non-life insurances.

The placement of reinsurance in the Indian Market is governed by the Reinsurance Regulations for both life and general insurances. To facilitate easy comparison of the regulations, they are presented below in a tabular form.

Life and General Reinsurance Regulations

IRDAI (Life Insurance - Reinsurance Regulations) 2013	IRDAI (General Insurance - Reinsurance Regulations) 2016
Procedure to be followed for reinsurance arrangements	
(1) Every life insurer shall draw up a programme of reinsurance in respect of lives covered by him.	(1) The Reinsurance Programme shall continue to be guided by the following objectives to: a) Maximise retention within the country; b) Develop adequate capacity; c) Secure the best possible protection for the reinsurance costs incurred; d) Simplify the administration of business.
(2) The profile of such a programme, duly certified by the Appointed Actuary, & approved by the Board of Director, shall be filled with the Authority, at least 45 days before the commencement of each financial year, by the insurer. Provided that the Authority may, if it considers necessary, elicit from the insurer any additional information, from time to time, and the insurer shall furnish the same to the Authority forthwith.	(2) Every Indian insurer/Indian reinsurer/foreign reinsurer branch shall formulate a suitable retention policy for each insurance segment. In case the insurance segment consists of more than one product, retention policy for each product shall be separately defined. The Authority may require an Indian insurer/Indian reinsurer/foreign reinsurer branch to justify its retention policy and may give such directions as considered necessary in order to ensure that the Indian insurer/Indian reinsurer/foreign reinsurer branch is not merely fronting for a Cross Border Reinsurer.
(3) The insurer shall ensure that the reinsurance arrangements in respect of catastrophe risk, using various realistic disaster scenario testing, are adequate and approved by the Board of Directors before filing the same with the Authority along-with the reinsurance programme. The insurer shall determine the credit risk and concentration risk of the reinsurance arrangements and explain the measures taken to mitigate such risks, if any, in the reinsurance programme.	(3) Every insurer shall cede such percentage of the sum assured on each policy for different classes of insurance written in India to the Indian reinsurer as may be specified by the Authority in accordance with the provisions of Part IVA of the Insurance Act, 1938.

(4) The Authority shall scrutinise such a programme of reinsurance as referred to in sub-regulation (2), and may suggest changes, if it considers necessary, and the insurer shall incorporate such changes forthwith in his programme.	(4) Every Indian insurer/Indian reinsurer/foreign reinsurer branch shall submit to the Authority, its board approved reinsurance programme along with retention policy for the forthcoming year, 45 days before the commencement of the financial year.
(5) Every insurer shall build the retention capacity within the company and formulate suitable retention policy for each type of product/risk on an ongoing basis and justify on an ongoing basis such retention policy in accordance with the emerging claims experience, financial standing, underwriting capacity etc. in the annual reinsurance programme submitted to the Authority. The above such retention of every insurer shall: i. am at retaining the maximum premium earned in India, maximizing the retention across products commensurate with his financial strength & volume of business and ii. Establish the above in the reinsurance programme as referred to in sub-regulation 4(b)".	(5) If any amendment is made in the Reinsurance program subsequent to it being filed with the Authority, the Indian insurer/Indian Reinsurer/foreign reinsurer branch, shall file with the Authority, the Final Reinsurance Program, together with the approval of the Board of Directors within 30 days of commencement of the financial year.
(6) Insurers may be allowed to reinsure on quota share: I. in the initial two years of starting operations for health insurance business and group term insurance business and ii. In the initial two years of introducing a new risks/product for health insurance business and group term insurance business provided the minimum retentions in all such cases shall be at least as referred in Table:6 (1) applicable to health insurance business and group term insurance business. The authority may require an insurer to further justify its retention policy and may give such directions as considered necessary.	(6) The Indian insurers/Indian reinsurers/foreign reinsurer branches shall ensure that the reinsurance arrangements in respect of catastrophe accumulations are adequate, by using various realistic disaster scenarios. The catastrophe modelling report and the basis on which the quantum of catastrophe protection is purchased for the forthcoming year may be detailed in the Reinsurance program and shall be approved by their Board of Directors. A synopsis of the report, shall be filed with the Authority along-with the final reinsurance programme.

(7) If the retention levels of such retention policy for mortality / morbidity risks is less than the regulatory reporting retention limits stated in Table: 6 or the total reinsurance premium to the total premium received under a particular product exceeds 2% for all saving products and 30% for all term insurance /health products, in all such cases, the insurers shall report to the Authority along with the reinsurance programme for approval a detailed working for each product.	(7) Every Indian insurer/Indian reinsurer/Foreign Reinsurer Branch shall within 30 days of the commencement of the financial year, file with the Authority a copy of every reinsurance treaty contract wordings and excess of loss cover note in respect of that year together with the list of all reinsurers, their ratings and their shares in the proportional & non-proportional reinsurance arrangement.
(8) All reinsurance arrangements shall be documented and filed with the Authority within 30 days of commencement of the financial year. b. Within 30 days of the commencement of the financial year, every insurer shall also file with the Authority a copy of every reinsurance treaty contract in respect of that year together with the list of reinsurers, their ratings and their shares in the reinsurance arrangement. Provided that any change in the terms and conditions of the reinsurance treaty shall be filed with the Authority within 15 days of such changes.	(8) Every Indian Insurer/Indian reinsurer/foreign reinsurer branch shall file with the Authority any new reinsurance arrangement, giving full details, documentation, reasons for such an arrangement together with the approval of the Board of Director within 15 days of approval of the Board. The Indian insurer/Indian reinsurer/foreign reinsurer branch shall further ensure that the renewal of such a reinsurance arrangement coincides with the financial year.
(9) Insurers shall place their reinsurance business outside India with only those reinsurers who have over a period of the past five years counting from the year preceding for which the business has to be placed, enjoyed a credit rating of at least BBB (with Standard & Poor) or equivalent rating of any other international rating agency. Provided that placement of business by the insurer with any other reinsurer shall be with the prior approval of the Authority. Provided further that no programme of reinsurance shall be on original premium basis Provided further that no life insurer shall have reinsurance treaty	(9)The Authority may call for further information or explanations in respect of the reinsurance programme of an insurer and may issue such direction, as it considers necessary;

arrangement with its promoter company or its associate/group company, except on terms which are commercially competitive in the market and with the prior approval of the Authority, which shall be final and binding. The life insurers shall, before placing the business with the reinsurers, consider past claims performance of the reinsurers, as available, while accepting their participation in the reinsurance programme.	
(10) Every insurer shall submit to the Authority statistics relating to its reinsurance transactions in such forms as it may specify, together with its annual accounts.	(10) Cross border reinsurers: Reinsurance placed outside India must be with only those cross border reinsurers meeting the criteria laid down. Placements with others will require the approval of the Authority stating reasons and justifications. All such placements to be reported to company's board. Procedures for filing information regarding the cross border reinsurers shall be as per the guidelines laid down.

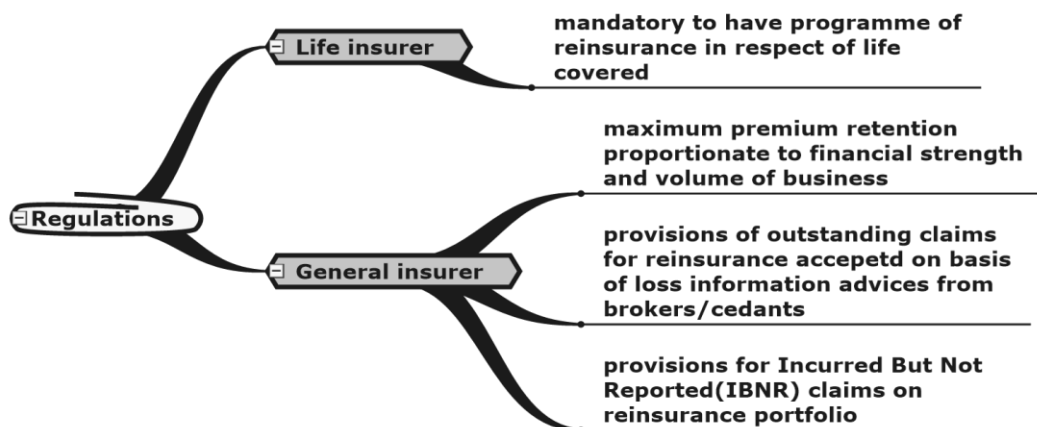
	(11) Based on necessity, and /or Indian market appetite for a class of risk / product, the Indian Reinsurer/s and /or Foreign Reinsurer's Branch/shall organise domestic pools, in consultation with all Indian insurers and/or foreign reinsurer branches on matters relating to objective, basis limits and terms which are fair to all stakeholders. The arrangements so made shall be submitted to the Authority within three months of the formation of such pools, for approval. The Authority, wherever necessary, shall also advise the Indian Reinsurer to organise domestic pools, in collaboration with foreign reinsurer branches (if required). These regulations shall equally be applicable for all reinsurance arrangement of the pool. The pool administrator shall submit the returns, detail of reinsurance arrangement, and statements on the performance of the pool in the manner of periodicity as stipulated by the Authority from time to time.
	(12) Surplus over and above the domestic reinsurance arrangements can be placed with any of the cross border, reinsurers, complying with Regulation 3(9). Such placements are subject to the insurance segment - wise limits stipulated under Regulation 3 (11)(e) of the regulation. These limits define the maximum reinsurance cession that can be made to any particular cross border reinsurer under any insurance segment. The cession limits are applicable to retrocession arrangements also. The reinsurer rating and limit of cession is as laid down by the Authority.

	(13) Order of preference for cession by Indian insurers shall be as stipulated by the Authority. Repatriation of surplus generated by branch Office of foreign reinsurer shall be governed by the IRDAI Regulations for branch offices and Lloyds. Foreign reinsurer branch shall ensure that the minimum retention limits stipulated in the IRDAI Regulations for the branches and Lloyds are maintained.
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Inward Reinsurance Business Life	
(1) Every insurer wanting to write inward reinsurance business shall seek specific approval of the Authority providing all the business projections and all documentation as may be required for such business. (2) Every insurer wanting to write inward reinsurance business shall have a well-defined underwriting policy approved by its Board of Directors for underwriting inward reinsurance business. (3) An insurer shall file with the Authority, at least forty five days before the commencement of each financial year, its underwriting policy stating the classes of business, geographical scope, underwriting limits and profit objective. An insurer shall ensure that decisions on acceptance of reinsurance business are made by persons with adequate knowledge and experience, preferably in consultation with the insurer's Appointed Actuary.	Every insurer wanting to write inward reinsurance business shall have a well-defined underwriting policy for underwriting inward reinsurance business. Every insurer wanting to write inward reinsurance business shall have a well-defined underwriting policy approved by its Board of Directors for underwriting inward reinsurance business. An insurer shall ensure that decisions on acceptance of reinsurance business are made by persons with adequate knowledge and experience, preferably consultation with the insurer's Appointed Actuary. An insurer shall also file with the Authority any changes to the underwriting policy as and when a change is made duly approved by its Board of Directors. An insurer shall show all the receipts and payments like premiums, claims etc. relating to reinsurance business accepted separately from direct insurance business.

An insurer shall also file with the Authority any changes to the underwriting policy as and when a change is made duly approved by its Board of Directors. An insurer shall show all the receipts and payments like premiums, claims, etc. relating to reinsurance business accepted separately from direct insurance business	
Outstanding Loss Provisioning	
Not applicable	(1) Every insurer shall make outstanding claims provisions for every reinsurance arrangement accepted on the basis of loss information advices received from Brokers / Cedants and where such advices are not received, on an actuarial estimation basis. (2) In addition, every insurer shall make an appropriate provision for incurred but not reported claims on its reinsurance accepted portfolio on actuarial estimation basis.

SUMMARY



General Insurance Corporation of India (GIC Re)

Before being notified as a National Reinsurer, GIC was operating as a holding / parent company of the four public sector general insurance companies, and controlled their reinsurance programmes. Since deregulation, GIC has assumed the role of the market's only professional re-insurer. As a sole reinsurer in the domestic reinsurance market, GIC Re provides reinsurance to the direct general insurance companies in the Indian market. GIC Re receives statutory cession of 5 % on each and every policy subject to certain limits. It leads many of domestic companies' treaty programmes and facultative placements.

In order to focus on reinsurance, both in India and through its overseas offices and trading partners, GIC has divested itself of any direct business that it wrote prior to November 2000. GIC currently manages Hull Pool on behalf of the market, which receives a cession from writing companies, and after a pool protection, the business is retro-ceded i.e. ceded back to the member companies. GIC also manages the Terrorism Pool and the Nuclear Liability Pool.

Tip

The entire general insurance business in India was nationalised by General Insurance Business (Nationalisation) Act, 1972 (GIBNA)

The website address of GIC is www.gicofindia.com.

There are guidelines for brokers regarding placement of Facultative Reinsurance and Treaty or Excess of Loss Reinsurance. These guidelines are, in effect, part of the code of conduct for brokers. In this regard, you can refer to IRDAI Circular no. 20/NL/IRDA/06 dated 15 September 2006. For example, in selecting the reinsurers to whom the risk is offered, the broker shall be mindful of the need to use only such reinsurers who are rated BBB or higher by a recognised credit rating agent, as required by Regulation 3(7) of IRDAI (General Insurance - Reinsurance) Regulations 2000. Where the reinsurance is over-placed, the signing down shall be done in consultation with the insurer in a manner consistent with good market practices. The ceding insurer shall have the right to tell the broker not to use a specific market, reinsurer or reinsurers.

Test Yourself 1

Question 1

Which of the following is not a fundamental objective of reinsurance of life and non-life insurances?

- A. Minimise retention within the country
- B. Develop adequate capacity
- C. Secure the best possible protection for the reinsurance costs incurred
- D. Simplify the administration of business.

11. Explain the various regulations related to CrossBorder Reinsurers [Learning Outcome k]

In the context of Guidelines on Cross Border Reinsurers exhaustive guidelines may refer from IRDAI circular no. IRDAI/NL/GDL/RIN/017/01/201 dated 19th January 2016, of which brief details are mentioned below. The below stated guidelines are applicable for all reinsurance business transactions commencing/ effective from 1st April 2016.

➤ Introduction

The Authority had vide Circular ref IRDA/NL/GDL/RIN/015/01/2012 dated 06-01-2012 issued Guidelines on submission of information on Cross Border Reinsurers not having any physical presence in India and do reinsurance business with Indian insurance companies.

The above guidelines are revised herewith in order to make it aligned with the amendments in the Insurance Act 1938, and the regulatory prescriptions made by the Authority with respect to Registration of Branch Office of Lloyds and other Foreign Reinsurers. **The revision is being made in order to streamline the regulatory process with respect to cross border reinsurers.**

These guidelines are issued by the Insurance Regulatory and Development Authority (IRDA) under the powers granted to it under Section 14 of IRDAI Act, 1999.

These guidelines shall be applicable to all Indian general insurance companies (incl AICL & ECGC), Stand-alone health insurance companies, Indian Reinsurers, Exempted Insurers, Branches opened in India by Lloyd's, Branches opened by other foreign reinsurers and reinsurance brokers.

The Authority vide these guidelines discontinues with the existing process of annual allotment of UIN to the cross border reinsurers. However, the cross border reinsurer has to submit an information sheet to the Authority, through an insurer, every year, in the manner specified in the guidelines. The insurer shall file the information sheet through an online portal. A filing reference number shall be created automatically, in the on line portal, on successful filing of the Cross Border Reinsurers information sheet.

These guidelines supersede the existing guidelines issued by the Authority vide Circular ref IRDA/NL/GDL/RIN/015/01/2012 dated 06-01-2012, on cross border reinsurers.

➤ Definitions

""**Cross Border Reinsurers (CBR)**" means those reinsurers who do not have any physical presence in India and do reinsurance business with Indian insurance/reinsurance companies.

"Insurer" For the purpose of these guidelines insurer means, all Indian General Insurance companies including ECGC & AICL, stand-alone health insurance

companies, Exempted Insurers, Indian Reinsurance companies registered with the IRDAI and Branches of Lloyds and other Foreign Reinsurance companies, who have been licensed by IRDAI to set up branch offices in India.

“Financial Year” means financial year in India starting from 1st April to 31st March.

➤ **Eligibility criteria**

All Cross Border Reinsurers shall necessarily comply with the following eligibility criteria-

- a. The CBR shall have over a period of the past five years, counting from the year preceding for which the business has to be placed, enjoyed a credit rating of at least BBB (with Standard & Poor) or equivalent rating of any other international rating agency.
- b. The past claims performance of the CBR should be satisfactory.
- c. The cross border reinsurer shall be a legal entity in its home country and regulated and supervised by its home regulators/ supervisors.
- d. The cross border reinsurer is required to have a solvency margin/ capital adequacy as stipulated by the home regulator/supervisor.
- e. The financial strength, quality of the management and adequacy of technical reserving methodologies of the cross border reinsurer should be monitored by its supervisory authority, in the home country.
- f. The Cross Border Reinsurer should be registered and/or certified in a national regulatory environment with which the Government of India has signed Double Taxation Avoidance Agreement.

➤ **Filing of information sheet**

- a. The cross border reinsurer planning to write reinsurance business shall file its information sheet (Annexure A) along-with necessary documents and enclosures with/through any insurer in whose Reinsurance program it proposes to participate, **before transacting reinsurance business with any of the Indian insurance /reinsurance companies for the financial year.**
- b. The information sheet shall be submitted separately by each CBR branch/subsidiary/ Lloyd’s syndicate/Incidental Syndicate.

The insurer shall necessarily conduct the required due diligence, scrutinize the documents and ensure strict compliance with the eligibility criteria prescribed in these guidelines, before finally filing the documents with the Authority. The insurer, after due verification, shall file the same to the Authority with its forwarding letter, through the online portal provided in the IRDAI website.

On successful submission of the requirements a Filing reference number shall be generated automatically in the online portal.

Once the documents are filed with the Authority for any particular CBR the same need not be filed again by other insurers during that financial year. The filing shall be valid for one year upto the end of the Financial Year.

➤ **Duty of the Insurer**

- a. The insurer filing the CBR information sheet shall maintain all records and notes of such filings and reinsurance placements for the inspection of the Authority from time to time.
- b. The onus of placing reinsurance business with cross border reinsurers shall be on the Insurers. Before placing reinsurance business, it is the responsibility of insurer to ensure that the cross border reinsurers meet the requirements as specified by the Authority from time to time.
- c. It would be the duty of the insurers and the reinsurance intermediaries, to bring to the notice of the Authority, any material information as regards the cross border reinsurers that would impair the ability of the reinsurer to meet their commitments towards cedants.
- d. Within 30 days of the commencement of the financial year, every Indian re/insurer shall submit a certificate of compliance (in Annexure B) confirming that all its reinsurance placements to cross border reinsurers are made only to those CBRs who comply with the eligibility criteria prescribed in these guidelines. This certificate is to be filed with the Authority along with submissions required to be made under regulation 3(6) of the IRDAI (General Insurance-Reinsurance) Regulation 2013.

➤ **Placement with Cross Border Reinsurers not Compliant with Eligibility Criteria prescribed in the guidelines**

- a. No insurer shall place any reinsurance business with CBRs not complying with the Eligibility criteria prescribed in the guidelines without prior approval of the Authority.
- b. In case any Insurer, under certain circumstances, wants to place business with CBRs not complying with the Eligibility criteria prescribed under these guidelines, shall make a specific request to the Authority sufficiently justifying its recommendation for approval.
- c. Such placements need to have approval of the insurer's board. In case, the Board approves the proposed placements, prior to making a request to the Authority, a copy of the approval of the Board shall be submitted to the Authority, along with such requests. If the matter is not placed before the board prior to making a request to the Authority, the insurer shall submit the copy of board approval at the time of making an online

filing for generating reference number, after receiving approval letter from the Authority.

- d. Prior to making reinsurance placement with the CBR the insurer shall submit the information sheet (duly signed by the Authorised official of the CBR) along with the following documents.
 - i. Copy of Registration certificate
 - ii. Copy of financial statements for previous 3 years.(In case the CBR has been allotted UIN/ approval by the Authority in the previous Financial year, submission of latest year's financial statements would be sufficient)
 - iii. Credit rating certificate issued by the rating agency along with rating rationale
 - iv. Details of existing relationship with Indian Insurer/Reinsurer (if any)
 - v. The quantum of business the CBR has done with Indian Insurers/ Reinsurer during the previous 3 yrs(if any)
 - vi. Information on their past claims settlement experience (if available).
 - vii. Copy of board approval for such request
 - viii. Specific recommendation of the insurer justifying as to why they would like to make Reinsurance placements with the referred CBR. Such recommendation shall necessarily be made by the Head of Reinsurance Department of the Insurer.
 - ix. Any other relevant document or information sought by the Authority from time to time.
- e. Mere requests, with general/vague recommendations, shall not be considered by the Authority. Mere submission of recommendations to the Authority shall not be construed as automatic approval of the Authority
- f. The Authority, based on merits of each such request, may or may not grant approval for such requests.
- g. The Approval, if granted, shall be valid for one financial year only during which the request is made. The CBR shall become eligible for transacting reinsurance business with Indian Insurers subsequent to the approval. The approval shall be an offline process and the filing online shall be made only after receipt of specific written approval from the Authority for the Financial year under consideration.
- h. All placements made with the Cross border reinsurers other than those complying with these guidelines shall be placed before the company's board for their approval/ratification.
 - i. Notwithstanding anything contained in these guidelines, the insurers shall comply with the Insurance Act and other applicable regulations issued by the Authority from time to time.
 - ii. The above guidelines shall be effective for all reinsurance business transactions commencing/ effective from 1st April 2016

12. Understand the Code of Conduct and Categorisation of Surveyors.

[Learning Outcome I]

Role and Duties of Surveyors

Insurance companies appoint surveyor to assess the loss and damages and then compare it with the claim of insured. After satisfaction, the insurance company initiates settlement of the claim. In this whole episode the Surveyors play crucial role between the insured and the insurer. Before going to deal with work of surveyor, it is necessary to know who can be a surveyor, the eligibility and qualifications needed for surveyor etc.

Surveyors are professionals who assess the loss or damage and serve as a link between the insurer and the insured. When insured lodges a claim before the insurance company, the insurance company appoints a surveyor. Their job is to assess the actual loss and avoid false claims. Surveyors like agents, are not employees but are independent professionals hired by the insurance company.

Licensing Procedure

Application for, and matters relating to, grant of licence

- (1) Every person intending to act as a surveyor is required to be a member of the Indian Institute of Insurance Surveyors and Loss Assessors (IISLA); a Company incorporated under the Companies Act 2013 and apply to the IRDAI for a licence.
- (2) The IRDAI shall, before granting licence, take into consideration all matters relating to the duties, responsibilities and functions of surveyor and loss assessor and satisfy itself that the applicant is a fit and proper person to be granted a licence. The Authority shall satisfy itself that the applicant, in addition to submitting the application completed in all respects also possesses such additional technical qualifications as may be specified by the Authority from time to time; has furnished evidence of payment of fees for grant of licence, depending upon the categorization and undergone practical training, for a period not less than 12 months.
- (3) The IRDAI on being satisfied that the applicant is eligible for grant of licence, shall grant the same and send an intimation to the applicant together with an identity card mentioning the particular class or category of general insurance business namely, fire, marine cargo, marine hull, engineering, motor, miscellaneous and loss of profit for which the Authority has granted licence and the licence shall remain valid for a period of five years from the date of issue thereof, unless cancelled earlier.
- (4) A surveyor and loss assessor, whose licence has been cancelled or suspended for any reason, may submit an application for issuance of licence, after the expiry of three years from the date of such cancellation or suspension, and, such an application shall be treated as a fresh case.

- (5) A licence issued, before the commencement of these regulations, by the Controller of Insurance or his authorised representative shall be deemed to have been issued in accordance with these regulations.

Corporate Surveyors and Loss Assessors

- (1) Where the applicant is a company or firm, the IRDAI shall be satisfied that all the directors or partners, possess one or more of the qualifications specified in the Act and none of such directors or partners, suffers from any of the disqualifications mentioned in the Act .
- (2) The IRDAI on being satisfied that the applicant is eligible for grant of licence, shall apply mutatis mutandis to corporate surveyors.

Renewal of licence

- (1) An insurance surveyor and loss assessor, desiring to renew the licence granted earlier, either under these regulations or prior to the commencement of these regulations, shall apply to the Authority at least thirty days before the expiry of the period or IRDAI may, if it is satisfied that undue hardship would be caused, accept any application, within six months of its expiry on payment by the applicant of a penalty of seven hundred and fifty rupees.

Provided further that a license not so renewed can be revalidated only as a fresh case.

- (2) A licence so renewed shall be valid for five years from the date of renewal, unless cancelled earlier. Every applicant, be it an individual or a company or a firm, while applying for renewal of the licence shall certify to the IRDAI that he or any of its directors or any of its partners, as the case may be, has:
- (i) not contravened any of the provisions of the Act or the IRDAI Act,;
 - (ii) not made a statement which is false in material particulars with regard to his eligibility for the licence;
 - (iii) neither had his licence cancelled or suspended under the Act, nor had violated the Code of Conduct prescribed under these regulations;
 - (iv) discharged the duties and responsibilities as a professional;
 - (v) not been negligent in the discharge of his obligations;
 - (vi) not been sentenced to a term of imprisonment by any Court of law.

Duties and Responsibilities of a Surveyor and Loss Assessor

A surveyor and loss assessor shall, investigate, manage, quantify, validate and deal with losses (whether insured or not) arising from any contingency, and report thereon, and carry out the work with competence, objectivity and professional integrity by strictly adhering to the code of conduct expected of such surveyor and loss assessor.

The following, shall, be the duties and responsibilities of a surveyor and loss assessor:-

Declaring whether he has any interest in the subject-matter in question or whether it pertains to any of his relatives, business partners or through material shareholding; Bring to the notice of the Authority any changes in the information or particulars furnished at the time of issuance of the license, within a period not exceeding fifteen days from the date of the occurrence of such change, that has a bearing on the licence granted by the Authority

- (i) Maintaining confidentiality and neutrality without jeopardizing the liability of the insurer and claim of the insured;
- (ii) Conducting inspection and re-inspection of the property in question suffering a loss;
- (iii) Examining, inquiring, investigating, verifying and checking upon the causes and the circumstances of the loss in question including extent of loss, nature of ownership and insurable interest;
- (iv) Conducting spot and final surveys, as and when necessary and comment upon franchise, excess/under insurance and any other related matter;
- (v) Estimating, measuring and determining the quantum and description of the subject under loss;
- (vi) Advising the insurer and the insured about loss minimisation, loss control, security and safety measures, wherever appropriate, to avoid further losses;
- (vii) Commenting on the admissibility of the loss as also observance of warranty conditions under the policy contract;
- (viii) Surveying and assessing the loss on behalf of insurer or insured;
- (ix) Assessing liability under the contract of insurance;
- (x) Pointing out discrepancy, if any, in the policy wordings;
- (xi) Satisfying queries of the insured/insurer and of persons connected thereto in respect of the claim/loss;
- (xii) Recommending applicability of depreciation and the percentage and quantum of depreciation;
- (xiii) Giving reasons for repudiation of claim, in case the claim is not covered by policy terms and conditions;
- (xiv) Taking expert opinion, wherever required;
- (xv) Commenting on salvage and its disposal wherever necessary

(i) Bring to the notice of the Authority any changes in the information or particulars furnished at the time of issuance of license, within a period not exceeding fifteen days from the date of occurrence of such change that has a bearing on the license granted by the Authority.

(ii) A surveyor or loss assessor whether appointed by insurer or insured, shall submit report to the insurer as expeditiously as possible, but not later than 30 days of his appointment, with a copy of the report to the insured giving his comments on the insured's consent or otherwise on the assessment of loss. Where, in special circumstances of the case, either due to its special and complicated nature, the surveyor shall under intimation to the insured, seek an extension, in any case not exceeding six months from the insurer for submission of his report.

- iii) In cases where the Survey report is pending due to non-completion of documents, the surveyor may issue the final survey report independently based on the available documents on record, giving minimum three reminders in writing to the insured.
- iv) If an insurer, on the receipt of a survey report, finds that it is incomplete in any respect, he shall require the surveyor under intimation to the insured, to furnish an additional report on such incomplete issues. Such a request may be made by the insurer within 15 days of the receipt of the original survey report.

Provided that the facility of calling for an additional report by the insurer shall not be resorted to more than once in the case of a claim.

- v) The surveyor on receipt of this communication shall furnish an additional report within three weeks of the date of receipt of communication from the insurer.

Categorisation of Surveyors

The Surveyors are categorised on the basis of the level of membership of the Institute Members are categorised as:

Student: a trainee seeking to obtain a license

Licentiate: holding a valid license to act as surveyor

Associate: holding a valid license for a continuous period not less than 8 years.

Fellow: holding a valid license for a continuous period of not less than 16 years.

Every member will be required to attend training, seminars and workshops conducted by the Institute with the Approval of the Authority for a minimum period as specified in the regulations for the category of membership for renewal or upgrading of levels

Code of Conduct

Every surveyor and loss assessor shall:

- (1) behave ethically and with integrity in the professional pursuits. Integrity implies not merely honesty but fair dealings and truthfulness;
- (2) strive for objectivity in professional and business judgment;
- (3) act impartially, when acting on instructions from an insurer in relation to a policy holder's claim under a policy issued by that insurer;
- (4) conduct himself with courtesy and consideration to all people with whom he comes into contact during the course of his work;
- (5) not accept or perform survey works in areas for which he does not hold a licence;

- (6) not accept or perform work which he is not competent to undertake, unless he obtains some advice and assistance, as will enable him to carry out the work competently;
- (7) carry out his professional work with due diligence, care and skill and with proper regard to technical and professional standards expected of him;
- (8) keep himself updated with all developments relevant to his professional practice;
- (9) at all times maintain proper record for work done by him and comply with all relevant laws;
- (10) assist and encourage his colleagues to obtain professional qualifications, and, in this behalf, provide free articleship and/or practical training for a period of twelve months;
- (11) maintain a register of survey work, containing the relevant information, and shall keep important records of the survey reports, photographs and other important documents for a period three years and furnish the same and such other specified returns, as and when called for by the Authority or by any investigating authority or the insurer;
- (12) disclose to all parties concerned his appointment, where the acceptance or continuance of such an engagement may materially prejudice, or could be seen to materially affect the interests of any interested party. As soon as a conflict of interest is foreseen, every surveyor and loss assessor shall notify all interested parties immediately and seek instructions for his continuance;
- (13) not disclose any information, pertaining to a client or employer or policy holder acquired in the course of his professional work, to any third party, except, where consent has been obtained from the interested party, or where there is a legal right or duty enjoined upon him to disclose;
- (14) neither use nor appear to use, any confidential information acquired or received by him in the course of his professional work, to his personal advantage or for the advantage of a third party.
- (15) Work only as Surveyor and Loss assessor in insurance business and not undertake any business activity or consultancy service or work which could give rise to conflict of interest.
- (16) Not perform any outsourced activity other than permitted by the Authority's Outsourcing Guidelines.
- (17) Acknowledge receipt of all monies received in connection with fee or remuneration received for carrying out survey work
- (18) shall undertake survey jobs in a company /firm only as an employee/director/partner.
- (19) Every Surveyor and Loss Assessor who is an employee of an insurer shall only survey and assess the loss and not involve himself/herself in settlement of claims.
- (20) Comply with the provisions of AOA, regulations, and Code of Ethics framed by the Institute from time to time.
- (21) Comply with all the provisions of the Act, the IRDA Act, the Rules and Regulations made there under and other orders, directions and guidelines issued by the Authority from time to time."

“Trainee Applicants and Practical training”.

- (1) A Student Member seeking a license to act as a Surveyor and Loss Assessor shall apply and enrol with Authority as Trainee in FORM-IRDAI-13 as given in the Schedule II to these Regulations, after having obtained the willingness to impart training from his trainer in FORM-IRDAI-14 as given in the Schedule II to these Regulations, and shall undergo practical training for a period of not less than twelve months with a licensed Surveyor and Loss Assessor as specified below:
- (2) During the period of training, every applicant who is a Student Member of the Institute and enrolled as trainee shall comply with the code of conduct and code of ethics prescribed by the Institute and duly approved by the Authority and shall include the following: (a) Behave ethically and with integrity. Integrity implies not merely honesty but fair dealings and truthfulness. (b) Not accept/perform/undertake/any survey works and not issue any survey report without holding a valid license issued by the Authority to act as Surveyor and Loss Assessor (c) Maintain at all times, proper record of training details duly certified by the trainer surveyor, (d) Disclose all information relating to any proceedings initiated or investigation pending or carried out/against him/her or by any agency and details of the outcome thereof” (e) File within 15 days, any change in information already submitted to the Authority (f) Any other instructions specified by the Authority/Institute from time to time.
- (3) The surveyor under whom a trainee will be trained shall be an Associate or Fellow member of the Institute.
- (4) The trainee shall maintain a quarterly record of training received in FORM-IRDAI-15 during the period and shall get it certified by the Surveyor and Loss Assessor under whom he has been trained and the certificate in FORM-IRDAI-16 shall be attached to the application for seeking grant of a license under Regulation 3;
- (5) The license to be granted to an applicant to act as a Surveyor and Loss Assessor shall be in that particular area for which he has been trained;
- (6) If a Surveyor and Loss Assessor already licensed by the Authority seeks to obtain a similar license for acting as a surveyor in a department of general insurance business other than for which he has been licensed, he shall undergo a period of training of not less than six months under a licensed Surveyor and Loss Assessor holding either a Fellow or Associate Membership to act in that particular area.
- (7) Those who have enrolled as trainees with the Authority as on the date of notification of these Regulations shall become Student Members of the Institute and shall comply with the criteria set out in Regulation 3 for grant of license to act as Surveyor and Loss Assessor.

The Authority may also prescribe the passing by an applicant of an examination on the successful completion of the training prescribed above for the grant of a license under Regulation 3. The examination may be conducted either by the Insurance Institute of India or by an institution authorized by the Authority.

Submission of returns

Every licensed surveyor and loss assessor shall:

- (a) furnish such of the document, statement, account, return or report, as and when required by the IRDAI, and comply with such directions, as may be issued by the Authority in this behalf, from time to time; and
- (b) Submit an annual statement given in the Schedule to these regulations.

Inspection

The IRDAI may appoint one or more persons as inspecting authority to undertake inspection of survey work, books, records and documents, or to investigate any bona fide complaint received against a surveyor and loss assessor. The inspecting authority shall, as soon as possible, submit an inspection report to the Authority.

Summary

- “Only insurance brokers are required to maintain an “Insurance Bank Account’, Corporate agents with more than 50% revenue from insurance intermediation and insurance brokers are required to maintain a professional indemnity policy.”
- “Composite Insurance Agent” means an Insurance Agent acts as an insurance agent for not more than three life insurers, three health insurers and three general insurers.
- The brokers’ functions are wider in scope than the corporate / individual agents. It includes maintaining records, risk management and consultancy etc.
- “The minimum capital prescribed for a direct broker is 50 lakhs, reinsurance broker is 200 lakhs and composite broker is 250 lakhs. For a corporate agent minimum 50 lakhs. No minimum amount of capital has been prescribed for individual agents.”
- A licence once issue is valid for 3 years.
- There is a ceiling on the proportion of business that insurance brokers and corporate agents can obtain from a single organization or person. No such ceilings (proportion of business from a single client) are applicable for individual agents.
- It is mandatory for every life insurer operating in India to have a programme of reinsurance in respect of lives covered by them.

- General insurers are allowed to maintain the maximum possible retention commensurate with their financial strength and volume of business. The IRDAI has the power to ask a General Insurer to justify its retention policy.
- Every general insurer is required to make outstanding claims provision for every reinsurance arrangement accepted on the basis of loss information advices received from Brokers / Cedants. In the cases where such advices are not received, the provisions are created on the basis of actuarial estimations.
- Every general insurer is required to make an appropriate provision for Incurred But Not Reported (IBNR) claims on the reinsurance accepted portfolio. This provision is made on actuarial estimation basis.

Answers to Test Yourself

Answer to TY 1

The correct options is A.

One of the fundamental objectives of reinsurance of life and non-life insurances is to maximise retention within the country.

Self-Examination Questions

Question 1

Which of the following describes a reinsurance broker?

- A. He / She is licensed by the Authority to act as such, for a remuneration carries out the functions as specified under regulation 3 either in the field of life insurance or general insurance or both on behalf of the clients.
- B. An insurance broker who, for remuneration, arranges reinsurance for direct insurers with insurance and reinsurance companies.
- C. An insurance broker who for the time-being licensed by the Authority to act as such, for a remuneration arranges insurance for its clients with insurance companies and / or reinsurance for its client/s
- D. All of the above

Question 2

Fill in the blank by choosing the correct option:

In the case of an insurance brokers, the Principal Officer and persons soliciting and procuring business are required to undergo at least _____ hours of theoretical and practical training from an institution recognized by the Authority.

- A. 10
- B. 50/25
- C. 200

D. 500

Question 3

Fill in the blank by choosing the correct option

The minimum capital required for a direct broker is _____, a reinsurance broker is _____ and composite broker is _____.

- A. 50 lakhs, 100 lakhs, 200 lakhs
- B. 75 lakhs, 400 lakhs, 500 lakhs
- C. 200 lakhs, 100 lakhs, 50 lakhs
- D. 250 lakhs, 200 lakhs, 50 lakhs

Question 4

For which of the following it is mandatory to purchase professional indemnity insurance?

- A. Brokers
- B. Corporate agents
- C. Insurance agents
- D. All of the above

Question 5

What does IBNR in insurance business stand for?

- A. Incurred But Not Reported
- B. Incurred But Not Realised
- C. Injured But Not Reported
- D. Injured But Not Realised

Question 6

As per IRDAI (Life Insurance - Reinsurance Regulations) 2000, the reinsurer chosen by the insurer must enjoy a credit rating of a minimum of _____ of Standard and Poor or equivalent rating of any international rating agency.

- A. AA+
- B. AAA
- C. BBB
- D. CCC

Question 7

Who is the National Reinsurer of India?

- A. Life Insurance Corporation of India
- B. General Insurance Corporation of India

- C. Reinsurance Corporation of India
- D. Insurance Regulatory and Development Authority

Question 8

Which of the following needs to create outstanding claims provision for every reinsurance arrangement accepted on the basis of loss information advices received from Brokers / Cedants and where such advices are not received, on an actuarial estimation basis?

- A. Life insurers
- B. General insurers
- C. Both
- D. None of the above

Question 9

As per the IRDAI (Life Insurance - Reinsurance Regulations) 2000, an insurer needs to file with the Authority, at least _____ days before the commencement of each financial year, a note on its underwriting policy indicating the classes of business, geographical scope, underwriting limits and profit objective.

- A. Fifteen
- B. Thirty
- C. Forty-five
- D. Sixty

Answers to Self-Examination Questions

Answer to SEQ 1

The correct option is **B**.

Option A describes a direct broker.

Option C describes a composite broker.

Answer to SEQ 2

The correct option is **B**.

In the case of insurance broker, the Principal Officer and persons soliciting and procuring business required to receive at least 50/25 hours of theoretical and practical training from an institution recognized by the IRDAI and pass an examination, at the end of the period of training conducted by the National Insurance Academy, Pune.

Answer to SEQ 3

The correct option is **B**.

The minimum amount of capital required by an insurance broker depends upon the type of insurance broker the applicant wishes to become. For a direct broker the amount is 75 lakhs, for a reinsurance broker it is 400 lakhs and for a composite broker the minimum amount of capital prescribed is 500 lakhs.

Answer to SEQ 4

The correct option is **A**.

Every insurance broker needs to take out and maintain a professional indemnity insurance cover throughout the validity of the period of the broking licence granted to him by the Authority.

Answer to SEQ 5

The correct option is **A**.

IBNR in insurance business means Incurred But Not Reported. It refers to the recognition that events have taken place in such a manner that they will eventually produce claims. However, these events have not yet been reported to the insurance company.

Answer to SEQ 6

The correct option is **C**.

The reinsurer must have a minimum credit rating of BBB from Standard and Poor or equivalent rating of any international rating agency.

Answer to SEQ 7

The correct option is **B**.

General Insurance Corporation of India has been notified as the National Reinsurer of India. Life Insurance Corporation of India (LIC) is a life insurance company. Insurance Regulatory and Development Authority is the regulator for the Indian insurance industry, created for the supervision and development of the insurance sector in India.

Answer to SEQ 8

The correct option is **B**.

The life insurers in India are not required to create outstanding claims provisions.

Answer to SEQ 9

The correct option is C.

The IRDAI (Life Insurance - Reinsurance Regulations) 2000 require an insurer to file with the Authority, at least 45 days before the commencement of each financial year, a note on its underwriting policy indicating the classes of business, geographical scope, underwriting limits and profit objective.

CHAPTER 4

REGULATIONS ON CONDUCT OF BUSINESS I

Chapter Introduction

In this chapter you will learn about various regulations laid down by IRDAI pertaining to conduct of insurance business. You will learn about the insurers' obligations to rural and social sectors. You will learn about the nature of micro-insurance, how it evolved and how it operates today. In addition, you would be able to appreciate the type and nature of risks low income group people face and how micro-insurance takes care of these eventualities.

Learning Outcomes

- a) Understand the insurers' obligations to rural and social sectors
- b) Understand the insurers' obligations to Micro Insurance
- c) Understand the meaning of micro-insurance.
- d) Be aware of the history of micro-insurance.
- e) Understand the IRDAI Micro-insurance Regulations, 2005.
- f) Understand the regulation of ULIPs
- g) Explain how Unit Linked Insurance Policies (ULIPs) work.
- h) Explain the regulatory environment of Unit Linked Insurance Policies (ULIPs).
- i) Understand the meaning of money laundering
- j) Discuss the stages and methods of money laundering
- k) Learn about money laundering legislation and international co-operation
- l) Be aware about Know Your Customer (KYC) guidelines
- m) Be aware of Anti-Money Laundering (AML) and Countering Financing of Terrorism (CFT) guidelines
- n) Learn about the different methods of receipt of premium
- o) Gain an understanding of the commencement of risk

1. Understand the insurers' obligations to rural and social sectors.

[Learning Outcome a]

IRDAI (Obligations of Insurers to Rural Social Sectors) Regulations, 2002

1. “Rural sector” shall mean any place or areas classified as rural while conducting the latest decennial population censuses

Explanation:

The categories of workers falling under agricultural pursuits are as under:

- (i) Cultivators;
 - (ii) Agricultural labourers
 - (iii) Workers in livestock, forestry, fishing, hunting and plantations, orchards and allied activities.
- (a) “Social sector” includes unorganised sector, informal sector, economically vulnerable or backward classes and other categories of persons, both in rural and urban areas;
 - (b) “economically vulnerable or backward classes” means persons who live below the poverty line;
 - (c) “Unorganised Sector” includes self-employed workers such as agricultural labourers, bidi workers, brick kiln workers, carpenters, cobblers, construction workers, fishermen, hamals, handicraft artisans, handloom and khadi workers, lady tailors, leather and tannery workers, papad makers, power loom workers, physically handicapped self-employed persons, primary milk producers, rickshaw pullers, safaikaramcharis, salt growers, sericulture workers, sugarcane cutters, tendu leaf collectors, toddy tappers, vegetable vendors, washerwomen, working women in hills, daily wagers, hired drivers and coolies or such other categories of persons.
 - (d) “other categories of persons” includes persons with disability as defined in the Persons with Disabilities (Equal Opportunities, Protection of Rights, and Full Participation) Act, 1995 and who may not be gainfully employed; and also includes guardians who need insurance to protect spastic persons or persons with disability;
 - (e) “Informal Sector” includes small scale, self-employed workers typically at a low level of organisation and technology, with the primary objective of generating employment and income, with heterogeneous activities like retail trade, transport, repair and maintenance, construction, personal and domestic services and manufacturing, with the work mostly labour intensive, having often unwritten and informal employer-employee relationship.

2. Obligations

Every insurer, who begins to carry on insurance business after the commencement of the Insurance Regulatory and Development Authority Act, 1999, for the purposes of Sections 32B and 32C of the Insurance

Act, 1938 as amended from time to time, shall ensure that it undertakes the following obligations, during the financial years indicated herein, pertaining to the persons in-

A. Rural Sector

1. **In respect of a Life Insurer the following percentages of the total number of policies written in the respective years shown below:**

Sr No	Financial year from inception	Percentage of number of policies
i	First year	7%
ii	Second year	9%
iii	Third year	12%
iv	Fourth year	14%
v	Fifth year	16%
vi	Sixth and seventh year	18%
vii	Eighth and ninth year	19%
viii	Tenth year and every year thereafter	20%

2. **In respect of a General Insurer, the percentage of gross premium income written direct in the respective years shown below:**

Sr. No.	Financial year from inception	Percentage of gross premium written direct
i	First year	2%
ii	Second year	3%
iii	Third year to Seventh year	5%
iv	Eighth year	6%
v	Ninth year and every year thereafter	7%

3. **In respect of Standalone Health Insurers**

i) 50% of the obligations prescribed for General Insurers

B. Social Sector

- In respect of all Insurers (Life, Non-Life, Stand-alone Health):**

Age of the Insurers in years	“Percentage of Social Sector lives” computed on the total business procured in the preceding financial year
1	0.5%
2	1%
3	1.5%
4	2%
5	2.5%
6	3%
7	3.5%
8	4%
9	4.5%
10 and above	5%

Note: Total business for the purpose of these regulations is the total number of policies issued in case of individual insurance and number of lives covered in case of Group Insurance. **In case of individual health insurance policies covering the lives of family members, the lives covered under such policy may be taken into account both in determination of target as well as actual performance.**

Provided that in cases where an Insurer commences operations in the second half of the financial year and is in operations for less than six months as at 31st March of the relevant financial year, no rural and social sector Obligations shall be applicable for the said period, and (ii) the annual obligations as indicated in the Regulations shall be reckoned from the next financial year which shall be considered as the first year of operations for the purpose of compliance to this regulations. However, in cases where an Insurer commences operations in the first half of the financial year, that financial year shall be treated as the first year of operations and the applicable obligations for the first year shall be 2500 lives for Social Sector. Similarly the obligations for Rural Sector shall be half of the percentage prescribed for the first year.

➤ **Notes applicable to Regulations 3**

- The term ‘lives’ referred to in Regulations 3 in respect of all Insurers refers to human lives newly insured during the year and should have remained in force as at the end of each financial year. With regard to Crop Insurance, the lives of individual beneficiaries/farmers covered may be considered for social sector obligations.
- Re-insurance premium shall not be included while calculating the

obligations of the insurers in respect of the Rural and Social Sectors.

- Business pertaining to Government subsidized social security schemes where total premium is paid by the Government will not be considered for the rural and social sector obligations. This provision shall be effective only from financial year 2017-18 though the overall applicability of the obligations prescribed in these regulations is from Financial year 2016-17 as stated in Regulation 1.3.

(**Explanation:** Government subsidized social security scheme for the above purpose is where the full premium under the scheme is subscribed by the Government without any contribution from the members/beneficiaries covered)

- The Authority may prescribe or revise the obligations specified in these Regulations from time to time.

➤ **Compliance**

- Micro insurance policies issued are eligible to be reckoned for the social sector obligations.5.1.1 where a micro insurance policy is issued in a rural area, such micro insurance policies may be reckoned for both rural and social sector obligations separately.
- Every Insurer shall put in place effective operational procedures for accurate classification of the business obligations into the Rural Sector and Social Sector as per these Regulations.
- Every Insurer shall furnish an annual certificate by the Chief Executive Officer or the Principal Officer within ninety days from the end of the Financial Year submitting the actual business details of the obligations fulfilled towards these Regulations.

➤ **Submission of Returns**

Every insurer shall submit a return, as part of the financial returns to be submitted under the Insurance Regulatory and Development Authority (Preparation of Financial Statements and Auditors Report of Insurance Companies) Regulations, 2002 as modified from time to time, the Rural and Social Sector obligations specified under these Regulations and disclose the level of compliance achieved during the said year. Such reporting shall form part of the 'Notes to the Accounts'.

2. Understand the insurers' obligations to Micro Insurance

[Learning Outcome b]

Micro Insurance

As India strongly marches towards two decades of liberalised insurance industry, the need for insurance products is undoubtedly growing. Buoyed by an ability to provide life insurance protection to nearly two people every second, the need for awareness of risk and education in the insurance sector is gaining fervent pace. However, when we enter micro-insurance, the picture is a mere dot on the canvas.

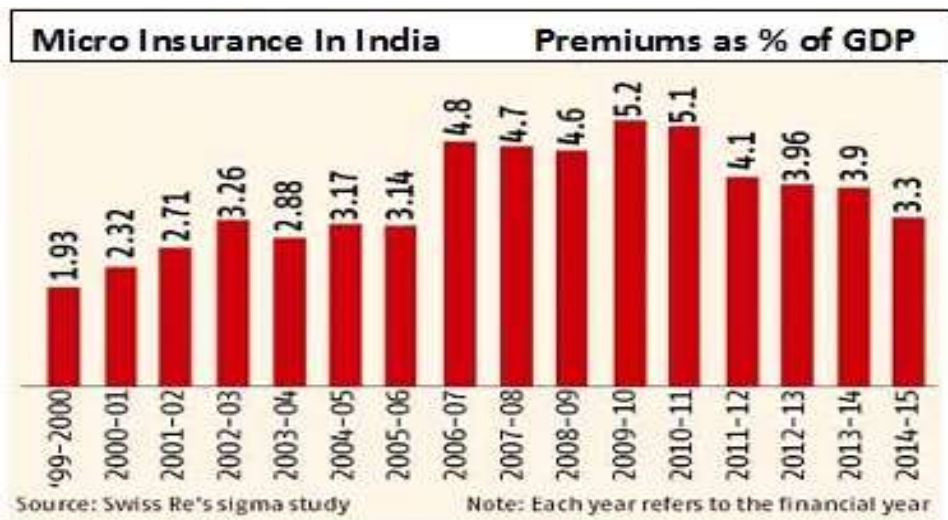
Look at this scenario

Micro-insurance and dairy co-operatives

Madanpal is a fifty two year old milk procurement supervisor at Ludhiana Milk Union. He maintains checks and balances at the local collection centre and settles accounts. He also doubles up as a part-time insurance agent, educating colleagues on the benefits of having a life cover. Like Madanpal, many grassroots level representatives are being roped in by insurers to increase their presence in India's hinterland. And micro insurance is slowly becoming big business, many insurers are serving the rural population of the country covering services of people like Madanpal.

The micro-insurance portfolio has made steady progress. More life insurers have commenced their micro-insurance operations and many new products are being introduced every year. The distribution infrastructure has also been considerably strengthened and the new business has shown a decent growth, though the volumes are still small. Micro-insurance business was procured largely under the group portfolio. Life Insurance Corporation of India (LIC) contributed the most both in terms of policies sold and number of micro-insurance agents. With the notification of the IRDAI (Micro-insurance) Regulations 2005, and latest Revision through IRDAI reference Number F. No. IRDA/Reg/2/92/2015, dated 22-04-2015 i.e. IRDAI (Micro Insurance) Regulations, 2015 by the Authority, there has been a steady growth in the design of products catering to the needs of the poor.

The flexibilities provided in the Regulations allow the insurers to offer composite covers or package products. Insurance companies are now offering already approved general insurance products as micro-insurance products with the approval of the Authority, if the sum assured for the product is within the range prescribed for micro-insurance.



Huge Scope for Micro-insurance intervention in India

- About 42% or 100 million households in India have no access to banking facilities (2015 release of the Ministry of Finance).
- About 45% of 168 million rural households and 33% of 79 million urban households do not have bank accounts.
- In urban areas, insurance penetration in the market is approx 65% and is much less in the low-income unbanked segment.
- In rural areas, life insurance penetration in the banked segment is estimated at 40%, and is marginal in the unbanked segment.

3. Understand the meaning of micro-insurance.

[Learning Outcome c]

3.1 Meaning of Micro-insurance

All insurance companies operating in India have an obligation enforced by Insurance Regulatory Development Authority of India (IRDAI) to derive certain portion of their business from rural areas. To fulfill this obligation, many insurance companies have come up with products suited to the rural population and tied up with micro finance institutions (MFIs) in rural areas to promote these insurance products. Under micro-insurance, MFIs sell Micro life insurance as well as general insurance and health insurance products. Micro-insurance aims at providing insurance cover to poor and low income people at affordable rates. Micro-insurance is the protection of low-income people against specific perils in exchange for regular premium payments proportionate to the likelihood and cost of the risk involved.

Example

Micro-insurance protects the low income group people against loss of income due to death or accident (life insurance) and against risks to their assets (non-life insurance). Micro-insurance can help in the following scenarios:

- death of the bread earner
- funeral expenses
- loss of small-scale assets due to perils
- livestock damage
- crop damage

The critical features of micro-insurance include:

- transactions are low-cost and exhibit members' willingness to pay
- clients are essentially low-net-worth but not necessarily uniformly poor
- the essential role of the network of micro-insurance units is to enhance risk management of the members of the entire pool of micro-insurance units over and above what each can do when operating as a single entity

Micro-insurance, regardless of its small unit size and its activities at the level of single communities, is similar to insurance, in the concept of pooling. The insurance industry works on the concept of pooling. People who are exposed to similar risks are brought together. The members in the group agree that, if any one of them suffers a loss, the other group members will share the loss and compensate the person who suffered the loss. The compensation is expected to put the person in the same place, financially, as he was before suffering the loss.

Instead of the people from the group coming together on their own, the insurance company acts as an intermediary and brings them together. The members who are exposed to the same risk contribute money to a pool, which is maintained by the insurance company.

When any member suffers a loss, the insurance company pays compensation from this common pool. In this way, the risk is spread among the members of the group and the probable big impact on one is reduced to smaller, manageable impacts on all.

Micro-insurance covers a wide variety of risks. These include life and health risks (illness, injury or death) and risks to which assets are exposed.

Example

Products offered under micro-insurance include:

- Crop insurance
 - Livestock / cattle insurance
 - Insurance against theft
 - Health insurance
 - Term life insurance
-

3.2 Need for micro-insurance

Micro-insurance is a very useful tool in times of eventualities. The low-income group people may fall back into poverty in times of hardships and this is where micro-insurance can help.

Example

Micro-insurance is useful when the breadwinner of the family dies, or when families are forced to take loans at high interest rates in case of illnesses.

Micro-insurance makes it possible for people to take on more risks.

Example

When farmers are insured against a bad harvest (resulting from drought), they are in a better position to grow high yield crops in good years. Without insurance, farmers will grow crops which are more drought resistant, but which have a much lower yield in good weather conditions as their risk taking ability is reduced without insurance.

Test Yourself 1

Question 1

_____ is a term related to insurance characterised by low premium and designed to serve low income group people.

- A. Insurance
 - B. General insurance
 - C. Micro-insurance
 - D. Life insurance
-

4. Be aware of the history of micro-insurance.

[Learning Outcome d]

Microfinance empowers the poor to become economically self-reliant and independent, by providing financial services in a sustainable manner. It basically refers to provision of financial services to poor or low income people. These low income people can be consumers who need loans for fulfilling their personal requirements, or self-employed people who need loans to set up and sustain their businesses. The aim of any microfinance institute is to provide low income groups with a range of all possible financial services like credit, savings accounts, insurance and investment products etc. The ultimate aim of microfinance is to reduce poverty and eventually eliminate it completely.

The most well-known international example of a microcredit institution is Grameen Bank of Bangladesh.

4.1 Origin of Microfinance

The concept of micro-financing as an idea to eradicate poverty was experimented on a larger scale in Bangladesh. In 1974, during a great famine in the country, Prof. Muhammad Yunus, a Bangladeshi economist, conceived the idea of forming a bank for exclusive micro-credit to the poor. The Grameen Bank was born as an independent bank in 1983 after protracted correspondence with the Government and the Central Bank of Bangladesh.

In 1998 in Bangladesh, an Association for Social Advancement (ASA) had developed a micro-level insurance plan. The Association had the twin objectives of insuring the loans of its members and benefiting their families in the event of death of the member. The life insurance policy that covers only death is a self-administered scheme by the ASA.

The phenomenon of micro-financing received global appreciation by the end of the decade of the 1990s and the beginning of the present century. Former US President Bill Clinton promised to introduce the programme in the first destination towns of the migrants, viz the inner towns of the US, during his presidential campaigns. US First Lady Hillary Rodham Clinton also described the concept of micro-credit as a macro-idea in the 1997 global conference on micro-financing. The Bangladesh experiment came to the notice of the United Nations Commissioner for Refugees, and many developments were initiated to spread the 'Grameen' movement. Alternativa Solidaria of Southern Mexico is another successful example of micro-credit as a macro-idea.

Micro-insurance is comparatively a new concept in the Indian market. The IRDAI, in its effort to make the scheme popular, circulated a concept paper on the subject in August 2004. The paper conceives micro-insurance as protection of assets and lives against insurable risks. Micro-insurance was conceived to protect low income people such as micro-entrepreneurs, small farmers and independent women through formal, semi-formal and informal institutions.

4.2 Government of India recommendations on micro-insurance

The Consultative Group constituted by the Government of India to examine the various insurance schemes available to the rural and urban poor was asked to submit its report. The following suggestions were made:

- Micro-insurance should be a part of the broader spectrum of insurance in the country.
- A proper channel of distribution should be established, and the insurer should serve a client base that will be different from its regular clients.
- The micro-insurance agent might be entrusted with certain additional responsibilities, in addition to the defined roles as an agent.
- The agents would be compensated for their additional services as laid down by the authority.
- The agents could appoint their employees to attend the responsibilities given to them within the framework of the rules in this regard.
- The terms and conditions governing the policy should be filed by the insurer and approved by IRDAI.
- Policy literature and documents are to be made available in regional languages, and training is to be given to the agents in regional languages.
- For micro-insurance products, life and non-life insurance, the minimum and maximum amounts of insurance, terms of the contracts etc. are to be specifically laid down.
- Marketing of micro-insurance products could be made mandatory as part of the rural and social sector obligations.

After considering the recommendations, the IRDAI notified the Micro Insurance Regulations on November 10 2005 and latest Revision through IRDAI reference Number F. No. IRDA/Reg/2/92/2015, dated 22-04-2015 i.e. IRDAI (Micro Insurance) Regulations, 2015 by the Authority.

Test Yourself 2

Question 2

In which country did the concept of micro-insurance originate?

- A. India
 - B. The United States
 - C. Pakistan
 - D. Bangladesh
-

5. Understand the IRDAI Micro-insurance Regulations, 2005.

[Learning Outcome e]

In order to clear the road blocks in the expansion of insurance coverage among low-income segments, the IRDAI has issued Micro-Insurance Regulations in 2005. These regulations include certain regulatory relaxations and guidelines that have been laid down in connection with the micro-insurance portfolio.

The above Regulations allow three types of entities viz, Non-Governmental Organisations (NGOs), Self-Help Groups (SHGs) and Micro Finance Institutions (MFIs) with a proven track record and satisfying other relevant eligibility criteria, to act as micro-insurance agents.

Example

Some examples of MFIs in India are:

- SKS Microfinance Limited
- Spandana Sphoorty Financial Limited
- Share Microfin Limited
- Bandhan Society
- Grameen Financial Services Private Limited

While conventional insurance agents and brokers too are allowed to sell micro-insurance, the micro-insurance agency has been created particularly keeping the special requirements of the segment in mind.

5.1 Conditions applicable to micro-insurance agents

The following conditions are applicable to micro-insurance agents.

- A micro insurance agent shall not distribute any product other than a micro-insurance product.
- A micro-insurance agent shall be appointed by an insurer by entering into a deed of agreement, which shall clearly specify the terms and conditions of such appointment, including the duties and responsibilities of both the micro-insurance agent and the insurer. It is necessary that the head office of the insurer accords a prior approval before any such agreement is entered into.
- A micro-insurance agent shall not work for more than one insurer carrying on life insurance business and one insurer carrying on general insurance business.
- The deed of agreement shall specifically authorise the micro-insurance agent to perform one or more of the functions such as collection of proposal form, collection of self-declaration of health of proposer, distribution of policy documents, assistance in settlement of claims etc.
- A micro-insurance agent shall employ specified persons with the prior approval of the insurer.
- Every micro-insurance agent and specified person shall abide by the code of conduct as laid down in regulation 8 of the IRDAI (Licencing of Insurance Agents) Regulations, 2000.

- Insurers shall impart at least twenty-five hours of training at their expense and through their designated officers, in local vernacular language, to all micro-insurance agents and their specified persons in the areas of insurance selling, policyholder servicing and claims administration.
- A micro-insurance agent may be paid remuneration for all the functions rendered by him which shall not exceed the limits as stated in the table below.

1. For Life insurance Business	
Single Premium Policies	10% of the single premium
Non-single premium policies	20% of the premium for all the years of the premium paying term
2. For Non-Life Insurance Business	15% of the premium

For group insurance products, the insurer may decide the commission subject to the overall limit as specified above.

Changes in Micro-insurance Regulations (2015)

Capacity building exercises expanded

- Additional 25 hours of training for micro agents licensed to distribute general insurance MSME policies
- Refresher training in three years
- Appointment of Micro agents expanded viz. Tie ups with AIC and health insurers permitted
- Minimum of 5 (from previous 20) for group policies

Definition of micro-agents expanded with inclusion of-

- Regional Rural banks
- Primary agricultural and other co-operative Societies
- Bank correspondents of scheduled commercial banks (promoting the banking sector's role)
- Increase in maximum amount of cover

Addition of Schedule III, which outlines-

- New features permitted in micro-insurance products
- Provision of installments
- Regulation on discontinuance of policies
- Prohibition on offering unit linked platform
- Withdrawal of non-compliant products
- Inclusion of MSME sector
- General insurance policies issued to MSMEs will qualify as general micro-insurance business, subject to certain conditions

5.2 Other Regulations

The regulations set the product parameters which need to be satisfied by all micro-insurance products.

- Micro-insurance products need prior approval of the authority under “File & Use” procedure and every such product shall prominently carry the caption “Micro-Insurance Product”.
- Every insurer shall issue micro-insurance policy documents to individual policyholders in vernacular language which is simple and easily understandable. Where it is not possible to issue policy documents in vernacular language, the insurer shall issue a detailed write-up of policy details in vernacular language.
- In the case of group micro-insurance contracts, the policy documents shall contain a schedule showing the details of individuals covered under the group, and a separate certificate consisting of necessary details shall also be issued to each of the individuals covered under the group insurance.
- The regulations provide for a tie-up between a life insurer and a non-life insurer whereby a life insurer can offer a life micro-insurance product as also a general insurance product and vice versa. In the case of claims arising on such products, the life insurer forwards non-life claim to the non-life insurer for settlement.

Life Micro-Insurance Product Parameters [MI Regulations 2005]

Type of Cover	Minimum Amount of Cover	Maximum Amount of Cover	Minimum Term of Cover	Maximum Term of Cover	Minimum Age at Entry	Maximum Age of Entry
Term insurance with or without return of premium	Rs 5,000	Rs. 50,000	5 years	15 years	18	60
Endowment Insurance	Rs. 5,000	Rs. 30,000	5 years	15 years	18	60
Health Insurance Contract (Individual)	Rs. 5,000	Rs. 30,000	1 year	7 years	Insurer's discretion	Insurer's discretion
Health Insurance Contract (Family)	Rs. 10,000	Rs. 30,000	1 year	7 years	Insurer's discretion	Insurer's discretion
Accident Benefit as rider	Rs. 10,000	Rs. 50,000	5 years	15 years	18	60

Notes:

1. Group Insurance products may be renewable on a yearly basis.
2. The minimum number of members comprising a group shall be at least 20 for group insurance.

SCHEDULE II (See Regulation 2 (e))**[Changes in Micro-insurance Regulations (2015)]**

1. The sum assured under an Insurance product offering Life or pension or Health benefits shall not exceed an amount of Rs. 200000.
2. The Annual Premium shall not exceed Rs. 6000 p.a. in a Micro Variable Insurance product under Non Linked Non- Par platform.
3. Add on riders may be offered in accordance to the provisions of the extant Regulations.
4. Micro Insurance schemes marketed to Groups with a minimum Group Size of

Non-Life Micro-Insurance Product Parameters [MI Regulations 2015]

Type of Cover	Minimum Amount of Cover	Maximum Amount of Cover	Minimum Term of Cover	Maximum Term of Cover	Minimum Age of Entry	Maximum Age of Entry
Dwelling and contents, or livestock or tools or implements or other named assets or crop insurance - against all perils	Rs. 5,000 / Per asset / Cover	Rs. 100,000 / Per asset / Cover	1 year	1 year	N.A.	N.A.
Health Insurance Contract (Individual)	Rs. 5,000	Rs. 100,000	1 year	1 year	Product Specific	Product Specific
Health Insurance Contract (Family)	Rs. 10,000	Rs. 250000	1 year	1 year	Product Specific	Product Specific
Personal Accident	Rs. 10,000	Rs. 100,000	1 year	1 year	Product Specific	Product Specific

Notes: The minimum number of members comprising a group shall be at least 20 for group insurance.

All the existing Micro Insurance Products that are not in compliance to **MI Regulations 2015** shall be withdrawn with effect from 01st January, 2016.



Enrolment under PMJJBY & PMSBY as on 19th Oct, 2015



Scheme Name	Rural Male	Rural Female	Urban Male	Urban Female	Total
PMJJBY	8,919,861	5,475,385	8,939,271	5,039,101	28,373,618
PMSBY	27,634,391	18,101,895	26,933,850	15,754,235	88,424,371
Total	36,554,252	23,577,280	35,873,121	20,793,336	116,797,989

Situating Microinsurance in India's Social Protection Pradhan Mantri Jan Dhan Yojana (PMJDY)

- **National Mission on Financial Inclusion:** integrated approach for comprehensive financial inclusion of all Indian households
- Initiated on 28th August, 2014
- The beneficiaries would get RuPay Debit card having built-in accident insurance cover of ₹ 1 lakh
- Similar to South Africa's Mzansi bank account initiative
- 188.6 million accounts opened up to 19th October, 2015

No. of participating banks:

27 Public Sector Banks
22 Regional Rural Banks
13 Private Sector Banks



■ Public sector
■ Rural Regional Banks & Co-ops
■ Private sector

Test Yourself 3

Question 3

What is the maximum remuneration limit for a micro insurance agent for non-life insurance business?

- A. 10% of the premium
- B. 15% of the premium
- C. 20% of the premium
- D. 5% of the premium

6. Understand the regulation of ULIPs.

[Learning Outcome f]

Definition

A unit linked insurance plan (ULIP) is an insurance plan which is a combination of insurance protection and investment.

A ULIP can be an ideal investment vehicle for people who are looking for the triple benefits of:

1. Insurance protection;
2. Investment; and
3. Income tax benefits.

ULIPs or Unit linked insurance plans are market linked insurance plans. ULIPs come with the combined benefits of investment and protection. With regard to protection ULIPs are very similar to traditional insurance plans such as - endowment, money back and whole life insurance plans, but with a major difference - the investment risks in ULIPs are borne by the policyholder / investor and not by the insurance company.

Investment operations of ULIPs are very much similar to that of mutual funds. In fact ULIPS can be referred as mutual funds with insurance cover. As in mutual funds, in ULIPs too investors are allotted units, by the insurance company and a NAV is declared on a daily basis.

SEBI VS IRDAI

The Securities and Exchange Board of India (SEBI) regulates the capital market while the Insurance Regulatory Development Authority of India (IRDAI) regulates the insurance sector.

The premium on ULIP has 3 major components.

- (a) Premium life cover and
- (b) Investment plus a third part
- (c) Covering expenses like agent's commission, administrative costs and statutory levies.

There was a debate in 2010 as to whether the ULIPs should be regulated by IRDAI who was historically regulating ULIP as insurance products, or by SEBI because of the investment component.

Dispute between the regulators in respect of the 14 insurance companies commenced when SEBI drew attention of IRDAI to the fact that the 14 companies were not permitted to access the market as their ULIPs were not registered with SEBI as they need to take approval from SEBI to launch these ULIPs. IRDAI chairman replied to SEBI that insurance companies are permitted to sell ULIPs

and that ULIPs have a mandatory insurance element and they do not fall under the purview of SEBI.

The hefty commissions earned by the insurance agents for selling ULIPs which are pitted directly against mutual funds, which were under no load regime, were at the heart of the dispute between the two regulators. This dispute between the two regulators on ULIPs in the public domain highlights the penetration and importance of the ULIPs in the savings market.

The Government intervened and issued an ordinance that ULIPs will continue to be regulated by IRDAI and all ULIPs were in compliance with regulations. The dispute between the regulators ended and normally was restored in the market. After this event IRDAI passed a series of new guidelines which resulted in a major overhaul of ULIPs. The cost structure of ULIPs was reduced a lot and they were made a lot more investor friendly. All insurance companies were asked to comply with ULIP guidelines from 1st September 2010.

Look at this scenario

Before the advent of ULIPs, in traditional plans the policyholder had no choice for asset allocation, so it did not, necessarily, match the consumer's requirement. Further, often, people wonder whether it is better to purchase separate financial products for their protection and savings needs. This may be a viable option for those who have the time and skill to monitor and manage several investment products separately. However, for those who want a convenient, economical, one-stop solution, ULIPs are the best bet. ULIPs by design encourage long-term systematic and disciplined savings towards specific financial goals like -- retirement, child's education or marriage, wealth creation along with providing protection.

To understand how a ULIP meets the multiple needs of protection of both health and life; and savings in the same policy, let us take the example of a 35-year-old man with two young children. With a premium of Rs. 30,000 per annum, he could begin with a sum assured of Rs. 5 lakh. The premium after deducting charges can be invested in a fund of his choice, possibly a balanced fund or growth fund. As the children grow and responsibility on the bread earner increases, he might want to increase the level of protection, which could be done by increasing life cover with the same plan. On the other hand, if he gets a significant salary hike, he could increase the savings and investment element in the same policy by topping it up.

(Source: www.moneycontrol.com)

The above case study shows ULIPs offer protection and flexibility in investment to the policyholder. This allows the policyholder to get benefits of life insurance as well as investment by purchasing one product.

7. Explain how Unit Linked Insurance Policies (ULIPs) work.

[Learning Outcome g]

Unit Linked Insurance Plans (ULIPs) are market-linked insurance plans. These products offer the twin benefit of life protection and investment to the policyholder.

The insurance company, after deducting the charges for life cover and a few other charges, invests the remaining amount of the premium in a fund chosen by the policyholder. The fund consists of the contributions made by several policyholders.

A Unit is the component of the fund in a Unit Linked Insurance Policy. The policyholder's investment in the fund is denoted in the form of units and is represented by the value that it attains, called Net Asset Value (NAV). The policy value at any time varies according to the value of the underlying assets at that time.

The returns from the ULIP are dependent upon the performance of the fund. The investment risk of the fund is borne by the policyholder. The policyholder has an option to invest in more than one fund (redirection) and shift/change his/her existing investments from one fund to any other fund (switching) offered by the insurer (i.e. the insurance company).

Tip

The insurance companies offer the following types of funds under the ULIP schemes:

Conservative fund: most of the fund corpus is invested in debt securities like Government Securities (G-secs), corporate bonds, fixed deposits etc.

Balance fund: most of the fund corpus is invested in a mix of debt and equity

Aggressive fund: most of the fund corpus is invested in equities and equity related instruments i.e. in the stock market

ULIP is an insurance product and is governed by the Insurance Regulatory and Development Authority of India (IRDAI), and not by the Securities and Exchange Board of India (SEBI).

Tip

The government came out with an Ordinance in June 2010, which gave the Jurisdiction relating to the regulation of ULIPs to IRDA. This was followed by 'The Securities and Insurance Laws (Amendment) and Validation Bill, 2010' for setting up a joint mechanism to address the issues of jurisdiction amongst the financial sector regulators so that autonomy of sectorial regulators will not be diluted.

As per IRDAI guidelines effective for September 2010, the position of ULIPs stands as follows:-

IRDAI Guidelines

Recently IRDAI has issued a lot of new guidelines for ULIPs which has resulted in a major overhaul of ULIPs. All insurance companies were asked to comply with these guidelines from September 2010. Following are some of those guidelines:

1. The three year lock-in period for all Unit Linked Products will be increased to a period of five years, including top-up premiums. During this period, no residuary payments on policies which are lapsed / surrendered / discontinued will be made. The residuary payments for policies arising out of policies which stand lapsed/surrendered/discontinued during the lock-in period shall be payable on the expiry of the lock in period and in accordance with the relevant Regulations of IRDAI.
2. All regular premium / limited premium ULIPs shall have uniform / level paying premiums. Any additional payments shall be treated as single premium for the purpose of insurance cover.
3. All limited premium unit linked insurance products, other than single premium products, shall have premium paying term of at least 5 years.
4. The insurers shall distribute the overall charges, in ULIPs in an even fashion during the lock-in period.
5. All unit linked products, other than pension and annuity products shall provide a minimum mortality cover or a health cover, as indicated below:

(i) Minimum mortality cover should be as follows:

Minimum Sum assured for age at entry of below 45 years	Minimum Sum assured for age at entry of 45 years and above
<u>Single Premium (SP) contracts:</u> 125 percent of single premium. <u>Regular Premium (RP) including limited premium paying (LPP) contracts:</u> 10 times the annualized premiums or (0.5 X T X annualized premium) whichever is higher. At no time the death benefit shall be less than 105 percent of the total premiums (including top-ups) paid.	<u>Single Premium (SP) contracts:</u> 110 percent of single premium <u>Regular Premium (RP) including limited premium paying (LPP) contracts:</u> 7 times the annualized premiums or (0.25 X T X annualized premium) whichever is higher. At no time the death benefit shall be less than 105 percent of the total premiums (including top-ups) paid.

(In case of whole life contracts, term (T) shall be taken as 70 minus age at entry)

(ii) The minimum health cover per annum should be as follows:

Minimum annual health cover for age at entry of below 45 years	Minimum annual health cover for age at entry of 45 years and above
Regular Premium (RP) contracts: 5 times the annualized premiums or Rs. 100,000 per annum whichever is higher, At no time the annual health cover shall be less than 105 percent of the total premiums paid.	Regular Premium (RP) contracts: 5times the annualized premiums or Rs. 75,000 per annum whichever is higher. At no time the annual health cover shall be less than 105 percent of the total premiums paid

6. All top-up premiums made during the currency of the contract, except for pension/annuity products, must have insurance cover treating them as single premium, as per above table.
7. The accumulated fund value of unit linked pension / annuity products is the fund value as on the maturity date. All ULIP pension / annuity products shall offer a minimum guaranteed return of 4.5 per cent per annum or as specified by IRDAI from time to time, on the maturity date. This guaranteed return is applicable on the maturity date, for policies where all due premiums are paid. Mortality and / or health cover could be offered along with the pension/annuity products as riders, giving enough flexibility for the policyholders to select covers of their choice.
8. In the case of unit linked pension / annuity products, no partial withdrawal shall be allowed during the accumulation phase and the insurer shall convert the accumulated fund value into an annuity at the vesting date. However, the insured will have an option to commute up to a maximum of one-third of the accumulated value as lump sum at the time of vesting. In the case of surrender, only a maximum of one-third of the surrender value can be commuted after the lock-in period. The remaining amount must be used to purchase an annuity, subject to the provisions of Section 4 of Insurance Act, 1938.
9. Caps on charges were fixed on Unit Linked contracts with a tenor of 10 years or less and for those with tenor above 10 years. However, taking into account the discontinuance/ lapsation/surrender behaviour and with a view to smoothen the cap on charges, the following limits are prescribed starting from the 5th policy anniversary:

Annualized Premiums Paid	Maximum reduction in yield (Difference between Gross and Net Yield (% pa))
5	4.00%
6	3.75%
7	3.50%
8	3.30%
9	3.15%
10	3.00%
11 and 12	2.75 %
13 and 14	2.50 %
15 and thereafter	2.25 %

10. The net reduction in yield for policies with term less than or equal to 10 years shall not be more than 3.00% at maturity. For policies with term above 10 years, the net reduction in yield at maturity shall not be more than 2.25%.
11. The maximum loan amount that can be sanctioned under any ULIP policy shall not exceed 40% of the net asset value in those products where equity accounts for more than 60% of the total share and shall not exceed 50% of the net asset value of those products where debt instruments accounts for more than 60% of the total share.

Calculation of Net Asset Value (NAV)

The NAV is calculated by dividing the total market value of the fund by the number of outstanding units of the fund.

Example

The total value of a fund is Rs. 100 crore. The fund has 9 crore outstanding units. The NAV of one unit will be:

$$\text{NAV} = \frac{\text{Total Value of Fund}}{\text{Total Number of Outstanding Units}}$$

$$\text{NAV} = \frac{\text{Rs}100,00,00,000}{9,00,00,000 \text{ units}}$$

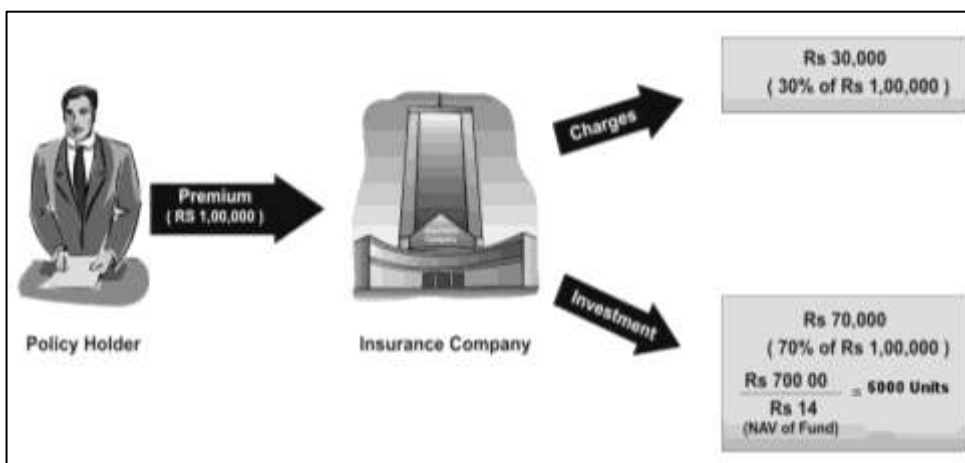
$$\text{NAV} = \text{Rs.}11.11$$

Example

Working of a ULIP

Suresh bought a ULIP policy with an annual premium of Rs. 1,00,000. The life cover of the policy is Rs. 10 lakh. The policy says that in the first year, 30% of the premium will be deducted as life insurance and other charges, and 70% will be invested in the fund of Suresh's choice. Suresh has chosen the aggressive fund for his investments. The NAV of the fund is Rs. 14.

- The difference in NAV at the time of entry (offer price) and exit (bid price) is known as bid-offer spread



Life cover: Suresh has a life cover of Rs. 10 lakh.

Investments: the NAV of the fund chosen by Suresh is Rs. 14.

This means Suresh will receive 5000 units of the fund.

70% of Rs. 1,00,000 is Rs 70,000.

$\text{Rs. } 70,000 / \text{Rs } 14 = 5000 \text{ units}$

The returns that Suresh will earn are tied to the NAV of the fund.

If the NAV of the fund becomes Rs. 15 (i.e. NAV increases by Re. 1) then Suresh's gains will be Rs. 5000 (Re. 1 x 5000 units). This is applicable for losses too. If the NAV becomes Rs. 13 (i.e. NAV reduces by Re. 1), Suresh's loss will be Rs. 5000 (Re. 1 x 5000 units).

Suresh can move all or part of his investment from one fund to another through a process known as '**switching**' by paying the applicable charges, if any. Usually, insurance companies allow a certain number of switches free in a quarter or a year and after that some nominal charges are applicable.

An investor can purchase a ULIP policy with single premium or regular premiums. In the case of a single premium policy the policyholder makes one lump sum premium payment at the beginning of the policy. In the case of a regular premium policy the policyholder can choose the frequency at which he / she wants to pay premium. Most of the insurance companies allow the policyholder to pay premium on a monthly, quarterly, half-yearly or annual basis.

Unit-linked contracts tend to be designed in a flexible manner so as to allow the policyholder to vary premiums and benefits over their lifetime. Unlike traditional contracts, the premiums are identified in terms of units and are pooled and invested to meet the stated objectives in the contracts or any benefit that is guaranteed.

The policyholder can also change premium amounts during the policy's tenure e.g. if the policyholder has surplus funds, he / she can increase the contribution to the ULIP. Conversely, if the policyholder faces a liquidity crunch he / she has an option of paying a lower amount of premium.

Important

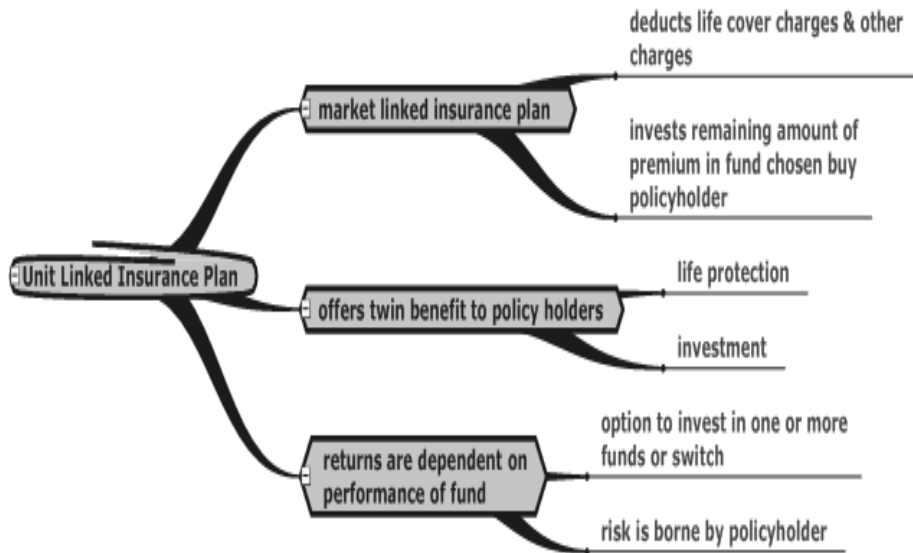
ULIPs are different from other insurance products because of the manner in which the premium money is invested. The premiums of other insurance products are invested primarily in debt securities. The policyholder has no say in choosing the type of securities in which their funds are invested. However, in the case of ULIPs the policyholder can choose the fund in which their premium will be invested. Hence, ULIPs allow the policyholder to choose the fund (asset type) in which their premiums will be invested.

The difference between traditional plan and the unit linked plan is that unit linked one offers more flexibility as indicated above, in addition to the following:

- at the outset, the contracts explicitly state all the charges that would be levied
- the possible range of asset allocations in different funds is clearly indicated along with the objectives of each fund being offered
- an option is given to the policyholder to choose the fund in which the premiums being paid are to be invested
- option to switch from one fund to another is available, which would help the policyholder to safeguard the value of their funds in difficult times
- facility of withdrawing partially is available, which would help to keep the contract in force and also provide liquidity when required
- contributing additional premiums is possible if any surplus monies are available

In other words, the policyholder has the flexibility in terms of premium payments (as top-up premium), partial withdrawal, fund selection and switching once the contract is issued. The policyholder has the knowledge of fund where the premiums are invested and how the fund is increasing / decreasing on a daily basis.

SUMMARY



Test Yourself 4

Question 4

Fill in the blank with the correct option.

Unit Linked Insurance Plans (ULIPs) are _____-linked insurance plans.

- A. insurance
- B. debt
- C. market
- D. indemnity

8. Explain the regulatory environment of Unit Linked Insurance Policies (ULIPs).

[Learning Outcome h]

8.1 Applicable regulations

Following are the relevant regulations that specifically pertain to unit linked life insurance policies / businesses:

1. Regulation 2 (i) of IRDAI (Registration of Indian Insurance Companies) Regulations, 2000 and IRDAI (Registration of Indian Insurance Companies) (Seventh Amendment) Dated 1st April'2016 and latest IRDAI (Registration of Indian Insurance Companies) (Eighth Amendment) Regulation Dated 04th August 2016 defines linked business as “life insurance contracts or health insurance contracts under which benefits are wholly or partly to be determined by reference to the value of underlying assets or any approved index;”
2. Regulation 3 (3) of IRDAI (Investment) Regulations, 2000 states “Unit Linked Life Insurance Business - Every insurer shall invest and at all times keep invested his segregated fund of unit linked life insurance business as per pattern of investment offered to and approved by the policyholders. Unit Linked Policies may only be offered where the units are linked to categories or assets which are both marketable and easily realizable. However, the total investment in other than approved category of investments shall at no time exceed 25% of the fund.”

Apart from the above, the other regulations that are commonly applicable to the sale, valuation and service of unit linked insurance policies are:

- IRDAI (Insurance Advertisements and Disclosures) Regulations, 2000
- IRDAI (Actuarial Report and Abstract) Regulations, 2000.
- IRDAI (Assets, Liabilities and Solvency Margin) Regulations, 2000 and IRDAI notification F. No. IRDAI/Reg/9/121 & 119 /2016 Dt. 13/04/2016 & 7/4/2016. (Life and Non-Life)
- IRDAI (Protection of Policyholders' Interests) Regulations, 2002.
- IRDAI (Treatment of Discontinued Linked Insurance Policies) Regulations, 2010.
- Code of Conduct applicable to Insurance Agents, Corporate Agents and Insurance Brokers.
- IRDAI (Expenses of Management of Insurers transacting life insurance F.No. IRDAI/Reg/14/126/2016 Dt. 9th May 2016

8.2 Circulars / Guidelines

1. Circulars / guidelines applicable to ULIPs

The ULIP product is complex and flexible in nature. The IRDAI has introduced certain guidelines to bring in certain standardization in the way the products are designed and in the way the policyholders are informed.

The IRDAI has issued the following guidelines regarding ULIPs. Some features of these circulars have been modified over time.

- a. IRDA/ Actl /032/Dec 2005 dated December 12, 2005 and subsequent clarifications issued
- b. 061/IRDA/Actl /March-2008 dated 12th March, 2008
- c. IRDA/Actl/ULIP/055/2009-10 dated 24th September, 2009
- d. IRDA/ Actl /CIR/ULIP/071/066/04/2010 dated 27th April , 2010
- e. IRDA/ Actl /CIR/ULIP/071/05/2010 dated 3rd May, 2010
- f. IRDA/ Acl/CIR/ULIP/102/06/2010 dated 28th June 2010 (effective from 1st Sept 2010)

2. Brief description of circulars

The following are the minimum criteria that a ULIP product is expected to satisfy:

- Reasonable insurance cover with a linkage to the premium payment during the term of the contract
- Availability of greater part of a targeted sum at the longer end
- Basic features of a life insurance contract including the long term nature
- Avoid technical jargon
- Remain simple for the public to understand
- Complete transparency in all aspects of the product terms and conditions
- Despite the investment risk being borne by the policyholder, the investment strategy to be aligned to the long term nature of these contracts
- Adequate disclosure of information pertaining to investment of funds and the elements of risk involved
- A standard method across the industry, with regard to computation of NAV (Net Asset Value)

These guidelines affect the various areas related with ULIP products such as product design, market conduct and disclosures and advertisements of ULIPs. The specific issues that have been dealt include:

i. Market conduct

- Life insurance companies must provide periodical in-house trainings to all their Insurance agents / intermediaries before they start soliciting insurance business.
- Separate training should be given to all agents / intermediaries who are authorised to sell the ULIP products. The curriculum of the training must include the basic features and inherent risks of ULIP products. The life insurance companies must also provide periodical in-house refresher training to the persons (agents / intermediaries) those are involved in soliciting or procuring insurance business.
- The life insurance companies must maintain records of persons (agents / intermediaries) who have undergone the specific training.

- Appropriate documentation in deciding a particular product should be maintained to demonstrate an informed decision.
- Educating the policyholders is necessary on a continuous basis regarding the features, risk factors, terminology, definitions of charges etc. under the ULIP contracts.
- The life insurance companies must follow a uniform practice for rounding off the unit price.

ii. Disclosure norms

All life insurers are required to mention the following, using the same font size, in all the sales brochures, prospectus of insurance products, promotional material and policy documents:

- The various funds offered along with the details and objective of each fund; the minimum and maximum percentage of the investments in different types (e.g. equity shares, interest bearing securities etc.); the investment strategy of the fund must be mentioned to help the policyholder make an informed investment decision.

Important

No statement of opinion as to the performance of the fund shall be made anywhere.

- The definition of all applicable charges, method of appropriation of these charges and the quantum of charges that are levied under the terms and conditions of the policy
- The maximum limit up to which the insurer (i.e. the life insurance company) reserves the right to increase the charges subject to prior clearance from the Authority
- The fundamental attributes and the risk profile (low, medium or high) of different types of investments that are offered under various funds of each unit linked product
- On the top of each document (including the proposal form) the following must be mentioned:

“IN THIS POLICY, THE INVESTMENT RISK IN INVESTMENT PORTFOLIO IS BORNE BY THE POLICYHOLDER”

In addition, the policyholder must be provided with the full details (as given below) related to the investments, using the same font as an annual report, covering the fund performance during the preceding financial year in relation to the economic scenario, market developments etc.

- The investment strategies and Risk Control measures adopted.
- The changes in fundamentals, such as interest rates, tax rates, etc., affecting the investment portfolio.

- The composition of the fund (debt, equity etc.), analysis within various classes of investment, investment portfolio details, sectorial exposure of the underlying funds and the ratings of investments made.
- Analysis according to the duration of the investments held.
- Performance of the various funds over different periods like 1 year, 2 years, 3 years, 4 years, 5 years and since inception along with comparative benchmark index.
- All Life insurance companies must issue the periodical statements of accounts to policy holders as stated in para 14 of Part-I of circular number 032/irda/actl/dec-2005 issued by the IRDA.

Tip

Para 14 of Part I of circular number 032/IRDA/actl/dec-2005 issued by the IRDAI states that:

14 Furnishing Statements of Accounts:

14.1 Unit statement account shall form a part of the policy document.

14.2 Unit statement shall make a reference to the terms and conditions applicable under the respective policy document.

14.3 Unit statement shall be issued on every policy anniversary and also as and when a transaction takes place.

iii. Advertisements

A life insurance company needs to ensure an advertisement disseminates, to all policyholders, adequate, accurate, explicit and timely information fairly presented in a simple language about the following.

- A factual picture of inherent risks involved.
- Should clearly distinguish the fact that the Unit Linked products are different from the traditional Life Insurance products so that at no point of time the prospective policy holders will be misled while choosing the Unit Linked products.
- The risk factors associated with specific reference to fluctuations in investment returns and the possibility of increase in charges.
- The premiums and funds are subject to certain charges related to the fund or to the premium paid.
- The contingency on which the guarantee, if any, is payable and the exact quantum of such guarantee.

The life insurance companies also need to ensure that the terminology used in all of their advertisements is simple, concise and understandable in order to convey the exact meaning to the policyholders. This is required because all the policyholders are not expected to be sophisticated in legal or financial matters. The life insurance companies must avoid usage of technical jargon and terms which can have different interpretations or detract the policyholders.

The life insurance companies must take care while reporting the past performance of the funds in advertisements as well as in any other promotional material e.g. sales illustrations, sales brochures etc. It should only contain the results of the funds duly supported by the related figures.

The emphasis on past performance must be low in the advertisements, however, past performance, wherever intended to be reported, shall contain:

- Compound annual returns for the previous five calendar years, expressed as a percentage rounded to the nearest 0.1% must be shown.
- Where the last five calendar years' data are not available, data for as many years as possible must be shown.
- Where data is not available for at least one calendar year, past performance should not be shown.
- The life insurers are not permitted to demonstrate a link between the past performance and the future.
- It should be clearly stated, in the same font, that the past performance is not indicative of future performance.
- Corresponding benchmark index performance, if any, must be included.

All the advertisements of Unit Linked Life Insurance products should disclose the risk factors as stated in the policy document along with the following warning statements:

- a) Unit Linked Life Insurance products are different from the traditional insurance products and are subject to the risk factors.
- b) The premium paid in Unit Linked Life Insurance policies are subject to investment risks associated with capital markets and the NAVs of the units may go up or down based on the performance of the fund and factors influencing the capital market, and the insured is responsible for his / her decisions.
- c) _____ is only the name of the insurance company and _____ is only the name of the unit linked life insurance contract and does not in any way indicate the quality of the contract, its future prospects or returns.
- d) Please know the associated risks and the applicable charges from the insurance agent or the intermediary or policy document of the insurer.
- e) The various funds offered under this contract are the names of the funds and do not in any way indicate the quality of these plans, their future prospects and returns.
- f) In view of the paucity of time and space, on the advertisements in the hoardings and posters and in audio visual media, wherever the unit linked life insurance contract has been advertised, point no (b) and (c) should have a place invariably .

Tip

The life insurance companies, in their advertisements, are not allowed (implicitly or explicitly) to compare funds offered by one life insurer with funds offered by another life insurer.

Any advertisement reproducing or purporting to reproduce any information contained in a policy document shall reproduce such information in full and disclose all relevant facts and not be restricted to select extracts relating to that item which could be misleading.

Test Yourself 5

Question 5

Where data for the performance of a fund of the ULIP is not available for at least one calendar year, past performance _____.

- A. Of the fund must not be shown.
 - B. Of the fund must be shown since inception.
 - C. For one calendar year of the benchmark index must be shown.
 - D. Of similar funds must be shown.
-

iv. Product design

The guidelines prescribe standard terminology and insurers are required to use the terminology / definitions at all times.

a) Benefit payable on death

The element of insurance is expected to be the essential ingredient of a life insurance product. The extent of insurance coverage is dependent on several factors such as age, medical history of the insured and amount of premiums paid.

The convergence of various financial products should only escalate the fundamentals of the basic features, but should not be carried away by the influences of other concomitant factors. The emergence of new trends in the insurance markets cannot altercate with the fundamentals of life insurance e.g. the human life value element, which is the core aspect, to determine the extent of the required life insurance coverage.

To refrain the market players of life insurance from diluting the basic tenet of life / health coverage, IRDAI prescribed the minimum life cover or health cover that the unit linked insurance plans are expected to offer. Again, an absolute minimum will not take care of the human life value element, as a very higher premium amount may offer a disproportionate sum assured.

Age is one of the determinants to consider before offering any amount of life insurance. As age of an individual advances, the need and the insurability recedes. Therefore, age is also considered for determining the minimum quantum of life / health and the minimum sum assured has been linked to the term of the life policy and to the age of the life assured.

In the case of whole life plans, where premiums are not limited to a particular term, the policy term will be seventy minus the age at entry. Thus, in the case of whole life insurance, the lower the age at entry, the higher is the minimum sum assured and vice versa. In the case of single premium also, the guidelines require the life insurance companies to ensure some defined quantum of the sum assured.

If a policy of Rs. 1 lakh, single premium, and offers life coverage of Rs. 1 lakh, there is virtually no life insurance element, hence a sum assured of 110% to 125% of single premium will ensure at least a 10% to 25% of the single premium as the sum assured. It is envisaged in the guidelines that unlike in traditional products, the sum assured does not determine the premium.

The premium is first determined by the prospects in most of the unit linked products and the sum assured is worked out as a separate and independent determinant. In respect of Unit Linked Pension / Annuity products, the life insurers are given the option of providing either life insurance coverage or health insurance coverage as a rider to have a wider flexibility to policyholders.

All unit linked products, other than pension and annuity products, shall provide a minimum mortality cover or a health cover, as indicated below:

i. The minimum mortality cover should be as follows:

- T is the Policy Term chosen by the policyholder (T shall be taken as 70 minus the age at entry, in case of Whole Life Products).
- AP is Annualized premium selected by the policyholder at the inception of the policy.
- SP is the Single Premium chosen by the policyholder at the inception of the policy

Example

The brochure of ING's Prospering Life gives the following information about death benefits:

• **Death Benefit:**

In the unfortunate event of death of the life assured during the policy term, higher of the Sum Assured or 105% of the premiums paid, including top up premiums (if any), (reduced by partial withdrawals made during the 2 years immediately preceding the date of death) or Fund Value shall be payable to the eligible person.

Note: The Sum Assured payable is the Basic Sum Assured and the Additional Sum Assured on Top-up premium, if any.

The brochure of HDFC SL Progrowth Super II gives the following information regarding the death benefits:

B) On Death

In case of the Life Assured's unfortunate demise before the end of policy term, we will pay

- Sum Assured and
- Unit Fund value to your family

The minimum death benefit will be at least 105% of the premiums paid.

Both these policies are Regular Premium (RP) policies.

ii. The minimum health cover per annum should be as follows:

Minimum annual health cover for age at entry of below 45 years	Minimum annual health cover for age at entry of 45 years and above
Regular Premium (RP) contracts: 5 times the annualized premiums or Rs. 100,000 per annum whichever is higher.	Regular Premium (RP) contracts: 5 times the annualized premiums or Rs. 75,000 per annum whichever is higher.

At no time the annual health cover shall be less than 105 percent of the total premiums paid.

iii. All top-up premiums paid during the contract, except for pension / annuity products, must have insurance cover treating them as single premium, as per the above table.

- iv. The sum assured payable on death shall not be reduced at any point of time during the term of the policy except to the extent of the partial withdrawals made during the two year period immediately preceding the death of the life assured.
- v. No cover should be extended after the expiry of the policy term and only settlement options (which are clearly outlined at the commencement of the contract) may be allowed.
- vi. All regular premium / limited premium ULIPs will have uniform premiums. Any additional payments will be treated as single premium for the purpose of insurance cover.
- vii. All limited premium unit linked insurance products, other than single premium products, will have premium paying term of at least 5 years.

b) Minimum policy term

If one examines the fundamentals of life insurance, the need for insurance will be more as the age advances, than in the younger ages. If, under product renovation, the ULIPs are allowed for shorter durations, the very objective of taking a life insurance policy may not be met. Hence, to protect the long-term nature of the life insurance contracts, the minimum policy term is fixed at 5 years. Prescription of minimum term, in one form or the other, is not entirely a new concept. It is prevalent in other markets in other forms as well.

Example

The returns of a unit linked policy are tax free if the policy duration is for at least 12 years in Germany. In France, the duration of the unit linked policy must be at least 8 years to qualify for tax relief.

The IRDAI Guidelines mandate that every ULIP shall have a minimum premium paying term of 5 years. Thus, not only the policy term but also the premium paying term should be for a reasonable duration. The lock in period for ULIP plans is also 5 years during which, no partial withdrawals or surrenders are allowed.

Example

The brochure of ING's Prospering Life says that the policy term is 16 or 20 years. This means the minimum term period of the policy is 16 or 20 years. The brochure of AEGON Religare Future Protect Plan says that the policy can be bought with a term of 15 / 20 / 30 / 35 / 40 years. This means the minimum term period of the policy in all cases will be atleast 15 years and the proposer can choose to have a higher minimum policy term of 20 / 25 / 30 / 35 / 40 years if he wishes to.

c) Guarantees on policy benefits

In one sense, every life insurance policy has an element of guarantee to the extent of the agreed sum assured.

However, in some conventional policies, there are products offering the guaranteed additions, the cost of which is embedded in the pricing of the product. Similarly, the unit linked plans also contain an element of guarantee to the extent of the sum assured payable on death. In addition to this, the insurers may provide a maturity guarantee as part of product features / design. However, insurers are to keep in view that such guarantees should be consistent with the current and long term macro-economic scenarios. Hence, features of some ULIPs, like offering guaranteed rate of return on some of their funds, a guarantee that the value of the policy fund will not fall below the value of the premiums allocated and a guarantee to protect the highest NAV of the fund during a specific period of term are some of the guarantees that are prevalent in ULIPs.

It is to be noted that the element of guarantee would involve certain conditions. Only on fulfilment of these conditions the policyholders are entitled to the underlying guarantee benefits. However, it is to be kept in mind that the policyholder will be specifically levied for these guaranteed benefits either by an explicit cost or by an implied charge.

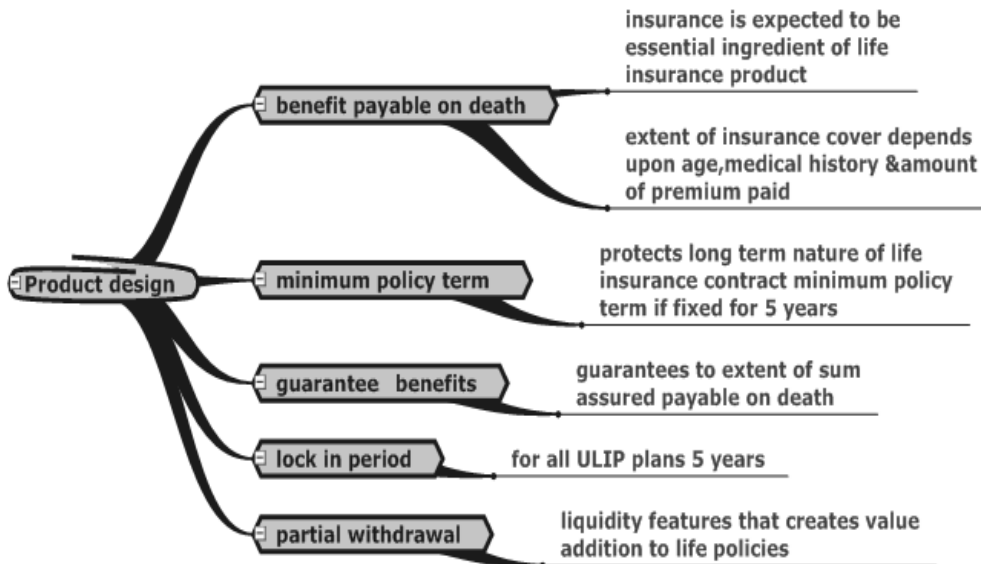
d) Lock-in period

The lock-in period for all Unit Linked Products is **five years** including Top-Up premium. During this period, no residuary payments on policies which are lapsed / surrendered / discontinued will be made. The residuary payments for policies arising out of policies which stand lapsed / surrendered / discontinued during the lock-in period become payable on the expiry of the lock in period and in accordance with the relevant Regulations of IRDAI.

e) Partial withdrawals

This is one of the liquidity features that create a value addition to life policies. Some of the unit linked plans used to offer the option of partial withdrawals every year, subject to, of course, leaving a minimum absolute amount in the fund. Some plans even allow the policyholder to carry forward the un-availed portion of these partial withdrawal options to the succeeding policy years, subject to the maximum number in a given policy year. In some plans these options were available even from the first policy year. Allowing these options from the very early stages of policies may not result in the accumulation of fund values. The lock in period is also applicable to top up premiums (discussed in the next point). Imposing this lock in period is relevant keeping in view the long term nature of equities / debts that yield better returns in the long run.

SUMMARY



f) Top-up premiums

Allowing top-ups under the unit linked policies is one of the beneficial features of these policies - not only to the policyholder, but also to the insurers. For the policyholders, this facility will help to increase their annual contributions, avoiding the initial allocation charges. For the insurers, this facility will help to mop up the savings of the existing policyholders. But unregulated flow of the top-ups may vitiate the financial underwriting norms of the life insurers, which otherwise control the premium paying capacity of an individual.

In traditional policies, the sum assured determines the amount of premiums, and the earning capacity of the individual determines the sum assured (like the number of times of the annual income). Thus, the earning capacity of the individual (declared income) indirectly determines the premium to some extent; it is more relevant in respect to par policies. Thus, the declared income will generally not be disproportionate to the premium payments (on the higher side), whereas, under unit linked plans, the top-ups, if allowed to be paid without linking them to the sum assured, will not be subject to any financial underwriting norms. This is therefore put in place to safeguard the financial underwriting norms as well as to maintain the core elements of life insurance business. It is mandatory to have life insurance coverage for all top-up premiums.

Example

The brochure of ING's Prospering Life gives the following information about top-up premiums:

Top-up Premium:

At any point of time if you choose to increase your savings, you can pay Top-up premiums to invest in your selected funds in the same policy without having to buy another policy.

- No Top-up premiums will be accepted where regular premiums are due including in grace period.
- The Minimum Top Up amount is Rs. 5,000/- at one time.
- Every Top-up premium shall have an Additional Sum Assured which will be 1.25 times of the Top-up premium paid. This Additional Sum Assured on Top-up will be in addition to the Basic Sum Assured.
- Top-ups will not be allowed during the last 5 years of the Policy Term.
- Top-up premium cannot be withdrawn in a period of five years from the date of payment of the respective Top-up premium.
- The maximum amount of Top-up premiums allowable shall be subject to applicable underwriting guidelines.

Tip

Evolution of life coverage on top-up premiums

Till the introduction of ULIP guidelines in the year 2006, there was no mandatory life insurance coverage. As such, policyholders may pay any amount of top up premium based on the options available in a ULIP policy. In the 2006 ULIP guidelines, mandatory life insurance coverage was introduced for the top up premiums paid over and above 25% of the total premiums paid under a ULIP policy.

It was envisaged that a policyholder can infuse additional funds (as top-up) to the extent of 25% of the premiums paid as savings portion without having life insurance coverage. However, in order to protect the element of life insurance business, in the year 2010, it was mandated that all top up premiums, irrespective of the amount, shall mandatorily offer life insurance coverage in the same proportion as an ordinary regular premium.

g) Loan

The maximum loan amount that can be sanctioned under any ULIP policy should not exceed:

- 40% of the surrender value in those products where equity accounts for more than 60% of the total share
- 50% of the surrender value in those policies where debt instruments account for more than 60% of the total share.

Top-up premiums paid, if any, will be used to repay the outstanding loan, if any, and the remaining, if any, will be used for investments in the funds chosen by the insured.

Question 6

The maximum loan amount that can be sanctioned for any ULIP policy having more than 60% of its funds invested in equities is _____ of the policy's surrender value.

- A. 25%
 - B. 40%
 - C. 50%
 - D. 60%
-

h) Distribution of overall charges

The insurers shall distribute the overall charges in ULIPs in an even fashion during the lock-in period.

i) Settlement options

This is one of the flexible payment options available in the case of certain conventional products offered by LIC since the pre-nationalization period. This option entitles the policyholder to receive the maturity claim proceeds in a specified number of years after the date of maturity. The amount of entitlement is predefined in the conventional plans.

Under unit linked plans, final settlement of the maturity claims exactly on the date of maturity, at times, may be against the interests of the policyholders, especially when the capital markets are under a bearish grip. Enabling the policyholders to participate in the market recovery will be a boon to the policyholders, who have accumulated their savings over a period of years. The guidelines prescribe a period of 5 years from the date of maturity. The policyholders need to take a prudent and informed decision.

Important

Settlement option is not available for pension and annuity plans.

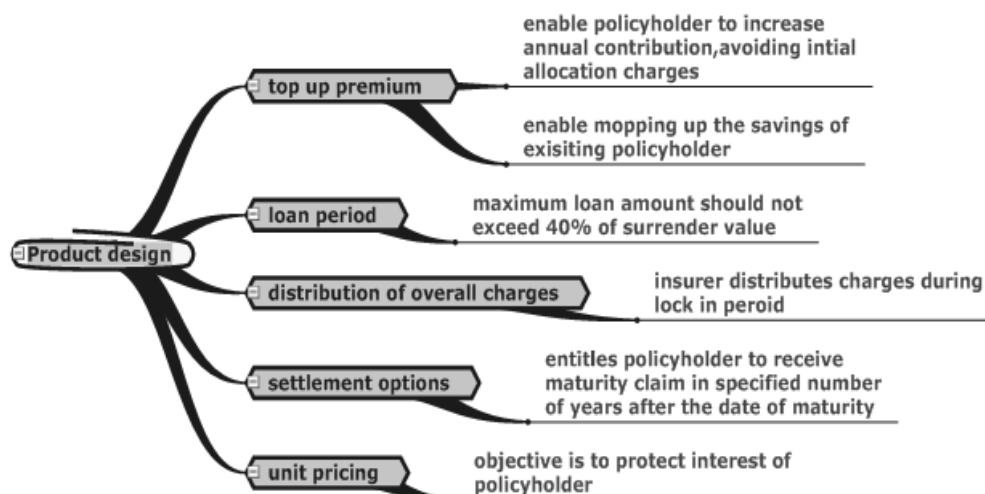
j) Unit pricing

The objective of bringing uniformity to unit pricing is to protect the interests of policyholders. The basic equity principle states that the interests of the policyholders who have purchased units in that fund and are not involved in a unit transaction should be unaffected by that transaction. In addition, the interests of the existing policyholders of the fund who are not involved in the unit transaction by way of redeeming or switching should also remain unaffected.

This implies that the NAV of the unit should not be affected negatively by virtue of the outflows from the fund. This happens when the value of the numerator is decreased / increased, by decreasing / increasing the equivalent number of units from the denominator. The methodology of calculating the NAV will ensure a uniform approach across the industry. The prescription of uniform cut-off timings to both allocation and redemptions is also in the interest of the policyholders, so as to enable them to verify the prices allocated / redeemed.

The insurers shall expedite the clearing of the outstanding cheques received towards premium payments, since any loss in NAV on account of delays due to negative fluctuations will have to be made good by them. The operational procedures of the life insurers shall ensure timely redemption of units for appropriate reserving in case of (provisions) of claims or for settlements partial withdrawals, surrenders etc.

SUMMARY



k) Charges

Going through different definitions by different life insurance companies may confuse the policyholders and make comparison with the products of their peers difficult. The insuring public would easily understand the various charges levied on the policyholders only when there is uniformity in the nomenclature. The comprehensive list prescribed also expects the insurers not to make too many changes, thus complicating the charge structure.

Example

Charges under the HDFC SL Progrowth Super II

Fund Management Charge (FMC):

The daily unit price already includes our fund management charge of only 1.35 % per annum charged daily, of the fund's value.

Policy Administration Charge:

A Policy Administration Charge of 0.25% per month of the original annual premium will be deducted monthly and will increase by 5% per annum on every policy anniversary, subject to a maximum charge of 0.4% of the annual premium or Rs. 500, per month, whichever is lower. This charge will be taken by cancelling units proportionately from each of the fund(s) you have chosen.

Mortality & Other Risk Benefit Charge:

Every month we levy a charge for providing you with the death cover, critical illness cover or total & permanent disability cover, as chosen, in your policy. The amount of the charge taken each month depends on your age and level of cover. This charge will be taken by cancelling units proportionately from each of the fund(s) you have chosen.

Miscellaneous Charge(s) of ₹ 250 may be charged for each Additional Servicing Request(s).

Please refer to the Terms & Conditions section to know more.

Discontinuance Charge:

This charge depends on year of discontinuance and your premium. There is no charge after 5th policy year. The table below gives the discontinuance charge applicable.

DISCONTINUANCE DURING THE POLICY YEAR	DISCONTINUANCE CHARGE	
	ANNUAL PREMIUM UP TO AND INCLUDING ₹ 25,000	ANNUAL PREMIUM ABOVE RS.25,000
1	Lower of 20% x (Annual Premium or Fund Value) but not exceeding ₹ 3000	Lower of 6% x (Annual Premium or Fund Value) but not exceeding ₹ 6000
2	Lower of 15% x (Annual Premium or Fund Value) but not exceeding ₹ 2000	Lower of 4% x (Annual Premium or Fund Value) but not exceeding ₹ 5000
3	Lower of 10% x (Annual Premium or Fund Value) but not exceeding ₹ 1500	Lower of 3% x (Annual Premium or Fund Value) but not exceeding ₹ 4000
4	Lower of 5% x (Annual Premium or Fund Value) but not exceeding ₹ 1000	Lower of 2% x (Annual Premium or Fund Value) but not exceeding ₹ 2000
5+	NIL	NIL

*Statutory Charges – Service Tax and Education Cess on the applicable charges is payable at the current rate for all unit linked products.

Charges under the AEGON Religare Future Protect Plan

Charges

Premium Allocation Charge - This is a percentage of the premium appropriated towards charges from the premium received.

Policy Year	Year 1	Year 2-3	Year 4-5	Year 6-10	Year 11 onwards
Premium Allocation Charge	4.50%	4.00%	3.00%	2.00%	1.00%

Top-up premium allocation charge is 3%

Fund Management Charge - This is a charge levied as a percentage of the value of assets and shall be appropriated by adjusting the Net Asset Value everyday when the unit linked funds are priced.

Secure Fund	1.00% p.a.
Debt Fund	1.10% p.a.
Stable Fund	1.35% p.a.
Accelerator Fund	1.35% p.a.

The fund management charges can be increased by the Company after IRDA approval but shall not exceed 2% p.a. at any point of time.

Policy Administration Charge - This charge is levied every month and is expressed as a % of the annualised premium. The monthly charge in the first policy year is as per the table below.

Annualised Premium	Monthly charge (as % of Annualised Premium)
Less than 36,000	0.25%
36,000 to less than 50,000	0.18%
50,000 and above	0.15%

This charge escalates at 5% per annum at the start of every policy year from the second policy year. This charge will not increase more than Rs. 500 per month.

Mortality Charge for base cover - The mortality charge is deducted by cancellation of units at the beginning of each month of your policy.

A list of charges with their definitions is enclosed as additional reading material at the end of this chapter.

l) Pension schemes

The accumulated fund value of unit linked pension / annuity products is the fund value as on the maturity date. All ULIP pension / annuity products will offer a minimum guaranteed return of 4.5 percent per annum or as specified by IRDAI from time to time, on the maturity date, for policies where all due premiums are paid. Mortality and / or health cover could be offered along with the pension / annuity products as riders, giving enough flexibility for the policyholders to select covers of their choice.

In the case of unit linked pension / annuity products, no partial withdrawal is allowed during the accumulating phase and the insurer has to convert the accumulated fund value into an annuity at the vesting date. However, the insured will have an option to commute up to a maximum of one-third of the accumulated value of lump sum at the time of vesting. In the case of surrender, only a maximum of one-third of the surrender value can be commuted after the lock-in period. The remaining amount must be used to purchase an annuity, subject to the provisions of section 4 of the Insurance Act, 1938.

m) Cap on charges

Initially, the authority placed a cap of 5% p.a. on policy administration charges, detailing the expected manner of appropriation of the charges. For examining the possibility of prescribing the overall cap on various charges, it is required that the industry should gain experience as also the regulator.

After due consultations, it was proposed in the year 2009 to put a cap on overall charges that are levied by life insurance companies under the ULIP plans based on the difference between the gross and net yields of any ULIP product. The net yield is the gross yield adjusted for all charges. For insurance contracts with tenure of 10 years or less, the difference between the gross and net yields shall not exceed 225 basis points (i.e. 2.25%).

The Mortality and Morbidity charges are exempted from calculating the net yield. Within the overall charges, the Fund Management charges shall not exceed 135 basis points (i.e. 1.35%). However, the above limits were revisited in the year 2010, considering the discontinuance, lapsation and surrender behaviour of policyholders and also with a view to spread the charges over the entire term of the plan.

The following limits are applicable from September 2010:

The net reduction in the yield for policies with a term of 10 years or less should not be more than 3.00% at maturity. For policies with a term of above 10 years, the net reduction in the yield of maturity should not be more than 2.25%.

Number of years elapsed since inception	Maximum reduction in yield (Difference between Gross and Net Yield (% p.a.))
5	4.00%
6	3.75%
7	3.50%
8	3.30%
9	3.15%
10	3.00%
11 and 12	2.75%
13 and 14	2.50%
15 and thereafter	2.25%

n) Riders

Explanation to Regulation 3 (1) of IRDAI (protection of policyholders' interests) regulations, 2002 requires a rider attached to a life policy to bear the nature and character of the main policy, be it a participating or a non-participating policy. The premiums payable on a rider policy will also include the cost of relevant expenses. Since the ULIPs segregate the expenses, costs and savings thrift, it is required that the rider premium also be bifurcated into costs and expenses. Allowing appropriation of the cost of riders by cancellation of the units will ensure the continuation of the rider benefits.

Example

SBI life insurance offers the following riders along with its SBI Life SaralMahaAnand policy:

Name of the Rider (UIN)	Rider Benefits
Accidental Death Benefit Linked Rider (UIN: 111A019V0 1)	The rider Sum Assured would be payable on the death of the Life Assured due to accident where the term 'accident' is as defined below. Accident is defined as "An event caused solely and directly by violent, unexpected and external means resulting in bodily injuries, of which there is evidence as a visible contusion or wound on the exterior of the body." The benefit is payable in lump sum.

o) Treatment of discontinued linked insurance policies

It is desired that the interests of policyholders who discontinue the payment of premiums are to be protected against the volatilities of the markets as also from the charges levied on these discontinued policies.

Hence, to address this, the IRDAI laid down the IRDAI (Treatment of Discontinued Linked Insurance Policies) Regulations, 2010.

According to these regulations, the discontinued policyholders have an option to either revive the policy within the terms and conditions governing the policy or withdraw the entire funds from the underlying ULIP funds with no risk cover. The insurer shall issue a notice within 15 days from the date of expiry of the grace period to exercise such option. The option should be exercised within 30 days from the date of receipt of such notice. In the event of a policyholder not exercising any option, the insurer may consider that the policyholder exercised the option of withdrawal from ULIP funds with no risk cover.

In the event a policyholder exercises the option of a complete withdrawal, the available funds in the underlying ULIP policy shall be transferred to 'Discontinued Policy Fund'. The insured can withdraw these funds only after the expiry of the lock-in period. In respect of ULIP Pension plans, the proceeds would be payable by cash to the extent of one-third of the proceeds (towards commutation). The rest would be used to purchase an annuity plan. The insurers shall pay 3.5% p.a. as the rate of interest on such discontinued policy fund. The insurer is also entitled to recover certain amount towards discontinuance charges, which are based on the quantum of annualised premium and the age of the policy that is discontinued.

Example

Discontinuance provisions under SBI Life Saral Maha Anand policy

Discontinuance of Premium:

On discontinuance of premium, you can either revive the policy or completely withdraw your Funds, by paying the applicable discontinuance charge, if any.

Company shall send you a notice (stating the above 2 options) within 15 days from the end of the Grace Period. After the end of the Grace Period, the Rider Cover (if any) will cease. You will have a time period of 30 days from the receipt of such notice to revert back to the Company. During this period, your Life Cover will continue. Your Funds will continue to be invested in the Plan Option chosen. All charges will continue to be deducted.

If you choose to revive by paying due premiums till date, including Rider Premiums, if any, the policy along with Rider Benefit, if any, will continue as in force.

If you choose to withdraw completely, during the first 5 Policy Years, then the lock-in condition applies. Your Fund Value after deduction of applicable discontinuance charge (if any), will be transferred to the 'Discontinued Policy Fund'. You will earn a minimum interest rate of 3.5% p.a. on this Fund. No further charges are deducted from the Fund. Life Cover and Rider Cover (if any) will cease to apply. The Discontinued Policy Fund will be payable on the 1st working day of the 6th Policy Year.

If you choose to withdraw completely, after the first 5 Policy Years, then we will disinvest your units in all the Funds on the day we receive your request and pay the Fund Value.

If no response has been received from you within the stipulated period, then it will be deemed that you have opted for the "Complete Withdrawal Option".

Discontinuance provisions under ING Prospering Life

7. Policy Discontinuance Provisions: In case of Discontinued Policy, the following process will be applicable:

For policies surrendered/discontinued before completion of first 5 policy years:

- I. The Fund Value after deducting Discontinuation Charges shall be deposited in Discontinued Policy Fund and shall be paid to the Policyholder after completion of full 5 Policy Years.
- II. This amount in Discontinued Policy Fund shall carry an interest of minimum 3.5% per annum compounded yearly or such other rate prescribed by IRDA.
- III. In the event of death of the Life Assured before completion of full 5 years and during Discontinued Policy the balance in the Discontinued Policy Fund will be paid to the Eligible Person.

For policies surrendered/discontinued after completion of first 5 policy years:

- I. The Fund Value as on the date of discontinuation shall be paid to the Policyholder.

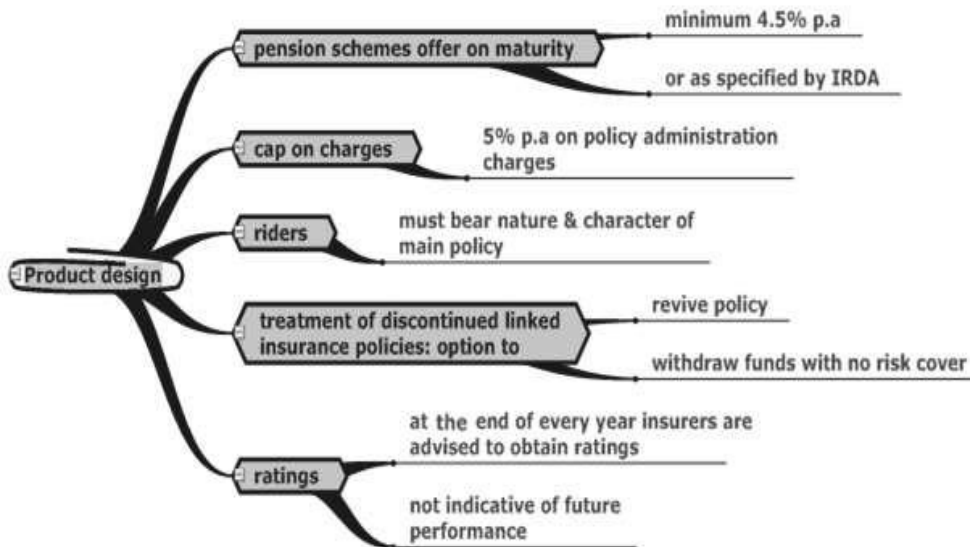
p) Ratings

As penetration of ULIPs is increasing in the market, as each year passes a large number of products become available both within the companies and across the industry, making choices very difficult for the ordinary public. Therefore, insurers are advised to volunteer to obtain ratings of their respective unit linked funds. Although the ratings of unit linked funds by the independent rating agencies cannot be considered a perfect yardstick, they will be helpful for the policyholders, especially when they compare the performances of the available unit linked funds. However, retail investors shall also be aware of the issues that are backing such ratings like operational practices, investment practices and governance practices. They should also be equally aware that such ratings are not indicative of future performance.

Tip

The underlying regulatory conditions are very dynamic. Hence, students are advised to be up-to-date with all regulations, guidelines and circulars issued by the IRDAI that affect the design and market conduct of ULIP products.

SUMMARY



Additional Reading Material

1. Premium Allocation Charge (PAC)

1.1 This is a percentage of the premium appropriated towards charges from the premium received. The balance known as allocation rate constitutes that part of premium which is utilized to purchase (investment) units for the policyholder. The percentage shall be explicitly stated and could vary inter alia by the policy year in which the premium is paid, the premium size, premium payment frequency and the premium type (regular, single or top-up premium).

1.2 This is a charge levied at the time of receipt of premium.

Example: If premium = Rs.1000 & Premium Allocation Charge: 10% of the premium; then the charge is: Rs.100 and balance amount of premium is Rs.900 which will be utilised to purchase units.

2. Fund Management Charge (FMC)

2.1 This is a charge levied as a percentage of the value of assets and shall be appropriated by adjusting the Net Asset Value (NAV).

2.2 This charge levied at the time of computation of NAV, which is usually done on daily basis.

Example: If Fund Management charge (FMC) is 1% p.a. payable annually and if fund value as on 31.3.2004 before FMC is Rs.100 then fund value after this charge will be Rs.99/-.

3. Policy Administration Charge

- 3.1** This charge shall represent the expenses other than those covered by premium allocation charges and the fund management expenses. This is a charge which may be expressed as a fixed amount or a percentage of the premium or a percentage of sum assured. This is a charge levied at the beginning of each policy month from the policy fund by cancelling units for equivalent amount.
- 3.2** This charge could be flat throughout the policy term or vary at a pre-determined rate. The pre-determined rate shall preferably be say an x% per annum, where x shall not exceed 5.
Example: Rs. 40/- per month increased by 2% p.a. on every policy anniversary.

4. Surrender Charge

- 4.1** This is a charge levied on the unit fund at the time of surrender of the contract (pre-mature closure of policy).
- 4.2** This charge is usually expressed either as a percentage of the fund or as a percentage of the annualised premiums (for regular premium contracts).

5. Switching Charge

- 5.1** This is a charge levied on switching (transfer) of monies from one fund to another fund available within the product. The charge will be levied at the time of effecting switch and is usually a flat amount per each switch.
Example: Rs.100. per switch.

6. Mortality charge

- 6.1** This is the cost of life insurance cover. It is exclusive of any expense loadings and is levied either by cancellation of units or by debiting the premium but not both. This charge may be levied at the beginning of each policy month from the fund.
- 6.2** The method of computation shall be explicitly specified in the policy document. The mortality charge table shall invariably form part of the policy document.
- 6.3** Mortality rates are guaranteed during the contract period, which are filed with the Authority.

7. Rider premium charge

This is the premium exclusive of expense loadings levied separately to cover the cost of rider cover and is levied either by cancellation of units or by debiting the premium but not both. This charge is levied at the beginning of each policy month from the fund.

8. Partial withdrawal charge

This is a charge levied on the unit fund at the time of part withdrawal of the fund during the contract period.

9. Miscellaneous charge

9.1 This is a charge levied for any alterations within the contract, such as, increase in sum assured, premium redirection, change in policy term etc. The charge is expressed as a flat amount levied by cancellation of units.

9.2 This charge is levied only at the time of alteration.

Example: Rs.100/- for any alteration such as increase in sum assured, change in premium mode etc.

10. Notes

10.1 All the charges other than premium allocation charge and cost of life insurance / mortality cost shall have an upper limit.

10.2 All the charges stated above, where relevant, may be modified with supporting data within the upper limits with prior clearance from the Authority.

Anti-money laundering

The integrity of the insurance industry like the banking and financial services industry relies heavily on the perception that it functions within the framework of highly professional, ethical and legal standards. A reputation for integrity is one of the most important features of a financial institution. Siphoning of funds through illegal channels and using it against public interest for things like drugs trafficking, smuggling, purchase of illegal arms, prostitution, gambling, terrorism etc. has economic consequences and a damaging effect on the entire society. Money laundering poses a risk to the entire financial system. Anti-money laundering guidelines prevent the anti-social elements from routing funds through illegal channels for use against public interest.

This section will help you understand what money laundering is and highlight through examples the different stages of money laundering. It provides a global perspective to the problem and enumerates the various legislations enacted worldwide to curb the menace of money laundering. This section will also make you aware of the Know Your Customer (KYC) norms. The objectives are to enumerate the various preventive legislations enacted around the world to curb the menace of money laundering.

Look at this scenario

Money laundering in free look period

During July 2016, a Branch manager, Mr. Sukhdeep Singh of M/s Beassure Insurance Co Ltd, was very happy to know that Mr Sunder Lal, a business man with an annual turnover of Rs. 2 crores, wanted to buy an insurance policy. The policy was a single premium ULIP product which had no cap on maximum premium payable. The point of attraction was that he called to take cover for Rs 10 crores with a single premium remittance of Rs. 10 lakhs. However; he wanted to make the remittance of premium in two parts: through bank account, which had a balance of Rs. 6 lakhs and the rest in cash. Mr. Singh did not want to lose his valuable customer. At the same time, he had to comply with the IRDAI guidelines on Anti-Money Laundering (AML), where remittance of premium in cash beyond Rs. 50,000 was not allowed. In order to fulfil his temptation to achieve his annual targets, he gave in and used all his influence to ensure that Mr. Lal was issued the policy. Mr. Lal was able to accomplish his motive as it was the time when software on AML was just being installed and was facing certain teething problems.

However, Mr. Lal came back to cancel his policy in the free-look period and hoped to take another policy with better terms to suit his requirement. Being an important customer, Mr. Lal was given back Rs. 9.5 lakhs, based on the NAV as on that date, after deducting administrative charges. Though Mr. Lal had promised to take another policy after a week's time, he disappeared from the scene. After 10 days, Mr. Singh came to know from a newspaper report that Mr. Lal was arrested on a non-bailable warrant and was a prime suspect in the smuggling racket of cocaine. He was satisfied that he had no more dealings with Mr. Lal.

Mr. Singh had disregarded AML guidelines. He would have sensed the possibility of money laundering when he read about Mr. Lal's arrest in the smuggling racket. However, he tried to show ignorance under the plea that he no longer had any contract with Mr. Lal. Mr. Singh should have insisted on proper proof of residence and identity in the form of a photograph, which need to be collected compulsorily under AML and KYC guidelines. Had he asked for proper documentation, he might have got a hint about the intentions of Mr. Lal, wherein he ensured to receive a cheque from the insurance company in the pretext of cancellation

The above case highlights the importance of following KYC and Anti-money laundering guidelines to prevent anti-social elements from succeeding in their wrong motives which are detrimental to society.

9. Understanding the meaning of money laundering

[Learning Outcome i]

9.1 Meaning of money laundering

The goal of a large number of criminal acts is to generate income which can be used for illegal purposes causing harm to society. Money laundering enables the criminals to enjoy the illegitimate income without jeopardizing their source. Sales of illegal arms, smuggling, embezzlement and insider trading can produce large gains and create the incentive to “legitimise” the illegitimate gains made through money laundering.

Criminals launder money by disguising the sources of the money, changing its form or moving the funds to a place where they are less likely to attract attention.

Definition

Money laundering is the act of changing the appearance of money that comes from illegitimate sources so that it appears to be legitimate money.

- Money laundering is the term used to describe the process of turning dirty money into clean money.
- It is the process by which criminals attempt to conceal the true origin and ownership of the proceeds of criminal activities, by changing the form, or moving the funds to a place where they are less likely to attract attention.
- In the process, money can lose its criminal identity and appear legitimate.

The word ‘money laundering’ is however apt since it describes perfectly, what happens. Illegal or ‘dirty’ money is put through a cycle of transactions so that it comes out washed at the other end as ‘legal’ or ‘clean’ money.

Money laundering can occur practically anywhere in the world. Generally, money launderers tend to seek out institutions / jurisdictions in which there is a low risk of detection due to weak or ineffective anti-money laundering programmes. Launderers usually prefer to move funds through stable financial systems since the objective of money laundering is to get the illegal funds back to the source which generated them.

Example

A company director, Mr. Lalit, set up a money laundering scheme involving two companies, each one established under two different legal systems. Both entities were to provide financial services. These companies wired the sum of Rs. 10 crores to the accounts of Mr. Lalit in Country S. It was likely that the funds originated in some sort of criminal activity and had already been introduced in some way into the financial system. Mr. Lalit also received transfers from Country C. In this way, funds were transferred from one account to another.

Through one of these transfers, the funds were transferred to Country U from a current account in order to make payments on life insurance policies. The investment in these policies was the main mechanism in the scheme for laundering the funds.

9.2 Common reasons for money laundering

The common reasons of money laundering are:

- Illegal arms sales
 - Drug trafficking
 - Tax evasion
 - Smuggling
 - Human trafficking
 - Embezzlement
 - Bribery
 - Terrorism
 - Organised crime such as extortion, prostitution, kidnapping, contract killing, gambling, corruption
-

9.3 Money laundering - A global problem

Money laundering is not an ordinary problem. It is global and the persons behind these transactions appear to be using different channels with ease for fund transmissions and for creating a 'legal front' for money raised through illegal methods.

The issue of money laundering is gaining global attention due to the following reasons;

- The enormity of the amounts involved
- The range of illegal activity that includes terrorist activities that are now erupting frequently in many parts of the world.

Example

The 9/11 plane crash into the World Trade Centre (WTC), New York involved tremendous planning, a large amount of money and the involvement of some of the world's biggest criminal brains. The money for the terrorist attack was funded through money laundering. The attack on the twin towers (strategic global financial centre) shook the foundations of the global financial system and had devastating economic repercussions on the global economy. The event forced a lot of Governments and regulators across the globe to tighten financial regulations and guidelines related to anti-money laundering.

Example

In India, the terrorists in Jammu & Kashmir appear to have received funds through the banking system. In the past, money laundering has been used to finance terrorist attacks on Mumbai, the country's financial nerve centre, to destabilise the country's financial system and discourage foreign investors from investing in the country.

10. Discuss the stages and methods of money laundering

[Learning Outcome j]

10.1 Stages of money laundering

The process of money laundering can be broadly classified into three stages viz. placement, layering and integration:

- **Placement** - physically placing bulk cash proceeds
- **Layering** - separating the proceeds from criminal activity from their origins, through layers of complex financial transactions
- **Integration** - providing an apparently legitimate explanation for the illegal proceeds

(i) Placement

This is generally the first stage. In this stage, the launderer inserts the illegitimate money into a legitimate financial institution through purchase of art, jewellery, or a series of monetary instruments (cheques, money orders) etc. This is also often done by depositing cash in the bank.

This is commonly done in the following ways:

- The introduction of illegal money into the financial system can be done by breaking up large amounts of money into less conspicuous smaller sums that are then deposited directly into a bank account.
- Another method of placement is by purchasing a series of monetary instruments (cheques, money orders, etc.) that are then collected and deposited into accounts at another location.
- Techniques like “smurfing”, where small amount deposits are made every day in various financial institutions, in such a way that it does not attract attention of legal / enforcement authorities.

(ii) Layering

While transferring funds, instead of ‘straight’ transfers from one point to another, a complex series of transfers are made. This is called ‘layering’ of transactions. One transaction forms a layer upon another, ultimately concealing the source of funds, the nature of funds and their ownership.

After the funds have entered the financial system, the launderer engages in a series of conversions or movements of the funds to separate them from their source. The funds might be channelled through the purchase and sales of investment instruments, or electronically transferred through a series of accounts at various banks across the globe. Layering involves moving the money through various financial transactions to change its form and make it difficult to follow. Layering may involve:

- several bank-to-bank transfers
- wire transfers between different accounts in different names in different countries
- making deposits and withdrawals to continually vary the amount of money in the accounts
- purchasing high cost products to change the form of the money

Example

One example of layering is self-financing loan, where a client places the dirty money in a foreign country and ensures deposit of the same in his bank account of another country. He then applies for a loan at his home jurisdiction's bank placing the deposit in foreign bank account as collateral security. The bank grants the loan, which will be invested into properties, financial instruments etc.

Example

A British insurance sales agent was convicted of violating a money laundering Statute in 1990. The insurance agent was involved in money laundering scheme in which over \$ 1.5 million was initially placed with a bank in England. The “layering process” involved the purchase of single premium insurance policies. This case has shown how money laundering, along with a corrupt employee, can put an insurance company into trouble.

(iii) Integration

The third stage is integration in which money re-enters the legitimate economy. At this stage, the illegitimate funds re-enter the legitimate economy in a legitimate form. At this point, the launderers can use the money without getting caught. It is very difficult to catch a launderer during the integration stage if there is no documentation during the previous stages. The launderer might choose to invest the funds in real estate, luxury assets or business ventures.

Example

There was a money laundering case reported in The Economic Times some time ago. About Rs. 700 crore made its way from the Gulf, through hawala route (alternative or underground banking discussed in next learning outcome) to bank accounts in Mumbai. The money was then diverted to Kerala for large investments in real estate.

Diagram: Stages of money laundering

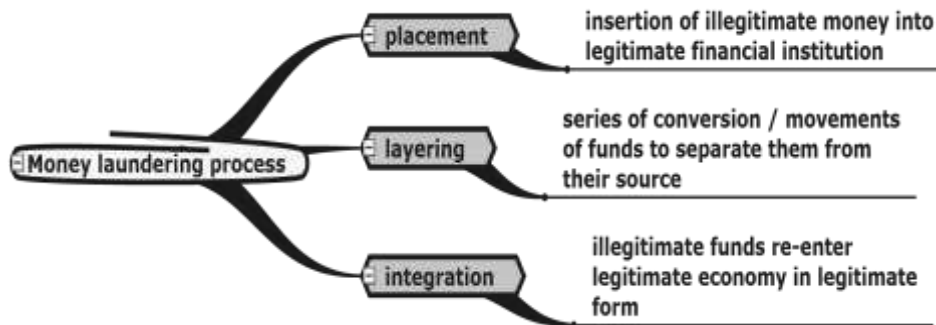
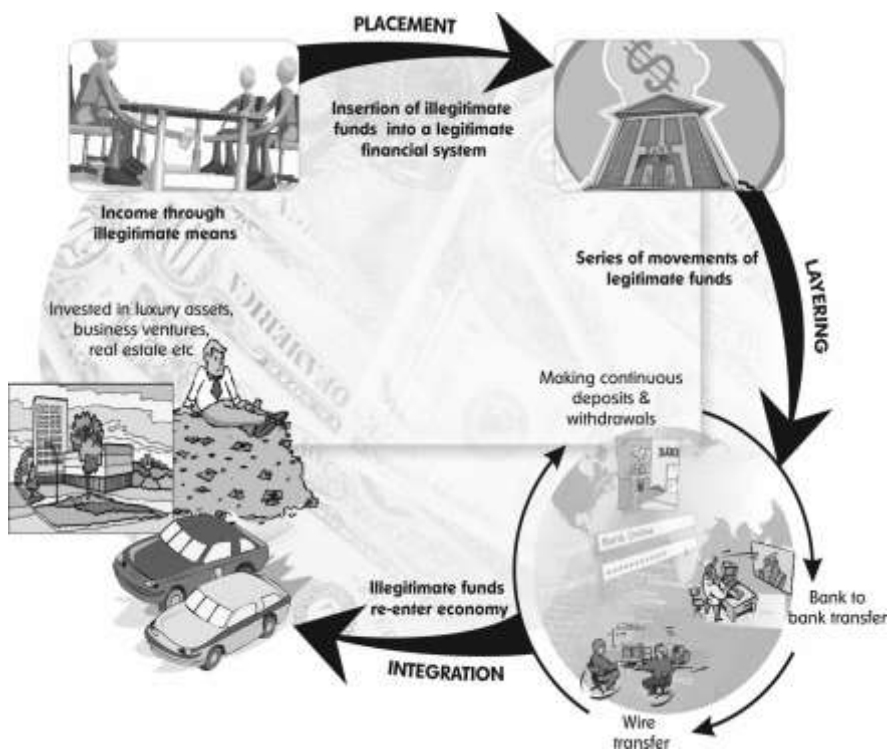


Diagram: Money laundering process



10.2 Money laundering methods

Certain methods of money-laundering are known to the regulatory authorities and several others have yet to be uncovered. A few well-known and common methods of money laundering are:

➤ **Structuring deposits (smurfing)**

This method entails breaking up large amounts of money into smaller, less suspicious amounts. The money is then deposited into one or more bank accounts either by multiple people (smurfs) or by a single person over an extended period of time. This method is also known as smurfing.

➤ **Shell companies**

A shell company is a company which just a shell and no real business is conducted by it. These are fake companies that exist for the sole purpose of money laundering. They accept illegal money as "payment" for goods or services but no goods or services are actually provided. These companies simply create the appearance of legitimate transactions through fake invoices and balance sheets.

Such companies would be used at the placement stage, to receive deposits of cash which are then often sent to another country, or at the integration stage to purchase real estate.

➤ **Overseas banks**

Money launderers often send money through various bank accounts in certain offshore locations / countries. These locations / countries allow anonymous banking for all purposes. A complex money laundering scheme could involve hundreds of bank transfers to and from offshore banks. According to the International Monetary Fund (IMF), the major offshore centres include Hong Kong, the Antilles, the Bahamas, Bahrain, the Cayman Islands, Singapore and Panama. For India the biggest offshore heaven for money laundering is Switzerland. In anonymous or secret Swiss bank accounts billions of dollars of unaccounted money is stashed away.

➤ **Alternative banking (underground banking)**

Some countries have well-established, alternative banking systems that allow for undocumented deposits, withdrawals and transfers. These are trust-based systems with ancient roots that leave no paper trail and operate outside the control of government. Examples include the "Hawala" system in India and the "fie chen" system in China.

➤ **Telegraphic transfers**

These can be effected through banks or wire transfer companies. Banks or wire transfer companies based in retail outlets containing video cameras are used to a much lesser extent than those where the wire transfer service is franchised to a small, more localised unit. In cases, where companies do not request documentation and require only the use of a pre-agreed question and answer prior to release of the transferred sum, these facilities are attractive to money laundering.

➤ **Return premium**

There are many cases where the early cancellation of policies with return of premium has been used to launder money. This has occurred where there have been:

- i. a number of policies entered into by the same insurer/intermediary for small amounts and then cancelled at the same time.
- ii. requests for return premiums in currencies different to the original premium and
- iii. regular purchase and cancellations of policies
- iv. premium returned is credited to an account different from the original account

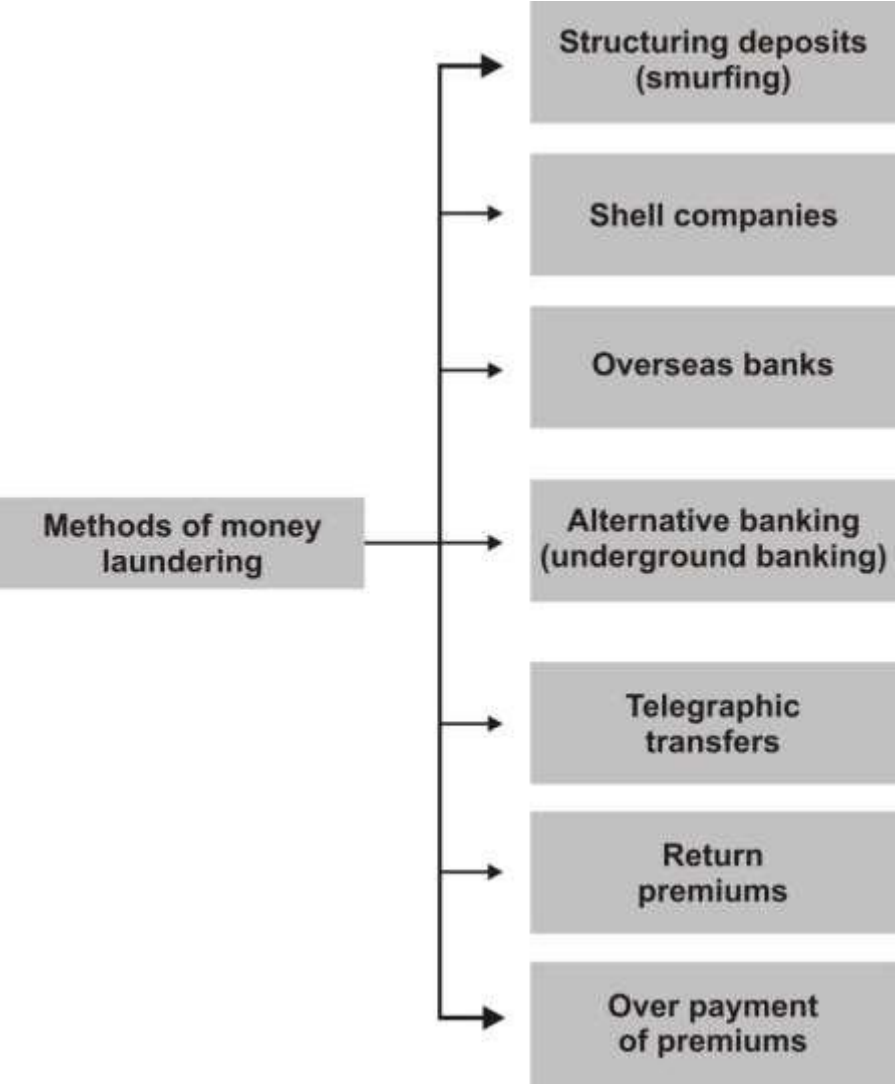
➤ **Over payment of premiums**

Another simple method by which funds can be laundered is by arranging for excessively high values of insurance reimbursements by cheque or wire transfer to be made. A money launderer may own legitimate assets or businesses as well as an illegal enterprise. In this method, the launderer may arrange for insurance of the legitimate assets and on a recurring basis, overpay his premiums and request a refund for the excess. The insured has in this case good relationship with the representative of the company.

The overpayment of premiums has been used as a method of money laundering. Insurers should be especially vigilant where:

- the overpayment is of a huge amount
- where the size or regularity of overpayments is suspicious
- the request to refund the excess premium was to a third party

Diagram: Money laundering methods



11. Learn about money laundering legislation and international co-operation

[Learning Outcome k]

11.1 Concerns on money laundering

A financial institution or an economy with poor / improper AML regime risks its reputation by raising threat to its integrity, which is a valuable asset for any institution. The same is true even for the economy as a whole. Criminal proceeds creeping into the financial system can shake its stability and is therefore a deterrent to its efficient functioning.

The economic and political influence of criminal organizations can weaken the social fabric, ethical standards, and ultimately the democratic institutions of society. Post 9/11 attacks, financing of terrorism is considered as one of the major threats posed by money laundering. In terrorist funding, that can happen through legitimate or illegitimate funds, there would be attempts to divert attention of law enforcement authorities by terrorist outfits.

Sophistication and development in technology has in fact increased the concerns as regards money laundering / terrorism financing especially because they bring about possibility faceless dealings where the actual person paying / receiving funds can remain anonymous.

Anti-Money Laundering (AML) and countering financing of terrorism (CFT) are a part of creating a business friendly but stable financial system. Most importantly, targeting the criminal by aiming at his ill-gotten gains means hitting him where he is vulnerable. Without a usable profit, the criminal activity will not continue.

11.2 International effort towards AML / CFT

Large-scale money laundering schemes invariably contain cross-border elements. Since money laundering is an international problem, co-operation at the international level is a critical necessity in the fight against it. A number of initiatives have been established to tackle this menace.

Financial Action Task Force (FATF) is policy-making inter-governmental body whose purpose is the development and promotion of national and international policies to combat money laundering and terrorist financing. It was set up in Paris in 1989 and has come out with 40 recommendations to address issues on money laundering and 9 special recommendations to address issues of terrorist financing.

The objectives of the recommendations are as follows:

- To help uncover money laundering technique
- To harmonise anti-money laundering policies at an international level
- To introduce counter measures

Apart from FATF, World Bank and International Monetary Fund (IMF) and regional bodies like Asia-Pacific Group (APG) on money laundering etc, also make concerted efforts towards AML/CFT. India is a member of APG and an observer in FATF. India is currently undergoing evaluation and assessment process towards membership in FATF.

11.3 Legislation in India

In late 1980s, drug trafficking was considered as the major activity sourcing money laundering. Legislations to prevent this activity were enacted. These include:

- The Narcotics and Psychotropic Substances Act (NDPS), 1985
- The Prevention of Illicit Traffic in Narcotic Drugs and Psychotropic Substances Act, 1988.
- The Foreign Exchange Management Act (FEMA) 1999.

Various legislations addressed offences under money laundering process until a comprehensive legislation criminalizing money laundering was enacted viz., The Prevention of Money Laundering Act (PMLA) 2002.

11.4 The Prevention of Money Laundering Act (PMLA) 2002

The Prevention of Money Laundering Act (PMLA) 2002 was brought into force from 1st July 2005, when rules thereunder were formulated. The PMLA rules empower finance industry regulators like RBI, SEBI, IRDAI to issue sector specific guidance on AML/CFT.

The objectives of PMLA are:

- Prevention, control and combating activities concerning money laundering
- Confiscation of property involved in money laundering
- Dealing with matters connected with or incidental to money laundering

11.5 Reserve Bank of India (RBI) Guidelines

The Government of India, in consultation with RBI, has given rules prescribing the procedures of maintaining and reporting information by banks and financial institutions under Sections 12 and 15 of PMLA.

The guidelines are as under:

- Banks and financial institutions should maintain records of all cash transactions of the value of more than Rs. 10 lakhs and other suspicious transactions (suspicious transactions are explained in 3.6 below)
- Such records are to be retained for a period of 10 years from the date of completion of transaction.

- It is essential to maintain records under tight security and at the same time, these records should be capable of being retrieved quickly for an identification of the customer or finding details of the transactions
- The financial institution's internal auditors should evaluate Know Your Customer (KYC) guidelines. They should comment clearly on the adequacy of guidelines and the effectiveness of their implementation.

11.6 Suspicious Transactions

A suspicious transaction is one where an act of money laundering has already occurred or where there is an inherent threat that one may occur. In case of the latter, it is important that the transaction is analysed and if there is a chance of illegal transaction, all subsequent processes like an immediate alert to trace the source needs to start. The transaction should be stopped immediately, action should be initiated to apprehend the entities involved and report should be filed without any delay.

Though the list of suspicious transactions is exhaustive, here are a few examples of suspicious transactions in insurance:

a. Non-disclosure of data by customers

- Any want of information or delay in the provision of information to enable verification to be completed
- the applicant for insurance business is reluctant to provide normal information when applying for a policy, or, provides information that is expensive for the institution to verify
- Frequent requests for change of address

b. Other unusual and suspicious transactions

- Application for a policy from a potential client in a distant place where a comparable policy could be provided "closer to home"
- Funds received from countries with known history of money laundering
- A strange incidence of pre-payment of insurance premiums
- The client accepts very unfavourable conditions unrelated to his or her health or age
- A customer sends and receives wire transfers from cross border countries particularly if there is no specific business reason for transfer
- Insurance policies with premiums that exceed the client's apparent means
- Any transaction involving an undisclosed party
- Early termination of a product, especially at a loss, or where cash was tendered and/or the refund cheque is to a third party
- A transfer of the benefit of a product to an apparently unrelated third party without valid considerations
- A change of the designated beneficiaries or substitution, during the life of an insurance contract, of the ultimate beneficiary with a person without any apparent connection with the policyholder

- Attempts to use a third party cheque to make a proposed purchase of a policy
- The applicant for insurance business shows no concern for the performance of the policy but much interest in the early cancellation of the contract
- The applicant for insurance business requests to make a lump sum payment by a wire transfer or with foreign currency
- The applicant appears to have policies with several institutions
- The applicant wants to borrow the maximum cash value of a single premium policy, soon after paying for the policy
- The applicant for insurance business uses a mailing address outside the insurance supervisor's jurisdiction.
- Unreasonable requests for free-look cancellations
- Unusual terminating of policies and refunds,
- Overpayment of premium with request for refund of amount overpaid.

Some Illustrative list of Suspicious Transactions available on IRDAI site:

- Customer insisting on anonymity, reluctance to provide identifying information, or providing minimal, seemingly fictitious information
- Cash based suspicious transactions for payment of premium and top ups over and above Rs. 5 lakh per person per month.
- Assignments to unrelated parties without valid consideration;
- Request for purchase of a policy in amount considered beyond apparent need;
- Policy from a place where customer does not reside or is not employed;
- Frequent request for change in address.
- Borrowing the maximum amount against a policy soon after buying it
- Inflated or totally fraudulent claims e.g., by arson or other means causing a fraudulent claim to be made to recover part of the invested illegitimate funds
- Overpayment of premiums with a request for a refund of the amount overpaid.
- Multiple DD each of denomination for less than Rs. 50,000/- for payment of premium and top ups over and above Rs. 2 lakh per person per month.
- Media reports about a customer
- Information sought by Enforcement agencies

12. Be aware about Know Your Customer (KYC) guidelines.

[Learning Outcome I]

12.1 Know Your Customer (KYC)

Example

Mohan, a branch manager of an insurance company, started a vigorous implementation of KYC norms in his branch office after attending a seminar on KYC. He held a meeting with all his officers and explained the KYC norms to them. He also informed them about the datelines fixed for implementing KYC guidelines. He further instructed them to update him with the progress of KYC implementation.

After a week an officer Lalit came to Mohan and reported that while he was able to manage the ruffled tempers of most of his existing customers who were put through KYC screening, a few of his high net worth customers showed reluctance to go through the screening process. These valuable customers included an NRI and a businessman. They threatened to cancel the policy and take policy a new some other insurance company.

Mohan advised Lalit to ensure that there is no customer harassment and there should be a warmer relationship with customers. It would be necessary to gently persuade customers to co-operate and submit the required data.

The above case study highlights how many people are reluctant to comply with KYC guidelines as they are neither comfortable disclosing personal information nor financial information about them.

Before we go deep into KYC, it is important to know that all rigours of KYC process are meant to weed the bad, illegitimate customers out and to protect the good, legitimate ones. It is important for the financial institutions to give more focus on business, develop a good customer relationship and become aware of client's needs. The KYC processes are only to ensure that the operations of financial institutions are clean so as to help clients serve better.

Knowing a customer is a basic need of insurance companies. Detailed information to build up a customer profile has been collected to serve purposes like:

- Satisfying legal requirements for better customer relationship
- To become aware of customer needs and to provide required services

Such data is used to monitor the policy for possible abuse or illegal use. This is one of the objectives of KYC. KYC deficiencies can lead to various business and legal risks. Even if an insurance company gets unknowingly used for money laundering, such involvement can lead to substantial risk and loss of reputation of the company.

12.2 KYC Process

The KYC process involves identifying, validating and verifying the customer's information so as to ensure that the customer is genuine and legitimate and does not have any fraudulent intentions. The KYC process involves collecting the customer's photograph, identification proof and address proof and verifying the same.

When should KYC be done?

Knowing New Customers:

- a. In case of new contracts, KYC shall be done before the issue of every new insurance contract. Life Insurers may rely on the identification and verification steps that they have already undertaken in case of a customer, unless they have doubts about the veracity of the information with them.
- b. In case of non face to face business which includes Tele calling, Internet Marketing, payment of premiums/lump sums at branches, collection of documentation shall be completed within 15 days of issue of policy.

Knowing Existing Customers:

Since Life Insurers, invariably collect considerable background information of the policyholder as also the beneficiary before entering into contracts no major constraints are expected in this exercise, in respect of the existing contracts. The AML/CFT requirements have been made effective for the existing customers (those who became customers effective from 1st January 2006).

KYC on On-going basis:

Besides verification of identity of the customer at the time of initial issuance of contract, KYC should also be carried out at the claim payout stage and at times when additional top up remittances are inconsistent with the customer's known profile. Any change which is inconsistent with the normal and expected activity of the customer should attract the attention of the Life Insurers for further ongoing KYC processes and action as considered necessary.

Photo identity check

Identity generally means a set of attributes which when put together identifies a person. Under the KYC check the insurance company employee will first check the photo identification proof submitted by the customer. A photo id proof is a document which contains the customers' photograph along with his other details. Documents that are normally accepted as photo id proof are:

- a) Passport
- b) Driving License
- c) PAN Card
- d) Voter Identity Card
- e) Employee Identity Card
- f) Senior Citizen Card

The above is a general list. The documents that can be accepted as photo id proof may differ from insurance company to company.

Address Proof

After the photo id proof the insurance company employee will check the address proof of the customer. Address proof is a document which will contain the details of the place where the customer is residing. Documents that are normally accepted as address proof are:

- a) Electricity Bill
- b) Bank passbook or post office saving passbook
- c) Telephone Bill
- d) Lease Agreement
- e) Mobile Bill
- f) Letter from the employer mentioning the employee's address
- g) Bank Statement
- h) Ration Card
- i) Passport
- j) Cooking Gas connection card or book
- k) Certificate mentioning the address from any of the central government bodies or state government bodies or the local municipal authorities

The above is a general list. The documents that can be accepted as address proof may differ from insurance company to company.

Passport can be used as photo id proof as well as address proof.

Photograph: After checking the ID proof and address proof the insurance company employee will check the photograph of the customer.

Once the insurance company employee is satisfied with the KYC check he keys in all the data from the proposal form in the system and generates the new Policy Number.

Criminals prefer to maintain anonymity. They attempt to use financial services with dubious identity and vanish once their purpose is served. Steps to arrest such misuse should therefore be in place. The legislation of PMLA and the AML guidelines have indicated in detail appropriate measures to determine the true identity of customers requesting for services.

It includes obtaining details for proper identification of new customers, verifying addresses, photographs, financial status, purpose of insurance contract etc. The KYC process is a step towards adhering to the PMLA and AML guidelines.

12.3 Risk management, types of customers and product profile

KYC norms are to be applied in a risk based approach. Risk assessment comprises understanding the risks in customer profile and product profile. They are important to decide on the extent of caution to be exercised in case of each proposal.

Customer profile

Customer's risk profile can be categorised into high risk and low risk

Low risk customers

These are individuals and entities whose identities and source of funds can be verified easily.

Example

Examples of low risk customers are:

- Salaried employees whose salary structures are well defined
- People belonging to lower economic strata of the society
- Government departments and Government owned companies
- Regulators and statutory bodies etc.,

It would be sufficient if the basic requirements of verifying the identity and location are met.

High risk customers

This category includes customers who carry an inherently higher than average risk to the insurance company.

Example

Examples of high risk customers are:

- Non-residents
- High net worth individuals
- Trusts, charities
- NGO's and organisations receiving donations
- Companies having close family shareholding or beneficial ownership
- Firms with sleeping partners
- Politically exposed persons (PEPs) and those with dubious reputation as per available public information etc. PEPs are natural persons who have been

entrusted with prominent public functions in a country such as senior politicians, senior executives of government-owned corporations.

Diligence in identification would need to be of high order in the case of high risk customers.

Product profile

Vulnerable products like single premium products, ULIPs, policy features like top-ups, partial withdrawals, and free-look period etc. are high risks in product profiles. Vulnerable areas like frequent free-look cancellations, assignments by policyholder to a third party not related to him will have to attract more attention and detailed checks from AML perspective.

Other KYC norms in relation to insurance companies are:

- Remittance beyond a premium threshold of Rs 1 lakh per annum calls for detailed due diligence.
- KYC norms call for establishing insurable interest where insurance premium is paid by persons other than the person insured.
- All the payments will have to be made after verification of bona fide beneficiary through either account payee cheques or through e-payments.
- Vulnerable areas like frequent free-look cancellations, assignments by policyholder to a third party not related to him will have to attract more attention and detailed checks from AML perspective.
- Life insurers should not allow payments on insurance contracts to third parties except in cases like superannuation / gratuity accumulations and payments to legal heirs in case of death benefits.

These norms will have to be applied on an on-going basis. They apply to non-life insurance companies at payout stage i.e. during refunds / claims especially when the payout is more than Rs. 1 lakh. They require ensuring that there is no contract with a customer whose identity matches with any person with known criminal background or with banned entities and those reported to have links with terrorists or terrorist organizations. Non-life insurers additionally, will have to ensure that they do not insure assets bought out of illegal funds.

Care to be exercised while implementing KYC norms

Implementation of KYC should not mean denial of insurance services to the public. Also, the information collected from the customers should be treated as confidential and not divulge externally any details whatsoever.

13. Be aware of Anti-Money Laundering (AML) and Countering Financing of Terrorism (CFT) Guidelines

[Learning Outcome m]

Vulnerability

Insurance business is not completely immune to the threat of becoming a channel to Money Laundering, though the vulnerability to Money Laundering / Terrorism Financing is relatively less when compared to other participants of the financial sector e.g. banks. There are certain enabling features of an insurance contract like “free look period”, single premiums, top-ups, partial withdrawals, assignments to third party, etc. which are cleverly misused by the launders for their purposes by which insurance companies can become a conduit for the ML process unintentionally.

Example

The feature of free look period is highly prone to misuse by launderers. They place criminal proceeds into a contract and take them back within the free-look period on the pretext of not being happy with terms and conditions of the policy. In which case money comes out of insurance company and therefore, loses their original identity and appears from a legitimate source.

Pure health insurance contracts and term life insurance contracts, with no cash surrender value are not risky from AML perspective. Reinsurance, retrocession and group insurance contracts where the treaties are between companies and do not involve transactions with customers, are also not vulnerable. These products and business lines are therefore exempt from the purview of AML guidelines.

AML / CFT guidelines in insurance sector

IRDAI has issued comprehensive guidelines on AML / CFT in the insurance sector. The guidelines place the responsibility of a robust program on the insurance companies for guarding against insurance products being used to launder unlawfully derived funds or to finance terrorist acts.

Compliance and control

- Insurers are required to appoint a senior level officer not below the rank of Head Chief Risk Officer (audit / compliance) / chief risk officer who is responsible for implementing the AML program in the company and monitoring compliances.
- As part of control measures, AML guidelines stipulate that the AML policy / programs are required to be approved by the company board. It should undergo annual review. Periodic risk management reviews should be conducted to ensure company's strict adherence to laid down process and the maintenance of a strong ethical and control environment.

Internal audit / inspection departments of insurers should review the robustness of the internal policies and processes and make constructive suggestions where necessary, to strengthen the AML policy of a company. Audit Committee of the company board should be given exception reports, if any.

- Cash as a medium of transaction leaves no audit trail. It is therefore highly vulnerable to Money Laundering processes. Proceeds from cash intensive business were used to co-mingle with criminal/untaxed proceeds to launder money in early 20s when the concept of Money Laundering seems to have actually started. Restrictions on acceptance of cash beyond Rs. 50000/- is therefore laid on premium / proposal deposit remittances in the insurance sector.

Reporting obligations

ML process involves a series of complex transactions involving various financial institutions. A centralized unit to have a macro level view of all the transactions in a financial system would aid in investigations on ML / TF.

Internationally, every jurisdiction sets up a unit called Financial Intelligence Unit towards this objective. India's Financial Intelligence Unit based in New Delhi was set up in 2004 and it called FIU-IND. It is a central agency to receive process, analyse and disseminate reports of specified transactions. Financial institutions are entrusted with a statutory duty to make a disclosure to the authorized officer, viz., Director, FIU-IND regarding certain transactions which come to their notice.

The obligation is to report:

- a) Cash transactions, either individually or integrally connected within a month which amounts to Rs. 10 lakh and more,
- b) Cash transactions where counterfeit currency notes or bank notes have been used as genuine.
- c) Receipts by non-profit organizations of value more than Rs. 10 lakh or its equivalent in foreign currency
- d) Suspicious transactions whether or not made in cash, including attempted transactions giving rise to a reasonable ground of suspicion that it may involve proceeds of crime / financing of the activities relating to terrorism, and those operations involving unusual or unjustified complexity. Examples of suspicious transactions are already discussed in Learning Outcome above.

Such disclosures are protected by law, enabling the person with information to be able to disclose the same without any fear. Directors, officers and employees (temporary or permanent) of the insurance company are however, prohibited from tipping off i.e. disclosing the fact of having reported a transaction to the concerned individual / entities, whose transactions are getting reported.

Record keeping requirements

An effective AML program envisages proper audit trail through appropriate record keeping. The obligations vest on the insurance companies to retain record of all transactions especially those related to customer correspondence.

- Records can be in electronic form.
- Records of transactions reported to FIU will have to be retained for 10 years beginning from the date of occurrence of transaction.
- Records of customer identification data will have to be retained for a period of 10 years after the relationship with the customer has ended.
- Records are to be retained in such a way that they permit easy reconstruction of transactions.

Screening / Training Mechanism of Employee / Agents

There is possibility of misuse of insurance sector when launderers plan to become part of the system as employees / agents. Insurance companies should therefore, have adequate screening procedures when hiring employees / agents.

The role of employees / agents who deal with customers face to face is vital towards effective compliance with AML / CFT programme especially because they are in a position to access information of customers which may provide leads on suspicious activity. They should, therefore, be properly trained on AML / CFT to bring about awareness emphasizing on possible misuse of the financial system by launderers.

The following training requirements are considered essential based on the class of employees:

- a. New employees:** A general appreciation of the background to money laundering, and the subsequent need for identifying and reporting of any suspicious transactions to the appropriate designated point should be provided to all new employees who will be dealing with customers or their transactions, irrespective of the level of seniority.
- b. Sales/Advisory staff:** Members of staff who are dealing directly with the public (whether as members of staff or agents) are the first point of contact with potential money launderers and their efforts are therefore vital to the strategy in the fight against money laundering. It is vital that “front-line” staff is made aware of the Life Insurer’s policy for dealing with non-regular customers particularly where large transactions are involved, and the need for extra vigilance in these cases.
- c. Processing staff:** Those members of staff who receive completed proposals and cheques for payment of the premium contribution must receive appropriate training in the processing and verification procedures.

- d. **Administration/Operations supervisors and managers:** A higher level of instruction covering all aspects of money laundering procedures should be provided to those responsible for supervising or managing staff.
 - e. **Ongoing training:** It will also be necessary to make arrangements for refresher training at regular intervals to ensure that agents/ /staff are duly updated on their responsibilities. Timing and content of training packages for various levels of agents/ /staff will need to be adapted by individual Life Insurers for their own needs.
 - f. **Records** of training imparted to agents//staff in the various categories detailed above shall be maintained.
-

Manner of Receipt of Premium

In India, premium is collected by insurance companies in advance at the time of admission of a member to the group. A fund is created from the premiums collected and is used to settle claims of members who suffer losses. As no single method of payment suits everyone, there is a range of premium payment options available to the policyholders. Section 64VB of the Indian Insurance Act, 1938 was amended to facilitate the payment of premium by alternative modes.

In this section, we will learn about the different methods of premium payment available to a policyholder.

It will make us aware of the different methods of premium payment and also will help us understand as to when the risk cover of the insured commences.

Look at this scenario

Unjustified premium to evade claim

Amina Sheikh, in her 80s, was insured under a 1.5 lakh Mediclaim Policy for a decade, by the National Insurance Co. Ltd. Her policy was due for renewal in 2007. However, the company increased the premium from Rs 5,305 to Rs 32,787, apparently, in order to make it financially unviable to continue with the policy. The premium was brought down to Rs 23,845 after protest by her daughter. She was forced to pay this high premium and renew the policy to avoid a break in insurance. Her daughter wrote to the company asking for an explanation for the unjustified increase. The divisional manager replied that the policy stood cancelled as the policyholder was not satisfied with the firm. He also clarified that when a person crosses 80 years of age, the premium doubles and for her, the premium had been loaded by another 100% in anticipation of claims arising due to advanced age.

A consumer complaint was filed by CWA. The forum held that the loading of the premium was arbitrary, unjustified, and was against the terms of the policy. The forum gave directions to the insurance company to continue the policy by charging Rs 13,112 and to refund the excess premium collected.

It also instructed the company to continue renewals without loading as long as the insured paid regular premium in time. A compensation of Rs 15,000 for mental torture and Rs 2,500 as costs were granted to Amina Sheikh.

The above case study highlights that insurance companies cannot charge arbitrary premiums as per their wish or in anticipation of the claims that will arise in future due to increased risks as a result of increased age.

14. Learn about the different methods of receipt of premium.

[Learning Outcome n]

14.1 Introduction

Premium is the price paid by the insured, (for purchasing an insurance product), to the insurance company for bearing the risk. The premium is to be paid by the insured person at the commencement of the contract and later throughout the term at periodical intervals as per the policy terms and conditions of the policy. Insurance premium generally increases with increase in risk.

Diagram: Various risks that a person is exposed to



Example

In the case of life insurance, an old person is more prone to sickness or critical illnesses increasing the chances of death. Hence, the company charges a higher premium from him / her. Whereas young people are healthy and have less chance of contracting critical illnesses and diseases, and usually live for a long period hence the company charges lower premium from him/her.

Example

In the case of medical insurance, smokers have to pay higher premium than non-smokers as smokers have a greater risk of health hazard than non-smokers.

Example

In the case of car insurance, the premium for an older car is more than a new car as it is more prone to breakdowns.

14.2 Methods of receipt of premium

The IRDAI (manner of receipt of premium) Regulations prescribe that the premium payment by any person, proposing to buy an insurance policy, to an insurer may be made by any of the following methods:

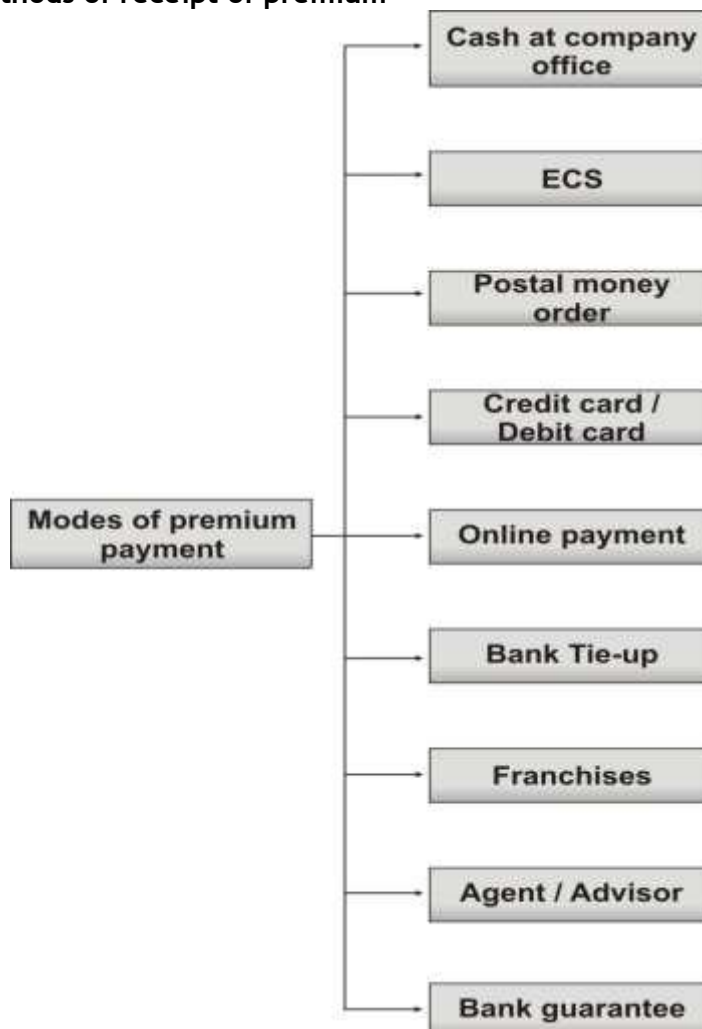
- Cash
- Any recognised banking negotiable instrument like cheque, pay order or demand draft
- Postal money order.

- Credit card or debit card held in his/her name.
- Cash deposit in the insurance company's office.
- Bank guarantee.
- Direct credits via standing instructions or Electronic Clearing Service (ECS).
- Online fund transfer from the bank account through the internet.
- Any other methods approved by IRDAI from time to time.

Definition

A negotiable instrument is a specialised type of contract that is unconditional and capable of transfer by negotiation.

Diagram: Methods of receipt of premium



The regulations recognise the latest advances in technology as a medium for effecting premium payment.

Procedures for determination of Beneficial Ownership:

In order to have a uniform approach across the financial sector, the following procedures for determination of Beneficial Ownership as mentioned in Rule 9(3) of PML Rules, 2005 as amended from time to time are prescribed:

- a) Where the client is a company, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has a controlling ownership interest or who exercises control through other means.

Explanation.- For the purpose of this sub-clause-

1. “Controlling ownership interest” means ownership of or entitlement to more than twenty- five percent of shares or capital or profits of the company;
 2. “Control” shall include the right to appoint majority of the directors or to control the management or policy decisions including by virtue of their shareholding or management rights or shareholders agreements or voting agreements;
- b) Where the client is a partnership firm, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has ownership of/entitlement to more than fifteen percent of capital or profits of the partnership;
 - c) Where the client is an unincorporated association or body of individuals, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has ownership of or entitlement to more than fifteen percent of the property or capital or profits of such association or body of individuals;
 - d) Where no natural person is identified under (a) or (b) or (c) above, the beneficial owner is the relevant natural person who holds the position of senior managing official;
 - e) Where the client is a trust, the identification of beneficial owner(s) shall include identification of the author of the trust, the trustee, the beneficiaries with fifteen percent or more interest in the trust and any other natural person exercising ultimate effective control over the trust through a chain of control or ownership; and
 - f) Where the client or the owner of the controlling interest is a company listed on a stock exchange, or is a subsidiary of such a company, it is not necessary to identify and verify the identity of any shareholder or beneficial owner of such companies.

List of Officially Valid Documents for KYC purposes

Insurance Contracts with individuals

Documents

- i. Passport
- ii. PAN Card
- iii. Voter's Identity Card issued by Election Commission of India
- iv. Driving License
- v. Job card issued by NREGA duly signed by an officer of the State Government
- vi. Letter issued by the Unique Identification Authority of India or National Population Register containing details of name, address and Aadhaar number.

Provided that where simplified measures are applied for verifying the identity of the clients the following documents shall be deemed to be 'officially valid documents':

- a) Identity card with applicant's Photograph issued by Central/State Government Departments, Statutory/ Regulatory Authorities, Public Sector Undertakings, Scheduled Commercial Banks, and Public Financial Institutions;
- b) Letter issued by a gazetted officer, with a duly attested photograph of the person;

Provided further that where simplified measures are applied for verifying the limited purpose of proof of address of the clients, where a prospective customer is unable to produce any proof of address, the following documents shall be deemed to be 'officially valid documents':

- i. Utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill);
- ii. Property or Municipal tax receipt;
- iii. Bank account or Post Office savings account statement;
- iv. Pension or family pension payment orders (PPOs) issued to retired employees by Government Department or Public Sector Undertakings, if they contain the address;
- v. Letter of allotment of accommodation from employer issued by State or Central Government departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies. Similarly, leave and licence agreements with such employers allotting official accommodation; and
- vi. Documents issued by Government departments of foreign jurisdiction and letter issued by Foreign Embassy or Mission in India.

Insurance Contracts with companies

- i. Certificate of incorporation and Memorandum & Articles of Association
- ii. Resolution of the Board of Directors
- iii. Power of Attorney granted to its managers, officers or employees to transact business on its behalf
- iv. An officially valid document in respect of managers, officers or employees holding an attorney to transact on its behalf

Insurance Contracts with partnership firms

- i. Registration certificate, if registered
- ii. Partnership deed
- iii. Any officially valid document in respect of the person holding an attorney to transact on its behalf.

Insurance Contracts with trusts & foundations

- i. Certificate of registration
- ii. Trust Deed
- iii. Any officially valid document to identify the trustees, settlers, beneficiaries and those holding Power of Attorney, founders/ managers/ directors and their addresses

Any other 'Officially valid document' that shall be notified by the Central Government, in consultation with the Regulator from time to time.

Implementation of Section 51A of UAPA:

To implement the said section an order reference F. No. 17015/10/2002-IS-VI dated 27th August, 2009 has been issued by the Government of India. The salient aspects of the order with particular reference to insurance sector are detailed in the following paras:

1. Procedure for freezing of insurance policies of 'designated individuals/entities' In case any matching records are identified, the procedure required to be adopted is as follows:
 - a) Life Insurers shall immediately and in any case within 24 hours from the time of identifying a match, inform full particulars of the insurance policies held by such a customer on their books to the Joint Secretary (IS-I), Ministry of Home Affairs, at Fax No.011-23092569 and also convey over telephone on 011-23092736. The particulars apart from being sent by post should necessarily be conveyed on e-mail id: jsis@nic.in.
 - b) The Life Insurers shall also send a copy of the communication mentioned in (1) (a) above to the UAPA Nodal Officer of the State/UT where the account is held, IRDAI and FIU- IND.
 - c) In case, the match of any of the customers with the particulars of designated individuals/entities is beyond doubt, Life Insurers would prevent designated individuals/entities from conducting any transactions, under intimation to the Joint Secretary (IS-I), Ministry of Home Affairs at Fax no. 011-23092569 and also convey over telephone on 011-23092736.

The particulars apart from being sent by post should necessarily be conveyed on e-mail id: jsis@nic.in.

- d) Life Insurers shall file a Suspicious Transaction Report (STR) with FIU-IND in respect of the insurance policies covered by paragraph (1) (a) above, carried through or attempted, in the prescribed format.
- e) On receipt of the particulars of suspected designated individual/entities IS-I Division of MHA would cause a verification to be conducted by the State Police and/or the Central Agencies so as to ensure that the individuals/entities identified by the Life Insurers are the ones listed as designated individuals/entities and the insurance policies, reported by Life Insurers are held by the designated individuals/entities.
- f) In case, the results of the verification indicate that the insurance policies are owned by or are held for the benefit of the designated individuals/entities, an order to freeze these insurance policies under section 51A of the UAPA would be issued within 24 hours of such verification and conveyed electronically to the concerned office of Life Insurer under intimation to IRDAI and FIU-IND.
- g) The said order shall take place without prior notice to the designated individuals/entities.
Freezing of insurance contracts' would require not-permitting any transaction (financial or otherwise), against the specific contract in question.

2. Procedure for unfreezing of insurance policies of individuals/entities inadvertently affected by the freezing mechanism, upon verification that the individual/ entity is not a designated individual/entity

- a) Any individual or entity, if they have evidence to prove that the insurance policies, owned/held by them has been inadvertently frozen, shall move an application giving the requisite evidence, in writing, to the concerned Life Insurers.
- b) Life Insurers shall inform and forward a copy of the application together with full details of the insurance policies inadvertently frozen as given by any individual or entity, to the Nodal Officer of IS-I Division of MHA within two working days.
- c) The Joint Secretary (IS-I), MHA, the Nodal Officer for IS-I Division of MHA shall cause such verification as may be required on the basis of the evidence furnished by the individual/entity and if he is satisfied, he shall pass an order, within 15 working days, unfreezing the insurance policies owned/held by such applicant, under intimation to the concerned Life Insurer. However, if it is not possible for any reason to pass an Order unfreezing the assets within 15 working days, the Nodal Officer of IS-I Division shall inform the applicant.

3. Implementation of requests received from foreign countries under U.N. Security Council Resolution 1373 of 2001

- a) U.N. Security Council Resolution 1373 obligates countries to freeze without delay the funds or other assets of persons who commit, or attempt to commit, terrorist acts or participate in or facilitate the commission of

terrorist acts; of entities owned or controlled directly or indirectly by such persons; and of persons and entities acting on behalf of, or at the direction of such persons and entities, including funds or other assets, derived or generated from property owned or controlled, directly or indirectly, by such persons and associated persons and entities.

- b) To give effect to the requests of foreign countries under U.N. Security Council Resolution 1373, the Ministry of External Affairs shall examine the requests made by the foreign countries and forward it electronically, with their comments, to the UAPA Nodal Officer for IS-I Division for freezing of funds or other assets.
 - c) The UAPA Nodal Officer of IS-I Division of MHA, shall cause the request to be examined, within 5 working days, so as to satisfy itself that on the basis of applicable legal principles, the requested designation is supported by reasonable grounds, or a reasonable basis, to suspect or believe that the proposed designee is a terrorist, one who finances terrorism or a terrorist organization, and upon his satisfaction, request would be electronically forwarded to the Nodal Officer in IRDAI. The proposed designee, as mentioned above would be treated as designated individuals/entities.
 - d) Upon receipt of the request by Nodal Officer in IRDAI from the UAPA Nodal Officer of IS-I Division, the list would be forwarded to Life Insurers and the procedure as enumerated at paragraphs (1) on freezing of insurance policies shall be followed.
 - e) The freezing orders shall take place without prior notice to the designated persons involved.
4. IRDAI would communicate all Orders under section 51A of UAPA relating to insurance policies, to all the Life Insurers after receipt of the same from IS-I Division of MHA.

Vulnerable Features/Products:

- 1. Single premium products-where the money is invested in lump sum and surrendered at the earliest opportunity;
- 2. Free look cancellations-especially the big ticket cases;

15. Gain an understanding of the commencement of risk.

[Learning Outcome o]

The regulations state that in all cases of risks covered by the policies issued by an insurer, the attachment of risk to an insurer will be in agreement with the terms of section 64 VB of the Act. The risk on part of the insurer shall begin only after it receives the premium.

As per the regulations in case the premium is not realised by the insurer, there is a distinction between the status of a general insurance policy and that of a life insurance policy.

- In the case of a general insurance policy, where the remittance made by the proposer or the policyholder is not realised by the insurer, the policy shall be treated as void ab initio i.e. as if no policy existed.
- In the case of a life insurance policy, the continuance of risk or otherwise shall depend on the terms and conditions of the policy already entered into.
- The insurer may at its option recover the collection charges of the instrument from the proposer.

The manner in which the above modes of payment of premium are to be treated is specified in Section 64 VB of the Insurance Act. The section specifies that no risk is to be assumed unless premium is received in advance. Section 64 VB states as under:

- (i) No insurer shall assume any risk in India in respect of any insurance business on which premium is not ordinarily payable outside India unless and until the premium payable is received by him or is guaranteed to be paid by such person in such manner and within such time as may be prescribed or unless and until deposit of such amount as may be prescribed is made in advance in the prescribed manner.
- (ii) For the purpose of this section, in case of risks for which premium can be ascertained in advance, the risk may be assumed not earlier than the date on which the premium has been paid in cash or by cheque to the insurer.

Example

Where the premium is tendered by postal money order or cheque sent by post, risk may be assumed only on the date on which the money order is booked or the cheque is posted, as the case may be.

It is likely that the cheque posted could bounce and may not be realisable by the insurer. Once it is established that the cheque is not realisable then the insurer cannot assume any risk unless the premium is received. However, if in the intervening period from the date of posting of the cheque till the time it is established that it is not realisable, the insurer is deemed to be on risk as per provision of Section 64 VB (2), then this could be a disadvantage to the general insurer. For life insurance, it depends upon the terms and conditions of the policy of insurance.

In the case of general insurance policies, the IRDAI regulations have sought to plug this disadvantage by the proviso to IRDAI regulations. As per the regulations, in case of a policy of general insurance where the remittance made by the proposer or the policyholder is not realised by the insurer, the policy shall be treated as void ab initio .i.e. the policy is not enforceable from the very beginning, here, from the date the cheque is posted. However, insurers must ensure that there is no undue delay in their procedures to encash the cheque or other mediums as the case may be; else they will lose strength in their defence that the premium is not realisable.

In case of statutory policies such as motor third party insurance policies governed by the Motor Vehicles Act (MV Act), the provisions of the Act will have an overriding effect. Thus, under the Motor Vehicles Act, the insurers do not have 'non-receipt of premium or non-realisation of cheque' as a defence against payment of compensation to the third party. The courts generally ask the insurer to first pay the third party and then recover from the proposer.

Specific and Open

As we are aware that under section 64VB of the Insurance Act 1938, an insured is required to pay the full premium in advance for the insurance company to assume risk. In respect of a 'specific' policy (policy for only one kind of a property at one location of the insured), the full premium is required to be paid before the movement of goods i.e. commencement of risk.

Diagram: Movement of goods



Example

If insurance is required during inland transit from the factory / warehouse but the carrying vehicle has already left the premises, the insurance company can refuse the coverage.

Example

If the vessel has sailed but premium was not paid in advance, it would be difficult for the exporter to obtain any insurance coverage for the shipment.

Under an open policy (marine cargo insurance that provides blanket cover to all loss or damage transported by specific carrier), the insurance company can agree to accept advance premium based on projected exports / shipments for a period of, say, 3 to 6 months depending on volume. It would be the responsibility of the exporter to ensure that there is adequate premium deposited with the insurance company before commencement of any shipment. The exporter is allowed to pay additional premium at any time during the policy period depending on export requirements. Inadequate premium at the time of commencement of shipment could hinder a claim.

Exemption of Section 64VB in certain cases

There is relaxation to the provisions of section 64 VB (I) in case of certain categories of insurance. The categories of insurance for which the relaxation is applicable are mentioned hereunder. The extent and manner of relaxation applicable to these categories of insurance are mentioned in detail in Rule 59 of Insurance Rules.

- Policies issued to Government and Semi Government Bodies
 - Policies under Sickness Insurance, Group Personal Accident Insurance, Medical Benefits Insurance and Hospitalization Insurance Schemes
 - Fidelity Guarantee Insurance
 - Policies covering risks where exact premium cannot be ascertained without reference to Head Office, Principal Office etc.
 - Declaration Policies
 - Policies issued on the basis of adjustable premium
 - Annual insurances connected with aircraft hulls and other aviation risks and connected with marine hulls.
 - Short period covers in respect of insurance connected with aircraft hulls, other aviation risks and marine hulls
 - Policies issued for a period of more than one year
 - Schedule and consequential loss policies
 - Marine covers other than hulls
 - Policies relating to co-insurances
 - Policies of reinsurance
 - Policies of National Agricultural Insurance Scheme
-

GIM

Memorandum of Exchange Control Regulations relating to General Insurance in India

General insurance business in India is undertaken by insurance companies which are registered with Insurance Regulatory and Development Authority of India (IRDAI). Exchange Control regulations governing general insurance business written in India are set out in this Memorandum. Directions contained in this Memorandum have been issued under Foreign Exchange Management Act 1999.

Bank Encashment Certificates

Where Insurers have been permitted to issue policies expressed in foreign currency against premium payable in foreign currency, they should insist on submission of suitable document to satisfy themselves that the premium has been received by foreign exchange remittance through banking channels or in rupees derived by sale of foreign exchange to an authorised dealer in foreign exchange or an authorised money-changer.

Direct Insurance outside India by Residents

Persons, firms, companies' etc. resident in India are not permitted to take insurance cover of any kind with insurance companies in foreign countries without the prior permission of Reserve Bank. Besides, permission of Government of India under General Insurance Business (Nationalisation) Act, 1972, is also required to be taken in such cases.

Transaction in Nepal and Bhutan

Indians, Nepalese and Bhutanese resident in Nepal and Bhutan as well as offices and branches of Indian, Nepalese and Bhutanese firms, companies or other organisations in these two countries are treated as resident in India for purposes of transactions in Indian rupees. Payment of claims to such persons against marine or non-marine policies may be freely made in rupees. Payments in foreign currency towards claims under marine or non-marine policies will require prior approval of Reserve Bank, except where premiums thereon were also collected in foreign currency.

The Memorandum is divided into four parts as under

PART A	-	MARINE INSURANCE
PART B	-	NON-MARINE INSURANCE
PART C	-	REINSURANCE
PART D	-	FOREIGN CURRENCY ACCOUNTS AND
		INVESTMENTS ABROAD

Marine Insurance

Currency in which Marine Policies may be issued

Marine insurance policies on coastal shipments may be issued only in Indian rupees.
Marine insurance policies on shipments between India and other countries as also between two points outside India may be issued in rupees or in any foreign currency

Premiums on Marine Policies covering Exports

Payment of premium on a marine insurance policy on exports from India may be accepted in rupees provided exporter furnishes to the insurer a certificate to the effect either

- a) that insurance charges on the shipment in question have to be borne by him in terms of contract with overseas buyer and that he is not making the payment on behalf of any non-resident or
- b) that he is defraying insurance charges on the shipment in question on account of overseas buyer of the goods and he undertakes to add the amount on the invoice and recover the payment so made from the buyer in an approved manner.

Note:

Overseas buyers may sometimes approach Insurers directly or through their overseas offices/agents for extension of cover for additional risks or for extended transit risks necessitated by circumstances not envisaged when the marine insurance was originally covered in India with the Insurers. Such extensions may be made by Insurers provided the additional premiums are collected from overseas buyers in foreign currency.

Certain countries operate restrictions requiring importers in their countries to obtain marine insurance cover from local insurers, settlement under which may not be possible in the event of cargo getting lost before reaching port of destination due to Exchange Control regulations governing remittances against imports into those countries. Insurers may issue in such cases, contingency marine insurance policies to exporters to protect their interest till goods are paid for. The policies should be issued with a condition that they will not be assignable to overseas buyer or any other non-resident party. Claims on such policies should be paid only to exporters in India.

Premiums on Marine Policies covering Imports

(i)	Payment of premium on a marine insurance policy on imports into India may be accepted in rupees provided importer furnishes to the insurer a certificate to the effect that (a) the insurance charges are required to be borne by him in terms of the contract with the overseas seller and (b) where the import is made against an Import Licence, he undertakes to ensure that the amount of insurance premium is endorsed on the import licence in due course.
(ii)	In case of imports by the public sector (viz. Central Government, any State Government, Statutory or public bodies and Government undertakings), payment of insurance premium in rupees may be freely accepted.
(iii)	In all other cases, where payment of premium in respect of imports is offered in rupees, prior approval of Reserve Bank will be required. Applications for the purpose should be made by letter (in duplicate) furnishing full particulars.

Premiums on Marine Policies covering Shipments between Countries outside India

Premiums on marine insurance policies covering shipments between countries outside India must ordinarily be received in foreign currency, but payment in rupees may be accepted provided a certificate from an authorised dealer in foreign exchange is produced to show that the rupees are derived by a remittance from abroad in an approved manner.

Note

Overseas offices of the Insurers may grant marine insurance cover for trade between China and third countries and receive premium/settle claims through foreign currency accounts maintained by their overseas offices without prior approval of Reserve Bank.

Sometimes, firms and companies in India finance merchanting trade i.e. goods shipped from one foreign country to another and financed by an intermediary in India. In some of these cases goods may be purchased on fob / c & f terms and/or sold on c.i.f. terms, the marine insurance cover being arranged by the intermediary in India. Insurance companies registered with IRDAI may issue policies covering transit risks between the loading and the destination ports in rupees or in any foreign currency in such cases, against payment of premium in rupees by the intermediary, after satisfying themselves that the contract provides for marine insurance being taken by the intermediary.

Claims against Marine Policies

Claims against marine insurance policies, when payable to persons, firms or companies in India should be paid only in rupees, irrespective of the currency in which relative policies had been issued. Where claimant is not a resident of India, Insurers may settle the claim out of foreign currency balances held by them, provided they are satisfied that ownership of the goods lost, damaged etc., vests in such claimant and that the latter is not making the claim merely as agent of the real owner of the goods in India.

Remittance of Claims on Exports

In the case of marine claims against exports, remittances of claim will be permitted by authorised dealers in foreign exchange provided the Insurer has satisfied himself that the ownership of the goods on which claim has arisen vests in the non-resident claimant. Applications should be supported by following documents:

- (a) Statement of claim duly certified by an official authorised by the insurance company registered with IRDAI for this purpose.
- (b) Insurance policy.
- (c) Survey report or other customary proof of loss.
- (d) Bill of lading/Airway bill.
- (e) Certified copy of invoice.
- (f) Any other documents ordinarily required to support the claim.

Where original documents are not available for any reason, photo copies may be produced to authorised dealer together with reasons for non-availability of the original documents. This provision does not apply to remittances for replenishment of foreign currency balances which will require specific approval of Reserve Bank.

Note:

Insurers may settle claims in rupees in favour of Indian exporters even in cases where title to the goods has passed to foreign buyer, if a request to that effect has been made by the non-resident claimant. A certificate indicating full particulars of the transaction and amount paid in settlement of claim should be issued to the exporter to enable the latter to obtain necessary approval from Reserve Bank for making replacement shipments.

Claims against marine insurance policies covering exports may also be settled through the overseas claims settling agents, if so desired by insurers. Authorised dealers have been permitted to open revolving letters of credit in favour of established claims-settling agents abroad and reimburse claims under the credit on verification of the necessary documentary evidence viz. statement of claim, survey report or other documentary evidence of loss/damage, original policy or certificate of insurance etc.

Payment in Foreign Currency of certain Import Claims

Although it is a basic rule that marine claims on imports should be settled locally in rupees in favour of importer in cases where ownership of the goods lost, damaged, etc. vests in the importer, Insurers may settle claims from their foreign currency balances in favour of overseas suppliers in the following categories of imports, in order to facilitate early replacement of the lost, damaged, etc. goods, on request being received in this regard from importers:

- (a) Imports by Government Departments and public sector undertakings
- (b) Imports by private sector undertakings against foreign credits provided the terms of the foreign credit require that insurance cover should be taken in foreign currency for replacement of lost/damaged goods.
- (c) In all other cases, where the ownership of the goods lost/damaged, etc. vests with the overseas supplier and no payment has been made towards any part of the cost of the goods.

These provisions are applicable not only to marine policies, but also to marine-cum-erection policies, whether issued separately or combined.

Claims on Policies Covering Merchanting Trade

Claims arising from marine insurance policies covering merchanting trade financed through India may be settled by Insurers **from their foreign currency balances** only if:

- (a) the ownership of the goods vests with the overseas party and
- (b) where the claim is proposed to be settled in favour of the overseas supplier, payment for the goods has not been made to the supplier and where claim is proposed to be settled in favour of the overseas buyer, payment for the goods has been received by the Indian intermediary from the buyer.

Non-marine Insurance

Assets in India

Insurance cover on risks inside India (including All Risks Insurance), on assets in India owned by residents of India, may be issued only in rupees. This is also applicable to assets of Indian branches/offices of foreign companies, banks, etc.

Assets outside India

Non-marine risks in respect of assets outside India owned by residents of India may be covered in rupees or in foreign currency provided that, in respect of immovable property held outside India by Indian nationals, permission of Reserve Bank for holding the property had been obtained, (where necessary). Settlement of claims under such policies should be made only in rupees locally. Foreign currency policies providing for payment of claims in foreign currency in the foreign country may, however, be issued only if the premiums are paid in foreign

currency out of eligible foreign currency assets held by Indian nationals/persons of Indian origin who have returned to India from abroad, after a minimum continuous stay abroad for at least one year or out of funds held in their RFC accounts with authorised dealers in India. Issue of foreign currency policies in other cases will require prior approval of Reserve Bank.

Policies in foreign currency approved by Reserve Bank

Settlement of claims

Request for issue of policies in foreign currency which are not covered by the above guidelines are examined on merits by RBI. For such requests where RBI grants specific approval for issue of policy in foreign currency, acceptance of premium in foreign currency and settlement of claim in foreign currency, insurers may approach A.D. for remittance of claims under policies subject to the following conditions:

- (a) The policy has been issued in foreign currency with specific approval of RBI;
- (b) The claim has been admitted by the competent authority of the insurance company;
- (c) The claim has been settled as per the surveyors report and other substantiating documents;
- (d) Claims on account of reinsurance are being lodged with the reinsurers and will be received as per reinsurance agreement;
- (e) The remittance is being made to the non-resident beneficiary under the policy. For resident beneficiaries the claim may be settled in Rupee equivalent of foreign currency due. Under no circumstances payment in foreign currency be made to a resident beneficiary.

Insurers may submit, to the Regional Office of RBI under whose jurisdiction it operates a report on quarterly basis of the claims settled in foreign currency along with supporting documents of each claim settled by them. These reports may be submitted within 15 days from the end of each quarter of the calendar year.

Baggage and Valuables in transit

- i. Insurance cover on baggage or valuables in transit between India and other countries or between two countries outside India may be issued in rupees or in foreign currency.
- ii. Premiums on such policies may be collected in rupees only if the owner of the baggage or other valuables is either an Indian national or is normally resident in India. In other cases, premiums should be received in foreign currency or in rupees derived by surrender of foreign currency to an authorised dealer in foreign exchange or authorised money-changer; such payments should be supported by a certificate from the authorised dealer/money-changer in the prescribed form.
- iii. Claims on such policies may be paid only in rupees in India except where the policy holder is a person normally resident outside India and premiums against the policy had been collected either in foreign currency or in rupees derived

by surrender of foreign currency. Remittances of claims in foreign currencies in other cases will require prior approval of Reserve Bank.

- iv. Remittances towards claims on personal baggage reshipped from India by foreign nationals on completion of their assignments in India, may be allowed by insurers, if they are eligible for or have been accorded remittance facilities at the time of retirement from India.

War Risks Insurance on Marine Hulls

Insurance on Indian marine hulls covering All Risks against war and other allied risks arising out of civil commotion, political or labour disturbances etc. are required to be obtained from the Insurers in India only.

Personal Accident Insurance

Personal accident policies may be issued only in rupees and claims thereon settled only in rupees, in case of Indian nationals and persons of Indian origin normally resident in India. In other cases, personal accident policies may be issued in foreign currency, provided premiums thereon are paid either in foreign currency or in rupees derived by surrender of foreign currency to an authorised dealer or authorised money-changer. Claims in these cases may be settled in currency of the policy or in rupees as desired by the policy holder.

Note

Indian companies executing construction and turnkey contracts in foreign countries may at times desire to obtain personal accident cover from Indian Insurers for the workmen and technical staff actually engaged in the overseas contracts providing for settlement of claims in foreign currency. Insurers may permit such insurance being taken provided premiums will be paid by remittances in foreign currency from out of the foreign currency earnings generated by the contracts. Claims in such cases may be settled in foreign currency or if so desired, in rupees locally.

Overseas Medical Insurance Scheme for Indians Travelling Abroad-

Policies may be issued in India under the Overseas Medical Insurance Schemes as approved by Reserve Bank to Indian residents travelling abroad for any approved visits viz. Business, study tour, specialized training, conferences, employment or higher studies. Premiums on such policies, other than for visits for employment, may be collected in rupees and for employment in foreign currency. Insurers may also open a revolving letter of credit with an Indian bank in London for settlement of its share in the claims that may eventually arise under the policies.

Miscellaneous

- i. Insurers may issue Product Liability policies for exports and Errors and Omissions Policy in respect of computer software exports in foreign currency against receipt of premium in rupees and settle claims if any in foreign currency in respect of such policies.

- ii. Claims arising outside India against policies issued under Workmen's Compensation Act and Merchant Shipping Act may be paid in appropriate foreign currency. Remittances will be allowed for meeting specific claims on application by the Insurers furnishing full details of the claims.

Reinsurance

As per the Govt. of India's instructions, reinsurance arrangements of the insurance companies registered with IRDAI are to be decided by the companies themselves on an annual basis, which is to be approved by the respective insurance company's Boards in consultation with IRDAI. Authorized dealer, designated by these insurance companies may allow remittances falling due under such approved reinsurance arrangements, by the insurers in accordance with the terms and conditions laid down by their Boards.

Remittance of Reinsurance Premium by Local Brokers

Wherever local brokers arrange the reinsurance on behalf of insurers, local brokers may remit the premium through the branch of the authorized dealer designated by the insurance company subject to the production of undernoted documents:

- i) Relative debit notes from overseas insurance company.
- ii) Detailed statement of premium settled by the individual insurance company, along with a certificate to the effect that the amount of reinsurance business is within the overall limit approved by the insurance company's Board and that the risks covered under the reinsurance arrangements are within the scope of the Reinsurance Programme, approved by the insurance company's Board in consultation with IRDAI.
- iii) A certificate from the Chartered Accountant of the local broker, prepared on the basis of certificates and statements obtained from the insurance companies, to the effect that the proposed remittance of reinsurance premium sought, is in agreement with the various statements/certificates obtained from the insurance company/companies.

Foreign Currency Accounts and Investments Abroad

Foreign Currency Accounts Abroad

Insurers may open, hold and maintain with a bank outside India foreign currency accounts for facilitating transactions and expenses relating/incidental to general insurance business undertaken in foreign countries in accordance with regulations laid down in this Memorandum. Insurers should endeavor to keep in their foreign currency accounts only the minimum balances required for normal business and transfer to India regularly all surplus funds held at foreign centers'.

Investments Abroad

Renewal of existing investments, reinvestment of redemption proceeds of existing investments and fresh investment out of funds abroad, in government/semi-Government securities and bank deposits may be made by Insurers freely without prior approval of Reserve Bank, provided they are for meeting **statutory requirements in the foreign country concerned**. All other investments will require prior approval of Reserve Bank of India.

Annexure

Major changes effected in the revised GIM

Sr. No.	Subject matter	Changes
1.	Scope of Memorandum	The earlier instructions of GIM covered only public sector general insurance companies. The present instructions contained in the Memorandum are applicable to public sector general insurance companies as well as other general insurance companies which are registered with IRDAI.
2.	Reinsurance Arrangement	The reinsurance arrangement of public sector general insurance companies registered with IRDAI are to be decided by the respective Boards of the insurance companies and IRDAI is to be kept informed. ADs designated by these insurance companies are now permitted to make remittances falling under such approved reinsurance arrangements without reference to the Bank.
3.	Remittance of Reinsurance Premium by local brokers	ADs have been permitted to allow remittance of reinsurance premium by local brokers of insurance companies after verifying debit notes from the overseas insurance company, statement of account and CA's certificate of broker certifying the sum etc.
4.	Foreign currency accounts abroad	Public sector general insurance companies and general insurance companies registered with IRDAI are permitted to open, maintain and hold a foreign currency bank account with a bank outside India for the purpose of facilitating transactions and expenses relating/ incidental to general insurance business undertaken in foreign countries.

5.	Settlement of claims in foreign currency	For settlement of claims in foreign currency in respect of policies issued in foreign currency, insurance companies are now permitted to make remittances subject to certain condition as stipulated in the Memorandum, without reference to Reserve Bank as required in the past.
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LIM (Exchange Regulations for Life Insurance)

Introduction

Life insurance business in India can be undertaken by insurance companies registered with Insurance Regulatory and Development Authority of India (IRDAI) and as per the regulations notified by Reserve Bank of India under Notifications No. 1 and 12/2000-RB dated May 3, 2000.

Scope of Memorandum

Exchange Control Regulations governing issue of life insurance policies in rupees and foreign currencies to non-residents, collection of premium, settlement of claims, maintenance and operations of foreign currency accounts abroad, reinsurance, investment of surplus funds abroad and allied matters are set out in this Memorandum.

Issue of policies and collection of premium

1. Residents

- i. Policies may be issued in foreign currency to resident persons of Indian nationality or origin who has returned to India after being non-resident provided the premium are paid out of remittances from foreign currency funds held by them abroad or from their Resident Foreign Currency (RFC) account with authorised dealers in India.
- ii. Policies denominated in foreign currency or rupees may be issued to foreign nationals not permanently resident in India provided the premium are paid out of foreign currency funds or from their income earned in India or repatriable superannuation/pension fund in India.
- iii. Conversion of Rupee policies on the lives of persons resident in India into foreign currency or transfer of records of such policies to a country outside India is not permitted without prior approval of Reserve Bank.

b) Non Residents

- i. Insurers may issue policies denominated in foreign currency through their offices in India or abroad to non-residents provided the premiums are collected in foreign currency from abroad or out of NRE (Non Resident External)/FCNR (Foreign Currency Non Resident) accounts of the insured or his family members held in India.
- ii. For policies denominated in rupees issued to non-residents, funds held in NRO (Non Resident ordinary) accounts can be accepted towards payment of premia.

- iii. Policies issued to Indian nationals and persons of Indian origin resident abroad by overseas offices of insurers may be transferred to Indian register, together with the actuarial reserves held against the policies, on the policy holders' return to India. Foreign currency policies in such circumstances shall be converted into rupee policies except in cases where the policy has been in force for at least 3 years prior to policy holder's return to India and the policy holder wishes to retain and continue the foreign currency policy. Requests received for payment in foreign currency towards premia on such policies may be permitted by authorised dealers provided the policy holder undertakes to repatriate to India the maturity proceeds or any claim amounts due on the policy through normal banking channels.

Settlement of claims

- i. The basic rule for settlement of claims on rupee life insurance policies in favor of claimants' resident outside India is that payments in foreign currency will be permitted in proportion in which the amount of premia paid in foreign currency, in relation to the total premia payable.
- ii. Non-resident beneficiaries of insurance claims/maturity /surrender value settled in foreign currency may be permitted to credit the same to NRE/FCNR account, if they so desire.
- iii. Resident beneficiaries of insurance claims/maturity/surrender values settled in foreign currency may be permitted to credit the same to RFC accounts, if they so desire.
- iv. Claims/maturity proceeds/surrender value in respect of rupee life insurance policies issued to non-resident Indians for which premia have been collected in non-repatriable rupees may be paid only in rupees by credit to NRO account of the beneficiary. This would also apply in cases of death claims being settled in favor of non-resident assignees/nominees
- v. Claims/maturity proceeds/surrender value in respect of rupee policies issued to foreign nationals not permanently resident in India may be paid in rupees or may be allowed to be remitted abroad, if the claimant so desires.

Commission to overseas Agents

Insurers may pay commission to their agents who are permanently resident outside India regardless of the fact that part of the business booked by them may be on the lives of persons resident in India and relative premia are paid in rupees in India. Remittances of commission from India to such agents abroad will be governed by instructions contained in Government Notification No. G.S.R. 381(E) dated May 3, 2000 relating to Current Account transactions as amended from time to time.

Reinsurance

In terms of the existing instructions, reinsurance arrangements for the insurance companies registered with IRDAI are to be decided by the companies themselves on an annual basis and approved by the respective insurance company's Board in consultation with IRDAI. Authorised dealers, designated by these insurance companies may allow remittances for the reinsurance arrangements in accordance with the terms and conditions laid down by the respective Board of insurance companies.

Foreign Currency accounts

Insurers may open, hold and maintain with a bank outside India foreign currency accounts for facilitating transactions and expenses relating/incidental to life insurance business undertaken in foreign countries in accordance with regulations laid down in the Memorandum. Insurers should transfer to India regularly all surplus funds held at foreign centers and endeavor to keep in their foreign currency accounts only minimum balances required for normal business.

Investments abroad

Renewal of existing investments, reinvestment of redemption proceeds of existing investments and fresh investments out of funds held abroad, in Government/Semi-Government securities and bank deposits may be made by insurers freely without prior approval of Reserve Bank provided they are for meeting statutory requirements in the foreign country concerned. All other investments will require prior approval of Reserve Bank.

Utilization of Foreign Currency Funds

- i. Insurers may freely use its foreign currency balances for meeting all the normal expenses of its overseas offices inclusive of taxes and other dues in connection with maintenance and upkeep of buildings and properties held by insurers in foreign countries as well as purchase of cars for official use.
- ii. Insurers may also freely use their overseas funds for settlement of provident fund, gratuity and other retirement benefits to retiring employees of overseas offices.
- iii. Insurers may grant loans, without prior permission of Reserve Bank, to employees of their overseas offices (other than Indian nationals who had been deputed or posted from India) against provident fund balances held in the country concerned, provided loan recoveries will be made in foreign currency.

Sharing Database Regulations

These regulations are called the Insurance Regulatory and Development Authority of India (Sharing of Database for Distribution of Insurance Products) Regulations, 2010.

What is a Referral Arrangement?

It means the arrangement between a referral company and an insurer in terms of an agreement entered into for the purpose of sharing of the database of the customers of the referral company but does not include the soliciting or sale,

directly or through an agent, corporate agent or an insurance intermediary including a micro insurance agent of an insurance product.

Application of a referral company

The application seeking grant of approval of the referral company shall be made by an insurer to the IRDAI.

Eligibility criteria for approval of the referral company

- a) The referral company is not in any of the business of extending loans and advances, accepting deposits, trading in securities on its own account or on the accounts of the customers;
Provided that any bank including a Regional Rural Bank or a co-operative bank that is not eligible for grant of corporate agency license under the relevant eligibility criteria stipulated by the Reserve Bank of India may be approved as a referral company, subject to such conditions as may be imposed by the Authority and the Reserve Bank of India. Any other department or organization of the Government may also be approved as a referral company subject to such conditions as may be imposed by the IRDAI
- b) The referral company is engaged in a business that has no linkage, direct or indirect, with the transaction or distribution of the business of insurance;
- c) The referral company does not carry out the sale or promotion of insurance products in its premises or elsewhere at all times;
- d) The referral company, has a minimum net worth of rupees fifty lakhs and a minimum turnover of rupees one crore during the previous three consecutive years;
- e) The referral company has a data base of its customers acquired through its business. Provided that a company whose main business is acquisition and sale of client data shall not be eligible to be referral company
- f) The referral company does not have an existing referral arrangement with an insurer carrying out the same class of insurance business;
- g) The referral company is not bound by any confidentiality agreement in the matter of sharing the personal and financial databases of its customers;
- h) While considering the application, the IRDAI may verify the information furnished by the insurer including the supporting documents and the available database and also inspect the premises and infrastructure of the referral company and for this purpose, appoint an officer of the Authority.
- i) The IRDAI may, after considering the application with reference to the matters specified in the above regulations, grant approval to the referral company which shall be valid for a period of three years from the date of grant of such approval.

The insurer shall enter into an agreement with the referral company approval by the Authority which shall necessarily include details relating to the following:

- a. Agreed price of the database to be shared.
- b. Terms of payment included time-format and mode.
- c. The right of the insurer to inspect/audit the referral company.

- d. Onus of complying with the regulatory and other legal requirements on both the parties to the agreement.
- e. Identifying the different data elements to be shared (viz, name of customer, contact details)

The agreement shall be valid for a period of three years from the date of grant of approval by the Authority and within fifteen days from the date of entering into such an agreement, the insurer shall file the agreement in electronic form through the IRDAI Portal.

Notwithstanding the terms of the referral agreement entered into with the referral company, the IRDAI may direct the insurer to forthwith terminate the registration of the referral company, if the same is not found to be in public interest.

Restrictions on the business activities of the referral company

The referral company that has been approved by the Authority and registered with the insurer shall not:

- a) Carry out the sale of insurance products in its premises or elsewhere at all times;
- b) Undertake any insurance related activity except activities in the nature of sharing of the database of its customers for the sale or distribution of insurance products;
- c) Create a database of its customer groups by specifically soliciting or scouting prospective policyholders, for the sale or distribution of the insurance products;
- d) Provide details of its customers without their prior consent or provide details of any person/firm/company with whom they have not had any recorded business transaction;
- e) Receive any payment from the insurer for providing the database of its customers, over and above the remuneration as outlined in the regulation;
- f) Receive any payment for providing the database of its customers from a person involved in insurance related activity other than an insurer;
- g) Be licensed/registered as an insurance agent, corporate agent, micro insurance agent or a broker under the relevant Regulations framed by the Authority;
- h) Enter into a referral arrangement with more than one life and/or one general insurance company and /or one standalone health insurance company;
- i) Earn more than 10% of its total income from the referral business with an insurer or any other organisation not involved in any insurance related activity, at any time during the tenure of the referral arrangement;
- j) Acquire at any time, databases with the express purpose of selling it to insurers or any other organisation not involving in any insurance related activity.

Obligations of Referral Company

1. A referral company shall ensure that it maintains the specified net worth and turnover at all times during the tenure of the referral arrangement.
2. A referral company shall maintain the records and the reports of its activities under the referral arrangement, in the manner specified in the agreement entered into between the insurer and the referral company.
3. A referral company shall along with its employees (whatever their designation may be) comply with all the provisions of the Insurance Regulatory and Development Act, 1999, the rules and regulations framed thereunder and such other directions issued by the Authority from time to time.

Obligations of the Insurer

1. An insurer shall ensure that the referral company with which it has entered into a referral arrangement is compliant with all the provisions of these regulations, the Act, the Insurance Regulatory and Development Act, 1999, the rules and regulations framed thereunder and such other directions issued by the Authority from time to time;
2. An insurer shall maintain a record of every referral agreement entered into by it, the total business generated by it under the referral agreement and the total amount payable by it including all the payment made to the referral company, along with the calculation basis of such payments;
3. An insurer shall maintain a separate record for each batch of referral data obtained from each referral company, the details of the policies sold out of the references thus obtained and the information regarding the payments made by it;
4. An insurer shall submit to the IRDAI , the reports of its activities as relevant for the purpose of these regulations, whenever called up to do so
5. An insurer shall bring to the notice of the IRDAI, any change in the information or particulars previously furnished that has a bearing on the approval granted by the Authority.
6. An insurer shall upload the duly approved modification to the information or particulars previously furnished to the Authority not later than fifteen days from the date of grant of such approval
7. An insurer shall pay, such fees or remuneration to the referral company for such database that is converted into sales, which shall not exceed twenty five percent of the commission payable or actually paid, whichever is lower, on the first year premium of the first policy sold on the basis of the lead obtained from the referral company. However no fees or remuneration shall be paid by the insurer to a referral company in respect of the policies that are sold without relying upon the data shared by it.

Provided that in the case of life insurance policies procured, where the premium is payable in other than yearly mode, the referral fee shall be paid only to the extent of the first year premium instalments and that have been received by the insurer.

Further, in case of long term policies under general insurance, the referral fee shall be paid only to the extent of the premium instalment/s in the first year of the policy and that have been received by the insurer.

8. An insurer shall not pay any fees or remuneration for such database converted into sales more than once during the tenure of the referral arrangement
9. An insurer shall not pay any fees or remuneration on any type of renewal premium/policy payable from the second year and the subsequent years or for the sale of a new policy to the existing customer of the insurer
10. An insurer shall not pay the referral company fees or remuneration toward the costs incidental to the referral activities including maintenance of the database, infrastructure, training, entertainment, development, communication, advertisements, sales, promotion etc.
11. An insurer shall not pay any remuneration towards acquisition of any database after the termination of the referral agreement
12. An insurer shall ensure that all the transactions in terms of the referral arrangement are in accordance with the provisions of the Act, the Insurance Regulatory and Development Act, 1999, the rules and regulations framed there under and such other directions as used by the Authority from time to time.
13. Every insurer shall forthwith terminate all the referral arrangements entered into prior to the coming into effect of these regulations that are not in conformity with the provisions of these regulations. Such arrangement shall however be allowed to continue subject to them being suitably modified or amended in terms of these regulations, within a period of six months from the date of notification of these regulations, and after obtaining the prior approval of the Authority
14. The insurer shall nominate one of its senior officials who reports to the board of directors of the insurer, as a compliance officer, who shall be responsible for the verification and due diligence pertaining to the proposal and existing referral companies and shall also be authorised to sign the referral agreements. The compliance officer shall also be responsible for reporting all matters pertaining to the referral arrangements to the Authority;
15. The insurer shall be responsible for the acts of omission or commission of its employees or the persons whose services have been availed or procured by it towards the referral arrangement.

IRDAI Regulations on Advertisements by Insurance Companies

Advertising is a highly visible form of marketing communication with the public with these objectives:

1. Encourage agents and brokers to sell insurance company products,
2. Predispose customers to be receptive to sales calls,
3. Enhance an insurance company's public image,
4. Support introduction of new products, and
5. Influence public and legislative opinions on issues of importance to the insurance industry.

In order to regulate the Marketing of Insurance, IRDAI formulated some regulations.

“Insurance advertisement” means any communication directly or indirectly related to a policy and intended to result in the eventual sale or solicitation of a policy from the members of the public, and includes all forms of printed and published materials or any material using the print and or electronic medium for public communication such as:

- i) newspapers, magazines and sales talks;
- ii) billboards, hoardings, panels;
- iii) radio, television, website, e-mail, portals;
- iv) representations by intermediaries;
- v) leaflets;
- vi) descriptive literature/ circulars;
- vii) sales aids flyers;
- viii) illustrations form letters;
- ix) telephone solicitations;
- x) business cards;
- xi) videos;
- xii) faxes; or
- xiii) any other communication with a prospect or a policyholder that urges him to purchase, renew, increase, retain, or modify a policy of insurance.

Explanation

The following materials shall not be considered to be an advertisement provided they are not used to induce the purchase, increase, modification, or retention of a policy of insurance:

- Materials used by an insurance company within its own organization and not meant for distribution to the public;
- Communications with policyholders other than materials urging them to purchase, increase, modify surrender or retain a policy;
- Materials used solely for the training, recruitment, and education of an insurer's personnel, intermediaries, counsellors, and solicitors, provided they are not used to induce the public to purchase, increase, modify, or retain a policy of insurance
- Any general announcement sent by a group policyholder to members of the eligible group that a policy has been written or arranged.

“Unfair or misleading advertisement” will mean and include any advertisement:

- (i) That fails to clearly identify the product as insurance;
- (ii) Makes claims beyond the ability of the policy to deliver or beyond the reasonable expectation of performance;
- (iii) Describes benefits that do not match the policy provisions;
 - uses words or phrases in a way which hides or minimizes the costs of the hazard insured against or the risks inherent in the policy;

- omits to disclose or discloses insufficiently, important exclusions, limitations and conditions of the contract;
- gives information in a misleading way;
- illustrates future benefits on assumptions which are not realistic nor realizable in the light of the insurer's current performance;
- where the benefits are not guaranteed, does not explicitly say so as prominently as the benefits are stated or says so in a manner or form that it could remain unnoticed;
- implies a group or other relationship like sponsorship, affiliation or approval, that does not exist;
- Makes unfair or incomplete comparisons with products which are not comparable or disparages competitors.

Compliance and control

Every insurer or intermediary or insurance agent shall:

- (i) Have a compliance officer, whose name and official position in the organization shall be communicated to the Authority, and he shall be responsible to oversee the advertising programme;
- (ii) Establish and maintain a system of control over the content, form, and method of dissemination of all advertisements concerning its policies.
- (iii) Maintain an advertising register at its corporate office which must include:
 - (a) a specimen of every advertisement disseminated, or issued or a record of any broadcast or telecast, etc.;
 - (b) a notation attached to each advertisement indicating the manner, extent of distribution and form number of any policy advertised
- (iv) Maintain a specimen of all advertisements for a minimum period of three years.
- (v) File a copy of each advertisement with the Authority as soon as it is first issued, together with information:
 - (a) An identifying number for the advertisement;
 - (b) The form number of the policy advertised and when the product/s were approved by the Authority;
 - (c) A description of the advertisement and how it is used.
 - (d) The method or media used for dissemination of the advertisement.
- (vi) File a certificate of compliance with their annual statement stating that, to the best of its knowledge, advertisements disseminated by the insurer or by its intermediaries during the preceding year have complied with the provisions of these regulations and the advertisement code as stated in regulation.

The advertisement register shall be subject to inspection and review by the Authority for content, context, prominence and position of required disclosures, omissions of required information, etc.

Changes in advertisement

Any change in an advertisement would be considered a new advertisement.

All the provisions shall apply mutatis mutandis to an advertisement referred to in sub regulation .The IRDAI shall be informed at the time of filing the advertisement, the extent of change in the original advertisement.

Insurance company advertisements

Every insurance company shall be required to prominently disclose in the advertisement the full particulars of the insurance company, and not merely any trade name or monogram or logo. Where benefits are more than briefly described, the form number of the policy and the type of coverage shall be disclosed fully.

Advertisements by insurance agents

Every advertisement by an insurance agent that affects an insurer must be approved by the insurer in writing prior to its issue; it shall be the responsibility of the insurer while granting such approval to ensure that all advertisements that pertain to the company or its products or performance comply with these regulations and are not deceptive or misleading.

Explanation

An agent shall not be required to obtain written approval of the company prior to issue for those advertisements developed by the insurer and provided to the agents;

- generic advertisements limited to information like the agent's name, logo, address, and phone number; and
- advertisements that consist only of simple and correct statements describing the availability of lines of insurance, references to experience, service and qualifications of agents; but making no reference to specific policies, benefits, costs or insurers.

Advertisements by insurance intermediaries

Only properly licensed intermediaries may advertise or solicit insurance through advertisements.

Advertising on the Internet

Every insurer or intermediary's web site or portal shall include disclosure statements, which outline the site's specific policies vis-à-vis the privacy of personal information, for the protection of both their own businesses and the consumers they serve and display their registration/ license numbers on their web sites. For the purposes of these regulations, except where otherwise specifically excluded or restricted, no form or policy otherwise permissible for use shall be deemed invalid or impermissible, if such form or policy accurately reflects the intentions of the parties as published electronically or transmitted electronically between parties.

Identity of advertiser

Every advertisement for insurance shall state clearly and unequivocally that insurance is the subject matter of the solicitation; and state the full registered name of the insurer/ intermediary/ insurance agent.

Endorsements and other third-party involvement

A third party, group or association shall not:

- (i) Distribute information about an insurance policy, intermediary or insurer on its letterhead.
- (ii) Allow an insurance intermediary or insurer to distribute information about an insurance policy, insurance or insurance company on its letterhead.
- (iii) Distribute information about an individual insurance policy, or about an intermediary or insurer in its envelopes, unless—
 - a) the third party is providing only a distribution service for the insurance advertisement and is not itself soliciting the coverage, and
 - b) the insurance information is a piece separate from any other information distributed by the third party and clearly indicates its origin.
- (iv) Recommend that its members purchase specific insurance products.
- (v) Imply that a person must become a member of its organization in order to purchase the policy.

Provided that a third party, group or association may:

- (i) Endorse an insurance company or insurance intermediary's product and provide truthful statements, quotes, and testimonials endorsing the insurance products to the insurance company for use in the company's advertisements, so long as the language does not convey directly or indirectly a recommendation that members of the organisation purchase the products.
- (ii) Provide an insurance company with information about its membership and collect compensation based upon sales for that information.

Procedure for action in case of complaint

If an advertisement is not in accordance with these regulations the IRDAI may take action in one or more of the following ways:

- (i) Issue a letter to the advertiser seeking information within a specific time, not being more than ten days from the date of issue of the letter;
- (ii) Direct the advertiser to correct or modify the advertisement already issued in a manner suggested by the IRDAI with a stipulation that the corrected or modified advertisement, shall receive the same type of publicity as the one sought to be corrected or modified;

- (iii) Direct the advertiser to discontinue the advertisement forthwith;
- (iv) Any other action deemed fit by the Authority, keeping in view the circumstances of the case, to ensure that the interests of the public are protected.

The advertiser may seek additional time from the IRDAI, to comply with the directions justifying the reasons there for. The Authority, may, however, refuse to grant extension of time if it feels that the advertiser is seeking time only to delay the matters.

Any failure on the part of the advertiser to comply with the directions of the IRDAI may entail the Authority to take such action as deemed necessary including levy of penalty.

Statutory Warning

Every proposal for an insurance product shall carry the following stipulation, "No person shall allow or offer to allow, either directly or indirectly, as an inducement to any person to take out or renew or continue an insurance in respect of any kind of risk relating to lives or property in India, any rebate of the whole or part of the commission payable or any rebate of the premium shown on the policy, nor shall any person taking out or renewing or continuing a policy accept any rebate, except such rebate as may be allowed in accordance with the published prospectus or tables of the insurer." If any person fails to comply with regulation above, he shall be liable to payment of a fine which may extend to rupees five hundred".

The IRDAI (Insurance Advertisements) Regulations, 2000, seeks to regulate and control every insurance advertisement issued by the insurer, intermediary or insurance agent. For this purpose, every insurer, intermediary or insurance agent is required to establish and maintain a system of control over the content, form and method of dissemination of all advertisements concerning its policies and such advertisement should be filed with the Authority as soon as it is first issued. An advertisement issued by an insurer should not fall in the category of an unfair or misleading advertisement. An 'unfair or misleading advertisement' means and includes any advertisement

- that fails to clearly identify the product as insurance;
- makes claims beyond the ability of the policy to deliver or beyond the reasonable expectation of performance;
- describes benefits that do not match the policy provisions;
- uses words or phrases in a way which hides or minimizes the costs of the hazard insured against.

Summary

- Micro-insurance is the protection of low-income people against specific perils in exchange for regular premium payments proportionate to the likelihood and cost of the risk involved.
- Micro-insurance is a very useful tool in times of eventualities.
- The concept of micro-financing as an idea to eradicate poverty was experimented in Bangladesh in 1974 by Prof. Muhammad Yunus.
- The IRDAI Micro-Insurance Regulations 2005 lay down the regulations and guidelines for the micro-insurance sector.
- IRDAI regulations 2005 also lay down conditions applicable to micro-insurance agents.
- These regulations also define the Micro insurance products.
- Unit Linked Insurance Plans (ULIPs) are market-linked insurance plans. These products offer the twin benefit of life protection and investment to the policyholder.
- A life insurance company, after deducting the charges for life cover and others charges, invests the remaining amount of the premium in a fund chosen by the policyholder. The returns from the ULIP are dependent upon the performance of the fund.
- The policyholder's investment in the fund is denoted in the form of units and is represented by the value that it has attained, called Net Asset Value (NAV). The policy value at any time varies according to the value of the underlying assets at the time.
- An investor can purchase a ULIP policy with a single premium or regular premiums.
- Guidelines issued by the IRDAI affect the various areas related to ULIP products such as product design, market conduct, disclosures and advertisements.
- Life insurance companies need to ensure an advertisement disseminates, to all policyholders, adequate, accurate, explicit and timely information fairly presented in a simple language.
- The minimum policy term for ULIP products is 5 years.
- The difference in NAV at the time of entry (offer price) and exit (bid price) is known as bid-offer spread
- During the lock-in period, no residuary payments on policies which have lapsed / surrendered / discontinued can be made. The lock-in period is also applicable to top up premiums.
- Top-up premiums allow the policyholders to increase their annual contribution while avoiding the initial allocation charges.
- Riders attached to a life insurance policy should bear the nature and character of the main policy.
- A list of charges with their definitions is enclosed as additional reading material at the end of this chapter.
- Money laundering is the act of changing the appearance of money that comes from illegitimate sources so that it appears to be legitimate money.
- The progress of money laundering can broadly be classified into three stages viz. placement, layering and integration

- Certain methods of money laundering are known to the regulatory authorities and several others have yet to be uncovered
- Financial Action Task Force (FATF) is policy-making inter-governmental body whose purpose is the development and promotion of national and international policies to combat money laundering and terrorist financing
- KYC process is meant to weed the bad customers out and to protect the good ones.
- Implementation of KYC should not mean denial of insurance services to the public
- AML / CFT guidelines place the responsibility of a robust program on the insurance companies for guarding against insurance products being used to launder unlawfully derived funds or to finance terrorist acts.
- Records of transactions reported to FIU will have to be retained for 10 years beginning from the date of occurrence of transaction
- The insurance premium generally increases with the increase in risk.
- The IRDAI (Manner of receipt of premium) Regulations prescribe the alternative modes of payment of premium.
- As per Section 64VB of the Insurance Act 1938, the insurer shall be on risk only after the receipt of the premium by the insurer except in cases where premium has been paid in cash.
- In the case of a policy of general insurance, where the remittance made by the proposer or the policyholder is not realised by the insurer, the policy shall be treated as void ab initio i.e. as if no policy existed.
- In the case of a life insurance policy, the continuance of the risk or otherwise shall depend on the terms and conditions of the policy entered into.
- Under the Motor Vehicles Act, insurers do not have 'non-receipt of premium or non-realization of cheque' as a defence against payment of compensation to the third party.
- There is relaxation to the provisions of section 64 VB (I) for of certain categories of insurance.

Answers to Test Yourself

Answer to TY 1

The correct answer is **C**.

Micro-insurance is a term related to insurance characterised by low premium and designed to serve low income people

Answer to TY 2

The correct answer is **D**.

The concept of micro-insurance originated in Bangladesh.

Answer to TY 3

The correct answer is B.

The maximum remuneration limit for a micro insurance agent for non-life insurance business is 15% of the premium.

Answer to TY 4

The correct option is C.

Unit Linked Insurance Plans (ULIPs) are market-linked insurance plans. ULIPs provide the twin benefit of life protection and investment to the policyholder.

Answer to TY 5

The correct option is A.

According to the advertising guidelines issued by the IRDAI, where the performance data for a fund is not available for at least one calendar year, the past performance of the fund must not be shown.

Answer to TY 6

The correct option is B.

The maximum loan amount that can be sanctioned under any ULIP policy must not exceed 40% of the surrender value in those products where equity accounts for more than 60% of the total share.

Self-Examination Questions

Question 1

Micro-insurance is based on the concept of _____.

- A. Risk
- B. Eventualities
- C. Pooling
- D. Certainty

Question 2

Who conceived the idea of Grameen Bank in 1974?

- A. Bill Clinton
- B. Professor Muhammad Yunus
- C. Nelson Mandela
- D. None of the above

Question 3

For life micro insurance products, what should be the minimum number of members comprising a group?

- A. 20
- B. 15
- C. 10
- D. 30

Question 4

Micro-insurance products need prior approval of the authority under the “File & Use” procedure and every such product shall prominently carry the caption “_____”.

- A. Insurance Product
- B. Micro-Insurance Product
- C. Life Insurance Product
- D. Non-Life Insurance Product

Question 5

In the case of discontinued linked insurance policies, the policyholder has an option to either _____ the policy within the terms and conditions governing the policy or _____ the entire funds from the underlying ULIP funds with no risk cover.

- A. Revive, withdraw
- B. Terminate, withdraw
- C. Revive, forgo
- D. Terminate, forgo

Question 6

In the case of regular premium ULIP policies, most of the insurance companies allow the policyholders to pay premium on a _____ basis

- A. Daily, weekly, monthly, quarterly
- B. Weekly, monthly, quarterly, semi-annually
- C. Monthly, quarterly, semi-annually, annually
- D. Weekly, monthly, quarterly, semi-annually, annually

Question 7

Madhav is going to pay Rs. 50,000 as premium for a ULIP. According to the terms of the ULIP, 60% of the premium will be allocated to the investment chosen by Madhav. Madhav has decided to invest in the balance fund, which has a Net Asset Value of Rs 12.

The number of units allocated to Madhav will be _____

- A. 2000
- B. 2500
- C. 2750
- D. 3000

Question 8

Who is responsible to provide appropriate training to insurance agents / intermediaries before they are authorised to sell Unit Linked Insurance products?

- A. Insurance Regulatory and Development Authority of India
- B. Life insurance Companies
- C. Life Insurance Council
- D. Insurance Institute of India

Question 9

For single premium contracts under ULIPs, the minimum sum assured for the age at entry of below 45 years is _____ of the single premium paid.

- A. 100%
- B. 110%
- C. 125%
- D. 150%

Question 10

What is the lock-in period for all Unit Linked Products?

- A. One year
- B. Three years
- C. Five years
- D. Seven years

Question 11

Money Laundering refers to _____

- A. Conversion of cash into gold
- B. Conversion of asset into cash
- C. Conversion of illegal money into legitimate money
- D. Transfer of cash from one account to another

Question 12

From the below which option is one of the stages of money laundering?

- A. Smurfing
- B. Shell companies
- C. Integration
- D. None of the above

Question 13

Financial Action Task Force (FATF) was set up in _____ -

- A. Paris
- B. Berlin
- C. London
- D. India

Question 14

Out of the below which is an example of low risk customer?

- A. Non-residents
- B. High net worth individuals
- C. Companies having close family shareholding or beneficial ownership
- D. None of the above

Question 15

Records of transactions reported to the FIU have to be retained for a maximum of how many years?

- A. 5 years
- B. 7 years
- C. 9 years
- D. 10 years

Question 16

KYC norms include which of the below?

- A. Obtaining details for proper identification of new customers
- B. Verifying addresses
- C. Photographs
- D. All of the above

Question 17

In which year was the Financial Intelligence Unit (FIU) set up in Delhi?

- A. 1999
- B. 2002

- C. 2004
- D. 2006

Question 18

Which is not a negotiable instrument?

- A. Debit card
- B. Demand draft
- C. Pay order
- D. Cheque

Question 19

In simple terms, what does 'a void ab initio policy' mean?

- A. Policy exists
- B. Policy does not exist
- C. Risk of the insurer is deferred
- D. Risk of the insurer commences

Question 20

When does the risk commence if the premium is tendered by postal money order?

- A. Date when the money order is received
- B. Date on which the money order is booked
- C. Depends on the terms and conditions of the policy
- D. None of the above

Answers to Self Examination Questions

Answer to SEQ 1

The correct answer is C.

Micro-insurance is based on the concept of pooling.

Answer to SEQ 2

The correct answer is B

Professor Muhammad Yunus conceived the idea of Grameen Bank in Bangladesh in 1974.

Answer to SEQ 3

The correct answer is A

The minimum number of members comprising a group should be 20 for both life and non-life micro-insurance products.

Answer to SEQ 4

The correct answer is B.

Micro-insurance products need prior approval of the authority under the “File & Use” procedure and every such product shall prominently carry the caption “Micro-Insurance Product”.

Answer to SEQ 5

The correct option is A.

According to these regulations, the discontinued policyholders have an option to either revive the policy within the terms and conditions governing the policy or withdraw the entire funds from the underlying ULIP funds with no risk cover.

Answer to SEQ 6

The correct option is C.

Most of the insurance companies allow the policyholder to pay premium on a monthly, quarterly, semi-annual or annual basis. Most of the insurance companies do not give the policyholder the option to pay premium on a daily or weekly basis.

Answer to SEQ 7

The correct option is B.

60% of Rs 50,000 will be invested in the fund, i.e. Rs 30,000

NAV of the fund is Rs 12.

Number of units to be issued to Madhav = Rs 30,000 / Rs 12 = 2,500 units.

Answer to SEQ 8

The correct option is B.

The life insurance companies are required to provide separate training to all their insurance agents / intermediaries before the insurance agents / intermediaries are authorised to sell the ULIP products. The curriculum of the training must include the basic features and inherent risks of ULIP products.

Answer to SEQ 9

The correct option is C.

For single premium contracts under ULIPs, the minimum sum assured for the age at entry of below 45 years is 125% of the single premium paid. For the age of entry of above 45 years, the minimum sum assured is 110% of the single premium paid.

Answer to SEQ 10

The correct is C.

The lock-in period for all Unit Linked Products is five years. During this period, no residuary payments on policies that have lapsed or have been surrendered / discontinued are made.

Answer to SEQ 11

The correct answer is C

Money laundering is converting illegal money into legitimate money

Answer to SEQ 12

The correct answer is C

Integration is the stage of money laundering.

Answer to SEQ 13

The correct answer is A

Financial Action Task Force (FATF) was set up in Paris

Answer to SEQ 14

The correct answer is D

Non-residents, high net worth individuals, companies having close family shareholding or beneficial ownership are examples of high risk customers.

Answer to SEQ 15

The correct answer is D

Maximum period of retention of records of transactions to be reported to FIU is 10 years

Answer to SEQ 16

The correct answer is **D**

KYC norms include all:

- Obtaining details for proper identification of new customers
- Verifying addresses
- Photographs

Answer to SEQ 17

The correct answer is **C**

Financial Intelligence Unit (FIU) was set up in 2004.

Answer to SEQ 18

The correct answer is **A**.

Debit card is not a negotiable instrument.

Answer to SEQ 19

The correct answer is **B**.

In simple terms, 'policy is void ab initio' means the policy is treated as if it never existed.

Answer to SEQ 20

The correct answer is **B**.

The risk, when the premium is tendered by postal money order, commences on the date the money order is booked.

CHAPTER 5

REGULATIONS ON CONDUCT OF BUSINESS-II

Chapter Introduction

In this chapter you will learn about various regulations laid down by IRDAI pertaining to conduct of Health Insurance Business. You will learn about the Registration and scope of Health Insurance business, its different terms, products, forms and provisions. You will learn about the nature and administration of health insurance policies, how it operates today. In addition, you would be able to understand the regulations on the type and nature of policies and portability of Health Insurance policies offered by General Insurers and health insurers.

Learning Outcomes

- a) Understand the (Health Insurance) Regulations, 2016
- b) Understand various terms, definitions,
- c) Understand the registration and scope of business
- d) Understand the provisions relating to health insurance products.
- e) Understand general provisions relating to health Insurance
- f) Understand the administration of health insurance policies
- g) Submission of Returns to the authority, repeal and savings and removal of difficulties etc
- h) Explain how Portability of Health Insurance Policies Offered by General Insurers and Health Insurers
- i) Explain the Administration of Health plus Life Combi Products
- j) Understand the underwriting and File and Use/Products Filing Guidelines
- k) Discuss other related reference regulations.

1. Understand the (Health Insurance) Regulations, 2016.

[Learning Outcome a]

IRDAI (Health Insurance) Regulations, 2016

1. In the reference F.No. IRDAI/Reg/17/129/2016.—In exercise of the powers conferred under Section 114A of the Insurance Act, 1938 and Section 14 read with Section 26 of the IRDAI Act, 1999 and in consultation with the Insurance Advisory Committee, the Authority hereby makes the following regulations, namely:-

2. General - Short title and commencement.

- (a) These Regulations may be called Insurance Regulatory and Development Authority of India (Health Insurance) Regulations, 2016.
- (b) They shall come into force from the date of their publication in the official Gazette of the Government of India.
- (c) Unless otherwise provided by these Regulations, nothing in these Regulations shall deem to invalidate the Health insurance contracts entered into prior to these Regulations coming into force.
- (d) Unless otherwise mentioned herein, these Regulations are applicable to all registered Life Insurers, General Insurers and Health insurers, conducting health insurance business, as defined under the Act. These Regulations shall also be applicable to all TPAs wherever mentioned.

2. Understand various Terms, Definition Registration and scope of Business.

[Learning Outcome b]

1. Explanation Of Various Terms:

2. (i) In these Regulations, unless the context otherwise requires,--

- (a) “Act” means the Insurance Act 1938.
- (b) "Health Services Agreement" means an agreement as defined in IRDAI (Third Party Administrators - Health Services) Regulations, 2016.
- (c) “Authority” means the Insurance Regulatory and Development Authority of India established under sub section 1 of section 3 of the IRDA Act 1999.
- (d) “AYUSH Treatment” refers to the medical and / or hospitalization treatments given under ‘Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homeopathy systems.
- (e) “Break in policy” means the period of gap that occurs at the end of the existing policy term, when the premium due for renewal on a given policy is not paid on or before the premium renewal date or within 30 days thereof.
- (f) “Cashless facility” means a facility extended by the insurer or TPA on behalf of the insurer to the insured, where the payments for the costs of treatment undergone by the insured in accordance with the policy terms and conditions, are directly made to the network provider by the insurer to the extent pre-authorization is approved.
- (g) “Product Filing Guidelines” mean the Guidelines specified by the Authority on the procedure to be followed by insurers before marketing or offering a product falling under Health Insurance Business.
- (h) “Health insurance business” means Health insurance business as defined under Section 2(6C) of the Act.
- (i) "Health Services by TPA" means the services specified in Regulation (3) of IRDAI (Third Party Administrators - Health Services) Regulations, 2016.
- (j) “Health plus Life Combi Products” mean products which offer the combination of a Life Insurance cover offered by a life insurer and a Health Insurance cover offered by General Insurer or Health Insurer.

- (k) “Network Provider” means network provider as defined in IRDAI (Third Party Administrators - Health Services) Regulations, 2016.
- (l) “Pilot product” means a close-ended product with a policy term of one year that may be offered for sale by General Insurers or Health Insurers for a period not exceeding five years from the date of launch of the product with a view to giving scope to innovation for covering risks that have not been offered hitherto or stand excluded in the extant products.
- (m) “Portability” means the right accorded to an individual health insurance policyholder (including family cover), to transfer the credit gained for pre-existing conditions and time bound exclusions, from one insurer to another or from one plan to another plan of the same insurer.
- (n) “Senior citizen” means any person who has completed sixty or more years of age as on the date of commencement or renewal of a health insurance policy.
- (o) “Specified” means specified by the Authority from time to time, by issue of Circulars, Guidelines or Instructions for the purpose of these regulations on matters listed in Schedule - III or any other matter which is required to be specified by the Authority under these Regulations.
- (p) “Third Party Administrators or TPA” means any person who is registered under the IRDAI (Third Party Administrators - Health Services) Regulations, 2016 notified by the Authority, and is engaged, for a fee or remuneration by an insurance company, for the purposes of providing health services as defined in those Regulations.
- (ii) All words or expressions not defined in these Regulations but defined in the Insurance Act 1938 or Insurance Regulatory and Development Authority Act 1999 or Rules or Regulations made thereunder shall have the same meanings respectively assigned to them in those Acts, rules or regulations as amended from time to time.

Test Yourself 1

Question 1

_____ treatment refers to the medical and / or hospitalization treatments given under 'Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homeopathy systems.

- A. Insurance
- B. AYUSH
- C. Micro-insurance
- D. Cashless insurance

Test Yourself 2

Question 2

“_____” means any person who is registered under the IRDAI (Third Party Administrators - Health Services) Regulations, 2016 notified by the Authority, and is engaged, for a fee or remuneration by an insurance company, for the purposes of providing health services as defined in those Regulations.

- A. IRDAI
 - B. ThirdPartyAdministratorsorTPA
 - C. Seniorcitizen
 - D. Designated Person
-

3. Understand Registration and scope of Health Insurance Business.

[Learning Outcome c]

1. Registration and Scope of Health Insurance Business

- (a) Health Insurance products may be offered only by entities with a valid registration granted to carry on Life Insurance or General Insurance or Health Insurance Business under the Insurance Regulatory and Development Authority (Registration of Indian Insurance Companies) Regulations 2000 as amended from time to time.

- (b) Life Insurers may offer long term Individual Health Insurance products i.e., for term of 5 years or more, but the premium for such products shall remain unchanged for at least a period of every block of three years, thereafter the premium may be reviewed and modified as necessary.

Provided that a life insurer may not offer indemnity based products either Individual or Group. All existing indemnity based products offered by life insurers shall be withdrawn as specified under these Regulations.

Provided also that no single premium health insurance product shall be offered under Unit Linked platform.

- (c) General Insurers and Health Insurers may offer individual health products with a minimum tenure of one year and a maximum tenure of three years, provided that the premium remains unchanged for the tenure.
- (d) Group Health Policies may be offered by any insurer for a term of one year except credit linked products where the term can be extended up to the loan period not exceeding five years.
- (e) Provided General Insurers and Health Insurers may also offer Credit Linked Group Personal Accident policies for a term extended upto the loan period not exceeding five years.
- (f) Provided further, notwithstanding the provisions of Regulation 4 (b) of these Regulations, Life Insurers may offer Group Health Insurance Policies as specified in Regulation (3) (d).
- (g) Group Personal Accident Policies may be offered by General Insurers and Health insurers with term less than one year also to provide coverage to specific events. Other Insurance Products offering Travel Cover and Individual Personal Accident Cover may also be offered for a period less than one year.

- (h) Overseas or Domestic Travel Insurance policies may only be offered by General Insurers and Health Insurers , either as a standalone product or as an add-on cover to a health or personal accident policy.

4. Understand the Provisions relating to Health Insurance Products.

[Learning Outcome d]

1. Product Filing Procedure for health insurance products

- (a) No insurance product of a Life Insurer, General Insurer and Health Insurer under Health Insurance Business and any revision or modification thereon shall be marketed or offered by any insurer unless it is filed with the Authority as per the Product Filing Guidelines and duly disposed of by the Authority as provided therein.
- (b) Health Insurance products of Life Insurers shall also be subject to the provisions specifically provided for health products in the following Regulations as modified from time to time:
 - i) IRDA (Linked Insurance Products) Regulations, 2013.
 - ii) IRDA (Non-linked Insurance Products) Regulations, 2013

2. Withdrawal of Health Insurance Product

- Withdrawal of a health insurance product by Life Insurers, General Insurers and Health Insurers shall be subject to the Guidelines specified by the Authority.
- With regard to specific withdrawal of indemnity based health products offered by life insurers pursuant to the provisions of Regulation 3 (b) of these Regulations, the product shall be closed by giving a prospective date of closure not later than three months from the date of notification of these Regulations. For existing policyholders, the policy shall continue until the expiry of the respective policy term.

3. Review of Health Insurance Products

- (i) All particulars of any health insurance product of Life Insurers, General Insurers and Health Insurers shall, after introduction, revision or modification be reviewed by the Appointed Actuary at least once a year. If the product is found to be financially unviable, or is deficient the Appointed Actuary may revise the product appropriately and apply for revision under Product Filing Guidelines **subject to the provisions of Regulation 10 of these Regulations.**

4. Group Insurance

- (a) No Group Health Insurance Policy shall be issued by any Insurer where a Group is formed with the main purpose of availing itself of insurance. There shall be a clearly evident relationship as specified by the Authority from time to time between the members of the group and the group policy holder.

The Group shall have a size as determined by the Insurer which shall be applicable for all its group policies, subject to a minimum of 7, to be eligible for issuance of a Group Insurance Policy. Further, Insurer shall follow the Guidelines specified by the Authority on Group Insurance, from time to time.

5. Underwriting

- (a) All Life Insurers, General Insurers and Health Insurers shall evolve a Health Insurance Underwriting Policy which shall be approved by the Board of the Company. Every Insurer shall also put in place measures for periodical review of the underwriting policy in tune with the changes affecting the medical field and health insurance business.
- (b) The underwriting policy shall also cover the approach and aspects relating to offering health insurance coverage not only to standard lives but also to sub-standard lives. It shall have in place various objective underwriting parameters to differentiate the various classes of risks being accepted in accordance with the respective risk categorisation.
- (c) Any proposal for health insurance may be accepted as proposed or on modified terms or denied wholly based on the Board approved underwriting policy. A denial of a proposal shall be communicated to the prospect in writing, by recording the reasons for denial. Provided, the denial of the coverage shall be the last resort that an insurer may consider.
- (d) General Insurers and Health Insurers may devise mechanisms or incentives to reward policyholders for early entry, continued renewals (wherever applicable), favourable claims experience, preventive and wellness habits and disclose upfront such mechanism or incentives in the prospectus and the policy document, by complying with the norms specified under Product Filing Procedure Guidelines. Provided that what is proposed to be covered as part of wellness habits and preventive habits be clearly defined in each and every product. Provided further that no discount shall be offered on any third party service or merchandise. However, discounts in premium or discounts and/or benefits on diagnostic or pharmaceuticals or consultation services of providers in the network are permitted.

6. Proposal Form:

- (a) Every Life Insurer, General Insurer and Health Insurer shall devise a proposal form to be submitted by a proposer seeking a health insurance policy. Such form should capture all the information necessary to underwrite a proposal in accordance with the stated Underwriting Policy

of the Company.

- (b) Information collected from the proposal form during the course of solicitation of an insurance policy or issuance of an insurance policy shall not be parted with to any third party, except with the statutory authorities in accordance with the existing statutory laws or in accordance to the instructions issued by the Authority or for the purpose of underwriting the policy of the same individual or claim settlement. No Insurer shall insert any clauses or conditions in the proposal forms, express or implied thereby obligating the prospect to part with the information pertaining to his/her proposal. Notwithstanding the above provisions, all Insurers shall comply with the applicable provisions of the Law, other applicable Regulations as well as Guidelines specified by the Authority while designing the proposal forms.

7. Principles of Pricing of Health Insurance Products offered by Life, General and Health Insurers:

- (a) Insurers shall ensure that the premium for a health insurance policy shall be based on,
 - i. Age: for individual policies and group policies.
 - ii. Other relevant risk factors as applicable
- (b) For provision of cover under family floater, the impact of the multiple incidence of rates of all family members proposed to be covered shall be considered.
- (c) The premiums filed shall ordinarily be not changed for a period of three years after a product has been cleared in accordance to the product filing guidelines specified by the Authority. Thereafter the insurer may revise the premium rates depending on the experience subject to (d) (e) and (f) hereunder. However, such revised rates shall not be changed for a further period of at least one year from the date of launching the revision.
- (d) The policy premium rate shall be unchanged
 - i. For all group products for the term of the policy.
 - ii. For all individual and family floater products, other than travel insurance products offered by general insurers and health insurers, for at least:
 - A period of one year in case of one year renewable policies and
 - The period stipulated in 3(c) herein in case of the rest.
 - iii. In case of individual health products offered by life insurers, every block of three years as stipulated in Regulation (3) (b).

- (e) Subject to Regulation (3) (b), changes in rates will be applicable from the date of approval by the Authority and shall be applied only prospectively thereafter for new policies and from the date of renewal for the existing policies.
- (f) Notwithstanding the above provisions, all Insurers shall comply with the Guidelines specified by the Authority while pricing the products.

Test Yourself 3

Question 3

Every Life Insurer, General Insurer and Health Insurer shall devise a _____ to be submitted by a proposer seeking a health insurance policy. Such form should capture all the information necessary to underwrite a proposal in accordance with the stated Underwriting Policy of the Company?

- A. Cover Note
 - B. Proposal form
 - C. Policy Form
 - D. Slip
-

5. Understand the General Provisions relating to Health Insurance Business.

[Learning Outcome e]

1. Designing of Health Insurance Policies

- a) Subject to Regulation 3 as applicable, Health insurance product may be designed to offer various covers;
 - I. For specific age or gender groups
 - II. For different age groups
 - III. For treatment in all hospitals throughout the country, provided the hospitals comply with the definition specified
 - IV. For treatment in specific hospitals only, provided the morbidity rates used are representative
 - V. For treatment in specific geographies only, provided the morbidity rates used are representative

Provided, such specifications are disclosed clearly upfront in the product prospectus, documents and during sale process. And provided that no insurer shall offer any benefit or service without any insurance element.

- b) In order to facilitate offering of innovative covers by insurers, 'Pilot products' may be designed and filed for approval of the Authority in accordance with the Product Filing Guidelines specified by the Authority. Pilot products referred herein can be offered only by General Insurers and Health Insurers for policy tenure of one year. Every Pilot product may be offered upto a period not exceeding 5 years. After 5 years of launch of the pilot product, the product needs to get converted into a regular product or based on valid reasons may be withdrawn subject to the insured being given an option to migrate to another product subject to portability conditions. The Authority may specify guidelines for Pilot Products from time to time. Where a pilot product gets converted into a regular product, any exception made in these Regulations for pilot products shall no longer apply and the insurer shall ensure compliance with all the provisions of these Regulations.
- c) Insurer shall not compel the insured to migrate to other health insurance products. In case of migration from a withdrawn product, the insurer shall offer the policyholder an alternative available product subject to portability conditions.
- d) Insurers shall ensure adequate dissemination of product information on all their health insurance products on their websites. This

information shall include a description of the product, copies of the prospectus as approved under the Product Filing Guidelines, proposal form, policy document wordings and premium rates inclusive and exclusive of Service Tax as applicable.

2. Entry and Exit Age

- a) Except as provided for in regulation 17(i), all health insurance policies shall ordinarily provide for an entry age of at least up to 65 years
- b) Except travel insurance products, personal accident products and Pilot Products referred to in Regulation 2(i)(l) herein, once a proposal is accepted and a policy is issued which is thereafter renewed periodically without any break, further renewal shall not be denied on grounds of the age of the insured.

3. Renewal of Health Policies issued by General Insurers and Health Insurers (not applicable for travel and personal accident policies)

- a) A health insurance policy shall ordinarily be renewable except on grounds of fraud, moral hazard or misrepresentation or non-cooperation by the insured, provided the policy is not withdrawn.
- b) An insurer shall not deny the renewal of a health insurance policy on the ground that the insured had made a claim or claims in the preceding policy years, except for benefit based policies where the policy terminates following payment of the benefit covered under the policy like critical illness policy.
- c) The insurer shall provide for a mechanism to condone a delay in renewal up to 30 days from the due date of renewal without deeming such condonation as a break in policy. However coverage need not be available for such period.
- d) The promotion material and the policy document shall explicitly state the conditions under which a policy terminates, such as on the payment of the benefit in case of critical illness benefits policies.

4. Free Look Period

- a) All new individual health insurance policies issued by Life Insurers, General Insurers and Health Insurers, except those with tenure of less than a year shall have a free look period. The free look period shall be applicable at the inception of the policy and
 - The insured will be allowed a period of at least 15 days from the date of receipt of the policy to review the terms and conditions of the policy and to return the same if not acceptable.
 - If the insured has not made any claim during the free look period,

the insured shall be entitled to—

- A refund of the premium paid less any expenses incurred by the insurer on medical examination of the insured persons and the stamp duty charges or; (b) where the risk has already commenced and the option of return of the policy is exercised by the policyholder, a deduction towards the proportionate risk premium for period on cover or; (c) Where only a part of the insurance coverage has commenced, such proportionate premium commensurate with the insurance coverage during such period; (d) In respect of unit linked policy, in addition to the above deductions, the insurer shall also be entitled to repurchase the unit at the price of the units as on the date of the return of the policy.

5. Manner of treating Cost of pre-insurance health check up by Life, General and Health Insurers:

- a) The cost of any pre-insurance medical examination shall generally form part of the expenses allowed in arriving at the premium. However in case of products with term of one year and less, if such cost is to be incurred by the insured, not less than 50% of such cost shall be borne by the insurer once the proposal is accepted, except in travel insurance policies.
- b) Insurers shall maintain a list of medical examiners and institutions where such pre-insurance medical examination may be conducted whose reports will be accepted by them. Details of fee payable shall be made available to the prospective policyholder at the time of pre-insurance medical examination on demand.

6. Cumulative bonus

- a. Cumulative bonuses offered under policies, shall be stated explicitly in the prospectus and the policy document.
- b. If a claim is made in any particular year, the cumulative bonus accrued may be reduced at the same rate at which it has accrued;

7. Migration of health insurance policy (not applicable for Travel and Personal Accident policies)

- (a) General Insurers and Health Insurers offering health covers specific to age groups such as maternity covers, children under family floater policies, students etc, shall offer an option to migrate to a suitable alternative available health insurance policy at the end of the specific exit age or at the time of withdrawal of the policy at the option exercised by the said lives by allowing suitable credits for all the previous policy years, provided the policy has been maintained without a break.
- (b) Pilot products offered by general insurers and health insurers, may be guided by Regulation 11(b).
- (c) All health insurance policies issued by General and Health Insurers shall allow the portability of any policy in accordance with Schedule -

1 of these Regulations.

8. AYUSH Coverage:

- a) General Insurers and Health Insurers may endeavour to provide coverage for one or more systems covered under 'AYUSH treatment' provided the treatment has been undergone in a government hospital or in any institute recognized by government and/or accredited by Quality Council of India or National Accreditation Board on Health.

9. Wellness and Preventive aspects:

While wellness and preventive elements as part of product design is encouraged, no policy of insurance shall promote or offer the products and services of third parties who are not Network Providers. Insurers shall neither offer any discounts to the policyholders, in any form, on the products of the third parties either as part of policy contract or otherwise.

- a) However, Insurers may endeavour promoting wellness amongst policyholders of health insurance by offering the following health specific services offered by Network Providers,
- outpatient consultations or treatments or
 - Pharmaceuticals or
 - Health check-ups

Including discounts on all the above at specific Network Providers.

- b) Insurers may also endeavour to put in place procedures for offering discounts on premiums on renewals based on the fitness and wellness criteria stipulated and disclosed.

Provided further the costs towards the above services are factored into the pricing of the underlying Health Insurance Product.

10. Standard Definition of terms in health insurance policies (not applicable for Personal Accident and Travel policies)

- a) Phrases and terms used in all health insurance policies issued by Life Insurers, General Insurers and Health Insurers shall carry the meaning attached to them as specified in 'Standard Definitions', if any, issued by the Authority from time to time, through Guidelines.

11. Standard Nomenclature and Procedures for Critical Illnesses (not applicable for Personal Accident and travel policies)

- a) The nomenclature and procedures incorporated into policies offering 'critical illness cover' shall be as specified by the Authority from time to time through Guidelines.

12. Optional Coverage for Certain Items (applicable to General Insurers and Health Insurers)

List of Generally Excluded Items that may be optionally covered by the Insurers may be specified by the Authority from time to time through Guidelines.

- In respect of hospitalisation indemnity policies that exclude certain standard items, Insurers shall ensure that these are mentioned in the product filing when made under the Product Filing Guidelines.
- Product wise specific list of excluded items shall be disclosed in the website of insurers and a reference shall be made in the prospectus and policy wordings of the respective products about such excluded items and the availability of the details on the website along with the address of website.
- Insurers shall supply the policyholders on demand a copy of such excluded list of the concerned product if the same is not incorporated in the policy document.
- Insurers may offer cover for these items and mention it clearly in the policy.

13. Special Provisions for Senior Citizens

- a) The premium charged for health insurance products offered by Life Insurers, General Insurers and Health Insurers to senior citizens shall be fair, justified, transparent and duly disclosed upfront. The insured shall be informed in writing of any underwriting loading charged as filed and approved under the Product Filing Guidelines over and above the premium and specific consent of the policyholder for such loadings shall be obtained before issuance of a policy.
- b) All Life Insurers, General Insurers and Health insurers and TPAs, as the case may be, shall establish a separate channel to address the health insurance related claims and grievances of senior citizens.

14. Multiple Policies

- a) In case of multiple policies which provide fixed benefits, on the occurrence of the insured event in accordance with the terms and conditions of the policies, each insurer shall make the claim payments independent of payments received under other similar policies.
- b) If two or more policies are taken by an insured during a period from one or more insurers to indemnify treatment costs, the policyholder shall have the right to require a settlement of his/her claim in terms of any of his/her policies.
 - In all such cases the insurer who has issued the chosen policy shall be obliged to settle the claim as long as the claim is within the limits of and according to the terms of the chosen policy.
 - Claims under other policy/ies may be made after exhaustion of Sum Insured in the earlier chosen policy / policies
 - If the amount to be claimed exceeds the sum insured under a single policy after considering the deductibles or co-pay, the policyholder shall have the right to choose insurers from whom he/she wants to claim the balance amount.
 - Where an insured has policies from more than one insurer to cover

the same risk on indemnity basis, the insured shall only be indemnified the hospitalization costs in accordance with the terms and conditions of the chosen policy.

15. Loadings on Renewals:

- a) For Individual products, the loadings on renewal shall be in terms of increase or decrease in premiums offered for the entire portfolio and shall not be based on any individual policy claim experience.
- b) The discounts and loadings offered shall:
 - a. not be at the discretion of the insurer;
 - b. be based on an objective criteria;
 - c. be disclosed upfront in the prospectus and policy document long with the objective criteria, and shall be as approved under the Product Filing Guidelines

No Insurer shall resort to fresh underwriting by calling for medical examination, fresh proposal form etc. at renewal stage where there is no change in Sum Insured offered. Provided that where there is an improvement in the risk profile, the Insurer may endeavour to recognise that for removal of loadings at the point of renewal.

Test Yourself 4

Question 4

All new individual health insurance policies issued by Life Insurers, General Insurers and Health Insurers, except those with tenure of less than a year shall have a free look period. The free look period shall be applicable at the inception of the policy and the insured will be allowed a period of at least _____ days from the date of receipt of the policy to review the terms and conditions of the policy and to return the same if not acceptable.

- A. 10 Days
 - B. 15 Days
 - C. 7 Days
 - D. 30 Days
-

6. Understand the Administration of Health Insurance Policies.

[Learning Outcome f]

Every Life Insurer, General Insurer and Health Insurer shall ensure the following, as may be applicable:

1. Protection of Policyholders' Interest:

Every insured shall be provided with a **Customer Information Sheet** as specified by the Authority in the relevant Guidelines. The insurer shall establish necessary systems, procedures, offices and infrastructure to enable efficient issuance of pre-authorisations on a 24 hour basis and for prompt settlement of claims and grievances.

2. Settlement/Rejection of claim by insurer:

- a) An insurer shall settle or reject a claim, as may be the case, within thirty days of the receipt of the last 'necessary' document.
- b) Except in cases where a fraud is suspected, ordinarily no document not listed in the policy terms and conditions shall be deemed 'necessary'. The insurer shall ensure that all the documents required for claims processing are called for at one time and that the documents are not called for in a piece-meal manner.
- c) The information that the insurer has captured in the proposal form at the time of accepting the proposal, the terms & conditions offered under the policy, the medical history as revealed by earlier claims, if any, and the prior claims experience shall all be maintained by the insurer as an electronic record and shall not be called for again from the policyholder/insured at the time of subsequent claim settlements.
- d) Insurer may stipulate a period within which all necessary claim documents should be furnished by the policyholder/insured to make a claim. However, claims filed even beyond such period should be considered if there are valid reasons for any delay.
- e) Every Insurance Claim shall be disposed of in accordance to the Terms and Conditions of the policy contract and the extant Regulations governing the settlement of Claims. No Claim shall be closed in the books of the Insurers.

3. Minimum Disclosures in Policy Document: In addition to the requirements stipulated in IRDA (Protection of Policyholders' Interest) Regulations, 2002 as amended from time to time the policy document shall contain:

- a) List of disclosures required as per this regulation.
- b) Procedure for claims submission, time lines and possible course of action, if time lines for claim submission are not adhered to along with all the claims documents required for claim processing.
- c) Sub-limits applicable on any of the covers offered in the health insurance

product and the impact of such sub-limits on other covers provided in the product, if any, shall be clearly spelt out.

- d) Penal interest provision shall invariably be incorporated in the policy document as per Regulation 9(6) of IRDA (Protection of Policyholders' Interests) Regulations, 2002 as modified from time to time.
- e) The TPA(s) details, if any along with the complete address and contact numbers shall be attached to the policy document. It shall also be mentioned that the updated list of the TPAs will be available in the website of the Insurers.

4. Other Disclosures:

- a) Every Insurer shall disclose product-wise or location or geography-wise particulars of the TPAs that are engaged for rendering health services in their respective website, and these details shall be updated whenever there is a change.
- b) Product-wise cashless services offered shall be clearly explained in the website of the respective Insurers.
- c) In case of Pilot Products referred under Regulation (2)(i)(l) above, in addition to all the extant disclosure norms applicable to insurance advertisements, all the sales and publicity material pertaining to the 'Pilot products' shall disclose the following:
 - The product offered is a pilot product and that it is a close-ended one.
 - The product may be discontinued from the date of dd/mm/yyyy (to specify the maximum date on which the product be either withdrawn or converted into a regular product) or may be continued as a regular product.
 - In the event of the discontinuation of the Pilot product, the Insured would be provided the option of migration as per the extant applicable provisions.
 - The product shall carry a tag line of "PILOT PRODUCT" to demonstrate that the Health Insurance product promoted is a Pilot product.
- d) Insurer shall keep the insured informed of the list of Network Providers and display the same on their website. Such list shall be displayed geography wise and updated as and when there is any change in the Network providers.

5. Administration of Health Policies

- (a) Subject to the terms of a policy, General Insurers and Health insurers shall extend to all policy holders a cashless facility for treatment at specific establishments or the reimbursement of the costs of medical and health treatments or services availed at any medical establishment.
- (b) Cashless facility shall be offered only at establishments which have entered into an Agreement with the insurer to extend such services. Such establishments will be termed as Network Providers.
- (c) Reimbursement shall be allowed at any medical establishment. All such establishments must be licensed or registered as may be required by any Local, State or National Law as applicable.
- (d) The administration of all health plus life-combi products shall be in accordance with the provisions of Schedule II of this Regulation.
- (e) Except in emergencies a cashless facility may require a Pre-Authorisation to be issued by the Insurer or an appointed TPA to the Network Provider where the treatment is to be undergone. The Authority may prescribe a Standard Pre-Authorisation form and standard reimbursement claims forms which shall be used for this purpose, as applicable.
- (f) To avail the benefit of cashless facility, insurers shall issue an Identification Card to the insured within 15 days from the date of issuance of a policy, either through a TPA or directly. Provided where there is no mention of the expiry date on the card, the Insurer may provide a permanent card which is valid as long as the policy is renewed with the company.
- (g) The identification card shall, at the minimum, carry details of the policyholder and the logo of the insurer. Insurers shall endeavour to issue Smart Cards with features such as cards with Quick Response Code, Magnetic reader to enable the TPAs and Network Providers offer health services seamlessly.
- (h) Where a policyholder has been issued a pre-authorisation for the conduct of a given procedure in a given hospital or if the policyholder is already undergoing such treatment at a hospital, and such hospital is proposed to be removed from the list of Network Provider before the final settlement of the claim, then insurers shall provide the benefits of cashless facility to such policy holder as if such hospital continues to be on the Network Provider list.

- (i) An insurance company may enter into an arrangement with other insurance companies for sharing of Network Providers, transfer of claim and transactional data arising in areas beyond their service.

6. Health Services Agreements:

- (a) Insurance companies may offer policies providing cashless services to the policyholders provided:
 - i. The services are offered through network providers who have been enlisted to provide medical services under a direct written agreement with the insurer where there is a direct arrangement or by a tripartite agreement amongst health services provider, the TPA and the insurer where it is through a TPA. Where an insurer wishes to utilise the services of a TPA, it shall ensure that the written agreement is entered into for defined services with a TPA holding a valid Certificate of Registration issued in accordance with the IRDAI (Third Party Administrators - Health Services) Regulations, 2016 as may be amended from time to time.
- (b) The Agreements which shall be entered into between / amongst insurers, network providers or TPAs shall cover the following amongst others:
 - i. The tariff applicable with respect to various kinds of healthcare services being provided by the network provider.
 - ii. A clause empowering the insurer to cancel or modify the agreement in case of any fraud, misrepresentation, inadequacy of service or other non-compliance or default on the part of TPA or network provider;.
 - iii. A standard clause as may be agreed upon providing for continuance of services by a network provider to the insurance company if the TPA is changed or the agreement with TPA is terminated.
 - iv. A clause providing for opting out of network provider from a given TPA or disempanelment of a network provider by a TPA subject to Guidelines specified by the Authority, if any, for reasons of inadequacy of service rendered by the TPA to the network provider.
 - v. A clause specifically fixing the onus on the Insurer to deny or repudiate a claim
 - vi. A clause enabling insurer to inspect the premises of the Network Provider at any time without prior intimation.
- (c) Insurers and TPAs shall comply with standard clauses to be incorporated in all such agreements as specified by the Authority by way of guidelines.
- (d) The insurance company shall endeavour to enter into Agreements with

adequate number of both public and private sector network providers across the geographical spread. The copy of the agreement shall be maintained by the Insurer for a period of not less than five years from the date of the expiry or termination of the agreement.

- (e) The Authority may specify, through Guidelines, certain standards, benchmarks and protocols for Network Providers from time to time. The Insurers and TPAs shall ensure that only those Providers who meet with such standards, benchmarks and protocols are enrolled into the network.

7. Payments to Network Providers and Settlement of Claims of Policyholders:

- (a) For the purpose of claim settlement, insurer shall make direct payments to the Network provider and to the policyholders by integrating their banking system platform with the Network Provider or the policyholder, as the case may be. Provided that, if a claimant opts for payment through a cheque or Demand Draft, the insurer shall not deny such request.

8. Engagement of Services of TPAs by Insurers in relation to Health Insurance Policies

- (a) Every Insurer shall provide detailed product wise guidelines to TPAs for handling of claims
i.e. claim admissions and assessments. The guidelines shall articulate the payments / benefits allowed or disallowed under various products that are being serviced by the TPAs. While prescribing such guidelines the Insurers shall also prescribe the capacity requirements, internal control procedures to be put in place by the TPA under the agreement for rendering the services under such product.
- (b) Detailed Claim Guidelines: Every Insurer shall issue detailed product specific claim guidelines to TPAs
- (c) Insurers shall ensure that the TPAs are not carrying out the following activities as part of the agreement
 - i. Claim rejections/repudiations with respect to the health insurance policies;
 - ii. Payments to the policyholders, claimants or the network providers;
- (d) Any services directly to the policyholder or insured or to any other person unless such service is in accordance with the terms and conditions of the Agreement entered into with the insurer and complies with the IRDAI (TPA-Health Services) Regulations, 2016.
- (e) Settlement and Denial of Claims:
 - i. Insurers and/or TPAs, as may be applicable, shall endeavour to collect documents for processing claims for disposal electronically. Claims that are being settled shall be done through e-payments by the

insurers.

- ii. Where claims are directly handled by the Insurers, the provisions of Regulation (21)
- (f) (c) (i) of IRDAI (TPA-Health Services) Regulations, 2016 shall be complied in the correspondence to the policyholder with respect to settlement of the claims The insurer shall be responsible for proper and prompt service to the policyholders at all times.
- (g) Where a claim is denied or repudiated, the communication about the denial or the repudiation shall be made only by the Insurer by specifically stating the reasons for the denial or repudiation, while necessarily referring to the corresponding policy conditions. The insurer shall also furnish the grievance redressal procedures available with the Insurance Company and with the Insurance Ombudsman along with the detailed addresses of the respective offices.
- (h) More than one TPA may be engaged by an insurance company.

9. Change of TPAs by Insurers for servicing of Health Insurance Policies

- (a) Where there is a change in the TPA, insurers shall communicate to the policyholders 30 days before giving effect to the change.
- (b) The contact details like helpline numbers, addresses, etc. of the new TPA shall be immediately made available to all the policyholders in case of change of TPA.
- (c) The insurers shall take over all the data in respect of the policies serviced by the earlier TPA within thirty days from the cessation of the services of the TPA and make sure that the same is transferred seamlessly to the newly assigned TPA, if any. No inconvenience or hardship shall be caused to the policyholders as a result of the change. In this regard, the following aspects shall receive special attention:
- (d) Status of cases where pre-authorization has already been issued by existing TPA.
- (e) Status of cases where claim documents have been submitted to the existing TPA for processing.
- (f) Status of claims where processing has been completed by the TPA and payment is pending with the insurer.

10. Data and related issues:

- (a) The TPA and the insurer shall establish a seamless flow of data transfer for all the claims. Towards this purpose the entities referred herein shall endeavour electronic flow of the data.
- (b) The respective claim settlement files shall be handed over to the

insurer within 15 days thereof.

- (c) Authority may require Insurers, TPAs and Network Providers, to comply with data related matters as specified in the Guidelines that may be issued separately.

11. Systems to be in place to mitigate Frauds: Insurers and TPAs should put in place systems and procedures to identify, monitor and mitigate frauds and also follow Guidelines, if any, specified by the Authority from time to time in this regard.

Test Yourself 5

Question 5

Insurers shall ensure that the _____'s are not carrying out the following activities as part of the agreement, Claim rejections/repudiations with respect to the health insurance policies;

- A. Agents
 - B. TPA's
 - C. Brokers
 - D. Investigators
-

7. Understand the Submission of Returns to the Authority, Repeal and Savings and removal of difficulties etc.

[Learning Outcome g]

1. Submission of Returns to the Authority

All insurance companies carrying on health insurance business shall furnish Returns to the Authority as may be specified by the Authority vide Guidelines.

Repeal and Savings and Removal of Difficulties

2. Repeal and Savings:

- (a) These Regulations supersede Insurance Regulatory and Development Authority (Health Insurance) Regulations 2013 and Insurance Regulatory and Development Authority (Health Insurance) (First Amendment) Regulations, 2014.

3. Removal of difficulties

In order to remove any difficulties in the application or interpretation of these regulations, the Chairperson of the Authority may issue clarifications, directions and guidelines in the form of circulars.

8. Explain how Portability of Health Insurance Policies Offered by General Insurers and Health Insurers.

[Learning Outcome h]

Portability of Health Insurance Policies offered by General Insurers and Health Insurers

- a. A policyholder desirous of porting his/her policy to another insurance company shall apply to such insurance company to port the entire policy along with all the members of the family, if any, at least 45 days before, but not earlier than 60 days from the premium renewal date of his/her existing policy.
- b. Insurer may not be liable to offer portability if policyholder (a) fails to approach the new insurer at least 45 days before the premium renewal date, or (b) approaches the new Insurer more than 60 days prior to the premium renewal date.
- c. Portability shall be opted for by the policyholder only as stated in (1) above and not during the currency of the policy.
- d. In case insurer is willing to consider the proposal for portability even if the policyholder fails to approach insurer at least 45 days before the renewal date, it is free to do so.
- e. Where the outcome of acceptance of portability is still awaited from the new insurer on the date of renewal
 - i. The existing policy shall be allowed to be extended, if requested for by the policyholder, for a short period of not less than one month by accepting a pro- rata premium for such short period and
 - ii. Existing insurer shall not cancel existing policy until such time a confirmed policy from new insurer is received or there is a specific written request of the insured
 - iii. The new insurer, in all such cases, shall reckon the date of the commencement of risk to match with the date of expiry of the short period policy issued based on the request of the policyholder. If for any reason the insured intends to continue the policy before the expiry of the policy or before the expiry of the short-period policy referred to under Clause (5) (a) above, with the existing insurer, it shall be allowed to continue by charging regular premium and without imposing any new condition.
 - iv. In case the policyholder has opted as in Clause (5) (a), and there is a claim, the existing insurer may charge the balance premium for remaining part of the policy year provided the claims are accepted by

the existing insurer. In such cases, policyholder shall be liable to pay the premium for the balance period and continue with the existing insurer for that policy year.

- v. On receipt of intimation referred under Clause (1) above, the insurance company shall furnish the applicant, the Portability Form as set out in Annexure-I to these guidelines together with a proposal form and relevant product literature on various health insurance products which could be offered.
- vi. The policyholder shall fill in the portability form along with proposal form and submit the same to the insurance company.
- vii. On receipt of the Portability Form, the insurance company shall seek the necessary details of medical history and claim history of the concerned policyholder from the existing insurance company. This shall be done through the web portal of the IRDAI.
- viii. The existing insurer, on receiving such a request on portability shall furnish the requisite data for porting insurance policies in the prescribed format in the web portal of IRDAI within 7 working days of the receipt of the request.
- ix. In case the existing insurer fails to provide the requisite data in the data format to the new insurance company within the stipulated time frame, it shall be viewed as violation of directions issued by the IRDAI and the insurer shall be subject to penal provisions under the Insurance Act, 1938.
- x. On receipt of the data from the existing insurance company, the new insurance company may underwrite the proposal and convey its decision to the policyholder in accordance with the Regulation 4 (6) of the IRDA (Protection of Policyholders' interest) Regulations, 2002.
- xi. If, on receipt of data within the above time frame, the insurance company does not communicate its decision to the requesting policyholder within 15 days in accordance with its underwriting policy as filed by the company with the Authority, the insurance company shall not have any right to reject such proposal and shall accept the proposal.
- xii. In order to accept a policy which is being ported in, the insurer shall not levy any additional loading or charges exclusively for the purpose of porting.
- f. No commission shall be payable to any intermediary on the acceptance of a ported policy.
- g. Portability shall be allowed in the following cases:
 - a) All individual health insurance policies issued by General Insurers

and Health Insurers including family floater policies.

- b) Individual members, including the family members covered under any group health insurance policy of a General Insurer or Health Insurer shall have the right to migrate from such a group policy to an individual health insurance policy or a family floater policy with the same insurer. Thereafter, he/she shall be accorded the right mentioned in 1 above.
- h. For any health insurance policy, waiting period with respect to pre-existing diseases and time bound exclusions shall be taken into account as follows:-

SR. No	No of years of continuous insurance cover with previous insurer(s)	Waiting period to be served with new insurer in number of days/years				
		YY Days	1 Year	2 years	3 years	4 years
I.	XX Days at inception (XX-no of days as per the policy document)	(YY-XX) Days	N/A	N/A	N/A	N/A
II.	For 1 year period exclusion:					
	1 year	N/A	Nil	1 Year	2 Years	3 Years
III.	For 2 year period exclusion:					
	1 year	N/A	Nil	1 Year	2 Years	3 Years
	2 years	N/A	Nil	Nil	1 Year	2 Years
IV.	For 3 year period exclusion:					
	1 year	N/A	Nil	1 Year	2 Years	3 Years
	2 years	N/A	Nil	Nil	1 Year	2 Years
	3 years	N/A	Nil	Nil	Nil	1 Year
V.	For 4 year period exclusion:					
	1 year	N/A	Nil	1 Year	2 Years	3 Years
	2 years	N/A	Nil	Nil	1 Year	2 Years
	3 years	N/A	Nil	Nil	Nil	1 Year
	4 years	N/A	Nil	Nil	Nil	Nil

Note 1: In case the waiting period for a certain disease or treatment in the new policy is longer than that in the earlier policy for the same disease or treatment, the additional waiting period should be clearly explained to the incoming policy holder in the portability form to be submitted by the porting policyholder.

Note 2: For group health insurance policies, the individual members shall be given credit as per the table above based on the number of years of continuous insurance cover, irrespective of, whether the previous policy had any pre-existing disease exclusion/time bound exclusions.

- i. The portability shall be applicable to the sum insured under the previous policy and also to an enhanced sum insured, if requested for by the insured, to the extent of cumulative bonus acquired from the previous insurer(s) under the previous policies.

For e.g. - If a person had a SI of Rs. 2 lakhs and accrued bonus of Rs. 50, 000 with insurer A; when he shifts to insurer B and the proposal is accepted, insurer B has to offer him SI of Rs. 2.50 lakhs by charging the premium applicable for Rs. 2.50 lakhs. If insurer B has no product for Rs. 2.50 lakhs, insurer B would offer the nearest higher slab say Rs. 3 lakhs to insured by charging premium applicable for Rs. 3 lakhs SI. However, portability would be available only up to Rs. 2.50 lakhs.

- j. Insurers shall clearly draw the attention of the policyholder in the policy contract and the promotional material like prospectus, sales literature or any other documents in any form whatsoever, that:
- a) all health insurance policies are portable;
 - b) policyholder should initiate action to approach another insurer to take advantage of portability well before the renewal date to avoid any break in the policy coverage due to delay in acceptance of the proposal by the other insurer.

Test Yourself 6

Question 6

A policyholder desirous of porting his/her policy to another insurance company shall apply to such insurance company to port the entire policy along with all the members of the family, if any, at least _____ days before, but not earlier than _____ days from the premium renewal date of his/her existing policy.

- A. 15,25,
 - B. 45, 60,
 - C. 30,90
 - D. 60,45,
-

ANNEXURE - I PORTABILITY FORM PART I

1)	Name of the Policyholder/insured(s)	
2)	Date of Birth/Age	
3)	Address of the policyholder/insured	
4)	Details of existing insurer	
	i. Name of the product	
	ii. Sum Insured	
	iii. Cumulative Bonus	
	iv. Add-ons/rider taken	
	v. Policy number	
5)	Details of the proposed insurance	
	i. Name of the product proposed/intend to take	
	ii. Sum Insured Proposed	
	iii. Whether Cumulative Bonus to be converted to an enhanced sum insured	
6)	Reason(s) for portability	
7)	No. of family member to be included in the policy to be ported.	
Enclosure: Photocopy of the existing policy documents		
Date:		Signature of the policyholder

PART-II

- a. Whether the PED exclusions /time bound exclusion have longer exclusion period than the existing policy: (Please indicate Yes/NO):
- b. If yes, please give written consent to the declaration below:

"I am aware that the waiting period for the following disease(s)/treatment(s) is Days/years more than the previous policy terms. I hereby agree to observe the additional waiting period for the following disease(s)/treatment(s)

Signature of the
policyholder

9. Explain the Administration of Health Plus Life Combi Products. [Learning Outcome i]

Administration of Health plus Life Combi Products

1. The product of this class shall be named as ‘**Health plus Life Combi Products**’ referred as ‘Combi Products’ hereinafter in this schedule.
2. This schedule does not apply to Micro Insurance Products which are governed by IRDAI (Micro Insurance) Regulations, 2015.
3. All insurance companies that promote ‘Health plus Life Combi products’ shall adhere to the following:
 - a. **Scope of Combi Product Class:**
 - ‘Combi Products’ may be promoted by all Life Insurers and General Insurers or Health Insurers.
 - ‘Combi Product’ shall be a combination of Life Insurance cover offered by life insurance companies and Health Insurance cover offered by General Insurance Companies or Health Insurance Companies.
 - Products offered as a combi-product shall have been individually cleared under the File and Use procedure applicable to Life Insurance Products and the Product Filing Guidelines applicable to Health Insurance Products respectively.
 - Riders and Add-on covers may be offered subject to File and Use procedure applicable to Life Insurance and the Product Filing Guidelines applicable to Health Insurance respectively.
 - The premium components of both the risks are to be separately identified and disclosed to the policyholders at both pre-sale stage and post-sale stage and in all documents like policy document, prospectus and sales literature.
 - The product may be offered both as individual insurance policy and on group basis. However in respect of health insurance floater policies, the life insurance coverage is allowed on the life of one of the earning members of the family who is also the proposer on health insurance policy subject to insurable interest and other applicable underwriting norms of respective insurers.
 - The integrated premium amount of the ‘Combi Product’ shall be basis for reckoning the threshold limit or applicability of extant Regulations, guidelines and circulars etc. issued by the Authority or any other statutory

body.

- Commission and Claim payouts in respect of 'Combi Products' shall be by respective insurers only.
- 'Combi product' shall have a free look option as outlined in the extant Regulations. Free Look option is to be applied to the 'Combi Product' as a whole. Provided where an existing policyholder of any health insurance product has migrated to a Combi Product, such policyholder is entitled to all the rights of migration as per the applicable portability norms.
- The Health portion of the 'Combi Product' is entitled to be renewed at the option of the policyholder of the respective General Insurer or Health Insurer.

b. **Tie up between insurers:**

- It is mandatory that insurers offering a 'Combi Product' shall have in place a Memorandum of Understanding covering the *modus operandi* of marketing, policy servicing and sharing of common expenses.
- Insurers forming the tie-up shall obtain prior approval of the Authority by duly filing the copy of the agreement entered into in this regard.
- A tie up is permitted between one life insurer and one General insurer or one Health Insurer only. Thus a life insurer is permitted to tie up with only one General insurer or health insurer and vice-versa.
- Between these two Insurers any number of 'Combi Products' may be promoted.
- Insurance companies shall carry out appropriate due diligence before establishing the business relationship for the purpose of promoting 'Combi Products'. Insurers are also expected to have a long-term understanding for effective policy service of the proposed 'Combi Products'.
- Withdrawal from the tie-up is generally not desirable. However, in exceptional cases where insurers desire to withdraw from MOU they shall obtain prior permission of the Authority.
- There shall be specific time frames / Turnaround Times (TAT) agreed upon between the insurance companies as part of the MOU for effective policy servicing, transmission of premiums received etc. at various stages of policy i.e., at pre-sale stage and post-sale stage.
- Insurers shall ensure filing of the advertisements in accordance with IRDA (Insurance Advertisements and Disclosures) Regulations, 2000 within seven days from the date of issuing the advertisement with the Authority.
- Proposed procedures for issuing Joint Sale Advertisements along with the common corporate agents shall be covered in the MoU.

- The modus operandi of proposed servicing at various stages of the policy viz., proposal stage, policy servicing, premium collection arrangements and claims service etc shall be detailed in the MoU.
 - The Information Technology systems put in place for supporting the sale and policy service of the 'Combi Products' shall also be part of the MoU.
 - Agreement on reimbursement of expenses in consideration of common services rendered by each of the insurance companies shall be covered in the MoU.
 - Distribution Channel wise maximum commission allowed under the 'Combi Products' shall also be indicated.
4. The manner in which premium is proposed to be collected subject to provisions of Section 64 VB of Insurance Act, 1938 shall be detailed,
 - (a) Provided the integrated premium collected under a Combi Product by one of the Insurers for transmission of relevant share of the premium to the other insurer shall be deemed to be in compliance of Section 64VB and the policyholder is entitled to the underlying benefits of both life insurance and health insurance components of the Combi Product from the date and time of acceptance of said premium by one of the Insurers.
 - (b) Provided further that the Date and Time of receipt of the premium by one of the Insurers shall be reckoned for entitlement of the underlying benefits of the policy.
 5. The procedures put in place for expeditious transfer of the portion of premium that pertains to the other insurer of the product needs to be reflected in the MoU.
 - a) Provided where time sensitive products such as Unit Linked Life Insurance Products are offered as part of Combi Products, the Life Insurers shall put in place effective procedures for complying with the extant Regulations.
 6. Operational procedures put in place for updating premium on policy data base on a real time basis shall also be mentioned.
 7. Options available to policyholders of 'Combi Products' to discontinue either portion of risk coverage while continuing with the other portion, subject to the extant law, regulations, guidelines etc shall be detailed.
 8. Copy of proposed common Sales Literature / Sales Illustrations, proposal form to be issued by both the insurers in respect of 'Combi Products', subject to the condition that these documents approved under File and Use procedure or Product Filing Guidelines are not modified shall also form part of the MoU.
 9. Common Advertisements of 'Combi Products', subject to the condition that this shall be restricted to the features, terms and conditions of the 'Combi Product' shall also be agreed upon and made part of the MoU.

Lead Insurer:

- As two insurers are involved in offering the 'Combi Product' it may be mutually agreed that one of the insurance companies may act as a lead insurer in respect of each 'Combi Product' marketed with agreed terms, conditions and considerations.
- The Lead Insurer for this purpose is the insurer mutually agreed by both the insurers to play a critical role in facilitating policy servicing as a contact point for rendering various services as required for combi products. The lead insurer may play a major role in facilitating underwriting and policy servicing.
- The role of lead insurer shall not get diluted in the process of relying upon the existing operational infrastructure of the partner-insurance company for effective policy servicing of 'Combi Products'.
- Either of the insurers shall not be absolved of their responsibility of proactive settlement of claims and other obligations in accordance with the terms and conditions of their respective policies.

10. Understand the Underwriting and File and Use / Products Filing Guidelines.

[Learning Outcome j]

1. **Underwriting:** Under the 'Combi Product', underwriting of respective portion of risk shall be carried out by respective insurance companies, that is; Life Insurance risk shall be underwritten by Life Insurer and the Health Insurance portion of risk shall be underwritten by General or Health Insurer.
2. **File and Use/Product Filing Guidelines:**
 - a. The life insurance product and the health insurance product to be offered as a combi product shall have prior approval under File and Use procedure or Product Filing Guidelines as may be the case.
 - b. Both the independent approved products shall be integrated as a single product and shall be filed with a common brand name.
 - c. The single product shall be offered without making any modifications to the approved products.
 - d. 'Combi Product' is to be filed at the stage of integrating for getting approval as per Product Filing Guidelines irrespective of the earlier approval for either of products.
 - e. 'Combi Product' filing shall follow the File and Use guidelines or Product Filing Guidelines in vogue and all such guidelines that would be issued from time to time.
 - f. The Combi Product shall be approved by the Authority subject to Product Filing Guidelines specified.
 - g. The application of 'Combi Product' under Product Filing Guidelines shall also specify the following:-
 - Lead Insurer for the 'Combi Product' and demarcation of functions between insurers for carrying out activities
 - Procedures proposed for issuance of the premium notices, where applicable and final lapse notices in terms of Section 50 of the Insurance Act, 1938.
 - Where the servicing is to be necessarily attended to by the original insurer, the lead insurer shall facilitate the policy servicing. As far as the policyholder is concerned lead insurer shall be made as the single nodal point for receiving the servicing requests, fulfilling the services and issuing acknowledgements.
 - Results of feasibility study, if any, in giving limited access to the policy database for effecting over-the-counter policy service requests

to the lead insurer.

- The results of the cost benefit analysis carried out by both the insurers and the possibility of offering any discounts on the premium in the combi product.

3. Lead insurer in settlement of claims shall ensure:-

- a. Based on the type of claim, that the other insurer also takes proactive measures for settlement of claims. In no case the Lead insurer shall guarantee the settlement of claim on behalf of the other insurer.
- b. The risks accepted by one insurer under 'Combi Product' shall not affect the business of other insurance company.
- c. As far as health portion of 'Combi Policies' are concerned, the extant regulations and guidelines shall apply.
- d. Where the policies are serviceable directly, the lead insurer shall play a facilitative role.
- e. The operational procedures proposed to be put in place for timely dispatch of the policy bond of 'Combi Products'.

4. Distribution Channel

- a. The sale of 'Combi Product' may be solicited through all the Insurance Agents and Insurance Intermediaries who are eligible to solicit Insurance Business.
- b. Insurers shall ensure that the 'Combi Product' is not marketed by those insurance intermediaries who are not authorized to market either of the products of either of the insurers.
- c. 'Combi Products' marketed by the Common Service Centres shall comply with IRDAI (Insurance Services by Common Service Centres) Regulations, 2015.

5. Mandatory Minimum Disclosures:

- a. The mandatory minimum disclosures for a Combi Product shall be:
 - The product is jointly offered by "abc insurance company" (specify General/ stand-alone health insurer name) and "xyz insurance company" (specify life insurer name).
 - The risks of this 'Combi Product' are distinct and are assumed / accepted by respective insurance companies.
 - The liability to settle the claim vests with respective insurers, i.e., for health insurance benefits "abc insurance company" (specify General/ stand-alone health insurer name) and for life insurance

benefits “xyz insurance company” (Specify life insurer name).

- The legal/quasi legal disputes, if any, are dealt by the respective insurers for respective benefits.
 - The policyholders of the ‘Combi Product’ under reference are eligible to continue with either part of the policy, discontinuing the other during the policy term.
 - Where guaranteed renewability of health insurance plan is allowed, the health insurance portion of this ‘Combi Product’ is entitled to that facility.
 - Specific Disclosures on the available premium payment options on these ‘Combi Products’.
 - Specific Disclosures about the available policy servicing facilities including claims servicing, for these ‘Combi Products’.
 - Specific Disclosures on the availability of services of ‘Third Party Administrators (TPAs)’ for health insurance portion of risk, if available.
 - Specific Disclosures on the available Grievances Redressal Options including particulars of Ombudsman under these ‘Combi products’.
 - Policyholders are to be advised to familiarize themselves with the policy benefits and policy service structure of the ‘Combi Product’ before deciding to purchase the policy.
- b. Policy documents of ‘Combi Products’ shall contain the above referred points (iii) to, (xi) as minimum disclosures.
- c. Declaration from the prospect shall be obtained and attached to proposal form that he / she has understood the disclosures mentioned above.
6. In respect of ‘Combi Products’ both the insurers shall comply with the provisions of Insurance Act, 1938 and Regulations notified there under and other guidelines, circulars that are applicable to health insurance business and life insurance business respectively.
7. In order to monitor the progress of the penetration of the product class, all insurance companies that are marketing ‘Combi Products’ shall submit the information that is specified by the Authority from time to time under the Guidelines.
8. The Authority may stipulate such other terms and conditions from time to time for monitoring activities of insurance companies offering ‘Combi Products’.

11. Discuss other related reference regulations.

[Learning Outcome k]

Matters in respect of which the Authority may specify by issue of Circulars, Guidelines or Instructions as referred in these regulations:

- I. Regulation (2) (i) (g): Product Filing Guidelines to be followed by insurers before marketing or offering a product covering Health Insurance Business.
- II. Regulation (3) (b): Withdrawal of existing Indemnity Based products offered by Life Insurers.
- III. Regulation (5): Withdrawal of Health Insurance Products shall be subject to Guidelines specified by the Authority.
- IV. Regulation (7) (a): Guidelines on Group Insurance.
- V. Regulation (8) (d): Norms on mechanisms or incentives to reward policyholders for early entry, continued renewals, favourable claims experience, preventive and wellness habits.
- VI. Regulation (9) (b): Guidelines on Proposal Forms.
- VII. Regulation (10): Guidelines on pricing.
- VIII. Regulation (11) (b): Guidelines on Pilot Products subject to Product Filing Guidelines.
- IX. Regulation (20): Standard terms used in all health insurance policies.
- X. Regulation (21): The nomenclature and procedures incorporated into policies offering 'critical illness cover'.
- XI. Regulation (22) (i): List of Generally Excluded Items that may be optionally covered by the Insurers.
- XII. Regulation (26): Customer Information Sheet.
- XIII. Regulation (31) (b) (iv): Guidelines on disempanelment of Network Provider.
- XIV. Regulation (31) (c): Standard Clauses to be made part of Tripartite Agreement amongst Insurers, TPAs and Network Providers.
- XV. Regulation (31) (e): Standards, benchmarks and protocols for Network Providers.
- XVI. Regulation (35) (c): Data Related Issues to be complied with by TPAs, Insurers and Network Providers.
- XVII. Regulation (36): Systems and procedures to be put in place to identify monitor and mitigate frauds.

XVIII. Regulation (37): Returns to be submitted to the Authority.

XIX. Clause (10) Schedule - II: Information on Life plus Health Combi Products.

Summary

- “AYUSH Treatment” refers to the medical and / or hospitalization treatments given under ‘Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homeopathy systems.
- “Cashless facility” means a facility extended by the insurer or TPA on behalf of the insurer to the insured, where the payments for the costs of treatment undergone by the insured in accordance with the policy terms and conditions, are directly made to the network provider by the insurer to the extent pre-authorization is approved.
- “Health plus Life Combi Products” mean products which offer the combination of a Life Insurance cover offered by a life insurer and a Health Insurance cover offered by General Insurer or Health Insurer.
- “Network Provider” means network provider as defined in IRDAI (Third Party Administrators - Health Services) Regulations, 2016.
- “Pilot product” means a close-ended product with a policy term of one year that may be offered for sale by General Insurers or Health Insurers for a period not exceeding five years from the date of launch of the product with a view to giving scope to innovation for covering risks that have not been offered hitherto or stand excluded in the extant products.
- “Portability” means the right accorded to an individual health insurance policyholder (including family cover), to transfer the credit gained for pre-existing conditions and time bound exclusions, from one insurer to another or from one plan to another plan of the same insurer.
- “Third Party Administrators or TPA” means any person who is registered under the IRDAI (Third Party Administrators - Health Services) Regulations, 2016 notified by the Authority, and is engaged, for a fee or remuneration by an insurance company, for the purposes of providing health services as defined in those Regulations.

Free Look Period:-

All new individual health insurance policies issued by Life Insurers, General Insurers and Health Insurers, except those with tenure of less than a year shall have a free look period. The free look period shall be applicable at the inception of the policy and

- The insured will be allowed a period of at least 15 days from the date of receipt of the policy to review the terms and conditions of the policy and to return the same if not acceptable.
- If the insured has not made any claim during the free look period, the insured

shall be entitled to— A refund of the premium paid less any expenses incurred by the insurer on medical examination of the insured persons and the stamp duty charges or; (b) where the risk has already commenced and the option of return of the policy is exercised by the policyholder, a deduction towards the proportionate risk premium for period on cover or; (c) Where only a part of the insurance coverage has commenced, such proportionate premium commensurate with the insurance coverage during such period; (d) In respect of unit linked policy, in addition to the above deductions, the insurer shall also be entitled to repurchase the unit at the price of the units as on the date of the return of the policy.

Answers to Test Yourself

Answer to TY 1

The correct answer is **B**.

“AYUSH Treatment” refers to the medical and / or hospitalization treatments given under ‘Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homeopathy systems.

Answer to TY 2

The correct answer is **B**.

“Third Party Administrators or TPA” means any person who is registered under the IRDAI (Third Party Administrators - Health Services) Regulations, 2016 notified by the Authority, and is engaged, for a fee or remuneration by an insurance company, for the purposes of providing health services as defined in those Regulations.

Answer to TY 3

The correct answer is **B**.

Every Life Insurer, General Insurer and Health Insurer shall devise a proposal form to be submitted by a proposer seeking a health insurance policy. Such form should capture all the information necessary to underwrite a proposal in accordance with the stated Underwriting Policy of the Company.

Answer to TY 4

The correct option is **B**.

All new individual health insurance policies issued by Life Insurers, General Insurers and Health Insurers, except those with tenure of less than a year shall have a free look period. The free look period shall be applicable at the inception

of the policy and the insured will be allowed a period of at least 15 days from the date of receipt of the policy to review the terms and conditions of the policy and to return the same if not acceptable.

Answer to TY 5

The correct option is B.

Insurers shall ensure that the TPAs are not carrying out the following activities as part of the agreement (1) Claim rejections/repudiations with respect to the health insurance policies.

Answer to TY 6

The correct option is B.

A policyholder desirous of porting his/her policy to another insurance company shall apply to such insurance company to port the entire policy along with all the members of the family, if any, at least 45 days before, but not earlier than 60 days from the premium renewal date of his/her existing policy.

Self-Examination Questions

Question 1

“_____” means a facility extended by the insurer or TPA on behalf of the insurer to the insured, where the payments for the costs of treatment undergone by the insured in accordance with the policy terms and conditions, are directly made to the network provider by the insurer to the extent pre-authorization is approved.

- A. Overdraft facility
- B. Cheque Facility
- C. Cashless facility
- D. Invoice facility

Question 2

“_____” means a close-ended product with a policy term of one year that may be offered for sale by General Insurers or Health Insurers for a period not exceeding five years from the date of launch of the product with a view to giving scope to innovation for covering risks that have not been offered hitherto or stand excluded in the extant products.?

- A. Health Product
- B. Pilot product
- C. Micro Products
- D. Household Products

Question 3

“_____” means the right accorded to an individual health insurance policyholder (including family cover), to transfer the credit gained for pre-existing conditions and time bound exclusions, from one insurer to another or from one plan to another plan of the same insurer?

- A. Portability
- B. Transfer
- C. Renewal
- D. Shifting

Question 4

Micro-insurance products need prior approval of the authority under the “File & Use” procedure and every such product shall prominently carry the caption “_____”.

- A. Insurance Product
- B. Micro-Insurance Product
- C. Life Insurance Product
- D. Non-Life Insurance Product

Question 5

Life Insurers may offer long term Individual Health Insurance products i.e., for term of 5 years or more, but the premium for such products shall remain unchanged for at least a period of every block of _____ years, thereafter the premium may be reviewed and modified as necessary.

- A. Three Years
- B. One Year
- C. Five Years
- D. Seven Years

Question 6

Migration of health insurance policy - _____ applicable for Travel and Personal Accident policies.

- A. fully
- B. sometimes
- C. Not
- D. Always

Question 7

The existing insurer, on receiving such a request on portability shall furnish the requisite data for porting insurance policies in the prescribed format in the web portal of IRDAI within _____ working days of the receipt of the request.

- A. 15 working days
- B. 7 working days
- C. 30 working days
- D. 45 working days

Question 8

_____ commission shall be payable to any intermediary on the acceptance of a ported policy?

- A. Half
- B. No
- C. Full
- D. 125% of applicable rate

Question 9

For single premium contracts under ULIPs, the minimum sum assured for the age at entry of below 45 years is _____ of the single premium paid.

- A. 100%
- B. 110%
- C. 125%
- D. 150%

Question 10

‘ _____ ’ shall be a combination of Life Insurance cover offered by life insurance companies and Health Insurance cover offered by General Insurance Companies or Health Insurance Companies.?

- A. Non-Life Product
- B. Life Product
- C. Combi Product
- D. Health Product

Question 11

Money Laundering refers to _____

- A. Conversion of cash into gold
- B. Conversion of asset into cash
- C. Conversion of illegal money into legitimate money
- D. Transfer of cash from one account to another

Question 12

From the below which option is one of the stages of money laundering?

- A. Smurfing
- B. Shell companies
- C. Integration
- D. None of the above

Question 13

KYC norms include which of the below?

- A. Obtaining details for proper identification of new customers
- B. Verifying addresses
- C. Photographs
- D. All of the above

Question 14

Which is not a negotiable instrument?

- A. Debit card
- B. Demand draft
- C. Pay order
- D. Cheque

Question 15

In simple terms, what does 'a void ab initio policy' mean?

- A. Policy exists
- B. Policy does not exist
- C. Risk of the insurer is deferred
- D. Risk of the insurer commences

Question 16

The insurer shall provide for a mechanism to condone a delay in renewal up to _____ days from the due date of renewal without deeming such condonation as a break in policy. However coverage need not be available for such period.?

- A. 7 Days
- B. 30 days
- C. 15 Days
- D. None of the above

Answers to Self Examination Questions

Answer to SEQ 1

The correct answer is C.

“Cashless facility” means a facility extended by the insurer or TPA on behalf of the insurer to the insured, where the payments for the costs of treatment undergone by the insured in accordance with the policy terms and conditions, are directly made to the network provider by the insurer to the extent pre-authorization is approved.

Answer to SEQ 2

The correct answer is B

“Pilot product” means a close-ended product with a policy term of one year that may be offered for sale by General Insurers or Health Insurers for a period not exceeding five years from the date of launch of the product with a view to giving scope to innovation for covering risks that have not been offered hitherto or stand excluded in the extant products.

Answer to SEQ 3

The correct answer is **A**

“Portability” means the right accorded to an individual health insurance policyholder (including family cover), to transfer the credit gained for pre-existing conditions and time bound exclusions, from one insurer to another or from one plan to another plan of the same insurer.

Answer to SEQ 4

The correct answer is **B**.

Micro-insurance products need prior approval of the authority under the “File & Use” procedure and every such product shall prominently carry the caption “Micro-Insurance Product”.

Answer to SEQ 5

The correct option is **A**.

Life Insurers may offer long term Individual Health Insurance products i.e., for term of 5 years or more, but the premium for such products shall remain unchanged for at least a period of every block of three years, thereafter the premium may be reviewed and modified as necessary.

Answer to SEQ 6

The correct option is **C**.

Migration of health insurance policy - not applicable for Travel and Personal Accident policies.

Answer to SEQ 7

The correct option is **B**.

The existing insurer, on receiving such a request on portability shall furnish the requisite data for porting insurance policies in the prescribed format in the web portal of IRDAI within 7 working days of the receipt of the request.

Answer to SEQ 8

The correct option is **B**.

No commission shall be payable to any intermediary on the acceptance of a ported policy.

Answer to SEQ 9

The correct option is **C**.

For single premium contracts under ULIPs, the minimum sum assured for the age at entry of below 45 years is 125% of the single premium paid. For the age of entry of above 45 years, the minimum sum assured is 110% of the single premium paid.

Answer to SEQ 10

The correct is **C**.

‘Combi Product’ shall be a combination of Life Insurance cover offered by life insurance companies and Health Insurance cover offered by General Insurance Companies or Health Insurance Companies.

Answer to SEQ 11

The correct answer is **C**

Money laundering is converting illegal money into legitimate money

Answer to SEQ 12

The correct answer is **C**

Integration is the stage of money laundering.

Answer to SEQ 13

The correct answer is **D**

KYC norms include all:

- Obtaining details for proper identification of new customers
- Verifying addresses
- Photographs

Answer to SEQ 14

The correct answer is **A**.

Debit card is not a negotiable instrument.

Answer to SEQ 15

The correct answer is **B**.

In simple terms, 'policy is void ab initio' means the policy is treated as if it never existed.

Answer to SEQ 16

The correct answer is **B**.

The insurer shall provide for a mechanism to condone a delay in renewal up to 30 days from the due date of renewal without deeming such condonation as a break in policy. However coverage need not be available for such period.

CHAPTER 6

POLICY HOLDERS RIGHTS OF ASSIGNMENT, NOMINATION AND TRANSFER

Chapter Introduction

In this chapter you will learn about some important provisions of the Insurance Act like nomination, assignment, and prohibition of rebates etc. We will also discuss the various legal provisions related with assignment, transfer and nomination of insurance policies. It also covers various legal provisions related with prohibition on rebates and repudiation of the policy by the life insurance companies.

One of the important benefits available under an insurance policy is the **nomination** facility. It is a significant feature of the policy. Nomination is a facility where in case of death of the policy holder, the funds are given to the nominee whose name is mentioned by the policyholder while enrolling for the policy. The details of the nominee required are his name, age, address and his relationship with the policyholder. This also helps to ensure that there is insurable interest. The nominee can be changed by the policyholder during the term of the policy. For example, when a lady is unmarried, she can nominate her parents or siblings. When she gets married, she may retain the original nomination or may change the nomination favouring her spouse.

Another feature called **Assignment** is also included in the policy. When a person wants to take a loan from a bank, the policy can be assigned (transferred) in the name of the person / organisation from whom the money is borrowed as a collateral security.

Learning Outcomes

- a) Explain the provisions related with the assignment and transfer of insurance policies (Section 38)
- b) Explain the provisions related with the nomination of insurance policies (Section 39)
- c) Explain the provisions related with the prohibition of rebates (Section 41)
- d) Understand the repudiation clause (Section 45)
- e) Explain the provisions related with the no risk to be assumed unless premium is received in advance (Section 64VB)

1. Explain the provisions related with the assignment and transfer of insurance policies (Section 38)

[Learning Outcome a]

Section 38 of the Insurance Act 1938 deals with the assignment and transfer of insurance policies. The section has been substituted by following sections vide Insurance Laws (Amendment) Act 2015:

Section 38 - Assignment and transfer of insurance policies.—

- 1) A transfer or assignment of a policy of insurance, wholly or in part, whether with or without consideration, may be made only by an endorsement upon the policy itself or by a separate instrument, signed in either case by the transferor or by the assignor or his duly authorised agent and attested by at least one witness, specifically setting forth the fact of transfer or assignment and the reasons thereof, the antecedents of the assignee and the terms on which the assignment is made.
- 2) An insurer may, accept the transfer or assignment, or decline to act upon any endorsement made under sub-section (1), where it has sufficient reason to believe that such transfer or assignment is not bona fide or is not in the interest of the policyholder or in public interest or is for the purpose of trading of insurance policy.
- 3) The insurer shall, before refusing to act upon the endorsement, record in writing the reasons for such refusal and communicate the same to the policyholder not later than thirty days from the date of the policyholder giving notice of such transfer or assignment.
- 4) Any person aggrieved by the decision of an insurer to decline to act upon such transfer or assignment may within a period of thirty days from the date of receipt of the communication from the insurer containing reasons for such refusal, prefer a claim to the Authority.
- 5) Subject to the provisions in sub-section (2), the transfer or assignment shall be complete and effectual upon the execution of such endorsement or instrument duly attested but except, where the transfer or assignment is in favour of the insurer, shall not be operative as against an insurer, and shall not confer upon the transferee or assignee, or his legal representative, any right to sue for the amount of such policy or the moneys secured thereby until a notice in writing of the transfer or assignment and either the said endorsement or instrument itself or a copy thereof certified to be correct by both transferor and transferee or their duly authorised agents have been delivered to the insurer:

Provided that where the insurer maintains one or more places of business in India, such notice shall be delivered only at the place where the policy is being serviced.

- 6) The date on which the notice referred to in sub-section (5) is delivered to the insurer shall regulate the priority of all claims under a transfer or assignment as between persons interested in the policy; and where there is more than one instrument of transfer or assignment the priority of the claims under such instruments shall be governed by the order in which the notices referred to in sub-section (5) are delivered:

Provided that if any dispute as to priority of payment arises as between assignees, the dispute shall be referred to the Authority.

- 7) Upon the receipt of the notice referred to in sub-section (5), the insurer shall record the fact of such transfer or assignment together with the date thereof and the name of the transferee or the assignee and shall, on the request of the person by whom the notice was given, or of the transferee or assignee, on payment of such fee as may be specified by the regulations, grant a written acknowledgement of the receipt of such notice; and any such acknowledgement shall be conclusive evidence against the insurer that he has duly received the notice to which such acknowledgement relates.

- 8) Subject to the terms and conditions of the transfer or assignment, the insurer shall, from the date of the receipt of the notice referred to in sub-section (5), recognize the transferee or assignee named in the notice as the absolute transferee or assignee entitled to benefit under the policy, and such person shall be subject to all liabilities and equities to which the transferor or assignor was subject at the date of the transfer or assignment and may institute any proceedings in relation to the policy, obtain a loan under the policy or surrender the policy without obtaining the consent of the transferor or assignor or making him a party to such proceedings.

Explanation – Except where the endorsement referred to in sub-section (1) expressly indicates that the assignment or transfer is conditional in terms of sub-section (10) hereunder, every assignment or transfer shall be deemed to be an absolute assignment or transfer and the assignee or transferee, as the case may be, shall be deemed to be the absolute assignee or transferee respectively.

- 9) Any rights and remedies of an assignee or transferee of a policy of life insurance under an assignment or transfer effected prior to the commencement of the Insurance Laws (Amendment) Act, 2015 shall not be affected by the provisions of this section.

- 10) Notwithstanding any law or custom having the force of law to the contrary, an assignment in favour of a person made upon the condition that –

a. the proceeds under the policy shall become payable to the policyholder or the nominee or nominees in the event of either the assignee or transferee predeceasing the insured; or

b. the insured surviving the term of the policy, shall be valid:

Provided that a conditional assignee shall not be entitled to obtain a loan on the policy or surrender a policy.

- 11) In the case of the partial assignment or transfer of a policy of insurance under sub-section (1), the liability of the insurer shall be limited to the amount secured by partial assignment or transfer and such policyholder shall not be entitled to further assign or transfer the residual amount payable under the same policy.

For the easy understanding of the above section, the following clarification is given:

- Assignment of policies Section 38 has been amended to extend its applicability to all insurance policies.
- The contingencies under which an assignment or transfer would be treated as absolute assignment.
- A sub section regarding partial assignment, limiting the liability of the insurer to the amount secured by partial assignment has been added.
- An option to decline to register the assignment (after recoding the reasons in writing) has been given to the insurer if the insurer is not satisfied that the assignment is not satisfied that the assignment is bona fide or not in the interest of policy holder or is for the purpose of trading the policy

SUB-SECTION (1) - How it is made?

1. A transfer or assignment of a **policy of insurance** may be made **with or without consideration**, ONLY by endorsement upon the policy itself OR by a separate instrument (to be stamped).
2. In either case, the transfer / assignment has to be signed by the transferor or the assignor or a duly authorized agent of transferor / assignor.
3. The signature has to be attested by at least one witness specifically setting forth the fact of a transfer or assignment.

SUB-SECTION (2) - Can Insurer decline to act on assignment endorsement?

An insurer may decline to act upon any endorsement made under sub section (1), if the insurer has reason to believe that such transfer / assignment of policy is not bona fide or not in the interest of policy holder or is for the purpose of trading of insurance policy.

However under **sub section (3)**, the insurer shall record in writing the reason for such refusal and communicate to the policy holder not later than 30 days from the date of policy holder giving notice of such transfer or assignment.

Sub section (4) provides that the person aggrieved by the decision of insurer not to act upon such transfer assignment may prefer a claim to the authority (IRDAI) within 30 days from the receipt of communication from insurer containing reasons for such refusal.

SUB-SECTION (5) - WHEN SHALL THE ASSIGNMENT BE COMPLETE?

Subject to the provisions in sub section (2), the assignment shall be complete and effectual upon execution by such assignment and duly attested by a witness.

However the assignment cannot be operative against an insurer until a notice in writing of the transfer or assignment and the said endorsement or certified copy of the same have been delivered to the insurer at the place where the policy is being serviced.

SUB-SECTION (6) - PRIORITY OF CLAIMS

1. The date on which the notice referred to in sub section (5) is delivered to the insurer shall determine the priority of claims under a transfer or assignment amongst persons interested in the policy.
2. Where there are more than one instruments of transfer or assignment, the priority of claim shall be governed by the order in which the notices referred in sub section (5) are delivered.
3. In case of any dispute as to the priority of payment between assignees, the dispute shall be referred to the Authority.

SUB-SECTION (7) - What should the insurer do?

1. Upon receipt of the notice referred in Sub Section (5), the insurer shall record the fact of such transfer or assignment together with the date thereof and the name of the transferee or the assignee.
2. On the request of the transferee or assignee or the person by whom the notice was given, the insurer shall issue a written acknowledgement of the receipt of such notice on payment of such fee as may be specified by the regulations.
3. Any such acknowledgement shall be conclusive evidence that the insurer has duly received the notice to which such acknowledgement relates.

SUB-SECTION (8) - Recognition

1. Subject to the terms and conditions of transfer or assignment, the insurer shall, from the date of receipt of the notice referred to in sub section (5) recognise the transferee / assignee named in the notice as the only person entitled to benefit under the policy.
2. Also the transferee / assignee shall be subject to all liabilities and equities to which the transferor / assignor was subject to at the date of transfer or assignment and
3. The transferee / assignee may institute any proceedings in relation to the policy, obtain a loan under the policy or surrender the policy without obtaining the consent of the transferor or assignor.

SUB-SECTION (9) - Effect of earlier assignments

Any rights or remedies of an assignee or transferee of a **policy of life insurance** under an assignment or transfer effected prior to the commencement of the Insurance Laws (Amendments) Act 2015 shall not be affected by the provisions of this section.

SUB-SECTION (10) - Validity of Conditional Assignment

An assignment in favour of a person made upon the condition that:-

- a. The proceeds under the policy shall become payable to the policy holder or the nominee / nominees if the assignee or transferee predeceases the insured or

- b. The insured survives the term of the policy shall be valid however the **conditional assignee shall not be entitled to obtain a loan on the policy or surrender the policy.**

SUB-SECTION (11) - Partial Assignment

In case of partial assignment / transfer of a policy under sub section (1)-

1. The liability of insurer shall be limited to the amount secured by such partial assignment and
2. Such policy holder shall not be entitled to further assign / transfer the residual amount payable under the same policy.

Assignment of a policy of life insurance, under Section 38 of Insurance Act 1938, is a transfer of the property contained in the policy by the assignor to the assignee. Unlike a nominee under Section 39, assignee under Section 38 has all rights under the policy not only to receive the policy moneys when they are due but also to deal with the policy in any way he desires without the consent of the assignor.

A policy of life insurance is a property. Hence, like any other property, its owner can deal with it in any way he/she likes. But transfer of a policy of life insurance is covered by Section 38 of Insurance Act 1938 but not the Transfer of Property Act. Where the Insurance Act is silent about any particular feature of transfer of a policy, the provisions of Transfer of Property Act 1882 are applicable.

To assign the policy, the assignor should be the holder i.e., owner of the policy. It means that the policy need not be on his life. It also means that a person who is an assignee under a policy of life insurance can further assign it to any other person, for which act he need not obtain the consent or concurrence of the original assignor. However, the assignor should not be a minor. A child cannot, during his minority, therefore, assign a policy on his life to another.

Assignee can be anybody including a minor. In case of the death of the assignee, the property will devolve upon his/her legal successors. There can be one or more assignees; the policy moneys will have to be paid to the legal heirs of the deceased assignee/assignees.

Assignment is transfer of property. So it cannot be effected till a policy is issued. It can be effected by an endorsement on the back of the policy or on a separate stamp deed. It is effective the moment it is done in one of the above methods and duly signed by the assignor and witnessed. But as against the insurer, it will be effective only if it is got registered by the insurer in their records. Notice of assignment can be given either by the assignor or the assignee or any one authorized by them.

Sub-section (1) of Section 38 of Insurance Act 1938, mentions that an assignment can be made 'whether with or without consideration'. But all assignments without consideration are not valid. Assignment for natural love and affection between parties standing in the near relation to each other is valid. But in any other case absence of consideration may render the assignment invalid.

Both absolute and conditional assignments are recognized under the Act. An absolute assignment transfers to the assignee all rights, title and interest of the assignor in the policy. The policy vests in the assignee absolutely and forms part of his/her estate on his/her death. A conditional assignment also creates an immediate vested interest in the assignee but such interest is liable to be divested on the happening of the contingencies set out in the assignment.

The insurer's task is very easy in settling a death claim under a life insurance policy, if there is a subsisting, effective nomination or assignment. The only problem, in respect of a nomination, is when the nominee is a minor at the time of the death of the life assured and there is no appointee appointed under Section 39 or the appointee is incapable to act. In such cases, the insurer can settle the claim only in favor of the legal heirs to the estate of the deceased life insured.

Test Yourself I

Question 1

Fill in the blanks by choosing the right option

The instrument through which a transfer or assignment of a policy of life insurance is made must be _____, _____ and _____.

- (i) Signed
- (ii) Attested
- (iii) Notified
- (iv) Stamped

- A. (i), (ii) and (iii)
 - B. (ii), (iii) and (iv)
 - C. (i), (iii) and (iv)
 - D. (i), (ii) and (iv)
-

2. Explain the provisions related with the nomination of insurance policies (Section 39)

[Learning Outcome b]

Important

Section 39 of the Insurance Act provides that the policy holder may nominate one or more persons to whom the money secured by the policy shall be paid in the event of death of the policy holder. Section 39 of Insurance Act 1938 has been substituted by following section vide Insurance Laws (Amendment) Act 2015.

Section 39 - Nomination by Policyholder

- 1) The holder of a policy of life insurance on his own life may, when effecting the policy or at any time before the policy matures for payment, nominate the person or persons to whom the money secured by the policy shall be paid in the event of his death:

Provided that, where any nominee is a minor, it shall be lawful for the policyholder to appoint any person in the manner laid down by the insurer, to receive the money secured by the policy in the event of his death during the minority of the nominee.

- 2) Any such nomination in order to be effectual shall, unless it is incorporated in the text of the policy itself, be made by an endorsement on the policy communicated to the insurer and registered by him in the records relating to the policy and any such nomination may at any time before the policy matures for payment be cancelled or changed by an endorsement or a further endorsement or a will, as the case may be, but unless notice in writing of any such cancellation or change has been delivered to the insurer, the insurer shall not be liable for any payment under the policy made bona fide by him to a nominee mentioned in the text of the policy or registered in records of the insurer.
- 3) The insurer shall furnish to the policyholder a written acknowledgement of having registered a nomination or a cancellation or change thereof, and may charge such fee as may be specified by regulations for registering such cancellation or change.
- 4) A transfer or assignment of a policy made in accordance with section 38 shall automatically cancel a nomination:

Provided that the assignment of a policy to the insurer who bears the risk on the policy at the time of the assignment, in consideration of a loan granted by that insurer on the security of the policy within its surrender value, or its reassignment on repayment of the loan shall not cancel a nomination, but

shall affect the rights of the nominee only to the extent of the insurer's interest in the policy:

Provided further that the transfer or assignment of a policy, whether wholly or in part, in consideration of a loan advanced by the transferee or assignee to the policyholder, shall not cancel the nomination but shall affect the rights of the nominee only to the extent of the interest of the transferee or assignee, as the case may be, in the policy:

Provided also that the nomination, which has been automatically cancelled consequent upon the transfer or assignment, the same nomination shall stand automatically revived when the policy is reassigned by the assignee or retransferred by the transferee in favour of the policyholder on repayment of loan other than on a security of policy to the insurer.

- 5) Where the policy matures for payment during the lifetime of the person whose life is insured or where the nominee or, if there are more nominees than one, all the nominees die before the policy matures for payment, the amount secured by the policy shall be payable to the policyholder or his heirs or legal representatives or the holder of a succession certificate, as the case may be.
- 6) Where the nominee or if there are more nominees than one, a nominee or nominees survive the person whose life is insured, the amount secured by the policy shall be payable to such survivor or survivors.
- 7) Subject to the other provisions of this section, where the holder of a policy of insurance on his own life nominates his parents, or his spouse, or his children, or his spouse and children, or any of them, the nominee or nominees shall be beneficially entitled to the amount payable by the insurer to him or them under sub-section (6) unless it is proved that the holder of the policy, having regard to the nature of his title to the policy, could not have conferred any such beneficial title on the nominee.
- 8) Subject as aforesaid, where the nominee, or if there are more nominees than one, a nominee or nominees, to whom sub-section (7) applies, die after the person whose life is insured but before the amount secured by the policy is paid, the amount secured by the policy, or so much of the amount secured by the policy as represents the share of the nominee or nominees so dying (as the case may be), shall be payable to the heirs or legal representatives of the nominee or nominees or the holder of a succession certificate, as the case may be, and they shall be beneficially entitled to such amount.
- 9) Nothing in sub-sections (7) and (8) shall operate to destroy or impede the right of any creditor to be paid out of the proceeds of any policy of life insurance.
- 10) The provisions of sub-sections (7) and (8) shall apply to all policies of life insurance maturing for payment after the commencement of the Insurance Laws (Amendment) Act, 2015.

- 11) Where a policyholder dies after the maturity of the policy but the proceeds and benefit of his policy has not been made to him because of his death, in such a case, his nominee shall be entitled to the proceeds and benefit of his policy.
- 12) The provisions of this section shall not apply to any policy of life insurance to which section 6 of the Married Women's Property Act, 1874, applies or has at any time applied:
Provided that where a nomination made whether before or after the commencement of the Insurance Laws (Amendment) Act, 2015, in favour of the wife of the person who has insured his life or of his wife and children or any of them is expressed, whether or not on the face of the policy, as being made under this section, the said section 6 shall be deemed not to apply or not to have applied to the policy.

For the easy understanding of the above Section, the following clarification is given:

SUB-SECTION (1) - When it is made?

1. Nomination may be made by the holder of policy only when the policy is on his own life. If holder and life assured are different, nomination can not be made.
2. Nomination can be made when effecting the policy OR at any time before the policy matures for payment.

When is the money payable to nominee?

In the event of death of life assured.

Minor Nominee Appointee

Where any nominee is a minor, the policy holder can appoint in the prescribed manner any person to receive the money secured by the policy in the event of his death during the minority of the nominee.

SUB-SECTION (2) - When is the nomination effectual?

Any such nomination in order to be effectual shall,

1. unless it is incorporated in the text of the policy itself be made by an endorsement on the policy communicated to the insurer.

AND

2. be registered by him in the records relating to the policy.

Cancellation or change of nomination

Any such nomination may at any time before the policy matures for payment be cancelled OR changed by an endorsement OR a will, as the case may be.

However, unless notice in writing of any such cancellation OR change has been delivered to the insurer, the insurer is not bound to take cognisance of cancellation / change of nomination.

When shall the insurer not be liable to pay?

The insurer shall not be liable for payment under the policy made bona fide by him to a nominee mentioned in the text of the policy OR registered in records of the insurer.

SUB-SECTION (3) - Acknowledgement of Registration

The insurer shall furnish to the policyholder:

A written acknowledgement of having registered a nomination OR a cancellation OR change thereof.

Registration or Cancellation charges

The insurer may charge such fee as may be specified by regulations for registering such cancellation or change.

As per IRDAI (Fee for Registering Cancellation or Change of Nomination) Regulations, 2015, F.No. IRDA/Reg/4/94/2015 dated 24th April' 2015 by Section 114A (2) (jc) read with Sec 39(3) of The Insurance Act 1938

Fee for registering a cancellation or change of nomination by the holder of a policy of life insurance:

1. A Life Insurer is permitted to collect the following fee for registering the cancellation or change of the nomination by the holder of a policy of Life Insurance on his own life.
 - (a) In respect of those policies that are issued in electronic form as specified by the regulations under the provisions of Section 14 (2) of the Act, the fee collected shall not exceed Rs. 50 (Rupees fifty only) inclusive of all applicable taxes.
 - (b) In respect of policies other than those referred under Regulation (4) (a) above, the fee collected shall not exceed Rs. 100 (Rupees Hundred Only) inclusive of all applicable taxes.
2. No fee. Other than what has been prescribed in Regulation 4 above shall be collected for registering a nomination either at the time of affecting a policy

of life insurance or at any time thereafter or towards any other services relating to nomination contained in Section 39 of the Act as amended from time to time.

3. The nomination effected by a policyholder at the inception of the policy through the proposal form and recorded by the Insurer in the schedule of a policy document shall be considered as a valid acknowledgement by the Insurer.

SUB-SECTION (4) - When will the Nomination get cancelled

1. A transfer or assignment of a policy made in accordance with Section 38 shall automatically cancel a nomination.
But where policy is assigned to insurer who bears risk, for the purpose of loan or its reassignment on repayment of the loan shall not cancel a nomination BUT shall affect the rights of the nominee only to the extent of the insurer's interest in the policy.
2. Transfer or assignment of a policy in consideration of loan advanced by the assignee / transferee to the policy holder shall not cancel the nomination BUT shall affect the rights of the nominee only to the extent of the insurer's interest in the policy.
3. The nomination cancelled automatically upon the transfer / assignment will be revived automatically when the policy is reassigned in favour of policyholder on repayment of loan other than on a security of policy to the insurer.

SUB-SECTION (5) - Death of nominee before maturity of policy

1. If the policy holder survives till maturity of policy or the nominee / nominees (all the nominees if more than one) die before the maturity of policy, the amount secured by policy shall be payable to the policyholder or his heirs or legal representatives or the holder of a succession certificate, as the case may be.

SUB-SECTION (6) - When payment is made to the nominee

Where the nominee / nominees survive the life assured, the amount secured by the policy shall be payable to such survivors.

SUB-SECTION (7) - Beneficiary Nominee

If the life assured nominates his parents or his spouse or his children or his spouse and children or any of them, the nominee / nominees shall be beneficially entitled to the amount payable under sub section (6) unless proved that the

policyholder having regard to the nature of his title to the policy could not have conferred any such beneficial title to the nominee.

SUB-SECTION (8) - Nominee dies after life assured but before receiving the payment

If the nominee to whom sub section (7) applies dies after the death of life assured but before receiving the money under the policy , the money shall be payable to the **heirs or legal representatives of the nominee** or the holder of a succession certificate as the case may be, and they **shall be beneficially entitled** to such amount.

SUB-SECTION (9) - Rights of creditor

The right of any creditor to be paid out of life insurance policy shall not be affected in any way by the provisions of sub section (7) and (8).

SUB-SECTION (10) - Effective date

The provisions of sub section (7) and (8) shall apply to all policies of life insurance maturing after the commencement of Insurance Laws (Amendment) Act, 2015.

SUB-SECTION (11) - Policyholder dies after maturity of policy

In case of Policyholder's death after the maturity but without receiving the proceeds and benefits of his policy, in such a case his **nominee shall be entitled to the proceeds** and benefits of his policy.

SUB-SECTION (12) - When are the provisions of nomination not applicable?

The provisions of this Section shall not apply to any policy of life insurance to which Section(6) of the Married Women's Property Act, 1874 (3 of 1874) applies or at any time applied.

It may be noted that where a nomination is made under section (39) of Insurance Act, the provision of Section (6) of MWP Act 1874 is not applicable to nomination in favour of wife and / or children.

Nomination under Section 39 is naming of a person or persons to give a valid discharge to the insurance company and receive policy moneys in case of death of the life assured during the period of the policy. In case of survival of the life assured till the date of maturity, nomination will be ineffective.

Nomination can be done by making suitable entries in the proposal to the policy in which case it will be incorporated in the text of the policy. Otherwise, it will be done by an endorsement made on the back of the policy by the life assured.

But this will be effectual only if it is communicated to the insurance company and got registered in their records.

Nomination can be done only by a policyholder under policy on his own life and not otherwise. For example, when a policy is assigned to the third party, the latter cannot nominate because the policy is not on his own life. Similarly, if a parent obtains a policy on the life of a child, the child cannot nominate any one till he attains majority because during minority he is not the owner of the policy though the policy is on his own life. After attaining majority child can nominate.

Nomination can be done in favor of one or more persons. But those nominees who are alive on the date of death of the life assured only will receive the policy moneys. For this reason, while nominating more than one person, the life assured should not indicate shares of the policy moneys for individual nominees.

Nomination can be in favour of a minor, in which case, the life assured can appoint an appointee to receive policy moneys on behalf of the minor nominees in case of death of the life assured during the minority of the nominee and before the date of maturity.

During the lifetime of the life assured, he/she can deal with the policy in whatever way he/she may desire and the consent of the nominee is not necessary.

Nomination once made can be changed by the life assured at his will (i.e., without any consent from the nominee) at any time but before the policy matures for payment.

Nomination once made is automatically cancelled by (1) a cancellation/endorsement/further change of nomination (2) assignment in favour of third party-in case assignment is done in favour of insurance company for a loan out of surrender value of the policy, then nomination will not get cancelled (3) a will.

Nomination should be normally in favour of someone near and dear. If a stranger is named as a nominee, there may be a suspicion of absence of insurable interest.

In a joint life policy, normally there is no need for nomination because, in case of death of one life, policy moneys become payable to the surviving life. However there can be a joint nomination providing for a particular contingency, viz., the simultaneous death of both lives in a common calamity.

Test Yourself 2**Question 2**

Nomination may be made by holder of the policy only when the policy is on _____ life.

- A. His / her own
 - B. Someone else's
 - C. Both of the above
 - D. None of the above
-

3. Explain the provision related with the prohibition of rebate (Section 41)

[Learning Outcome c]

Important

Section 41 of Insurance Act, 1938 states the following:

1. No person shall allow or offer to allow, either directly or indirectly, as an inducement to any person to take or renew or continue an insurance in respect of any kind of risk relating to lives or property in India, any rebate of the whole or part of the commission payable or any rebate of the premium shown on the policy, nor shall any person taking out or renewing or continuing a policy accept any rebate, except such rebate as may be allowed in accordance with the published prospectuses or tables of the insurer:

Provided that acceptance by an insurance agent of commission in connection with a policy of life insurance taken out by himself on his own life, shall not be deemed to be acceptance of a rebate of premium within the meaning of the sub-section if at the time of such acceptance the insurance agent satisfies the prescribed conditions establishing that he is a bona fide insurance agent employed by the insurer.

Any person making default in complying with the provisions of this section shall be liable for a penalty which may extend to **ten lakh rupees.**"

Explanation of Section 41

1. No person, either directly or indirectly allow or offer to allow as an inducement to any person to take out or renew or continue an insurance in respect of any kind of risk to lives or property in India, any rebate of the whole or part of the commission payable or any rebate of the premium.

OR

No person taking out or renewing or continuing a policy shall accept any rebate, except such rebate as may be allowed as per the published prospectus or tables of the insurer.

Test Yourself 3**Question 3**

Any person making default in complying with the provisions of section 41 shall be punishable with fine which may extend to _____.

- A. Rs. 1 lakhs
 - B. Rs. 5 lakhs
 - C. Rs. 10 lakhs
 - D. Rs. 20 lakhs
-

4. Understand the repudiation clause (Section 45)

[Learning Outcome d]

Important

The Section 45 of Insurance Act, 1938

- 1) No policy of life insurance shall be called in question on any ground whatsoever after the expiry of three years from the date of the policy, i.e., from the date of issuance of the policy or the date of commencement of risk or the date of revival of the policy or the date of the rider to the policy, whichever is later.
- 2) A policy of life insurance may be called in question at any time within three years from the date of issuance of the policy or the date of commencement of risk or the date of revival of the policy or the date of the rider to the policy, whichever is later, on the ground of fraud:

Provided that the insurer shall have to communicate in writing to the insured or the legal representatives or nominees or assignees of the insured the grounds and materials on which such decision is based.

Explanation I.—For the purposes of this sub-section, the expression "fraud" means any of the following acts committed by the insured or by his agent, with intent to deceive the insurer or to induce the insurer to issue a life insurance policy:—

- a. the suggestion, as a fact of that which is not true and which the insured does not believe to be true;
- b. the active concealment of a fact by the insured having knowledge or belief of the fact;
- c. any other act fitted to deceive; and
- d. any such act or omission as the law specially declares to be fraudulent

Explanation II.—Mere silence as to facts likely to affect the assessment of the risk by the insurer is not fraud, unless the circumstances of the case are such that regard being had to them, it is the duty of the insured or his agent keeping silence, to speak, or unless his silence is, in itself, equivalent to speak.

- 3) Notwithstanding anything contained in sub-section (2), no insurer shall repudiate a life insurance policy on the ground of fraud if the insured can prove that the misstatement of or suppression of a material fact was true to the best of his knowledge and belief or that there was no deliberate intention

to suppress the fact or that such misstatement of or suppression of a material fact are within the knowledge of the insurer:

Provided that in case of fraud, the onus of disproving lies upon the beneficiaries, in case the policyholder is not alive.

Explanation — A person who solicits and negotiates a contract of insurance shall be deemed for the purpose of the formation of the contract, to be the agent of the insurer.

- 4) A policy of life insurance may be called in question at any time within three years from the date of issuance of the policy or the date of commencement of risk or the date of revival of the policy or the date of the rider to the policy, whichever is later, on the ground that any statement of or suppression of a fact material to the expectancy of the life of the insured was incorrectly made in the proposal or other document on the basis of which the policy was issued or revived or rider issued:

Provided that the insurer shall have to communicate in writing to the insured or the legal representatives or nominees or assignees of the insured the grounds and materials on which such decision to repudiate the policy of life insurance is based:

Provided further that in case of repudiation of the policy on the ground of misstatement or suppression of a material fact, and not on the ground of fraud, the premiums collected on the policy till the date of repudiation shall be paid to the insured or the legal representatives or nominees or assignees of the insured **within a period of ninety days** from the date of such repudiation.

Explanation.—For the purposes of this sub-section, the misstatement of or suppression of fact shall not be considered material unless it has a direct bearing on the risk undertaken by the insurer, the onus is on the insurer to show that had the insurer been aware of the said fact no life insurance policy would have been issued to the insured.

- 5) Nothing in this section shall prevent the insurer from calling for proof of age at any time if he is entitled to do so, and no policy shall be deemed to be called in question merely because the terms of the policy are adjusted on subsequent proof that the age of the life insured was incorrectly stated in the proposal.'.

4.1 Explanation of Section 45

No policy of life insurance after the expiry of three years from the date of commencement of risk or the date of revival of the policy or the date of the rider to the policy, whichever is later, be called in question by an insurer on the ground that a statement made:

1. In the proposal for insurance, or
2. In any report of a
 - a. Medical officer, or
 - b. Referee, or
 - c. Friend of the insured, or
3. In any other document leading to the issue of the policy, was in accurate or false unless the insurer shows that
 - Such statement was a material matter
OR
 - Suppressed facts which it was material to disclose
AND
 - That it was fraudulently made by the policy holder
AND
That the policyholder knew at the time of making it that the statement was false
OR
That it suppressed facts which it was material to disclose:

Provided that:

Nothing in this section shall prevent the insurer from calling for proof of age at any time if he is entitled to do so, and no policy shall be deemed to be called in question merely because the terms of the policy are adjusted on subsequent proof that the age of the life insured was incorrectly stated in the proposal.

To ensure that the insurance companies do not go to unreasonable levels and repudiate liability under a policy invoking the principle of utmost good faith, the Insurance Act provides a protection to the policyholders and the claimants under section 45.

Fraud:

A policy of life insurance may be called in question at any time within three years from the date of issuance of the policy or the date of commencement of risk or the date of revival of the policy or the date of the rider to the policy, whichever is later, on the ground of fraud:

Provided that the insurer shall have to communicate in writing to the insured or the legal representatives or nominees or assignees of the insured the grounds and materials on which such decision is based.

Explanation I. The expression "fraud" means any of the following acts committed by the insured or by his agent, with intent to deceive the insurer or to induce the insurer to issue a life insurance policy:—

- a) the suggestion, as a fact of that which is not true and which the insured does not believe to be true;
- b) the active concealment of a fact by the insured having knowledge or belief of the fact;
- c) any other act fitted to deceive; and
- d) any such act or omission as the law specially declares to be fraudulent

Explanation II.—Mere silence as to facts likely to affect the assessment of the risk by the insurer is not fraud unless the circumstances of the case are such that regard being had to them, it is the duty of the insured or his agent keeping silence, to speak, or unless his silence is, in itself, equivalent to speak.

In case of repudiation of the policy on the ground of misstatement or suppression of a material fact, and not on the ground of fraud, the premiums collected on the policy till the date of repudiation shall be paid to the insured or the legal representatives or nominees or assignees of the insured within a period of ninety days from the date of such repudiation.

The misstatement of or suppression of fact shall not be considered material unless it has a direct bearing on the risk undertaken by the insurer, the onus is on the insurer to show that had the insurer been aware of the said fact no life insurance policy would have been issued to the insured.

4.2 Position in other countries

1. **United Kingdom:** The position while the doctrine of uberrima fides is strictly adhered to, courts come to the rescue of claimants by insisting on fairness and good faith on the part of the insurer also.
2. **Australia:** A policy shall not be avoided only because of any incorrect statement (other than a statement as to the age of the life insured) made in any proposal or other document on the faith of which the policy was issued or re-instated by the company unless the statement:
 - a) was fraudulently untrue; or
 - b) being a statement material in relation to the risk of the company under policy, was made within the period of three years immediately preceding the date on which the policy is sought to be avoided or the date of the death of the life insured, whichever is earlier.

Therefore, if the insured die within 3 years of the date of the policy and the policy was issued on the basis of an incorrect statement material to the risk of the company, any claim on the policy can be repudiated at any time thereafter.

3. **United States:** In the United States, the method employed is to have 'Incontestable Clauses' in the policy. In some States they are imposed by statute. The effect of these clauses is that after a certain period, the policy cannot be contested and a claim cannot be challenged on any ground of error or misstatement. If death takes place during the contestable period, any claim based on the policy can be challenged on the grounds of error or misstatement at any time, so that, the insurer's right to repudiate does not depend upon the time when the repudiation is made.

Test Yourself 4

Question 4

As per Section 45 of the Insurance Act 1938, a life insurer can repudiate the policy on the ground that any material facts in the proposal or document are inaccurate or false within _____ from the date of the issuance of the policy or commencement of risk.

- A. One year
 - B. Two years
 - C. Three years
 - D. Five years
-

5. Explain the provisions related with the no risk to be assumed unless premium is received in advance (Section 64VB)

[Learning Outcome e]

Important

The Section 64VB of Insurance Act, 1938 states the following:

1. No insurer shall assume any risk in India in respect of any insurance business on which premium is not ordinarily payable outside India unless and until the premium payable is received by him or is guaranteed to be paid by such person in such manner and within such time as may be prescribed or unless and until deposit of such amount as may be prescribed, is made in advance in the prescribed manner.
2. For the purposes of this Section, in the case of risks for which premium can be ascertained in advance, the risk may be assumed not earlier than the date on which the premium has been paid in cash or by cheque to the insurer.

Explanation: Where the premium is tendered by postal money order or cheque sent by post, the risk may be assumed on the date on which the money order is booked or the cheque is posted, as the case may be.

3. Any refund of premium which may become due to an insured on account of the cancellation of a policy or alteration in its terms and conditions or otherwise shall be paid by the insurer directly to the insured by a crossed or order cheque or by postal money order and a proper receipt shall be obtained by the insurer from the insured, and such refund shall in no case be credited to the account of the agent.
4. Where an insurance agent collects a premium on a policy of insurance on behalf of an insurer, he shall deposit with, or despatch by post to, the insurer, the premium so collected in full without deduction of his commission within twenty four hours of the collections excluding bank and postal holidays.

Explanation of Section 64VB

The Act provides that the Central Government may, by rules, relax the requirements of sub section (1) above in respect of particular categories in insurance policies.

The Act also allows IRDAI, to issue regulations from time to time, specifying the manner of receipt of premium by the insurer.

Relaxations provided by the Central Government are listed under rule 59 of the Insurance Rules 1939, the gist of which is give under.

Exemption to Section 64 VB as per rule 59 of the Insurance rule - 1939

- a) **Policies issued to Government and semi-Government bodies:** The risk may be covered on such policies on the strength of an undertaking by the proposer to pay the premium within 30 days of the date of intimation of the amount of premium or within such further period as the Controller may fix in any particular case.
- b) **Policies under (Sickness Insurance, Group Personal Accident Insurance, Medical Benefits Insurance and Hospitalization Insurance Schemes):** Premiums on such policies may be accepted in instalments provided that the instalment covering a particular period shall be received (within 15 days from) the date of commencement of the period.
- c) **Fidelity Guarantee Insurance:** Fidelity Guarantee Insurance Policies covering Government and semi-Government employees may be issued without receipt or premium in advance if the policy is not in renewal of an existing policy and subject to the condition that the premium is paid within thirty days from the date of appointment of the person covered by the policy.
- d) **Policies covering risks where exact premium cannot be ascertained without reference to Head office, Principal office etc.:** Where the exact premium for a risk cannot be ascertained without reference to the Specified authorities, or for any other reasons, the risk may be assumed if there is a deposit made by or on behalf of the insured with the insurer at suitable rate not less than 2.5 per mile.
- e) **Declaration policies:** Risk in respect of such policies may be assumed if at least the premium calculated on 75% of the sum assured has been received before assumption of the risk.
- f) **Policies issued on the basis of adjustable premium:** Risk in respect of policies issued on the basis of adjustable premium such as workmen's compensation, cash in transit etc. may be assumed on receipt of provisional premium based on fair estimate.
- g) **Annual Insurances connected with aircraft hulls, other aviation risks and marine hulls:** Facilities for delayed payment of premium or the payment of premium by means of instalments not exceeding four in number may be allowed at the discretion of the insurer on policies covering the following risks, namely:
 - i. aircraft hulls,
 - ii. marine hulls,
 - iii. legal liability to passengers,
 - iv. automatic personal accident insurance to passengers,
 - v. blanket policies covering liability in excess of basic cover connected with aviation risks,
 - vi. war risk insurance of air passengers and aircraft hulls,

- vii. third party and other liability risks connected with aviation risks and marine hulls risks,
- viii. S.R.C.C. risk connected with aviation risk and marine hull risks, provided that a clause to that effect is endorsed on the policy.
- ix. Short period covers in respect of insurance connected with aircraft hulls and other aviation risks and marine hulls. The same as the above.

Certain Policies issued (for a period of more than one year) such as Machinery Erection policies or contractors All Risk policies, certain Schedule and Consequential Loss Policies, Marine covers others than Hulls, policies relating to co-insurances and policies of reinsurance are also eligible for relaxation from Section 64 VB to the extent provided under rule 59 of the Insurance Rules.

Test Yourself 5

Question 5

Fill in the blank by choosing the correct option

For policies under Group Personal Accident Insurance the instalment of the premium covering a particular period must be paid within _____ from the date of commencement of that period.

- A. 2 days
- B. 7 days
- C. 15 days
- D. 30 days

Summary

- The transfer or assignment is complete and effectual only when the execution of such endorsement or instrumental is duly attested so far as transferee / assignee is concerned.
- A conditional assignment is valid only if the specified event happens during the life time of the life assured. Assignee can be anybody including a minor. An absolute assignment transfers to the assignee all rights, title and interest of the assignor in the policy.
- The insured can nominate a family member/s to receive the policy moneys in the event of his death. Nomination can be made at the time of taking the policy or anytime during the tenure of the policy. Nomination can also be changed / cancelled anytime during the tenure of the policy.
- No person is allowed to either directly or indirectly offer an inducement to any person to take or renew or continue an insurance policy.
- An insurer can repudiate the policy on the ground that any material fact in the proposal or document is inaccurate or false within three years from the date of the policy.

- For policies under Sickness Insurance, Group Personal Accident Insurance, Medical Benefits Insurance and Hospitalization Insurance Schemes, the installment of the premium covering a particular period must be paid within 15 days from the date of commencement of that period.

Answers to Test Yourself

Answer to TY 1

The correct option is **D**.

The instrument through which a transfer or assignment of a policy of life insurance is made must be signed, attested and stamped.

Answer to TY 2

The correct option is **A**.

Nomination may be made by the holder of the policy only when the policy is on his / her own life. If the Holder and life assured are different, nomination cannot be made.

Answer to TY 3

The correct option is **C**.

Any person making default in complying with the provisions of section 41 shall be punishable with fine which may extend to 10 Lakhs rupees.

Answer to TY 4

The correct option is **C**.

In respect of the repudiation of life insurance policy, the existing Section 45 of the Insurance Act, 1938 provides that within three years from the date of policy, an insurer can repudiate the policy on the ground that any material fact in the proposal or document is inaccurate or false.

After the expiry of three years, an insurer can repudiate the policy on fulfilling all three conditions mentioned in the second part of Section 45.

Answer to TY 5

The correct option is **C**.

For policies under Sickness Insurance, Group Personal Accident Insurance, Medical Benefits Insurance and Hospitalization Insurance Schemes, the premium can be

accepted in instalments provided that the instalment covering a particular period must be received within 15 days from the date of commencement of the period.

Self-Examination Questions

Question 1

What type of assignment is valid only if the specified event happens during the life time of the life assured?

- A. Conditional
- B. Unconditional
- C. Both of the above
- D. None of the above.

Question 2

Section 39 of the Insurance Act, 1938 provides that the policyholder may nominate _____ to whom the money secured by the policy shall be paid in the event of death of the policyholder.

- A. Only one person
- B. One or more persons
- C. At least two people
- D. Maximum three people

Question 3

Nomination is cancelled where the nominee/s _____ before the policy matures for payment.

- A. Die
- B. Becomes major
- C. Gets married
- D. Any one of the above.

Question 4

Which of the below assignment transfers to the assignee all rights, title and interest of the assignor in the policy?

- A. Conditional
- B. Unconditional
- C. Absolute
- D. All of the above

Question 5

Fill in the blank with by choosing the correct option

Any nomination can be at any time cancelled or changed before the policy _____.

- A. Matures
 - B. Lapses
 - C. Is rejected
 - D. Is repudiated
-

Answers to Self Examination Questions

Answer to SEQ 1

The correct option is A.

A conditional assignment shall be valid only if the specified event happens during the life time of the life assured

Answer to SEQ 2

The correct option is B.

Section 39 of the Insurance Act, 1938 provides that the policyholder may nominate one or more persons to whom the money secured by the policy shall be paid in the event of death of the policyholder.

Answer to SEQ 3

The correct option is A.

Nomination is cancelled where the nominee or, if there are more nominees than one, all the nominees die before the policy matures for payment.

Answer to SEQ 4

The correct option is C.

An absolute assignment transfers to the assignee all rights, title and interest of the assignor in the policy. The policy vests in the assignee absolutely and forms part of his / her estate.

Answer to SEQ 5

The correct option is **A**.

Any nomination can be at any time cancelled or changed before the policy matures. The notice of any cancellation or change in the nomination must be given in writing to the life insurance company.

CHAPTER 7

PROTECTION OF POLICYHOLDERS INTEREST

Chapter Introduction

Insurance Regulatory and Development Authority of India (IRDAI) has been set up to protect the interests of policyholders and to promote, regulate and ensure orderly growth of the insurance business. There should be utmost transparency at the sale and promotion stage so that the policyholder is made to feel confident that he or she is being given full information regarding the different plans. Provision of clear and complete information is not only a fundamental desire but also a necessity to ensure fair treatment to policyholders by the insurance companies. It is important for insurance companies to disclose all information to the policyholders. Hence one of the important objectives of IRDAI is to protect the policyholder's interest.

This chapter would give us a deeper knowledge and understanding of the steps taken by IRDAI to protect the interests of policyholders.

Insurance Regulatory and Development Authority of India (Protection of Policyholders' Interests) Regulations, 2017, is of interest to the small, isolated and defenseless policyholders pitted against the large, powerful insurance companies. The IRDAI (Protection of Policyholders interests) Regulations 2017 give the duties and obligations of insurers and intermediaries, pre and post sales. This chapter will give a simplified account of the two stages of any insurance policy.

Learning Outcomes

- a) Be introduced to stages of an insurance policy.
- b) Discuss the pre-sale stage of an insurance policy.
- c) Discuss the post-sale stage of an insurance policy.
- d) Understand grievance redressal, complaint handling and policyholders' servicing.
- e) Learn about claim settlement.
- f) Know about the key feature document.

IRDAI & SEBI

The Insurance Regulatory Development Authority (IRDAI) regulates the insurance sector, while the Securities and Exchange Board of India (SEBI) regulates the capital market.

ULIP products (Unit-linked-products) are a combination of benefit of life insurance with investment in securities.

1. Be introduced to stages of insurance policy

[Learning Outcome a]

Insurance Regulatory and Development Authority of India (Protection of Policyholders' Interests) Regulations, 2017 is of particular interest to the small, isolated and defenseless individual policyholders pitted against the large, powerful insurance companies. As the name suggests, this piece of legislation seeks to provide added protection to policyholders. The IRDAI (Protection of Policyholders' Interests) Regulations 2017 – prescribe the duties and obligations those applicable on all insurers, distribution channels, intermediaries, insurance intermediaries, other regulated entities and policyholders including standard procedures and best practices in pre and post sale and service of insurance policies.

Before going into the details, we need to know certain keywords. These keywords will help in understanding clearly about the protection of policyholders' regulations.

1.1 Few keywords

- (i) **Cover:** Insurance contract whether in the form of a policy or a cover note or a Certificate of Insurance or any other form prevalent in the industry and as approved by the Authority to evidence the existence of an insurance contract.
- (ii) **Proposal Form:** A form to be filled in by the prospect in written or electronic or any other format as approved by the Authority, for furnishing all material information as required by the insurer in respect of a risk, in order to enable the insurer to take informed decision in the context of underwriting the risk, and in the event of acceptance of the risk, to determine the rates, advantages, terms and conditions of the cover to be granted.
- (iii) **Material:** Shall mean all important, essential and relevant information sought by insurer in the proposal form and other connected documents to enable him to take informed decision in the context of underwriting the risk to be covered by the insurer.

- (iv) **Distribution Channels** means persons and entities authorised by the Authority to involve in sale and service of insurance products.

Example

A proposer should disclose all material information to the insurer. In case of life insurance, misrepresentation about health status by the proposer is material to the insurance contract whereas misrepresentation about his social status is not material to the insurance contract.

- (v) **Prospectus:** Document either in physical or electronic or any other format issued by the insurer or on its behalf to sell or promote the insurance products, to the prospective buyers of insurance, and includes a brochure or leaflet serving the purpose. Such an Insurance products referred herein shall also include the riders offered, if any. Where a rider is tied to a base policy all the terms and conditions of the rider referred in the definition shall be mentioned in the prospectus. Where a standalone rider is offered to a base product, a reference to the rider shall be made in the prospectus of the base policy indicating the nature of benefits flowing thereupon.

1.2 Two stages of an insurance policy

There are two stages of an insurance policy:

(i) Pre-Sale

This stage is related to performing pre sale service. In this stage, insurance is canvassed by the intermediaries to the prospective customers. The various benefits of the policy like basic plan, rider benefits, with/without profits, terms and conditions of the policy, filling of proposal form etc. are explained to the customer. Customers are also informed about the various mechanisms to address their complaints and grievances. The pre-sale stage includes:

- Point of sale
- Proposal of insurance

(ii) Post-Sale

This refers to providing after sales service such as issue of policy bond, providing various policy services like change of address, nomination, assignment, loan, surrender etc. and finally settlement of claim. The post-sale stage includes:

- Issue of policy bond
- Grievance Redressal Procedures
- Complaint-handling Procedures
- Policyholders' servicing

- Claim settlement

BOARD APPROVED POLICY FOR PROTECTION OF INTERESTS OF POLICYHOLDERS:

1. Every insurer shall have in place a board approved policy for protection of policyholders' interests which shall at the minimum, include
 - steps to be taken for enhancing Insurance Awareness so as to educate prospects and policyholders about insurance products, benefits and their rights and responsibilities.
 - service parameters including turnaround times for various services rendered.
 - procedure for expeditious resolution of complaints
 - steps to be taken to prevent mis-selling and unfair business practices at point of sale and service.
 - steps to be taken to ensure that during policy solicitation and sale stages, the prospects are fully informed and made aware of the benefits of the product being sold vis-a-vis the product features attached thereto and the terms and conditions of the product so that the benefits / returns of the product are not mis-stated / mis-represented.
2. Every insurer shall display the service parameters and turnaround times as approved by the Board in its website and keep the same updated as and when the service parameters are revised by the Board.

Test Yourself 1

Question 1

What is the temporary insurance certificate issued to the customer before issuing the insurance policy known as?

- A. Policy bond
 - B. Cover note
 - C. Acknowledgement letter
 - D. None of the above
-

2. Discuss the pre-sale stage of insurance policy.

[Learning Outcome b]

The pre-sale stage includes:

- Point of sale
- Proposal of insurance

2.1 Point of sale

There should be utmost transparency at the time of sale and promotion so that the policyholder is made to feel confident that he or she is being given complete information regarding the product. Provision of clear and complete information about products is not only a fundamental expectation but also a necessity to ensure fair treatment to policyholders by insurance companies. It is obligatory for insurance companies to disclose such information the following points should be taken care of:

1. The prospectus of any insurance product should clearly state the Unique Identification Number (UIN) allotted by the Authority for the concerned insurance product, the scope of benefits, the extent of insurance cover and in an explicit manner explain the warranties, exceptions and conditions of the insurance cover and, whether the product is participating (with-profits) or non-participating (without-profits).
2. The allowable riders or add-on covers on the insurance products shall be clearly spelt out with regard to their scope of benefits, the premium pertaining to health related or critical illness riders shall not exceed 100% of premium under the basic product, the premiums under all other life insurance riders put together shall not exceed 30% of premiums under the basic product and any benefit arising under each of the above mentioned riders shall not exceed the sum assured under the basic product.
3. An insurer or its agent or other intermediary shall provide all material information in respect of a proposed cover to the prospect to enable the prospect to decide on the best cover that would be in his or her interest.
4. Where the prospect depends upon the advice of the insurer or his agent or an insurance intermediary, such a person must advise the prospect dispassionately.
5. Where, for any reason, the proposal and other connected papers are not filled by the prospect, the insurer or the distribution channel shall explain the contents of the form and a certificate may be incorporated at the end of proposal form from the prospect that the contents of the form and documents have been fully explained to him and that he has fully understood the significance of the proposed contract.

6. The Insurers shall ensure, that a sale executed over distance-marketing modes such as Internet, SMS, Tele Marketing, interactive electronic medium etc., shall be undertaken by authorized and qualified sales persons who are specified in this behalf by the Authority. It is mandatory that the consent of the prospect be obtained before canvassing. Care should be exercised to ensure that the prospect contacted has clarity as to the identity of the insurer, the distribution channel, the product, benefits and conditions of offer etc. The canvassing so made shall not involve compulsion, inconvenience or nuisance of any kind to the prospect.
7. In the process of sale, the insurer or its agent or any intermediary shall act according to the codes of conduct prescribed by:
 - a) The IRDAI
 - b) The councils that have been established by the Insurance Act, 1938
 - c) The recognized professional body or association of which the agent or intermediary or insurance intermediary is a member.

PRODUCTS ON OFFER/ PRODUCTS WITHDRAWN:

Every insurer shall place in its website the terms and conditions of every insurance product that is offered for sale by the insurer as it was approved by the Authority under File and Use procedure or filed with the Authority under Use and File procedure, including products modified or products withdrawn. The UIN allotted by the Authority to every insurance product shall also be mentioned against each product.

The insurer shall keep the list updated at all times.

2.2 Proposal for insurance

1. Except in case of a marine insurance cover, or such other covers approved by the Authority exempting usage of proposal form, a proposal for grant of insurance cover, either for life insurance business or for general insurance business or for health insurance business, must be evidenced by a document in written or electronic or any other format as approved by the Authority. It is the duty of the insurer to furnish to the insured, free of charge, within 30 days of the acceptance of a proposal, a copy of the proposal submitted by the Insured.
2. In case of marine insurance cover or other insurance covers where a proposal form is not used, the insurer shall record the information obtained orally or in writing or electronically, and confirm it within a period of 15 days thereof with the prospect and incorporate the information in its cover note or policy. Where the insurer claims that the prospect suppressed any material information or provided misleading or false information on any matter material to the grant of a cover, then the onus of proof rests with the insurer only in respect of any information not so recorded.

3. Any proposal form seeking information for grant of life cover shall prominently state therein the requirements of Section 45 of the Act.
4. While answering the questions in the proposal form for obtaining life insurance cover, the prospect is to be guided by the provisions of Section 45 of the Act.
5. Wherever the benefit of nomination is available to the proposer, in terms of the Act or the conditions of policy, the insurer or the distribution channel shall draw the attention of the proposer to it and encourage the proposer to avail the facility and inform him of the provisions of section 39 of the Act.
6. Insurer shall process the proposals with speed and efficiency and the decision on the proposal thereof, shall be communicated in writing to the proposer within a reasonable period but not exceeding 15 days from the date of receipt of proposals or any requirements called for by the insurer.
7. Where a proposal deposit is refundable to a prospect under any circumstances, the same shall be refunded within 15 days from the date of underwriting decision on the proposal.

Test Yourself 2

Question 2

Within how many days should a proposal be processed by the insurer?

- A. 15
 - B. 30
 - C. 60
 - D. 10
-

3. Discuss the post-sale stage of insurance policy.

[Learning Outcome c]

Issue of Policy Bond

Policy bond is a legal document setting out the terms and conditions of the contract. It is the document that is given after the proposal for insurance is accepted by the insurer. The risk coverage commences after acceptance of proposal and the conditions and privileges of the policy are mentioned in the policy bond. This is an important document which would be referred to for various servicing interactions with the insurer. It will also be required at the time of settlement of claims on the policy. Along with the policy bond, letter has to be sent informing about the free look period.

It is the duty of the insurer to ensure that the contents of the policy document are easy to understand. The language used should be simple. The document should avoid jargon, should be easy to read and most of all be attractive for the consumer to peruse. It would clearly bring out the risks involved for the policyholder and the obligations or commitments required of him/her.

3.1 Free Look Period

Example

Very often, we go out shopping and pick up something without giving too much thought to it. And we realise that the item that we picked up should not have been purchased at all in the first place. In such situations the option of a free look period (return of goods purchased), as in insurance products offer, could have helped. However, this is not limited to household products.

The same can happen when it comes to buying insurance too. The last thing a person needs is to realise that he bought or he has been sold a policy that does not fulfill his requirements. In the competitive world that insurance is today, and with an army of agents looking for new business, the possibility of one falling into the trap of these agents cannot be ruled out.

When we buy a conventional consumer product, the purchase decision is irreversible. However, when we decide to buy insurance, we have an option in the form of a free-look period. This is a feature that has been followed by insurance companies, as mandated by the Insurance Regulatory and Development Authority of India (IRDAI) in the interest of the consumers.

The free-look period option of a life insurance plan allows the customer to cancel the policy after purchasing it if he disagrees with or is not comfortable with its terms and conditions.

The option has to be exercised within 15 days of receipt of the policy and period of 30 days in case of electronic policies and policies obtained through distance mode. This option gives an opportunity to the customer to go through the fine print of a policy, understand how it is going to work, study the charges in detail (in case of unit-linked plans) and then decide whether he wants to go for a long-term financial commitment with the plan. The term of life covers is usually 10-15 years, a long investment period, so it is important for the prospective buyer to figure out whether the plan suits his needs.

Usually, the customer will be required to send the original documents of the insurance policy and an application form for its cancellation to the customer service department, or the local branch of the insurance company. It is important to send the documents within 15 days of the receipt of the policy from the insurance company if the customer wants to avail the cancellation option.

If a person cancels an insurance policy during the free-look period, the insurance company refunds the premium paid after the following deductions:

- a) Cost pertaining to medical tests, if any;
- b) Stamp duty; and
- c) The risk premium in case the customer is provided cover in the free-look period.

In unit-linked insurance plans, any increase or decrease in the net asset value of the plan during the free-look period is passed on to the customer. This is achieved through additions to or deductions from the premium. Apart from the change in the NAV, the other charges mentioned above will continue to be levied.

What is free look period?

The free-look provision to a policy means a customer has 15 days from the date of the policy's receipt to rethink about his purchase decision. The free-look period option of a life insurance plan allows a customer to cancel the policy after purchasing it if he disagrees with or is not comfortable with its terms and conditions. The option has to be exercised within 15 days of receipt of the policy and period of 30 days in case of electronic policies and policies obtained through distance mode. This option gives an opportunity to the customer to go through the fine print of a policy document, understand how it works, study the charges in detail (in case of unit-linked plans) and then decide whether he wants to go for such a long-term financial commitment or not. The term of life covers is usually 10-15 years which is a long investment period, so it is important for the prospective buyer to figure out whether the plan suits his needs.

Objective of free look period

The objective of offering a free look period is to make the process of buying insurance transparent, easy and fulfilling for the customer, rather than leaving him with the feeling that he has picked up something that he never needed.

The insurance company is also at an advantage by offering a free look period to its policyholders. If someone takes up a policy and subsequently realises that it is not appropriate, he would either stop paying premiums and let the policy lapse or might surrender it. From the point of view of the insurance company, it is more profitable if a customer stays for a longer period. A premature exit only works to their disadvantage. Customers who decide to continue with the policy after having studied it thoroughly are likely to remain with the insurance company over an extended period.

Requirements for cancellation of policy in free look period

Usually, the customer will be required to send the original documents of the insurance policy and an application for its cancellation to the customer service department, or the local branch of the insurance company. To cancel the policy in the free look period, it is important to send the documents within 15 days of receipt of the policy from the insurance company.

If a person cancels an insurance policy during the free look period, the insurance company refunds the premium paid after the following deductions:

- (a) Cost pertaining to medical tests, if any
- (b) Stamp duty
- (c) The risk premium in case the customer is provided cover in the free-look period

In unit-linked insurance plans, any increase or decrease in the net asset value of the plan during the free-look period is passed on to the customer. This is achieved through additions to or deductions from the premium. Apart from the change in the NAV, the other charges mentioned above will continue to be levied.

3.2 Matters to be stated in a Life Insurance Policy

Life insurance policy shall clearly state:

1. The name and UIN allotted by the Authority for the product governing the policy, its terms and conditions; name, code number, contact details of the person involved in sales process;
2. Whether it is participating in profits or not, whether it is linked or non-linked;
3. The manner of vesting or payment of profits such as cash bonus, deferred bonus, simple or compound reversionary bonus;
4. The benefits payable and the contingencies upon which these are payable and the other terms and conditions of the insurance contract;
5. The name of Nominee (s), age of nominee(s) and their relationship and name of guardian in case of minor nominees.

6. The details of the riders being attached to the main policy;
7. The date of commencement of risk, the date of maturity and the date(s) on which survival benefits, if any, are payable;
8. The premiums payable, periodicity of payment, grace period allowed for payment of the premium, the date of last instalment of premium, the implication of discontinuing the payment of an instalment(s) of premium and also the provisions of guaranteed surrender value;
9. The details of revival schemes provided for reviving a lapsed policy and requirements to be submitted for revival there under. The insurers shall use term “revival” which is in vogue for renewing a lapsed insurance policy.
10. Name, Address, Date of birth and age of the insured as at the date of commencement of the policy.
11. The policy conditions for
 - conversion of the policy into paid up policy,
 - surrender
 - foreclosure
 - non-forfeiture
 - discontinuance provisions in case of Linked Policies
12. Contingencies excluded from the scope of the cover, both in respect of the main policy and the riders;
13. The provisions for nomination, assignment, loans on security of the policy and a statement that the rate of interest payable on such loan shall be as prescribed by the insurer at the time of taking the loan;
14. Any special clauses, exclusions or conditions imposed on the policy;
15. The address, email id of the insurer to which all communications in respect of the policy shall be sent;
16. The notes to policyholder highlighting the significance of notifying timely the change of his/her address;
17. Details of insurer’s Internal Grievance Redressal Mechanism along with address and contact details of Insurance Ombudsman within whose territorial jurisdiction the branch or office of the insurer or the residential address or place of residence of the policyholder is located;
18. The list of documents that are normally required to be submitted by a claimant in case of a claim under the policy.

- i. The insurer shall inform clearly by the letter forwarding the policy to the policyholder that he has a free look period of 15 days from the date of receipt of the policy document and period of 30 days in case of electronic policies and policies obtained through distance mode, to review the terms and conditions of the policy and where the policyholder disagrees to any of those terms or conditions, he has the option to return the policy to the insurer for cancellation, stating the reasons for his objection, then he shall be entitled to a refund of the premium paid subject only to a deduction of a proportionate risk premium for the period of cover and the expenses incurred by the insurer on medical examination of the proposer and stamp duty charges.
- ii. In respect of a linked insurance product, in addition to the deductions under sub-regulation (i) above, the insurer shall also be entitled to repurchase the units at the price of the units on the date of cancellation.
- iii. A request received by insurer for free look cancellation of the policy shall be processed and premium refunded within 15 days of receipt of the request, as stated at sub clause (i), (ii) above.

3.3 Matters to be stated in General Insurance

A general insurance policy shall clearly state:

1. The name(s) and address(s) of the insured and of any bank(s) or any other person having financial interest in the subject matter of insurance, UIN of the product, name, code number, contact details of the person involved in sales process;
2. Full description of the property or interest insured;
3. The location or locations of the property or interest insured under the policy and, where appropriate, with respective insured values;
4. Period of Insurance;
5. Sums insured;
6. Perils covered and not covered;
7. Any franchise or deductible applicable;
8. Premium payable and where the premium is provisional subject to adjustment, the basis of adjustment of premium be stated;
9. Policy terms, conditions and warranties, Exclusions, if any.
10. Action to be taken by the insured upon occurrence of a contingency likely to

give rise to a claim under the policy;

11. The obligations of the insured in relation to the subject matter of insurance upon occurrence of an event giving rise to a claim and the rights of the insurer in the circumstances;
12. Any special conditions attaching to the policy;
13. The grounds for cancellation of the policy which in the case of a retail policy, for the insurer, can be only on the grounds of mis - representation, non-disclosure of material facts, fraud or non co-operation of the insured

Explanation: Products approved as retail policies under File and Use guidelines notified by the Authority from time to time fall within the purview of retail policy referred above.

Provided that in the case of Commercial policies alone, other circumstances under which the policy may be cancelled be given, along with the manner of calculation of refund and notice period for cancellation.

14. The address of the insurer to which all communications in respect of the insurance contract should be sent;
15. The details of the endorsements, add-on covers attaching to the main policy;
16. That, on renewal, the benefits provided under the policy and/or terms and conditions of the policy including premium rate may be subject to change; and details of insurer's internal grievance redressal mechanism along with address and contact details of Insurance Ombudsman within whose territorial jurisdiction the branch or office of the insurer or the residential address or place of residence of the policyholder is located.
17. Every insurer shall inform the insured periodically regarding requirements to be fulfilled by the insured for lodging a claim arising in terms of the policy and the procedures to be followed by him to enable the insurer to settle a claim early.

3.4 Matters to be stated in Health Insurance

A health insurance policy shall clearly state:

1. The name of the policyholder and the names of each beneficiary covered, UIN of the product, name, code number, contact details of the person involved in sales process;
2. Date of birth of the insured and corresponding age in completed years;
3. The address of the insured;

4. The period of insurance and the date from which the policyholder has been continuously obtaining health insurance cover in India from any of the insurers without break;
5. The sums Insured;
6. The sub-limits, Proportionate Deductions and the existence of Package rates if any, with cross- reference to the concerned policy section;
7. Co-pay limits if any;
8. The pre-existing disease (PED) waiting period, if applicable;
9. Specific waiting periods as applicable;
10. Deductible as applicable - general and specific, if any;
11. Cumulative Bonus, if any;
12. Periodicity of payment of premium instalment;
 - Policy period;
 - Policy terms, conditions, exclusions, warranties;
 - Action to be taken on the occurrence of a claim for cashless and reimbursement options separately;
 - Details of TPA, if any engaged, their address, toll free number, website details;
 - Details of Grievance Redressal mechanism of insurer;
 - Free look period facility and portability conditions;
 - Policy migration facility and conditions where applicable;
 - that, on renewal, the policy could be subject to certain changes in terms and conditions including change in premium rate;
 - Provision for cancellation of the policy; and
 - Address and other contact details of Ombudsman within whose territorial jurisdiction the branch or office of the insurer or the residential address or place of residence of the policyholder is located.

3.5 General Principles Governing Issuance of General And Health Insurance Policies:

In stipulating the exclusions of the policy, insurers shall endeavour to classify the exclusions, wherever possible as under:

- Standard exclusions applicable in all policies;
- Exclusions specific to the policy which cannot be waived;
- Exclusions specific to the policy, which can be waived on payment of additional premium.

The insurers may also endeavour to broadly categorize policy conditions into following, so as to give clarity and understanding of the conditions to the policyholder:

- Conditions precedent to the contract;
- Conditions applicable during the contract;
- Conditions when a claim arises;
- Conditions for renewal of the contract.

Every insurer shall keep the insured informed on the requirements to be fulfilled regarding lodging of a claim arising in terms of the policy and the procedures to be followed by him so as to settle claim early.

Test Yourself 3

Question 3

Free look option has to be exercised within how many days?

- A. 10
 - B. 20
 - C. 15
 - D. 30
-

4. Understand grievance redressal, complaint handling and policyholders' servicing procedures

[Learning Outcome d]

4.1 Grievance redressal procedure:

Every insurer shall have in place proper procedures and effective mechanism to address complaints and grievances of policyholders efficiently and with speed. The same along-with the information in respect of Insurance Ombudsman shall be communicated to the policyholder in the policy document and as maybe found necessary.

- a) **Authority Designated by the Insurer:** In the event the policyholder is aggrieved by any of the decisions taken by the insurer in the area of settlement of claims or disputes related to deficiency of service, he / she may approach the Grievance Redressal Authority of the insurer.
- b) **Insurance Ombudsman:** The Central Government has framed rules known as “Redressal of Public Grievances Rules, 1998 and created an authority called “Insurance Ombudsman” to resolve all complaints relating to settlement of claim on the part of insurance companies. **Since amended to Insurance Ombudsman Rules 2017.**

Complaints handling procedures

For any business entity, customer constitutes the most important element. For insurance companies, policyholders are the customers.

When an insurance company issues a policy, every year's continuation of the policy brings in its share of profits to the company. As a result, longer the policy stays on the books; larger is the level of profit that will be generated for the insurance company.

Having satisfied policyholders also increases the possibility of getting repeat business from the present policyholders. They are also likely to provide referrals to the field personnel. All this increased business activity generates increased profits to the insurance company. All this depends on the insurance company being able to provide efficient service to the policyholders and its effective complaint handling procedure.

Supply of copies of proposal and medical reports

Every insurer carrying on life insurance business is under an obligation to supply to the policyholder certified copies of the questions put to him and his answers thereto contained in his proposal for insurers and in the medical report supplied in connection therewith.

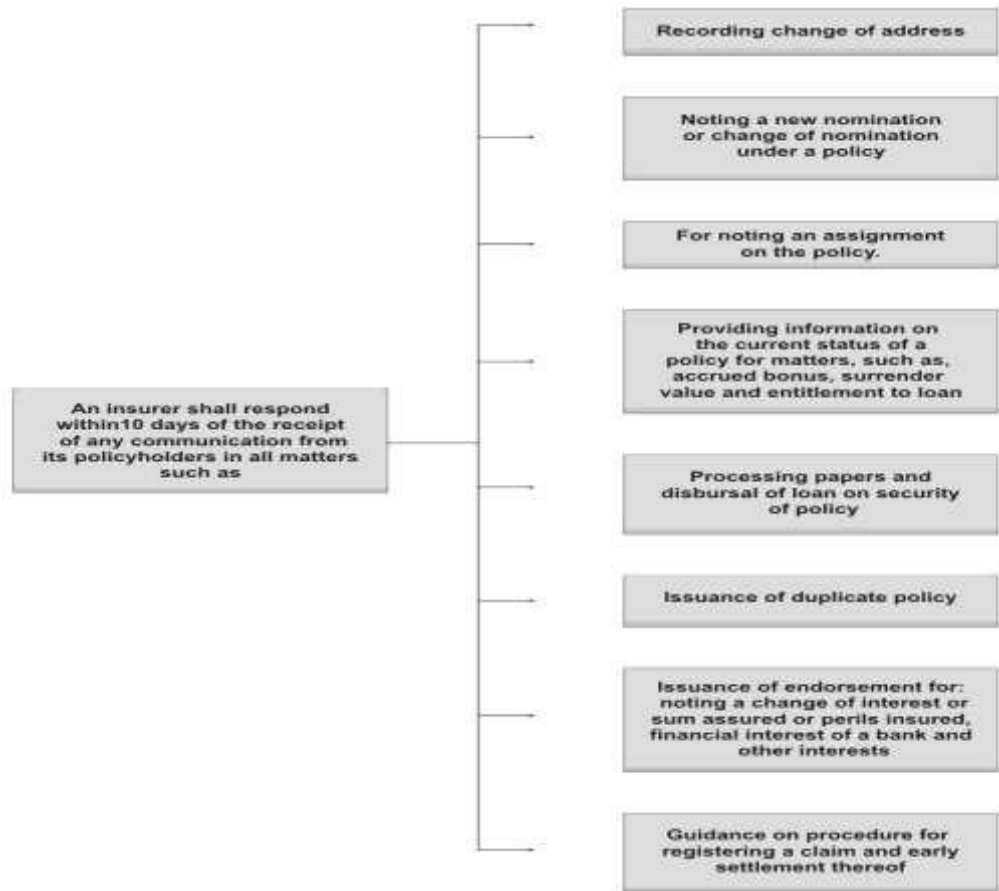
Notice to be given of the options on the lapsing of the policy

Every insurer carrying on life insurance business is required to give notice to the holder of life insurance policy before expiry of three months from the date on which the premium in respect of a policy of life insurance were payable but not paid, informing him of the options available unless these are set forth in the policy.

The notice given by the life insurer is certainly a notice given prior to the lapsing of the policy and in fact protects the interests of the policy holders. But the provisions of this section do not mentioned of this notice if the options available to the assured on the lapsing of the policy are set forth in the policy. It is suggested that even if the policy details about options, such a notice is required because life insurance policies are long term policies and in the ordinary course of business. These options are seldom noticed by the policy holder. Hence the words “unless these are set forth in a policy” may be omitted, which would make the notice requirement unconditional.

4.2 Policyholders’ Servicing :

An insurer shall at all times, respond within 10 days of the receipt of any communication from its policyholders in all matters, such as:



Test Yourself 4

Question 4

_____ was created by the Government of India for quick disposal of grievances of the insured customers

- A. Grievance Redressal Authority
 - B. Insurance Ombudsman
 - C. Insurance Council
 - D. Special Insurance Courts
-

5. Understand Claim Procedure and settlement in respect of Insurance Policies - Life, General and Health

[Learning Outcome e]

5.1 CLAIMS PROCEDURE IN RESPECT OF A LIFE INSURANCE POLICY

1. A life insurer, upon receiving a death claim, shall process the claim without delay. Any queries or requirement of additional documents, shall be raised all together and not in a piece-meal manner, within a period of 15 days of the receipt of the claim.
2. (i) A death claim under a life insurance policy shall be paid or be rejected or repudiated giving all the relevant reasons, within 30 days from the date of receipt of all relevant papers and required clarifications. However, where the circumstances of a claim warrant an investigation in the opinion of the insurer, it shall initiate the same at the earliest and complete such investigation expeditiously, in any case not later than 90 days from the date of receipt of claim intimation and the claim shall be settled within 30 days thereafter.
 - (ii) If there is delay on the part of Insurer beyond the timelines mentioned in sub regulation (i) above, the insurer shall pay interest at a rate, which is 2% above bank rate from the date of receipt of last necessary document
 - (iii) Except in the case of claims where an application is made under section 47 of the Act to the court, if a claim is ready for payment but the payment cannot be made due to any reasons of proper identification of the payee, the life insurer shall pay interest on the claim amount at the bank rate from the date on which claim is ready for payment.
 - (iv) In respect of Maturity, Survival Benefit claims and Annuities, the Life Insurer shall initiate the claim process by sending intimation sufficiently in advance or send post-dated cheque or give direct credit to the bank account of claimant through any electronic mode approved by RBI, so as to pay the claim on or before the due date. In case of any delay on the part of the Insurer in settling the claim on due date, the life insurer shall pay interest at a rate, which is 2% above bank rate from the due date of payment or date of receipt of last necessary document from the insured/claimant, whichever is later.
 - (v) In respect of free look cancellation, surrender, withdrawal, request for refund of proposal deposit, refund of outstanding proposal deposit if any, shall be processed and paid within 15 days of receipt of request or last necessary document, failing which the insurer shall pay penal interest at a rate, which is 2% above bank rate from the date of request or receipt of last necessary document if any whichever is later, from the insured/claimant.

Explanation: Administration of Health Insurance Policies issued by Life Insurers shall also be governed by Chapter IV of IRDAI (Health Insurance) Regulations, 2016.

The interest payments referred above in sub regulations (ii), (iii), (iv), (v) shall be paid by the Life Insurer *suo moto* without waiting for specific demand from the insured/claimant.

5.2 CLAIM PROCEDURE IN RESPECT OF A GENERAL INSURANCE POLICY

1. An insured or the claimant shall give notice to the insurer of any loss arising under contract of insurance at the earliest or within such extended time as may be allowed by the insurer. On receipt of such a communication, a general insurer shall respond immediately and give clear information to the insured on the procedures that he should follow. In cases where a surveyor has to be appointed for assessing a loss/claim, it shall do so immediately, in any case within 72 hours of the receipt of intimation from the insured. Insurer shall communicate the details of the appointment of surveyor, including the role, duties and responsibilities of the surveyor to the insured by letter, email or any other electronic form immediately after the appointment of the surveyor.
2. The insurer / surveyor shall within 7 days of the claim intimation, inform the insured / claimant of the essential documents and other requirements that the claimant should submit in support of the claim. Where documents are available in public domain or with a public authority, the surveyor/insurer shall obtain them.
3. The surveyor shall start the survey immediately unless there is a contingency that delays immediate survey, in any case within 48 hours of his appointment. Interim report of the physical details of the loss shall be recorded and uploaded/forwarded to the insurer within the shortest time but not later than 15 days from the date of first visit of the surveyor. A copy of the interim report shall be furnished by the insurer to the insured/claimant, if he so desires.
4. Where the insured is unable to furnish all the particulars required by the surveyor or where the surveyor does not receive the full cooperation of the insured, the insurer or the surveyor, as the case may be, shall inform in writing to the insured under information to the insurer about the consequent delay that may result in the assessment of the claim. It shall be the duty equally of the insurer and the surveyor to follow up with the insured for pending information/documents guiding the insured with regard to submissions to be made. The insurer and/or surveyor shall not call for any information/document that is not relevant for the claim.

- i. The surveyor shall, subject to sub-regulation 4 above, submit his final report to the insurer within 30 days of his appointment. A copy of the surveyor's report shall be furnished by the insurer to the insured/claimant, if he so desires. Notwithstanding anything mentioned herein, in case of claims made in respect of commercial and large risks the surveyor shall submit the final report to the insurer within 90 days of his appointment. However, such claims shall be settled by the insurer within 30 days of receipt of final survey report and/or the last relevant and necessary document as the case may be.
 - ii. Where special circumstances exist in respect of a claim either due to its special / complicated nature, or due to difficulties associated with replacement/reinstatement, the surveyor shall, seek an extension from insurer for submission of his report. In such an event, the insurer shall give the status to the insured/claimant fortnightly wherever warranted. The insurer may make provisional/ on account payment based on the admitted claim liability.
5. If an insurer, on the receipt of a survey report, finds that it is incomplete in any respect, he shall require the surveyor, under intimation to the insured/claimant; to furnish an additional report on certain specific issues as may be required by the insurer. Such a request may be made by the insurer within 15 days of the receipt of the final survey report.

Provided that the facility of calling for an additional report by the insurer shall not be resorted to more than once in the case of a claim.

6. The surveyor, on receipt of this communication, shall furnish an additional report within three weeks from the date of receipt of communication from the insurer.
7. On receipt of the final survey report or the additional survey report, as the case may be, and on receipt of all required information/documents that are relevant and necessary for the claim, an insurer shall, within a period of 30 days offer a settlement of the claim to the insured/claimant. If the insurer, for any reasons to be recorded in writing and communicated to the insured/claimant, decides to reject a claim under the policy, it shall do so within a period of 30 days from the receipt of the final survey report and/or additional information/documents or the additional survey report, as the case may be.
8. In case, the amount admitted is less than the amount claimed, then the insurer shall inform the insured/claimant in writing about the basis of settlement in particular, where the claim is rejected, the insurer shall give the reasons for the same in writing drawing reference to the specific terms and conditions of the policy document.

9. In the event the claim is not settled within 30 days as stipulated above, the insurer shall be liable to pay interest at a rate, which is 2% above the bank rate from the date of receipt of last relevant and necessary document from the insured/claimant by insurer till the date of actual payment.

5.3 CLAIM PROCEDURE IN RESPECT OF A HEALTH INSURANCE POLICY

1. Every insurer shall adhere to the procedure laid down under Insurance Regulatory and Development Authority of India (Health Insurance) Regulations, 2016 for settlement of health insurance claims.
 - An Insurer shall settle the claim within 30 days from the date of receipt of last necessary document in accordance with the provisions of Regulation 27 of IRDAI (Health Insurance) Regulations, 2016.
 - In the case of delay in the payment of a claim, the insurer shall be liable to pay interest from the date of receipt of last necessary document to the date of payment of claim at a rate 2% above the bank rate.
2. However, where the circumstances of a claim warrant an investigation in the opinion of the insurer, it shall initiate and complete such investigation at the earliest, in any case not later than 30 days from the date of receipt of last necessary document. In such cases, Insurer shall settle the claim within 45 days from the date of receipt of last necessary document.
 - In case of delay beyond stipulated 45 days the Insurer shall be liable to pay interest at a rate 2% above the bank rate from the date of receipt of last necessary document to the date of payment of claim.
3. Return of premium on cancellation during Free Look Period shall be processed in accordance with the provisions of Regulation 14 of IRDAI (Health Insurance) Regulations, 2016. Any refund shall be processed with speed and shall be refunded within 15 days from the date of receipt of request for free look cancellation.

Explanation: Health Insurance claims for the purpose of this Regulation shall be claims arising under all insurance policies issued by Life, General and Health Insurers in respect of Health Insurance Business as defined in Section 2 (6C) of the Act.

Test Yourself 5

Question 5

What is the penal interest that the insurance company has to give to the claimant in case of delay in payment of claim?

- A. 1% above the prevailing bank rate
 - B. 2% above the prevailing bank rate
 - C. 4% above the prevailing bank rate
 - D. 5% above the prevailing bank rate
-

6. Know about the key feature document

[Learning Outcome f]

IRDAI has incorporated a provision in IRDAI Regulations for Protection of Policyholders Interests, 2017 that would require insurance companies to issue Key Feature Documents for various insurance products to policyholders. The motive behind this is to ensure fair treatment to policyholders. The Key Feature Document will have the same legal sanction like the comprehensive document.

Format of Key Feature Document:

The ultimate aim of a Key Feature Document is whether or not the target customer is able to comprehend its main features and is able to take a decision as to whether the product suits him/her. It is necessary to have the Key Feature Document as a separate item and not a part of the other literature.

A Key Feature Document should have the following features:

- The proposed Key Feature Document should be developed in a clear format with an appropriate title and sub-titles that makes it easy for policyholders to understand
- The language used should be simple.
- The document should be supported by examples relating to cover / benefits offered
- The document should explicitly bring out the risks involved for the policyholder and the obligations or commitments required of him / her.
- The document should be neither too long nor should it be too short thereby missing out on important facts.
- The document should avoid jargon, should be easy to read and be attractive for the consumer to peruse.
- The title of the document should be prominent. It should be in at least 14 size font (of Times New Roman, as an indication). Key Feature Document shall be available in local languages depending on the region where the policy holder resides.

Test Yourself 6

Question 6

What should be the font size of the Key Feature Document?

- A. 16 of Arial
 - B. 12 of Times New Roman
 - C. 14 of Times New Roman
 - D. 10 of Arial
-

Summary

- Insurance Regulatory and Development Authority of India (IRDAI) has made continuous efforts requiring insurers to follow certain guidelines relating to disclosures and increase their efforts to ensure that required information is available to prospects and policyholders.
 - There are two stages of an insurance policy - pre-sale and post-sale.
 - IRDAI aims to ensure fair treatment to all the policyholders
 - There should be utmost transparency at the time of sale and promotion so that the policy holder is sure that he or she is being given complete information regarding the product
 - Forms and documents used in the grant of cover may be made available in languages recognized under the Constitution of India. The proposal form should not be complex and too long
 - A policy bond is a legal document setting out the terms and conditions of the contract.
 - The free-look period option of a life insurance plan allows the customer to cancel the policy within 15 days of receipt of policy documents if he is not comfortable with its terms and conditions
 - Insurance Ombudsman was created by the Government of India for quick disposal of grievances of the insured customers and to mitigate their problems involved in redressal of those grievances
 - Every insurer carrying on life insurance business is required to give notice to the holder of life insurance policy informing him of the options available on lapsing of a policy, unless these are set forth in the policy
 - A life insurance company is required to settle or dispute the claim within 30 days from the date of receipt of the last requirement from the claimant.
 - The motive behind the Key Feature Document is to ensure fair treatment to policyholders.
-

KEY FEATURE DOCUMENT (SAMPLE FORMAT)

Name of the Product: Name of Life Insurance Company:

KEY FEATURES

IMPORTANT INFORMATION

IT IS IMPORTANT TO UNDERSTAND WHAT YOU ARE BUYING. PLEASE READ THIS DOCUMENT CAREFULLY. IF YOU HAVE ANY QUESTIONS, PLEASE CONTACT XYZ LIFE INSURANCE COMPANY CO.

1	Aim of policy	Combination of Endowment Assurance and Whole Life. Protection against death throughout lifetime. In case of survival , a lump sum consisting of Sum Assured plus vested bonus at the end of the selected term (Maturity date) shall be paid.
2	Type of policy	With-profit plan. Share of profit is in the form of bonuses. Ask for further details regarding computation of bonus
3	On whom policy can be taken	Only self
4	Eligibility conditions	Minimum Age: 18 years Maximum entry age: 57 years Maximum maturity age: 75 years
5	Proof of age	In case age is found to be higher than the actual age, the rights and remedies would get affected.
6	Premium payment mode	Premiums are payable yearly, half-yearly, quarterly, monthly or through salary deductions as opted for throughout the selected term of the policy or till death, if earlier.
7	Grace period	Grace period of one month but not less than 30 days for yearly, half-yearly or quarterly premiums and 15 days for monthly premiums.
8	Policy term	Whole life policy with option of term for survival benefit on maturity.
9	Sum Assured	Minimum Sum Assured: Rs. 1 lac
10	Policy flexibility	No flexibility except addition of Critical Illness rider after commencement of policy. Ask for further details.

11	Policy surrender	Policy can be surrendered for cash after premiums have been paid for at least three years. Minimum surrender value guaranteed: 30% of total amount of the premiums paid excluding premiums for the first year and all extra premiums and additional premiums for Accident Benefit. Cash value of any existing vested Bonus will be allowed. In case of early termination of the policy, the surrender value payable may be less than the total premium paid.
12	Benefits not payable	Suicide on any date before the expiry of one year from the date of the policy.
13	Policy lapsation	If after three full years of premium payment, subsequent premiums are not paid, policy shall not be wholly void but the Sum Assured shall be reduced (paid up value) and the policy shall not participate in future profits. Ask for details of computation of paid-up value.
14	Policy forfeiture	Where premiums are not duly paid or in case any condition is contravened or it is found that any untrue or incorrect statement is contained in the proposal, personal statement or declaration and connected documents or any material information is withheld, , the policy shall be void
15	Policy revival	If policy has lapsed, it may be revived during the life time of the Life Assured, but before the end of the premium paying term and within a period of 5 years from the due date of the first unpaid premium on submission of proof of continued insurability. XYZ Life insurance company reserves the right to accept or decline the revival of policy.
16	Free-look provision and amount refundable	If you are not satisfied with the terms and conditions of the policy, you may return the policy within 15 days from the date of receipt of the policy document. Premium refundable would be subject to a deduction of a proportionate risk premium for the period on cover and the expenses towards medical examination and stamp duty charges.

17	Loans	Loans are granted where paid-up value is accumulated. Ask for full details regarding the terms and conditions.
18	Assignments and Nominations	Notice should be submitted for registration in the policy servicing office.
19	Benefits	Benefits in case of death during the selected term: Benefits in case of survival to the end of selected term: Accident Benefit: Supplementary/Extra Benefits: The Sum Assured along with the vested bonuses is payable on death in a lump sum. The Sum Assured along with the vested bonuses is payable in a lump sum on survival to the end of the term. An additional Sum Assured is payable on death thereafter. An additional Sum Assured (subject to a limit of Rs.5 lakh) is payable in a lump sum on death due to accident up to age 70 of life assured. In case of permanent disability of the life assured due to accident this additional Sum assured is payable in installments. These are the optional benefits that can be added to your basic plan for extra protection/option such as Critical Illness rider. Additional premium is required to be paid for these benefits. Ask for further details.
20	Agent	Name of agent: Contact details: Your agent is subject to the Code of Conduct laid down by the Insurance Regulatory and Development Authority of India under IRDAI regulations for agents.
21	Complaints	In case you want to complain, please approach XYZ Life Insurance company office (name of officer and contact details)
22	Escalation of complaints	In case your complaint is not resolved by the insurance company or you are not satisfied with the resolution, you may approach (i). Insurance Ombudsman who is available in 12 cities in India. For further details you may visit www.gbic.co.in or www.irdaindia.org . (ii). IRDAI 's Consumer Affairs department- e-mail: lifecomplaints@irda.gov.in

23	Benefit Illustration	Age at entry: _____ Sum Assured: _____ Premium Paying term: _____						
		Mode of premium payment: _____						
		Annual Premium: _____						
		End of year	Total premiums paid till end of year	Benefit payable on death / maturity at the end of year		Expenses		
		Guaranteed *		Variable	Total	Commission	All other expenses	TOTAL
				Scenario 1 (6% rate of return)	Scenario 2 (10% rate of return)	Scenario 1	Scenario 2	
				1				
				2				
				3				
				5				
				7				
				10				
				15				
				25				
<i>* In addition to the benefits given in the column, an Accident Benefit of Rs. 1,00,000 /- will also be available without payment of extra premium in case of death/disability due to accident ** Benefit payable on death after the selected term. If the death occurs due to accident up to age 70 an additional Rs. 1,00,000/- will also be paid.</i>								
<i>The main objective of the illustration is that the client is able to appreciate the features of the product and the flow of benefits in different circumstances with some level of quantification. Future bonus will depend on future profits and as such is not guaranteed. However, once bonus is declared in any year and added to the policy, the bonus so added is guaranteed.</i>								

Answers to Test Yourself

Answer to TY 1

The correct answer is B

The temporary insurance certificate issued to the customer before issuing the insurance policy known as cover note.

Answer to TY 2

The correct answer is A

A proposal should be processed by the insurer within 15 days

Answer to TY 3

The correct answer is C

Free look option has to be exercised within 15 days.

Answer to TY 4

The correct answer is B

Insurance Ombudsman was created by the Government of India for quick disposal of grievances of the insured customers

Answer to TY 5

The correct answer is B

The penal interest that the insurance company has to give to the claimant in case of delay in payment of claim is 2% above the prevailing bank rate

Answer to TY 6

The correct answer is C

The font size of key feature Document should be 14 size of Times New Roman.

Self-Examination Questions

Question 1

Which of the following fall in the pre-sale stage of the insurance policy?

- A. Issuance of policy bond
- B. Proposal of insurance
- C. Claim settlement
- D. None of the above

Question 2

What is the ceiling limit for the premium for all riders put together?

- A. 30% of the premium of the basic product
- B. 15% of the premium of the basic product
- C. 10% of the premium of the basic product
- D. None of the above

Question 3

_____ is a legal document setting out the terms and conditions of the contract.

- A. Proposal form
- B. Prospectus
- C. Cover Note
- D. Policy Bond

Question 4

Which rules have been framed by the Central Government in 1988 to resolve all complaints related to settlement of complaints?

- A. Redressal of Public Grievances Rules
- B. Insurance Council
- C. Policyholders' servicing
- D. None of the above

Question 5

Who should be appointed for assessing the loss / claim?

- A. Insurer
- B. Surveyor
- C. Insured
- D. None of the above

Answers to Self Examination Questions

Answer to SEQ 1

The correct answer is B

Proposal for insurance falls in the pre-sale stage of insurance.

Answer to SEQ 2

The correct answer is A

The ceiling limit of all riders put together is 30% of the premium of the basic product.

Answer to SEQ 3

The correct answer is D.

Policy Bond is a legal document, setting out the terms and conditions of contract

Answer to SEQ 4

The correct answer is A

The Central Government has framed rules known as Redressal of Public Grievances Rules in 1988 to resolve all complaints related to settlement of claims.

Answer to SEQ 5

The correct answer is B

A surveyor should be appointed to assess the loss / claim.

ANNEXURES TO REGULATIONS

List of Annexures

- i. Annexure I - Model Citizens Charter for Insurer**
- ii. Annexure II - Guidelines on Grievance Redressal Framework**
- iii. Annexure III - Complaint Handling Procedure**
- iv. Annexure IV - Enforcement of Rights of policyholders**
- v. Annexure V - Corporate Governance Guidelines for Policyholder Protection**

ANNEXURE - I

MODEL CITIZENS' CHARTER FOR INSURER

Preamble

- 1.1. Citizen's Charter of an insurer is a document, which represents the commitment of the insurer towards its clients in respects of Standard of Services, Information, Choice and Consultation, Non-discrimination and Accessibility, Grievance Redress, Courtesy and Value for Money. This also includes expectations of the insurer from the Citizen for fulfilling the commitment of the insurer.
- 1.2. The twin objectives of the Citizens Charter are:
 - (a) To empower consumers with information about standards of service, time limits that the consumers can reasonably expect, value added services and avenues of grievance redress
 - (b) To provide insurers with an opportunity of coming out with a statement of quality/best practices in the form of Charter to differentiate themselves from their competitors and also help them in measuring quality improvements at regular intervals.
- 1.3. The Citizen's Charter shall provide for the following matters, namely:
 - a) the details of all the services rendered by the insurer, the name of person or agency through which such services are rendered and timings during which such services are supplied or services rendered;
 - b) the conditions under which a person becomes entitled for services, and the class of persons who are entitled to avail services;
 - c) the quantitative and tangible parameters of the services available to the public;
 - d) complaint redressal mechanism including the time within which the complaint be disposed of and the officer of the insurer to whom such complaint may be made;
 - e) the name and addresses of individuals responsible for the rendering of services mentioned in (a) above;
 - f) any other functions, obligations, responsibilities or duties required or reasonably expected of the insurer;
 - g) any other information relevant to delivery of provision of services or such other information as may be prescribed.
- 1.4. Model Citizen's Charter for Life Insurers is enclosed hereinafter and the Citizen's Charter for General and Health Insurance is enclosed as **Part II**. The list is indicative and not exhaustive. **The time indicated by the insurer for services should not be greater than the time as prescribed in the Regulations.**

1.5. Information and Facilitation Centers:

- a) The charter shall be widely publicized by conducting awareness campaigns through print media, posters, banners, leaflets, handbills, brochures, local newspapers and most importantly, electronic media.
- b) For efficient and effective delivery of information and service to consumers, insurers may establish Information and Facilitation Centre, which may include establishment of Client Care Centre, call center, help desk and people's support centre

1.6. Website

Every insurer shall have a comprehensive website which contains information about services offered, FAQs, facilities for enquiry, lodging of complaints, etc. in addition to the information mandated to be disclosed as per any law or regulation in force.

Citizens' Charter enshrines the trust between the insurance service provider and the end users with the primary objective of empowering clients in relation to insurance service delivery.

PART-I

MODEL CITIZENS CHARTER - LIFE INSURANCE

Basic Service Standards

SR No	Policy Stage	SERVICE	DESCRIPTION OF ITEM OF SERVICE	Company Turnaround Time
1	New Business		Acknowledgement of Proposal Form and all documents papers	
			Processing of Insurance Proposal and communication of decision on the proposal including	
	Proposal Processing.		▫ Requirements for consideration of the proposal	
			▫ Non-acceptance of proposal	
		Insurance (Individual Life)	Issuance of policy	
			Final Decision on completion of proposal where the Insurer had called for requirements.	
			Refund of Proposal deposit etc. if any	
			Sharing a copy of proposal form (from date of acceptance of proposal)	
		Insurance (Group plans)	Collection of proposal paper, etc.	
			Issuance of Policy	
		Insurance (Micro- Individual Life)	Conveying acceptance on receipt of all papers	
			Issuance of Policy	
		Insurance (Micro-Group Plan)	Collection of proposal paper, etc.	
			Issuance of Policy.	

2	Post Policy Service Request	Post Policy Service Requests concerning mistakes / corrections in the Policy document	
		Obtaining copy of the Proposal, Medical documents, declarations, supporting documents etc.	
3	Free-Look Cancellation	Free Look Cancellation & Refund from the date of receipt of request	
4	Issues pertaining to Mis-selling of Insurance	Redressal action by the Insurer	
5		Change of Address (KYC Norms to be complied)	
	Policy Servicing	Registration /Change of Nomination, Assignment.	
		Alteration in ORIGINAL POLICY CONDITIONS (where applicable)	
	(For Individual / Group / Micro / Health policies of Life Insurers)	Policy loan.	
		Surrender of Policy	
	TAT from date of receipt of request for the service specified	Confirmation of action on Unit Linked Insurance Policy (ULIP) related requests - Switch, Top-up, and other NAV related Services.	
		Decision on Policy Revival after receipt of all requirements.	
		Issue of Premium Payment Certificates (PPC)	
		Issue of Duplicate Policy	

6	Claim Services	Settlement of Maturity Claims	
		Settlement of Survival Benefits (or from the date of receipt of discharge)	
		Death claims settlements - No requirement cases -	
		Death claims - calling for additional requirements (from date of making claim)	
		Death Claim cases - Requirement cases Settling death claims after receipt of all documents - decision and payment	
		Early death claims requiring investigations - decision & payment	
		Annuity payments / Pension Payment (on due date or from the date of receipt of discharge)	
		Health Insurance Claims after receipt of all documents	
7	System generated action and Intimation	Premium Due Intimation	
		Policy Premium Default intimation	
		Policy Lapse information	
		Policy payments information (Survival benefit)	
		Policy payments information (Maturity)	
		Change in Policy conditions such as	
		i. Inclusion of Accident Benefit	
		ii. Withdrawal of Accident Benefit	
		iii. Other Changes as per Policy Conditions	
8	Complaints	Acknowledgement of complaint	
		Action on Complaint &	
		Intimation of Decision to the complainant	
		Closure of IGMS entry after resolution of complaint	
9	General	Response to any communication received from prospect / Client on any General matter	

PART-II

MODEL CITIZENS CHARTER (GENERAL INSURANCE)

Basic Service Standards

SR. No	Policy Stage	DESCRIPTION OF ITEM OF SERVICE	Company Turnaround Time
1	AT THE TIME OF SALE.	Processing of Proposal and communicating the acceptance/rejection	
		Sharing the copy of proposal form	
		Issuance of premium receipt	
2	POST SALE	Issuance of Policy Document	
		Issuance of duplicate policy on request	
		Endorsement: -	
		a) Increase/Decrease in sum Insured	
		b) Change of Location of risk	
		c) Change of Address	
		d) Change of Nominee	
		e) Correction of errors in the policy	
		f) Inclusion and deletion of financial interest	
		g) Inclusion of new members in case of Group policies	
		h) Any other non-claim related changes	
		Cancellation Policy and refund of Premium	
3	CLAIMS	Appointment of Surveyors	
		Issuance of Claim form	
		<u>Surveyors report</u> after appointment	

		Addendum Survey Report sought by the Insurer	
		Submission of final report after receiving Insurer's request	
		Communicating acceptance or rejection of the claim	
		Offer for settlement after receipt of the addendum report- Incase Where Investigation is not required	
		a) Personal line and retail insurance claims	
		b) Commercial line insurance claims	
		Offer for settlement where the claim requires investigation after receipt of addendum Survey Report	
		Payment of Claim on acceptance by the Insured	
4	Complaints	Action on Complaint & Intimation of Decision to the complainant	
		Closure of IGMS entry after resolution of complaint	
5	General	Response to any communication received from prospect / Client on any General matter	

PART-III

MODEL CITIZENS CHARTER (HEALTH INSURANCE)

Basic Service Standards

Sr.No	Policy Stage	DESCRIPTION OF ITEM OF SERVICE	Company Turnaround Time
1	AT THE TIME OF SALE.	Processing of Proposal and communicating the acceptance/rejection	
		In general cases where medical examination to be done and certificates are to be produced	
		Sharing a Proposal form copy	
		Issuance of premium receipt	
2	POST SALE	Issuance of Policy Document	
		Free look cancellations and refund of deposit from the date of receipt of the request	
		Issuance of duplicate policy on request	
		Endorsement: -	
		a) For inclusion/deletion in Group Policies	
		b) Cancellation and refund	
		c) Correction of errors	
		d) Change of Nominee	
		e) Correction of errors in the policy	
		f) Inclusion of new members in case of Group policies	
		g) Any other non-claim related changes	

		Uploading of proposal and policy documents in TPA system	
		Issuance of ID cards by TPA /Company after the uploading of documents	
3	CLAIMS	Acceptance of cashless claims by TPA /company to Hospital and communicate to them	
		Communicate of acceptance /rejection of claim	
		TPA's offer of settlement to the Insurer / Hospital after submission of document	
		Payment of Claims on acceptance by the insured by discharging voucher	
		Offer for settlement where the claim requires investigation after receipt of addendum Survey Report	
		Payment of Claim on acceptance by the Insured	
4	Complaints	Action on Complaint & Intimation of Decision to the complainant	
		Closure of IGMS entry after resolution of complaint	
5	General	Response to any communication received from prospect / Client on any General matter	

ANNEXURE - II

GUIDELINES ON GRIEVANCE REDRESSAL FRAMEWORK

1 Grievance Officer/s and Nodal Officer

- 1.1 Every insurer shall have a designated Grievance Redressal Officer (GRO) of a Senior Management level at the corporate level. Senior Management would mean either the CEO or the Compliance Officer of the company. This Officer shall coordinate with IRDA in respect of grievances and policy holder protection.
- 1.2 Every Regional Office / Divisional Office / Branch office of the insurer shall have a designated Grievance Officer for that office.
- 1.3 Every insurer shall also name an officer as a Nodal Officer for each Office of the insurance Ombudsman to coordinate with the Office of Insurance Ombudsman, furnish information and also represent the insurer in hearings before the Ombudsman. A Grievance Officer can also be designated as a Nodal Officer.
- 1.4 The details of the GRO, Grievance Officers and Nodal Officers, along with the contact details, in full shall be published in the website of the insurer.

2 Grievance Redressal System/Procedure

- 2.1 Every insurer shall have a system and a procedure for receiving, registering and disposing of grievances in each of its offices. The compliant handling procedure on receipt, acknowledgement, resolution, disposal etc. is indicated in Annexure IV. This and all other relevant details along with details of Turnaround Times (TATs) shall be clearly laid down in the Grievance Redressal Policy. While insurers may lay down their own TATs, they shall ensure that the minimum time frames prescribed in the citizen's charters at Annexure I and Annexure II to these Regulations are not exceeded.
- 2.2 Any failure on the part of insurers to follow the procedures and time-frames prescribed in the citizen's charters in Annexure I and Annexure II would attract action including penalties by the Insurance Regulatory and Development Authority.

(a) Categorisation of complaints

- (i) Categorisation of complaints as prescribed by the IRDA from time to time shall be adopted by insurers and incorporated in their systems.

- (ii) All insurers shall provide for the classification categories as prescribed by IRDA in their respective systems.

(b) Minimum software requirements

- (i) It is necessary for insurers to have automated systems that will enable online registration, tracking of status of grievances by complainants and periodical reports as prescribed by IRDA.
- (ii) The system should also be one which can integrate seamlessly with the IRDA's system in the manner prescribed by IRDA. IRDA shall define these requirements from time to time and insurers shall ensure that they provide for such software/system modifications as may be required.
- (iii) The objective is to create the required industry level database and systems that would enable speedy and effective redressal of complaints and monitor grievance redressal systems.
- (iv) The system would also facilitate analysis of complaints, mitigation and improvement of processes and systems through constant review.

(c) Calls relating to grievances

Insurers shall also have in place a system to receive and deal with all kinds of calls including voice/e-mail, relating to grievances, from prospects and policyholders. The system should enable and facilitate the required interfacing with IRDA's system of handling calls/e-mails.

(d) Publicizing Grievance Redressal Procedure

Every insurer shall publicize its grievance redressal procedure and ensure that it is specifically made available on its website.

ANNEXURE - III

COMPLAINT HANDLING PROCEDURE

(a) Making an Insurance Complaint or Grievance:

A complaint or a grievance can be filed by a consumer or on behalf of such person.

(b) Complaint resolution by the respondents:

The respondents should aim to resolve complaints at the earliest possible opportunity and shortest possible time complying with the following aspects.

- (i) Registration of complaint;
- (ii) Action on receipt of complaint
- (iii) Complaint Forwarding;
- (iv) Acknowledgement of complaint;
- (v) Assessment of complaint;
- (vi) Resolution of the complaint and its quality; and
- (vii) Closure of complaint.

(c) Registration of complaint:

- (i) A complaint received on a 'business day / working day' shall be treated as complaint received on the 'business day / working day' and registered with the 'date of receipt' accordingly.
- (ii) A complaint received on any day other than a 'business / working day', or after close of business on a business day, may be treated as received on the next business day / working day and registered with the 'date of receipt' accordingly
- (iii) Every complaint other than a request or an inquiry shall be registered as a complaint irrespective of the time taken for resolution.

(d) Action on receipt of Complaint:

Once a complaint is received from a complainant, the respondent should:

- (i) Investigate the complaint comprehensively, diligently and impartially and if felt necessary, by obtaining additional information;
- (ii) Examine fairly, consistently and promptly:
 - The subject matter of the complaint;
 - The remedial action or redress or both sought by the complainant;
 - Whether the respondents in the complaint are solely or jointly responsible for the matter alleged in the complaint, and if so act

accordingly;

(e) Complaint Forwarding:

- a) Where the complaint does not pertain to the respondent receiving it but to another respondent, he should forward the complaint in its entirety to the other respondent and advise the complainant in writing.
- b) In cases where other respondents mentioned in the complaint may be solely or jointly responsible for the issues alleged in a complaint, the main respondent to whom the complaint is addressed shall forward the complaint or the relevant part of the complaint, in writing, to that other respondent, provided the following conditions are fulfilled:
 - i. The respondent should forward the complaint to the other respondent(s) promptly, and in no case later than three days from the receipt of the complaint;
 - ii. The respondent should comply with its own obligations in respect of that part of the complaint it has not forwarded.
- c) A respondent, who is in receipt of a complaint that has been forwarded to it, should treat the complaint received as if it was made directly to that respondent.

(f) Acknowledgement of complaint:

On receipt of a complaint, a respondent must do the following:

- i. Send the complainant a prompt written acknowledgement at the earliest stating therein that the complaint has been received and is being dealt with.
- ii. Inform the name, designation and contact details of the officer who will deal with the complaint.
- iii. Indicate the grievance redressal procedure and the time taken for resolution of complaint.
- iv. Where the respondent resolves the complaint within 3 days, the respondent may communicate the resolution along with the acknowledgement.
- v. Where the complaint is not resolved within 3 working days, the respondent shall resolve the complaint within fifteen days of its receipt and send a final letter of resolution.

(g) Assessment of complaint:

General factors that may be relevant in the assessment of a complaint and arriving at a resolution are as follows:

- i. The details of the complaint
- ii. Relevant details / enclosures / attachments sent with the complaint or called for additionally to substantiate the complaint
- iii. Relevant Terms and conditions of product, service rules and conditions;
- iv. Similarities with complaints received by the respondent and other respondents on the same subject, if any;
- v. Relevant Insurance Laws, Rules, Regulations, Guidelines or instructions issued from time to time as applicable to the complaint;
- vi. Previous decisions by the Courts / Ombudsman in similar matters

(h) Resolution of complaint and its quality:

- i. Based on the assessment of the complaint as indicated above, the respondent may decide any of the following courses of action in respect of the complaint:
 - Accepts the deficiency brought out in the complaint and offers redressal or remedial action sought in the complaint; or
 - Offers partial redressal or remedial action without accepting the deficiency; or
 - Rejects the complaint with reasons
- ii. Where the respondent accepts the deficiency in full or offers redressal or remedial action, it should
 - give a detailed written response indicating in a way that is fair, clear and not misleading,
 - It's assessment of the complaint,
 - It's decision on the complaint with reasons, and
 - The offer of remedial action or redress.
 - comply promptly with the offer of remedial action or redress accepted by the complainant

- iii. Where the respondent rejects the complaint, it should do so in writing explaining the reasons for rejection of the complaint which shall include
 - The relevant policy conditions / procedures / insurance laws / regulations, explaining reasons as to why the respondent is not in a position to accept the complaint;
 - Intimation to the complainant that if the response is not satisfactory, the complaint may refer the complaint to the Insurance Ombudsman within one year of the receipt of letter from the respondent; and enclose a copy of the Insurance Ombudsman details.
 - Where the ground of complaint does not fall within the purview of Ombudsmen, the respondent may advise accordingly.
- iv. The respondent shall ensure that the complaint is resolved **within fifteen days** of the receipt of the complaint.
- v. Where the complainant does not furnish the particulars required by the respondent or where the respondent does not receive the full cooperation of the complainant, the respondent shall inform the complainant in writing about the delay that may result in the resolution of the complaint.
- vi. Where the complaint has been forwarded to other respondent(s), the respondent should inform the complainant in a final response as to why the complaint has been forwarded by it to the other respondent(s) along with the other respondent's contact details
- vii. The respondent should ensure consistency of resolution for similar complaints.
- viii. The respondent should bring improvements in their systems so as avoid such complaints in future.

(i) Closure of complaint:

A complaint shall be considered as disposed of and closed when

- (a) The respondent has acceded to the request of the complainant fully and communicated the same to the complainant.
- (b) Where the complainant has indicated in writing, acceptance of the resolution offered by the respondent.
- (c) Where the complainant has not responded to the respondent within 8 weeks of the respondent's written response.
- (d) Where the Grievance Redressal Officer of the respondent has certified

that the respondent has discharged its contractual, statutory and regulatory obligations and therefore closes the complaint.

(j) Maintenance of Records regarding Complaints:

- a) A respondent must preserve the record of each complaint received including the details of the resolution of the complaint, for at least three years from the date the complaint was received.
- b) The records of the complaints received and disposed by the respondent and the measures taken for resolution of complaints may be used by the regulator in the analysis of Complaint Management Information and Systems of the Insurer.

(k) Reporting of Complaints:

- i. An Insurer must provide to IRDA a complete report of complaints received and the disposal of the complaints in the formats prescribed and within the time limits stipulated therein.
- ii. In respect of forwarded complaints, the insurer must mention clearly in its report whether
 - The insurer forwarded the complaint in its entirety to another respondent in terms of provisions of complaint forwarding or
 - The insurer forwarded only part of the complaint to the other respondent / respondents and has responded to the complainant on the part relevant to the Insurer.
- iii. The formats of Reports to be submitted to IRDA, the periodicity of their submission and due date by which the Reports should be submitted shall be prescribed by IRDA from time to time.

ANNEXURE - IV

ENFORCEMENT OF RIGHTS OF CONSUMERS

For the purposes of this Annexure, “**insurance service provider**” means Insurers, insurance agents and insurance intermediaries and “**insurance advisor**” means an insurance service provider or its authorized representative who is eligible to solicit insurance under the extant regulatory framework.

The insurance service providers and Insurance advisors shall secure the following Rights to Consumers:

(a) Right to Professional Diligence

- i. “Professional diligence” means the standard of skill and care that an insurance service provider would be reasonably expected to exercise towards a consumer, commensurate with:
 - Honest market practice;
 - The principle of good faith;
 - The level of knowledge, experience and expertise of the consumer;
 - The nature and degree of risk embodied in the insurance product or service being availed by the consumer; and
 - The extent of dependence of the consumer on the insurance service provider
- ii. Every insurance service provider shall ensure that any interaction that they have with consumers shall be carried out in good faith and in line with honest market practices. Every insurance service provider shall exercise professional diligence as explained above in their dealing with prospects and policyholders.

(b) Right To Protection Against Unfair Contract Terms

- i. A contract term which is not contained in the insurance product documents approved by IRDA under the File and Use Guidelines relevant to the insurance product issued by IRDA from time to time shall be deemed to be an ‘unfair term’. Such an unfair term is void ab initio.
- ii. Subject to (a) above, an unfair term in a non-negotiated insurance contract will be void.
- iii. A term is unfair if it
 - causes a significant imbalance in the rights and obligations of the parties under the insurance contract, to the detriment of the consumer; and

- is not reasonably necessary to protect the legitimate interests of the insurance service provider.
- iv. The factors to be taken into account while determining whether a term is unfair include
- the nature of the insurance product or service dealt with under the insurance contract;
 - the extent of transparency of the term;
 - the extent to which the term allows a consumer to compare it with other contracts for similar products or services; and
 - the contract as a whole and the terms of any other contract on which it is dependent.
- v. IRDA, from time to time, would give illustrative list of terms which are considered unfair.
- vi. A term is transparent if it
- is expressed in reasonably plain language that is likely to be understood by the consumer;
 - is legible and presented clearly; and
 - is readily available to the consumer affected by the term
- vii. A non-negotiated contract means a contract whose terms are not negotiated between the parties to the contract and includes
- A contract in which, relative to the consumer, the insurance service provider has a substantially greater bargaining power in determining the terms of the contract; and
 - A standard form contract. i.e. a contract that is substantially non-negotiable for the consumer, except for the terms contained in item h below
- viii. Even if some terms of an insurance contract are negotiated in form, the insurance contract may be regarded as non-negotiated contract if so indicated by:
- An overall and substantial assessment of the contract and
 - The substantial circumstances surrounding the contract

- ix. In a claim that an insurance contract is a non-negotiated contract, the onus of demonstrating otherwise shall be on the insurance service provider.
- x. If a term of contract is determined to be unfair, the parties will continue to be bound by the remaining terms of the insurance contract to the extent that the insurance contract is capable of enforcement without the unfair term.
- xi. The protection against unfair contract terms contained above **does not apply** to a term of an insurance contract if it:
 - defines the subject matter of the contract;
 - sets the price that is paid, or payable, for the provision of the insurance product or service under the contract and has been clearly disclosed to the consumer

Provided the term does not deal with payment of an amount which is contingent on the occurrence or non-occurrence of any particular event; or

 - is required, or expressly permitted, under any law or regulations

(c) Right to Protection Against Unfair Market Conduct

- i. Unfair conduct in relation to insurance product or service is prohibited.
- ii. Unfair conduct means an act or omission by an insurance service provider or its financial representative that significantly impairs, or is likely to significantly impair, the ability of a consumer to make an informed transactional decision and includes
 - Misleading conduct;
 - Abusive conduct; and
 - Such other conduct as may be specified.
- iii. **Misleading conduct:** Conduct of an insurance service provider or its financial representative in relation to a determinative factor is misleading if it is likely to cause the consumer to take a transactional decision that the consumer would not have taken otherwise, and the conduct involves
 - Providing the consumer with inaccurate information or information that the insurance service provider or financial representative does not believe to be true; or
 - Providing accurate information to the consumer in a manner that it is deceptive. **Explanation:** In determining whether a conduct is

misleading, the following factors must be considered to be "determinative factors":

- (a) the main characteristics of the insurance product or service, including its features, benefits and risks to the consumer;
 - (b) the consumer's need for a particular insurance product or service or its suitability for the consumer;
 - (c) the consideration to be paid for the insurance product or service or the manner in which the consideration is calculated;
 - (d) the existence, exclusion or effect of any term in an insurance contract, which is material term in the context of that financial contract;
 - (e) the nature, attributes and rights of the insurance service provider, including its identity regulatory status and affiliations; and
 - (f) the rights of the consumer under any law or regulations.
- iv. **Abusive conduct:** Conduct of an insurance service provider or its financial representative in relation to an insurance product or service is abusive if it:
- involves the use of coercion or undue influence; and
 - causes or is likely to cause the consumer to take a transactional decision that the consumer would not have taken otherwise.

Explanation:

In determining whether a conduct uses coercion or undue influence, the following must be considered:

- the timing, location, nature or persistence of the conduct;
- the use of threatening or abusive language or behaviour;
- the exploitation of any particular misfortune or circumstance of the consumer, of which the insurance service provider is aware, to influence the consumer's decision with regard to the insurance product or service;
- any non-contractual barriers imposed by the insurance service provider where the consumer wishes to exercise rights under a contract; and

- a threat to take any action, depending on the circumstances in which the threat is made.
- v. Protection From Conflict of Interest of Advisors: To ensure that the interests of consumers take precedence over that of financial service provider

(d) Right to Protection of Personal Information

- i. 'Personal information' means any information that relates to a consumer or allows a consumer's identity to be inferred, directly or indirectly, and includes:
 - name and contact information;
 - biometric information, in case of individuals;
 - information relating to transactions in or holdings of financial products
 - information relating to use of insurance products and services
 - such other information as may be specified like information relating to personal health, income, assets etc.
- ii. An insurance service provider must:
 - not collect personal information relating to a consumer in excess of what is required for the provision of a insurance product or service;
 - maintain the confidentiality of personal information relating to consumers and not disclose it to a third party, except in a manner expressly permitted herein.
 - make best efforts to ensure that any personal information relating to a consumer that it holds is accurate, up to date and complete;
 - ensure that consumers can obtain reasonable access to their personal information, subject to any exceptions that may be specified by IRDA; and
 - allow consumers an effective opportunity to seek modifications to their personal information to ensure that the personal information held by the insurance service provider is accurate, up to date and complete.
- iii. An insurance service provider may disclose personal information relating to a consumer to a third party only if:

- it has obtained prior written informed consent of the consumer for the disclosure, after giving the consumer an effective opportunity to refuse consent;
 - the consumer has directed the disclosure to be made;
 - the disclosure is directly related to the provision of the insurance product or service to the consumer, if the insurance service provider
 - informs the consumer in advance that the personal information may be shared with a third party; and
 - makes arrangements to ensure that the third party maintains the confidentiality of the personal information in the same manner as required herein;
 - the disclosure is made to protect against or prevent actual or potential fraud, unauthorised transactions or claims, if the insurance service provider arranges with the third party to maintain the confidentiality of the personal information in the manner required herein;
 - IRDA has approved or ordered the disclosure, and unless prohibited by the relevant law or regulations, the consumer is given an opportunity to represent under such law or regulations against such disclosure; or
 - the disclosure is required under any law or regulations, and unless prohibited by such law or regulations, the consumer is given an opportunity to represent under such law or regulations against such disclosure;
- iv. For the purposes of this provision, "third party" means any person other than the concerned insurance service provider, including a person belonging to the same group as the insurance service provider.

(e) Right to Requirement of Fair Disclosure

- i. An insurance service provider must ensure fair disclosure of information that is likely to be required by a consumer to make an informed transactional decision.
- ii. In order to constitute fair disclosure, the information must be provided:
 - sufficiently before the consumer enters into an insurance contract, so as to allow the consumer reasonable time to understand the information;
 - in writing and in a manner that is likely to be understood by a consumer belonging to a particular category; and
 - in a manner that enables the consumer to make reasonable comparison of the insurance product or service with other similar products or services.
- iii. IRDA may specify the types of information that must be disclosed to a consumer in relation to an insurance product or service, which may

include information regarding:

- Main characteristics of the product or service, including its features, benefits and risks to the consumer;
- Consideration to be paid for the product or service or the manner in which the consideration is calculated;
- Existence, exclusion or effect of any term in the insurance product or financial contract;
- Nature, attributes and rights of the insurance service provider, including its identity regulatory status and affiliations;
- Contact details of the insurance service provider and the methods of communication to be used between the insurance service provider and the consumer;
- Rights of the consumer to rescind an insurance contract within a specified period; or
- Rights of the consumer under any law or regulations.

iv. An insurance service provider must provide a consumer who is availing an insurance product or service provided by it, with the following continuing disclosures:

- Any material change to the information that was required to be disclosed at the time when the consumer initially availed the insurance product or service;
- Information relating to the status or performance of an insurance product held by the consumer, as may be required to assess the rights or interests in the insurance product or service; and
- Any other information that may be specified.

v. A continuing disclosure must be made:

- within a reasonable time-period from the occurrence of any material change or at reasonable periodic intervals, as applicable; and
- in writing and in a manner that is likely to be understood by a consumer belonging to that category.

vi. IRDA may specify:

- The nature of information that must be disclosed on a continuing basis to a consumer who has availed of a specified insurance product or

- service;
- The time-period within which continuing disclosures of information are to be made for a specified insurance product or service;
- Circumstances in which the consumer will have a right to terminate the insurance contract upon a continuing disclosure being made;

(f) Right to Receive Suitable Advice

- i. Every insurance advisor must
 - make all efforts to obtain correct and adequate information about the relevant personal circumstances of a consumer; and
 - ensure that the advice given is suitable for the consumer after due consideration of the relevant personal circumstances of the consumer.
- ii. IRDA would take into account the following factors in relation to (a) above:
 - the extent to which the cost of seeking information about the relevant personal circumstances of consumers might restrict the access of consumers to the insurance product or service; and
 - sufficiency of the disclosures made under 5 above to allow consumers to assess the suitability of the insurance product or service for their purposes.
- iii. If it is reasonably apparent to the insurance advisor that the available information regarding the relevant personal circumstances of a consumer is incomplete or inaccurate, the insurance advisor must warn the consumer of the consequences of proceeding on the basis of incomplete or inaccurate information.
- iv. If a consumer intends to avail of an insurance product or service that the insurance advisor determines unsuitable for the consumer, the insurance advisor:
 - must clearly communicate its advice to the consumer in writing and in a manner that is likely to be understood by the consumer; and
 - may provide the insurance product or service requested by the consumer only after complying with clause (i) and obtaining a written acknowledgement from the consumer.
- v. IRDA may categorize certain consumers or class of consumers as retail consumers and specify the insurance products or services which may be provided to retail consumers or a class of retail consumers.

vi. IRDA may specify:

- the type of enquiries that need to be made to determine the relevant personal circumstances of retail consumer for an insurance product or service; or
- that certain types of communications issued by an insurance service provider to a retail consumer would not constitute advice.

Protection from Conflict of Interest of Advisors

a) An insurance advisor must:

- i. provide a consumer with information regarding any conflict of interests, including any conflicted remuneration that the insurance advisor has received or expects to receive for making the advice to the consumer. This information shall be given to the consumer in writing and in a manner that is likely to be understood by the consumer and a written acknowledgement of the receipt of the information should be obtained from the consumer.
- ii. give priority to the interests of the consumer if the insurance advisor knows, or reasonably ought to know, of a conflict between:
 - its own interests and the interests of the consumer; or
 - the interests of the concerned insurance service provider and interests of the consumer in cases where the advisor is a representative of the insurance service provider.

b) IRDA may specify

- i. the circumstances in which a benefit received by an insurance advisor would or would not be considered to be a conflicted remuneration; or
- ii. the nature, type and structure of benefits permitted to be received by an insurance advisor for an insurance product or service.

c) "Conflicted remuneration" means any benefit, whether monetary or non-monetary, derived by an insurance advisor from persons other than consumers that could, under the circumstances, reasonably be expected to influence the advice given by the insurance advisor to a consumer.

ANNEXURE - V

CORPORATE GOVERNANCE GUIDELINES FOR POLICYHOLDER PROTECTION

- 1) Protecting the interest of the policyholder demands that the insurers have in place good governance practices.
- 2) The Board of insurer should:
 - (a) Have in place a corporate philosophy and governance system that will uphold the highest standards of business conduct and ethical behavior.
 - (b) Define the standards of business conduct, ethical behavior for directors and senior management
 - (c) Ensure that the policy of fair treatment of policyholders is embedded into all aspects of operation and is implemented at all stages of insurer-consumer transactions and relationship including the design, marketing, advice, point-of-sale and after-sale stages
 - (d) Consider the interest of their prospects and policyholders as a specific group and ensure all the rights of consumers as mentioned in **Annexure IV**.
 - (e) Develop a corporate culture that recognizes and rewards policyholder protection.
 - (f) Establish Board level Committee for policyholder protection which will adopt sound and healthy market conduct practices and inculcate fair treatment of policyholders.
 - (g) The responsibilities of the Policyholder Protection Committee shall include:
 - Putting in place proper procedures and effective mechanism to address complaints and grievances of policyholders including mis-selling by insurance companies, insurance agents and insurance intermediaries.
 - Ensuring compliance with the statutory requirements as laid down in the regulatory framework.
 - Reviewing the mechanism at periodic intervals.
 - Ensuring adequacy of disclosure of “material information” to the policyholders. These disclosures shall comply with the requirements laid down by IRDA both at the point of sale and at periodic intervals.
 - Reviewing the status of complaints at periodic intervals.

- Providing the details of grievances at periodic intervals in such formats as may be prescribed by IRDA.
- Ensuring that details of insurance ombudsmen are provided to the policyholders

3) Disclosure requirements:

As part of transparency, insurers must disclose at periodical intervals as per relevant regulations, financial and other disclosures to enable consumers to make reasoned choices regarding selection of the insurer. Towards protecting the interests of the policyholders the insurer must ensure complete transparency in service operations and make periodic disclosures. In particular, the disclosure requirements of the participating policyholders and the unit-linked policyholders must be duly addressed.

- 4) Board should conduct periodically “a Gap Analysis” to identify the areas of business where their organization is not meeting the obligation to ensure all the rights of the consumer.
- 5) With regard to the Citizen’s Charter, the Board should:
 - (a) Ensure that appropriate policies and processes have been laid down in respect of design and implementation of the Charter as per details given in **Annexure I**.
 - (b) Ensure that the Charter is formulated through a consultative process involving staff from all the levels of organization and that the staff is orientated about the salient features and goals/ objectives of the Charter.
 - (c) Approve the Charter, review and verify every year the accuracy of the contents thereof, and mention the date of latest review and the next date of review in the Charter.
 - (d) See that the Charter is
 - i. available free of cost
 - ii. widely disseminated to the public,
 - iii. is made available at the website of the insurer and in other electronic forms,
 - iv. publicized by conducting awareness campaigns through print media, posters, banners, leaflets, handbills, brochures, local newspapers and most importantly through electronic media.
 - (e) Earmark budget for generating awareness amongst the consumers and for orientation of staff.
 - (f) Submit board approved copy of the Citizens Charter of the insurer duly certified by it to IRDA.

CHAPTER 8

DISPUTE RESOLUTION MECHANISM

Chapter introduction

The complaint handling procedure discussed earlier in this book is one way in which the insured can resolve disputes. However, there are other several mechanisms available for dispute resolution to an insured.

The insured can resolve a dispute under 'Consumer Protection Act' or by approaching the Insurance Ombudsman under 'Redressal of Public Grievances Rules, 1998'.

■ Learning Outcomes

- a) Explain how the insured can resolve disputes under the Consumer Protection Act, 1986.
- b) Explain how the insured can resolve disputes by approaching the Ombudsman under the 'Redressal of Public Grievances Rules, 1998'.

Look at this scenario

Ombudsman directed General Insurance Company to pay Rs. 8.4 lakhs with 12% interest

National Insurance Company Vs Jaya Harikrishnan

Jaya Harikrishnan's world fell apart on 11 August 1999. That was the day her husband, an employee in Apollo Tyres, Gurgaon, drowned in the Ganga at Garhmukteshwar, near Delhi, while on a pilgrimage. His body was never recovered. However, in December that year, the municipal authorities issued a death certificate, after the police confirmed a case of death due to drowning.

Grief wasn't all that the young widow had to contend with. In one of life's bitter moments, she found herself grappling with red tape. Harikrishnan had taken an insurance policy with a Life Insurance Company and was also covered under a group accident insurance policy, taken by Apollo Tyres, with a General Insurance Company. While Life Insurance Company settled the claim promptly and Apollo Tyres processed Harikrishnan's terminal dues speedily, the General Insurance Company kept the claim on hold for 15 months.

The insurer first said it was waiting for the 'verification' of the death certificate. Even after it received the report, it sat on the claim, on the ground that Harikrishnan had been insured for an extremely large amount Rs. 8.4 lakh, or 60 times his basic salary.

In despair, Jaya Harikrishnan turned to the Insurance Ombudsman for help, on 22 September 2000. Insurance Ombudsman was established by the Insurance Regulatory and Development Authority of India (IRDAI) to mediate insurance-related disputes quickly and at low cost. The invocation of this authority worked in Jaya Harikrishnan's favour. In a little over a month, after going through the claims and counter-claims, the Ombudsman directed the General Insurance Company to pay the Rs. 8.4 lakhs along with 12 per cent penal interest with effect from 1 January 2000. In his order, the ombudsman said there were "no extenuating circumstances" to explain the delay in the settlement of a "crystal-clear" claim.

(Source: www.policywala.com)

The above case study highlights the importance of Grievance Redressal Systems established by the Government to safeguard the interests of the small policyholders. In this chapter we will study the various dispute resolution mechanisms available to the insured persons and their beneficiaries in case of death of the insured person.

1. Explain how the insured can resolve disputes under the Consumer Protection Act, 1986.

[Learning Outcome a]

The Consumer Protection Act was passed in 1986 by the Parliament. The main objective of the Act is to provide simple, speedy and inexpensive redressal to consumer grievances. Insurance services fall within the purview of this Act and every buyer of insurance, i.e. the policyholder, is a consumer.

1.1 Objective

To provide for better protection of the interests of the consumer and to establish Consumer Councils and other authorities for the settlement of consumers' disputes and for matters connected therewith.

Tip

The Act has been amended by the Consumer Protection (Amendment) Act, 2002.

1.2 Important features of the Act

- i. It covers all goods and services.
- ii. It covers all the sectors i.e. private, public and co-operative
- iii. Remedy available is simple, speedy and inexpensive.
- iv. Provisions of the Act are in addition to and not in derogation of any other law:

Consumer is defined as any person who buys goods for a consideration or avails any services for a consideration

Tip

The definition of Consumer doesn't include a person that purchases goods / services for commercial purposes.

- **Service** includes banking; insurance etc. but DOES NOT includes the rendering of any service free of cost.
- **Deficiency** in service means any fault, imperfection or inadequacy in the quality, nature and manner of performance in relation to any service.

- A complaint can be made to the appropriate Forum in writing within two years from the date on which the cause of action arose.
- Under the MWP Act (Married Women's Property Act, 1874,) the policyholder, nominee, assignee, beneficiary of an insurance policy are considered as Consumers.
- Deficiency in service may relate to issuance of receipts, transfer of files and quick settlement of claims etc.

1.3 Structure of Consumer Protection Act, 1986

The Act envisages three-tier quasi-judicial machinery at the National, State and District levels in the following manner:

1. District Commission

Composition: President -One District Judge and two other members (1 lady member).

Jurisdiction: Value of services and compensation claimed does not exceed Rs 50 Lakh.

2. State Commission

Composition: President - High Court Judge, Members not less than 2 (1 lady member)

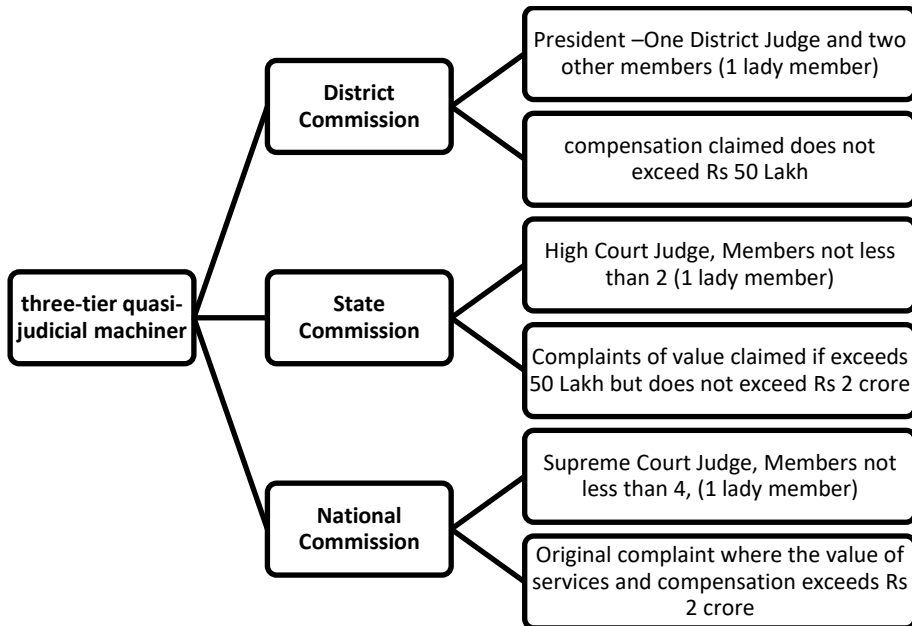
Jurisdiction: Complaints of value claimed if exceeds 50 Lakh but does not exceed Rs 2 crore.

3. National Commission

Composition: President - Supreme Court Judge, Members not less than 4, 1 lady member.

Jurisdiction: Original complaint where the value of services and compensation exceeds Rs 2 crore.

SUMMARY



1.4 Appeals

Before the State Commission (Section 15):

- Against the order of the District Commission within a period of 45 days
- subject to deposit of 50% of the amount awarded.

Before the National Commission (Section 19):

- Against the order of the State Commission - Appeal period 30 days.
- subject to deposit of 50% of the amount awarded.

Before the Supreme Court (Section 23):

- Against the order of the National Commission - Appeal period 30 days
- subject to deposit of 50% of the amount awarded.

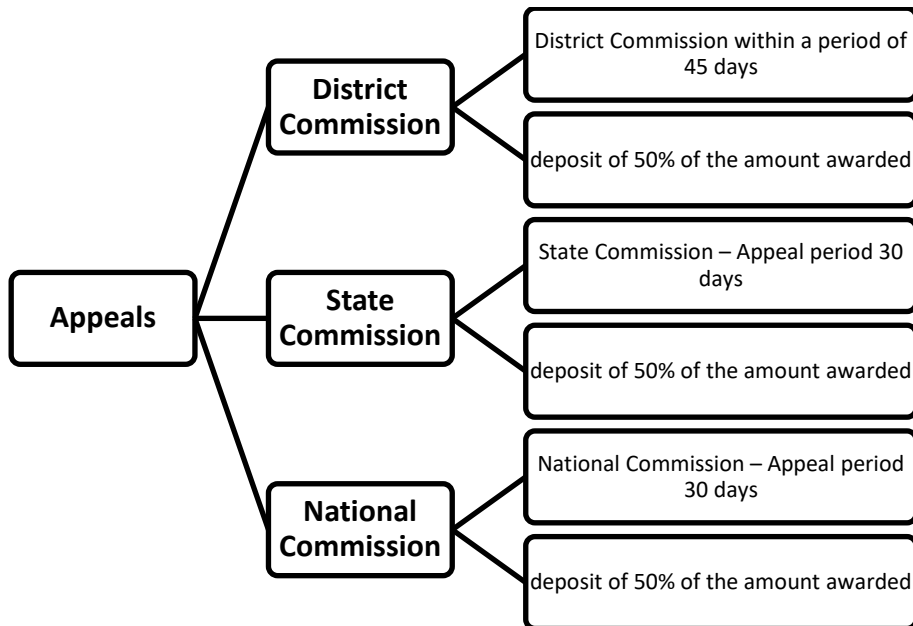
1.5 Limitations

The District Commission, the State Commission, or the National Commission shall not admit a complaint unless it is filed within two years from the date on which the cause of action has arisen.

1.6 Penalties

When a person against whom a complaint is made or the complainant fails to comply with the order of District Commission, State and National Commission, such a person may be imprisoned for a term minimum one month to maximum three years or with fine minimum Rs 2,000 to maximum Rs10,000, or both.

SUMMARY



Test Yourself 1

Question 1

As per the Consumer Protections Act, 1986 the person who buys goods for a consideration or avails any services for consideration is called _____

- A. a client
- B. a dealer
- C. a consumer
- D. an intermediary

2. Explain how the insured can resolve disputes by approaching the Ombudsman under the 'Redressal of Public Grievances Rules, 1998'. [Learning Outcome b]

2.1 Insurance Ombudsman

With an objective of providing a forum for resolving disputes and complaints from the aggrieved insured public or their legal heirs against the insurance companies, the Government of India, in exercise of powers conferred on it under Section 114(1) of the Insurance Act, 1938, framed the "Redressal of Public Grievances Rules, 1998", which came into force w.e.f November 11, 1998. These rules aim at resolving complaints relating to the settlement of disputes with insurance companies on personal lines of insurance, in a cost effective, efficient and impartial manner. These Rules are applicable to all the insurance companies operating in general insurance business and in life insurance business.

Provided that the Central Government may exempt an insurance company from the provisions of these Rules, if it is satisfied that an insurance company has already in place of grievance redressal machinery which fulfills the requirements of these Rules.

The main objectives of these Rules are to resolve all complaints relating to the settlement of claims on the part of the insurance companies in a cost effective, efficient and impartial manner.

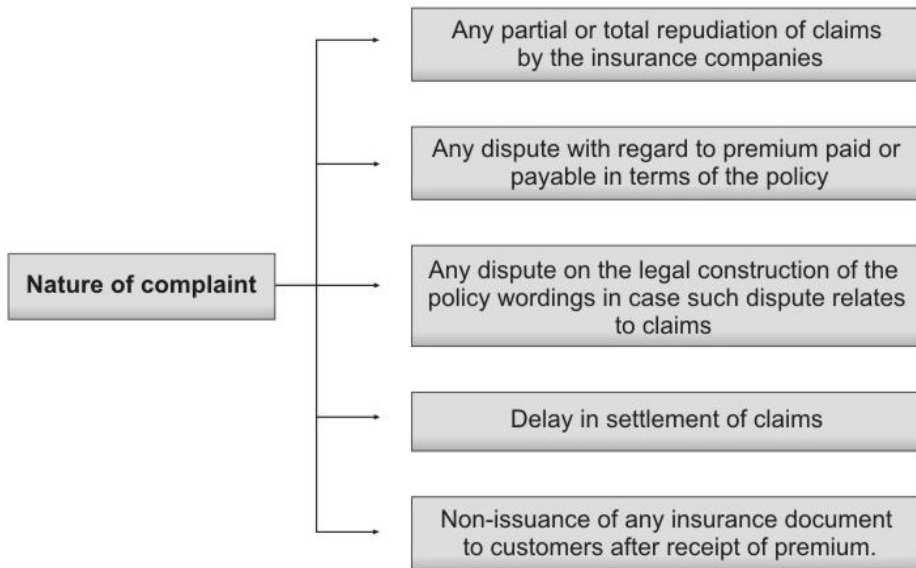
2.2 Ombudsman

The governing body shall appoint one or more persons as ombudsman whose functions basically are redressal of grievances from the policyholders of both life insurance and general insurance business.

Any aggrieved individual who has taken an insurance policy on personal lines (or if deceased, the legal heir(s) under such policy) can approach the Ombudsman. Insurance on personal lines means a policy taken or given in an individual capacity e.g. life insurance, personal accident insurance, mediclaim insurance, and insurance of personal property of the individual such as motor vehicle, household articles, etc. Firms and organizations cannot go to the Ombudsman.

2.3 Nature of complaints

Diagram: Following nature of complaints come within the purview of the Insurance Ombudsman



2.4 Pre-requisite conditions for lodging complaint

- The complaints must be by an individual on a 'Personal Lines' insurance and within the terms of reference on the Insurance Ombudsman as set out under item number 'C'.
- A representation should have been made to the insurance company, and either an unsatisfactory reply should have been received or the representation should stand unreplyed for at least 1 month.
- The complaint must be lodged within 1 year of the events mentioned in (b) above.
- The total relief sought must be within an amount of Rs. 30 lakhs.
- The subject matter of the complaint should not currently be or have earlier been before a Court / Consumer Forum.

The Ombudsman shall act as counselor and mediator in matters that are within its terms of reference and, if requested to do so, in writing by mutual agreement by the insured person and insurance company.

In case both parties agree for mediation, the Ombudsman shall give its Recommendations within 1 month; otherwise it shall pass its Award within 3 months. The Recommendations and Award of the Insurance Ombudsman are both subject to acceptance by the complainant in full and final settlement of the complaint. If such acceptance is not agreeable, the complainant may exercise the right to take recourse to the normal process of law against the insurance company. Further, dismissal of a complaint by the Insurance Ombudsman does

not vitiate the complainants' right to seek legal remedy against the insurers, complained against, as per the normal process of law. If the Ombudsman deems it fit in the circumstances of the case, it may award ex-gratia payment.

Test Yourself 2

Question 2

Which of the following is not a type a complaint that fall under the purview of the Insurance Ombudsman?

- A. Partial or total repudiation of claims by an insurer.
 - B. Dispute in regard to premium paid or payable in terms of the policy.
 - C. Non-issue of any insurance document to customers after receipt of premium.
 - D. Remuneration paid by the life insurer to the Insurance Agent.
-

Summary

- Consumer is a person who buys goods / services for a consideration.
- The Consumer Protection Act, 1986 for the redressal of consumer complaints provides three-tier quasi-judicial machinery at the National, State and District levels.
- Jurisdiction: District Commission where the value of services and compensation claimed does not exceed Rs 50 Lakh. State commission above Rs 50 Lakh to Rs 2 crore. National commission: excess of Rs 2 crore.
- The Redressal of Public Grievances Rules, 1998 have been formulated to resolve all complaints relating to the settlement of claims on the part of the insurance companies in a cost effective, efficient and impartial manner
- The Insurance Ombudsman has been established to quickly dispose the grievances of the insurance consumers and lessen the problems involved in redressing complaints.

Answers to Test Yourself

Answer to TY 1

The correct option is C.

The Consumer Protections Act, 1986 defines consumer as any person who buys goods for a consideration or avails any services for consideration.

Answer to TY 2

The correct option is D.

Along with options A, B and C, Insurance Ombudsman also deal with any dispute related with the legal construction of the insurance policies provided the dispute is related with claims under the policy

Self-Examination Questions

Question 1

As per the MWP Act who among the following are consumers for an insurance policy?

- A. The policyholder himself
- B. Nominee of the policy
- C. Beneficiary of the policy
- D. All of the above

Question 2

Fill in the blank by choosing the correct option

As per the Consumer Protection Act, 1986 the jurisdiction of a District Commission extends up to value of services and compensation not exceeding _____.

- A. Rs 10 lakhs
- B. Rs 20 lakhs
- C. Rs 50 lakhs
- D. Rs 1 crore

Question 3

Fill in the blank by choosing the correct option

An appeal in front of the State Commission against a decision of the District Commission must be within _____ days

- A. 15
- B. 30
- C. 45
- D. 60

Question 4

Choose the correct option to fill in the blank

The State Commission President should be a _____

- A. District Judge
- B. High Court Judge
- C. Supreme Court Judge
- D. IRDAI Chairman

Question 5

The Insurance Ombudsman can entertain complaints against the insurance company when the total amount of relief sought is less than Rs _____.

- A. 10 lakhs
- B. 30 lakhs
- C. 1 crore
- D. 2 crore

Answers to Self Examination Questions

Answer to SEQ 1

The correct option is **D**.

As per the MWP Act, the Policyholder, nominee, assignee, beneficiary are considered as Consumers of the insurance policy.

Answer to SEQ 2

The correct option is **C**.

As per the Consumer Protection Act, 1986 the jurisdiction of a District Commission extends up to the value of services and compensation not exceeding Rs. 50 Lakh.

Answer to SEQ 3

The correct option is **C**.

An appeal must be filed before the State Commission against the order of the District Commission within a period of 45 days. The appeal is subject to a deposit of 50% of the amount awarded by the District Commission.

Answer to SEQ 4

The correct option is **B**.

The State Commission President should be a High Court Judge.

Answer to SEQ 5

The correct option is **B**.

One of the pre-requisite of lodging complain in front of the Insurance Ombudsman is that the amount of relief sought must be less than Rs 30 lakhs.

CHAPTER 9

FINANCIAL REGULATORY ASPECTS OF SOLVENCY MARGIN AND INVESTMENTS

Chapter Introduction

In this chapter, we will look at one of the main activities that a claim department has to perform to maintain discipline and also meet statutory requirements. We will see how an insurance company sets aside funds for claims that may arise in future. We will also learn how the reserve fund money is invested to earn maximum returns.

Learning Outcomes

- a) Understand the different types of reserves maintained by insurance companies.
- b) Learn about the reserving process followed by insurance companies.
- c) Examine the premium investment strategies followed by insurance companies.

1. Understand the different types of reserves maintained by insurance companies

[Learning Outcome a]

The Management of Reserves

Poor Reserving

“There is no acceptable excuse for poor reserving. Unless we are accurate with our reserves they will threaten our very existence.”

(Tony Lancaster - CEO, Groupama UK, CII Conference, 2001)

Insurance is a special industry in that a majority of its costs are both delayed and uncertain. However as these costs are critical, therefore, all insurers estimate the future liabilities as accurately as possible and put aside (reserve) money to meet them.

Further, if claims are large, take time and are difficult to judge, the total amounts required to be reserved per year can be enormous. However, maintaining reserves is an important area for insurers as there is a lag between the receipt of premium and payment of claims.

Definition

Technical reserves: the assets that an insurance company maintains to meet future claims or losses.

The technical reserves required can be classified as follows:

- a) Reserves for unexpired risks
- b) Reserves for incurred but unreported claims
- c) Reserves for outstanding claims
- d) Fluctuation reserves

Technical reserving is critical to any insurer and directly impacts profitability and solvency; the two principal dangers being:

1. Under-reserving is where an insurer may take in an over-optimistic view of future claim payments. Initially it will boost profits and seem like the underwriting strategy and pricing is correct; however, over time there will be difficulty in paying claims and the insurer will have to call upon shareholders' funds (sometimes known as free reserves) reducing its solvency.

Case Study: Independent Insurance, UK

Independent Insurance (estd.1903) was reinvented in 1987 when it metamorphosed into a forward thinking, fast-growing, broker-only company. In 1996, Independent combined with a merchant bank to buy the UK business of US insurer Allstate.

It had become a Public Listed Company in 1993 and by 2000 had grown significantly:

- 2,000 employees in 16 locations in the UK as well as in Europe.
- 500,000 individuals on home and motor policies,
- 40,000 commercial customers
- premiums in excess of £850m

The company wrote property, liability, home and motor business in the commercial and personal sectors. It sowed the seeds for its collapse when it moved into the highly competitive London market.

In early 2001, problems regarding liquidity, claims ratios and need for new capital emerged. There followed a downward spiral of director resignations, failure to raise capital and a general failure of credibility. In June 2001, the liquidators were called in after unquantifiable losses from claims surfaced, many of which had never been entered in the company's accounts.

While many were surprised at its collapse, several brokers and insurers were not. Almost since its relaunch in 1987 there had been market rumours of accounting irregularities and other practices, which no one managed to substantiate.

The details of what went wrong and who was to blame are still being argued over. The fundamentals for failure were attributed to excessive growth, **inability to reserve adequate premiums for long-tail liabilities**, insufficient reinsurance and **under-pricing**.

(Courtesy Ian Youngman FCII)

Test Yourself 1

Question 1

Reserves for unexpired risks come under the heading of which of the following?

- A. Accounting reserves
 - B. Technical reserves
 - C. Unexpired premium
 - D. Asset Liability Reserves
-

Stakeholders

With regard to a company's reserving practices, there are a number of stakeholder groups who will take close interest - albeit from different perspectives. These stakeholders can be detailed as follows:

i. Shareholders

The major interest a shareholder will have is to see his or her investments increase and the company stay viable, solvent and attractive to the market. They will be kept informed as regards the company's reserves through the Annual Report and Accounts, together with the quarterly / half-yearly reports.

They will look for the company to be adequately reserved to ensure its future prosperity and avoid nasty shocks - they will be less than happy if under-reserving results in a requirement for significant reserves.

On the other hand, over-prudent reserving will reduce the money available for distribution as dividend or available for new investment and therefore, will not be welcomed.

ii. Government / Regulator

A government may consider a company's reserving from two distinct standpoints.

- As a **regulator** the Government would like to see prudent reserving in order to:
 1. protect the customers from company failure
 2. protect the insurance market from instability and the burden of funding corporate failure
 3. avoid future calls on the companies' capital when solvency is threatened
- As a **collector of taxes**, conversely, the Government would prefer that taxable profit is not delayed or avoided by being placed in reserves. For these reasons some governments have set down rules about making a 'best estimate' of reserves and their observance has to be confirmed in the annual audit.

iii. Underwriters

The importance of claims experience in the pricing process was mentioned earlier.

1. Underwriters study the pattern of reserves development to understand the true cost of claims for whole classes of business to determine the appropriate pure risk premiums going forward.
2. they will use specific claims histories on cases which are individually underwritten.

Accurate reserving is, therefore, essential, although in reality it is impossible to fully predict the economic, legal and regulatory impacts on claims which may not be settled for years.

iv. Insurance Company Management

Reserving is also of great importance to company senior management insofar as it

1. indicates the relative profitability of various parts of the portfolio
2. highlights trends
3. provides an early warning of future problems

Types of Technical Reserves

There are two basic types of technical reserves: those relating to **premiums** and those relating to **claims**. Although the actual terminology may vary, the following would be recognised in most companies.

1) Premium Reserves

a) Unearned Premium Reserve

Since all the policies do not renew at the same time and do not end exactly at the close of the financial year, there will be some amount of premium that is “unearned” at the time the accounts need to be finalised.

For example, if the financial year is the beginning of April and a policy was taken out only 3 months earlier at the beginning of January, there will still be 9 months left of potential claims and “unearned” premium.

The unexpired proportion of all premiums is, therefore, held until expiry in an Unearned Premium Reserve.

In practice, expenses are deducted from written premiums and the resulting net figure is used to calculate reserves on a monthly or even daily pro rata basis.

b) Unexpired Risk Reserve

This is a reserve that is no longer commonly used. If an insurer wrote premiums during a year which, in retrospect, are considered to be inadequate because of, say, a soft market, a reserve may be set up for the shortfall. This is called an Unexpired Risk Reserve.

If an insurer has to set up such a reserve, questions really ought to be asked why it has changed its mind about rates so soon after underwriting the business.

2) Claims Reserves

a) Outstanding Claims Reserve

This represents the money put aside for paying claims on business that has been written, whether or not these claims have been reported to the insurer. There are two separate parts:

(i) **Open Claims Reserve** The open claims reserves are the ones that have been reported, entered onto the system and a formal reserve has been input for each one.

(ii) IBNR Reserve

In addition to this, every insurer will have claims that, for some reason or other, have not yet been reported and the insurer does not know about them. The term for this is IBNR i.e. these are claims that have been **Incurred But Not Reported**.

This is one of the main problem areas for general insurers. It is relatively easy to make a reasonable assessment of claims that have been reported. At the very minimum, an insurer can apply an average cost for the class of business for any claim arising. The next difficulty arises when the insurer has to speculate what might happen in the future.

Another claims factor which may be included in the IBNR reserve is the provision made for any increase on the original estimate for open claims. Some insurers separate this out into a separate reserve entitled IBNER, 'Incurred But Not Enough Reserved'.

Case Study - Reserving for Asbestos

Asbestos is a naturally occurring mineral with remarkable properties, which have led to it being used in a wide range of industries. It is fire and chemical resistant, an excellent insulator, a reinforcing additive for cement and motor vehicle brake linings, and it can be woven into textiles. Its disadvantage, which eventually resulted in its abandonment, is that it forms extremely fine fibrous dust particles which may cause the degenerative lung disease, asbestosis or possibly the rare cancer, mesothelioma up to 40 years after the exposure.

Asbestos related diseases have given rise to many claims on employers, public and product liability policies for producers, distributors and users of asbestos products. Recently, the frequency and volume of claims have been increasing rapidly, particularly in the USA, where more than an element of emotion has affected the court awards and the fact that judges do not appear to require the disease to have actually manifested itself. In recent cases, workers have received damages in excess of \$1 million merely for the emotional distress of having been exposed to asbestos. The awards to actual disease sufferers are even larger e.g. one mesothelioma claimant has received \$33 million. In the UK, similar cases are being settled at about £150,000. The effect on the P & C market in the USA has been little short of crippling.

Many companies have had to reserve hundreds of millions of dollars for past exposures, and regular strengthening of these reserves shows no sign of ending. Current reserves for asbestos related claims already run into hundreds of billions of dollars.

b) Claims Equalisation Reserve

In some countries, insurers are permitted to set up a reserve to smooth the overall result. In years, when claims experience has been favourable, an amount is put into a reserve from where it can be withdrawn in poor years. In theory, it is an in-house method of reducing the impact of catastrophes. In practice, some companies may treat this so called equalisation reserve as a tax management tool.

c) Other reserves

In addition, to the above reserves which are termed technical reserves, insurers, create special reserves for a particular class of business to be drawn upon in the event of catastrophe, such as an earthquake, flood, conflagration, etc. Alternatively, insurers carry general reserves which will be available for any class of business, in the event of a catastrophe.

Besides these types of reserves, insurers, create an investment reserve to provide for losses on their investment due to economic conditions, reserves for bad debt, and reserves for taxes. There also may be hidden reserves i.e. reserves which are not evident in the publish accounts. These may arise out of under valuation of assets or over valuation of liabilities.

Test Yourself 2

Question 2

IBNR stands for what?

- A** Income Before Net Reported
 - B** Incurred But Not Reviewed
 - C** Incurred But Not Reported
 - D** Investment Before Net result
-

2. Learn about the reserving process followed by insurance companies [Learning Outcome b]

The reserving process at operational level is extremely simple in theory but can go badly wrong in practice. The whole purpose of the reserving policy is to ensure that the most reasonable estimates of the reported claims are made and can reflect the ongoing performance of a single client, a portfolio and the company in general.

Usually in the modern market, the estimate is to be input by a claims handler into the system.

Smaller claims, simpler risks e.g. motor, health, etc.

Within the commoditised classes, the figure to be input (if there is no obvious accurate figure already) is likely to be based on an average figure from past experience but then with issues such as inflation, built in to make it as realistic and up-to-date figure as possible.

Larger and more complex claims

This will be controlled by a more experienced handler and by gauging the claims circumstances and using their own experience; they should be able to make a subjective judgement on the estimate.

It is crucial that the claims reserves are revisited regularly to ensure that the figures are as up-to-date as possible.

The system will then hold and total up all claims reserves in real time, to produce the open claims reserve.

The next step is for the claims professionals and actuaries to:

- bring the data together
- break it down into practical sub-classes
- review and refine it
- build in provisions for IBNR
- construct auditable reserves

The selection of sub-classes is critical if any subsequent analysis is to be meaningful. For this reason, there are at least three aspects to bear in mind as regards the sub-classes. They should:

1. be as **homogeneous** as possible, so that the data can be as reliable as possible
2. **not be too big** as it will give the underwriters difficulty in premium setting

3. **not be too small**, or the law of large numbers will not apply i.e. statistical variances will be large

Challenges

A significant issue is that of building in the IBNR and the reported claims development into the sub-class reserves. One approach is to look at the past claims experience in the sub-class, apply this to the data and then project into the future.

However, there are limitations

1. In a changing business environment
2. In long tail classes
3. Where there is little relevant applicable claims experience (e.g. in new and emerging risks)

The remedy in such circumstances is to try to develop a deeper understanding of what drives claims, see how these factors are likely to change in the coming years and then make a judgement on how this could affect the reserves. Where possible, the reserver should also seek to identify steps that could be taken to manage down the eventual costs.

This can be done by an experienced reserver, just by using simple arithmetic calculations. However, in many of reserving exercises, sophisticated statistical modelling is used involving complicated software, providing highly precise answers. It must be emphasised that these are only mechanical calculations and do not take into consideration the fundamental changes that might be happening to the drivers of the claims. These changes can be:

- Inflation rate
- Rebuilding costs
- Legal framework
- Court awards
- Medical costs etc.

Wherever possible, the reserver needs to make appropriate adjustments to compensate for these.

The following checklist for claims reservers, compiled by the Institute of Actuaries in the UK, clearly sums up the whole essence of this complex but vitally important subject.

Checklist for Reservers

- a) What historical data are available to the reserver and how far can confidence be placed in its reliability?
- b) To what extent is homogeneity of the groups in the risk classification satisfactory?
- c) What conclusions have shaped the past experience and what significant changes can be deduced which may affect the future turn out?
- d) What methods of projection are proposed, and, are these properly suited under the given circumstances?

Institute of Actuaries, UK

3. Examine the premium investment strategies followed by insurance companies

[Learning Outcome c]

With the significant amount of reserving mentioned above, it is imperative that the insurers make their reserves work as hard as possible - this can be shown to be effective globally in that globally, insurers held USD 22.6 Trillion (year end 2009).

With this in mind it is critical that insurers are given an amount of freedom in deciding where to invest their cash without losing some form of monitoring

It is also critical that the insurers have in place specific guidelines and controls for their investment business.

The guidelines should match the insurer's liability constraints as well as the availability of matching investments.

It is appreciated that globally insurers invest in fundamentally different ways, although the guiding principles are the same:

- a) Modern Portfolio Theory
- b) Asset Liability Management

Definition

Modern Portfolio Theory (MPT)

The fundamental concept behind MPT is that the assets in an investment portfolio should not be selected individually, each on their own merits. Rather, it is important to consider how each asset changes in price, relative to how every other asset in the portfolio changes in price.

Investing is a trade-off between risk and expected return. In general, assets with higher expected returns are riskier.

For a given amount of risk, MPT describes how to select a portfolio with the highest possible expected return. Or, for a given expected return, MPT explains how to select a portfolio with the lowest possible risk (the targeted expected return cannot be more than the highest-returning available security, of course, unless negative holdings of assets are possible.)

MPT is, therefore, a form of diversification. Under certain assumptions and for specific quantitative definitions of risk and return, MPT explains how to find the best possible diversification strategy.

However, there are a number of arguments against it:

- Financial returns do not follow a symmetric distribution
- Correlation between asset classes is not fixed but can vary depending on external events (especially in crises).
- Growing evidence that investors are not rational and markets are not efficient

Definition

Asset-liability management

Asset-liability management basically refers to the process, by which an institution manages its balance sheet, in order to allow for alternative interest rate and liquidity scenarios. Banks and other financial institutions provide services, which expose them to various kinds of risks like credit risk, interest risk, and liquidity risk. Asset liability management is an approach that provides institutions with protection that makes such risks acceptable.

Indian Regulations

In India, the insurance premium investment structure is laid down very clearly under the Insurance Regulatory and Development Authority of India (Investment) Regulations, 2004, Insurance Regulatory and Development Authority of India (Investment) (Fifth Amendment) Regulations, 2013 dt 16th Feb'2013 and Insurance Regulatory and Development Authority of India (Assets, Liabilities, and Solvency Margin of General Insurance Business) Regulations, 2016 dated 7th April, 2016 and

Sr. No	Type of Investment	Percentage
i)	Central Government Securities being not less than	20%
ii)	Government securities and other Guaranteed securities including (i) above being not less than	30%
iii)	Housing and Loans to State Government for Housing and Fire Fighting equipment, being not less than	5%
iv)	Investments in Approved Investments as specified in Schedule II	
a)	Infrastructure and Social Sector Explanation: For the purpose of this requirement, Infrastructure and Social Sector shall have the meaning as given in regulation 2(h) of Insurance Regulatory and Development Authority of India (Registration of Indian Insurance Companies) Regulations, 2000 and as defined in the Insurance Regulatory and Development Authority of India (Obligations of Insurers to Rural and Social Sector) Regulations, 2000 respectively	Not less than 10%
b)	Others to be governed by Exposure / Prudential Norms specified in Regulation 5	Not exceeding 30%
v)	Other than in Approved Investments to be governed by Exposure / Prudential Norms specified in Regulation 5	Not exceeding 25%

Insurance Regulatory and Development Authority of India (Assets, Liabilities, and Solvency Margin of Life Insurance Business) Regulations, 2016 dated 13th April, 2016.

(For further details see <http://www.irdaindia.org/regulations.htm>)

Question 3

Insurers invest in fundamentally different way Asset Liability Management and

- A. Modern Portfolio Theory
 - B. Modern Profit Theory
 - C. Multiple Portfolio Theory
 - D. Multiple Profit Theory
-

Insurance Accounting

Insurance accounting basics are similar to basics of other forms of accounting. However, there are certain peculiarities that make for specialisations in Insurance Accounting.

The objective of this chapter is not to go into the details of Insurance Accounting; so we shall examine these differences at headline level only.

➤ General Accounting

Items such as the Balance Sheet, Receipts and Payments Account [Cash Flow Statement] and Profit & Loss Account etc. will be in line with the Accounting Standards (AS) issued by the ICAI to the extent applicable to insurers carrying on general insurance business with 3 exceptions. The 3 exceptions are:

- (a) Cash Flow Statement to be prepared only under Direct Method
- (b) Accounting for Investments is not applicable
- (c) Segment Reporting applies to all insurers

➤ Premium

Premium is to be recognised as income over the contract period or the period of risk. Premium received in advance not relating to the current accounting period to be disclosed separately under the head “Current Liabilities”.

Premium reserve for unexpired risks has to be created.

Premium deficiency to be recognised if the expected claim costs and related expenses exceed the related reserve for unexpired risks.

➤ Acquisition Costs

Acquisition costs to be placed in the period in which they are incurred.

➤ Claims

The ultimate cost of claims to an insurer comprises claims under the policies and specific claims settlement costs. Claims under policies comprise the claims made for losses incurred, and those estimated or anticipated under the policies

following a loss occurrence. A liability for outstanding claims shall be brought to accounts in respect of both direct business and inward reinsurance business. The liability shall include:

- (a) Future payments in relation to unpaid reported claims
- (b) Claims Incurred But Not Reported (IBNR) including inadequate reserves [sometimes referred to as Claims Incurred But Not Enough Reported (IBNER)].

The accounting estimates shall also include claims cost adjusted for estimated salvage value if there is sufficient degree of certainty of its realisation.

➤ **Investments**

A detailed procedure has been prescribed for determining value of various investments, such as:

- ✓ Real Estate - Investment Property
- ✓ Debt Securities
- ✓ Equity Securities and Derivative Instruments that are traded in active markets
- ✓ Unlisted and other than actively traded Equity Securities and Derivative Instruments

➤ **Loans**

Loans to be measured at historical cost

➤ **Catastrophe Reserve**

Catastrophe Reserve has to be created in accordance with the norms, if any, prescribed by the Authority.

Accounting Module

As seen earlier, the basic insurance functions including accounts are carried on at the operating office of the general insurance company. With the reliance now in most companies on IT systems, except for preparation of journal vouchers and few other emerging transactions, all other transactions input to the system can be system generated.

To sum up - the important accounting functions in a general insurance company are:

- ✓ Premium accounting
- ✓ Commission / brokerage accounting
- ✓ Claims accounting
- ✓ Accounting of expenses of management
- ✓ Co-insurance accounting
- ✓ Re-insurance accounting
- ✓ Investment accounting
- ✓ Accounting of foreign operations

As per SCHEDULE III of Dated 7th April, 2016 Insurance Regulatory and Development Authority of India (Assets, Liabilities, and Solvency Margin of General Insurance Business) Regulations, 2016

DETERMINATION OF SOLVENCY MARGIN - GENERAL INSURANCE BUSINESS

(See Regulation 6)

1. Interpretation :In this Schedule,

(1)“Available Solvency Margin (ASM)” shall be calculated as the excess of value of assets (as furnished in Form IRDAI-GI-TA) over the value of liabilities (as furnished in Form IRDAI-GI-TR) with further adjustments as shown in Table IB of FORM IRDAI-GI-SM.

(2)“Solvency Ratio” means the ratio of the amount of Available Solvency Margin to the amount of Required Solvency Margin as specified in Table IB

2. Every insurer at all time shall maintain its Available Solvency Margin at a level which is not less than higher of fifty per cent of the amount of minimum capital as stated under Section 6 of the Act and one hundred per cent of Required Solvency Margin failing which the Authority shall act in accordance with sub-section (2) of Section 64VA of the Act.

3. “Control level of Solvency” shall mean the level of solvency margin specified by the Authority in accordance with sub-section (3) of Section 64VA of the Act on the breach of which the Authority shall act in accordance with sub- section (4) of section 64VA of the Act without prejudice to taking any other remedial measures as deemed fit. The control level of solvency is hereby specified as a minimum solvency ratio of 150 %.

4. Determination of Required Solvency Margin (RSM): Every general insurer shall determine the Required Solvency Margin, the Available Solvency Margin, and the Solvency Ratio in FORM IRDAI-GI-SM.

As per IRDAI Reference Number F. No. IRDAI/Reg/9/121/2016 dated 13th April 2016, SCHEDULE III, DETERMINATION OF SOLVENCY MARGINS—LIFE INSURANCE BUSINESS, (See Regulation 5)

1 Interpretation:In this Schedule,

1.1 “Available Solvency Margin” means the excess of value of assets (as furnished in form-AA specified under Insurance Regulatory Development Authority of India (Actuarial Report and Abstracts for Life Insurance Business) Regulations, 2016) over the value of life insurance liabilities (as furnished in form-H of Insurance Regulatory

Development Authority of India (Actuarial Reports and Abstracts for Life Insurance Business) Regulations, 2016) and other liabilities of policyholders' fund and shareholders' funds;

- 1.2 "Solvency Ratio" means the ratio of the amount of Available Solvency Margin to the amount of Required Solvency Margin as specified in form-KT-3 of Insurance Regulatory Development Authority of India (Actuarial Report and Abstracts for Life Insurance Business) Regulations, 2016.
- 2 Every insurer at all time shall maintain its Available Solvency Margin at a level which is not less than higher of fifty per cent of the amount of minimum capital as stated under Section 6 of the Act and one hundred per cent of Required Solvency Margin failing which the Authority shall act in accordance with sub-section (2) of Section 64VA of the Act.
- 3 "Control level of Solvency" shall mean the level of solvency margin specified by the Authority in accordance with sub-section (3) of Section 64VA of the Act on the breach of which the Authority shall act in accordance with sub-section (4) of section 64VA of the Act without prejudice to taking any other remedial measures as deemed fit. The control level of solvency is hereby specified as a solvency ratio of 150 %.
- 4 Determination of Required Solvency Margin: Every insurer shall determine the Required Solvency Margin, the Available Solvency Margin and the Solvency Ratio as per Insurance Regulatory Development Authority of India (Actuarial Report and Abstracts for Life Insurance Business) Regulations, 2016.

Test Yourself 4

Question 4

General Accounting must be in line with which of the following?

- A. Accounting Standards issued by the ICAI
 - B. GAAP Standards Risk
 - C. International Accounting Standards
 - D. Insurance Regulatory and Development Authority of India (Investment) Regulations, 2000
-

Summary

- Accurate claims reserving is critical for continuing profitability of an insurer
 - The interests of the stakeholders are varied - ranging from those of the shareholder, the government, underwriters and the company management.
 - There are two main sets of Reserves - premium (unearned premium and unexpired risk) and claims (open claims reserve and IBNR).
 - The process of claims reserving is at operational level and its accuracy is critical.
 - Insurance companies follow two basic investment theories - Modern Portfolio Theory and Asset Liability Management
 - Insurance Accounting - basically the same as other industries but with some differences in view of the way insurance sector works
-

Some important terms / definitions you have learnt in this chapter

- Technical reserves
- Unearned premium reserve
- IBNR
- Modern Portfolio Theory

Answers to Test Yourself

Answer to TY 1

The correct option is **B**

Reserves for unexpired risks comes under the Technical Reserves heading

Answer to TY 2

The correct option is **C**

IBNR is Incurred But Not Reported.

Answer to TY 3

The correct option is **A**

Insurers invest in two fundamentally different ways: Asset Liability Management and Modern Portfolio Theory

Answer to TY 4

The correct option is **A**

General Accounting must be in line with Accounting Standards issued by ICAI.

Self-Examination Questions

Question 1

Mentioned below are some insurance company stakeholders. Which is the odd one out?

- A. Underwriter
- B. Government / Regulator
- C. Shareholder
- D. Policyholder

Question 2

If a policy is taken out on June 1st and the Financial Year starts on 1st April; the unearned premium reserve is _____

- A. 2/12ths
- B. 3/12ths
- C. 10/12ths
- D. 9/12ths

Question 3

As per premium investment guidelines by IRDAI , investment in Central Government Securities should not be less than _____

- A. 20%
 - B. 15%
 - C. 10%
 - D. There are no such guidelines and insurance companies can invest the premium collected the way they want to invest.
-

Answer to Self-Examination Questions

Answer to SEQ 1

The correct option is **D**

The policyholder is not directly a stakeholder.

Answer to SEQ 2

The correct answer is **A**

2/12ths are what's left of the unearned premium reserve

Answer to SEQ 3

The correct answer is **A**

As per premium investment guidelines by IRDAI, investment in Central Government Securities should not be less than 20%.

CHAPTER 10

INTERNATIONAL TRENDS IN INSURANCE REGULATION

Chapter Introduction

All business entities that deal with the public are bound by certain laws of the country in which it operates. While all are bound by the common law, there are certain laws that are specific to the type of business and not applicable to others. For instance, in India even though there are laws common to all citizens, there is a specific law covering motor vehicles and its users (Motor Vehicles Act 1988).

Similarly, in insurance also, specific laws are made to cover insurance companies, insurance intermediaries and insurance contracts. The Government of India had enacted the Insurance Act, 1938 and modified it many times depending on the regulatory needs of the insurance business. When the market was opened for private sector participation, the Insurance Regulatory and Development (IRDAI) Act, 1999 was enacted to incorporate the revised needs of the industry and authorised to make specific regulations for different sections of the market.

Insurance laws are thus country specific and market specific aimed at regulating the situations and practices prevailing in that particular market. However, insurance regulations in all countries serve some purposes that are common for all countries. Students of insurance should be aware why insurance is being regulated and what are the purposes served by such regulation.

Students of insurance should also have some familiarity about the regulatory systems prevalent in different countries.

Learning Outcomes

- a) Explain some of the purposes of having regulations for insurance.
- b) Explain the areas where regulations mainly focus upon.
- c) Discuss the insurance regulatory systems of a few countries.
- d) Discuss the international regulatory trends in insurance sector

Look at this scenario

The sub-prime financial crisis of 2008 led to the collapse or near collapse of a lot of financial institutions in the US.

- **Mortgage institutions** like Fannie Mae and Freddie Mac had to be bailed out by the Government
- **Investment Banks** like Bear Sterns and Lehman Brothers collapsed
- **Insurance Companies** like AIG had to be bailed out by the Government
- **Consumer Banks** like Citibank had to be bailed out by the Government

All these institutions took more risk than they could afford to do. Proper due diligence or credit appraisal was not done before taking investment decisions and lending decisions. Some even bypassed rules and did not follow regulations. The result was a near collapse of the entire financial system. The sub-prime crisis of 2008 lays greater emphasis on the need for stringent rules and regulations and greater control systems to be put in place.

Impact on the Indian Insurance Sector

AIG had too much of exposure to credit-default swaps (CDS) which almost brought the institution down on its knees. AIG relied too much on unregulated investments that carried enormous risks. The jitters of near collapse of AIG in the US were felt in India also. Tata AIG is a joint venture between the Tatas (74% shareholding) and AIG (26% shareholding). Even though the operations of Tata AIG were smooth and well within the regulations of Indian insurance rules, the policyholders of Tata AIG were worried about their investments. They feared if AIG in the US went bankrupt they will also lose their money in India. The Indian company management, the Indian regulators, the Indian Government had to come out with a number of clarifications to soothe the nerves of the anxious policyholders in India. The wrong doings of AIG US had a sentimental effect on the policyholders of Tata AIG and they had to spend lot of sleepless nights here in India when the US Government was busy trying to douse the fire by averting a collapse of AIG US with bailout after bailout with taxpayers' money.

IRDAI has stipulated stringent regulations for insurance business in India so that such a situation does not arise in India. We will study these regulations and the regulations laid down by the insurance regulators of some other countries in this chapter.

1. Explain some of the purposes of having regulations for insurance

[Learning Outcome a]

Though insurance is regulated through different systems and procedures in different countries, there are some common reasons that form the basis of many regulations.

One should not forget that insurance serves a great social need of providing financial security. Insurance protects members of the society from financial ruin in various situations. Some of the scenarios where the insurance system comes to the rescue include:

- when someone dies and leaves the family without proper income;
- when fire or flood destroys one's shop, merchandise or factory depriving him of his livelihood;
- when earthquake or fire destroys a house and its contents causing great financial loss,
- when someone falls sick and the family is forced to part with its life-time savings for treatment

Hence the Government is interested in protecting its citizens' welfare through the system of insurance. The scope of insurance regulation includes orderly growth of long-term businesses like life insurance, annuities and pension products as well as typical short term businesses like automobiles, buildings, household items, travel risks, ships and shipments.

The difference of insurance regulation from regulation of other branches of finance or economics is that the insurance contract generally allows general insurers to keep the premium with them if there is no loss. Life insurers have control over the insured's money for long periods and have to pay their contractual obligations when there is a death. The contract between the insured and the insurer, in essence, is a promise of indemnification (reimbursement for the loss) in the event of a loss. The insurer needs to act as per his promise only if the specific loss making event happens. This situation arises only for a small percent of insured.

When a situation comes when the insurer has to fulfil his promise, the policyholder may face problems in multiple ways. Insurers may go bankrupt and may not exist to pay the claim.

Insurers may wind up their business in a country and may not be available to settle the claim when it arises. Insurers may give some reason to avoid paying the claim and leave the policy holders in a difficult situation. Insurers may make complicated policy wordings that the insured may not understand, to avoid payment of claims.

The regulator creates a proper legal environment to ensure that the policyholder is protected and when he comes to the insurer after a loss, his contractual rights are protected. Regulations are created to protect the policyholder.

For insurance to be successful as a social security measure or as a business, public confidence in the insurance mechanism is required to be built. But, if an insurer fails to deliver what he promises, the particular insured loses his trust in the insurer. Many such instances may erode the trust and confidence of the people. Hence, insurance regulators use controls like prescribing a high capital base for issuing licences so that only financially strong companies can enter the insurance market.

Test Yourself 1

Question 1

As per the principle of indemnity, for acceptable claims; insurance companies pay _____

- A. Compensation only for the loss amount
 - B. The full policy amount irrespective of the loss amount
 - C. Actual loss amount even if the loss amount is more than the policy amount
 - D. 50% of the loss amount irrespective of the loss amount
-

2. Explain the areas where regulations mainly focus upon [Learning Outcome b]

Licensing: The regulatory processes starts from issuance of licences, checking the promoting company's credentials, analysing their business plan, ensuring that they have sufficient investment in the company, their ability to be in the business after paying a reasonable number of claims, background of people employed at senior levels and the like. As per existing rules the minimum capital requirement for starting life insurance business in India is 100 crores.

Management of funds

Insurers have large amounts of public funds with them and have to exercise proper control on their investment. Errors of insurers in making prudent investments can affect the financial security of many insured. Regulators try to ensure that owners of insurance companies do not take away the public funds or utilize the money for wrong purposes. Accounting norms, investment norms, audit systems, inspections etc. are created for this purpose.

Maintaining financial solvency

Insurers are expected to do their business prudently and remain financially healthy and strong. Regulations ensure that insurers do not take undue risks in their business and all employees should do business as per a management philosophy. So, the regulators ask them to have a business plans and create underwriting manuals, claims manuals etc. Actuarial evaluations of long-term liability, internal audit and external audit systems are also insisted upon. Solvency measures whether the insurance company can settle all the claims and still continue to be in business.

Standardisation of Insurance Products

Customers of consumer items can easily evaluate the products and promises made by sellers. However, customers of insurance do not have the chance for evaluating an insurer's promises to perform certain obligations under future situations. It is difficult for customers to evaluate an insurance policy at the time of purchasing insurance. Often, many policy conditions are not comprehensible to the common man. Insurance regulators professionally evaluate services to ensure standardisation of insurance products.

Pricing of Insurance Products

Buyers of insurance are unable to find out whether the policy is over-priced. If products are over-priced, insured feel cheated. Under-pricing of insurance products can make insurers weak and unable to pay claims when the contingency arises. To ensure that insurance products are priced on proper technical and business factors, effective regulation is needed.

Creating a Level Playing Field

The regulator has to create a level playing ground for all insurers by ensuring that all are abiding by ethical practices and no one gets an unfair edge over another. In addition to standardising insurance products and rationalising the prices,

regulators prescribe uniform norms for valuation of assets, actuarial vetting of rates etc. Norms are laid down for ensuring policyholders' protection and maintaining ethical standards.

Monitoring reinsurance

Reinsurance contracts run into huge amounts and more importantly, they have to work when an insurer gets a large claim. Regulators ensure that foreign exchange is not unduly lost through reinsurance programmes. Regulations in many countries try to retain maximum premium within the country and in some countries there are norms for placing a particular proportion of the reinsurance with national reinsurer(s).

Test Yourself 2

Question 2

How can one assess if an insurance company will be able to meet its claims or not?

- A. Operating margins of the company
 - B. Profitability of the company
 - C. Solvency ratio
 - D. Share capital of the company
-

3. Discuss the insurance regulatory systems of a few countries **[Learning Outcome c]**

The challenge of regulating insurance has grown with the growth of the industry. Over the last two decades, a lot of reforms have happened in insurance regulation worldwide.

Organisations like World Bank, World Trade Organisation (WTO), Asian Development Bank (ADB), Basel Committee on Banking Supervision (BCBS) and many other international bodies have contributed to insurance reform.

International Association of Insurance Supervisors (IAIS) is a full time body working for the better regulation and development of insurance. IAIS has developed core insurance principles relevant to contemporary markets and provided a forum of interaction among the insurance supervisors and professionals all over the world.

Insurance regulators like Financial Services Authority (FSA) of UK, National Association of Insurance Commissioners (NAIC) which is the apex body of fifty State level regulators of USA, Australian Prudential Regulatory Authority (APRA), and Financial Services Authority (FSA) of Japan, Bank Negara Malaysia (BNM) and Insurance Regulatory and Development Authority of India (IRDAI) of India are well known insurance regulators.

There are different associations of insurers and self-governing bodies that try to create standards in the insurance industry.

The International Association for the Study of Insurance Economics, popularly known as "The Geneva Association" is a non-profit world organisation that conducts research on growing importance of worldwide insurance activities in all sectors of the economy. It comprises around 80 chief executive officers from insurance companies from Europe, North America, South America, Asia, Africa and Australia. In addition to the regulators, there are associations of insurers in many countries who try to create discipline in the industry and promote professional ethics in the insurance market. Insurance Association of British Insurers (ABI) is one of the oldest and well respected entities.

International Association of Insurance Supervisors (IAIS) is presently reaching out to all insurance regulators and consolidating them under one banner and creating commonly acceptable standards for all regulators and markets across the world. Established in 1994, the IAIS represents insurance regulators and supervisors of some 190 jurisdictions. IAIS has more than 120 representations from industry associations, professional associations, insurers and reinsurers, consultants and international financial institutions. IAIS issues global insurance principles, standards and guidance papers, provides training and support on issues related to insurance supervision, and organises meetings and seminars for insurance supervisors.

IAIS works closely with other financial sector standard setting bodies and international organisations to promote financial stability and creates

opportunities for insurance supervisors, industry representatives and other professionals to discuss developments in the insurance sector and topics relating to insurance regulation.

Test Yourself 3

Question 3

The Financial Services Authority (FSA) is the insurance regulator of which country?

- A. United States
 - B. United Kingdom
 - C. Pakistan
 - D. France
-

4. Discuss the international regulatory trends in insurance sector [Learning Outcome d]

With referring insurers at International level specific to US

The regulatory landscape for insurance will continue to present significant challenges in 2016, with insurers facing new or modified rules and requirements that could significantly affect how they do business. In some regulatory areas, the requirements have been clarified over the past year and companies are now focusing on compliance and refinement. In other areas, regulations are still emerging or evolving and companies are looking for clues to help them prepare.

In Brief 10 key regulatory trends in insurance for 2016 to be highlighted, those challenges ahead.

1. Multiple regulatory influences

The regulatory environment for insurers in the US has grown vastly more complex in the wake of the global financial downturn. In the past, insurance regulation was primarily the responsibility of the states. But now, insurance regulation is being influenced and defined by a complex mix of regulators and quasi-regulators at three different levels: state, federal, and international.

2. Own Risk and Solvency Assessment (ORSA)

The year 2016 will see many insurers continuing to enhance their enterprise risk management (ERM) frameworks and build out their quantitative assessment of risks and capital. While the ORSA document is a point-in-time filing, state regulators have been clear that they expect the ORSA to be an embedded process that helps support ongoing risk- and capital-based decision making.

3. DOL fiduciary standards

On April 20, 2015, the Department of Labor (DOL) issued a re-proposed rule that would expand the definition of “fiduciary” under the Employee Retirement Income Security Act (ERISA) by requiring retirement investment advisers—including broker-dealers, registered investment advisers, and insurance agents—to abide by a fiduciary standard and address conflicts of interest in providing retirement investment advice.

4. Cybersecurity and privacy

Cybersecurity is at or near the top of just about every list of threats facing insurers, and for good reason. A number of recent cyber intrusions against insurance companies have been costly, both to reputations and bottom lines.

Such attacks also raise concerns about privacy and confidentiality, since insurance companies hold vast amounts of personal and sensitive data about their customers.

5. Acquisition from abroad

Although acquisition of US insurers by non-US companies is no longer a novelty, the market factors that drove this trend over the past few years remain in place, especially for Asian companies, making it likely such deals will continue.

6. Corporate governance

Corporate culture is often seen as a leading indicator of corporate behavior, prompting regulators in the insurance industry and elsewhere to push for improved oversight of corporate governance. To this end, the NAIC's Corporate Governance Annual Disclosure Model Act has been enacted and is currently being considered. Also, the US Securities and Exchange Commission (SEC) has proposed new compensation disclosure rules, which might affect some insurers.

7. Life insurer use of affiliated captives

Concern about the use of affiliated captives by life insurers continues to grow among both federal and international insurance regulators. For example, in its 2015 annual report, the FSOC cited certain captive transactions as possibly posing a systemic threat to the stability of the US economy. To help alleviate such concerns, the NAIC has been moving toward increased disclosure for captives.

8. Principle-based reserving (PBR)

Principle-based reserving for life insurers is a centerpiece of the NAIC's Solvency Modernization Initiative (SMI) and a high priority for that organization. Most insurers share this priority, seeing PBR as a way to right-size required reserves.

9. Regulatory response to disruptive technology

The insurance industry is ripe for technology disruption and regulators have already embraced a number of innovations, particularly on the property and casualty side. While some insurers might feel protected from disruption because the insurance industry is so highly regulated, many of the regulators we work with seem very interested and receptive to technology breakthroughs—especially if the resulting innovations create clear value for consumers.

10. Price optimization

In economics, elasticity is a measure of how one variable responds to changes in another. Demand elasticity is a measure of how much customer demand for a product changes in response to changes in price, and it is a basic tool for setting

the price of a competitive product. Price optimization is one common example of how businesses use the concept of elasticity to improve their performance.

The regulatory landscape for insurance continues to evolve, making it imperative for companies in the industry to keep a watchful eye on new and modified requirements.

Summary

- Insurance serves a great social need of providing financial security.
- The Government protects its citizens' welfare through the system of insurance.
- The contract between the insured and the insurer, in essence, is a promise of indemnification (reimbursement for the loss) in the event of a loss.
- The regulator creates a proper legal environment to ensure that the policyholder is protected and when he comes to the insurer after a loss, his contractual rights are protected. Regulations are created to protect the policyholder.
- IRDAI has laid down rules and regulation for insurance companies pertaining to licensing, premium investment, solvency margins, standardisation and pricing of insurance products.
- Over the last two decades, a lot of reforms have happened in insurance regulation worldwide and many international bodies have contributed to insurance reform.
- International Association of Insurance Supervisors (IAIS) is a full time body working for the better regulation and development of insurance.
- IAIS issues global insurance principles, standards and guidance papers, provides training and support on issues related to insurance supervision, and organises meetings and seminars for insurance supervisors.

Answers to Test Yourself

Answer to TY 1

The correct option is A.

As per the principle of indemnity, for acceptable claims; insurance companies pay compensation only for the loss amount.

Answer to TY 2

The correct option is C.

Solvency measures whether the insurance company can settle all the claims and still continue to be in business.

Answer to TY 3

The correct option is B.

The Financial Services Authority (FSA) is the insurance regulator of the United Kingdom.

Self-Examination Questions

Question 1

How much is the minimum capital requirement for starting insurance business in India?

- A. Rs. 25 crores
- B. Rs. 50 crores
- C. Rs. 75 crores
- D. Rs. 100 crores

Question 2

The International Association of Insurance Supervisors (IAIS) was established in which year?

- A. 1854
- B. 1994
- C. 1894
- D. 1954

Answers to SEQ

Answer to SEQ 1

The correct option is D.

The minimum capital requirement for starting insurance business in India is Rs. 100 crores.

Answer to SEQ 2

The correct option is B.

The International Association of Insurance Supervisors (IAIS) was established in 1994.

ANNEXURE 1

International Regulatory Framework

Introduction

III Course material is studied by candidates in different parts of the globe. Due to the practical difficulties in incorporating specific regulations from multiple countries into the course material, the Indian regulations and examples are cited in many contexts. However, candidates need to appreciate the regulatory context of the regulations cited from an international context in order to appreciate the macro-picture. This chapter intends to provide the international picture of insurance regulations which is being followed by every country. Candidates are advised to make an attempt to map their own country's regulations to the Insurance Core Principles listed in this chapter.

Insurers across the world consider it quite important that the insurance industry in every part of the world is well educated, well regulated and well managed.

Though many countries have their own regulatory¹ systems, international bodies, industry experts and many stakeholders found it necessary to establish a set of regulatory standards, which could be used by the insurance industry across the world. In response to this need, industry stakeholders came together and formed the International Association of Insurance Supervisors (IAIS) in 1994 as the international standard setting body responsible for developing principles, standards and other supporting material for the supervision of the insurance sector as also to assist in their implementation. The IAIS is a voluntary membership organization of insurance supervisors and regulators from more than 200 jurisdictions in nearly 140 countries².

The Mission of the IAIS is to promote globally consistent and effective supervision of the insurance industry in order to develop and maintain fair, safe and stable insurance markets for the benefit and protection of policyholders and to contribute to global financial stability.

The IAIS works in close collaboration with the IMF, World Bank, other international financial policymakers and associations of supervisors/ regulators; and assists in shaping financial systems. The IAIS provides inputs to the G20

¹ The term 'regulation' is used in some countries including India, while the IAIS and many countries use the word 'supervision'. Hence the words 'regulation' and 'supervision' are used in the same meaning in this section.

² Figures as on January 2017.

leaders and other international standard setting bodies on insurance matters and on issues related to regulating and supervising the global financial sector. The IAIS partners in the 'Access to Insurance Initiative' (A2ii). It works with the International Accounting Standards Board (IASB) as member of its Financial Stability Board (FSB) and Standards Advisory Council (SAC).

IAIS has set for itself seven High Level Goals namely, (i) Assessing and responding to Insurance Sector Vulnerabilities, (ii) The IAIS as the Global Standard Setter for Insurance, (iii) Contributing to financial stability in the insurance sector, (iv) Enhancing effective supervision, (v) Enhancing implementation and observance of Insurance Core Principles, (vi) Effective stakeholder outreach and external interaction; and (vii) Effective and efficient organization and operations

The Secretariat of IAIS is located in Basel and headed by the Secretary General. The IAIS has an Executive Committee drawing members come from different regions of the world. It has a Supervisory Forum and Committees, viz. (i) the Audit and Risk, (ii) Budget, (iii) Financial Stability, (iv) Implementation and (v) Technical Committees. Through these committees the IAIS provides a forum for Members to share their experiences and understanding of insurance supervision and insurance markets.

The IAIS adopted a set of 28 Insurance Core Principles (ICP) initially on 1st October 2011 to provide a globally accepted framework for the supervision of the insurance sector. After revisions down the years, there are 26 ICPs as revised on 25th November 2015³. The ICPs apply to insurance regulation/ supervision in all jurisdictions of developed and developing insurance markets. These apply for all types of insurance products and services which are being supervised by the Regulator in respect of both private and government insurers.

When the ICPs were originally introduced in 2003, the 28 ICPs were grouped under seven broad categories. However, these groups do not find mention in the revised versions including the latest version of 2015. In order to help new learners appreciate the logic of the learned framers of the ICPs, and get a glimpse of the purposes for which the ICPs were framed, a table of the groups and the related ICPs are presented below.

³ The latest version as on January 2017

Broad Grouping of the Insurance Core Principles (ICPs) (as per the Original Design of the 2003 version) ⁴	
1. Conditions for effective insurance supervision	
	ICP 1 Objectives, Powers and Responsibilities of the Supervisor
2. The supervisory system	
	ICP 2 Supervisor ICP 3 Information Exchange and Confidentiality Requirements
3. The supervised entity	
	ICP 4 Licensing ICP 5 Suitability of Persons ICP 6 Changes in Control and Portfolio Transfers ICP 7 Corporate Governance ICP 8 Risk Management and Internal Controls
4. On-going supervision	
	ICP 9 Supervisory Review and Reporting ICP 10 Preventive and Corrective Measures ICP 11 Enforcement ICP 12 Winding-up and Exit from the Market ICP 23 Group-wide Supervision ICP 25 Supervisory Cooperation and Coordination
5. Prudential requirements	
	ICP 13 Reinsurance and other Forms of Risk Transfer ICP 14 Valuation ICP 15 Investment ICP 16 Enterprise Risk Management for Solvency Purposes ICP 17 Capital Adequacy ICP 24 Macro-prudential Surveillance and Insurance Supervision
6. Markets and consumers	
	ICP 18 Intermediaries ICP 19 Conduct of Business ICP 20 Public Disclosure ICP 21 Countering Fraud in Insurance
7. Anti-money laundering, Combating the financing of terrorism	
	ICP 22 Anti-Money Laundering and Combating the Financing of Terrorism ICP 26 Cross-border Cooperation and Coordination on Crisis Management

⁴ Grouping in the table are by the author for purposes of academic clarity.

The 26 ICPs⁵ are excerpted below with brief comments wherever found necessary.

ICP 1 Objective, Powers and Responsibilities of the Supervisor: “The authority (or authorities) responsible for insurance supervision and the Objectives of insurance supervision are clearly defined.”

This ICP specifies that the Government should clearly identify the authority (or authorities) responsible for insurance supervision by legislation. In cases where there are multiple authorities responsible for insurance supervision, the IAIS specifies that the institutional framework and the responsibilities of the respective authorities are clearly set out in legislation to ensure all the objectives of insurance supervision are met.

ICP 2 Supervisor: “The supervisor, in the exercise of its functions and powers is operationally independent, accountable and transparent, protects confidential information, has appropriate legal protection, has adequate resources (and) meets high professional standards.”

Here, the IAIS tries to ensure that the independence, accountability and governance structure of the supervisor are clearly defined. It emphasizes that internal governance procedures, including internal audit arrangements are in place to ensure the integrity and rationale of decisions taken by the supervisor. The ICP specifies the importance of effective communication, prompt escalation of significant issues to appropriate levels within the supervisory system and the supervisor’s effectiveness in taking immediate action in the case of emergency situations.

ICP 3 Information Exchange and Confidentiality Requirements: “The supervisor exchanges information with other relevant supervisors’ and authorities subject to confidentiality, purpose and use requirements.”

This ICP is to empower the supervisor with the legal authority and power to obtain information from insurance entities for supervisory purposes and exchange the same with other supervisors that need such information. It enables exchange of information between supervisors of different sectors and makes it essential for supervisors to maintain due confidentiality about such shared information.

ICP 4 Licensing: “A legal entity which intends to engage in insurance activities must be licensed before it can operate within a jurisdiction. The requirements and procedures for licensing must be clear, objective and public, and be consistently applied.”

Through this ICP, the IAIS intends to protect the consumers of the insurance industry by improving the accountability of the players through a Licensing

⁵ Source: Website of the International Association of Insurance Supervisors - <http://www.iaisweb.org/page/supervisory-material/insurance-core-principles>

process. Strict licensing requirements and procedures would enable the supervisor to assess whether an entity would be able to fulfill its obligations to policyholders on an ongoing basis.

The idea is to license insurance entities under strict conditions at the point of admission to the insurance sector, which would improve the efficiency and stability of the sector. Further, the licensing mechanism would make it necessary to define the permissible legal forms of insurance entities and their specific activities which are being licensed. It would prohibit unauthorized activities of such entities, allocate the responsibility for issuing licenses and set out the procedure by which foreign insurers can operate in the jurisdiction.

ICP 5 Suitability of Persons: “The supervisor requires Board Members, Senior Management and Key Persons in Control Functions and Significant Owners of an insurer to be and remain suitable to fulfill their respective roles.”

From multiple perspectives including governance, it is important to ensure that a highly knowledge based and trust oriented industry like insurance employs the right people for doing particular functions. This ICP requires regulators to mandate the suitability of persons in many crucial positions like Board Members, Senior Management and control functions (financial controllers and treasurers) by statute/ regulation.

ICP 6 Changes in Control and Portfolio Transfers: “Supervisory approval is required for proposals to acquire significant ownership or an interest in an insurer that results in that person (legal or natural), directly or indirectly, alone or with an associate, exercising control over the insurer. The same applies to portfolio transfers or mergers of insurers.”

The regulator needs to track significant changes in the ownership and control of an insurance company. For this purpose ‘control’ over an insurer depends on parameters like number or percentage of issued shares/ financial instruments above a threshold level, voting rights attached to such shares/ financial instruments; and the power to appoint/ remove Directors to the Board and other Executive Committees.

ICP 7 Corporate Governance: “The supervisor requires insurers to establish and implement a corporate governance framework which provides for sound and prudent management and oversight of the insurer’s business and adequately recognizes and protects the interests of policyholders.”

An effective corporate governance framework enables an insurer to be flexible, transparent and responsive to developments affecting its operations. It should also help in making timely decisions to ensure that powers are not unduly concentrated. The framework should support and enhance the ability of the

Board, Senior Management and Key Persons in Control Functions to manage the insurer's business soundly and prudently.

The ICP requires the corporate governance framework of an insurer to (i) promote the development, implementation and effective oversight of internal policies; (ii) define the roles and responsibilities of persons accountable for management and oversight functions; (iii) set requirements relating to how decisions and actions are taken including documentation of significant or material decisions and their rationale; (iv) provide sound remuneration practices; (v) provide for communicating with the supervisor on matters relating to the management and oversight of the insurer; and (vi) provide for corrective actions to be taken for non-compliance or weak oversight, controls or management.

ICP 8 Risk Management and Internal Controls: 'The supervisor requires an insurer to have, as part of its overall corporate governance framework, effective systems of risk management and internal controls, including effective functions for risk management, compliance, actuarial matters and internal audit.'

The ICP emphasizes that for achieving proper risk management and internal controls, the supervisor would require the insurer to establish, and operate within, an effective risk management system which can be adapted when the insurer's business and internal and external circumstances change. The control systems and functions should be adequate to take care of the insurer's objectives, strategies, risk profile and the applicable legal and regulatory requirements.

ICP 9 Supervisory Review and Reporting: "The supervisor takes a risk-based approach to supervision that uses both off-site monitoring and on-site inspections to examine the business of each insurer, evaluate its condition, risk profile and conduct, the quality and effectiveness of its corporate governance and its compliance with relevant legislation and supervisory requirements. The supervisor obtains the necessary information to conduct effective supervision of insurers and evaluate the insurance market."

The supervisor would need the necessary legal authority, powers and resources to perform off-site monitoring and conduct on-site inspections of insurers, including monitoring and inspecting services and activities outsourced by the insurer. The supervisor should have the power to require insurers to submit information necessary for supervision.

ICP 10 Preventive and Corrective Measures: "The supervisor takes preventive and corrective measures that are timely, suitable and necessary to achieve the objectives of insurance supervision."

ICP 11 Enforcement: "The supervisor enforces corrective action and, where needed, imposes sanctions based on clear and objective criteria that are publicly disclosed."

ICP 12 Winding-up and Exit from the Market: “The legislation defines a range of options for the exit of insurance legal entities from the market. It defines insolvency and establishes the criteria and procedure for dealing with insolvency of insurance legal entities. In the event of winding-up proceedings of insurance legal entities, the legal framework gives priority to the protection of policyholders and aims at minimising disruption to the timely provision of benefits to policyholders.”

ICP 13 Reinsurance and Other Forms of Risk Transfer: “The supervisor sets standards for the use of reinsurance and other forms of risk transfer, ensuring that insurers adequately control and transparently report their risk transfer programmes. The supervisor takes into account the nature of reinsurance business when supervising reinsurers based in its jurisdiction.”

ICP 14 Valuation: “The supervisor establishes requirements for the valuation of assets and liabilities for solvency purposes.”

The IAIS believes that it is essential that financial/ regulatory reports are correctly recorded and differences in data, discount rate, methodology and assumptions along with their rationale properly explained and reconciled.

ICP 15 Investment: “The supervisor establishes requirements for solvency purposes on the investment activities of insurers in order to address the risks faced by insurers.”

The nature of insurance business necessitates the establishment of technical provisions and sufficient capital. It is also necessary that investments and assets should be adequate. This ICP emphasizes that these important aspects should be addressed by the supervisor.

ICP 16 Enterprise Risk Management for Solvency Purposes: “The supervisor establishes enterprise risk management requirements for solvency purposes that require insurers to address all relevant and material risks.”

This ICP uses the generic term Enterprise Risk Management (ERM) in describing the activities in respect of the insurance enterprise as a whole. It recognizes the importance of an ERM framework from a supervisory perspective in creating robust entity level and group-wide assessment of solvency. This would require the insurer’s ERM framework to identify and address all reasonably foreseeable and relevant material risks to which an insurer is, or is likely to be exposed.

ICP 17 Capital Adequacy: “The supervisor establishes capital adequacy requirements for solvency purposes so that insurers can absorb significant unforeseen losses and to provide for degrees of supervisory intervention.”

The overall financial position of an insurer should be based on consistent measurement of risks, assets and liabilities and identifying their potential impact

on all components of the balance sheet. In this context, the IAIS uses the term ‘total balance sheet approach’ to refer to the interdependence between assets, liabilities, regulatory capital requirements and capital resources.

ICP 18 Intermediaries: “The supervisor sets and enforces requirements for the conduct of insurance intermediaries, to ensure that they conduct business in a professional and transparent manner.”

ICP 19 Conduct of Business: “The supervisor sets requirements for the conduct of the business of insurance to ensure customers are treated fairly, both before a contract is entered into and through to the point at which all obligations under a contract have been satisfied.”

This ICP requires that the conduct of insurance business should help in strengthening public trust and consumer confidence in the insurance sector; and minimize the risk of insurers following unsustainable business models. The IAIS wishes to promote a sound insurance sector where insurers can maintain acceptable business practices, treat customers fairly and contribute to overall financial stability.

ICP 20 Public Disclosures: “The supervisor requires insurers to disclose relevant, comprehensive and adequate information on a timely basis in order to give policyholders and market participants a clear view of their business activities, performance and financial position. This is expected to enhance market discipline and understanding of the risks to which an insurer is exposed and the manner in which those risks are managed.”

ICP 21 Countering Fraud in Insurance: “The supervisor requires that insurers and intermediaries take effective measures to deter, prevent, detect, report and remedy fraud in insurance.”

ICP 22 Anti-Money Laundering and Combating the Financing of Terrorism: “The supervisor requires insurers and intermediaries to take effective measures to combat money laundering and the financing of terrorism. In addition, the supervisor takes effective measures to combat money laundering and the financing of terrorism.”

ICP 23 Group-wide Supervision: “The group-wide supervisor, in cooperation and coordination with other involved supervisors, identifies the insurance group and determines the scope of group supervision.”

ICP 24 Macro prudential Surveillance and Insurance Supervision: “The supervisor identifies, monitors and analyses market and financial developments and other environmental factors that may impact insurers and insurance markets and uses this information in the supervision of individual insurers. Such tasks

should, where appropriate, utilize information from, and insights gained by, other national authorities.”

ICP 25 Supervisory Cooperation and Coordination: “The supervisor cooperates and coordinates with other relevant supervisors and authorities subject to confidentiality requirements.”

ICP 26 Cross-border Cooperation and Coordination on Crisis Management: “The supervisor cooperates and coordinates with other relevant supervisors and authorities such that a cross-border crisis involving a specific insurer can be managed effectively.”

There is a system whereby the International community assesses the regulatory body of every country and finds out to what extent the ICPs are complied with. These observations are published as well. Prospective investors do evaluate such assessments when deciding to invest in the insurance industry of a country.

ANNEXURE 2

Right to Information Act, 2005 IRDAI /GEN/08/2007

Date: 13-06-201

The Government of India has enacted the Right to Information Act, 2005 (<http://www.persmin.nic.in>) which has come into effect from October 13, 2005. The Right to Information under this Act is meant to give to the citizens of India access to information under control of public authorities to promote transparency and accountability in these organisations. The Act, under Sections 8 and 9, provides for certain categories of information to be exempt from disclosure. The Act also provides for appointment of a Chief Public Information Officer to deal with requests for information.

IRDAI's Obligation under the Act

The Insurance Regulatory and Development Authority of India (IRDAI) is a public authority as defined in the Right to Information Act, 2005. As such, the Insurance Regulatory and Development Authority of India is obliged to provide information to members of public in accordance with the provisions of the said Act.

Access to the Information held by IRDAI

The right to information includes access to the information which is held by or under the control of any public authority and includes the right to inspect the work, document, records, taking notes, extracts or certified copies of documents / records and certified samples of the materials and obtaining information which is also stored in electronic form.

IRDAI Website

The IRDAI maintains an active website (URL: <http://www.irda.gov.in>). The site is updated regularly and all the information released by the IRDAI is also simultaneously made available on the website. The information published in public domain includes the following:

Acts/Regulations

1. Information relating to Insurers/Reinsurers, Agents Training Institutes, Appointed Actuaries.
2. Information relating to Surveyors, Third Party Administrators, Insurance Brokers, Corporate Agents
3. Information relating to Insurance Councils, Insurance Ombudsmen
4. Annual Report/IRDAI Journal
5. PressReleases

Complaints against Insurance Companies

IRDAI has provided for a separate channel for lodging complaints against deficiency of services rendered by Insurance Companies. If you have a complaint/grievance against an insurance company for poor quality of service rendered by any of its offices/branches, please approach the Nodal Officer of the Insurance Company concerned. In case you are not satisfied with the Insurance Company's response you may also file a complaint with the Insurance Ombudsman in your State. The Insurance Ombudsman is an independent office to provide speedy and cost effective resolution of grievances to the customers. For more details on Insurance Ombudsman Scheme and their contact numbers, please visit http://www.irdaindia.org/ins_ombusman.htm.

Complaints from Policyholders

Policyholders who have complaints against insurers are required to first approach the Grievance/Customer Complaints Cell of the concerned insurer. If they do not receive a response from insurer(s) within a reasonable period of time or are dissatisfied with the response of the company, they may approach the Grievance Cell of the IRDAI. For details of contact, please visit IRDAI website <http://irda.gov.in/irdaweb/grievancescell.htm>

Making an Application under the Right to Information Act, 2005

Citizens of India will have to make the request for information in writing, clearly specifying the information sought under the Right to Information Act, 2005. The application for request should give the contact details (postal address, telephone number, fax number, email address) so that the applicants can be contacted for clarifications or for further information. As per the Act, information can be furnished only to citizens of India but not to others.

How do I send my application?

As per the Right to Information (Regulation of Fee and Cost) Rules, 2005 prescribed by the Government of India: a request for obtaining information under Section 6(1) of RIA needs to be accompanied by an application fee of Rs.10 by way of cash against proper receipt or by DD or bankers' cheque.

You could send your request by post accompanied by the application fee of Rs.10/- payable by demand draft or bankers' cheque **favouring Insurance Regulatory and Development Authority of India**. The fee can also be paid in cash along with the application. Applications can also be made over fax or email. IRDAI will take up the application for consideration, as required.

Where do I send my request?

You can send your request addressed to any of the concerned Central Public Information Officers (CPIOs) indicated:

Department	Functional Areas
Actuarial	Actuarial Returns, Appointed Actuary System, File & Use of Life Products and other actuarial matters.
Life	Life Returns, Market conduct issues, Micro Insurance, Agents, Corporate Agents, ATI (Agents Training Institutions) and Referrals, approval of Branch Offices of Insurers, etc.
Non-Life	Reinsurance, File & Use of products, Surveyors, Approval of Branch Offices of Insurers and other matters relating to General Insurers and Re-insurer(s), Brokers, TPAs.
F & I	Accounts & Investments of Insurers and also registration of new Insurers, approval of appointment and remuneration of CEOs of Insurers, etc.
Administration, Inspection & Consumer Affairs	HR, Recruitment and training, Promotions, Vigilance etc. and office services, IT, International affairs, Internal Audit and Legal affairs and any other residual matters.
Consumer Affairs Department	Policyholders interests both life and non-life (Grievances, advertisements, Ombudsman etc.)
Delhi Office	Liaison work

Postal Address

Insurance Regulatory and Development Authority of India 3rd Floor, Parisrama Bhavan, BasheerBagh HYDERABAD 500 004
Ph: (040) 23381100
Fax: (040) 6682 3334

How long will IRDAI take to provide information?

IRDAI will, within 30 days of receipt of the application for information along with the fee, communicate to the requestor whether it can or cannot provide the information.

Will I have to pay to get the information?

As per the Right to Information (Regulation of Fee and Cost) Rules, 2005, the public authority shall charge:

- Rs.2/- for each page (in A-4 or A-3 size paper) created or copied;
- actual charge or cost price of a copy in larger size paper;
- actual cost or price for samples or models; and
- for inspection of records, no fee for the first hour; and a fee of Rs.5/- for each

15 minutes (or fraction thereof thereafter)

Further, to provide information under Section 7(5) of the Right to Information Act, 2005, the public authority shall charge:

- Rs. 50/- per diskette or floppy; and
- for information provided in printed form at the price fixed for such publication or Rs. 2/- per page of photocopy for extracts from the publication.

At what stage will I have to pay this cost?

If IRDAI has the information and can provide it to you it will, within 30 days of its receiving the application along with appropriate fees, communicate to you the cost of providing the information as prescribed under Section 7(1) of Right to Information Act.

When will I get the information?

You will get the information, once IRDAI receives the payment towards providing the information.

Can IRDAI refuse to give me information?

The Right to Information Act, 2005 under Sections 8 and 9 exempt certain categories of information from disclosures. These include:

- Information, disclosure of which would prejudicially affect the sovereignty and integrity of India, the security, strategic, scientific or economic interests of the State, relation with foreign State or lead to incitement of an offence.
- Information which has been expressly forbidden to be published by any court of law or tribunal or the disclosure of which may constitute contempt of court;
- Information, the disclosure of which would cause a breach of privilege of Parliament or the State Legislature;
- Information including commercial confidence, trade secrets or intellectual property, the disclosure of which would harm the competitive position of a third party, unless the competent authority is satisfied that larger public interest warrants the disclosure of such information;
- Information available to a person in his fiduciary relationship, unless the competent authority is satisfied that the larger public interest warrants the disclosure of such information;
- Information received in confidence from foreign Government; information, the disclosure of which would endanger the life or physical safety of any person or identify the source of information or assistance given in confidence for law enforcement or security purposes;
- Information which would impede the process of investigation or apprehension or prosecution of offenders;
- Cabinet papers including records of deliberations of the Council of Ministers, Secretaries and other officers;

- Information which relates to personal information the disclosure of which has no relationship to any public activity or interest, or which would cause unwarranted invasion of the privacy of the individual.

Do I have a right to appeal?

Under the Right to Information Act, 2005 you have the right to appeal if you are not satisfied with the information provided by IRDAI or its decision not to provide the information requested.

Who should I address my appeal to?

You can address the appeal to:
 Officer on Special Duty (Legal)
 Insurance Regulatory and Development Authority of India
 3rd Floor, Parisrama Bhavan,
 Basheer Bagh,
 HYDERABAD 500 04
 Ph: (040) 23381100 (D) 23381243
 Fax: (040) 6682 3334

What if I am not satisfied even with the decision of the appellate authority?

Under the Act, if you are not satisfied with the decision of the appellate authority within IRDAI, you can appeal to the Central Information Commissioner appointed in terms of Chapter 3 of the Right to Information Act, 2005.

Information Under Section 4(1)(b) of RTI Act' 2005

- Composition of Authority
- Duties, Powers and Functions of IRDAI
- Directory of IRDAI Employees
- Pay and Allowance in IRDAI
- Organization Structure
- Addresses of Offices of IRDAI
- Committee reports

Information Under Section 4(1) (d) of RTI Act' 2005

- Warnings and Penalties - Life Insurers
- Warnings and Penalties - Non-Life Insurers
- Warnings and Penalties - Reinsurers

ANNEXURE 3

INSURANCE REGULATORY AND DEVELOPMENT AUTHORITY OF INDIA

Ref: 3/CA/GRV/YPB/10-11, dated 27-7-2010

ALL LIFE AND GENERAL INSURANCE COMPANIES

Re: GUIDELINES FOR GRIEVANCE REDRESSAL BY INSURANCE COMPANIES

Grievance Redressal System/Procedure:

Every insurer shall have a system and a procedure for receiving, registering and disposing of grievances in each of its offices. This and all other relevant details along with details of Turnaround Times (TATs) shall be clearly laid down in the policy. While insurers may lay down their own TATs, they shall ensure that the following minimum time-frames are adopted:

- (a) An insurer shall send a written acknowledgement to a complainant within 3 working days of the receipt of the grievance.
- (b) The acknowledgement shall contain the name and designation of the officer who will deal with the grievance.
- (c) It shall also contain the details of the insurer's grievance redressal procedure and the time taken for resolution of disputes.
- (d) Where the insurer resolves the complaint within 3 days, it may communicate the resolution along with the acknowledgement.
- (e) Where the grievance is not resolved within 3 working days, an insurer shall resolve the grievance within 2 weeks of its receipt and send a final letter of resolution.
- (f) Where, within 2 weeks, the company sends the complainant a written response which offers redress or rejects the complaint and gives reasons for doing so,
 - (i) The insurer shall inform the complainant about how he/she may pursue the complaint, if dissatisfied.
 - (ii) The insurer shall inform that it will regard the complaint as closed if it does not receive a reply within 8 weeks from the date of receipt of response by the insured/policyholder.

Any failure on the part of insurers to follow the above-mentioned procedures and time-frames would attract penalties by the Insurance Regulatory and Development Authority of India.

It may be noted that it is necessary for each and every office of the insurer to adopt a system of grievance registration and disposal.

Turnaround Times:

There are two types of turnaround times involved.

- (i) The service level turnaround times, which are mapped to each classification of complaint (which is itself based on the service aspect involved).
- (ii) The turnaround time involved for the grievance redressal.

As to (i), the TATs are as mapped to the classification and prescribed by the Authority to insurers. These TATs reflect the time-frames as already laid down in the IRDAI Regulations for Protection of Policyholders Interests and more, as, wherever considered necessary(for certain service aspects not getting specifically reflected in the Regulations), specific TATs are indicated in the classification and mapping provided by the Authority.

As regards (ii) above, the minimum TATs required to be followed shall be as prescribed in guideline 4 (a) to (g) as prescribed above.

Closure of grievance:

Complaint shall be considered as disposed of and closed when

- (a) The company has acceded to the request of the complainant fully.
- (b) Where the complainant has indicated in writing, acceptance of the response of the insurer.
- (c) Where the complainant has not responded to the insurer within 8 weeks of the company's written response.
- (d) Where the Grievance Redressal Officer has certified that the company has discharged its contractual, statutory and regulatory obligations and therefore closes the complaint.

Categorisation of complaints:

- (a) Categorisation of complaints as prescribed by the Authority from time to time shall be adopted by insurers and incorporated in their systems.
- (b) The present classification prescribed by the Authority is placed at **Annexure A**. All insurers shall provide for these classification categories in their respective systems.

Minimum software requirements:

It is necessary for insurers to have automated systems that will enable online registration, tracking of status of grievances by complainants and periodical reports as prescribed by IRDAI. The system should also be one which can integrate seamlessly with the Authority's system in the manner prescribed by the Authority. The Authority shall define these requirements from time to time and insurers shall ensure that they provide for such software/system modifications as may be required. The objective is to create the required industry level database and systems that would enable speedy and effective redressal of complaints.

Calls relating to grievances

Insurers shall also have in place a system to receive and deal with all kinds of calls including voice/e-mail, relating to grievances, from prospects and policyholders. The system should enable and facilitate the required interfacing with IRDAI's system of handling calls/e-mails.

Publicising Grievance Redressal Procedure

Every insurer shall publicize its grievance redressal procedure and ensure that it is specifically made available on its website.

Policyholder Protection Committee

Every insurer that ensure that the Policyholder Protection Committee, as stipulated in the guidelines for Corporate Governance issued by the Authority, is in place and is receiving and analyzing the required reports from the management and is carrying out all other requisite monitoring activities.

Implementation of Integrated Grievances Management System (IGMS)

The Authority has developed the new Integrated Grievance Management System (IGMS) which will not only facilitate the policyholder to register/track their complaint online with insurance companies but also facilitate IRDAI for monitoring the grievance redressal procedure established in the insurance industry. The system involves mirroring of the grievance database of insurers in a central repository created for the said purpose.

What is IGMS?

The **Integrated Grievance Management System (IGMS)** facilitates online registration of policyholders' complaints and helps track their status.

How do you use IGMS?

A policyholder can make optimum use of this system by giving accurate information about the complaint like the policy number, name of the insurer, complainant's contact details etc. It would be useful to keep the policy document ready while registering the complaint online.

The Complaint Registration Process involves the following TWO SIMPLE steps

Step 1: Register yourself by entering your credentials.

Step 2: Use Registered credentials to register complaints / view their status.

Access IGMS at www.igms.irda.gov.in

IGMS is also linked to IRDAI Grievance Call Centre.

LOGIN for Registered Users

Identify By :

Enter Number :

Date of birth (DD-MMM-YYYY):



If you are a first time user, please [click here](#) to register

What should you do in case you have a complaint against an insurer?

You should first approach the insurer's Grievance Redressal Mechanism as spelt out in the insurance policy document (link to the insurers' grievance mechanism is available on the IRDAI website).

What if there is no response from the insurer?

In case the complaint is not fully attended to by the Insurer within 15 days of lodging it, you may use the IGMS for escalating the complaint to IRDAI.

Introduction: This study guide will give information on growth and development of the insurance sector in India. The chapter also explains how insurance business was nationalised and then reforms were initiated and the sector was once again opened up to private sector participation.

In India, insurance has a deep-rooted history and it finds mention in the writings of Manu (*Manusmrithi*), Yagnavalkya (*Dharmasastra*) and Kautilya (*Arthasastra*).

Stages in the development of life insurance in India

- Insurance law in India had its origins in the United Kingdom with the establishment of a British firm, the Oriental Life Insurance Company in 1818 in Calcutta
- This was followed by the Bombay Life Assurance Company in 1823, the Madras Equitable Life Insurance Society in 1829 and the Oriental Life Assurance Company in 1874.
- However, till the establishment of the Bombay Mutual Life Assurance Society in 1871, Indians were charged an extra premium of up to 20% as compared to the British.
- The first statutory measure in India to regulate the life insurance business was in 1912 with the passing of the Indian Life Assurance Companies Act, 1912 ("Act of 1912") (which was based on the English Act of 1909).
- Other classes of insurance business were left out of the scope of the Act of 1912, as such kinds of insurance were still in rudimentary form and legislative controls were not considered necessary.
- Presently 24 life insurers including one public sector and 23 private players are available in the market.

Stages in the development of non-life insurance in India

- General insurance has its origins in the United Kingdom.
- The first general insurance company Triton Insurance Company Ltd. was promoted in 1850 by British nationals in Calcutta.
- The first general insurance company established by an Indian was Indian Mercantile Insurance Company Ltd. in Bombay in 1907.
- Eventually, with the growth of fire, accident and marine insurance, the need was felt to bring such kinds of insurance within the purview of the Act of 1912. While there were a number of attempts to introduce such legislation over the years, non-life insurance was finally regulated in 1938 through the passing of the Insurance Act, 1938.
- The Insurance Act, 1938 along with various amendments over the years continues till date to be the definitive piece of legislation on insurance and controls both; life insurance and general insurance.
- General insurance, in turn, has been defined to include “fire insurance business”, “marine insurance business” and “miscellaneous insurance business”, whether singly or in combination with any of them.
- Presently 29 non-life insurers including 4 public sector, one Agriculture insurer, one export credit guarantee corporation, five stand alone health insurer and 18 private insurers are in insurance market.

Insurance Sector Reforms

- In 1993, Government of India appointed R. N. Malhotra Committee to lay down road map for opening up of the insurance sector to private sector participation.
- While the committee submitted its report in 1994, the enabling legislation was passed in the year 2000, amending the Insurance Act of 1938 and legislating the IRDAI Act of 2000.
- As per the FDI norms, foreign participation in an Indian insurance company was restricted to 26% to 49% equity/ordinary sharing capital with the balance being funded by Indian promoter entities. In April 2015 RBI notified government decision FDI limit raise to 49%.

Two councils of the Insurance Association:

- **The Life Insurance Council and**
- **The General Insurance Council**



Provisions of the General Insurance Business (Nationalisation) Act, 1972 (GIBNA)

Functions of General Insurance Corporation (GIC)

- the carrying on of any part of general insurance business as deemed desirable;
- aiding, assisting and advising the companies in the matter of setting up of standards of conduct and sound practice in general insurance business and in rendering efficient customer service;
- advising the acquiring companies in the matter of controlling their expenses including the payment of commission and other expenses;
- advising the acquiring companies in the matter of the investment of funds;
- issuing directions to acquiring companies in relation to the conduct of general insurance business

General insurance companies were merged together and ultimately four Indian companies were formed:

- The National Insurance Company Limited
- The New India Assurance Company Limited
- The Oriental Insurance Company Limited and
- The United India Insurance Company Limited

Important aspects

- GIC was designated as the Indian reinsurer to which all the domestic insurers were obliged to cede 20% of gross direct premium in India [presently it is 5%].
- The Insurance Regulatory and Development Authority of India Act (IRDAI) Act, 1999 incorporated a new sub-clause in section 2 of the Insurance Act, 1938 under which an Indian Insurance company can carry on life insurance business or general insurance business or re-insurance business. The Insurance Act, 1938 also defines the expression “Indian re-insurer” to mean an insurer, who carries on exclusive re-insurance business and is approved in this behalf by the Central Government.
- That to prevent flight of capital from India in the form of reinsurance premium and to ensure the development of our own strength and resources to retain the risks within the country itself, General Insurance Corporation has been made to operate only in reinsurance arena.
- In the year 2000 reforms were initiated by the Government and the IRDAI was formed and the insurance sector was liberalised and opened up to private sector participation. As per current rules Foreign Direct Investment (FDI) upto 49% is allowed in the insurance sector.
- The insurance industry of India consists of 53 insurance companies of which 24 are in life insurance business and 29 are non-life insurers. Among the life insurers, Life Insurance Corporation (LIC) is the sole public sector company.
- Out of 29 non-life insurance companies, there are six public sector insurers, which include two specialised insurers namely Agriculture Insurance Company Ltd for Crop Insurance and Export Credit Guarantee Corporation of India for Credit Insurance. Moreover, there are 5 private sector insurers are registered to underwrite policies exclusively in Health, Personal Accident and Travel insurance segments.

Important aspects

- They are Star Health and Allied Insurance Company Ltd, Apollo Munich Health Insurance Company Ltd, Max Bupa Health Insurance Company Ltd, Religare Health Insurance Company Ltd and Cigna TTK Health Insurance Company Ltd.
- In addition to 53 insurance companies, there is sole national re-insurer, namely, General Insurance Corporation of India. Other stakeholders in Indian Insurance market include approved insurance agents, licensed Corporate Agents, Brokers, Common Service Centres, Web-Aggregators, Surveyors and Third Party Administrators servicing Health Insurance claims.
- Insurance Laws (Amendment) Act, 2015 provides for enhancement of the Foreign Investment Cap in an Indian Insurance Company from 26% to an Explicitly Composite Limit of 49% with the safeguard of Indian Ownership and Control.
- Insurance penetration of India i.e. Premium collected by Indian insurers is 3.30% of GDP in FY 2014-15. Per capita premium underwritten i.e. insurance density in India during FY 2014-15 is US\$ 55.0.
- The Amendments to the Insurance Act, 1938 in the year 2015 have further provided impetus for the second phase of reforms, which have resulted in the Foreign Direct Investment (FDI) limits being increased to 49 percent, and has opened up the market for global reinsurance players to set up re-insurance branch offices in India. IRDAI has laid down the regulatory framework for the 'Other forms of Capital'. As a result, insurance companies can raise funds through the issue of Preference Share Capital and Subordinated Debt.
- Discussion Paper are issued by IRDAI on "Listing of India Insurance Companies on 11th August 2016.

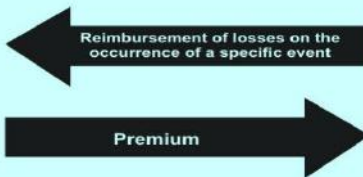
Introduction: This study guide will provide understanding of IRDAI duties, powers and functions also with Acts governing the Insurance business of the IRDAI. It will also help you understand the various functions carried out by the insurance councils.

Insurance is an agreement by which

- **one party called the 'insured'**
- **pays a stipulated consideration called 'premium'**
- **to the other party called the 'insurer',**
- **in return for which the insurer agrees to pay a defined amount of money or provide a defined service**
- **if a covered event occurs during the policy term.**



Insured



Insurer

Insurance Regulatory and Development Authority of India (IRDAI)

- Insurance Regulatory and Development Authority of India (IRDAI) was formed by the Government of India by passing the IRDAI Act, 1999 in the Parliament.
- IRDAI is the National agency of Government of India for the Indian insurance industry.
- It is created for the supervision and development of the insurance sector in India

Objectives of IRDAI



- Protecting the interest of the insured (i.e. the policyholders); and
- Promoting orderly growth of the insurance industry.

Composition of IRDAI



Authority consists of the following members:

- a Chairperson;
- not more than five whole-time members; and
- not more than four part-time members.

Purpose of forming the IRDAI

- To protect the interest of policyholders and to secure their fair treatment.
- To bring about speedy and orderly growth of the insurance industry (including annuity and superannuation payments), for the benefit of the common man, and to provide long term funds for accelerating growth of the economy.
- To set, promote, monitor and enforce high standards of integrity, financial soundness, fair dealing and competence of those it regulates.
- To ensure that insurance customers receive precise, clear and correct information about products and services and to make them aware of their responsibilities and duties in this regard.
- To ensure speedy settlement of genuine claims, to prevent insurance frauds and other malpractices and put in place effective grievance redressal machinery.
- To promote fairness, transparency and orderly conduct in financial markets dealing with insurance and build a reliable management information system to enforce high standards of financial soundness amongst market players.
- To take action where such standards are inadequate or ineffectively enforced.
- To bring about optimum amount of self-regulation in day to day working of the industry consistent with the requirements of prudential regulation.

Duties, powers and functions of the IRDAI

1. Subject to the provisions of this Act and any other law for the time being in force, the Authority shall have the duty to regulate, promote and ensure orderly growth of the insurance business and re-insurance business.
2. Without prejudice to the generality of the provisions contained in sub-section (1), the powers and functions of the Authority shall include:
 - a) issue to the applicant a certificate of registration, renew, modify, withdraw, suspend or cancel such registration;
 - b) protection of the interests of the policy holders in matters concerning assigning of policy, nomination by policy holders, insurable interest, settlement of insurance claim, surrender value of policy and other terms and conditions of contracts of insurance;
 - c) specifying requisite qualifications, code of conduct and practical training for intermediary or insurance intermediaries and agents;
 - d) specifying the code of conduct for surveyors and loss assessors;
 - e) promoting efficiency in the conduct of insurance business;

Duties, powers and functions of the IRDAI

- f) promoting and regulating professional organisations connected with the insurance and re-insurance business;
- g) levying fees and other charges for carrying out the purposes of this Act;
- h) calling for information from, undertaking inspection of, conducting enquiries and investigations including audit of the insurers, intermediaries, insurance intermediaries and other organisations connected with the insurance business;
- i) control and regulation of the rates, advantages, terms and conditions that may be offered by insurers in respect of general insurance business not so controlled and regulated by the Tariff Advisory Committee under Section 64U of the Insurance Act, 1938 (4 of 1938);
- j) specifying the form and manner in which books of account shall be maintained and statement of accounts shall be rendered by insurers and other insurance intermediaries;
- k) regulating investment of funds by insurance companies;
- l) regulating maintenance of margin of solvency;
- m) adjudication of disputes between insurers and intermediaries or insurance intermediaries;
- n) supervising the functioning of the Tariff Advisory Committee;
- o) specifying the percentage of premium income of the insurer to finance schemes for promoting and regulating professional organisations referred to in clause (f);
- p) specifying the percentage of life insurance business and general insurance business to be undertaken by the insurer in the rural or social sector; and
- q) exercising such other powers as may be prescribed

Motor Vehicles Act, 1988

- The Motor Vehicles Act 1988 replaces the M.V Act 1939 and it came into force from 01 July 1989.
- Motor insurance policy is required to cover the insured's liability in respect of death or bodily injury of certain persons (e.g. third parties, fare-paying passengers, paid drivers, etc.) and damage to property of third parties. The limits of liabilities required to be covered are also prescribed in the Act.
- The Motor Vehicle Act also provides for the constitution of Motor Accidents Claims Tribunals (MACT) by the State Governments. The objective of this amendment is to ensure speedy settlement of claims of persons involved in Motor Vehicle accidents.
- The Motor Vehicles (MV) Act, 1988 mandates payment of compensation to the victims of accidents arising out of the use of a motor vehicle or motor vehicles, in public places by the owner or owners, as the case may.
- The MV Act provides that no person shall use a motor vehicle in public places without a policy of insurance complying with the requirements of the MV Act
- The compensation payable to the claimants is determined by the Motor Accident Claims Tribunals(MACT) established under the MV Act.



The MV Act, 1988: Salient features

- No person shall use, except as a passenger, a motor vehicle in public places, unless there is a policy of insurance complying with the requirements of the MV Act, (Sec.146)
- The policy must be against any liability incurred by the insured in respect of death or bodily injury to any person or damage to any property of a third party. (Sec.147)
- The insurer can be made a party to the proceedings of the Motor Accident Claims Tribunal (Sec 149)
- When a cover note issued by an insurer is not followed by a policy within the prescribed time, the insurer is bound to notify the fact to the concerned Registering Authority (Sec 147)
- A claimant is entitled to compensation of Rs. 50,000 in cases of death of Rs. 25,000 in the cases of injury without burden of proof of fault on the part of the vehicle owner. (Sec 140-No fault liability)
- A claimant may also seek compensation on the basis of the structured formula prescribed in the Act. (Sec 163 A)
- A claimant may at his option, approach the Tribunal having jurisdiction over the area
 - i) in which the accident occurred,
 - ii) here he resides,
 - iii) carries on business or
 - iv) where the defendant resides (Sec 166)
- For victims of hit and run cases i.e. where the identity of the vehicle cannot be ascertained the insurers are liable to pay the stipulated compensation (Sec 161)
- The Tribunal may direct payment to interest on the award at the rates and from the date specified by it. (Sec.171)
- The Tribunal shall arrange to deliver copies of the award to the parties concerned within a period of fifteen days from the date of award(Sec. 168)
- The person liable to satisfy the award shall do so within thirty days of announcement of the award (Sec 168)

Latest Amendment- The Motor Vehicles (Amendment) Act, 2015

- This Amendment come into force on the 7th day of January, 2015 for insertion of e-cart and e-rickshaw a special purpose battery powered vehicle of power not exceeding 4000 watts, having three wheels for carrying goods or passengers, as the case may be, for hire or reward, manufactured, constructed or adapted, equipped and maintained in accordance with respective specifications, as may be prescribed and amendments for the driving license to drive e-cart or e-rickshaw accordingly.

Indian Motor Third Party Insurance Pool [IMTPIP]

- In December 2006, IRDAI issued directions that all the General Insurers will collectively participate in a pooling arrangement to share in all motor third party insurance business. The GIC was nominated by the IRDAI as the administrator of the pooling arrangement.
- The Pool is operational from 1st April 2007. The salient features of the pool are as under:
 - (a) The GIC's share would be the statutory cession received by it.
 - (b) All other members will cede to the pool in proportion to their market share of the Gross Direct Premium underwritten in India.
 - (c) The General Insurance Council shall appoint a committee to lay down detailed underwriting policies and procedures as well as detailed claims processing procedures.
- The pool will handle only commercial vehicles covered by policies issued by all general insurers. GIC being as Pool Administrator has since established IT systems to receive all data pertaining to policies, premiums and claims.
- As per IRDAI notification dated 22.03.2012 directed to dismantling of the existing IMTPIP with effect from March 31, 2012.

Motor Third Party Declined Risk Pool (IMTPDRP)

- Considering compulsory nature of Act only liability policy as per the MV Act, and to avoid possible supply side constraints for such insurance covers, the Authority vide its order dated 23rd December 2011 formed Indian Motor Third Party Declined Risk Pool (IMTPDRP) for Commercial vehicle (Act only Insurance), commonly called as Declined Risk (DR) pool. The pool was made effective from 01.4.2012. Under this, insurers had the right to refuse or decline third-party insurance if it found it too risky an asset to underwrite. This declined vehicle would then be given a cover by another insurer. However, the risk would be ceded or transferred to the declined pool. For the remaining vehicles, insurers would be free to underwrite risks independently. This meant a deferential pricing system, based on claims, age, and frequency of accidents, would evolve.
- The GI Council and some of the Members of the pool, in their representations to the Authority, have expressed that there is no need of continuing the DR Pool after the insurers are mandated by law and maintaining two mandates for the same purposes is not required. On examination of the said suggestions, the Authority decided to dismantle the Indian Motor Third Party Declined Risk Pool for Commercial Vehicle (Act only Insurance) with effect from 1st April, 2016.
- Notwithstanding, the General Insurers shall not deny motor third party insurance cover to any vehicle owner at any point of time. Any such refusal shall be viewed seriously and treated as regulatory noncompliance.

No Fault Liability

Section 140(1) of the Motor Vehicles Act, 1988 provides as follows:

“Where the death or permanent disablement of any person has resulted from an accident arising out of the use of a motor vehicle, the owner of the vehicle shall, or, as the case may be, the owners of the vehicles shall, jointly and severally, be liable to pay compensation in respect of such death or disablement in accordance with the provisions of this section.”

Hit and Run Accidents

- Hit and run accident is “an accident arising out of the use of a motor vehicle or motor vehicles the identity where of cannot be ascertained in spite of reasonable efforts for the purpose.”
- Section 163 provides that the Central Government may established a fund known as the Solatium Fund to be utilized for paying compensation in respect of death or grievous hurt to persons resulting from Hit and Run Motor Accidents.
- The compensation payable for death claims is fixed at Rs 25,000/- and in respect of ‘grievous hurt’ Rs 12,500/- after the amendment to Motor Vehicles Act, 1988.

Solatium Fund

- The Solatium Fund will consist of contribution from the General Insurance Industry, the Central Government and the State Government as decided by the Central Government.
- The Central Government is also authorised by the Act to make a scheme to provide for the administration of the Solatium Fund.
- Accordingly, the Solatium Scheme 1989 has been made by the Central Government for the payment of compensation to the victims of 'hit and run' motor accident. The Scheme came into force from 1st July 1989.
- The scheme provides for nomination of offices of the insurance companies in each district for settlement of claims.

Structured Formula For Compensation

The Act was amended on 14.11.1994 to introduce a new concept of 'payment of compensation on structured formula basis."

The new Section 163A provides for fixed compensation to be paid to victims of fatal injuries in motor vehicle accidents, based on their age and income

Marine Insurance Act , 1963

- Marine Insurance Act, 1963 codifies the law relating to Marine Insurance.
- With a few exceptions this Act closely follows the U.K Marine Insurance Act, 1906

The Carriage of Goods By Sea Act, 1925

Act defines the responsibilities , liabilities , rights and immunities of a ship – owner in respect of loss damage to cargo carried.

Broadly, speaking, the Act deals with the aspects of ship owner's liabilities towards cargo owners. They are:

- The circumstances when the ship owner is deemed to be liable for loss or damage to cargo unless he proves otherwise.
- The circumstances when the ship owner is exempted from liability , i.e. when loss or damage is caused by events outside his control, e.g. perils of the seas.
- The limits of liability of a shipowner for loss or damage to cargo calculated in monetary terms per package or unit of cargo.

The Bill of Lading Act, 1885

Act defines the character of the Bill of Lading as an evidence of the contract of carriage of goods between the ship owner and the shipper, as an acknowledgement of the receipt of the goods on board the vessel and , as a document of title.

The Carriage by Road Act, 2007

Act defines the rights and liabilities of truck owners or operators who carry goods for public hire in respect of loss or damage to goods carried by them

Multi-Modal Transportation of Goods Act of 1993 & 2000

- In the changing economic scenario, factors such as globalization of markets, international economic integration, and removal of barriers to business and trade and increased competition have enhanced the need of transportation. It is one of the most important infrastructure requirements, which is essential for the expansion of opportunities and plays an important role in making or breaking the competitive positioning. The cargo industry is still an expanding market. The need for a comprehensive logistics systems in transportation, communications and information sector, continues to grow. Freight forwarding services alone are no longer sufficient, special deals are to be initiated on regular intervals to lure the customers to maintain them on permanent status, especially to cater to the increasing needs of seasonal vendors.
- Therefore, the cargo market demands a global solution and network linking all four modes of transportation i.e. (a) Air (b) Road (c) Rail (d) Sea. The combination of these modes is defined as 'multimodal transport system' .
- A worldwide network linking airlines, roadways, railways and shipping lines in one chain with a motive of better quality of service to customers with the most economical costing and dependable schedule.
- Multimodal transportation is the movement of cargo from the point of origin to the final destination, by using two or more modes of transport. In its essence Multi Modal Transportation of goods means transportation of cargo from the premises of the shipper to those of the consignee, by more than one mode of transportation, under a single contract which has its evidence in form of a single multimodal transport contract.
- In India Multi-Modal Transportation of Goods is regulated by, Multi-Modal transportation of Goods Act of 1993, which stands amended by, the Multi-Modal transportation of goods Act of, 2000.

Indian Railways Act, 1989

The Act was first passed in 1890. The Railways Act, 1989 came into effect from 1st July, 1990. Whereas, the Act deals with various aspects of railway administration, there are also provisions which are relevant to marine insurance. These provisions related to rights and liabilities of railways as carriage of goods.

The Railways Claims Tribunal Act, 1987 provides for formation of Tribunals to deal with claims for cargo loss, personal injuries, refund of excess freight etc. and prescribes procedures there under

Employee's State Insurance Act, 1948

- The Employees; State Insurance Act, 1948 .It as been described as an Act "to provide for certain benefits to employees in cases of sickness, maternity and employment injury and to make provisions for certain other matters in relation thereof'.
- Un less Under the Act, the Employees' State Insurance Corporation has been set up to administer the Insurance Scheme applicable to Industrial employees.
- A fund is maintained consisting of contribution from the employees, employers and the Government.

Employees Compensation Act 1923 [Earlier Workmen's Compensation Act, 1923]

- Workmen's Compensation Act, 1923 came into force on 01st July, 1924.
- The Act provides for the payment by employers to their workmen of compensation for injury by accident, or disease arising out of and in the course of employment.



Public Liability Insurance Act, 1991

- The Act was introduced in 1991 to provide public liability insurance for providing immediate relief to the person affected by accident occurring while handling any hazardous substance and for matters connected therewith or incidental thereto.
- The Act gives relief on principles of No Fault.
- Where death of or injury to any person (other than a workman) or damage to any property has resulted from an accident, whilst handling hazardous substances, the owner shall be liable to give following relief for such death, injury or damage:
 - a) Reimbursement of medical expenses incurred up to a maximum of Rs. 12,500/- in each case
 - b) For fatal accidents the relief will be Rs. 25,000 per person in addition to reimbursement of medical expenses, if any, incurred on the victim up to a maximum of Rs. 12,500/-
 - c) Up to Rs.6,000/- depending on the actual damage for and damage to private property

The Indian Stamp Act, 1899

- The Indian Stamp Act requires that a policy of insurance be stamped in accordance with the schedule of rates prescribed therein.

Exchange Control Regulations

Insurers have to follow Exchange Control Regulations issued by the Reserve Bank of India under the applicable statute, Foreign Exchange Management Act, 1999.

Following provisions have been specified:

Part A – Marine Insurance

Part B – Non – Marine Insurance

Part C – Reinsurance

Part D – Foreign Currency Accounts and Investments Abroad

General and Life Insurance Councils

The Insurance Association of India consists of:

Members: All the insurers that are incorporated or domiciled in India.

Associate members: All insurers incorporated and domiciled outside India.



Councils of the Insurance Association of India

Section 64C of the Insurance Act, 1938 provides for two Insurance Councils in India. They are:

- **The Life Insurance Council:** It consists of all the members and associate members of the Association who carry on life insurance business in India.
- **The General Insurance Council:** It consists of all the members and associate members of the Association who carry on general insurance business in India.

Authority of members of the Association to act through agents

Section 64D of the Insurance Act, 1938 states that it shall be lawful for any **member** of the Life Insurance Council or the General Insurance Council **to authorise any individual**, whether an officer of the insurer or not, **to act as the representative of such member at any meeting of the Council** concerned or to stand as a candidate for any election held by that Council.

Executive Committee of the Life Insurance Council shall consist of the following persons

- two officials nominated by the Authority, one as the Chairman and the other as a member;
- eight representatives of members of the Insurance Association of India
- one non official not connected with any insurance business, nominated by the Authority; and
- five persons connected with life insurance business, nominated by the Authority

Executive Committee of the General Insurance Council shall consist of the following persons

- two officials nominated by the Authority, one as the Chairman and the other as a member
- eight representatives of members of the Insurance Association of India
- one non-official not connected with any insurance business, nominated by the Authority
- five persons connected with general insurance business, nominated by the Authority
- If any body of persons specified in point (1) and (2) fails to elect any of the members of the Executive Committees of the Life Insurance Council or the General Insurance Council, IRDAI may nominate any person to fill the vacancy
- Life Insurance Council or the General Insurance Council may form such other committees consisting of such persons as it may think fit to discharge such functions
- The Secretary of the Executive Committee of the Life Insurance Council and of the Executive Committee of the General Insurance Council shall in each case be an official nominated by the IRDAI.

Duration and dissolution of Executive Committees

According to Section 64H of the Insurance Act, 1938:

- The duration of the Executive Committee of the Life Insurance Council or the General Insurance Council shall be three years from the date of its first meeting on the expiry of which it shall stand dissolved and a new Executive Committee constituted.
- Notwithstanding the dissolution of the Executive Committee of the Life Insurance Council or the General Insurance Council, the out-going members thereof shall continue to hold office and discharge such administrative and other duties as may be prescribed until such time as a new Executive Committee of the Life Insurance Council or the General Insurance Council, as the case may be, shall have been constituted

Functions of the Executive Committee of the Life Insurance Council

- To aid, advise and assist insurers carrying on life insurance business in the matter of setting up standards of conduct and sound practice and in the matter of rendering efficient service to holders of life insurance policies;
- To render advice to the IRDAI in the matter of controlling the expenses of insurers in respect of their life insurance business in India;
- To bring to the notice of the IRDAI the case of any insurer acting in a manner prejudicial to the interests of holders of life insurance policies; and
- To act in any matter incidental or ancillary to any of the matters specified in Clauses (a) to (c) as, with the approval of the IRDAI, may be notified by the Life Insurance Council in the Gazette of India.

Functions of the Executive Committee of the General Insurance Council

According to Section 64L of the Insurance Act, 1938 the functions of the Executive Committee of the General Insurance Council are:

- to aid and advise insurers, carrying on general insurance business, in the matter of setting up standards of conduct and sound practice and in the matter of rendering efficient service to holders of policies of general insurance;
- to render advice to the IRDAI in the matter of controlling the expenses of such insurers carrying on business in India, in the matter of commission and other expenses;
- to bring to the notice of the IRDAI the case of any such insurer acting in a manner prejudicial to the interests of holders of general insurance policies; and
- to act in any matter incidental or ancillary to any of the matters specified in Clauses (a) to (c) as with the approval of the IRDAI may be notified by the General Insurance Council in the Gazette of India.





Powers of the Executive Committee to act together

- Section 64N of the Insurance Act , 1938 specifies that in certain cases the Executive Committees of the Insurance Councils can act together.
- The Central Government may prescribe the circumstances in which, the manner in which, and the conditions subject to which, the Executive Committee of the Life Insurance Council and the Executive Committee of the General Insurance Council may hold joint meetings for the purpose of dealing with any matter of common interest to both Committees, and it shall be lawful for the two Committees at any such joint meeting to delegate any matter under consideration for the determination of a subcommittee appointed for this purpose from amongst the members of the two Committees.

Introduction: This study guide explains the code of conduct applicable to individual agents, corporate agents, brokers, surveyors and regulation for TPA. It also explains registration of insurance companies and various regulations related to reinsurance.

The code of conduct applicable to Agents, Corporate Agents and Brokers

Licensing		
Insurance Brokers	Corporate Agents	Agents
Direct broker is licensed by authority to act as such, for remuneration carries out the functions as specified under Regulation 3 Reinsurance Broker is one who, for remuneration, arranges reinsurance for direct insurers with insurance and reinsurance companies Composite Broker is one who for the time-being licensed by the Authority to act as such, for a remuneration arranges insurance for its clients with insurance companies and / or reinsurance for its client/s.	Licensed by IRDAI to act as an Insurance agent either for three Life/General/Health insurers "Composite corporate agent is licensed by IRDAI to act as agent for three life and general and/or health insurers." Composite Corporate Agent" means a Corporate Agent who holds a licence to act as an insurance agent for a life /general insurer and health insurer.	No License is required. Composite Insurance Agent" means an Insurance Agent who holds a licence to act as an insurance agent for a life /general insurer and health insurer.

Status of Applicant

Insurance Brokers	Corporate Agents	Agents
licence can be granted to proprietor, a partnership firm, a company, a Co-operative Society or any other person recognized by the Authority to act as an insurance broker	a firm, a company, a bank, a regional rural bank, a co-operative society, a panchayat, a local authority, a non-governmental organisation or a micro lending finance organisation	IRDAI has left the matter to the decided by the insurers to decide upon the minimum educational qualification for recruitment of the agents.

Authority for issuing Licenses

Insurance Brokers	Corporate Agents	Agents
according to regulation 10, the authority on being satisfied that the applicant fulfils all the conditions specified for the grant of licence, grants a licence	The Authority issues and renews licenses.	No License is required.

Qualifications

Insurance Brokers	Corporate Agents	Agents
possess minimum qualification and Insurance Broker Examination is the chief executive officer of the Broking Company	corporate insurance executive/ chief executive - should undergo practical training	practical training and passed examination

Functions

Insurance Brokers	Corporate Agents	Agents
placing business, risk management, consultancy, assisting in claims, maintaining underwriting and claims records.	identifies himself with insurance company and follows code of conduct given in Regulations	identifies himself with the insurance company and follow the code of conduct

Disqualifications

Insurance Brokers	Corporate Agents	Agents
specified under Sub Section (5) of Section 42D of the Insurance Act.	Specified under Section 42 of the Insurance Act.	

Training and Examination

Insurance Brokers	Corporate Agents	Agents
shall undergo at least 50 hours of theoretical and practical training from an institution recognized by the Authority	practical training and passing of pre-recruitment examination as specified under Regulation 5	practical training and passing of pre-recruitment examination as specified under Regulation 5.

Capital Requirement		
Insurance Brokers	Corporate Agents	Agents
a) For a Direct Broker – Rs. 75 lakhs b) For Reinsurance Broker – Rs. 400 lakhs c) For Composite Broker – Rs. 500 lakhs.	No capital requirement has been specified for individual agents. Equity capital or net worth of Rs.50 lakhs is required for corporate agent.	

Validity of Licence		
Insurance Brokers	Corporate Agents	Agents
licence once issued shall be valid for a period of 3 years from the date of its issue	Not Applicable.	Not Applicable.

Renewal of Licence		
Insurance Brokers	Corporate Agents	Agents
as per Regulation 14 the application for a renewal shall be dealt with in the same manner as per fresh application. The renewal application must be accompanied with a fee of Rs 1,000. Licence fee payable on in principle renewal is Rs. 100000/ for Direct broker, Rs. 150000/ for Reinsurance broker and Rs. 300000/ for Composite broker	Not applicable to the individual agents. Registration renewal fee is rupees Twenty five thousand.	

Cancellation or suspension of licence or certificate		
Insurance Brokers	Corporate Agents	Agents
Regulation 49 and 50 gives the Authority, the power to suspend / cancel the licence	under Regulation 11, the designated person may cancel a licence or a certificate	the designated person may cancel a licence of an insurance agent if the agent suffers, at any time during the currency of the licence, from any disqualifications mentioned in Sub-Section (4) of Section 42 of the Act

Remuneration (Regulation 26)		
Insurance Brokers	Corporate Agents	Agents
No insurance broker shall be paid or contract to be paid by way of remuneration an amount exceeding prescribed under Regulation 26.	Every Corporate Agent / Agent shall be paid a commission as per provisions of Section 40A / Section 40 of the Act.	

Ceiling on business from single client (Regulation 20)

Insurance Brokers	Corporate Agents	Agents
The business of the insurance broker shall be carried in such a manner that, not more than 50% of the premium (quantum, receipts, etc. as the case may be) in each year of the business shall emanate from any one client.	As per code of conduct under Regulation 9, no corporate agent shall have a portfolio of insurance business from one person or one organization under which the premium is in excess of 50% of total premium procured in any year	There are no such provisions or limits for individual agents.

Code of Conduct (Regulation 30)

Insurance Brokers	Corporate Agents	Agents
Every insurance broker shall abide by the Code of Conduct as specified in Schedule III.	Every Licenced Corporate Agent shall abide by the Code of Conduct specified in Regulation 9.	Every person holding licence shall adhere to the Code of Conduct specified in Regulation 8.

Deposit Requirements (Regulation 23)

Insurance Brokers	Corporate Agents	Agents
keep deposited with any scheduled bank a sum equivalent to Ten lacs for Direct Broker and 10% of the minimum capital for Reinsurance and Composite brokers in fixed deposit	No such deposit is required to be maintained by corporate agents / individual agents.	

'Insurance Bank Account' (Regulation 23)

Insurance Brokers	Corporate Agents	Agents
shall ensure that insurance money is held in an Insurance Bank Account for reinsurance transactions only	no such 'Insurance Bank Account' is prescribed for corporate agent / individual agent.	

Professional Indemnity Insurance (Regulation 24)

Insurance Brokers	Corporate Agents	Agents
every insurance broker shall take out and maintain and continue to maintain a professional indemnity insurance all the times	Any corporate agent having more than 50% revenue from insurance intermediation to take an insurance for professional indemnity policy equivalent to two times annual insurance remuneration with minimum Rs. 50 lakhs and maximum Rs. 1 crore.	

Maintenance of books of accounts, records etc. (Regulation 34)

Insurance Brokers	Corporate Agents	Agents
shall prepare for every accounting year annual accounts and submit to the Authority. They shall also furnish to the Authority a half-yearly un-audited financial statement	"Corporate agent incorporated exclusively for insurance intermediation are required to submit annual accounts to the regulator including cash flow. Other to maintain and capture segment wise record of insurance income and other fees from insurance."	

Membership

Insurance Brokers	Corporate Agents	Agents
shall confirm that it is a member of the Insurance Brokers Association of India.	there is no such mandatory provision for corporate agents / individual agents.	

The regulation of functioning of Web Aggregators

Web Aggregators compile and provide information about insurance policies of various companies on a website.

- **Eligibility criteria for License of the Web Aggregator :** For the grant of License / Renewal of license of the web aggregator, the applicant shall ensure the fulfillment of the conditions including but not limited to the following-
- The applicant is a person as defined under regulation 2 (i).
- The Memorandum of Association of the company or such other documents of applicants shall have the business of web aggregation of Insurance Products only as its main object.
- The applicant is not engaged in any other business other than the main object (Web Aggregation of Insurance Products) of the applicant AND shall not be licensed / registered as an insurance agent, corporate agent, micro insurance agent, TPA, surveyor, Loss assessor or any other Insurance Intermediary under the relevant Regulations framed by the Authority AND shall not have a referral arrangement with an Insurer AND shall not be a related party of an insurer, insurance broker, corporate agent, micro-insurance agent, TPA, Surveyor or a loss assessor or other insurance intermediary at any time.
- The Principal Officer shall possess the qualification as specified in Schedule V.
- The Principal Officer of the Web Aggregator should have undergone 50 hours of training initially and 25 hours of renewal training at the end of every three years thereafter.
- The Principal Officer / Directors / Promoter(s) / Shareholders / Partners / Key Management Personnel should fulfill the conditions in the FIT and PROPER criteria notified by the authority from time to time.
- The web aggregator should not have violated the obligations as specified in Schedule VI and the code of conduct as specified in Schedule VII to these regulations.

Web Aggregators 's Duties and Functions

The Web Aggregator shall:

- ✓ Display Information, as per Regulation 13, pertaining to the Insurers who have signed agreement with the Web Aggregators.
- ✓ Carryout the activities for the purpose of Lead Generation for insurers.
- ✓ Ensure that the information systems, (both hardware and software) including the aggregation website(s) / portals, Lead Management System and the Data Centers hosting the website(s) / Portal(s) / Lead Management System are in compliance with the generally accepted information security standards and procedures in force in India from time to time.
- ✓ Ensure that the leads and other data is transmitted to the insurers and others using secured layer data encryption technologies like 128 bit encryption.
- ✓ Use only RBI licensed payment gateways for collection and transfer of premium to insurers when the web aggregator is authorized by the insurer to collect the premium on behalf of the insurer.
- ✓ Ensure to get the information systems (both hardware and software) including the aggregation website(s) / portals, Lead Management System and the Data Centers hosting the website(s) / Portal(s) / Lead Management System Audited by CERT-In empanelled Information Security Auditing organisations once in a financial year and submit a copy of the Audit Certificate/Report to IRDAI and the insurers with whom the web aggregator has entered into an agreement, within 15 days from the date of receipt of the same.

Web Aggregators 's Duties and Functions

The Web Aggregator shall not :

- ✓ Display any information pertaining to products or services of other Financial institutions / FMCG or any product or service on the website.
- ✓ Display advertising of any sort, either pertaining to any product or service including insurance product or service, other financial products or service / or any other product or service in the Web Aggregators Website..
- ✓ Operate multiple websites or tie up with other approved/unapproved/unlicensed entities/websites for lead generation / comparison of product etc. **subject to the following exceptions:**
- ✓ Using multiple Domain names or same domain names with suffixes such as .com or .in or co.in for the primary website of the Web Aggregator used for comparison of insurance products is allowed provided.
- ✓ The domain names of primary or secondary or product category specific websites or mobile sites are owned and registered in the name of the Web Aggregator.
- ✓ The Web Aggregator should inform the Authority in writing about the date of Registration and also date of launching of domain names of such websites or mobile sites in the application for grant of license and thereafter within 15 days from the date of Domain Name Registration and Date of launching respectively in case of any change in the name(s) of the existing websites or new websites.
- ✓ Operate the websites of other Financial / Commercial / marketing or sales or service entities or use other Social Media sites etc. for comparison of products etc.
- ✓ Operate in any other manner for the purpose of transmitting leads to any entity engaged in insurance business except as provided under these Regulations.

The regulation for Insurance Marketing Firm

❖ A new distribution channel - Insurance Marketing Firm is an entity registered by the Authority to solicit or procure insurance products as specified in regulation 3(a) of these regulations, to undertake insurance service activities as specified in regulation 3(b) of these regulations and to distribute other financial products as specified in regulation 3(c) of these regulations by employing individuals licensed to market, distribute and service such other financial products.

❖ "Insurance Sales Person" (ISP) is an individual employed by Insurance Marketing Firm to solicit or procure insurance products and who holds a valid certificate issued by the Authority for the purposes of the same

❖ **Scope and applicability of these Regulations**

❖ **Registration Of Insurance Marketing Firm**

❖ **Capital Requirements of Insurance Marketing Firm**

❖ **Duties and Obligations of Insurance Marketing Firm towards Insurance Companies**

Insurance Marketing Firm, on obtaining the registration from the Authority under Sec. 42D of the Act, as amended from time to time, to act as an insurance intermediary, may enter into agreements with Insurance companies for carrying out Insurance Business activity. The Agreement shall include conditions relating to.

Engagement with the Insurance Marketing Firm , Prescribed code of conduct,
Sales processes/rules etc., Remuneration basis., Minimum term., Sharing of records
Product training., Collection of premiums through Reserve Bank of India (RBI) recognized mode of payments and as mutually agreed between the IMF and the insurer in the agreement.

The regulation for CSC- SPV (Common Services Centers Scheme - Special Purpose Vehicle)

❖ "As per the CSC Scheme policy, a Special Purpose Vehicle (SPV) has been formed, so that the Government can progressively migrate to an e-Governance platform and enable services through the CSC network. The CSC SPV which is named as "CSC e-Governance Services India Ltd" has been incorporated under the Companies Act 1956 on 16th July 2009. The Company has also received the Certificate for Commencement of Business on 12th August 2009. The shareholders of the SPV include Government of India through 1 Golden share, State Governments – up to 44.5 % shares, SCAs - up to 44.5 % shares and Financial Institutions - up to 11 % shares.

❖ The SPV is proposed to adopt various roles. At the basic level, the SPV is conceptualized to monitor the CSC Scheme and its outcomes on behalf of the Government at the National and State levels. In brief, key roles would include:

❖ Facilitating Government Outreach through CSCs

Providing a standardized monitoring framework for collaborative decision making process with State Governments and SCAs

Catalyzing and maintaining content aggregation on an on-going basis

Enabling Government functioning through the CSCs

Facilitating G2C Service Readiness

Monitoring the outcomes being achieved by the CSC

Building Capacity of all stakeholders

Facilitating in Deployment of Services

Looping Best Practices

The regulation for Point of Salesperson (POS)

Definition "Point of Sales Person" means an individual who possess the minimum qualifications, has undergone training and passed the examination as specified in these guidelines and solicits and markets only certain pre-underwritten products approved by the Authority.

Point of Sales Person

1. There shall be two types of persons who shall solicit and market insurance policies namely:
 - a. insurance agent or specified persons of corporate agent or broker trained persons for soliciting and marketing insurance policies or insurance sales persons of Insurance Marketing Firm or rural authorised persons of CSC-SPV or authorised person of web aggregators who can solicit and market all types of insurance policies.
 - b. "Point of Sales Person" who can solicit and market only certain pre-underwritten products approved by the Authority. And Every "POS Person" shall be identified by his Aadhaar Card Number or his PAN Card.
2. The persons soliciting and marketing such pre-underwritten products approved by the Authority shall be called as "Point of Sales Person".
3. The "Point of Sales Person" shall be atleast 10th pass. AND He shall be sponsored to NIELIT (National Institute of Electronics and Information Technology), by the insurance company or the insurance intermediary with whom he shall work, for undergoing online training specified for "Point of Sales Person".
4. The fees for the online training and examination shall not exceed Rs five hundred which will be paid to NIELIT by either the insurance company or the insurance intermediary who is sponsoring the individual.
5. The training module will be hosted on NIELIT website as approved by the Authority.
6. He shall appear in the online examination conducted by NIELIT who shall be the examining body.
7. On successful passing the examination, he will be issued a letter by NIELIT certifying him to be a "POS".

The regulation for Insurance Repositories (IR)

Objective and Utilization of Insurance Repository System

The objective of creating an insurance repository is to provide policyholders a facility to keep insurance policies in electronic form and to undertake changes, modifications and revisions in the insurance policy with speed and accuracy in order to bring about efficiency, transparency and cost reduction in the issuance and maintenance of insurance policies

Definitions –

"Insurance Repository" or "IR" means a company formed and registered under the Companies Act, 2013 or other entity and which has been granted a certificate of registration under these Guidelines by the Authority.

"e-Insurance Account" or "eIA" is an electronic account opened by a person with an insurance repository wherein the portfolios of insurance policies of a policyholder are held in an electronic form. "e-insurance policy" shall mean a policy document which is an evidence of insurance contract issued by an insurer digitally signed in accordance with the applicable provision prescribed by law and issued in an electronic form either directly to the policyholder or through the platform of registered Insurance repository.

"Insurance Transactions Exchange or "iTrex" is a central index server that offers de duplication services and acts as a messaging hub between entities creating eIAs, electronic policies and their servicing.

"Shell-Insurance Account" or "s-IA" is an electronic account wherein the brief portfolio of insurance policies of policyholders (including prospective) like Name, Date of Birth, address and policy number is held in an electronic form with iTrex.

IRDAI has specified limits on payment of commission or brokerage on general insurance business. These limits have been amended from 1st April 2017.

The regulation for Third Party Administrators (TPA- Health Services) Regulations , 2016

Conditions of and Procedure for Licensing of TPA

Company should have minimum paid up share capital of 4 crore and should be registered under the Companies Act, 1956 to function as a TPA. Its primary object shall be to carry on business in India as a TPA in the health services.

Regulations on the functioning of TPA

- it centralizes funding decisions on health needs of a policyholder (covers private health plans as well as mediclaim policies)
- to function as an intermediary between the insurer and the insured and facilitate cash less service at the time of hospitalisation

Insurance companies can now outsource their administrative activities, including settlement of claims, to third party administrators, who offer such services for a cost

The TPA shall obtain from the Authority a licence to function as a TPA for rendering health services.

- The application for licence shall be made in writing to the Authority be accompanied by a non-refundable processing fee of Rs. 20,000 and applicable service tax to the Authority
- The Authority, may issue a licence, if it is satisfied that the applicant TPA is eligible to function as a TPA.
- Every TPA shall pay a further sum of Rs. 30,000 (Rupees Thirty Thousand only) and applicable service tax to the Authority as licence fee before the licence is granted to it and the same shall be paid to the Authority.
- A TPA whose application has been rejected by the Authority shall not, for a period of two years, apply once again to the Authority for a licence
- A copy of the agreement entered into between the TPA and the insurance company or any modification shall be filed, within 15 days of its execution, with the Authority.
- More than one TPA may be engaged by an insurance company and, similarly, a TPA can serve more than one insurance company.

Code of Conduct for TPA

1. A TPA licensed under these regulations shall as far as possible act in the best professional manner.
2. It shall be the duty of every TPA, its Chief Administrative Officer or Chief Executive Officer and its employees or representatives to:
 - a. establish its or his or their identity to the public and the insured/policyholder and that of the insurance company with which it has entered into an agreement
 - b. disclose its licence to the insured/policyholder/prospect
 - c. disclose the details of the services it is authorised to render in respect of health insurance products under an agreement with an insurance company;
 - d. bring to the notice of the insurance company with whom it has an agreement, of any adverse report or inconsistencies or any material fact that is relevant for the insurance company's business;
 - e. obtain all the requisite documents pertaining to the examination of an insurance claim arising out of insurance contract concluded by the insurance company with the insured/policyholder;
 - f. render necessary assistance specified under the agreement and advice to policyholders or claimants or beneficiaries in complying with the requirements for settlement of claims with the insurance company;
 - g. refrain from acting in a manner, which may influence directly or indirectly insured/policyholder of a particular insurance company to shift the insurance portfolio from the existing insurance company to another insurance company

Code of Conduct for TPA

- h. refrain from acting in a manner, which may influence directly or indirectly insured/policyholder of a particular insurance company to shift the insurance portfolio from the existing insurance company to another insurance company.
- i. conduct itself /himself in a courteous and professional manner;
- j. refrain from trading on information and the records of its business;
- k. maintain the confidentiality of the data collected by it in the course of its agreement;
- l. refrain from resorting to advertisements of its business or the services carried out by it on behalf of a particular insurance company, without the prior written approval by the insurance company;
- m. refrain from inducing an insured/policyholder to omit any material information, or submit wrong information;
- n. refrain from demanding or receiving a share of the proceeds or indemnity from the claimant under an insurance contract;
- o. follow the guidelines/directions that may be issued down by the Authority from time to time

Where a TPA licence granted by the Authority is lost or mutilated, the Authority may issue a duplicate licence on payment of a fee of Rs. 2,000/- (Rupees Two Thousand only) and applicable service tax accompanied by an application in writing made by the TPA.

Revocation or Cancellation of a Licence

A license granted to a TPA may after due notice be revoked or cancelled by the Authority for one or more of the reasons as provided in regulation 14.



Registration of insurance companies

1. General Registration Requirements:

- The applicant would need to be a company registered under the provisions of the Indian Companies Act, 1956. Any person intending to carry on insurance business in India would need to set up separate entity in India.
- The aggregate equity participation of a foreign company in the applicant company cannot exceed forty nine percent of the paid up capital of the insurance company.
- The applicant can carry on any one of the life insurance business, general insurance business or re-insurance business.
- The name of the applicant needs to contain the words “insurance company” or “assurance company”

2. Capital Structure Requirements:

- A minimum paid up equity capital of rupees one billion in case of an applicant which seeks to carry on the business of life insurance or general insurance
- A minimum paid-up equity capital of rupees two billion, in case of a person carrying on exclusively the business of reinsurance.

3. Procedure for obtaining a certificate of registration:

- An applicant is required to make a separate requisite for registration for each class of business i.e. life insurance business consisting of linked business: non linked business” or both, or General insurance business including health insurance business.
Health insurance business exclusively;
Reinsurance business.
- An applicant may apply to the authority within 30 days of rejection for re-consideration of its decision
- An applicant whose requisition for registration has been rejected may approach the Authority with a fresh request for registration application after a period of two years from the date of rejection, with a new set of promoters
- An applicant, whose requirement has been accepted, may make an application along with the relevant documents evidencing deposit, capital and other requirements in the prescribed form for grant of a certificate of registration
- An applicant grant a certificate of registration may commence the insurance business within twelve months from the date of registration.

4. Renewal of registration:

- An insurer who has been granted a certificate of registration should renew the registration before the 31st day of January of the preceding financial year.
- And such application should be accompanied by evidence of fees that should be the higher of;
 - ✓ Five lakh rupees for each class of insurance business
 - ✓ one-twentieth of one per cent of total gross premium written direct by an insurer in India during the financial year preceding the year in which the annual fee is required to be paid, or rupees ten crore whichever is less

5. Suspension of registration:

- Conducts its business in a manner prejudicial to the interests of the policy holders
- Fails to furnish any information as required by the authority
- Does not submit periodical returns
- Does not co-operate in any inquiry conducted by the authority
- Indulges in manipulating the insurance business
- Fails to make investment in the infrastructure

6. Cancellation of certificate of registration:

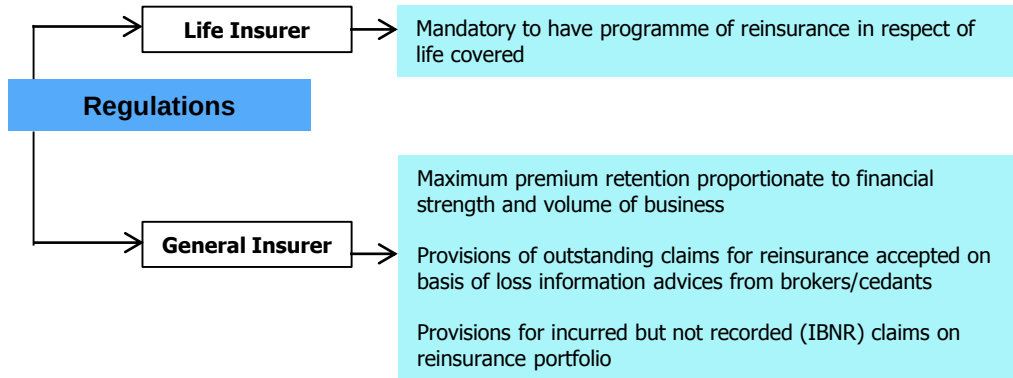
- If the insurer fails to comply with the provisions to deposit
- If the insurer fails, at any time, to comply with the provisions relating to the excess of the value of his assets over the amount of his liabilities
- If the insurer is in liquidation
- If the business or a class of the business of the insurer has been transferred to any person
- If the whole of the deposit made in respect of the insurance business has been returned to the insurer
- If, in the case of an insurer, the standing contracts is cancelled
- If the Central Government of India so directs

7. Revival of registration:

The Authority has discretion, where the registration of an insurer has been cancelled to revive the registration, if the insurer within six months from the date on which the cancellation took effect;

- Makes the deposits
- Complies with the provisions
- Has his standing contract restored
- Has the application accepted

The various regulations related to life and general RE insurance



IRDAI (Life Insurance – Reinsurance Regulations) 2000 and 2016

1. Every life insurer shall draw up a programme of reinsurance in respect of lives covered by him.
2. The profile of such a programme, duly certified by the Appointed Actuary, and approved by the Board of Directors shall be filed with the Authority, at least 45 days before the commencement of each financial year, by the insurer
3. The insurer shall ensure that the reinsurance arrangements in respect of catastrophe risks, using various realistic disaster scenario testing, are adequate and approved by the Board of Directors before filing the same with the Authority along-with the reinsurance programme.
The insurer shall determine the credit risk and concentration risk of the reinsurance arrangements and explain the measures taken to mitigate such risks, if any, in the reinsurance programme.
4. The Authority shall scrutinise such a programme of reinsurance as referred to in sub-regulation (2) and may suggest changes, if it considers necessary, and the insurer shall incorporate such changes forthwith in his programme.
5. Every insurer shall build retention capacity and formulate suitable retention policy for each type of product/risk on an ongoing basis and justify the same on an on going basis based on claims experience, financial standing , underwriting capacity etc, in the annual reinsurance programme submitted to the Authority.
The aim of the retention is to retain the maximum premium earned in India across products and establish the reinsurance programme.
6. Insurers may be allowed to reinsure on a Quota Share basis in the initial first two years of operations for health and group term insurance and in the two years of introducing a new risk/product for health or group term provided the minimum retentions in all such cases will at least as referred in Table:6 (1).

IRDAI (Life Insurance – Reinsurance Regulations) 2000 and 2016

7. If the retention levels of such retention policy for mortality / morbidity risks is less than the regulatory reporting retention limits stated in Table:6 or the total reinsurance premium to the total premium received under a particular product exceeds 2% for all saving products and 30% for all term insurance /health products, in all such cases, the insurers shall report to the Authority along with the reinsurance programme for approval a detailed working for each product.
8. All reinsurance arrangements and every Treaty contract for the year along with the list of reinsurers, their ratings and their shares shall be filed with the Authority within 30 days of the commencement of the financial year. Any changes in the terms and conditions to be filed within 15 days of the changes.
9. Insurers shall place their reinsurance business outside India with only those reinsurers who have over a period of the past five years counting from the year preceding for which the business has to be placed, enjoyed a credit rating of at least BBB (with Standard & Poor) or equivalent rating of any other international rating agency. Placement with any other reinsurer requires the prior approval of the Authority. No reinsurance arrangements with promoter company/its associates or group is permitted except on commercially competitive terms and with prior approval of Authority.
10. Every insurer shall submit to the Authority statistics relating to its reinsurance transactions in such forms as it may specify, together with its annual accounts

IRDAI (General Insurance – Reinsurance Regulations) 2000 and 2016

Objectives : The Reinsurance Programme of every Indian Insurer/ Indian Reinsurer/Foreign reinsurer branch shall be guided by the following objectives to:

- Maximize retention within the country;
- Develop adequate capacity;
- Secure the best possible reinsurance protection/ coverage required to protect the interest of the policy holder/insurer at a reasonable cost
- Simplify the administration of business.

Retention policy :

❖Every Indian insurer/Indian reinsurer/foreign reinsurer branch shall maintain the maximum possible retention commensurate with its financial strength, quality of risks and volume of business.

❖Every Indian insurer/Indian reinsurer/ foreign reinsurer branch shall formulate a suitable retention policy for each insurance segment. In case the insurance segment consists of more than one product, retention policy for each product shall be separately defined.

❖The Authority may require an Indian insurer/Indian reinsurer/foreign reinsurer branch to justify its retention policy and may give such directions as considered necessary in order to ensure that the Indian insurer/ Indian reinsurer/foreign reinsurer branch is not merely fronting for a Cross Border Reinsurer.

Obligatory Cession:

▪Every insurer shall cede such percentage of the sum assured on each policy for different classes of insurance written in India to the Indian reinsurer/s as may be specified by the Authority in accordance with the provisions of Part IVA of the Insurance Act, 1938.

Reinsurance program: The reinsurance programme of every Indian insurer/Indian reinsurer/ foreign reinsurer branch shall commence from the beginning of every financial year.

❖ Every Indian insurer/Indian reinsurer/ foreign reinsurer branch shall submit to the Authority, its board approved reinsurance programme along with retention policy for the forthcoming year, 45 days before the commencement of the financial year.

❖ If any amendment is made in the Reinsurance program subsequent to it being filed with the Authority, the Indian insurer/ Indian reinsurer/ foreign reinsurer branch, shall file with the Authority, the Final Reinsurance Program, together with the approval of the Board of Directors within 30 days of the commencement of the financial year.

The Indian insurers/Indian reinsurers/foreign reinsurer branches shall ensure that the reinsurance arrangements in respect of catastrophe accumulations are adequate, by using various realistic disaster scenarios. The catastrophe modelling report and the basis on which the quantum of catastrophe protection is purchased for the forthcoming year may be detailed in the Reinsurance program and shall be approved by their Board of Directors. A synopsis of the report, shall be filed with the Authority along-with the final reinsurance programme.

➤ Every Indian insurer/Indian reinsurer / Foreign Reinsurer Branch shall within 30 days of the commencement of the financial year, file with the Authority a copy of every reinsurance treaty contract wordings and excess of loss cover note in respect of that year together with the list of all reinsurers, their ratings and their shares in the proportional & non-proportional reinsurance arrangement.

Every Indian Insurer/Indian reinsurer/foreign reinsurer branch shall file with the Authority any new reinsurance arrangement, giving full details, documentation, reasons for such an arrangement together with the approval of the Board of Directors within 15 days of approval of the Board. The Indian insurer/Indian reinsurer/foreign reinsurer branch shall further ensure that the renewal of such a reinsurance arrangement coincides with the financial year.

Reinsurance Reg .2016 Every Indian Insurer/Indian reinsurer/foreign reinsurer branch shall file with the Authority any new reinsurance arrangement, giving full details, documentation, reasons for such an arrangement together with the approval of the Board of Directors within 15 days of approval of the Board. The Indian insurer/Indian reinsurer/foreign reinsurer branch shall further ensure that the renewal of such a reinsurance arrangement coincides with the financial year.

➤The Authority may, if necessary, call for further information or explanations in respect of the reinsurance programme. The Authority may also, if necessary, direct the Indian insurer/Indian reinsurer/foreign reinsurer branch to carry out changes to the reinsurance programme filed with it and the Indian insurer/Indian reinsurer/foreign reinsurer branch shall incorporate such changes forthwith in their reinsurance programme and submit the revised program to the Authority.

Creation of Pools: Based on necessity, and / or Indian market appetite for a class of risk / product, the Indian Reinsurer/s and/ or Foreign Reinsurer's Branch/ shall organise domestic pools, in consultation with all Indian insurers and / or foreign reinsurer branches on matters relating to objective, basis, limits and terms which are fair to all stakeholders. The arrangements so made shall be submitted to the Authority within three months of the formation of such pools, for approval. The Authority, wherever necessary, shall also advise the Indian reinsurer to organise domestic pools, in collaboration with Foreign Reinsurer's Branches, (if required). These regulations shall equally be applicable for all reinsurance arrangements of the pool. The pool Administrator shall submit the returns, details of Reinsurance arrangement, statements on the performance of the pool, in the manner and periodicity as stipulated by the Authority from time to time.

Cession limits:

- Surplus over and above the domestic reinsurance arrangements can be placed with any of the cross border reinsurers, complying with regulation 3(9).
- Such placements are subject to the insurance segment-wise limits stipulated under regulation 3 (11)(e) of these regulations. These limits define the maximum reinsurance cession that can be made to any particular Cross border reinsurer under any insurance segment.
- These cession limits are applicable on reinsurance placements made to Cross Border reinsurers by the Indian insurer/s and retrocession arrangements made by the Indian Reinsurer/s to Cross Border reinsurers
- The cession limits shall also be applicable on all retrocession arrangements made by foreign reinsurer branches with Cross Border Reinsurers.

Cross Border Reinsurers: Eligibility Criteria: Every Indian Insurer/Indian reinsurer/foreign reinsurer branch shall place their reinsurance business outside India with only those cross border reinsurers based on the following eligibility criteria:-

Cross Border Reinsurers: Eligibility Criteria: (a)The cross border reinsurer is a legal entity in its home country, regulated and supervised by its home regulators/ supervisors.

(b)The financial strength, quality of the management and adequacy of technical reserving methodologies of the cross border reinsurer should be monitored by its supervisory authority, in the home country. (c) The cross Border reinsurer having at least a credit rating of BBB (with Standard & Poor) or equivalent rating of an international rating agency for immediately preceding three years.

(d)The Cross Border Reinsurer should be registered and/or certified by the home regulator of the country of domicile, with which the Government of India has signed Double Taxation Avoidance Agreement. (e)The Cross Border Reinsurer having solvency margin/capital adequacy not less than as stipulated by the home regulator for previous three continuous years. (f) The past claims performance of the cross border reinsurer is found to be satisfactory. (g)Any other requirements as stipulated by the Authority from time to time.

➤ Reinsurance placements with Cross Border Reinsurers, not fulfilling the above stated eligibility criteria shall require prior approval of the Authority. Under such circumstances, the Indian insurer/Indian reinsurer/foreign reinsurer branch shall, seek approval from the Authority stating sufficient reasons and justifications as to why they propose to place reinsurance business with a cross border reinsurer which does not fulfill the stated eligibility criteria. All such placements shall be reported to the company's board.

➤The procedure to be followed for filing information regarding the Cross border reinsurers, participating the reinsurance programs of the Indian Insurer/Indian reinsurer/foreign reinsurer branch shall be governed by the guidelines issued by the Authority, in this regard from time to time

Cross Border Reinsurers Regu : Insurance segment wise limit of the total reinsurance premium that may be placed with any one cross border reinsurer shall be as follows:

Rating of Reinsurers

(as per Standard & Poor and applicable to other equivalent international rating agencies) and Overall Limit of cession allowed (Proportional , Non proportional & Facultative arrangements)

- ☐ BBB & BBB+ of Standard & Poor - 10 %
- ☐ Greater than BBB+ and upto & including A+ of Standard & Poor - 15%
- ☐ Greater than A+ of Standard & Poor - 20%

Order of Preference for cessions by Indian Insurers, shall be governed by the stipulations made under the Insurance Regulatory and Development Authority of India (Registration and operations of Branch offices of Foreign Reinsurers other than Lloyd's) Regulations, 2015.

➤ Any repatriation of surplus generated by the operation of the branch office of the foreign reinsurer shall be governed by the Insurance Regulatory and Development Authority of India (Registration and operations of Branch offices of Foreign Reinsurers other than Lloyd's) Regulations, 2015 or the Insurance Regulatory and Development Authority of India (Lloyd's India) Regulations, 2016, whichever is applicable.

➤ The foreign reinsurer branch shall ensure that they maintain the minimum retention limits stipulated under the Insurance Regulatory and Development Authority of India (Registration and operations of Branch offices of Foreign Reinsurers other than Lloyd's) Regulations, 2015 or the Insurance Regulatory and Development Authority of India (Lloyd's India) Regulations, 2016, whichever is applicable, at all times.

Inward Reinsurance Business

- ✓ Every Indian insurer wanting to write inward reinsurance business shall have a well-defined underwriting policy approved by its Board of Directors for underwriting inward reinsurance business.
- ✓ The Indian insurer shall file with the Authority, at least forty five days before the commencement of each financial year, its inward reinsurance underwriting policy stating the classes of business/insurance segments, geographical scope, underwriting limits and profit objective.
- ✓ The Indian insurer shall ensure that decisions on acceptance of inward reinsurance business are made by persons with necessary knowledge and experience in consultation with the insurers appointed Actuary.
- ✓ The Indian insurer shall also file with the Authority any changes to the inward reinsurance underwriting policy as and when a change is made duly approved by its Board of Directors.
- ✓ An insurer shall show all the receipts and payments like premiums, claims etc. relating to reinsurance business accepted separately from direct business.

Outstanding Loss Provisioning

- ✓ Every Indian insurer/Indian reinsurer/foreign reinsurer branch shall make outstanding claims provisions for every reinsurance arrangement accepted on the basis of loss information advices received from Brokers/Cedants and where such advices are not received, on an actuarial estimation basis.
- ✓ In addition, every Indian insurer/Indian reinsurer/foreign reinsurer branch shall make an appropriate provision for incurred but not reported (IBNR) claims on its reinsurance accepted portfolio on actuarial estimation basis.
- Every Indian insurer/Indian reinsurer/foreign reinsurer branch shall be required to submit to the Authority information and returns relating to its reinsurance transactions in such forms and manner as the Authority may stipulate from time to time or require together with its annual accounts.

Power of the Authority to issue clarifications:

the Chairperson of the Authority may issue appropriate clarifications or guidelines as deemed necessary.

The entire general insurance business in India was nationalised by General Insurance Business (Nationalisation) Act, 1972 (GIBNA).

Categorisation of Surveyors

- Membership of IISLA as a student, Licentiate, Associate or Fellow which considers the below criteria.
- professional qualifications
- training undergone
- experience as a surveyor and loss assessor and any other relevant professional experience
- any other criteria, as may be specified by the Authority from time to time



Duties and responsibilities of surveyors

1. maintaining confidentiality and neutrality without jeopardizing the liability of the insurer and claim of the insured
2. conducting inspection and re-inspection of the property in question suffering a loss
3. examining, inquiring, investigating, verifying and checking upon the causes and the circumstances of the loss in question including extent of loss, nature of ownership and insurable interest
4. conducting spot and final surveys, as and when necessary and comment upon franchise, excess/under insurance and any other related matter
5. estimating, measuring and determining the quantum and description of the subject under loss
6. advising the insurer and the insured about loss minimisation, loss control, security and safety measures, wherever appropriate, to avoid further losses
7. commenting on the admissibility of the loss as also observance of warranty conditions under the policy contract
8. surveying and assessing the loss on behalf of insurer or insured
9. assessing liability under the contract of insurance
10. pointing out discrepancy, if any, in the policy wordings
11. satisfying queries of the insured/insurer and of persons connected thereto in respect of the claim/loss
12. recommending applicability of depreciation and the percentage and quantum of depreciation
13. taking expert opinion, wherever required
14. commenting on salvage and its disposal wherever necessary

Duties and responsibilities of surveyors

Bring to the notice of the Authority any changes in the information or particulars furnished at the time of issuance of license, within a period not exceeding fifteen days from the date of occurrence of such change that has a bearing on the license granted by the Authority.

(ii) A surveyor or loss assessor whether appointed by insurer or insured, shall submit report to the insurer as expeditiously as possible, but not later than 30 days of his appointment, with a copy of the report to the insured giving his comments on the insured's consent or otherwise on the assessment of loss. Where, in special circumstances of the case, either due to its special and complicated nature, the surveyor shall under intimation to the insured, seek an extension, in any case not exceeding six months from the insurer for submission of his report.

iii) In cases where the Survey report is pending due to non-completion of documents, the surveyor may issue the final survey report independently based on the available documents on record, giving minimum three reminders in writing to the insured.

iv) If an insurer, on the receipt of a survey report, finds that it is incomplete in any respect, he shall require the surveyor under intimation to the insured, to furnish an additional report on such incomplete issues. Such a request may be made by the insurer within 15 days of the receipt of the original survey report.

Provided that the facility of calling for an additional report by the insurer shall not be resorted to more than once in the case of a claim.

v) The surveyor on receipt of this communication shall furnish an additional report within three weeks of the date of receipt of communication from the insurer.

Code of Conduct for Surveyors

Every surveyor and loss assessor shall:

- behave ethically and with integrity in the professional pursuits
- strive for objectivity in professional and business judgment
- act impartially, when acting on instructions from an insurer in relation to a policy holder's claim under a policy issued by that insurer
- conduct himself with courtesy
- not accept or perform survey works in areas for which he does not hold a licence
- not accept or perform work which he is not competent to undertake
- carry out his professional work with due diligence, care and skill
- keep himself updated with all developments relevant to his professional practice
- at all times maintain proper record for work done by him and comply with all relevant laws
- assist and encourage his colleagues to obtain professional qualifications
- maintain a register of survey work
- disclose to all parties concerned his appointment, where the acceptance or continuance of such an engagement may materially prejudice, or could be seen to materially affect the interests of any interested party
- not disclose any information, pertaining to a client or employer or policy holder acquired in the course of his professional work, to any third party

Code of Conduct for Surveyors

Every surveyor and loss assessor shall:

Neither use nor appear to use, any confidential information acquired or received by him in the course of his professional work, to his personal advantage or for the advantage of a third party.

Work only as Surveyor and Loss assessor in insurance business and not undertake any business activity or consultancy service or work which could give rise to conflict of interest.

Not perform any outsourced activity other than permitted by the Authority's Outsourcing Guidelines.

Acknowledge receipt of all monies received in connection with fee or remuneration received for carrying out survey work

Shall undertake survey jobs in a company /firm only as an employee/director/partner.

Every Surveyor and Loss Assessor who is an employee of an insurer shall only survey and assess the loss and not involve himself/herself in settlement of claims,

Comply with the provisions of AOA, regulations, and Code of Ethics framed by the Institute from time to time.

Comply with all the provisions of the Act, the IRDA Act, the Rules and Regulations made there under and other orders, directions and guidelines issued by the Authority from time to time.

Introduction: This study guide will give knowledge about various regulations laid down by IRDAI pertaining to conduct of insurance business, insurers obligations to rural and social sectors. It will also explain the nature of micro-insurance, how it evolved and how it operates today. It also covers the AML provisions for insurers.

The IRDAI (Obligations of Insurers to Rural Social Sectors) Regulations were issued in 2002 to increase the penetration of insurance in rural areas.

Rural sector obligations

Life insurer business obligations

- 7% in the first financial year;
 - 9% in the second financial year;
 - 12% in the third financial year;
 - 14% in the fourth financial year;
 - 16% in the fifth year;
 - 18% in Sixth and Seventh Year
 - 19% in Eighth and ninth Year
 - 20% in Tenth and every year thereafter
- of total policies written direct in that year

General insurer business obligations

- 2% in the first financial year;
 - 3% in the second financial year;
 - 5% in the third year to Seventh year,
 - 6% in the Eighth year
 - 7% in the Ninth year and every year thereafter
- of total gross premium income written direct in that year

Stand alone Health Insurers

- 50% of the Obligations prescribed for General insurers

Social sector obligations in respect of all Insurers (Life , Non-Life, standalone Health)

In respect of all insurers: “Percentage of Social Sector lives” computed on the total business procured in the preceding financial year

- Age of the Insurer in Years 1 – percentage of Social Sector Lives – 0.5%
- Age of the Insurer in Years 2 – percentage of Social Sector Lives – 1.0%
- Age of the Insurer in Years 3 – percentage of Social Sector Lives – 1.5%
- Age of the Insurer in Years 4 – percentage of Social Sector Lives – 2.0%
- Age of the Insurer in Years 5 – percentage of Social Sector Lives – 2.5%
- Age of the Insurer in Years 6 – percentage of Social Sector Lives – 3.0%
- Age of the Insurer in Years 7 – percentage of Social Sector Lives – 3.5%
- Age of the Insurer in Years 8 – percentage of Social Sector Lives – 4.0%
- Age of the Insurer in Years 9 – percentage of Social Sector Lives – 4.5%
- Age of the Insurer in Years 10 and above – percentage of Social Sector Lives – 5.0%

Micro-insurance aims at providing insurance cover to poor and low income people at affordable rates

Critical features of micro-insurance include:

- transactions are low-cost and exhibit members' willingness to pay
- clients are essentially low-net-worth but not necessarily uniformly poor
- essential role of the network of micro-insurance units is to enhance risk management

Need for micro-insurance

Micro-insurance is a very useful tool in times of eventualities. The low-income group people may fall back into poverty in times of hardships and this is where micro-insurance can help. Micro-insurance makes it possible for people to take on more risks

Products offered under micro-insurance include:

- Crop insurance
- Livestock / cattle insurance
- Insurance against theft
- Health insurance
- Term life insurance
- Insurance against losses due to natural disasters

Government of India recommendations on micro-insurance

- Micro-insurance should be a part of the broader spectrum of insurance in the country.
- A proper channel of distribution should be established, and the insurer should serve a client base that will be different from its regular clients.
- The micro-insurance agent might be entrusted with certain additional responsibilities, in addition to the defined roles as an agent.
- The agents would be compensated for their additional services as laid down by the authority.
- The agents could appoint their employees to attend the responsibilities given to them within the framework of the rules in this regard.
- The terms and conditions governing the policy should be filed by the insurer and approved by IRDAI .
- Policy literature and documents are to be made available in regional languages, and training is to be given to the agents in regional languages.
- For micro-insurance products, life and non-life insurance, the minimum and maximum amounts of insurance, terms of the contracts etc. are to be specifically laid down.
- Marketing of micro-insurance products could be made mandatory as part of the rural and social sector obligations

All the existing Micro Insurance Products that are not in compliance to MI Regulations 2015 shall be withdrawn with effect from 01st January, 2016.,

Understand the IRDAI Micro-insurance Regulations, 2015

Conditions applicable to micro-insurance agents

- A micro insurance agent shall not distribute any product other than a micro-insurance product.
- A micro-insurance agent shall be appointed by an insurer by entering into a deed of agreement, which shall clearly specify the terms and conditions of such appointment, including the duties and responsibilities of both the micro-insurance agent and the insurer. It is necessary that the head office of the insurer accords a prior approval before any such agreement is entered into.
- A micro-insurance agent shall not work for more than one insurer carrying on life insurance business and one insurer carrying on general insurance business.
- The deed of agreement shall specifically authorise the micro-insurance agent to perform one or more of the functions such as collection of proposal form, collection of self-declaration of health of proposer, distribution of policy documents, assistance in settlement of claims etc.
- A micro-insurance agent shall employ specified persons with the prior approval of the insurer.
- Every micro-insurance agent and specified person shall abide by the code of conduct as laid down in regulation 8 of the IRDAI (Licencing of Insurance Agents) Regulations, 2000.
- Insurers shall impart at least twenty-five hours of training at their expense and through their designated officers, in local vernacular language, to all micro-insurance agents and their specified persons in the areas of insurance selling, policyholder servicing and claims administration.
- A micro-insurance agent may be paid remuneration for all the functions rendered by him which shall not exceed the limits as stated in the table below.

Commissions payable on micro-insurance products

1. For Life insurance Business	
Single premium policies	10% of the single premium
Non-single premium policies	20% of the premium for all the years of the premium paying term
2. For Non-Life Insurance Business	15% of the premium

For group insurance products, the insurer may decide the commission subject to the overall limit as specified above



Changes in Micro-insurance Regulations (2015)

- ✓ Capacity building exercises expanded
- ✓ Additional 25 hours of training for micro agents licensed to distribute general insurance MSME policies
- ✓ Refresher training in three years
- ✓ Appointment of Micro agents expanded viz. Tie ups with AIC and health insurers permitted
- ✓ Minimum of 5 (from previous 20) for group policies

Life Micro-Insurance Product Parameters

Type of Cover	Minimum Amount of Cover	Maximum Amount of Cover	Minimum Term of Cover	Maximum Term of Cover	Minimum Age at Entry	Maximum Age of Entry
Term insurance with or without return of premium	Rs 5,000	Rs. 50,000	5 years	15 years	18	60
Endowment Insurance	Rs. 5,000	Rs. 30,000	5 years	15 years	18	60
Health Insurance Contract (Individual)	Rs. 5,000	Rs. 30,000	1 year	7 years	Insurer's discretion	Insurer's discretion
Health Insurance Contract (Family)	Rs. 10,000	Rs. 30,000	1 year	7 years	Insurer's discretion	Insurer's discretion
Accident Benefit as rider	Rs. 10,000	Rs. 50,000	5 years	15 years	18	60

- 1.Group Insurance products may be renewable on a yearly basis.
- 2.The minimum number of members comprising a group shall be at least 20 for group insurance

Non-Life Micro-Insurance Product Parameters

Type of Cover	Minimum Amount of Cover	Maximum Amount of Cover	Minimum Term of Cover	Maximum Term of Cover	Minimum Age of Entry	Maximum Age of Entry
Dwelling and contents, or livestock or tools or implements or other named assets or crop insurance – against all perils	Rs. 5,000 / Per asset / Cover	Rs. 100,000 / Per asset / Cover	1 year	1 year	N.A.	N.A.
Health Insurance Contract (Individual)	Rs. 5,000	Rs. 100,000	1 year	1 year	Product Specific	Product Specific
Health Insurance Contract (Family)	Rs. 10,000	Rs. 250,000	1 year	1 year	Product Specific	Product Specific
Personal Accident	Rs. 10,000	Rs. 100,000	1 year	1 year	Product Specific	Product Specific

Note: The minimum number of members comprising a group shall be at least 20 for group insurance

A **unit linked insurance plan** (ULIP) is a combination of insurance protection and investment. The investment risks in ULIPs are borne by the policyholder / investor and not by the insurance company.

Investment operations of ULIPs are very much similar to that of mutual funds. In fact ULIPs can be referred as mutual funds with insurance cover.

The insurance companies offer the following types of funds under the ULIP schemes:
Conservative fund, balance fund, aggressive fund

IRDAI Guidelines

- Three year lock-in period for all Unit Linked Products will be increased to a period of five years, including top-up premiums. During this period, no residuary payments on policies which are lapsed / surrendered / discontinued will be made.
- All limited premium unit linked insurance products, other than single premium products, shall have premium paying term of at least 5 years.
- All regular premium / limited premium ULIPs shall have uniform / level paying premiums. Any additional payments shall be treated as single premium for the purpose of insurance cover.
- Insurers shall distribute the overall charges, in ULIPs in an even fashion during the lock-in period.
- All top-up premiums made during the currency of the contract, except for pension/annuity products, must have insurance cover treating them as single premium.
- All ULIP pension / annuity products shall offer a minimum guaranteed return of 4.5 per cent per annum or as specified by IRDAI from time to time, on the maturity date.
- In case of unit linked pension / annuity products, no partial withdrawal shall be allowed during the accumulation phase and the insurer shall convert the accumulated fund value into an annuity at the vesting date.

- Net reduction in yield for policies with term less than or equal to 10 years shall not be more than 3.00% at maturity. For policies with term above 10 years, the net reduction in yield at maturity shall not be more than 2.25%
- Maximum loan amount that can be sanctioned under any ULIP policy shall not exceed 40% of the net asset value in those products where equity accounts for more than 60% of the total share not exceed 50% of the net asset value of those products where debt instruments accounts for more than 60% of the total share

Minimum mortality cover should be as follows

Minimum Sum assured for age at entry of below 45 years	Minimum Sum assured for age at entry of 45 years and above
<u>Single Premium (SP) contracts:</u> 125 percent of single premium. <u>Regular Premium (RP) including limited premium paying (LPP) contracts:</u> 10 times the annualized premiums or $(0.5 \times T \times \text{annualized premium})$ whichever is higher. At no time the death benefit shall be less than 105 percent of the total premiums (including top-ups) paid.	<u>Single Premium (SP) contracts:</u> 110 percent of single premium <u>Regular Premium (RP) including limited premium paying (LPP) contracts:</u> 7 times the annualized premiums or $(0.25 \times T \times \text{annualized premium})$ whichever is higher. At no time the death benefit shall be less than 105 percent of the total premiums (including top-ups) paid.

The minimum health cover per annum should be as follows

Minimum annual health cover for age at entry of below 45 years	Minimum annual health cover for age at entry of 45 years and above
Regular Premium (RP) contracts: 5 times the annualized premiums or Rs. 100,000 per annum whichever is higher, At no time the annual health cover shall be less than 105 percent of the total premiums paid.	Regular Premium (RP) contracts: 5times the annualized premiums or Rs. 75,000 per annum whichever is higher. At no time the annual health cover shall be less than 105 percent of the total premiums paid

Annualized Premiums Paid	Maximum reduction in yield (Difference between Gross and Net Yield (% pa)
5	4.00%
6	3.75%
7	3.50%
8	3.30%
9	3.15%
10	3.00%
11 and 12	2.75 %
13 and 14	2.50 %
15 and thereafter	2.25 %

Regulatory environment of Unit Linked Insurance Policies (ULIPs)

Applicable regulations : Following are the relevant regulations that specifically pertain to unit linked life insurance policies / businesses:

1. Regulation 2 (i) of IRDAI (Registration of Indian Insurance Companies) Regulations, 2000 defines linked business as “life insurance contracts or health insurance contracts under which benefits are wholly or partly to be determined by reference to the value of underlying assets or any approved index;”
2. Regulation 3 (3) of IRDAI (Investment) Regulations, 2000 states “Unit Linked Life Insurance Business Every insurer shall invest and at all times keep invested his segregated fund of unit linked life insurance business as per pattern of investment offered to and approved by the policy-holders. Unit Linked Policies may only be offered where the units are linked to categories or assets which are both marketable and easily realizable. However, the total investment in other than approved category of investments shall at no time exceed 25% of the fund

Apart from the above, the other regulations that are commonly applicable to the sale, valuation and service of unit linked insurance policies are:

- IRDAI (Insurance Advertisements and Disclosures) Regulations, 2000,
- IRDAI (Assets, Liabilities and Solvency Margin) Regulations, 2000 and IRDAI notification F. No. IRDAI/Reg/9/121 & 119 /2016 Dt. 13/04/2016 & 7/4/2016. (Life and Non-Life)
- IRDAI (Treatment of Discontinued Linked Insurance Policies) Regulations, 2010.
- Code of Conduct applicable to Insurance Agents, Corporate Agents and Insurance Brokers.
- IRDAI (Exp. of Mgt of Insurers transacting life ins. F.No. IRDAI/Reg/14/126/2016 Dt. 9th May 2016

Market conduct

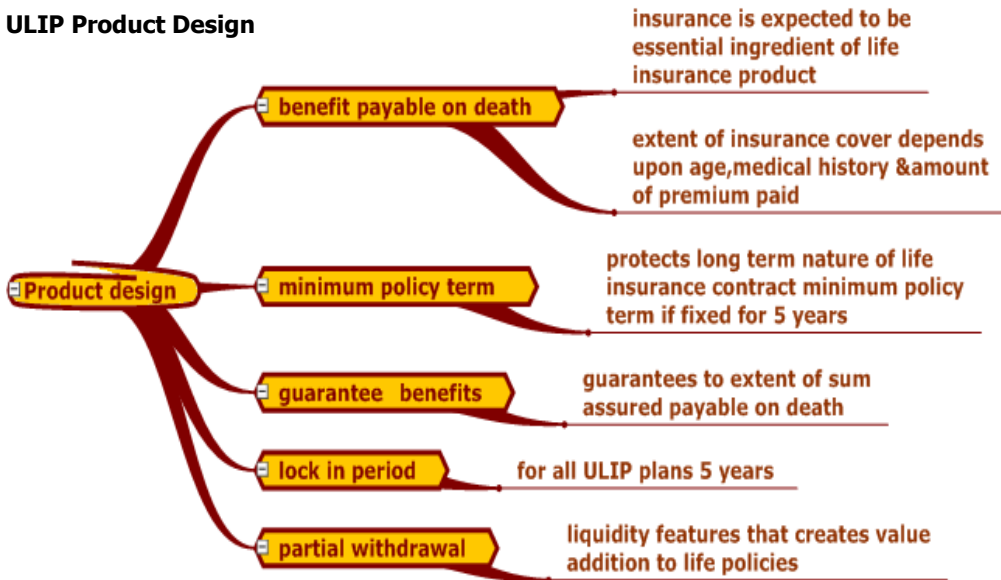
- Life insurance companies must provide periodical in-house trainings to all their Insurance agents / intermediaries before they start soliciting insurance business.
- Separate training should be given to all agents / intermediaries who are authorised to sell the ULIP products. The curriculum of the training must include the basic features and inherent risks of ULIP products. The life insurance companies must also provide periodical in-house refresher training to the persons (agents / intermediaries) those are involved in soliciting insurance business.
- The life insurance companies must maintain records of persons (agents / intermediaries) who have undergone the specific training.
- Appropriate documentation in deciding a particular product should be maintained to demonstrate an informed decision.
- Educating the policyholders is necessary on a continuous basis regarding the features, risk factors, terminology, definitions of charges etc. under the ULIP contracts.
- The life insurance companies must follow a uniform practice for rounding off the unit price.

Disclosure norms

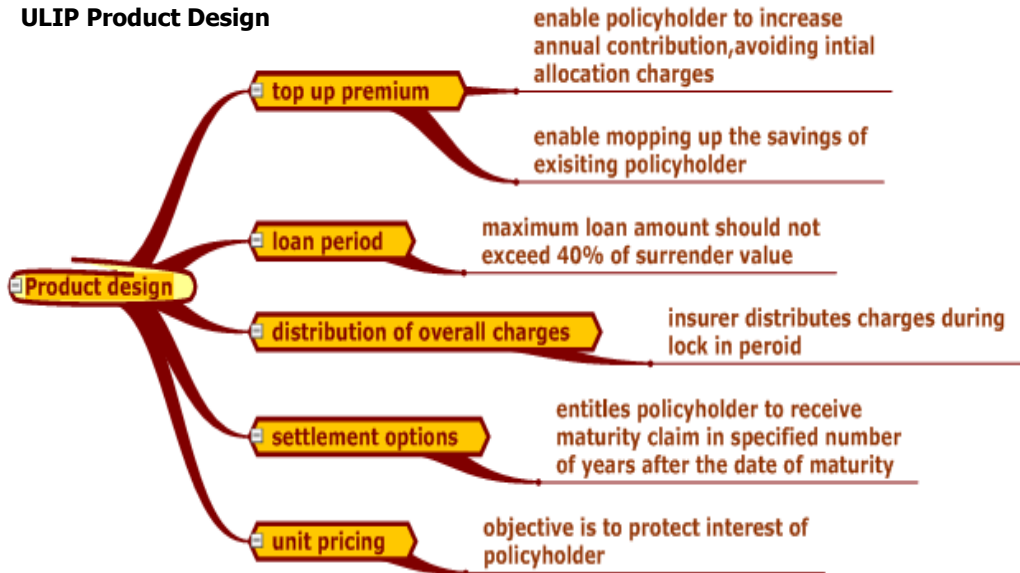
All life insurers are required to mention the following, using the same font size, in all the sales brochures, prospectus of insurance products, promotional material and policy documents:

The various funds offered along with the details and objective of each fund; the minimum and maximum percentage of the investments in different types (e.g. equity shares, interest bearing securities etc.); the investment strategy of the fund must be mentioned to help the policyholder make an informed investment decision

ULIP Product Design



ULIP Product Design



ULIP: Limit on charges

Number of years elapsed since inception	Maximum reduction in yield (Difference between Gross and Net Yield (% p.a.))
5	4.00%
6	3.75%
7	3.50%
8	3.30%
9	3.15%
10	3.00%
11 and 12	2.75%
13 and 14	2.50%
15 and thereafter	2.25%

Meaning of money laundering

Money laundering is the act of changing the appearance of money that comes from illegitimate sources so that it appears to be legitimate money.

- Money laundering is the term used to describe the process of turning dirty money into clean money.
- It is the process by which criminals attempt to conceal the true origin and ownership of the proceeds of criminal activities, by changing the form, or moving the funds to a place where they are less likely to attract attention.
- In the process, money can lose its criminal identity and appear legitimate.

Common reasons for money laundering

The common reasons of money laundering are:

Illegal arms sales, Drug trafficking, Tax evasion

Smuggling, Human trafficking, Embezzlement

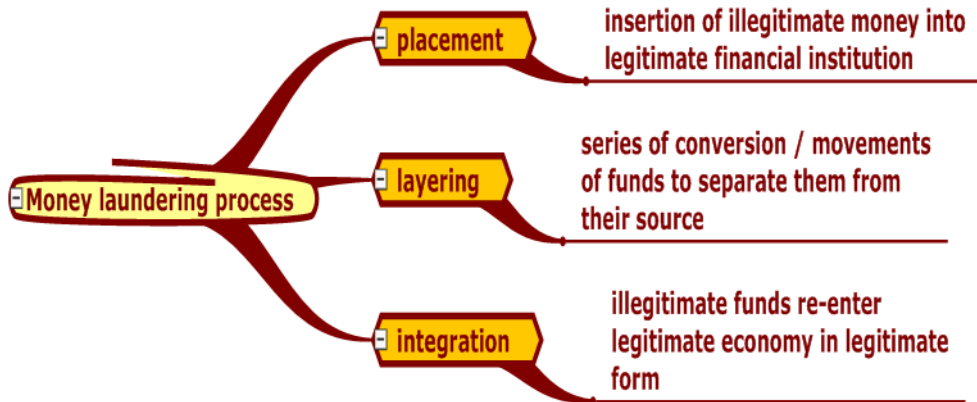
Bribery, Terrorism, Organised crime such as extortion, prostitution,

kidnapping, contract killing, gambling, corruption

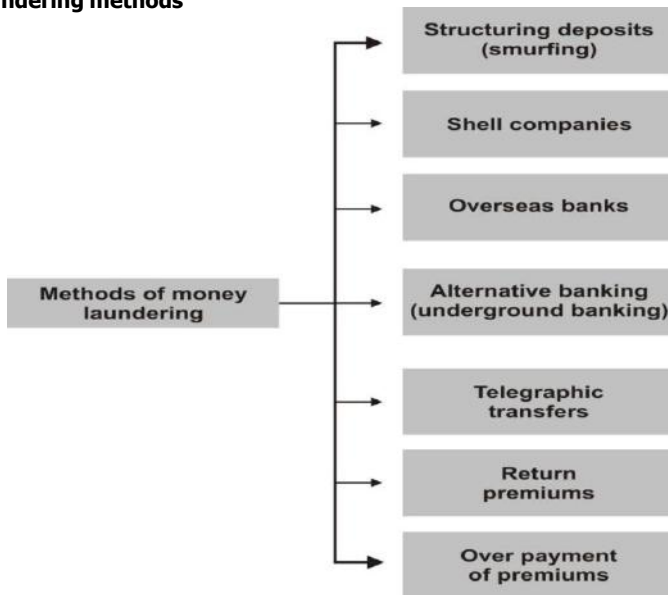
Money laundering – A global problem

Money laundering is not an ordinary problem. It is global and the persons behind these transactions appear to be using different channels with ease for fund transmissions and for creating a 'legal front' for money raised through illegal methods

Stages of money laundering



Money laundering methods



Prevention of Money Laundering Act (PMLA), 2002

Prevention of Money Laundering Act (PMLA) 2002 was brought into force from 1st July 2005, when rules thereunder were formulated

Objectives of PMLA are:

- Prevention, control and combating activities concerning money laundering
- Confiscation of property involved in money laundering
- Dealing with matters connected with or incidental to money laundering

Reserve Bank of India (RBI) Guidelines

- Banks and financial institutions should maintain records of all cash transactions of the value of more than Rs. 10 lakhs and other suspicious transactions
- Such records are to be retained for a period of 10 years from the date of completion of transaction.
- Essential to maintain records under tight security and at the same time, these records should be capable of being retrieved quickly for an identification
- The financial institution's internal auditors should evaluate Know Your Customer (KYC) guidelines. They should comment clearly on the adequacy of guidelines and the effectiveness of their implementation.

International effort towards AML / CFT

- Since money laundering is an international problem, co-operation at the international level is a critical necessity in the fight against it.
- Financial Action Task Force (FATF) is policy-making inter-governmental body whose purpose is the development and promotion of national and international policies to combat money laundering and terrorist financing
- It was set up in Paris in 1989 and has come out with 40 recommendations to address issues on money laundering and 9 special recommendations to address issues of terrorist financing.
- The objectives of the recommendations are as follows:
 - To help uncover money laundering technique
 - To harmonise anti-money laundering policies at an international level
 - To introduce counter measures
- Apart from FATF, World Bank and International Monetary Fund (IMF) and regional bodies like Asia-Pacific Group (APG) on money laundering etc, also make concerted efforts towards AML/CFT.
- India is a member of APG and an observer in FATF. India is currently undergoing evaluation and assessment process towards membership in FATF.

Legislation in India

In late 1980s, drug trafficking was considered as the major activity sourcing money laundering. Legislations to prevent this activity were enacted. These include:

- The Narcotics and Psychotropic Substances Act (NDPS), 1985
- The Prevention of Illicit Traffic in Narcotic Drugs and Psychotropic Substances Act, 1988.
- The Foreign Exchange Management Act (FEMA) 1999.

Various legislations addressed offences under money laundering process until a comprehensive legislation criminalizing money laundering was enacted viz., The Prevention of Money Laundering Act (PMLA) 2002.

Know Your Customer (KYC) guidelines

KYC process involves identifying, validating and verifying the customer's information so as to ensure that the customer is genuine and legitimate and does not have any fraudulent intentions

Photo identity check

1. Passport
2. Driving License
3. PAN Card
4. Voter Identity Card
5. Employee Identity Card
6. Senior Citizen Card

After checking the ID proof and address proof the insurance company employee will check the photograph of the customer

Address Proof

1. Electricity Bill
2. Bank passbook or post office saving passbook
3. Telephone Bill
4. Lease Agreement
5. Mobile Bill
6. Letter from the employer mentioning the employee's address
7. Bank Statement
8. Ration Card
9. Passport
10. Cooking Gas connection card or book
11. Certificate mentioning the address from any of the central government bodies or state government bodies or the local municipal authorities

Customer's risk profile can be categorised into high risk and low risk

Low risk customers



individuals and entities whose identities and source of funds can be verified easily

High risk customers



includes customers who carry an inherently higher than average risk to the insurance company.

Other KYC norms in relation to insurance companies are:

- Remittance beyond a premium threshold of Rs 1 lakh per annum calls for detailed due diligence.
- KYC norms call for establishing insurable interest where insurance premium is paid by persons other than the person insured.
- All the payments will have to be made after verification of bona fide beneficiary through either account payee cheques or through e-payments.
- Vulnerable areas like frequent free-look cancellations, assignments by policyholder to a third party not related to him will have to attract more attention and detailed checks from AML perspective

Anti-Money Laundering (AML) and Countering Financing of Terrorism (CFT) Guidelines

Compliance and control

- Insurers are required to appoint a senior level officer not below the rank of Head Chief Risk Officer (audit / compliance) / chief risk officer who is responsible for implementing the AML program in the company and monitoring compliances.
- As part of control measures, AML guidelines stipulate that the AML policy / programs are required to be approved by the company board. It should undergo annual review. Periodic risk management reviews should be conducted to ensure company's strict adherence to laid down process and the maintenance of a strong ethical and control environment. Audit Committee of the company board should be given exception reports, if any.
- Cash as a medium of transaction leaves no audit trail. It is therefore highly vulnerable to Money Laundering processes. Proceeds from cash intensive business were used to co-mingle with criminal/untaxed proceeds to launder money in early 20s when the concept of Money Laundering seems to have actually started. Restrictions on acceptance of cash beyond Rs. 50000/- is therefore laid on premium / proposal deposit remittances in the insurance sector.

Reporting obligations

ML process involves a series of complex transactions involving various financial institutions. A centralized unit to have a macro level view of all the transactions in a financial system would aid in investigations on ML / TF

Obligation is to report:

- Cash transactions, either individually or integrally connected within a month which amounts to Rs. 10 lakh and more,
- Cash transactions where counterfeit currency notes or bank notes have been used as genuine.
- Receipts by non-profit organizations of value more than Rs. 10 lakh or its equivalent in foreign currency
- Suspicious transactions whether or not made in cash, including attempted transactions giving rise to a reasonable ground of suspicion that it may involve proceeds of crime / financing of the activities relating to terrorism, and those operations involving unusual or unjustified complexity



Record keeping requirements

- Records can be in electronic form.
- Records of transactions reported to FIU will have to be retained for 10 years beginning from the date of occurrence of transaction.
- Records of customer identification data will have to be retained for a period of 10 years after the relationship with the customer has ended.
- Records are to be retained in such a way that they permit easy reconstruction of transactions

Screening / Training Mechanism of Employee / Agents

1. There is possibility of misuse of insurance sector when launderers plan to become part of the system as employees / agents. Insurance companies should therefore, have adequate screening procedures when hiring employees / agents.
2. The role of employees / agents who deal with customers face to face is vital towards effective compliance with AML / CFT programme especially because they are in a position to access information of customers which may provide leads on suspicious activity. They should, therefore, be properly trained on AML / CFT to bring about awareness emphasizing on possible misuse of the financial system by launderers

Different methods of receipt of premium



Premium payment by any person, proposing to buy an insurance policy, to an insurer may be made by any of the following methods:

1. Cash
2. Any recognised banking negotiable instrument like cheque, pay order or demand draft
3. Postal money order
4. Credit card or debit card held in his/her name
5. Cash deposit in the insurance company's office
6. Bank guarantee
7. Direct credits via standing instructions or Electronic Clearing Service (ECS)
8. Online fund transfer from the bank account through the internet
9. Any other methods approved by IRDAI from time to time



Commencement of risk

The regulations state that in all cases of risks covered by the policies issued by an insurer, the attachment of risk to an insurer will be in agreement with the terms of section 64 VB of the Act.

1. In the case of a general insurance policy, where the remittance made by the proposer or the policyholder is not realised by the insurer, the policy shall be treated as void ab initio i.e. as if no policy existed.
2. In the case of a life insurance policy, the continuance of risk or otherwise shall depend on the terms and conditions of the policy already entered into.
3. The insurer may at its option recover the collection charges of the instrument from the proposer

Section 64 VB states as under:

1. No insurer shall assume any risk in India in respect of any insurance business on which premium is not ordinarily payable outside India unless and until the premium payable is received by him or is guaranteed to be paid by such person in such manner and within such time as may be prescribed or unless and until deposit of such amount as may be prescribed is made in advance in the prescribed manner.
2. For the purpose of this section, in case of risks for which premium can be ascertained in advance, the risk may be assumed not earlier than the date on which the premium has been paid in cash or by cheque to the insurer.

Exemption of Section 64VB in certain cases

1. Policies issued to Government and Semi Government Bodies
2. Policies under Sickness Insurance, Group Personal Accident Insurance, Medical Benefits Insurance and Hospitalization Insurance Schemes
3. Fidelity Guarantee Insurance
4. Policies covering risks where exact premium cannot be ascertained without reference to Head Office, Declaration Policies
5. Policies issued on the basis of adjustable premium
6. Short period covers in respect of insurance connected with aircraft hulls, other aviation risks and marine hulls
7. Policies issued for a period of more than one year
8. Schedule and consequential loss policies
9. Marine covers other than hulls
10. Policies relating to co-insurances
11. Annual insurances connected with aircraft hulls and other aviation risks and connected with marine hulls.
12. Policies of reinsurance
13. Policies of National Agricultural Insurance Scheme

Overseas Medical Insurance Scheme

1. Policies may be issued in India under the Overseas Medical Insurance Schemes as approved by Reserve Bank to Indian residents travelling abroad for any approved visits.
2. Overseas visits can be for business, study tour, specialised training, conferences, employment or higher studies.
3. Premiums on such policies, other than for visits for employment, may be collected in rupees and for employment in foreign currency.
4. Insurers may also open a revolving letter of credit with an Indian bank in London for settlement of its share in the claims that may eventually arise under the policies.

Major changes effected in the revised GIM

Sr. No.	Subject matter	Changes
1.	Scope of Memorandum	The earlier instructions of GIM covered only public sector general insurance companies. The present instructions contained in the Memorandum are applicable to public sector general insurance companies as well as other general insurance companies which are registered with IRDAI

Major changes effected in the revised GIM

2.	Reinsurance Arrangement	The reinsurance arrangement of public sector general insurance companies registered with IRDAI are to be decided by the respective Boards of the insurance companies and IRDAI is to be kept informed. ADs designated by these insurance companies are now permitted to make remittances falling under such approved reinsurance arrangements without reference to the Bank.
3.	Remittance of Reinsurance Premium by local brokers	ADs have been permitted to allow remittance of reinsurance premium by local brokers of insurance companies after verifying debit notes from the overseas insurance company, statement of account and CA's certificate of broker certifying the sum etc.
4.	Foreign currency accounts abroad	Public sector general insurance companies and general insurance companies registered with IRDAI are permitted to open, maintain and hold a foreign currency bank account with a bank outside India for the purpose of facilitating transactions and expenses relating/ incidental to general insurance business undertaken in foreign countries.

5	Settlement of claims in foreign currency	For settlement of claims in foreign currency in respect of policies issued in foreign currency, insurance companies are now permitted to make remittances subject to certain condition as stipulated in the Memorandum, without reference to Reserve Bank as required in the past.
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IRDAI Rules on Advertisement

Advertising is a form of marketing communication with the public with these objectives:

1. encourage agents and brokers to sell insurance company products,
2. predispose customers to be receptive to sales calls
3. enhance an insurance company's public image
4. support introduction of new products, and
5. influence public and legislative opinions on issues of importance to the insurance industry¹



Means of insurance advertising

Newspapers, magazines and sales talk	billboards, hoardings, panels;
billboards, hoardings, panels	representations by intermediaries
leaflets;	descriptive literature/ circulars;
sales aids flyers;	illustrations form letters;
telephone solicitations;	business cards;
videos;	faxes; or
any other communication with a prospect or a policyholder that urges him to purchase, renew, increase, retain, or modify a policy of insurance	

Unfair or misleading advertisement

"Unfair or misleading advertisement" will mean and include any advertisement:

1. that fails to clearly identify the product as insurance;
2. makes claims beyond the ability of the policy to deliver or beyond the reasonable expectation of performance;
3. describes benefits that do not match the policy provisions;
 - uses words or phrases in a way which hides or minimizes the costs of the hazard insured against or the risks inherent in the policy;
 - omits to disclose or discloses insufficiently, important exclusions, limitations and conditions of the contract;
 - gives information in a misleading way;
 - illustrates future benefits on assumptions which are not realistic nor realizable in the light of the insurer's current performance;
 - where the benefits are not guaranteed, does not explicitly say so as prominently as the benefits are stated or says so in a manner or form that it could remain unnoticed;
 - implies a group or other relationship like sponsorship, affiliation or approval, that does not exist;
 - Makes unfair or incomplete comparisons with products which are not comparable or disparages competitors.

Compliance and control

Every insurer or intermediary or insurance agent shall:

1. have a compliance officer, whose name and official position in the organisation shall be communicated to the Authority, and he shall be responsible to oversee the advertising programme;
2. establish and maintain a system of control over the content, form, and method of dissemination of all advertisements concerning its policies.
3. maintain an advertising register at its corporate office which must include:
 - a. a specimen of every advertisement disseminated, or issued or a record of any broadcast or telecast, etc.;
 - b. a notation attached to each advertisement indicating the manner, extent of distribution and form number of any policy advertised,
4. maintain a specimen of all advertisements for a minimum period of three years.
5. file a copy of each advertisement with the Authority as soon as it is first issued, together with information:
 - a. an identifying number for the advertisement;
 - b. a description of the advertisement and how it is used.
 - c. the method or media used for dissemination of the advertisement.
6. file a certificate of compliance with their annual statement stating that, to the best of its knowledge, advertisements disseminated by the insurer or by its intermediaries during the preceding year have complied with the provisions of these regulations and the advertisement code as stated in regulation.

Procedure for action in case of complaint

If an advertisement is not in accordance with these regulations the IRDAI may take action in one or more of the following ways:

- issue a letter to the advertiser seeking information within a specific time, not being more than ten days from the date of issue of the letter;
- direct the advertiser to correct or modify the advertisement already issued in a manner suggested by the IRDAI I with a stipulation that the corrected or modified advertisement, shall receive the same type of publicity as the one sought to be corrected or modified;
- direct the advertiser to discontinue the advertisement forthwith;
- any other action deemed fit by the Authority, keeping in view the circumstances of the case, to ensure that the interests of the public are protected.

Unfair or misleading advertisement

An '*unfair or misleading advertisement*'^a means and includes any advertisement

- that fails to clearly identify the product as insurance;
- makes claims beyond the ability of the policy to deliver or beyond the reasonable expectation of performance;
- describes benefits that do not match the policy provisions;
- uses words or phrases in a way which hides or minimizes the costs of the hazard insured against.

Introduction: This study guide will give knowledge about various regulations laid down by IRDAI pertaining to conduct of Health Insurance Business, Registration and scope of Health Insurance business, its different terms, products, forms and provisions. It will also explain the nature and administration of health insurance policies, how it operates today. In addition, you would be able to understand the regulations on the type and nature of policies and portability of Health Insurance policies offered by General Insurers and health insurers.

IRDAI (Health Insurance) Regulations, 2016

The IRDAI (Health Insurance) Regulations were issued in 2016 to regulate Health insurance in India. These Regulations are applicable to all registered Life Insurers, General Insurers and Health insurers, conducting health insurance business, as defined under the Act. These Regulations shall also be applicable to all TPAs wherever mentioned

Understand various important Terms, Definition Registration and scope of Business

- “AYUSH Treatment” refers to the medical and / or hospitalization treatments given under ‘Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homeopathy systems.
- “Break in policy” means the period of gap that occurs at the end of the existing policy term, when the premium due for renewal on a given policy is not paid on or before the premium renewal date or within 30 days thereof.



Understand various important Terms, Definition Registration and scope of Business

- “Cashless facility” means a facility extended by the insurer or TPA on behalf of the insurer to the insured, where the payments for the costs of treatment undergone by the insured in accordance with the policy terms and conditions, are directly made to the network provider by the insurer to the extent pre-authorization is approved.
- “Product Filing Guidelines” mean the Guidelines specified by the Authority on the procedure to be followed by insurers before marketing or offering a product falling under Health Insurance Business.
- “Health plus Life Combi Products” mean products which offer the combination of a Life Insurance cover offered by a life insurer and a Health Insurance cover offered by General Insurer or Health Insurer.
- “Pilot product” means a close-ended product with a policy term of one year that may be offered for sale by General Insurers or Health Insurers for a period not exceeding five years from the date of launch of the product with a view to giving scope to innovation for covering risks that have not been offered hitherto or stand excluded in the extant products.
- “Portability” means the right accorded to an individual health insurance policyholder (including family cover), to transfer the credit gained for pre-existing conditions and time bound exclusions, from one insurer to another or from one plan to another plan of the same insurer.

Understand Registration and scope of Health Insurance Business.

➤ Health Insurance products may be offered only by entities with a valid registration granted to carry on Life Insurance or General Insurance or Health Insurance Business under the Insurance Regulatory and Development Authority (Registration of Indian Insurance Companies) Regulations 2000 as amended from time to time.

➤ Life Insurers may offer long term Individual Health Insurance products i.e., for term of 5 years or more, but the premium for such products shall remain unchanged for at least a period of every block of three years, thereafter the premium may be reviewed and modified as necessary.

Provided that a life insurer may not offer indemnity based products either Individual or Group. All existing indemnity based products offered by life insurers shall be withdrawn as specified under these Regulations.

Provided also that no single premium health insurance product shall be offered under Unit Linked platform.

➤ General Insurers and Health Insurers may offer individual health products with a minimum tenure of one year and a maximum tenure of three years, provided that the premium remains unchanged for the tenure.



Understand the Provisions relating to Health Insurance Products.

➤ Product Filing Procedure for health insurance products

No insurance product of a Life /General and Health Insurer under Health Insurance Business and any revision or modification thereon shall be marketed or offered by any insurer unless it is filed with the Authority as per the Product Filing Guidelines and duly disposed of by the Authority as provided therein.

Health Insurance products of Life Insurers shall also be subject to the provisions specifically provided for health products in the following Regulations as modified from time to time:

IRDA (Linked Insurance Products) Reg., 2013. & IRDA (Non-linked Insurance Products) Reg., 2013

➤ Withdrawal of Health Insurance Product

Withdrawal of a health insurance product by Life Insurers, General Insurers and Health Insurers shall be subject to the Guidelines specified by the Authority. With regard to specific withdrawal of indemnity based health products offered by life insurers pursuant to the provisions of Regulation 3 (b) of these Regulations, the product shall be closed by giving a prospective date of closure not later than three months from the date of notification of these Regulations. For existing policyholders, the policy shall continue until the expiry of the respective policy term.

➤ Review of Health Insurance Products

All particulars of any health insurance product of Life Insurers, General Insurers and Health Insurers shall, after introduction, revision or modification be reviewed by the Appointed Actuary at least once a year. If the product is found to be financially unviable, or is deficient the Appointed Actuary may revise the product appropriately and apply for revision under Product Filing Guidelines **subject to the provisions of Regulation 10 of these Regulations.**

Understand the Provisions relating to Health Insurance Products.

- Group Insurance
 - Underwriting
 - Proposal Form
 - Principles of Pricing of Health Insurance Products offered by Life, General and Health Insurers
- Insurers shall ensure that the premium for a health insurance policy shall be based on, - Age: for individual policies and group policies. And Other relevant risk factors as applicable
- For provision of cover under family floater, the impact of the multiple incidence of rates of all family members proposed to be covered shall be considered.
 - The premiums filed shall ordinarily be not changed for a period of three years after a product has been cleared in accordance to the product filing guidelines specified by the Authority.
 - The policy premium rate shall be unchanged -
 - for all group products for the term of the policy.
 - for all individual and family floater products, other than travel insurance products offered by general insurers and health insurers, for at least:- a period of one year in case of one year renewable policies and the period stipulated herein in case of the rest.
 - In case of individual health products offered by life insurers, every block of three years as stipulated in Regulation, changes in rates will be applicable from the date of approval by the Authority and shall be applied only prospectively thereafter for new policies and from the date of renewal for the existing policies.



Understand the General Provisions relating to Health Insurance Business.

Designing of Health Insurance Policies

Subject to Regulation 3 as applicable, Health insurance product may be designed to offer various covers;

For specific age or gender groups

For different age groups

For treatment in all hospitals throughout the country, provided the hospitals comply with the definition specified

For treatment in specific hospitals only, provided the morbidity rates used are representative

For treatment in specific geographies only, provided the morbidity rates used are representative



- ✓ Entry and Exit Age
- ✓ Renewal of Health Policies issued by General Insurers and Health Insurers
- ✓ Free Look Period
- ✓ Treating Cost of pre-insurance health check up
- ✓ Cumulative bonus
- ✓ Migration of health insurance policy
- ✓ AYUSH Coverage:
- ✓ Wellness and Preventive aspects:
- ✓ Standard Definition of terms, Options ,provisions,
- ✓ Loadings on Renewals etc

Understand the Administration of Health Insurance Policies.

- Protection of Policyholders' Interest:
- Settlement/Rejection of claim by insurer:
- Minimum Disclosures in Policy Document
- Other Disclosures:

➤ Administration of Health Policies

- extend to all policy holders a cashless facility for treatment at specific establishments or the reimbursement of the costs of medical and health treatments or services availed at any medical establishment.
- Cashless facility shall be offered only at establishments which have entered into an Agreement termed as Network Providers.
- such establishments must be licensed or registered as may be required by any Local, State or National Law as applicable.
- all health plus life-combi products shall be in accordance with Regulation.
- To avail the benefit of cashless facility, insurers shall issue an Identification Card to the insured within 15 days from the date of issuance of a policy, either through a TPA or directly.
- Insurers shall endeavour to issue Smart Cards with features such as cards with Quick Response Code, Magnetic reader to enable the TPAs and Network Providers offer health services seamlessly.
- An insurance company may enter into an arrangement with other insurance companies for sharing of Network Providers, transfer of claim and transactional data arising in areas beyond their service.



➤ Health Services Agreements

➤ Payments to Network Providers and Settlement of Claims of Policyholders

For the purpose of claim settlement, insurer shall make direct payments to the Network provider and to the policyholders by integrating their banking system platform with the Network Provider or the policyholder, as the case may be. Provided that, if a claimant opts for payment through a cheque or Demand Draft, the insurer shall not deny such request.

➤ Engagement of Services of TPAs by Insurers in relation to Health Insurance Policies

- Every Insurer shall provide detailed product wise guidelines to TPAs for handling of claims
- *Detailed Claim Guidelines:*
- Settlement and Denial of Claims

➤ Change of TPAs by Insurers for servicing of Health Insurance Policies

➤ Data and related issues

➤ Systems to be in place to mitigate Frauds

❖ Understand the Submission of Returns to the Authority, Repeal and Savings and removal of difficulties etc.

➤ Submission of Returns to the Authority

➤ Repeal and Savings and Removal of Difficulties

Portability of Health Insurance Policies Offered by General Insurers and Health Insurers

- ❖ A policyholder desirous of porting his/her policy to another insurance company shall apply to such insurance company to port the entire policy along with all the members of the family, if any, at least 45 days before, but not earlier than 60 days from the premium renewal date of his/her existing policy.
- ❖ Insurer may not be liable to offer portability if policyholder (a) fails to approach the new insurer at least 45 days before the premium renewal date, or (b) approaches the new Insurer more than 60 days prior to the premium renewal date.
- ❖ In case insurer is willing to consider the proposal for portability even if the policyholder fails to approach insurer at least 45 days before the renewal date, it is free to do so.
- ❖ Where the outcome of acceptance of portability is still awaited from the new insurer on the date of renewal
- ❖ In case the policyholder has opted as in Clause (5) (a), and there is a claim, the existing insurer may charge the balance premium for remaining part of the policy year provided the claims are accepted by the existing insurer. In such cases, policyholder shall be liable to pay the premium for the balance period and continue with the existing insurer for that policy year.
- ❖ On receipt of intimation referred under above Clause, the insurance company shall furnish the applicant, the Portability Form, to these guidelines together with a proposal form and relevant product literature on various health insurance products which could be offered.
- ❖ The policyholder shall fill in the portability form along with proposal form and submit the same to the insurance company.



Portability of Health Insurance Policies Offered by General Insurers and Health Insurers

- ❖ The insurance company shall seek the necessary details of medical history and claim history of the concerned policyholder from the existing insurance company. This shall be done through the web portal of the IRDAI.
- ❖ The existing insurer, on receiving such a request on portability shall furnish the requisite data within 7 working days of the receipt of the request. If fails to provide ,it shall be viewed as violation of directions issued by the IRDAI.
- ❖ On receipt of the data from the existing insurance company, the new insurance company may underwrite the proposal and convey its decision to the policyholder in accordance with the Regulation 4 (6) of the IRDA (Protection of Policyholders' interest) Regulations, 2002.
- ❖ If, on receipt of data within the above time frame, the insurance company does not communicate its decision to the requesting policyholder within 15 days in accordance with its underwriting policy as filed by the company with the Authority, the insurance company shall not have any right to reject such proposal and shall accept the proposal.
- ❖ In order to accept a policy which is being ported in, the insurer shall not levy any additional loading or charges exclusively for the purpose of porting.
- ❖ No commission shall be payable to any intermediary on the acceptance of a ported policy.
- ❖ Portability shall be allowed in the following cases:

Portability of Health Insurance Policies Offered by General Insurers and Health Insurers

- ❖ All individual health insurance policies issued by General /Health Insurers including family floater policies., Individual members, including the family members covered under any group health insurance policy of a General /Health Insurer shall have the right to migrate from such a group policy to an individual health insurance policy or a family floater policy with the same insurer. Thereafter, he/she shall be accorded the right mentioned in above. waiting period with respect to pre-existing diseases and time bound exclusions shall be taken into account as per Table.
- ❖ The portability shall be applicable to the sum insured under the previous policy and also to an enhanced sum insured, if requested for by the insured, to the extent of cumulative bonus acquired from the previous insurer(s) under the previous policies.
- ❖ Insurers shall clearly draw the attention of the policyholder in the policy contract and the promotional material like prospectus, sales literature or any other documents in any form whatsoever, that:
 - all health insurance policies are portable;
 - policyholder should initiate action to approach another insurer to take advantage of portability well before the renewal date to avoid any break in the policy coverage due to delay in acceptance of the proposal by the other insurer.



➤ Administration of Health Plus Life Combi Products

‘Combi Product’ shall be a combination of Life Insurance cover offered by life insurance companies and Health Insurance cover offered by General Insurance Companies or Health Insurance Companies.

➤ Underwriting and File and Use / Products Filing Guidelines

➤ **Underwriting:** Under the ‘Combi Product’, underwriting of respective portion of risk shall be carried out by respective insurance companies, that is; Life Insurance risk shall be underwritten by Life Insurer and the Health Insurance portion of risk shall be underwritten by General or Health Insurer.

➤ **File and Use/Product Filing Guidelines:**

The life insurance product and the health insurance product to be offered as a combi product shall have prior approval under File and Use procedure or Product Filing Guidelines as may be the case. Both the independent approved products shall be integrated as a single product and shall be filed with a common brand name.

The single product shall be offered without making any modifications to the approved products.

‘Combi Product’ is to be filed at the stage of integrating for getting approval as per Product Filing Guidelines irrespective of the earlier approval for either of products.

‘Combi Product’ filing shall follow the File and Use guidelines or Product Filing Guidelines in vogue and all such guidelines that would be issued from time to time.

The Combi Product shall be approved by the Authority subject to Product Filing Guidelines specified.

Mandatory Minimum Disclosures

The mandatory minimum disclosures for a Combi Product shall be:

- The product is jointly offered by “abc insurance company” (specify General/ stand-alone health insurer name) and “xyz insurance company” (specify life insurer name).
- The risks of this ‘Combi Product’ are distinct and are assumed / accepted by respective insurance companies.
- The liability to settle the claim vests with respective insurers, i.e., for health insurance benefits “abc insurance company” (specify General/ stand-alone health insurer name) and for life insurance benefits “xyz insurance company” (Specify life insurer name).
- The legal/quasi legal disputes, if any, are dealt by the respective insurers for respective benefits.
- The policyholders of the ‘Combi Product’ under reference are eligible to continue with either part of the policy, discontinuing the other during the policy term.
- Where guaranteed renewability of health insurance plan is allowed, the health insurance portion of this ‘Combi Product’ is entitled to that facility.
- Specific Disclosures on the available premium payment options on these ‘Combi Products’. And the available policy servicing facilities including claims servicing, for these ‘Combi Products’.
- Specific Disclosures on the availability of services of ‘Third Party Administrators (TPAs)’ for health insurance portion of risk, if available.
- Specific Disclosures on the available Grievances Redressal Options including particulars of Ombudsman under these ‘Combi products’.
- Policyholders are to be advised to familiarize themselves with the policy benefits and policy service structure of the ‘Combi Product’ before deciding to purchase the policy.



Introduction: This study guide explains the provisions related with the assignment and nomination of insurance policies ,prohibition of rebates, no risk to be assumed unless premium is received in advance and the repudiation clause. Of the policy by Life Insurance Companies

Provisions related to assignment and transfer of insurance policies (Section 38)

Section 38 of the Insurance Act 1938 deals with the assignment and transfer of insurance policies. The sub-sections have the following provisions related to assignment:

Sub-section (1) – How it is made?

Sub-section (2) – Can Insurer decline to act on assignment endorsement?

Sub-section (3) – record in writing the reason for such refusal

Sub-section (4) – prefer a claim to the authority (IRDAI)

Sub-section (5) – When shall the assignment be complete?

Sub-section (6) – Priority of claims

Sub-section (7) – What should the insurer do?

Sub-section (8) – Recognition

Sub-section (9) – Effect of earlier assignments

Sub-section (10) – Validity of conditional assignment

Sub-section (11) – Partial assignment





- **Assignment of a policy of life insurance, under Section 38 of Insurance Act is a transfer of the property contained in the policy by the assignor to the assignee.**
- **There are certain anomalies observed in the working of sub-sections (5) and (7) of Section 38. The Law Commission has recommended that a clear distinction be made between absolute assignment and conditional assignment.**
- **Certain safeguards are recommended to curb the misuse of the facility of assignment.**



Sub-section (1) – How it is made?

A transfer or assignment of a policy of life insurance may be made with or without consideration, ONLY by endorsement upon the policy itself OR by a separate instrument (to be stamped).

Sub-section (2) – Can Insurer decline to act on assignment endorsement?

An insurer may decline to act upon any endorsement made under sub section (1) , if the insurer has reason to believe that such transfer / assignment of policy is not bona fide or not in the interest of policy holder or is for the purpose of trading of insurance policy.

Sub-section (3) – the insurer shall record in writing the reason for such refusal and communicate to the policy holder not later than 30 days from the date of policy holder giving notice of such transfer or assignment.

Sub-section (4) provides that the person aggrieved by the decision of insurer not to act upon such transfer assignment may prefer a claim to the authority (IRDAI) within 30 days from the receipt of communication from insurer containing reasons for such refusal.

Sub-section (5) – When shall the assignment be complete?

Subject to the provisions in sub section (2), the assignment shall be complete and effectual upon execution by such assignment and duly attested by a witness. However the assignment cannot be operative against an insurer until a notice in writing of the transfer or assignment and the said endorsement or certified copy of the same have been delivered to the insurer at the place where the policy is being serviced.

Sub-section (6) – Priority of claims

- The date on which the notice referred to in sub section (5) is delivered to the insurer shall determine the priority of claims under a transfer or assignment amongst persons interested in the policy.
- Where there are more than one instruments of transfer or assignment, the priority of claim shall be governed by the order in which the notices referred in sub section (5) are delivered.
- In case of any dispute as to the priority of payment between assignees, the dispute shall be referred to the Authority.

Sub-section (7) – What should the insurer do?

- Upon receipt of the notice referred in Sub Section (5), the insurer shall record the fact of such transfer or assignment together with the date thereof and the name of the transferee or the assignee.
- On the request of the transferee or assignee or the person by whom the notice was given , the insurer shall issue a written acknowledgement of the receipt of such notice on payment of such fee as may be specified by the regulations.
- Any such acknowledgement shall be conclusive evidence that the insurer has duly received the notice to which such acknowledgement relates.

Sub-section (8) – Recognition

- Subject to the terms and conditions of transfer or assignment, the insurer shall, from the date of receipt of the notice referred to in sub section (5) recognise the transferee / assignee named in the notice as the only person entitled to benefit under the policy.
- Also the transferee / assignee shall be subject to all liabilities and equities to which the transferor / assignor was subject to at the date of transfer or assignment and

Sub-section (8) – Recognition

The transferee / assignee may institute any proceedings in relation to the policy, obtain a loan under the policy or surrender the policy without obtaining the consent of the transferor or assignor.

Sub-section (9) – Effect of earlier assignments

Any rights or remedies of an assignee or transferee of a **policy of life insurance** under an assignment or transfer effected prior to the commencement of the Insurance Laws (Amendments) Act 2015 shall not be affected by the provisions of this section.

Sub-section (10) – Validity of Conditional Assignment

An assignment in favour of a person made upon the condition that :-

The proceeds under the policy shall become payable to the policy holder or the nominee / nominees if the assignee or transferee predeceases the insured or

The insured survives the term of the policy shall be valid however the **conditional assignee shall not be entitled to obtain a loan on the policy or surrender the policy.**

Sub-section (11) – Partial Assignment

In case of partial assignment / transfer of a policy under sub section (1)-

- The liability of insurer shall be limited to the amount secured by such partial assignment and
- Such policy holder shall not be entitled to further assign / transfer the residual amount payable under the same policy.

Final recommendations of the Law Commission in regard to Section 38

- Sub-section (7) of Section 38 should be retained, with some modification for the purpose of greater clarity
- Both the terminologies, viz., assignment and transfer, be retained in Section 38 and they be used in the alternative to enable greater flexibility in the working of these provisions.
- A separate sub-section be inserted to indicate that in case of partial assignment or transfer of a policy of insurance, the liability of the insurer shall be limited to the amount secured by the partial assignment or transfer, and such policyholder shall not be entitled to further assign or transfer the residual amount payable under the same policy.
- The provision should be appropriately amended to extend its applicability to all personal lines of non-life insurance business as well
- Section 38 be amended to build in certain safeguards. The policyholder will have to disclose reasons for the assignment, the antecedents of the assignee, and the exact terms on which the assignment is being made

Provisions related with the nomination of insurance policies (Section 39)

- Section 39 of the Insurance Act, 1938 provides that the policyholder may nominate one or more persons to whom the money secured by the policy shall be paid in the event of death of the policyholder.
- The Law Commission has now recommended that Section 39 be amended to make a distinction between a “beneficial” nominee and a “collector” nominee.

The sub-sections of Section 39 have the following provisions related to nomination



- Sub-section (1)** – When it is made?
When is the money payable to nominee?
- Sub-section (2)** – When is the nomination effectual?
When shall the insurer not be liable to pay?
- Sub-section (3)** – Acknowledgement of Registration
- Sub-section (4)** – When will the Nomination get cancelled?
- Sub-section (5)** – Death of nominee before maturity of policy
- Sub-section (6)** – When is the payment made to the nominee?
- Sub-section (7)** – Beneficiary Nominee
- Sub-section (8)** – Nominee dies after life assured but before receiving the payment
- Sub-section (9)** – Rights of creditor
- Sub-section (10)** – Effective date
- Sub-section (11)** – Policyholder dies after maturity of policy
- Sub-section (12)** – When are the provisions of nomination not applicable?

Recommendations of the Law Commission in regard to Section 39

- A clear distinction be made in the provision itself between a beneficial nominee and a collector nominee
- It is not possible to agree to the suggestion made by some of the insurers that in all cases the payment to the nominee would tantamount to a full discharge of the insurer's liability under the policy and that unless the contrary is expressed, the nominee would be the beneficial nominee.



- An option be given to the policyholder to clearly express whether the nominee will collect the money on behalf of the legal representatives (in other words, such nominee will be the collector nominee) or whether the nominee will be the absolute owner of the monies, in which case such nominee will be the beneficial nominee.
- A proviso be added to make the nomination effectual for the nominee to receive the policy money in case the policyholder dies after the maturity of the policy but before it can be encashed

Sub-section (1) – When it is made?

Nomination may be made by holder of the policy only when the policy is on his own life. If holder and life assured are different, nomination cannot be made

When is the money payable to nominee?

in the event of death of the life assured

Sub-section (2) – When is the nomination effectual?

Any such nomination in order to be effectual shall,

1. unless it is incorporated in the text of the policy itself be made by an endorsement on the policy communicated to the insurer, AND
2. be registered by him in the records relating to the policy

Sub-section (3) – Acknowledgement of Registration

The insurer shall furnish to the policyholder:

A written acknowledgment of having registered a nomination OR
a cancellation OR
change thereof

Sub-section (4) – When will the Nomination get cancelled?

A transfer or assignment of a policy made in accordance with Section 38 shall automatically cancel a nomination.

But where policy is assigned to insurer who bears risk, for the purpose of loan, then its reassignment on repayment of the loan shall not cancel a nomination, BUT

shall affect the rights of the nominee only to the extent of the insurer's interest in the policy

The nomination cancelled automatically upon the transfer / assignment will be revived automatically when the policy is reassigned in favour of policyholder on repayment of loan other than on a security of policy to the insurer.

Sub-section (5) – Death of nominee before maturity of policy

If the policy holder survives till maturity of policy or the nominee / nominees (all the nominees if more than one) die before the maturity of policy, the amount secured by policy shall be payable to the policyholder or his heirs or legal representatives or the holder of a succession certificate, as the case may be.

Sub-section (6) – When is the payment made to the nominee?

Where life assured dies before nominee/ nominees the amount secured by the policy shall be payable to such nominees who survive at the time of death of life assured

Sub-section (7) – Beneficiary Nominee

- If the life assured nominates his parents or his spouse or his children or his spouse and children or any of them, the nominee / nominees shall be beneficially entitled to the amount payable under sub section (6)
- unless proved that the policyholder having regard to the nature of his title to the policy could not have conferred any such beneficial title to the nominee.

Sub-section (8) – Nominee dies after life assured but before receiving the payment

- If the nominee to whom sub section (7) applies dies after the death of life assured but before receiving the money under the policy , the money shall be payable to the **heirs or legal representatives of the nominee** or the holder of a succession certificate as the case may be, and they **shall be beneficially entitled** to such amount.

Sub-section (9) – Rights of creditor

- The right of any creditor to be paid out of life insurance policy shall not be affected in any way by the provisions of sub section (7) and (8).

Sub-section (10) – Effective date

- The provisions of sub section (7) and (8) shall apply to all policies of life insurance maturing after the commencement of Insurance Laws (Amendment) Act, 2015.

Sub-section (11) – Policyholder dies after maturity of policy

- In case of Policyholder's death after the maturity but without receiving the proceeds and benefits of his policy, in such a case his **nominee shall be entitled to the proceeds** and benefits of his policy.

Sub-section (12) – When are the provisions of nomination not applicable

The provisions of this Section shall not apply to any policy of life insurance to which Section 6 of the Married Women's Property Act, 1874 (3 of 1874) applies OR has at any time applied:

It may be noted that where a nomination made specifically under Section 39 of Insurance Act, the Provision of Section 6 of M.W.P Act, 1874 is not applicable to nomination in favour of wife and / or children.

Nomination under Section 39 is naming of a person or persons to give a valid discharge to the insurance company and receive policy moneys in case of death of the life assured during the period of the policy. In case of survival of the life assured till the date of maturity, nomination will be ineffective.

Provisions related with the prohibition of rebates (Section 41)

- No person shall allow or offer to allow, either directly or indirectly, as an inducement to any person to take or renew or continue an insurance in respect of any kind of risk relating to lives or property in India, any rebate of the whole or part of the commission payable or any rebate of the premium shown on the policy, nor shall any person taking out or renewing or continuing a policy accept any rebate, except such rebate as may be allowed in accordance with the published prospectuses or tables of the insurer:

Provided that acceptance by an insurance agent of commission in connection with a policy of life insurance taken out by himself on his own life shall not be deemed to be acceptance of a rebate of premium within the meaning of this sub-section if at the time of such acceptance the insurance agent satisfies the prescribed conditions establishing that he is a *bona fide* insurance agent employed by the insurer.

Any person making default in complying with the provisions of this section shall be liable for a penalty which may extend to **ten lakh rupees**."

Explanation of Section 41

No person, either directly or indirectly allow or offer to allow as an inducement to any person to take out or renew or continue an insurance in respect of any kind of risk to lives or property in India, any rebate of the whole or part of the commission payable or any rebate of the premium. **OR**

No person taking out or renewing or continuing a policy shall accept any rebate, except such rebate as may be allowed as per the published prospectus or tables of the insurer.

Repudiation clause (Section 45)

- No policy of life insurance effected before the commencement of this Act shall after the expiry of two years from the date of commencement of this Act and no policy of life insurance effected after the coming into force of this Act shall, after the expiry of two years from the date on which it was effected be called in question by an insurer on the ground that statement made in the proposal or in any report of a medical officer, or referee, or friend of the insured, or in any other document leading to the issue of the policy, was inaccurate or false, unless the insurer shows that such statement was on a material matter or suppressed facts which it was material to disclose and that it was fraudulently made by the policyholder and that the policyholder knew at the time of making it that the statement was false or that it suppressed facts which it was material to disclose:

Provided that nothing in this section shall prevent the insurer from calling for proof of age at any time if he is entitled to do so, and no policy shall be deemed to be called in question merely because the terms of the policy are adjusted on subsequent proof that the age of the life insured was incorrectly stated in the proposal.

Explanation of Section 45

No policy of life insurance effected before the commencement of this Act shall after the expiry of two years from the date of commencement of this Act

And

No policy of life insurance effected after the coming into force of this Act shall, after the expiry of two years from the date of which it was effected, be called in question by an insurer on the ground that a statement made:

1. in the proposal for insurance, or
2. in any report of a medical officer, or referee, or friend of the insured, or
3. in any other document leading to the issue of the policy, was inaccurate or false, unless the insurer shows that:

Such statement was a material matter Or

Suppressed facts which it was material to disclose And

That it was fraudulently made by the policyholder And

That the policyholder knew at the time of making it that the statement was false Or

That it suppressed facts which it was material to disclose

Recommendations of the Law Commission

- The period beyond which no repudiation of life insurance policy on any ground whatsoever, be fixed at five years
- The insurer can repudiate a policy of life insurance at any time before the expiry of a period of five years from the date of issuance of the policy or the date of commencement of risk or date of revival of the policy or the date of the rider to the policy, whichever is later, on the ground of fraud.

Recommendations of the Law Commission

- The insurer can repudiate a policy of life insurance at any time before the expiry of period of five years from the date of the policy or the date of commencement of risk or the date of revival of the policy or the date of the rider to the policy, whichever is later, on the ground that the insured has made a misstatement of or suppressed a material fact, i.e. a fact material to the assessment of the risk, either in the proposal form or any other document on the basis of which the life insurance policy was issued or revived or a rider issued to it.
- The misstatement or suppression of fact will not be considered material unless it has a direct bearing on the risk undertaken by the insurer
- No repudiation of the policy to be permitted on the ground of fraud where the insured can prove that the suppression or misstatement of the material fact made was true to the best of his / her knowledge and belief, or that there was no deliberate intention to suppress the fact, or that such misstatement or suppression of a material fact was within the knowledge of the insurer or the agent of the insurer.
- A person who solicits and negotiates a contract of insurance should be deemed, for the purpose of the formation of the contract, to be the agent of the insurers, and that the knowledge of such person should be deemed to be the knowledge of the insurers.
- The insurer will have to communicate in writing to the insured or the legal representatives / nominees / assignees of the insured the grounds and materials on which the decision to repudiate a policy on the ground of misstatement or suppression of a material fact is based.

Repudiation Clause: Position in other countries



- United Kingdom: The position while the doctrine of uberrima fides is strictly adhered to, courts come to the rescue of claimants by insisting on fairness and good faith on the part of the insurer also.
- Australia: A policy shall not be avoided only because of any incorrect statement (other than a statement as to the age of the life insured) made in any proposal or other document on the faith of which the policy was issued or re-instated by the company unless the statement:
 - was fraudulently untrue; or
 - being a statement material in relation to the risk of the company under policy, was made within the period of three years immediately preceding the date on which the policy is sought to be avoided or the date of the death of the life insured, whichever is earlier.
- U.S.: In the United States, the method employed is to have 'Incontestable Clauses' in the policy. In some States they are imposed by statute. The effect of these clauses is that after a certain period, the policy cannot be contested and a claim cannot be challenged on any ground of error or misstatement. If death takes place during the contestable period, any claim based on the policy can be challenged on the grounds of error or misstatement at any time, so that, the insurer's right to repudiate does not depend upon the time when the repudiation is made.

Provisions related with the no risk to be assumed unless premium is received in advance (Section 64VB)

- No insurer shall assume any risk in India in respect of any insurance business on which premium is not ordinarily payable outside India unless and until the premium payable is received by him or is guaranteed to be paid by such person in such manner and within such time as may be prescribed or unless and until deposit of such amount as may be prescribed, is made in advance in the prescribed manner
- For the purposes of this Section, in the case of risks for which premium can be ascertained in advance, the risk may be assumed not earlier than the date on which the premium has been paid in cash or by cheque to the insurer

Explanation: Where the premium is tendered by postal money order or cheque sent by post, the risk may be assumed on the date on which the money order is booked or the cheque is posted, as the case may be.

Any refund of premium which may become due to an insured on account of the cancellation of a policy or alteration in its terms and conditions or otherwise shall be paid by the insurer directly to the insured by a crossed or order cheque or by postal money order and a proper receipt shall be obtained by the insurer from the insured, and such refund shall in no case be credited to the account of the agent.

Where an insurance agent collects a premium on a policy of insurance on behalf of an insurer, he shall deposit with, or dispatch by post to, the insurer, the premium so collected in full without deduction of his commission within twenty four hours of the collections excluding bank and postal holidays.

Explanation of Section 64VB - -The Act provides that the Central Government may, by rules, relax the requirements of sub section (1) above in respect of particular categories in insurance policies.

-The Act also allows IRDAI , to issue regulations from time to time, specifying the manner of receipt of premium by the insurer.

-Relaxations provided by the Central Government are listed under rule 59 of the Insurance Rules 1939, the gist of which is give under.

Exemption to Section 64 VB as per rule 59 of the Insurance rule – 1939

- Policies issued to Government and semi-Government bodies
- Policies under (Sickness Insurance, Group Personal Accident Insurance, Medical Benefits Insurance and Hospitalization Insurance Schemes)
- Fidelity Guarantee Insurance
- Policies covering risks where exact premium cannot be ascertained without reference to Head office, Principal office etc.
- Declaration policies
- Policies issued on the basis of adjustable premium
- Annual Insurances connected with aircraft hulls, other aviation risks and marine hulls

Introduction: This study guide will help you understand the steps taken by IRDAI to protect the interests of policyholders.

Insurance Regulatory and Development Authority of India (Protection of Policyholders' Interests) Regulations, 2017 is of particular interest to the small, isolated and defenseless individual policyholders pitted against the large, powerful insurance companies. As the name suggests, this piece of legislation seeks to provide added protection to policyholders. The IRDAI (Protection of Policyholders' Interests) Regulations 2017 — prescribe the duties and obligations those applicable on all insurers, distribution channels, intermediaries, insurance intermediaries, other regulated entities and policyholders including standard procedures and best practices in pre and post sale and service of insurance policies.

Few keywords

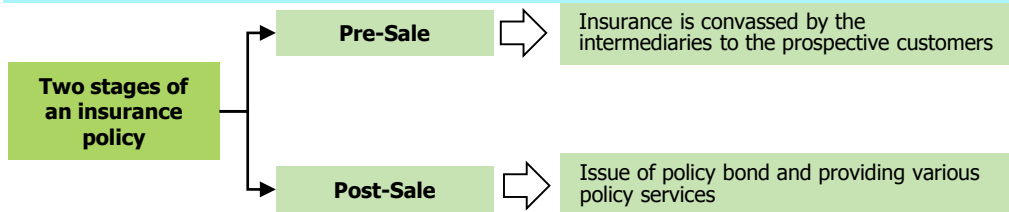
Cover: Insurance contract whether in the form of a policy or a cover note or a Certificate of Insurance or any other form prevalent in the industry and as approved by the Authority to evidence the existence of an insurance contract.

Proposal Form: A form to be filled in by the prospect in written or electronic or any other format as approved by the Authority, for furnishing all material information as require and by the insurer in respect of a risk, in order to enable the insurer to take informed decision in the context of underwriting the risk, and in the event of acceptance of the risk, to determine the rates, advantages, terms and conditions of the cover to be granted.

Material: Shall mean all important, essential and relevant information sought by insurer in the proposal form and other connected documents to enable him to take informed decision in the context of underwriting the risk to be covered by the insurer.

Chapter 7 – Protection of policyholders Interest

Prospectus: Document either in physical or electronic or any other format issued by the insurer or on its behalf to sell or promote the insurance products, to the prospective buyers of insurance, and includes a brochure or leaflet serving the purpose. Such an Insurance products referred herein shall also include the riders offered, if any. Where a rider is tied to a base policy all the terms and conditions of the rider referred in the definition shall be mentioned in the prospectus. Where a standalone rider is offered to a base product, a reference to the rider shall be made in the prospectus of the base policy indicating the nature of benefits flowing thereupon.



Pre-sale stage of insurance policy

The pre-sale stage includes:

- Point of sale
- Proposal of insurance

Point of sale

There should be utmost transparency at the time of sale and promotion so that the policyholder is made to feel confident that he or she is being given complete information regarding the product.

Point of Sale: It is obligatory for insurance companies to disclose such information the following points should be taken care of:

- The prospectus of any insurance product should clearly state the Unique Identification Number (UIN) allotted by the Authority for the concerned insurance product, the scope of benefits, the extent of insurance cover and in an explicit manner explain the warranties, exceptions and conditions of the insurance cover and, whether the product is participating (with-profits) or non-participating (without-profits).
- The allowable riders or add-on covers on the insurance products shall be clearly spelt out with regard to their scope of benefits, the premium pertaining to health related or critical illness riders shall not exceed 100% of premium under the basic product, the premiums under all other life insurance riders put together shall not exceed 30% of premiums under the basic product and any benefit arising under each of the above mentioned riders shall not exceed the sum assured under the basic product.
- An insurer or its agent or other intermediary shall provide all material information in respect of a proposed cover to the prospect to enable the prospect to decide on the best cover that would be in his or her interest.
- Where the prospect depends upon the advice of the insurer or his agent or an insurance intermediary, such a person must advise the prospect dispassionately.

- Where, for any reason, the proposal and other connected papers are not filled by the prospect, the insurer or the distribution channel shall explain the contents of the form and a certificate may be incorporated at the end of proposal form from the prospect that the contents of the form and documents have been fully explained to him and that he has fully understood the significance of the proposed contract.
-
- The Insurers shall ensure, that a sale executed over distance-marketing modes such as Internet, SMS, Tele Marketing, interactive electronic medium etc., shall be undertaken by authorized and qualified sales persons who are specified in this behalf by the Authority. It is mandatory that the consent of the prospect be obtained before canvassing. Care should be exercised to ensure that the prospect contacted has clarity as to the identity of the insurer, the distribution channel, the product, benefits and conditions of offer etc. The canvassing so made shall not involve compulsion, inconvenience or nuisance of any kind to the prospect.
- In the process of sale, the insurer or its agent or any intermediary shall act according to the codes of conduct prescribed by:
 - the IRDAI
 - the councils that have been established by the Insurance Act, 1938
 - the recognized professional body or association of which the agent or intermediary or insurance intermediary is a member.

Proposal for insurance



- Except in case of a marine insurance cover, or such other covers approved by the Authority exempting usage of proposal form, a proposal for grant of insurance cover, either for life insurance business or for general insurance business or for health insurance business, must be evidenced by a document in written or electronic or any other format as approved by the Authority. It is the duty of the insurer to furnish to the insured, free of charge, within 30 days of the acceptance of a proposal, a copy of the proposal submitted by the Insured.
- In case of marine insurance cover or other insurance covers where a proposal form is not used, the insurer shall record the information obtained orally or in writing or electronically, and confirm it within a period of 15 days thereof with the prospect and incorporate the information in its cover note or policy. Where the insurer claims that the prospect suppressed any material information or provided misleading or false information on any matter material to the grant of a cover, then the onus of proof rests with the insurer only in respect of any information not so recorded.
- Any proposal form seeking information for grant of life cover shall prominently state therein the requirements of Section 45 of the Act.
- While answering the questions in the proposal form for obtaining life insurance cover, the prospect is to be guided by the provisions of Section 45 of the Act.
- Wherever the benefit of nomination is available to the proposer, in terms of the Act or the conditions of policy, the insurer or the distribution channel shall draw the attention of the proposer to it and encourage the proposer to avail the facility and inform him of the provisions of section 39 of the Act.
- Insurer shall process the proposals with speed and efficiency and the decision on the proposal thereof, shall be communicated in writing to the proposer within a reasonable period but not exceeding 15 days from the date of receipt of proposals or any requirements called for by the insurer.
- Where a proposal deposit is refundable to a prospect under any circumstances, the same shall be refunded within 15 days from the date of underwriting decision on the proposal.

Post-Sale:

Issue of Policy Bond



Policy bond is a legal document setting out the terms and conditions of the contract. Document that is given after the proposal for insurance is accepted by the insurer.

Free Look Period

Free Look Period



Free-look provision to a policy means a customer has 15 days from the date of the policy's receipt and period of 30 days in case of electronic policies and policies obtained through distance mode to rethink about his purchase decision.

Objective of free look period



Objective of offering a free look period is to make the process of buying insurance transparent, easy and fulfilling for the customer, rather than leaving him with the feeling that he has picked up something that he never needed

Requirements for cancellation of policy in free look period



If a person cancels an insurance policy during the free look period, the insurance company refunds the premium paid after the following deductions.

- Cost pertaining to medical tests, if any
- Stamp duty
- The risk premium in case the customer is provided cover in the free-look period

Matters to be stated in a Life Insurance Policy

(i) Life insurance policy shall clearly state:

- ❖ the name and UIN allotted by the Authority for the product governing the policy, its terms and conditions; name, code number, contact details of the person involved in sales process;
- ❖ whether it is participating in profits or not, whether it is linked or non-linked;
- ❖ the manner of vesting or payment of profits such as cash bonus, deferred bonus, simple or compound reversionary bonus;
- ❖ the benefits payable and the contingencies upon which these are payable and the other terms and conditions of the insurance contract;
- ❖ the name of Nominee (s), age of nominee(s) and their relationship and name of guardian in case of minor nominees.
- ❖ the details of the riders being attached to the main policy;
- ❖ the date of commencement of risk, the date of maturity and the date(s) on which survival benefits, if any, are payable;
- ❖ the premiums payable, periodicity of payment, grace period allowed for payment of the premium, the date of last installment of premium, the implication of discontinuing the payment of an installment(s) of premium and also the provisions of guaranteed surrender value;
- ❖ the details of revival schemes provided for reviving a lapsed policy and requirements to be submitted for revival there under. The insurers shall use term “revival” which is in vogue for renewing a lapsed insurance policy.
- ❖ Name, Address, Date of birth and age of the insured as at the date of commencement of the policy.
- ❖ the policy conditions for. conversion of the policy into paid up policy, surrender , foreclosure, non-forfeiture, discontinuance provisions in case of Linked Policies

Matters to be stated in a Life Insurance Policy

(i) Life insurance policy shall clearly state:

- ❖ contingencies excluded from the scope of the cover, both in respect of the main policy and the riders;
- ❖ the provisions for nomination, assignment, loans on security of the policy and a statement that the rate of interest payable on such loan shall be as prescribed by the insurer at the time of taking the loan;
- ❖ any special clauses, exclusions or conditions imposed on the policy;
- ❖ the address, email id of the insurer to which all communications in respect of the policy shall be sent;
- ❖ the notes to policyholder highlighting the significance of notifying timely the change of his/her address;
- ❖ details of insurer's Internal Grievance Redressal Mechanism along with address and contact details of Insurance Ombudsman within whose territorial jurisdiction the branch or office of the insurer or the residential address or place of residence of the policyholder is located;
- ❖ the list of documents that are normally required to be submitted by a claimant in case of a claim under the policy.

- i. The insurer shall inform clearly by the letter forwarding the policy to the policyholder that he has a free look period of 15 days from the date of receipt of the policy document and period of 30 days in case of electronic policies and policies obtained through distance mode, to review the terms and conditions of the policy and where the policyholder disagrees to any of those terms or conditions, he has the option to return the policy to the insurer for cancellation,

- i. stating the reasons for his objection, then he shall be entitled to a refund of the premium paid subject only to a deduction of a proportionate risk premium for the period of cover and the expenses incurred by the insurer on medical examination of the proposer and stamp duty charges.
- ii. In respect of a linked insurance product, in addition to the deductions under sub-regulation (i) above, the insurer shall also be entitled to repurchase the units at the price of the units on the date of cancellation.
- iii. A request received by insurer for free look cancellation of the policy shall be processed and premium refunded within 15 days of receipt of the request, as stated at sub clause (i), (ii) above.

Matters to be stated in General Insurance



A general insurance policy shall clearly state:

- the name(s) and address(s) of the insured and of any bank(s) or any other person having financial interest in the subject matter of insurance, UIN of the product, name, code number, contact details of the person involved in sales process;
- full description of the property or interest insured; the location or locations of the property or interest insured under the policy and, where appropriate, with respective insured values;
- period of Insurance;
- sums insured;
- perils covered and not covered;
- any franchise or deductible applicable;

Matters to be stated in General Insurance

- Premium payable and where the premium is provisional subject to adjustment, the basis of adjustment of premium should be stated.
- premium payable and where the premium is provisional subject to adjustment, the basis of adjustment of premium be stated;
- policy terms, conditions and warranties, Exclusions, if any.
- action to be taken by the insured upon occurrence of a contingency likely to give rise to a claim under the policy;
- the obligations of the insured in relation to the subject matter of insurance upon occurrence of an event giving rise to a claim and the rights of the insurer in the circumstances;
- any special conditions attaching to the policy;
- the grounds for cancellation of the policy which in the case of a retail policy, for the insurer, can be only on the grounds of misrepresentation, non-disclosure of material facts, fraud or non co-operation of the insured

Explanation: Products approved as retail policies under File and Use guidelines notified by the Authority from time to time fall within the purview of retail policy referred above.

- Provided that in the case of Commercial policies alone, other circumstances under which the policy may be cancelled be given, along with the manner of calculation of refund and notice period for cancellation.

Matters to be stated in General Insurance

- the address of the insurer to which all communications in respect of the insurance contract should be sent;
- the details of the endorsements, add-on covers attaching to the main policy;
- that, on renewal, the benefits provided under the policy and/or terms and conditions of the policy including premium rate may be subject to change; and details of insurer's internal grievance redressal mechanism along with address and contact details of Insurance Ombudsman within whose territorial jurisdiction the branch or office of the insurer or the residential address or place of residence of the policyholder is located.
- Every insurer shall inform the insured periodically regarding requirements to be fulfilled by the insured for lodging a claim arising in terms of the policy and the procedures to be followed by him to enable the insurer to settle a claim early.

Matters to be stated in Health Insurance



A health insurance policy shall clearly state:

- ☐ The name of the policyholder and the names of each beneficiary covered, UIN of the product, name, code number, contact details of the person involved in sales process;
- ☐ Date of birth of the insured and corresponding age in completed years;
- ☐ The address of the insured;
- ☐ The period of insurance and the date from which the policyholder has been continuously obtaining health insurance cover in India from any of the insurers without break;
- ☐ The sums Insured;
- ☐ The sub-limits, Proportionate Deductions and the existence of Package rates if any, with cross-reference to the concerned policy section;
- ☐ Co-pay limits if any;
- ☐ The pre-existing disease (PED) waiting period, if applicable;
- ☐ Specific waiting periods as applicable;
- ☐ Deductible as applicable – general and specific, if any;

Matters to be stated in Health Insurance



A health insurance policy shall clearly state:

- ☐ Cumulative Bonus, if any;
- ☐ Periodicity of payment of premium installment;
- ☐ Policy period;

- ☐ Policy terms, conditions, exclusions, warranties;
- ☐ Action to be taken on the occurrence of a claim for cashless and reimbursement options separately;
- ☐ Details of TPA, if any engaged, their address, toll free number, website details;

- ☐ Details of Grievance Redressal mechanism of insurer;
- ☐ Free look period facility and portability conditions;
- ☐ Policy migration facility and conditions where applicable;

- ☐ that, on renewal, the policy could be subject to certain changes in terms and conditions including change in premium rate;
- ☐ Provision for cancellation of the policy; and
- ☐ Address and other contact details of Ombudsman within whose territorial jurisdiction the branch or office of the insurer or the residential address or place of residence of the policyholder is located.

GENERAL PRINCIPLES GOVERNING ISSUANCE OF GENERAL AND HEALTH INSURANCE POLICIES



In stipulating the exclusions of the policy, insurers shall endeavour to classify the exclusions, wherever possible as under:

- ✓Standard exclusions applicable in all policies;
- ✓Exclusions specific to the policy which cannot be waived;
- ✓Exclusions specific to the policy, which can be waived on payment of additional premium.

The insurers may also endeavour to broadly categorize policy conditions into following, so as to give clarity and understanding of the conditions to the policyholder:

- ✓Conditions precedent to the contract;
- ✓Conditions applicable during the contract;
- ✓Conditions when a claim arises;
- ✓Conditions for renewal of the contract.

Every insurer shall keep the insured informed on the requirements to be fulfilled regarding lodging of a claim arising in terms of the policy and the procedures to be followed by him so as to settle claim early.

Grievance redressal procedure

Authority designated by the insurer



In the event the policyholder is aggrieved by any of the decisions taken by the insurer in the area of settlement of claims or disputes related to deficiency of service, he / she may approach the Grievance Redressal Authority of the insurer.

Insurance Ombudsman

The Central Government has framed rules known as "Redressal of Public Grievances Rules 1998, and created the "Insurance Ombudsman" authority to resolve all complaints relating to settlement of claim on the part of insurance companies

Complaints handling procedure



- Having satisfied policyholders increases the possibility of getting repeat business from the present policyholders
- All this depends on the insurance company being able to provide efficient service to the policyholders and its effective complaint handling procedure

Understand policyholders' servicing, complaint handling and grievance redressal procedures

An insurer shall respond within 10 days of the receipt of any communication from its policyholders in all matters such as

Recording change of address

Noting a new nomination or change of nomination under a policy

For noting an assignment on the policy

Providing information on the current status of a policy for matters, such as, accrued bonus, surrender value and entitlement to loan

Processing papers and disbursal of loan on security of policy

Issuance of duplicate policy

Issuance for endorsement of interest or sum assured or perils insured, financial interest of a bank and other interests

Guidance on procedure for registering a claim and early settlement thereof

Claims Settlement

Claims procedure in respect of a life insurance policy



❖ A life insurer, upon receiving a death claim, shall process the claim without delay. Any queries or requirement of additional documents, shall be raised all together and not in a piece-meal manner, within a period of 15 days of the receipt of the claim.

❖ (i) A death claim under a life insurance policy shall be paid or be rejected or repudiated giving all the relevant reasons, within 30 days from the date of receipt of all relevant papers and required clarifications. However, where the circumstances of a claim warrant an investigation in the opinion of the insurer, it shall initiate the same at the earliest and complete such investigation expeditiously, in any case not later than 90 days from the date of receipt of claim intimation and the claim shall be settled within 30 days thereafter.

If there is delay on the part of Insurer beyond the timelines mentioned in sub regulation (i) above, the insurer shall pay interest at a rate, which is 2% above bank rate from the date of receipt of last necessary document

Except in the case of claims where an application is made under section 47 of the Act to the court, if a claim is ready for payment but the payment cannot be made due to any reasons of proper identification of the payee, the life insurer shall pay interest on the claim amount at the bank rate from the date on which claim is ready for payment.

Claims Settlement

Claims procedure in respect of a life insurance policy



- ❖ In respect of Maturity, Survival Benefit claims and Annuities, the Life Insurer shall initiate the claim process by sending intimation sufficiently in advance or send post-dated cheque or give direct credit to the bank account of claimant through any electronic mode approved by RBI, so as to pay the claim on or before the due date. In case of any delay on the part of the Insurer in settling the claim on due date, the life insurer shall pay interest at a rate, which is 2% above bank rate from the due date of payment or date of receipt of last necessary document from the insured/claimant, whichever is later.
- ❖ In respect of free look cancellation, surrender, withdrawal, request for refund of proposal deposit, refund of outstanding proposal deposit if any, shall be processed and paid within 15 days of receipt of request or last necessary document, failing which the insurer shall pay penal interest at a rate, which is 2% above bank rate from the date of request or receipt of last necessary document if any whichever is later, from the insured/claimant.
- ❖ Explanation: Administration of Health Insurance Policies issued by Life Insurers shall also be governed by Chapter IV of IRDAI (Health Insurance) Regulations, 2016.
- ❖ The interest payments referred above in sub regulations (ii), (iii), (iv), (v) shall be paid by the Life Insurer *suo moto* without waiting for specific demand from the insured/claimant.

Claims procedure in respect of a general insurance policy



- An insured or the claimant shall give notice to the insurer of any loss arising under contract of insurance at the earliest or within such extended time as may be allowed by the insurer. On receipt of such a communication, a general insurer shall respond immediately and give clear information to the insured on the procedures that he should follow. In cases where a surveyor has to be appointed for assessing a loss/claim, it shall do so immediately, in any case within 72 hours of the receipt of intimation from the insured. Insurer shall communicate the details of the appointment of surveyor, including the role, duties and responsibilities of the surveyor to the insured by letter, email or any other electronic form immediately after the appointment of the surveyor.
- The insurer / surveyor shall within 7 days of the claim intimation, inform the insured / claimant of the essential documents and other requirements that the claimant should submit in support of the claim. Where documents are available in public domain or with a public authority, the surveyor/insurer shall obtain them.
- The surveyor shall start the survey immediately unless there is a contingency that delays immediate survey, in any case within 48 hours of his appointment. Interim report of the physical details of the loss shall be recorded and uploaded/forwarded to the insurer within the shortest time but not later than 15 days from the date of first visit of the surveyor. A copy of the interim report shall be furnished by the insurer to the insured/claimant, if he so desires.

Claims procedure in respect of a general insurance policy



➤ Where the insured is unable to furnish all the particulars required by the surveyor or where the surveyor does not receive the full cooperation of the insured, the insurer or the surveyor, as the case may be, shall inform in writing to the insured under information to the insurer about the consequent delay that may result in the assessment of the claim. It shall be the duty equally of the insurer and the surveyor to follow up with the insured for pending information/documents guiding the insured with regard to submissions to be made. The insurer and/or surveyor shall not call for any information/document that is not relevant for the claim.

➤ (i) The surveyor shall, subject to sub-regulation 4 above, submit his final report to the insurer within 30 days of his appointment. A copy of the surveyor's report shall be furnished by the insurer to the insured/claimant, if he so desires. Notwithstanding anything mentioned herein, in case of claims made in respect of commercial and large risks the surveyor shall submit the final report to the insurer within 90 days of his appointment. However, such claims shall be settled by the insurer within 30 days of receipt of final survey report and/or the last relevant and necessary document as the case may be.

➤ (ii) Where special circumstances exist in respect of a claim either due to its special / complicated nature, or due to difficulties associated with replacement/reinstatement, the surveyor shall, seek an extension from insurer for submission of his report. In such an event, the insurer shall give the status to the insured/claimant fortnightly wherever warranted. The insurer may make provisional/ on account payment based on the admitted claim liability.

Claims procedure in respect of a general insurance policy



- If an insurer, on the receipt of a survey report, finds that it is incomplete in any respect, he shall require the surveyor, under intimation to the insured/claimant; to furnish an additional report on certain specific issues as may be required by the insurer. Such a request may be made by the insurer within 15 days of the receipt of the final survey report.
- Provided that the facility of calling for an additional report by the insurer shall not be resorted to more than once in the case of a claim.
- The surveyor, on receipt of this communication, shall furnish an additional report within three weeks from the date of receipt of communication from the insurer.
- On receipt of the final survey report or the additional survey report, as the case may be, and on receipt of all required information/documents that are relevant and necessary for the claim, an insurer shall, within a period of 30 days offer a settlement of the claim to the insured/claimant. If the insurer, for any reasons to be recorded in writing and communicated to the insured/claimant, decides to reject a claim under the policy, it shall do so within a period of 30 days from the receipt of the final survey report and/or additional information/documents or the additional survey report, as the case may be.
- In case, the amount admitted is less than the amount claimed, then the insurer shall inform the insured/claimant in writing about the basis of settlement in particular, where the claim is rejected, the insurer shall give the reasons for the same in writing drawing reference to the specific terms and conditions of the policy document.
- In the event the claim is not settled within 30 days as stipulated above, the insurer shall be liable to pay interest at a rate, which is 2% above the bank rate from the date of receipt of last relevant and necessary document from the insured/claimant by insurer till the date of actual payment.

CLAIM PROCEDURE IN RESPECT OF A HEALTH INSURANCE POLICY



- ❖ Every insurer shall adhere to the procedure laid down under Insurance Regulatory and Development Authority of India (Health Insurance) Regulations, 2016 for settlement of health insurance claims.
- ❖ An Insurer shall settle the claim within 30 days from the date of receipt of last necessary document in accordance with the provisions of Regulation 27 of IRDAI (Health Insurance) Regulations, 2016.
- ❖ In the case of delay in the payment of a claim, the insurer shall be liable to pay interest from the date of receipt of last necessary document to the date of payment of claim at a rate 2% above the bank rate.
- ❖ However, where the circumstances of a claim warrant an investigation in the opinion of the insurer, it shall initiate and complete such investigation at the earliest, in any case not later than 30 days from the date of receipt of last necessary document. In such cases, Insurer shall settle the claim within 45 days from the date of receipt of last necessary document.
- ❖ In case of delay beyond stipulated 45 days the Insurer shall be liable to pay interest at a rate 2% above the bank rate from the date of receipt of last necessary document to the date of payment of claim.
- ❖ Return of premium on cancellation during Free Look Period shall be processed in accordance with the provisions of Regulation 14 of IRDAI (Health Insurance) Regulations, 2016. Any refund shall be processed with speed and shall be refunded within 15 days from the date of receipt of request for free look cancellation.
- ❖ *Explanation:* Health Insurance claims for the purpose of this Regulation shall be claims arising under all insurance policies issued by Life, General and Health Insurers in respect of Health Insurance Business as defined in Section 2 (6C) of the Act.

Grievance Redressal Procedures

A grievance is defined as any communication that expresses dissatisfaction about an action or lack of action. In case of insurance, grievance generally relates to dissatisfaction regarding standard of service of an insurance company.

The issuance of key feature document for insurance products as per proposed amendment to IRDA Regulation for Protection of policyholders' interest 2017

Format of Key Feature Document



- The proposed Key Feature Document should be developed in a clear format with an appropriate title and sub-titles that makes it easy for policyholders to understand
- The language used should be simple.
- The document should be supported by examples relating to cover / benefits offered
- The document should explicitly bring out the risks involved for the policyholder and the obligations or commitments required of him / her.
- The document should be neither too long nor should it be too short thereby missing out on important facts.
- The document should avoid jargon, should be easy to read and be attractive for the consumer to peruse.
- The title of the document should be prominent. It should be in at least 14 size font (of Times New Roman, as an indication).

Grievance Redressal Procedure



❖ A complainant who wishes to make a complaint against insurer, intermediary, insurance intermediary, distribution channel or other regulated entities involved in insurance sales and services shall approach the respective grievance redressal officer of insurer. In case either grievance redressal officer of insurer does not respond or the resolution provided by him is not to the satisfaction of the complainant he may register a complaint in grievance redressal management system of the Authority. The Authority facilitates re-examination of the complaint so as to provide final resolution by insurer.

❖ Every insurer shall have in place an effective grievance redressal procedure to address complaints of policyholders efficiently and with speed and communicate the action taken by the insurer on the complaint to the complainant along with the information in respect of Insurance Ombudsman as may be necessary.

❖ **Grievance Redressal Officer**

❖ Every insurer shall have a designated Grievance Redressal Officer (GRO) of a senior level at the corporate office. The GRO at the corporate office will be the contact person for the Authority.

❖ Every other office of the insurer shall also have a designated Grievance Officer who shall be head of that office. The details of the GRO/designated Grievance Officer along with the contact details in full shall be published in the website of the insurer and the name and contact details of designated Grievance Officer of respective office and the other Grievance Officers in hierarchy up to GRO at corporate office shall also be displayed in the notice board of respective offices.

❖ Every office of the insurer shall also display in prominent place, the name, address and other contact details of the insurance ombudsman within whose jurisdiction the office falls.

Grievance Redressal Procedure



❖ **Grievance Redressal System/Procedure:**

- ❖ Every insurer shall have a system including IT systems and a procedure for receiving, registering and disposing of grievances in each of its offices. Every insurer shall publicize its grievance redressal procedure and ensure that it is specifically made available on its website.
- ❖ All insurers shall necessarily form part of the Integrated Grievance Management System (IGMS) put in place by the Authority to facilitate the registering/ tracking of complaint on-line by the policyholders. The Insurer's system, shall involve, mirroring of the Grievance database, of Insurers with IGMS and shall also facilitate analysis of complaints, mitigation, improvement of processes and system, through constant review.
- ❖ Insurers shall also have in place system to receive and deal with all kinds of calls including voice/e-mail, relating to grievances, from prospects and policyholders. The system shall enable and facilitate the required interfacing with the Authority's system of handling calls/e-mails

Closure of complaint/grievance:

- ❖ A complaint shall be considered as disposed of and closed when
- ❖ The insurer has acceded to the request of the complainant fully (or)
- ❖ Where the complainant has indicated in writing, acceptance of the response of the insurer. (or)
- ❖ Where the complainant has not responded to the insurer within 8 weeks of the insurer's written response.
- ❖ Where the grievance is not resolved in favour of the policyholder or partially resolved in favour of the policyholder, the insurer shall inform the complainant of the option to take up the matter before insurance ombudsman giving details of the name and address of the Ombudsman of competent jurisdiction.

INSURANCE REGULATORY AND DEVELOPMENT AUTHORITY OF INDIA (PROTECTION OF POLICYHOLDERS' INTERESTS) REGULATIONS, 2017

These Regulations apply to all insurers, insurance agents, insurance intermediaries, prospects and policyholders.

Rights of Prospects Policyholders:



The Regulations envisage providing operational framework for basic rights of prospects and policyholders at the point of sale, proposal, insurance contract and during the subsistence of the insurance contract:

- Right to Professional diligence
- Right to protection against unfair contract terms
- Right to protection against unfair market conduct
- Right to protection of personal information
- Right to requirement of fair disclosure
- Right to receive suitable advice
- Protection from conflict of interest of advices



Important points to ponder :-

- ❖ Product Related Information Sharing with Prospective Consumers
- ❖ Proposal for Insurance
- ❖ Matters to be stated in life insurance policy
- ❖ Matters to be stated in general insurance policy
- ❖ Micro Insurance policies
- ❖ Group Insurance Policies-
- ❖ Claims procedure in respect of a Life Insurance Policy
- ❖ Claim procedure in respect of a General and Health Insurance Policy
- ❖ Services under Life Insurance Policies.
- ❖ Services under General Insurance Policies.
- ❖ Grievance Redressal Procedure and
- ❖ General



Another important Regulations :-

- I – Model Citizens Charter for Insurer
- II – Guidelines on Grievance Redressal Framework
- III- Complaint Handling Procedure
- IV – Enforcement of Rights of policyholders
- V – Corporate Governance Guidelines for Policyholder Protection

Introduction: This study guide will provide knowledge on how the insured can resolve a dispute under Consumer Protection Act, 1986 or by approaching the Ombudsman under the 'Redressal of Public Grievances Rules, 1998'

How the insured can resolve disputes under the Consumer Protection Act, 1986

The Consumer Protection Act was passed in 1986 by the Parliament. The main objective of the Act is to provide simple, speedy and inexpensive redressal to consumer grievances. Insurance services fall within the purview of this Act and every buyer of insurance, i.e. the policyholder, is a consumer.

Objective



To provide for better protection of the interests of the consumer and to establish Consumer Councils and other authorities for the settlement of consumers' disputes and for matters connected therewith

The Act has been amended by the Consumer Protection (Amendment) Act, 2002.

Important features of the Act



- It covers all goods and services.
 - It covers all the sectors i.e. private, public and co-operative
 - Remedy available is simple, speedy and inexpensive
 - Provisions of the Act are in addition to and not in derogation of any other law
-
- **Consumer** is defined as any person who buys goods for a consideration or avails any services for a consideration
 - **Service** includes banking; insurance etc. but DOES NOT includes the rendering of any service free of cost.
 - **Deficiency** in service means any fault, imperfection or inadequacy in the quality, nature and manner of performance in relation to any service.
 - A complaint can be made to the appropriate Forum in writing within two years from the date on which the cause of action arose.
 - Under the MWP Act (Married Women's Property Act, 1874,) the policyholder, nominee, assignee, beneficiary of an insurance policy are considered as Consumers.
 - Deficiency in service may relate to issuance of receipts, transfer of files and quick settlement of claims etc.

Structure of Consumer Protection Act, 1986

District Forum



Composition: President – District Judge and two other members (1 lady member).

Jurisdiction: Value of services and compensation claimed does not exceed Rs 20 Lakhs.

State Commission



Composition: President – High Court Judge, Members not less than 2 (1 lady member)

Jurisdiction: Complaints of value claimed if exceeds Rs 20 lakhs but does not exceed Rs 1 crore.

National Commission



Composition: President – Supreme Court Judge, Members not less than 4, 1 lady member

Jurisdiction: Original complaint where the value of services and compensation exceeds Rs 1 crore.

Appeals

Before the State Commission (Section 15):

- Against the order of the District Forum within a period of 30 days
- subject to deposit of 50% of the amount awarded or Rs 25,000, whichever is less

Before the National Commission (Section 19):

- against the order of the State Commission – Appeal period 30 days.
- subject to deposit of 50% of the amount awarded or Rs 35,000, whichever is less

Before the Supreme Court (Section 23):

- against the order of the National Commission – Appeal period 30 days
- subject to deposit of 50% of the amount awarded or Rs 50,000, whichever is less

Limitations



The District Forum, the State Commission, or the National Commission shall not admit a complaint unless it is filed within two years from the date on which the cause of action has arisen.

Penalties



When a person against whom a complaint is made or the complainant fails to comply with the order of District Forum, State and National Commission, such a person may be imprisoned for a term minimum one month to maximum three years or with fine minimum Rs 2,000 to maximum Rs10,000, or both

How the insured can resolve disputes by approaching the Ombudsman under the 'Redressal of Public Grievances Rules, 1998'

Insurance Ombudsman

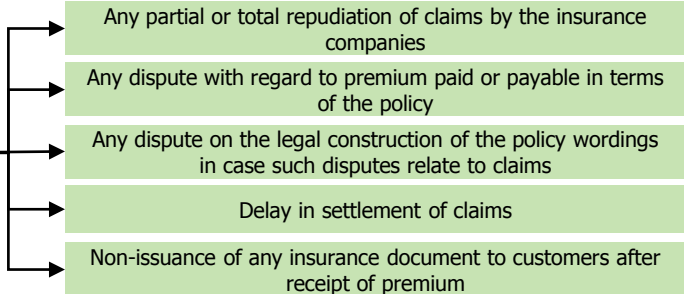


- With an objective of providing a forum for resolving disputes and complaints from the aggrieved insured public or their legal heirs against the insurance companies, the Government of India framed the "Redressal of Public Grievances Rules, 1998", which came into force w.e.f November 11, 1998
- Provided that the Central Government may exempt an insurance company from the provisions of these Rules, if it is satisfied that an insurance company has already in place of grievance redressal machinery which fulfills the requirements of these Rules.
- Main objectives of these Rules are to resolve all complaints relating to the settlement of claims on the part of the insurance companies in a cost effective, efficient and impartial manner

Ombudsman

- Governing body shall appoint one or more persons as ombudsman whose functions basically are redressal of grievances from the policyholders of both life insurance and general insurance business
- Any aggrieved individual who has taken an insurance policy on personal lines (or if deceased, the legal heir(s) under such policy) can approach the Ombudsman.
- Insurance on personal lines means a policy taken or given in an individual capacity e.g. life insurance, personal accident insurance, mediclaim insurance, and insurance of personal property of the individual such as motor vehicle, household articles, etc.
- Firms and organizations cannot go to the Ombudsman.

Nature of complaints



Suggested amendments by the 'Law Commission'



The commission has recommended that the Grievance Redressal Authorities (GRA) should be substituted to deal with the following:

- Disputes between the insured and the insurer;
- Disputes between the insurer and the intermediaries; and
- Disputes between the insurer and insurer.

Final recommendations of the law commission in regard to the Grievance Redressal Mechanism

Adjudicating Officers / Investigating Officers be appointed by the IRDAI to adjudicate / investigate violations of the Act, Rules and Regulations by the insurers, insurance intermediaries and insurance agent, and levy penalties as provided in the Act.

In-house grievance redressal mechanism: Every insurance company will set up an in-house grievance redressal mechanism under the overall supervision of the IRDAI. It will be incumbent for every person seeking to file a claim before the Grievance Redressal Authority (GRA) to first approach the in-house mechanism.

The Grievance Redressal Authority (GRA) will replace the present system of having the Ombudsmen under the 1998 Rules, at all major metropolises. The GRA will be a statutory authority exercising statutory functions.

Jurisdiction: The jurisdiction of the GRA will be to hear:

Disputes between the insured and the insurer that pertain to personal lines of insurance on the following matters:

- any partial or total repudiation of claims by an insurer;
- any dispute with regard to premium paid or payable in terms of the policy;
- any dispute on the legal construction of the policies in so far as such disputes relate to claims;
- delay in settlement of claims;
- non-issue of any insurance document to customers after receipt of premium; and
- any other complaint against an insurer

Disputes between the insurer and the intermediaries;

Insurer and insurer; and

Disputes between the assignees of a policy as to priority of assignment.

Geographical spread: The GRAs should be dispersed as widely as geographically possible. For instance, there could be GRAs in each of the major cities in the country. This is necessary given the large number of policyholders at present and the prospect of this growing in the future

Powers: The powers and jurisdiction of the GRAs would include all the powers and functions of the civil court and would involve adjudication of issues of fact and law.

It could be provided that all pending disputes arising under the Insurance Act, 1938 before the Consumer Fora would be transferred to the GRAs for disposal in accordance with the provisions of the Insurance Act, 1938.

There will be a clause expressly excluding the jurisdiction of civil courts and other tribunal / forum in regard to such matters that form the subject matter of the jurisdiction of the GRA.

Mediation or conciliation: With a view to encouraging Alternate Dispute Resolution (ADR) by way of mediation or conciliation, it may be provided that a claimant may have the choice to opt for mediation or conciliation, in which case the GRA will refer the dispute for mediation or conciliation by a person or body agreed upon, or where there is no agreement, by a person or body nominated by the GRA from a panel prepared by it.

Final decision: The decision of the GRA, or the final decision on appeal, will be enforceable by the GRA which passes the initial order and for that purpose the GRA will exercise all the powers of a civil court.

Composition of GRA: The GRA should be a multi-member body comprising of one judicial member who will be the President and two technical members. The President and Members of the GRA will hold office till the age of 65 years.

Technical members: As regards the appointment of technical members to the GRA, consultation with the Chief Justice of the High Court is not necessary. A panel of names of persons of not less than 15 years experience in the insurance industry can be prepared by the Central Government and sent to a Selection Committee comprising the members of the Insurance Councils constituted under Section 64C of the Act

Rules / procedures: The GRA will formulate rules of procedure to cover matters relating to filing of claims, completion of pleadings, and evidence on affidavits or otherwise, passing of awards and furnishing copies.

The President or Members of GRA shall not be removed from office except by an order made by the President on ground of proved misbehaviour or incapacity after enquiry made by a Judge of the High Court in which such President or Member has been informed of the charges against him and given a reasonable opportunity of being heard in respect of those charges

Appeal: An appeal will lie from the decision of the GRA to an Insurance Appellate Tribunal (IAT), the jurisdiction of which will extend to hearing:

- Appeals from the GRA;
- Appeals against the orders passed by the Adjudicating / Investigating Officers appointed by the IRDAI;
- Appeal against any order passed by the IRDAI. With the constitution of the IAT, the appellate authority constituted by a notification of the Central Government will have to be wound up and the appeals pending before it will stand automatically transferred to the IAT; and
- Making of interim orders, conditional or otherwise, in relation to the above matters.

Compositions of IAT: The IAT should be a multi-member body with a judicial member as President and two technical members. The IAT should be presided over by a retired High Court Judge nominated in consultation with the Chief Justice of India

- The President and Members of the IAT will hold office till the age of 68 years.
- The removal of the President and the Members of the IAT for proven misbehaviour or incapacity will be upon enquiry by a Judge of the Supreme Court of India in which such a President or Member has been informed of the charges against him and given a reasonable opportunity of being heard in respect of those charges

Geographical reach: The Principal Bench of the Insurance Appellate Tribunal (IAT) should be in New Delhi. It is preferable that there is one IAT in each State.

Rules / procedures: The IAT will formulate rules of procedure to cover matters relating to filing of appeals, completion of pleadings, making of orders both interim and final and furnishing copies

The expenditure for the constitution of the GRAs and the IATs and their maintenance must be borne by the Central Government in as much as they are to adjudicate disputes arising under a central statute.

Appeal: There will be a further statutory appeal to the Supreme Court from the decision of the IAT. The appeal will have to be filed within 60 days of the decision of the IAT

Adjudication fee: There should be an adjudication fee levied in respect of a claim before the GRA and an appeal before the IAT.

Introduction: This study guide will give you information on how an insurance company sets aside funds for claims that may arise in future and how reserve fund money is invested to maximise returns.

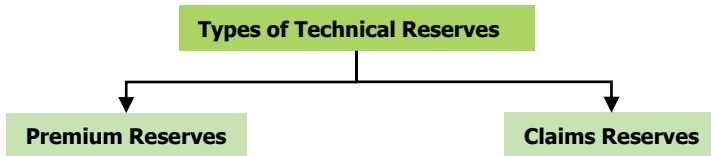
Different types of reserves maintained by insurance companies

Technical Reserves: The assets that an insurance company maintains to meet future claims or losses

**Technical reserves required
can be classified as**



- Reserves for unexpired risks
- Reserves for incurred but unreported claims
- Reserves for outstanding claims
- Fluctuation reserves



Premium Reserves

Unearned Premium Reserve



Since all the policies do not renew at the same time and do not end exactly at the close of the financial year, there will be some amount of premium that is “unearned” at the time the accounts need to be finalised.

Unexpired Risk Reserve



If an insurer wrote premiums during a year which, in retrospect, are considered to be inadequate because of, say, a soft market, a reserve may be set up for the shortfall

Claims Reserve

Outstanding Claims Reserve



Represents the money put aside for paying claims on business that has been written, whether or not these claims have been reported to the insurer.

Open Claims Reserve



Those reserves that have been reported, entered onto the system and a formal reserve has been input for each one.

IBNR Reserve



Every insurer will have claims that, for some reason or other, have not yet been reported and the insurer does not know about them (claims that have been **I**ncurred **B**ut **N**ot **R**eported – IBNR)

Claims Equalisation Reserve



In some countries, insurers are permitted to set up a reserve to smooth the overall result. In years, when claims experience has been favourable, an amount is put into a reserve from where it can be withdrawn in poor years.

Other Reserves



Insurers create special reserves for a particular class of business to be drawn upon in the event of catastrophe, such as an earthquake, flood, conflagration, etc. Insurers, create an investment reserve to provide for losses on their investment due to economic conditions, reserves for bad debt, and reserves for taxes.

Reserving process followed by insurance companies

In the modern market, the estimate is to be input by a claims handler into the system

Smaller claims, simpler risks e.g. motor, health, etc.

Figure to be input (if there is no obvious accurate figure already) is likely to be based on an average figure from past experience but then with issues such as inflation, built in to make it as realistic and up-to-date figure as possible.

Larger and more complex claims



This will be controlled by a more experienced handler and by gauging the claims circumstances and using their own experience, they should be able to make a subjective judgement on the estimate.

The claims professionals and actuaries have to:

- bring the data together
- break it down into practical sub-classes
- review and refine it
- build in provisions for IBNR
- construct auditable reserves

Three aspects to bear in mind as regards the selection of sub-classes. They should be:



- be as **homogeneous** as possible, so that the data can be as reliable as possible
- **not be too big** as it will give the underwriters difficulty in premium setting
- **not be too small**, or the law of large numbers will not apply i.e. statistical variances will be large

Challenges

A significant issue is that of building in the IBNR and the reported claims development into the sub-class reserves. One approach is to look at the past claims experience in the sub-class, apply this to the data and then project into the future.

There are limitations:

- In a changing business environment
- in long tail classes
- where there is little relevant applicable claims experience (e.g. in new and emerging risks)

It must be emphasised that these are only mechanical calculations and do not take into consideration the fundamental changes that might be happening to the drivers of the claims.

Fundamental changes can be:

- inflation rate
- rebuilding costs
- legal framework
- court awards
- medical costs etc.

Checklist for Reservers

- a) What historical data are available to the reserver and how far can confidence be placed in its reliability?
- b) To what extent is homogeneity of the groups in the risk classification satisfactory?
- c) What conclusions have shaped the past experience and what significant changes can be deduced which may affect the future turn out?
- d) What methods of projection are proposed, and, are these properly suited under the given circumstances?

Premium investment strategies followed by insurance companies

Globally insurers invest in fundamentally different ways, although the guiding principles are the same:

- Modern Portfolio Theory
- Asset Liability Management

Modern Portfolio Theory (MPT)



Fundamental concept behind MPT is that the assets in an investment portfolio should not be selected individually, each on their own merits. Rather, it is important to consider how each asset changes in price, relative to how every other asset in the portfolio changes in price.

Asset-liability management



Asset-liability management basically refers to the process, by which an institution manages its balance sheet, in order to allow for alternative interest rate and liquidity scenarios. Banks and other financial institutions provide services, which expose them to various kinds of risks like credit risk, interest risk and liquidity risk. Asset liability management is an approach that provides institutions with protection that makes such risks acceptable

Indian Regulations: Insurance premium investment structure is laid down under the Insurance Regulatory and Development Authority (Investment) Regulations, 2004

Sr. No	Type of Investment	Percentage
i)	Central Government Securities being not less than	20%
ii)	Government securities and other Guaranteed securities including (i) above being not less than	30%
iii)	Housing and Loans to State Government for Housing and Fire Fighting equipment, being not less than	5%
iv)	Investments in Approved Investments as specified in Schedule II	
a)	Infrastructure and Social Sector Explanation: For the purpose of this requirement, Infrastructure and Social Sector shall have the meaning as given in regulation 2(h) of Insurance Regulatory and Development Authority (Registration of Indian Insurance Companies) Regulations, 2000 and as defined in the Insurance Regulatory and Development Authority (Obligations of Insurers to Rural and Social Sector) Regulations, 2000 respectively	Not less than 10%
b)	Others to be governed by Exposure / Prudential Norms specified in Regulation 5	Not exceeding 30%
v)	Other than in Approved Investments to be governed by Exposure / Prudential Norms specified in Regulation 5	Not exceeding 25%

Insurance Accounting



Insurance accounting basics are similar to basics of other forms of accounting

General Accounting



Items such as the Balance Sheet, Receipts and Payments Account [Cash Flow Statement] and Profit & Loss Account etc. will be in line with the Accounting Standards (AS) issued by the ICAI to the extent applicable to insurers carrying on general insurance business with three exceptions:

- Cash Flow Statement to be prepared only under Direct Method
- Accounting for Investments is not applicable
- Segment Reporting applies to all insurers

Premium



Premium is to be recognised as income over the contract period or the period of risk. Premium received in advance not relating to the current accounting period to be disclosed separately under the head "Current Liabilities".

Acquisition Costs



Acquisition costs to be placed in the period in which they are incurred.

Claims



Comprises claims under policies and specific claims settlement

Investments



Detailed procedure has been prescribed for determining value of various investments such as:

- Real Estate – Investment Property
- Debt Securities
- Equity Securities and Derivative Instruments that are traded in active markets
- Unlisted and other than actively traded Equity Securities and Derivative Instruments

Loans



Measured at historical cost

Catastrophe Reserve



Reserve has to be created in accordance with the norms, if any, prescribed by the Authority

Accounting Module



The basic insurance functions including accounts are carried on at the operating office of the general insurance company. With the reliance now in most companies on IT systems, except for preparation of journal vouchers and few other emerging transactions, all other transactions input to the system can be system generated.

Important accounting functions in a general insurance company



- Premium accounting
- Commission / brokerage accounting
- Claims accounting
- Accounting of expenses of management
- Co-insurance accounting
- Re-insurance accounting
- Investment accounting
- Accounting of foreign operations

Introduction: This study guide explains the purpose and areas of focus of regulations for insurance and insurance regulatory systems of a few countries.

Scenarios where the insurance system comes to the rescue



- when someone dies and leaves the family without proper income
- when fire or flood destroys one's shop, merchandise or factory depriving him of his livelihood
- when earthquake or fire destroys a house and its contents causing great financial loss
- when someone falls sick and the family is forced to part with its life-time savings for treatment

Scope of insurance regulation includes:

orderly growth of long-term businesses like



life insurance, annuities and pensions products

orderly growth of short-term businesses like



automobiles, buildings, household items, travel risks, ships and shipments

Why there are regulations?

it creates a proper legal environment to ensure that policyholder is protected and when he comes to insurer after a loss, his contractual rights are protected.

The areas where regulations mainly focus upon

Licensing

The regulatory processes starts from issuance of licences. The minimum capital requirement for starting life insurance business in India is 100 crores.

Management of funds

Regulators try to ensure that insurers don't misuse public funds.

Maintaining financial solvency

Solvency measures whether the insurance company can settle all the claims and still continue to be in business.

Standardisation of Insurance Products

Insurance regulators professionally evaluate services to ensure standardisation of insurance products.

Pricing of Insurance Products

To ensure that insurance products are priced on proper technical and business factors, effective regulation is needed.

Creating a Level Playing Field

Norms are laid down for ensuring policyholders' protection and maintaining ethical standards.

Monitoring reinsurance

Regulations in many countries try to retain maximum premium within country

Insurance regulatory systems of a few countries

Some Well known insurance regulators

- International Association of Insurance Supervisors (IAIS)
- Financial Services Authority (FSA) of UK
- National Association of Insurance Commissioners (NAIC) (the apex body of fifty State level regulators of USA)
- Australian Prudential Regulatory Authority (APRA)
- Financial Services Authority (FSA) of Japan
- Bank Negara Malaysia (BNM)
- Insurance Regulatory and Development Authority of India (IRDAI) of India

International Association for the Study of Insurance Economics

- known as "The Geneva Association"
- a non-profit world organisation
- conducts research on growing importance of worldwide insurance activities in all sectors of the economy
- comprises around 80 chief executive officers from insurance companies from Europe, North America, South America, Asia, Africa and Australia

International Association of Insurance Supervisors (IAIS)



- presently reaching out to all insurance regulators and consolidating them under one banner and creating commonly acceptable standards for all regulators and markets across the world
- established in 1994
- represents insurance regulators and supervisors of some 190 jurisdictions
- has more than 120 representations from industry associations, professional associations, insurers and reinsurers, consultants and international financial institutions
- issues global insurance principles, standards and guidance papers, provides training and support on issues related to insurance supervision, and organises meetings and seminars for insurance supervisors
- works closely with other financial sector to promote financial stability and creates opportunities for insurance supervisors, industry representatives and other professionals to discuss developments in the insurance sector and topics relating to insurance regulation

International Regulatory Trends In Insurance Sector



10 key regulatory trends in insurance for 2016 to be highlighted.



1. Multiple regulatory influences
2. Own Risk and Solvency Assessment (ORSA)
3. DOL fiduciary standards
4. Cybersecurity and privacy
5. Acquisition from abroad
6. Corporate governance
7. Life insurer use of affiliated captives
8. Principle-based reserving (PBR)
9. Regulatory response to disruptive technology
10. Price optimization

The regulatory landscape for insurance continues to evolve, making it imperative for companies in the industry to keep a watchful eye on new and modified requirements.